

ILLUMINATING LIVES

Sampath Bank PLC | Annual Report 2024



Sampath Bank

WE PRESENT YOUR FUTURE



**View the PDF Version
of this Annual Report Online**

<https://www.sampath.lk/investor-relations?section=Annual-Reports>



**View the AI Powered Digital Version
of this Annual Report Online**

[https://www.sampath.lk/
/DigitalAnnualReport2024](https://www.sampath.lk/DigitalAnnualReport2024)

ILLUMINATING LIVES

At Sampath Bank, our purpose lies in empowering dreams and enriching lives.

In doing so, we have fuelled the growth of an ever-growing sphere of influence, while empowering those around us with limitless energy, vitality, and the strength to shape their journey. Over the years, we have always guided our stakeholders along the right path, into a future of stability and progress.

Even amid times of turbulence and seismic shifts in the environment, we have long served as a beacon of trust that illuminates every life we impact. Founded on a spirit of evolution and transformation, we stand steadfast and true; enabling countless individuals and businesses to navigate into a future filled with endless possibilities.

The year under review saw us focus on enhancing our capabilities to safeguard the ever-evolving needs of our people, partners, and planet. We're looking beyond the horizon, with the vision of creating an inclusive future enriched with endless stores of value for every stakeholder we impact.

Here at Sampath Bank, we're illuminating lives.



Sampath Bank

WE PRESENT YOUR FUTURE

Table of Contents

4 Welcome to Our 11th Integrated Annual Report

8-19

ABOUT US

- 10 Sampath Bank at a Glance
- 13 Performance Highlights
- 16 Key Events 2024
- 18 Shaping the Way Sri Lankans Bank

20-28

HEAR FROM OUR LEADERS

- 22 Chairman's Message
- 25 Managing Director's Review

29-56

PURPOSEFUL STRATEGY

- 30 Delivering Our Strategy
- 33 Our Approach to Sustainability
- 39 Task Force on Climate-related Financial Disclosures
- 42 Value Creation Process
- 44 Our Sustainability Journey
- 46 Materiality
- 49 Engaging with Our Stakeholders

22



Chairman's Message

56-146

MANAGEMENT DISCUSSION AND ANALYSIS

- 58 Operating Environment
- Capital Management Reports
- 62 Financial Capital
- 69 Manufactured Capital
- 72 Digital Capital
- 75 Intellectual Capital
- 80 Human Capital
- 94 Social and Relationship Capital
- 110 Natural Capital
- Business Reports
- 130 SME and Retail Banking
- 137 Corporate Banking
- 140 Treasury
- 142 Subsidiary Performance

Page

62

Financial Capital

Page

69

Manufactured Capital

Page

72

Digital Capital

Page

75

Intellectual Capital

Page

80

Human Capital

Page

94

Social and Relationship Capital

Page

110

Natural Capital

146-251

GOVERNANCE AND RISK MANAGEMENT

Corporate Governance

- 148 Chairman's Message on Corporate Governance
- 149 Corporate Governance Report
- 184 Governance Structure
- 186 Board of Directors
- 190 Corporate Management
- 193 Chief Managers
- 195 Report by the Senior Independent Director

Committee Reports

- 196 Board Nominations and Governance Committee Report
- 199 Board Audit Committee Report
- 202 Board Human Resources and Remuneration Committee Report
- 204 Board Integrated Risk Management Committee Report
- 207 Board Related Party Transactions Review Committee Report
- 209 Board Cost Monitoring Committee Report
- 210 Board Sustainability Committee Report
- 212 Board Credit Committee Report
- 214 Board Strategic Planning Committee Report
- 216 Board Shareholder Relations Committee Report
- 217 Board Treasury Committee Report
- 219 Board Marketing Committee Report
- 222 Board IT Committee Report
- 223 Compliance Report
- 224 Risk Management Report

25



Managing Director's Review

252 - 421

FINANCIAL INFORMATION

- 254** Financial Calendar
- 255** Annual Report of the Board of Directors on the Affairs of the Company
- 262** Directors' Interest in Contracts with the Bank
- 264** Directors' Statement on Internal Control Over Financial Reporting
- 266** Independent Assurance Report to the Board of Directors of Sampath Bank PLC
- 267** Managing Director's and Chief Financial Officer's Responsibility Statement
- 268** Statement of Directors' Responsibility for Financial Reporting
- 270** Independent Auditor's Report to the Shareholders of Sampath Bank PLC
- 273** Key Financial Highlights

Financial Statements

- 274** Statement of Profit or Loss
- 275** Statement of Comprehensive Income
- 276** Statement of Financial Position
- 278** Statement of Changes in Equity
- 280** Statement of Cash Flows
- 283** Notes to the Financial Statements

Page

39

Task Force on Climate-related Financial Disclosures

Page

210

Board Sustainability Committee Report

Page

13

Performance Highlights

Page

148

Corporate Governance

422 - 477

SUPPLEMENTARY INFORMATION

- 424** Ten Years at a Glance
- 426** Quarterly Statistics
- 428** Statement of Profit or Loss in US\$
- 429** Statement of Comprehensive Income in US\$
- 430** Statement of Financial Position in US\$
- 431** Investor Relations
- 442** Direct Economic Value Generated and Distributed - Bank
- 443** Annexures to Corporate Governance Report
- 445** Basel III Disclosure Requirements
- 455** GRI Content Index
- 461** Compliance with SASB Disclosure Requirements
- 462** Independent Practitioner's Assurance Report to the Board of Directors of Sampath Bank PLC on the Integrated Annual Report 2024
- 464** Independent Practitioner's Assurance Report to the Board of Directors of Sampath Bank PLC on the Sustainability Reporting Criteria Presented in the Integrated Annual Report 2024
- 466** Glossary of Financial and Banking Terms
- 470** Acronyms and Abbreviations
- 472** Notice of Annual General Meeting
- 473** Notes
- 475** Stakeholder Feedback Form
- 477** Corporate Information Encl. - Form of Proxy



View the AI Powered Digital Version of this Annual Report Online

This year, Sampath Bank has launched its innovative AI-Powered Digital Annual Report, marking a significant milestone in its efforts to enhance stakeholder engagement. The report comes with an interactive Chart Generator, allowing users to explore and visualise key information in a dynamic and insightful way. This cutting-edge approach offers a fresh perspective on the Bank's financial and non-financial performance, empowering stakeholders to interact with the data in ways that were not possible with traditional reports. Through this new digital experience, Sampath Bank aims to provide a more engaging and transparent way to present vital information.

Page

30

Delivering Our Strategy

Page

42

Value Creation Process

Page

128

Business Reports

Page

224

Risk Management Report

Page

274

Financial Statements

Page

431

Investor Relations

Welcome to Our 11th Integrated Annual Report



OUR APPROACH TO REPORTING

This is Sampath Bank PLC's 11th Integrated Annual Report and provides a balanced and concise account of the Bank's value creation story during the financial year ended 31st December 2024. This Integrated Annual Report explains how we delivered on our strategic objectives in the context of our operating environment, corporate governance framework, risk management practices and performance during the year. Through this narrative we aim to demonstrate the Bank's commitment to sustainable value creation for all stakeholders and outline our vision for future growth.

BASIS OF PREPARATION

Reporting Entity

Our Annual Report covers the operations of Sampath Bank PLC and its four subsidiaries collectively called "the Group". Sampath Bank PLC is the largest entity within the Group accounting for 96.8% of total assets as at 31st December 2024 and 94.6% of gross income and 95.2% of profit after tax for the year under review. The Group's operations are primarily based in Sri Lanka.

Reporting Period

GRI 2-3

This Report covers the financial year from 1st January to 31st December 2024. The Bank adopts an annual reporting cycle and builds on the previous report for the financial year ended 31st December 2023. Material developments in the operating environment and post balance sheet events up to the date of Board approval on 17th February 2025 have also been included.

Information Gathering and Report Preparation

Information for the preparation of the Annual Report was obtained from multiple sources including internal data, interviews with the Bank's Chairman, Managing Director and Corporate Management teams and verified external sources. The preparation of the Report was overseen by a dedicated internal team.

Changes to Reporting

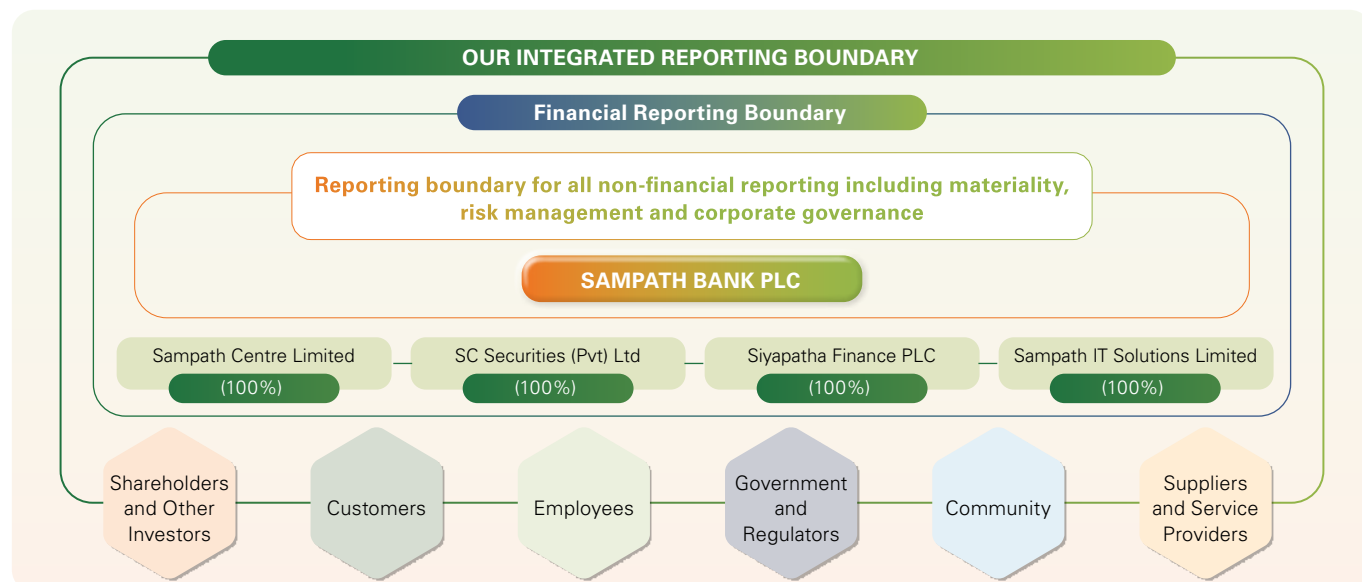
GRI 2-4

There were no major changes to the Bank's size, shareholding, structure or operations during the year under review. There were also no major restatements of financial or non-financial information disclosed in our previous Annual Report.

Scope and Boundary

GRI 2-2

This Report covers the operations of Sampath Bank PLC and its four subsidiaries based in Sri Lanka. The financial information in the financial statements has been presented for both the Bank and the Group. The non-financial, risk management and corporate governance information pertains only to Sampath Bank PLC unless specified otherwise. The narrative also includes information on emerging risks and opportunities from the operating environment and the outcomes attributable to key stakeholders. The Group's reporting boundary is presented alongside.



Reporting Frameworks

We are committed to enhancing our reporting by adopting voluntary standards and best practices to reflect the evolving reporting landscape while consistently fulfilling all mandatory reporting requirements.

DEVELOPMENTS IN REPORTING DURING 2024

- CBSL issued the Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks during the year. We have evaluated the requirements outlined in the Direction and intend to adhere with all requirements within the timelines stipulated in the Direction.
- Compliance with the Section 9 of Listing Rules of the Colombo Stock Exchange within the stipulated timelines.
- Compliance with the Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka.
- We continued to align our processes with the requirements of SLFRS S1 and S2, the localised versions of the IFRS S1 and S2 Sustainability Reporting Standards issued by the Institute of Chartered Accountants of Sri Lanka and intend to fulfil its requirements within the stipulated timeline.
- As part of our alignment with SLFRS S1 and S2, we initiated reporting on the Commercial Banks, Consumer Finance and Mortgage Finance standards issued by the Sustainability Accounting Standards Board (SASB).

The 2024 Annual Report aligns with the following regulatory and voluntary reporting standards

Financial Reporting (Regulatory)



- Sri Lanka Accounting Standards issued by the Institute of Chartered Accountants of Sri Lanka
- Companies Act No. 07 of 2007 and its amendments
- Banking Act No. 30 of 1988 and its amendments
- Listing Rules of the Colombo Stock Exchange (CSE)
- Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995

Integrated Reporting (Voluntary)



- The International Integrated Reporting <IR> Framework of the International Integrated Reporting Council (IIRC)
- "A Preparer's Guide to Integrated Reporting" issued by the Institute of Chartered Accountants of Sri Lanka

Corporate Governance, Compliance and Risk Reporting (Regulatory)



- Listing Rule No. 9 of the Colombo Stock Exchange
- Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks in Sri Lanka
- Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka (2023)
- Banking Act Direction No. 01 of 2016 on Capital Requirements under BASEL III and its amendments
- Banking Act No. 30 of 1988 and its amendments
- Companies Act No. 07 of 2007 and its amendments

Sustainability Reporting (Voluntary unless otherwise stated)



- United Nations (UN) Sustainable Development Goals (SDGs)
- 10 Principles of UN Global Compact
- Global Reporting Initiative (GRI) issued by the Global Sustainability Standards Board (GSSB)
- Task Force on Climate Related Financial Disclosures (TCFD)
- Sustainability Accounting Standards for Commercial Banks, Consumer Finance and Mortgage Finance issued by the Sustainability Accounting Standards Board (SASB) of the IFRS Foundation
- Guideline on Environmental, Social and Governance (ESG) Reporting issued by the CSE
- Banking Act Direction No. 05 of 2022 on Sustainable Finance Activities of Licensed Banks (Regulatory)
- ISO 14064-1:2018 Organisation Level for Quantification and Reporting of Greenhouse Gas (GHG) Emissions and Removal
- GHG Protocol Corporate Accounting and Reporting Standard

Welcome to Our 11th Integrated Annual Report

ASSESSING MATERIALITY

The Bank adopts a formal approach to assessing materiality. This entails evaluating an extensive list of potential material topics using a double materiality lens taking into the consideration of its impact on the Bank's ability to create value as well as its impact on our stakeholders and the environment. Assessing materiality was improved during the year under review through the adoption of a quantitative approach to determining material topics.

GRI 3-1

5

New material topics included

Zero

Material topics removed

IMPROVEMENTS TO THE ANNUAL REPORT 2024

01

Corporate Governance

Aligned Corporate Governance with the requirements of the Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks in Sri Lanka, CSE Listing Rule No. 9 on Corporate Governance and the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka (2023).

02

Sustainability Reporting

Initiated reporting inline with the Sustainability Accounting Standards Board (SASB) Standards for Commercial Banks, Consumer Finance and Mortgage Finance.

03

Digital Innovation

Introduced the first ever Sampath Bank AI Powered Digital Annual Report with a Chart Generator to enhance stakeholder engagement, enabling interactive and insightful exploration of key information from the Annual Report.



SCAN ME!

View the AI Powered Digital Version of this Annual Report Online

Building on our 2023 Annual Report, the cover visual, content separator designs and infographics featured in this Report were also generated using Artificial Intelligence (AI) technology.

04

Improved the graphical representation of the Report.

05

Improved the conciseness of the Report.

Combined Assurance

GRI 2-5

Sampath Bank adopts a combined assurance methodology to ensure the integrity of the information presented in this Integrated Report. Internally, the Bank's Management assesses the reporting processes and reviews the financial and non-financial data presented in the Integrated Report. External assurance was obtained from Messrs Ernst and Young, Chartered Accountants on the Bank's Financial Statements (pages 270 to 272), Directors' Statement on Internal Control Over Financial Reporting (pages 264 and 265), Sustainability Reporting (pages 464 and 465) and Integrated Reporting (pages 462 and 463). Independent assurance was obtained from Sri Lanka Climate Fund on the Bank's GHG Inventory Report 2024 to ensure the alignment with ISO 14064-1:2018 Standard Organisation Level for Quantification and Reporting of GHG Emissions and Removals (page 117).

How to Navigate the Report



Corporate Governance
(Page 148)



Risk Management
(Page 224)

CAPITALS



Financial Capital
(Page 62)



Manufactured Capital
(Page 69)



Digital Capital
(Page 72)



Intellectual Capital
(Page 75)



Human Capital
(Page 80)



Social and Relationship Capital
(Page 94)



Natural Capital
(Page 110)

STAKEHOLDERS



Shareholders and Other Investors
(Page 50)



Employees
(Page 51)



Customers
(Page 52)



Community
(Page 53)



Government and Regulators
(Page 54)



Suppliers and Service Providers
(Page 55)

STRATEGY



Business
(Page 30)



People
(Page 30)



Technology
(Page 31)



Sustainability
(Page 31)

Forward Looking Statements

Our Integrated Annual Report includes forward-looking statements that reflect our current expectations and projections of future events. These statements have been deemed reasonable at the time of publication and have been included given its importance in assessing our potential to create value in the short-to-medium term. However, these statements are inherently uncertain as it relates to future events, outcomes and impacts that lie beyond the control of the Group. Therefore, users are advised to exercise caution when relying on forward-looking statements as future events may differ materially from those expressed in this Report. Given the above, all forward-looking statements are provided without recourse or any liability whatsoever to the Board or other preparers of the Annual Report.

EVOLUTION OF OUR SUSTAINABILITY AND ESG REPORTING

Sampath Bank's unending commitment to reporting excellence has urged the Bank to progressively enhance the scope and scale of its reporting disclosures with each successive Annual Report. To that end, the Annual Report for FY 2024 represents another important milestone in the Bank's efforts to improve transparency and accessibility of information in line with globally accepted reporting best practices.


2011

- Stand-alone Report
- GRI 3.1 Level B External Assurance Provided


2012

- Incorporated in Annual Report
- GRI 3.1 Level B External Assurance Provided


2013

- Stand-alone Report
- GRI G4 - Comprehensive External Assurance Provided

2014-2016

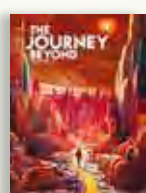
- Integrated Report
- GRI G4 - Comprehensive External Assurance Provided


2017-2021

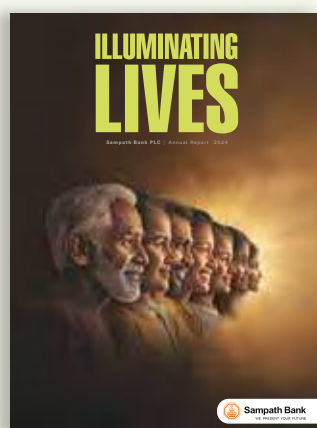
- Integrated Report
- GRI Standards - Comprehensive External Assurance Provided


2022

- Integrated Report
- In Accordance with the GRI Standards
- External Assurance Provided
- Key highlights from the Integrated Annual Report are available in video form, accessible on the Corporate Website.


2023

- Integrated Annual Report
- In Accordance with the GRI Standards
- External Assurance Provided


2024

- Integrated Report
- In Accordance with the GRI Standards
- Enhanced TCFD Reporting
- Initiated Reporting on the SASB Standards
- AI Powered Digital Version of the Annual Report

BOARD RESPONSIBILITY STATEMENT

Sampath Bank PLC's Board of Directors is responsible for the integrity of the Integrated Annual Report. The Board confirms that the Integrated Annual Report for the financial year ended 31st December 2024 represents a balanced view of the Bank's performance and addresses all material issues that are likely to impact the Bank's ability to create value in the short term.

FEEDBACK GRI 2-3.25

The Board welcomes stakeholder feedback on this Integrated Annual Report 2024 and requests readers to utilise the Feedback Form provided on pages 475 and 476 of this Report to share suggestions, comments and feedback. Thank you for your valuable input.



ABOUT US

Sampath Bank at a Glance | 10

Performance Highlights | 13

Key Events 2024 | 16

Shaping the Way Sri Lankans
Bank | 18

AN ENDURING ENERGY

The unwavering dynamism, passion, and energy instilled within each employee of Sampath Bank diffuses across its entire network, driving transformative impacts throughout the nation.



Sampath Bank at a Glance

GRI 2-1,6/201-1



OUR PURPOSE

Empower dreams and enrich lives.



OUR VISION

To be the leader in transforming lives by unlocking financial potential with innovation, integrity, and empathy while nurturing financial well-being, sustainable growth, and economic prosperity.

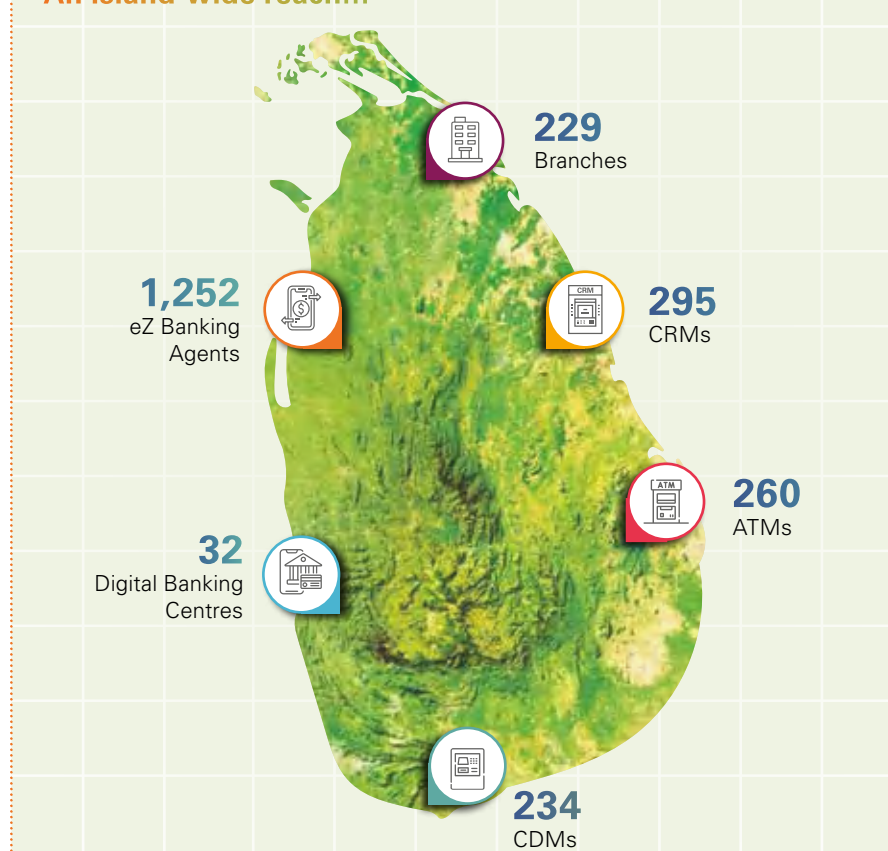


OUR VALUES

- Create a learning culture that promotes individual and organisational development as well as promoting innovation and value for customers.
- Treat all internal and external customers the way we would like to be treated.
- Encourage and promote teamwork in all aspects of behaviour.
- Open to feedback and demonstrate an eagerness for personal development.
- Monitor and demonstrate an impressive commitment to results.
- Uncompromising ethical and professional standards of behaviour.

Passionate about empowering and promoting the financial well-being of all Sri Lankans, we at Sampath Bank constantly push the boundaries of innovation and embrace technology to develop solutions that meet the unique needs of individuals and businesses. By prioritising financial inclusion, we unlock economic potential, build stronger and more resilient communities and fuel the sustainable economic growth of the nation.

An island-wide reach...



...and innovative digital banking solutions for omni-channel banking convenience...



Customers onboarded to digital platforms
(Sampath Vishwa and WePay)

>364,000 ▲
2023: >359,000

Transaction volumes on digital platforms
(Sampath Vishwa and WePay)

40.5 Mn ▲
2023: 34.3 Mn

Transaction values on digital platforms
(Sampath Vishwa and WePay)

Rs 3.4 Tn ▲
2023: Rs 2.8 Tn

We nurture the aspirations of our communities through a comprehensive suite of financial solutions...



25+

Savings products for every life journey

15+

Customised lending products to fulfil business and retail needs

5+

Traditional and digital payment systems for convenience in payments and receipts



Rs 27.3 Bn ▲ 59.4%

Profit after tax

2023: Rs 17.1 Bn



Rs 1,778 Bn ▲ 15.3%

Asset base

2023: Rs 1,542 Bn

... delivered through our business verticals...

Corporate Banking

- Corporate Credit
- Corporate Finance
- FCBU
- International Trade



SME and Retail Banking

- Lending
- Deposits
- Credit Cards
- Remittances



Treasury

- Treasury Bills and Bonds
- Repo and Reverse Repo
- FX Spot, Forward and Swap Contracts
- SLISBs
- US Treasuries



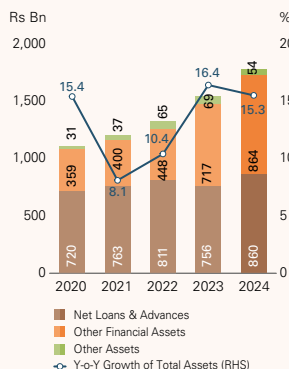
Contribution to		
	Asset Base	Profit Before Tax
Corporate Banking	16%	16%
SME & Retail Banking	55%	49%
Treasury	29%	35%

...and a motivated and empowered team of 4,428 employees.

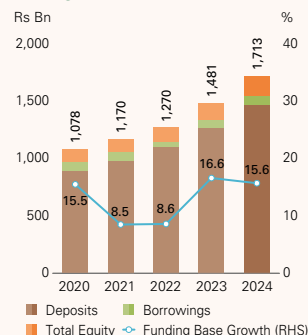


Financial Highlights

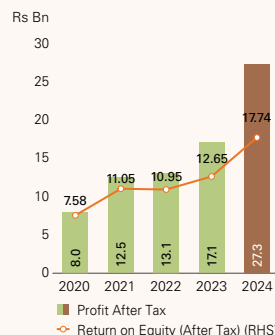
Total Assets



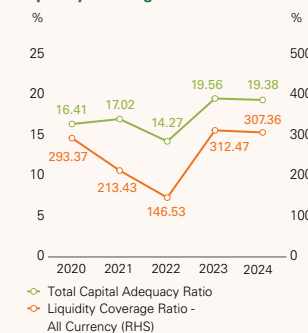
Funding Profile



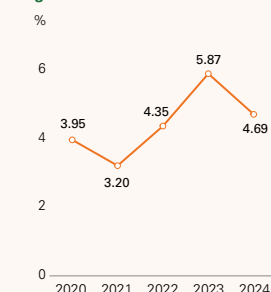
Performance



Capital Adequacy & Liquidity Coverage Ratio



Stage 3 Loan Ratio



A National Long Term Rating of 'AA-(lka) Stable' w.e.f 21st January 2025 [31st December 2024: A(lka) Stable] by Fitch Ratings Lanka Limited.

Environmentally and socially conscious...



30

tank restoration projects initiated (to-date)

> 15,000

community members benefited

Rs 60 Mn

investment in CSR initiatives

830

borrowers screened for environmental and social considerations

Rs 1,440 Mn

Environmental impact financing for renewable energy



Sampath Bank at a Glance

Our Socio-Economic Impact

Direct Economic Value Generated			
	2024 Rs Mn	2023 Rs Mn	Change %
Interest income	183,055	203,447	(10.0)
Exchange loss	(4,220)	(1,887)	(123.6)
Commission income	22,289	22,910	(2.7)
(Loss)/gain from investments	(7,015)	943	(843.9)
Other income	1,207	473	155.2
	195,316	225,886	(13.5)

The value created in 2024 decreased by 13.5% to Rs 195,316 Mn, due to the following factors:

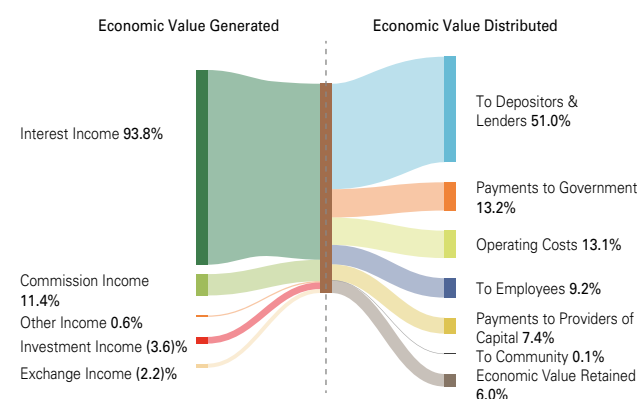
- Interest income declined by 10.0% due to lower interest rates on loans and advances in a declining interest rate environment.
- Exchange losses surged by 123.6% as a result of the Sri Lankan Rupee appreciating against the US Dollar, leading to revaluation losses on forward exchange contracts and FCBU reserves.
- Commission income fell by 2.7%, mainly because of reduced commission rates on import transactions and the appreciation of the Sri Lankan Rupee.
- Investment income reported a loss of Rs 7,015 Mn in 2024, primarily due to the loss from SLISBs following a successful restructuring process.

Economic Value Distributed			
	2024 Rs Mn	2023 Rs Mn	Change %
Depositors and lenders	99,552	126,735	(21.4)
Employees	18,057	14,250	26.7
Government of Sri Lanka	25,715	20,590	24.9
Community	190	209	(9.1)
Providers of capital	14,460	11,283	28.2
Operating costs	25,593	21,848	17.1
	183,567	194,915	(5.8)
Economic value retained (after payment of dividend to shareholders)	11,749	30,971	(62.1)
	195,316	225,886	(13.5)

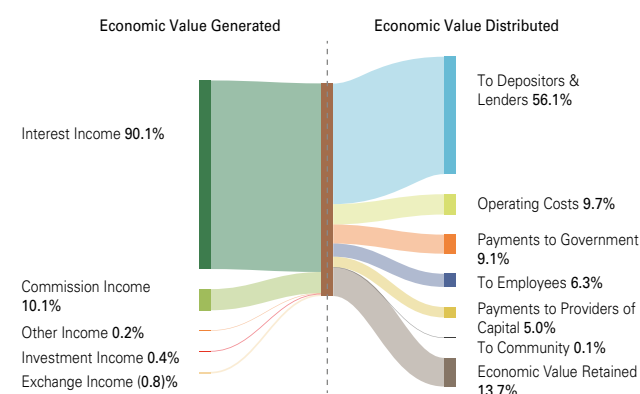
Sampath Bank distributed 94.0% of the value created in 2024 to stakeholders while retaining 6.0% to support future growth objectives and build resilience. Of the value distributed in 2024:

- Approximately 51.0% of the economic value created in 2024 was distributed to depositors and lenders, amounting to Rs 99,552 Mn. This represents a 21.4% decline compared to 2023, reflecting the decrease in interest rates.
- The Bank distributed 9.2% of the value created in 2024 to its team, totalling Rs 18,057 Mn, which is a 26.7% increase compared to 2023.
- The Government of Sri Lanka (GOSL) received 13.2% of the value created in 2024 in the form of tax payments. The value distributed to the GOSL increased by 24.9%, totalling Rs 25,715 Mn, due to improved performance.
- The Bank distributed 7.4% of the value created to providers of capital, including debt securityholders and shareholders. Accordingly, Rs 14,460 Mn was distributed to providers of capital, reflecting an increase of 28.2% compared to 2023.
- Approximately 13.1% of the value created was allocated to meet operating expenses, amounting to Rs 25,593 Mn. This marked a 17.1% increase compared to 2023.

Direct Economic Value Generated & Distributed 2024



Direct Economic Value Generated & Distributed 2023



Performance Highlights

GRI 2-6

FINANCIAL SNAPSHOT

	BANK			GROUP		
	2024	2023	Change %	2024	2023	Change %
Profitability (Rs Mn)						
Gross income	195,321	226,154	(13.6)	206,569	236,504	(12.7)
Total operating income	87,494	90,973	(3.8)	94,089	95,463	(1.4)
Impairment (reversal)/charge	(11,728)	20,149	(158.2)	(11,871)	20,210	(158.7)
Operating expenses	39,333	32,457	21.2	42,802	34,966	22.4
Operating profit before taxes on financial services	59,889	38,368	56.1	63,158	40,287	56.8
Taxes on financial services	13,167	8,607	53.0	13,970	9,085	53.8
Profit before income tax	46,722	29,760	57.0	49,188	31,202	57.6
Income tax expense	19,402	12,620	53.7	20,485	13,277	54.3
Profit for the year	27,321	17,140	59.4	28,703	17,924	60.1
Assets and Liabilities (Rs Mn)						
Deposits from banks and customers	1,469,222	1,264,470	16.2	1,500,506	1,287,379	16.6
Gross loans and advances	964,576	877,317	9.9	1,009,261	911,925	10.7
Total equity	166,538	147,873	12.6	177,882	157,830	12.7
Total liabilities	1,611,403	1,394,075	15.6	1,659,113	1,429,545	16.1
Total assets	1,777,941	1,541,948	15.3	1,836,995	1,587,376	15.7
Investor Information						
Net asset value per share (Rs)	142.01	126.10	12.6	151.69	134.59	12.7
Market price per share (Rs)	118.25	70.50	67.7			
Earnings per share - Basic/Diluted (Rs)	23.30	14.62	59.4	24.48	15.28	60.1
Total dividend per share (Rs)	9.35	5.85	59.8			
Cash dividend per share (Rs)	9.35	5.85	59.8			
Dividend cover (times)	2.49	2.50	(0.4)			
Dividend payout ratio (%)	40.13	40.02	0.3			
Gross dividend (Rs Mn)	10,965	6,860	59.8			
Market capitalisation (Rs Mn)	138,672	82,675	67.7			
Other Ratios						
Return on average assets (before tax) (%)	2.84	2.12	34.0	2.88	2.14	34.6
Dividend yield (%)	7.91	8.30	(4.7)			
Earnings yield (%)	19.70	20.74	(5.0)	20.70	21.67	(4.5)
Price earning ratio (times)	5.08	4.82	5.4	4.83	4.61	4.8
Price to book value (times)	0.83	0.56	48.2	0.78	0.52	50.0
Total impairment on loans as a % of gross loans and advances	10.83	13.78	(21.4)	10.63	13.66	(22.2)
Stage 3 impairment to Stage 3 loans ratio (%)	60.08	57.80	3.9	59.73	56.72	5.3
Impaired loans (Stage 3) ratio (%)	4.69	5.87	(20.1)	4.70	6.15	(23.6)
Cost of risk (%)	0.31	2.04	(84.8)	0.28	1.96	(85.7)
Cost to income ratio (excluding taxes on financial services) (%)	44.95	35.68	26.0	45.49	36.63	24.2
CASA ratio (%)	33.99	33.40	1.8	33.27	32.80	1.4
Loans to deposits ratio (%)	65.65	69.38	(5.4)	67.26	70.84	(5.1)
Leverage ratio (%)	7.24	6.39	13.3	7.58	6.73	12.6
Net stable funding ratio (%)	198.66	184.20	7.9			
Fitch Rating	AA-(lka) Stable*	A(lka) Stable				

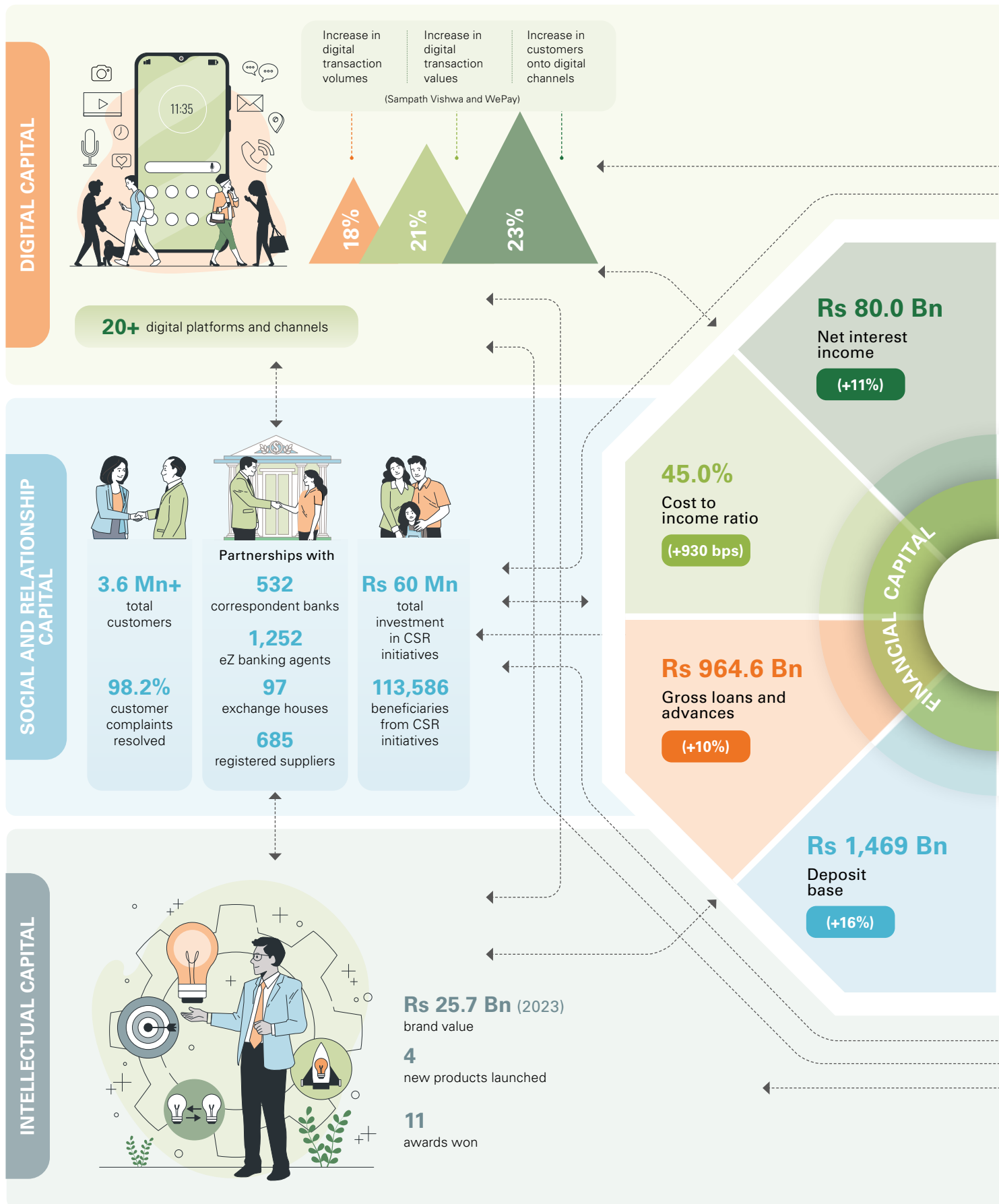
* 31st December 2024: A(lka) Stable.

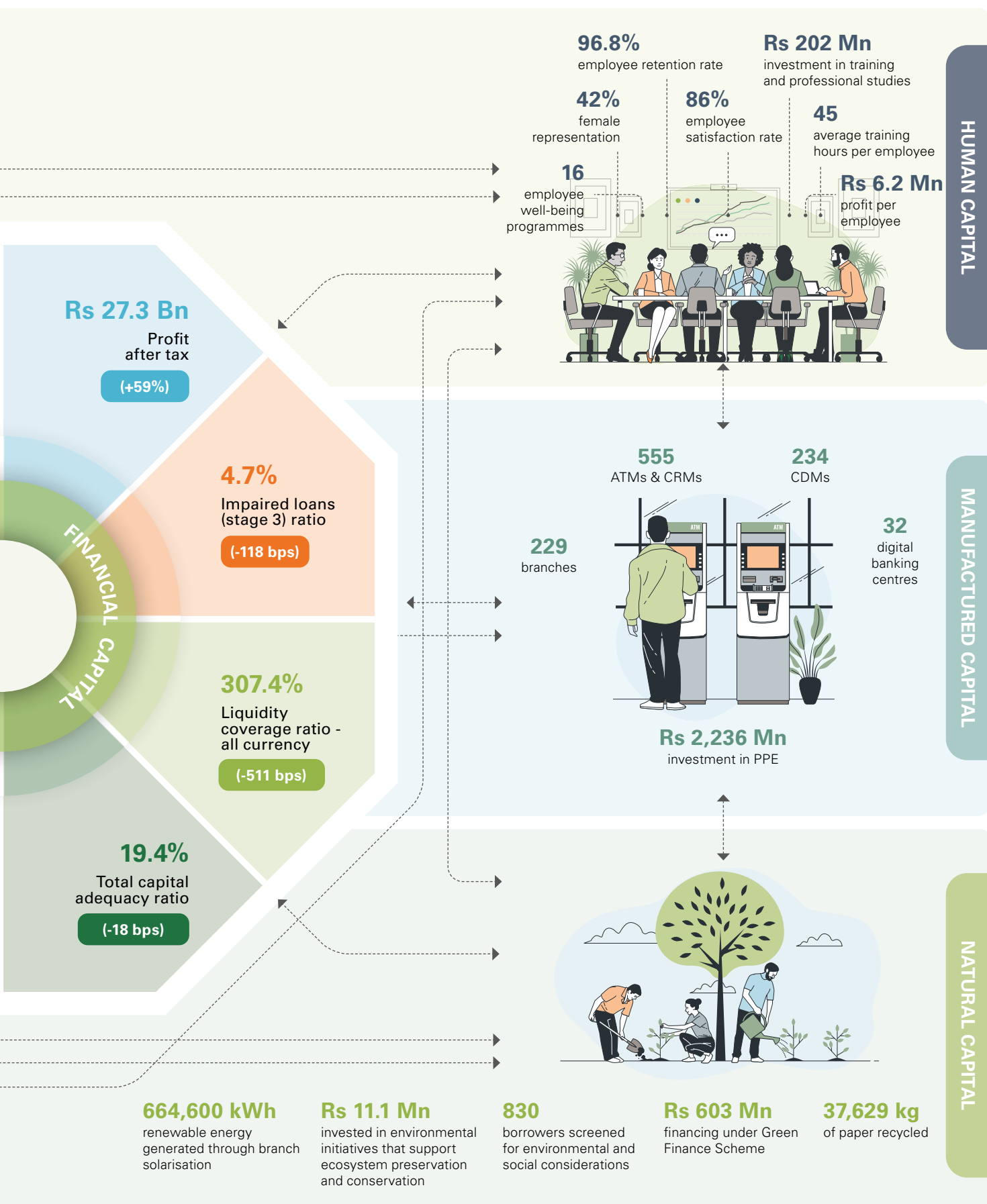
Key Performance Indicators - Bank

Indicator	Goal	ACHIEVEMENT				
		2024	2023	2022	2021	2020
Return on average assets (after tax) (%)	Over 1.00	1.66	1.22	1.01	1.07	0.78
Return on average equity (after tax) (%)	Over 16.00	17.74	12.65	10.95	11.05	7.58
Growth in profit (%)	Over 15.00	59.40	30.50	5.43	55.23	(28.03)
Growth in total assets (%)	Over 15.00	15.30	16.42	10.38	8.07	15.37
Capital adequacy ratios (Basel III)						
- Common equity Tier I (%)	2% buffer over the regulatory minimum requirement	16.75	16.35	11.92	13.95	13.44
- Total Tier I (%)		16.75	16.35	11.92	13.95	13.44
- Total capital (Tier I + Tier II) (%)		19.38	19.56	14.27	17.02	16.41
Liquidity coverage ratio						
- Rupee (%)	Over 120.00	340.11	453.16	200.78	254.89	424.90
- All currency (%)		307.36	312.47	146.53	213.43	293.37

Performance Highlights

GRI 2-6





Key Events 2024

GRI 2-6

WINNING

Achievements in 2024 affirmed that we are on the path to achieving our strategic goals...



Asia's and Sri Lanka's Best Bank for Corporate Responsibility

Sampath Bank makes history as the only Sri Lankan bank to be honoured with the prestigious 'Asia's Best Bank for Corporate Responsibility' award and being named 'Sri Lanka's Best Bank for Corporate Responsibility' at the Euromoney Awards for Excellence 2024, held at The Westin, Singapore. This was followed with the nomination of the Bank as one of the Top 3 World's Best Banks for Corporate Responsibility.



Best Corporate Citizen Sustainability Awards 2024

Sampath Bank was awarded multiple accolades at the Best Corporate Citizen

INNOVATION

Sampath Bank continues to innovate, strengthening its competitive edge...



Launch of Sampath Visa Purchasing Card for Corporate Clients

An innovative card is designed to revolutionise the management of integrated operating expenses with features including cash-flow forecasting, and improved supplier management with greater control and risk reduction.



NURTURING

A journey of sustainable growth is underpinned by institutional resilience, ensuring we walk with our stakeholders and a long term view – nurturing shared prosperity...

Sampath Bank's 'Wewata Jeewayak' Breathes New Life in to Aralaganwila by Embarking on Restoration of its 25th Tank

Sampath Bank marks milestone with 25th Tank restoration uplifting 482 families. The milestone was marked with a groundbreaking ceremony at Aralaganwila encompassing the restoration of three significant tanks: Mangala Wewa, Samanala Wewa and Magampura Wewa.



Quarter century pioneering internet banking in Sri Lanka

Sampath Bank celebrates a quarter-century of pioneering internet banking in Sri Lanka. This milestone marks just the beginning of a journey towards digital evolution.

Sampath Cards 'Sampath Siritha' lights up the Avurudu season with unbelievable discounts and savings for Cardholders

Curating an array of discounts in the run up to the Sinhala and Tamil New Year, helping customers enjoy and continue cherished traditions.

Sustainability Awards 2024 organised by the Ceylon Chamber of Commerce:

- Overall Second Runner-Up
- Finance Sector - Winner
- Category Award for Environment Beyond the Business - Winner
- Among Ten Best Corporate Citizens

These accolades reflect Bank's unwavering commitment to sustainability and purpose to "Empower Dreams and Enrich Lives".



TAGS Awards 2024

Sampath Bank's Annual Report 2023 earned the prestigious Silver Award in the Private Banking Sector at TAGS Awards organised by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka), and recognised as one of the country's Top 10 Annual Reports.

Launch of Cutting-edge New Vishwa Retail App

Sampath Bank proudly unveiled its new revolutionary mobile application, Sampath Vishwa Retail. This progressive launch marks a significant milestone within the internet banking landscape, promising unparalleled convenience and accessibility to customers.



Sampath Visa Infinite Metal Credit Card in Sri Lanka

Sampath Bank launched the first-ever Sampath Visa Infinite Metal Credit Card in Sri Lanka, joining an elite circle with access to privileges that span the globe, from exclusive rewards to unique travel benefits, making every transaction a seamless blend of convenience and prestige.



Pioneering Turtle Conservation Research at Rekawa Centre Unveiled by Sampath Bank

Handing over a fully-fledged camping site for research purposes at the Rekawa Turtle Conservation Centre to the Department of Wildlife Conservation (DWC) recently as part of the Bank's Turtle Conservation Project, a key element of its 'A Breath to the Ocean' oceanic ecosystem restoration programme.



Sampath Bank Partners with Royal Colombo Golf Club

Sponsorship of the prestigious July Monthly Medal Event at the Royal Colombo Golf Club (RCGC), attracting over 300 golfers across the country.

Shaping the Way Sri Lankans Bank



From its inception, Sampath Bank has sought to make banking convenient, inclusive and affordable by leveraging technology. Commencing operations in 1986, the Bank pioneered new products and services that transformed how Sri Lankans bank, leading the country into the digital era of banking.



1986

- Incorporated as Investment & Credit Bank Ltd.

1987

- Commencement of business on 15th May 1987 with Mr N U Jayawardena as the first Chairman and Mr Janaka Silva as General Manager.
- Launch of cheque guarantee scheme.
- Introduced extended banking hours until 3.00 p.m. for the first time in Sri Lanka.



1988

- Sampath Bank became the first bank in Sri Lanka to operate a multi-point network of Automated Teller Machines (ATM), democratising convenient banking.



1989

- Launched Mastercard to Sri Lanka (under license from Mastercard International incorporated in USA).
- Pioneered launch of the Uni-Banking System to Sri Lanka.
- Pioneered launch of Sri Lanka's first-ever standalone ATM at Liberty Plaza shopping complex.

1994

- Sampath Bank becomes one of the first local banks to join the SWIFT network.

1996

- Commenced operations of Sampath Centre Ltd, a subsidiary of Sampath Bank that owns and operates the Head Office building at Nawam Mawatha.
- Launched the TELEBANKING facility.



1997

- Headquarters relocated to No. 110, Sir James Peiris Mawatha, Colombo 02.



- Launched the Debit Card in association with CIRRUS and MAESTRO, signifying another first in South Asia.



2000

- Launched "Sampathnet" internet banking facility (later rebranded as 'Sampath Vishwa').
- Pioneered launch of "Call Bank", mobile banking service in partnership with Dialog GSM.

2001

- Commenced operations of SC Securities (Pvt) Ltd, a subsidiary of Sampath Bank.
- The first Sri Lankan organisation to achieve the "Quality Approved Status" of best practice, awarded by the Chartered Institute of Management Accountants.



2002

- Introduced Visa Platinum Credit Cards to Sri Lanka.

2003

- Sampath Bank footprint expands with 10 new branches opened during the year.
- First bank in Sri Lanka to introduce "One day clearing".

2004

- Pioneered launch of Sri Lanka's first ever Cheque Imaging & Truncating (CIT) site.

2005

- Commenced operations of Sampath Leasing & Factoring Ltd. (later rebranded as 'Siyapatha Finance PLC'), a fully-owned subsidiary of Sampath Bank.



2006

- Commenced operations at Sampath Information Technology (IT) Solutions Ltd, a fully-owned subsidiary of Sampath Bank.
- Sampath Bank footprint grows further with 13 branches (3 Branches and 10 Personal Banking Centres) opened.



2007

- ATM network reaches 150 machines across the island.
- 100th Branch opened in Kandy.
- Launch of VISA Mini Debit Card, a first in South Asia.

2009

- Sampath Bank becomes the third largest private sector bank in Sri Lanka in terms of total assets.

2011

- Opened 10 branches across the island in a single day - a first in the local banking industry.
- Introduced the online real time Cheque Deposit ATMs - a first in South Asia.
- Powered the nation's largest ATM network - Access enabled to nearly 1,500 ATMs island-wide.

2012

- Sampath Bank celebrates its silver jubilee, marking 25 years of service to the nation.



2013

- Pioneered launch of "Cardless Cash ATM" technology to Sri Lanka.

2016

- Pioneered launch of "Visa payWave" enabled cards to Sri Lanka.

2017

- Launch of the drive-thru ATM.

2018

- Pioneered launch of Slip-less Banking to Sri Lanka.

2020

- Sampath Bank's asset base crosses the Rupees One Trillion mark.

2021

- Pioneered launch of "Touchless Cash Withdrawals" to Sri Lanka.

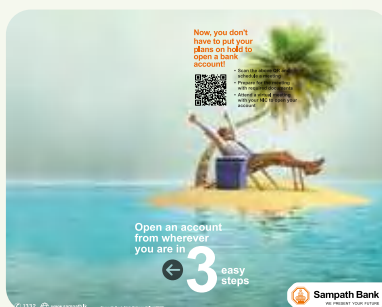


2022

- Launch of the "eZ Banking" service in partnership with Dialog Axiata PLC, to promote financial inclusion among unbanked and underbanked rural populations.
- First local bank to partner with Paycorp International (Private) Limited to facilitate real-time payment and settlement using any LankaQR enabled apps and digital wallets.
- First Sri Lankan bank to introduce e-commerce facilitation services with direct connectivity to the UnionPay International payment gateway, payment processing solution, and payment aggregator services.

2023

- Launch of a groundbreaking new interface to enable remote Accounts Opening via QR, an industry first that greatly simplifies the account opening process.



- Sampath Bank becomes one of the first local banks to receive approval by the State Bank of India to facilitate trade with India in INR.
- Launch of the "Sampath Export Partners" initiative to support export oriented SMEs and startups.
- Establishment of special counters for USA, Canada, UK, Germany, Japan, China and India at the Bank's International Trade desk to assist in handling trade documentation.
- Introduction of a new self-management feature on Sampath Vishwa Retail to enable customers to uplift FDs and effect full/partial settlement of loans.
- Sampath Vishwa Retail reached a significant milestone by recording 1 Million customers.
- Sampath Bank reached the milestone of One Trillion Rupee Deposits.
- Completion of the Payment Card Industry Data Security Standard (PCI DSS) certification.



Our 38-year journey transformed banking in the country as we led the way in financial inclusion, putting banking services literally at the fingertips of Sri Lankans. Our efforts were recognised with awards and accolades from both local and global institutions as we pioneered products and channels to deliver affordable and convenient banking solutions. A loyal customer base and an inspired team have powered our growth enabling us to cross the Rs 1 Trillion in assets in just 33 years, the shortest time taken to reach this milestone by a local bank. We look forward to nurture our legacy of reimagining banking to support our country's growth and integration to global opportunities.

HEAR FROM OUR LEADERS

Chairman's Message | 22

Managing Director's Review | 25

A GUIDING LIGHT

The Bank's leadership, knowledge, and core strengths position it as a trusted force that guides its investors along a steadfast journey that lights the path to prosperity and progress.



Chairman's Message

GRI 2-11,22

Dear Valued Stakeholders

It gives me great pleasure to report that Sampath Bank PLC has recorded an unprecedented Profit after Tax of Rs 27.3 Bn, the highest ever Profit since its inception. It is worth noting that the 59.4% growth in earnings was achieved despite the fact that the financial year commenced amidst significant uncertainty as regards the state of the national economy. The stability achieved by the Bank has no doubt set a solid foundation from which to implement a sound strategy to accelerate growth in key areas. Stable profitability, solid positions on liquidity and capital adequacy will facilitate the transformation of the Bank's business model to one that delivers an even stronger value proposition to all of its stakeholders.

OPTIMISM AND UNCERTAINTY

The financial year 2024 witnessed the positive growth in Q3 and Q4 of 2023 being tempered, to some extent by the uncertainty caused by the scheduled presidential and parliamentary elections. However, the debt restructuring agreement reached with bondholders was a key milestone in paving the way for debt sustainability while worker remittances and a surge in tourist arrivals with increased earnings boosted the country's foreign exchange reserves. Inflation remained low, moving into negative territory for a few months while the appreciation of the rupee against the major currencies reflected the progress made. These positive trends resulted in a favourable review by the IMF on its Extended Fund Facility programme and the approval of a further USD 333 Mn in November 2024. It also saw the ratings revised from default ratings, supporting the country's ability to access debt at need. The progress made facilitated the revision of tax thresholds thereby providing much needed relief to lower income bands while the recommencement of import of motor vehicles is expected to boost tax revenue and import activity.

The Banking sector has maintained strong rupee and dollar liquidity during the financial year under review and private sector credit increased at the same time due to an increase in economic activity. The sector also witnessed an improvement in asset quality with stable funding and liquidity ratios by the third quarter, supporting future credit expansion. Profitability of the sector was further supported by stable Net Interest Margins and lower impairment



Net asset value per share increased by 12.6% to Rs 142.01 reflecting the enhanced value to shareholders. The price of a share increased by 67.7% to Rs 118.25 which increased the wealth of shareholders by Rs 47.75 per share. With the share price below book value and low price to earnings ratio, Sampath Bank is an attractive investment at the current valuations.



Return on Equity ▲ 509 bps

17.74%

2023: 12.65%

Earnings per Share ▲ 59.4%

Rs 23.30

2023: Rs 14.62

Dividend per Share ▲ 59.8%

Rs 9.35

2023: Rs 5.85

charges due to credit quality improvement in customers. The growth in digital transaction volumes, as customers continue to migrate to digital channels have further enabled banks to manage their costs. The sector benefits from reversals of provisions made in respect of International Sovereign Bonds in previous years, although the full impact of the same is seen only in the 4th quarter performance. Therefore, the share price of most private sector banks recorded strong positive gains post elections and the rating revision, thereby enabling investors to realise strong capital gains during the year.

ALIGNING STRATEGY

The Board reviewed the Bank's legacy and business model in order to align its strategy with the needs of the future, to build on its strengths and to elevate stakeholder value propositions. The intended outcome of our deliberations is to drive growth in the Corporate and High Net Worth segments by enhancing the Bank's value propositions in respect of these segments. This in turn will enable the Bank to extend SME value chains, thereby enhancing its value proposition for the SMEs, entrepreneurs and farmers by building resilient ecosystems that ease access to markets and finance. We will continue the democratisation of banking by leveraging technology which is in our DNA. The Bank is possessed of a sound launching pad for this strategy given its leadership in cards, loyal customer base, customer insights, motivated team and favourable financials.

The Bank made visible strides in pursuit of the aforementioned strategy during the year under review, sponsoring events focusing on high-net-worth families. Sponsorship of the July Monthly Medal Event at the Royal Colombo Golf Club, the Symphony Orchestra of Sri Lanka Pops event and Oktoberfest at Hilton were carried out with the intention that such events aligned with the Bank's brand image. Consequently, the SOSL Pops event was the very first trilingual concert done in its history, requiring extensive work to procure performing rights and write scores for an orchestral performance of Sinhala and Tamil songs. Similarly, the sophistication of the offerings for the July Monthly Medal Event made it a highlight in the golfing calendar. These events established the Bank's presence as a serious competitor in this exclusive segment while also facilitating access to the corporate segment. The sponsorships will be reinforced by establishing fully

fledged private banking centres and probably becoming the first local bank to offer private banking services outside the Western Province. Our leadership position in cards and other products enables us to collaborate with business partners to create novel and exciting products that elevate the value proposition with room to leverage cross sell across both Corporate and High Net Worth segments.

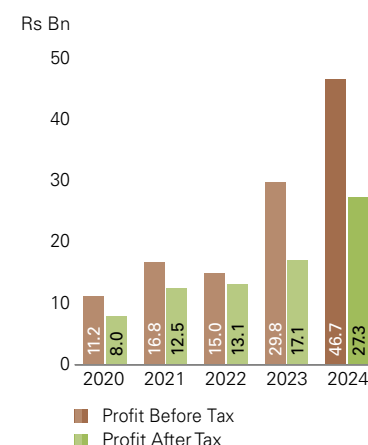
DELIVERING RESULTS

It is my pleasure to note that the strong Profit after Tax growth of 59.4% to Rs 27.3 Bn has provided shareholders with a Return on Equity of 17.74% which is well above the 1-year Treasury Bill rate of 8.96%. Profit growth was propelled by stable Net Interest Margins, reduced impairment charges and the provision reversals in respect of International Sovereign Bonds due to restructuring by the GOSL.

Strong deposit growth fueled expansion of the Balance Sheet and supported growth of the dealings/investments of the Bank. Credit growth picked up in the last quarter as business confidence increased with an economy in growth mode and political stability. The Bank maintained prudent capital buffers recording the highest Tier I capital ratio as at the end of the 3rd quarter of 2024 among the top three private sector banks. A strong focus on credit risk management underpinned the decrease in the Bank's Stage II loan portfolio and the management of Stage III, which were key achievements. The Bank's National Long-Term Rating was upgraded to

AA-(Ika) with a Stable outlook by Fitch Ratings Lanka Ltd with effect from 21st January 2025, following the recent sovereign upgrade and recalibration of the Sri Lanka national rating scale.

Profit Before Tax & Profit After Tax



MINDFUL LEADERSHIP

The year under review witnessed changes in corporate governance as Section 9 of the CSE Listing Rules came into effect from 2023 and a new direction on Corporate Governance from CBSL coming into effect from 2025. The Bank also adopted the new Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka in 2023. The aforementioned changes prompted the Board to reconstitute its subcommittees and update its Terms of Reference to comply with the mandated changes. Additionally, the Bank strengthened IT governance



Sponsorship for the July monthly medal event at the Royal Colombo Golf Club

Chairman's Message



The year under review witnessed changes in corporate governance as Section 9 of the CSE Listing Rules came into effect from 2023 and a new direction on Corporate Governance from CBSL coming into effect from 2025. The Bank also adopted the new Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka in 2023.



during the year under review in response to escalation of threats globally. We also established a Board Sub Committee for Sustainability as we look to comply with the mandatory sustainability reporting in the year that has commenced. Consultants have been engaged to support the transition to a more nuanced sustainability reporting era reflecting our commitment to this important topic. Leadership and corporate governance continue to evolve, ensuring that policies, procedures and processes are fit for purpose. Further details on governance are set out in pages 148 to 183 of this report.

VALUE TO SHAREHOLDERS

I am pleased to report that Sampath Bank has proposed a final dividend of Rs 9.35 per share retaining Rs 13.95 per share for business needs. Net asset value per share increased by 12.6% to Rs 142.01 reflecting the enhanced value to shareholders. The price of a share increased by 67.7% to Rs 118.25 which increased the wealth of shareholders by Rs 47.75 per share. With the share price below book value and low price to earnings ratio, Sampath Bank is an attractive investment at the current valuations.

SHARED PROSPERITY

Sampath Bank continues to be a partner for prosperity through normal business activities and an expanding portfolio of projects that support growth of communities and biodiversity. The new Board Sustainability Committee will focus on ensuring that sustainability principles are integrated into our core business processes to support credible reporting in alignment with the mandatory SLFRS S1 and S2 standards for 2025. The Committee will also have oversight of the sustainability projects, ensuring that allocated resources and outcomes are optimised. Projects such as "Wewata Jeewayak" are examples of the Bank's engagement with local communities to make shared prosperity a reality by investing in rejuvenating degraded environments and infrastructure in order to build thriving communities that support the country's food security while creating livelihoods for themselves. Our project, "A Breath to the Ocean" looks at rejuvenation of coral reefs, turtle and mangrove conservation and supporting the ocean related ecosystems. Continuous monitoring of these projects over many years has seen the Bank reinvest in identified communities to enhance the impact and elevate the prospects of these communities. The Board remains committed to what we see as a moral obligation to share prosperity.

LOOKING AHEAD

Global growth is expected to be 3.3%, marginally above the 3.2% estimated for 2024 reflecting stable growth. Growth for China and India are expected to be moderate due to slower industrial activity with the European Union also facing similar challenges. Importantly for Sri Lanka, oil prices are expected to decline in 2025 while non-fuel commodities are expected to increase. Other common challenges that will affect the prospects for the global economy and Sri Lanka include impacts of potential geoeconomic confrontations, climate change, misinformation and disinformation.

With Sri Lankans giving a clear mandate to the newly-elected government, continuous positive GDP growth for the past six quarters and a sovereign rating upgrade, business confidence has improved significantly. Sri Lanka is forecasted to grow by 5% in 2025 with all agriculture, industry and services

sectors showing promising signs of growth. Tourism is expected to continue its growth momentum while worker remittances are expected to stabilise as migration moderates. The Purchasing Managers Index reflects an uptick for both manufacturing and services, reflecting a positive outlook for these sectors.

Sampath Bank will focus on delivering the strategy formulated during 2024, extending its value chains to build stronger ecosystems that enhance value propositions for our customers and other stakeholders. The Bank will invest in capacity building of its people, technology and infrastructure to drive meaningful change to differentiate ourselves, upholding principles of customer centricity and efficiency which are part of our DNA. These principles and our focus on democratising banking by leveraging technology have served us well in our 38-year journey to become the 3rd largest private sector bank in the country.

APPRECIATIONS

The Sampath Bank Team has delivered a commendable performance and the Board and I are deeply appreciative of their efforts under the able leadership of the Managing Director Mrs Ayodhya Iddawela. I thank our customers and business partners for sharing our journey, particularly as regards the enthusiastic acceptance of our digital products. I am grateful to the officials of the Central Bank of Sri Lanka for their advice and guidance and thank my fellow Board members for their continued diligence, debate and advice. The Bank looks forward to delivering value to our shareholders in the year ahead and thanks you for your continued confidence in guiding Sampath Bank.

HARSHA AMARASEKERA

Chairman

17th February 2025

Colombo, Sri Lanka

Managing Director's Review

GRI 2-6,22

Dear Valued Stakeholders

I am pleased to report that Sampath Bank delivered strong earnings growth of 57% to record Profit Before Tax of Rs 46.7 Bn for the financial year ended 31st December 2024. The Bank also recorded prudent credit growth of 10% and strong deposit growth of 16% reflecting the positive business sentiments that are expected to continue into the next year. The uncertain times were well-utilised by the Bank as we crafted an exciting growth strategy founded on our heritage of pushing boundaries with technology to deliver new products and connect to our customers. Sustainability of our operations and investments are embedded in the strategy ensuring that the Bank's business model is anchored to sustainability as we move into a new era of growth with positivity.

HOPE, RECOVERY AND REGULATION

The Sri Lankan economy maintained its growth trajectory to record 5% GDP growth for the first 9 months of 2024 despite the uncertainty associated with Presidential and General elections during the year. The country made notable progress in delivering macroeconomic stability as evinced by the improvement in the sovereign rating by two rating agencies. This was supported by the completion of the international sovereign bond restructuring as well as improved external finances and macroeconomic indicators. The strong mandate received by the government and its commitment to support progress on reforms set out in the IMF Extended Fund Facility has imbued a sense of optimism in the outlook for the country although vulnerabilities remain.

Inflation declined during the year, reaching deflationary levels in the last quarter of 2024 aided by reduced energy prices, a stronger currency and reduced food prices. This supported an uptick in consumption leading to much needed investment, paving the way for economic growth.

Interest rates also declined during the year as CBSL revised policy rates downwards, adopting an accommodative stance. Accordingly, AWDR moved down by 411 basis points by end December 2024 while AWLR declined by 228 basis points to 11.93% during the same period. Additionally, CBSL moved from a dual policy interest rate system to a single policy interest rate using the Overnight Policy Rate (OPR) as the primary tool of monetary



The uncertain times were well-utilised by the Bank as we crafted an exciting growth strategy founded on our heritage of pushing boundaries with technology to deliver new products and connect to our customers.



Profit Before Tax ▲ 57%

Rs 46.7 Bn

2023: Rs 29.8 Bn

Total Deposits ▲ 16.2%

Rs 1,469 Bn

2023: Rs 1,264 Bn

Impairment (Reversal)/Charge ▼ (158.2%)

Rs (11.7) Bn

2023: Rs 20.1 Bn

Managing Director's Review

policy in November 2024. Consequently, private sector credit increased by 10.7% up to December while credit to the public sector corporations decreased by 14.7%.

The performance of the external sector improved significantly as earnings from tourism surged by 53% and worker remittances also recorded 10% growth. Trade activity expanded with exports recording growth of 7% to USD 12.8 Bn and imports recording 12% growth to USD 18.8 Bn up to December 2024. Accordingly, the trade deficit widened to USD 6.1 Bn compared to USD 4.9 Bn for the same period in 2023. Favourable movements in commodity prices were key to managing imports while exports were boosted by an uptick in tea prices and quantities. Gross Official Reserves increased by USD 1.6 Bn to USD 6.1 Bn during the year 2024 equivalent to 3.9 months of imports. The rupee appreciated against the dollar by 9.5% from Rs 324.00 to Rs 293.25 by end 2024 reflecting strong dollar liquidity within the financial sector. A combination of economic tail winds and targeted policies supported economic recovery which needs to be further strengthened to drive economic growth.

A CATALYST FOR GROWTH

Sampath Bank aligned its priorities to support the much-needed growth in the economy. A key area of action for the Bank was providing much needed financial advice and management tools to businesses that needed to rise above the daily cashflow stresses to thrive in a reviving economy. The Business Revival Unit was set up for this purpose, leveraging the expertise within the Bank to guide struggling businesses in our portfolios towards prosperity. This unit was able to stabilise over 74 businesses to date which moved out of the Bank's Stage II and Stage III portfolios enabling them to adhere to agreed repayment schedules.

Credit growth also resumed with the easing of economic stress, stimulating business activity. As a result, loans and advances of the Bank increased by 10% during the year compared to a decline of 4.7% in the previous year, as we supported growth in active sectors of the economy such as Tourism, Information and Communication Technology and Healthcare.

The Bank retained its leadership position in worker remittances which recorded healthy growth, well above the growth

recorded for the country. This reflects growth in market share as we enhanced our reach and re-imagined our offering with relevant benefits. Growth in digital transaction volumes and values continue to nurture our legacy of leveraging relevant technology to integrate Sri Lankans with a digital era and the benefits of access to financial services.

A PURPOSEFUL STRATEGY

2024 was a year of looking forward to the possibilities and craft a purposeful strategy that will position the Bank along a new growth trajectory. The underlying aspiration is that we will be the best in whatever we do. Post extensive analysis and debate, we determined that we would focus on five pillars of growth, namely Corporate, SME, Transaction Banking, High Net Worth Families and Advanced Analytics with sustainability at the heart. Success across these pillars will be driven through investing in three core areas, our People, Technology and Customers.



Corporate Banking will be transformed to compete more effectively through system driven support for convenience with competitive offerings to clients, specialised advisory services and support for trading. Growth in this key segment will mainly come through investments in Manufacturing, Power and Energy, and Tourism.

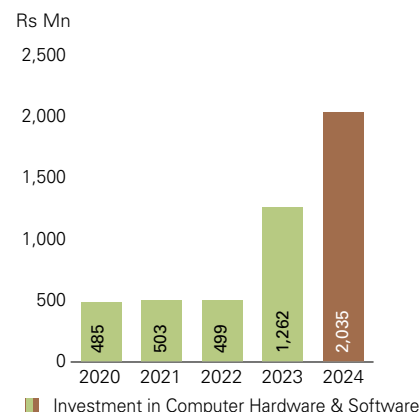
SME is a key strength for Sampath Bank as it was an area of focus from inception. The Bank will formulate a fit-for-the-future model for SME, incorporating digital solutions, improved customer services and insights supported by advanced data analytics with sustainability at heart. Growth of this vital sector will be driven through this reimagined offering as we support the country's next generation of emerging corporates.

Transaction Banking will be enhanced with a view to addressing the needs of both Corporates and SMEs, providing an improved experience that increases customer loyalty and retention, driving mutual growth.

The Bank will seek to expand its offering to High-Net-worth Families (HNF) with focused solutions geared to meet their needs. A tailored service package and new products will provide a range of value propositions for the HNF, affluent and mass affluent, anchored in convenience and positive customer experiences.

Advanced Analytics and use of AI tools will support efficiency and growth as we harness the advancements in technology to level up the Bank's operating model. Sampath Bank made the highest investment in its history in digital technologies in 2024 and are on the next phase of transitioning the people to the new norm. Teams will need to unlearn, relearn and improve to drive their own and the Bank's performance and this was underpinned with the highest training spent of Rs 202 Mn for 2024. This supports the move to digital as well as the recent attrition experienced across teams. The Bank views investment in digital as an investment in growth and service enhancement strategy as opposed to a cost cutting measure.

Investment in Digital Technologies



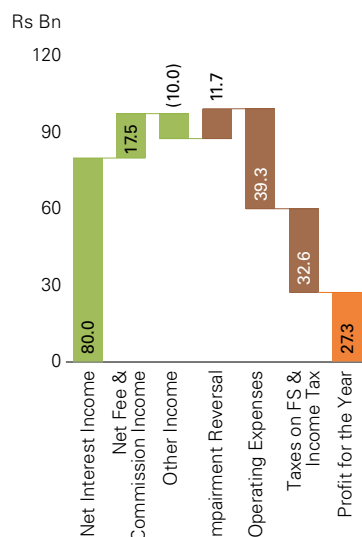
DELIVERING VALUE TO INVESTORS

Sampath Bank delivered strong PAT growth recording an EPS of Rs 23.30 in 2024 compared to Rs 14.62 reported in 2023 as delivery on strategy was buoyed by a recovering economy. Net Interest Income recorded growth of 10.7% to Rs 80.0 Bn despite prudent portfolio growth. Net fee and commission income declined due to lower commission rates on trade related activities despite

increased trade transaction volumes and positive growth in fees from digital channels and cards. Increased rigour of credit risk management supported a 84.7% decrease in the impairment on loans and advances to Rs 2.8 Bn in 2024, compared to Rs 18.1 Bn in 2023 reflecting the progress made in strengthening asset quality. Operating expenses increased by 21.2% due to the expansion of activity levels within the Bank. Consequently, the Bank was able to record an operating profit growth of 56.1% to Rs 59.9 Bn. Taxes on financial services amounted to 22% of operating profit while the effective income tax rate decreased to 41.5%. Accordingly, Profit after Tax amounted to Rs 27.3 Bn, an increase of 59.4% affirming the successful implementation of a cautious growth strategy, aligning with the uncertainty and cautious optimism that characterised the year under review.

The Bank's total asset growth was 15.3% as the balance sheet expanded to Rs 1,778 Bn, reflecting sustainable and focused strategy to growth. Loans and advances recorded growth of 10% to Rs 964.6 Bn as business confidence increased with economic stability. Investment portfolios increased by 28.7% to Rs 801 Bn, reflecting the cautious approach to growth in 2024 as well as our capacity for future growth. Growth was funded by strong deposit growth of 16.2% to Rs 1,469 Bn, affirming gains in brand leadership through increased customer centricity. Current Account and Savings Account (CASA) growth was also encouraging at 18.3% easing pressure on NII margins as interest rates declined. Importantly, the Bank's Tier I capital adequacy ratio improved marginally, remaining well above industry standards while also recording significant improvement in asset quality indicators.

Bank's Performance 2024



Putting the Bank's performance into perspective highlights both the progress made and the scale of achievements. At the end of the 3rd quarter of 2024, Sampath Bank had the highest Common Equity Tier I Capital Ratio, and ranked for the highest total asset growth and deposit growth among the top three private sector banks. This all-round performance reflects the strategies implemented to change course across the Bank in governance mechanisms, systems and processes and the capabilities of our people as we move into a new phase of growth.

A PORTFOLIO VIEW

Corporate Banking and Retail & SME Banking experienced significant challenges as NII declined, exerting pressure on segment profitability. Growth in segment assets was also relatively modest for most of the year although it picked up in the last quarter to record growth of 10.6% in Corporate Banking and 15.2% in Retail & SME Banking. Focused efforts on management of credit risk resulted in these two segments recording significant decreases in impairment charges of 61% and 101.1% respectively. Retail & SME Banking recorded impressive growth of 15.9% in segment liabilities boosted by strong deposits growth in both time deposits as well as CASA.

Dealing and Investment activities of the Bank recorded PBT of Rs 34.2 Bn. This segment recorded a stellar year despite the declining interest rates as segment assets increased by 25.5%. Consequently, segment NII increased by 8.1% to Rs 26.4 Bn. This was further boosted by the reversal of provisions made on account of International Sovereign Bonds. The net impact on SLISB restructuring amounted to Rs 7.4 Bn and is a one-off gain which nevertheless contributed to the performance on the Dealing/Investment segment.

The performance of the Sampath Bank Group was also solid as our subsidiaries contributed positively to boost PBT by 57.6% to Rs 49.2 Bn and PAT by 60.1% to Rs 28.7 Bn at Group level. Solid growth in loans and advances recorded by Siyapatha enhanced their total assets to Rs 59.7 Bn, recording growth of 29.1%.

OUR COMMITMENT TO SUSTAINABILITY

As a Bank, we have a significant impact on the socioeconomic progress of the country as well as the environment. Sampath Bank continues the journey

to make our business model more sustainable while also investing in the future of the planet and its people through targeted sustainability initiatives that enrich communities in a holistic manner.

The ESMS is now an institutionalised process that assesses the environment and social impact of loan facilities, excluding consumption loans and schematised facilities, above Rs 100 Mn to ensure they comply with regulatory requirements in this regard and that there are no significantly adverse socioeconomic impacts from projects financed by the Bank. Financial inclusion activities are supported throughout our network through a number of initiatives as well as our subsidiary, Siyapatha Finance. As set out in the Chairman's Message, we have commenced our journey to implement SLFRS Sustainability Standards with assistance from consultants, ensuring that sustainability reporting is the output of reliable systems with robust internal controls and audit trails. We are committed to institutionalising these processes and ensuring that they are integrated into Senior Management and Board processes, supporting effective integration of sustainability criteria into our decision making and resource allocation to manage impacts across our value chain.

The Bank continued to focus on its emissions investing Rs 25 Mn to minimise Scope 1 and 2 emissions by increasing our own solar generation capacity which now stands at 664.6 MWh. The Bank financed Rs 1,440 Mn in renewable energy projects with a total installed capacity of 10 MW minimising its Scope 3 emissions. Initiatives to minimise and manage waste continue to transform how we work, while enhancing awareness of the need for action by all throughout the Bank.

The Bank's sustainability initiatives have been strategic in nature, nurturing environmental and social ecosystems that support each other to thrive. 'Wewata Jeewayak', the Bank's flagship project is now in its 24th year having undertaken a total of 30 tanks that are vital for the country's food production and for livelihoods of over 3,700 families in farming communities. The project helps to irrigate over 3,400 acres of paddy fields, enabling farmers to work 2 seasons (Yala and Maha) instead of just one season. We marked this milestone by undertaking to restore 9 tanks in 2024, the highest we have undertaken in a single year which store and distribute rainwater to paddy fields enabling these communities to

Managing Director's Review



Opening of the sluice gate of Kidachchoori Tank, Vavuniya by the Managing Director

continue agriculture. The restoration of tanks also enables the ecosystems associated with the fields and tanks to thrive, contributing to growth of the flora and fauna in the surrounding areas. The involvement of project partners continues to enhance the scope of the projects to include financial inclusion, entrepreneurship development, good agricultural practices to name just a few aspects of this increasingly multifaceted project that delivers benefits at grassroots.

Projects such as "A Breath to the Ocean" which looks at restoration of mangroves, coral replanting and turtle conservation support life below water, while "Gasai Mamai Pubudu Pothai" inculcate awareness of the importance of nurturing trees in the next generation. Environment restoration projects undertaken by the Bank include the Kanneliya and Udawalawe forest restoration projects as well as the Mangrove Restoration Project in Anawilundawa Ramsar Wetland reflect our commitment to the environment.

Our partnerships with academia, volunteers, non-governmental organisations and like-minded business partners have enriched our projects, and I take this opportunity to acknowledge the technical knowledge and other support provided by them.

A TEAM EFFORT

As a financial services organisation, our people are our most valuable asset and key to delivering positive customer experiences that drive our growth. We continue to invest in our people supporting their career progression through focused training while also implementing initiatives to support their health and well-being. Accordingly, we recorded 199,286 learning hours in 2024, with an average of 45 hours per employee and 98.5% coverage of employees. We promoted 458 employees

during the year to meet the business needs of the Bank in a growth phase. The Bank's retention rate of 96.8% and the return-to-work rates after maternity leave stand testimony to our holistic employee value proposition that continues to be reviewed to ensure that the Bank attracts, retains and develops the people who are the right fit for the Bank. Our success has been built by a smart, agile and committed team and the next era of our growth enables them to align their professional and personal goals to build truly rewarding careers with the Bank as we thrive together.

RELEVANT TECHNOLOGY

Sampath Bank was a pioneer in democratising technology as the first bank to set up a network of ATMs for access by its customers from inception. The Bank has continued to push boundaries in technology over the past three decades, ensuring that Sri Lankans are able to benefit from relevant technology through access to financial services, affordability, empowerment and convenience. Technology continues to be a key pillar of growth for the Bank as we move into our next growth phase and Rs 2,035 Mn was invested during 2024 to enhance our digital and IT infrastructure. Digital transaction volumes and values increased by 18% and 21% respectively. The centralisation of operations during the year was a significant milestone in the history of the Bank which is expected to raise the bar on service standards and turnaround times. As described in strategy above, technology will continue to be a key driver of our success story as we look to nurture our legacy as a technology driven bank.

REALISING OUR POTENTIAL – THE WAY FORWARD

Sri Lanka has a strong start for 2025 with a convergence of positive factors generating a renewed optimism in the country's

prospects. Political stability, an improved sovereign rating, growth in trade, tourism and remittances together with improved business confidence augur well for the country's ability to reach the forecasted GDP growth of approximately 5% in 2025. The Banking sector is expected to be a catalyst and a beneficiary of the improved prospects for the country.

A multi-pronged strategy for growth will be rolled out in 2025 with robust oversight mechanisms and performance-based incentives to maintain course. Both Retail & SME Banking and Corporate Banking have enhanced digital platforms supporting scalable growth and cost efficiencies as well as sufficient liquidity to meet portfolio growth targets. Prudent capital and asset and liability management in 2024 have strengthened the Bank's capabilities to raise funds at attractive rates that will support both profitability and growth. Improved risk management is expected to balance risk and reward to a new paradigm, ensuring efficient use of capital. Our quest to be the best bank in the country is one that is close to the hearts of the Sampath Team and we are optimistic that the new focused strategy will enable us to realise our aspirations.

ACKNOWLEDGEMENTS

The solid performance set out above is attributable to the harmonised efforts of many. The course charted by the Board paved the way for success and I am deeply appreciative of their guidance during the year. The Sampath Team worked together to deliver on our strategic goals and I take this opportunity to thank them for their commitment and hard work reflected within the pages of this Annual Report. I thank our customers who keep our brand as one of the country's most loved brands and our business partners for their continued support in our journey. I also wish to thank officials of the Central Bank of Sri Lanka who continue to provide guidance on regulatory matters. In conclusion, I thank our investors for their continued confidence in our ability to deliver value and look forward to leading the transformation and growth of the Bank in the year ahead.

AYODHYA IDDAWELA PERERA
Managing Director

17th February 2025
Colombo, Sri Lanka

PURPOSEFUL STRATEGY

Delivering Our Strategy | 30
Our Approach to Sustainability | 33
Task Force on Climate-related
Financial Disclosures | 39
Value Creation Process | 42
Our Sustainability Journey | 44
Materiality | 46
Engaging with Our Stakeholders | 49

A DYNAMIC MOVEMENT

Sampath Bank's commitment towards innovation and digitisation continues to enrich its customers' standard of living - by simply helping them navigate life with ease, spreading positivity, and transforming their tomorrows.

Delivering Our Strategy

The new vision, purpose and strategic plan crafted in 2023 in collaboration with a globally renowned consultant, served as a valuable roadmap for implementing strategic interventions and deploying resources effectively amidst the uncertainty that prevailed during the year under review. As economic conditions gradually improved, we leveraged this framework to capitalise on emerging opportunities and mitigate risks while also contributing towards supporting economic recovery and promoting sustainable growth. Progress made in 2024 towards our long-term strategic goals are outlined below under the four strategic pillars of Business, People, Technology and Sustainability.

Strategic focus	BUSINESS	PEOPLE
	 Strengthening our market position and creating value for shareholders through customer-centric innovation, operational excellence and strategic partnerships while aligning with the GOSL's economic goals.	 Fostering a thriving work environment that prioritises professional development in line with Bank's goals, diversity and inclusivity, employee well-being and a positive work culture.
Key highlights in 2024	- In Corporate Banking, emphasis was placed on increasing the wallet share of existing customers, onboarding new customers with high credit ratings and supporting the export industry enabling loan growth while preserving credit quality - Re-structured SME Lending to strengthen our focus on the SME sector and better support their needs - Effective investment of surplus funds balancing risks, rewards and returns - Pioneered the introduction of the Mini-POS to facilitate SME access to the credit card payment system - Introduction of a range of innovative solutions to enhance service quality - Ongoing investments in digital infrastructure to facilitate accessibility and affordability of digital products to customers - Implemented advanced data analytics to support decision making	- Ongoing emphasis on training and development to equip our team with the skills needed to fulfil evolving business needs and stakeholder expectations while nurturing their personal and professional growth - Strengthened the Bank's talent acquisition strategy to ensure a future-fit workforce - Strengthened productivity and fostered a performance-oriented culture by recognising high-performers - Fostered a positive work environment through a range of employee engagement activities - Promoted the health and well-being of our team through numerous health and wellness initiatives - Fostered a diverse and equitable workplace
Resources allocated	- Allocated additional resources for research and development to create innovative solutions that address customer pain points - Allocated significant resources for strategic partnerships to enhance our collaborative efforts and market reach - Entered into a strategic partnership with a leading international consultancy firm to drive analytics driven business growth	Rs 202 Mn investment in training and professional studies 74% increase in employee well-being spent
Progress made in 2024	- Seamlessly incorporated cutting-edge technologies into our existing products enhancing their capabilities and value - Improved operational efficiency through technology driven process improvements - Further strengthened our position as a brand leader in the market	45 training hours per employee 42% female representation 96.8% employee retention rate 86% employee satisfaction rate 16 health and well-being related initiatives 458 staff promotions
Way forward	- Enhance focus on customer-centric innovation in order to provide the best value proposition to our customers - Leverage advanced analytics to remain at the forefront of customer service and operational excellence - Create sustainable growth driving long-term profitability and stability for the Bank through innovation and strategic business initiatives	- Continue to invest in professional development opportunities - New initiatives to strengthen performance-based work culture - Focus on holistic employee well-being initiatives

OUR PURPOSE

Empower dreams and enrich lives.

OUR VISION

To be the leader in transforming lives by unlocking financial potential with innovation, integrity, and empathy while nurturing financial well-being, sustainable growth, and economic prosperity.

TECHNOLOGY

Strategically leverage technology to enhance internal system efficiency, improve the customer experience and convenience while ensuring robust cyber security and data privacy measures.

- Enhanced the customer experience through a range of digital initiatives including revamping the flagship mobile app, re-engineering the accounts opening process for e-savings accounts, and developing customised features for SME clients
- Leveraged technology to drive operational efficiency, reduce turnaround times and automate and increase accuracy of routine processes
- Ongoing focus on enhancing cyber-security and data protection protocols
- Ongoing emphasis on raising customer awareness on cyber threats and security
- Leveraged technology to enhance affordability and accessibility of banking services and thereby facilitate financial inclusion
- Employed technology to strengthen monitoring and reporting of the Bank's environmental and social impacts

- Rs 2,035 Mn** investment in IT infrastructure and software
- Rs 160 Mn** invested to enhance information and cyber security
- Rs 12.3 Mn** investment on technology to enhance the customer experience

- Near **100%** system uptime
- No data privacy related incidents reported

- Continue to innovate with customer-centric technology solutions
- Maintain and enhance cyber security measures
- Focus on integrating AI and machine learning for better efficiency

SUSTAINABILITY

Integrating sustainable considerations to reduce our environmental impact, promote sustainable practices among our customers while empowering our communities.

- Incorporated sustainability into Bank's business strategy by embedding environmental, social and governance principles
- Launched the Bank's ESG Policy
- Established the Environmental and Social Risk Management System (ESMS) and related procedures to ensure ESG due diligence in lending practices
- Established a Board Sustainability Committee, a Management Level ESG Committee and designated ESG representatives from each department and branch to strengthen the ESG governance structure
- Ongoing emphasis on promoting digital banking solutions to optimise the paper consumption and reduce wastage
- Forge strategic alliances with local businesses to optimise resource consumption to promote sustainable practices
- Re-branded CSR initiatives as 'Apema Sampath' - Introduced 'Apema Sampath' as the umbrella brand for all CSR initiatives while amplifying 'Wewata Jeewayak' promoting agri entrepreneurship development and investing in numerous biodiversity conservation projects

- Rs 60 Mn** invested in environmental and social sustainability initiatives
- Invested in capacity building related to sustainability and technical know-how on implementing ESG
- Appointed **308** ESG representatives from each department and branch to strengthen the ESG governance structure
- Rs 25 Mn** invested in branch solarisation project

- 113,586** beneficiaries from CSR initiatives
- 830** borrowers screened for environment and social considerations
- 36%** increase in solar power generated
- 8%** reduction of Carbon footprint
- 7%** increase in digital banking centers
- Rs 603 Mn** funded via the Green Financing scheme

- Work towards identifying climate-related risks and capitalising on opportunities
- Launch sustainable/green related financial products
- Expand investment in community partnerships and biodiversity for greater impact

Delivering Our Strategy

S

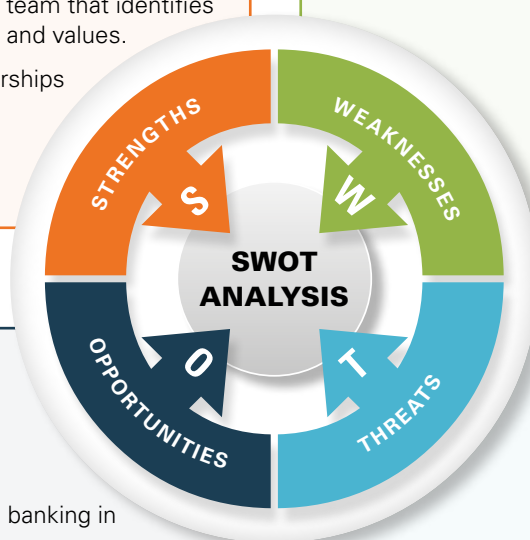
STRENGTHS

- Public confidence in the Bank's financial stability and reliability.
- Strong market position in retail banking.
- Positioned as the leading digital innovator in the local banking sector.
- An array of innovative banking solutions.
- Island-wide reach.
- Robust risk management and corporate governance.
- A highly skilled and competent team that identifies strongly with the Bank's vision and values.
- Long-standing strategic partnerships with business partners.

WEAKNESSES

W

- High dependence on the Sri Lankan market.
- High attrition rates experienced in the past few years due to challenging economic and social conditions that prevailed in the country.



- Lead the shift towards digital banking in Sri Lanka.
- Opportunities for banking services arising from improving macro-economic conditions.
- Growth of the SME sector.
- Promote financial inclusion.
- Drive sustainable business practices.
- Opportunities for new products arising from evolving customer preferences.

O

OPPORTUNITIES

- Growing presence of digitally sophisticated banks/fintechs.
- Implications of climate change.
- New entrants through trade agreements.
- Unforeseen economic and political shocks.

THREATS

T

Our Approach to Sustainability

As a financial institution, we acknowledge the significance of our role in shaping a sustainable future and are committed to creating sustainable value for all stakeholders by embedding sustainability-related considerations across our business and lending activities. Key highlights of our sustainability agenda in 2024 are summarised below.

Sustainability Context in 2024

- Revitalising SMEs
- Valuing human capital
- Financial inclusion amidst rising inequality
- Combat of climate change
- Preserving natural ecosystems and responsible consumption
- Customer privacy and data security
- Enhanced sustainability related regulations and disclosure requirements
- Enhancement of community empowerment
- Advancement of digital adoption
- Emergency preparedness

Local and Global Principles, Standards and Guidelines that inform Our Sustainability Approach

- National Environmental Act
- CBSL Green Finance Taxonomy
- Sri Lanka Banks' Association's Sustainable Banking Principles
- 10 Principles of United Nations Global Compact (UNGC)
- UN Sustainable Development Goals
- IFC Performance Standards
- WHO Health and Safety Standards
- Labour Convention of the International Labour Organisation

OUR APPROACH TO THREE PILLARS OF SUSTAINABILITY

Our Focus

- Good governance
- Ethical business principles
- Digital leadership
- Market share
- Productivity and efficiency



Economic Sustainability

Our Focus

- Socially responsible products and services
- Equal employment opportunities
- Financial inclusion
- Community empowerment programmes



Social Sustainability

Our Focus

- Digital solutions
- Paperless operations
- Green lending
- Environmental programmes



Environmental Sustainability

Enabled by the Bank's

Sustainability Governance Structure

Strategic Sustainability Framework

Policies and Procedures

To create value for



Customers



Employees



Suppliers and Service Providers



Government and Regulators



Community



Shareholders and Other Investors

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Our Approach to Sustainability

GRI 2-9,12,13

SUSTAINABILITY GOVERNANCE AT SAMPATH BANK

The Bank adopts a formal approach to governing sustainability related matters as given below.

Role and Responsibilities		
Board level	Board of Directors	Provide direction to formulate the Bank's sustainability strategy
	Board Sustainability Committee	Make recommendations to the Board on sustainability related matters
Management level	ESG Committee	Facilitates the implementation of the Bank's Board-approved sustainability strategy by liaising between the Board Sustainability Committee and the operational teams The Committee is led by the Executive Director/Chief Financial Officer and key focus areas of other members depicted below: • Senior Deputy General Manager – Marketing, Customer Care and Card Centre: CSR Communications • Chief Strategy Officer: Green/Sustainable Borrowings • Chief Human Resource Officer: CSR Programmes • Deputy General Manager - Business Revival and Special Projects: Green/Sustainable Lending • Company Secretary: Governance • Chief Risk Officer: ESG Risk Management
Operational level	Corporate Sustainability Department	Actively plans, implements and monitors the sustainability initiatives and day-to-day operations related to ESG matters of the Bank under the oversight of the ESG Committee
	ESG Working Group	This cross-functional team with representatives from all business lines provide oversight for the effective implementation of the Bank's ESG agenda. As the central coordinating team, they ensure that sustainability is a shared responsibility throughout the Bank's operations

SAMPATH BANK'S ESG POLICY

The Bank's Environmental, Social and Governance (ESG) policy is fully-aligned with our Strategic Sustainability Framework, ensuring that sustainability considerations are central to our operations and decision-making processes. This alignment supports our commitment to responsible banking and the integration of ESG principles into every aspect of our business.

Our ESG policy drives initiatives that address key areas such as climate change, financial inclusion, ethical governance and social impact. By embedding these principles within our Strategic Sustainability Framework, we are able to mitigate risks, create long-term value for our stakeholders, and contribute to broader national and global sustainability goals.

SAMPATH BANK'S STRATEGIC SUSTAINABILITY FRAMEWORK

The Bank's Strategic Sustainability Framework enables the integration of sustainability-related considerations into all aspects of the Bank's business operations. The framework comprises six pillars which are summarised below.



Environmental and Social Risk Management System (ESMS)

Given significant exposure to environmental and social risks through its lending activities, the Bank has developed a robust ESMS in consultation with external specialists to effectively identify, assess and manage these risks. Sampath Bank's ESMS is also aligned with CBSL's Roadmap for Sustainable Finance relating to the Green Finance Taxonomy and IFC Performance Standards. The key elements of the Bank's ESMS are summarised below.

Policy Framework

Environmental and social risk management is guided by the Board approved ESMS policy and published ESMS procedures.

Environmentalism

The Environmentalism provides focused oversight when addressing environmental concerns, promotes sustainable practices to customers and oversees the progress of the ESMS.



ESMS related Capacity Building

Ongoing trainings to ensure the team is up-to-date on new initiatives under the ESMS.

Risk Grading Tool

Risk grading tool to rate and classify credit facilities based on their environmental and social impact. This was developed in line with the Central Environmental Authority (CEA) prescribed activities.

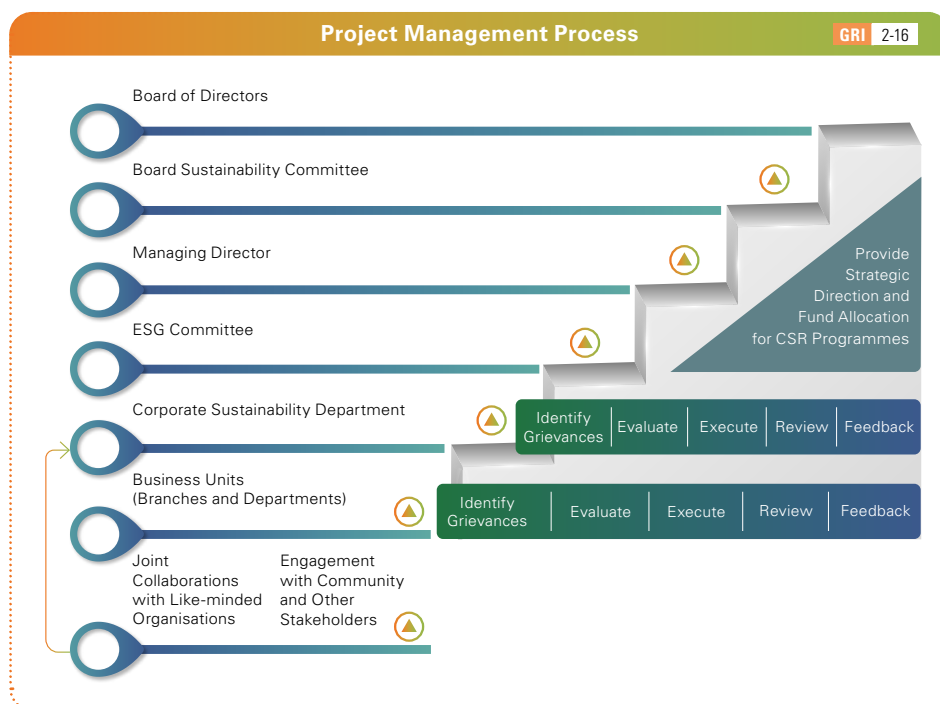
Environmental Impact Financing

Promoting the growth of Non-Conventional Renewable Energy (NCRE) industry in Sri Lanka is a strategic priority for Sampath Bank. Accordingly, we continued to prioritise financing in hydro power, solar, wind and other renewable energy generation initiatives in Sri Lanka. We also leveraged relationships with bilateral lending partners to enhance support for this industry.

Socially Responsive CSR Model

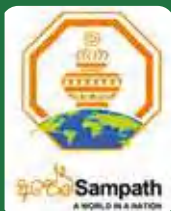
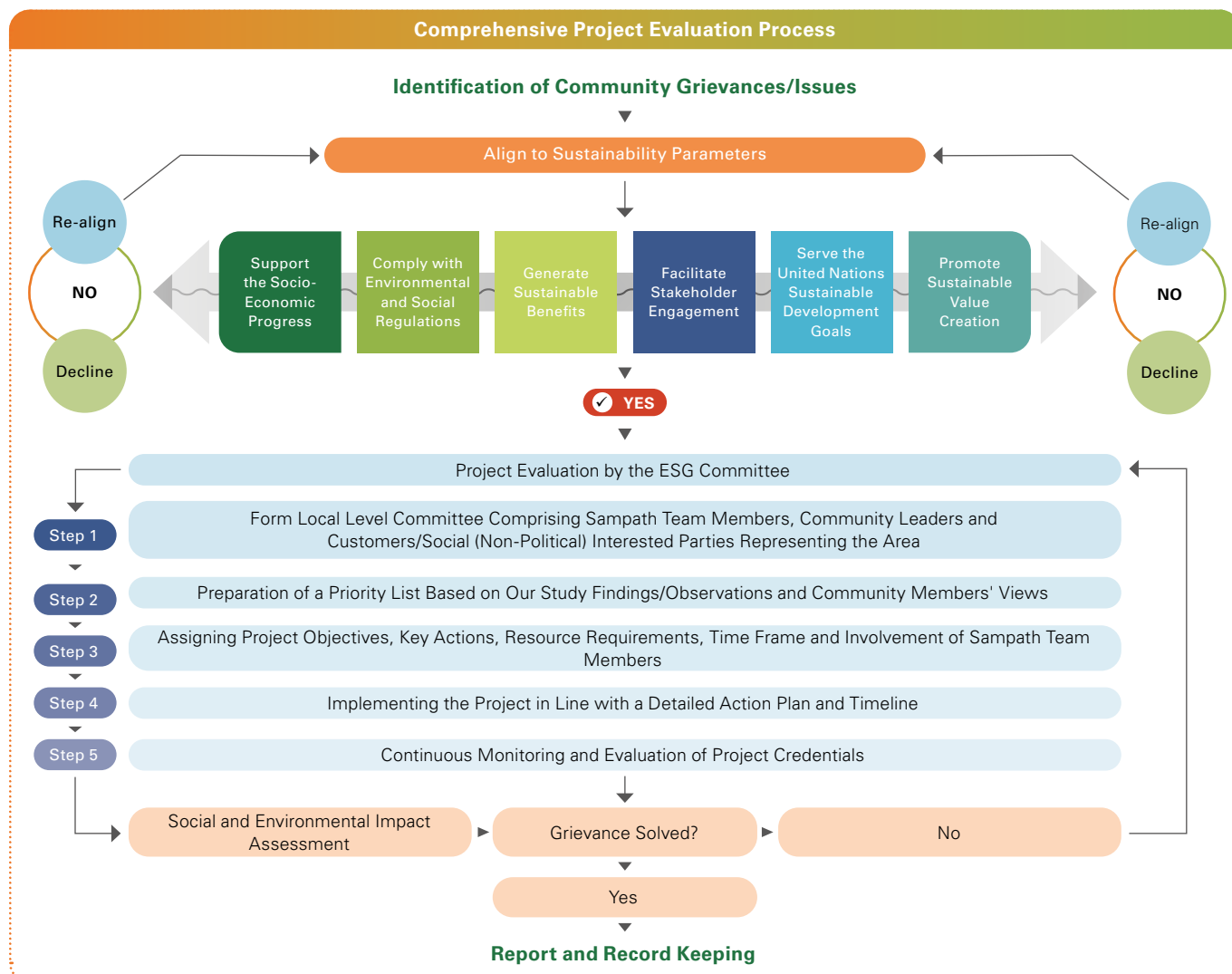
The Bank adopts a formal approach to Corporate Social Responsibility with clearly defined policies, procedures and evaluation criteria to ensure projects effectively contribute towards furthering its broader sustainability objectives.

CSR initiatives are guided by the Bank's CSR policy and procedure and are subjected to the Project Management and Evaluation Process (PMEP) which is overlooked by the ESG Committee to ensure alignment and progress of objectives specified in the Bank's CSR model. The Bank's Project Management and Evaluation Process for CSR initiatives is summarised below.



Our Approach to Sustainability

GRI 2-16,25



"Preserving the heritage of our present into the future"

The Bank introduced **'Apema Sampath'** as the umbrella brand for all our Corporate Social Responsibility (CSR) initiatives in 2024. This strategic move reflects our commitment to consolidating and amplifying the impact of our sustainability efforts under a single, cohesive identity.

'Apema Sampath' encompasses our key CSR pillars; Community Empowerment, Education Development, Entrepreneurship Development and Biodiversity Conservation. By unifying our initiatives, the Bank ensures a more structured, transparent and impactful approach in creating long-term value for our stakeholders and the nation. This initiative enhances visibility, strengthens stakeholder engagement and reinforces our dedication to responsible banking.

Through **'Apema Sampath'**, we reaffirm our pledge to driving meaningful, purpose-driven change, aligning with our sustainability vision for a better future.

Capacity Building

Ongoing initiatives to strengthen the knowledge and awareness of our team on socio-economic and environmental sustainability continued in 2024. The Vidvan e-learning platform plays a key role in this effort delivering regular training sessions to enhance the collective knowledge of Sampath team.

Strategic Partnerships and Collaborations

Sampath Bank continued to leverage the strength of partnerships to promote sustainable practices within the organisation and among stakeholders. These include,

- Promoting solar energy usage among home owners - Hayleys Fentons (Pvt) Limited
- Recycling of paper waste - Neptune Papers (Pvt) Limited
- Responsible disposal of e-waste - Infinity Green International (Pvt) Limited
- GHG measurement - RR Associates (Pvt) Ltd and Sri Lanka Climate Fund
- Preserving natural ecosystems - Biodiversity Sri Lanka, Wildlife and Nature Protection Society of Sri Lanka and Department of Forest Conservation

Sustainable Product Development, Resource Management and Best Governing Practices

Sustainability is embedded across our operations, guiding our approach to product development, resource management and governance. This enables us to contribute positively to economic growth, social equity and environmental conservation.

- The Bank adopts a holistic approach to product development considering both customer needs and sustainability principles. Our digital transformation strategy plays a vital role in driving sustainable product development, enabling innovative financial solutions that promote financial inclusion, enhance operational efficiency and significantly reduce paper consumption. Our customer-centric approach ensures that solutions are aligned with customer needs and values. This includes ethical marketing and promotions, sound selling and lending practices and a commitment to environmentally conscious lending encompassing renewable energy

financing and a detailed assessment of environmental and social considerations prior to lending.

- Minimising our environmental footprint is a key priority at the Bank, based on the findings of the Eco-Office Audit conducted in 2023 and we have implemented a comprehensive resource management initiatives for this purpose. Promoting efficient energy use is a core component of this strategy. We have also consistently invested in expanding our reliance on renewable energy by installing solar panels across our branch network. Strategic emphasis on digital solutions, the expansion of digital banking centres and the transition to digital documentation has led to a significant reduction in paper consumption and waste across the Bank. We have also implemented recycling programmes and water conservation initiatives within the Bank to minimise our overall environmental impact. These efforts reflect the Bank's commitment towards sustainability and environmental stewardship.

- The Bank's Sustainability Governance Framework ensures transparency, accountability and responsible practices in its interactions with internal and external stakeholders. Sustainability governance is built on relevant policies, clear accountability and regular reporting and monitoring. Proactive stakeholder engagement strengthens relationships with stakeholders by welcoming diverse perspectives while engaging them in sustainability initiatives. Responsible leadership fosters integrity, embeds sustainability within the Bank's corporate culture and underpins responsible decision making at all levels of the Bank. These principles underscore the Bank's commitment to principled and sustainable governance and form the bedrock of long-term sustainable value creation.

OUR ESG SCORECARD

GRI 2-6/302-3/305/401-2/404-2/413-1

ENVIRONMENT		2024	2023
Renewable energy sector			
Environmental impact financing for renewable energy	Rs Mn	1,440	1,819
Projects financed	No.	4	6
Hybrid/electric vehicle financing			
Total financing extended	Rs Bn	6.0	1.6
Vehicles financed	No.	824	276
Climate action			
Borrowers screened for environmental and social considerations	No.	830	n/a
Carbon footprint	tCO ₂ e	9,521	10,378
Carbon intensity (GHG emission per employee)	tCO ₂ e	2.15	2.48
Energy intensity ratio per employee (Head Office)	GJ	7.19	9.28
Capacity building			
Team members trained on the ESMS/IEE	No.	56	388
Team members trained on credit competency development programmes which covered the aspects on environment due diligence	No.	1,418	512
Preserving natural ecosystems			
Turtle eggs protected under the 'A Breath to the Ocean' programme	No.	46,460	50,457
Coral reefs restored under the 'A Breath to the Ocean' programme	No.	2	2
School environmental custodians appointed under the 'Gasai Mamai Pubudu Pothai' programme	No.	5,516	8,146
Team members volunteered in environmental initiatives	No.	1,850	1,647



Our Approach to Sustainability

GRI 405/413-1



SOCIAL

		2024	2023
Equity and diversity			
Female representation within the Sampath team	%	42	39
Remuneration ratio at the entry level (Male : Female)	Ratio	1 : 1	1 : 1
Salary increment granted for all employees	%	20	10.5
Employee satisfaction rate	%	86	85
Supporting the SME sector			
New SME loans disbursed	No.	6,069	4,774
Value of new SME loans disbursed	Rs Bn	48	31
Total SME loan portfolio	Rs Bn	159	138
Total loan portfolio of the Bank	Rs Bn	965	877
Financial inclusion			
Physical touchpoints island-wide	No.	2,302	2,385
Increase in digital transaction volumes	%	18.1	20.6
Beneficiaries of 'Sampath Saviya' and other entrepreneurship development programmes	No.	5,298	4,791
Community engagement			
Tank restoration projects initiated under the 'Wewata Jeewayak' programme (to-date)	No.	30	21
Investment in 'Wewata Jeewayak' programme	Rs Mn	34.5	23.8
Internship opportunities provided	No.	1,052	975
Beneficiaries from 'Wewata Jeewayak' programme	No.	6,208	5,316



GOVERNANCE

		2024	2023
Board effectiveness			
Proportion of Independent Directors out of total number of Non-Executive Directors	%	77	70
Board meetings	No.	14	16
Board meetings with more than 80% of Board members' attendance	%	100	100
Female representation at Board level	%	27	25
Risk management			
Common equity (Tier I) capital ratio	%	16.75	16.35
Total capital ratio	%	19.38	19.56
Liquidity coverage ratio - All currency	%	307.36	312.47
Net stable funding ratio	%	198.66	184.20
Impaired loans (stage 3) ratio	%	4.69	5.87
Impairment (stage 3) to stage 3 loan ratio	%	60.08	57.80
Return on equity (after tax)	%	17.74	12.65
Compliance			
Non-conformities of the ISO : 27001 Annual Surveillance Audit	No.	Zero	Zero
Taxes paid	Rs Bn	33.8	32.8
Team members trained on anti-bribery and anti-corruption considerations	No.	3,276	1,862
Data privacy related incidents reported	No.	Zero	Zero
Customer complaints resolved	%	98.2	100



Task Force on Climate-related Financial Disclosures

GRI 2-9,13,17

OUR APPROACH TO GOVERNANCE

TCFD Recommendation

Disclose the organisation's governance around climate related issues and opportunities.

Recommended Disclosures

- Describe the Board's oversight of climate related risks and opportunities.
- Describe the management's role in assessing and managing climate related risks and opportunities.

The Board of Directors holds ultimate responsibility for the effective management of all risks and opportunities within the Bank including climate related risks and opportunities. The Bank has integrated the governance of climate-related risks and opportunities into its existing risk and sustainability governance frameworks as described below.

		Role and Responsibilities
Board Level	Board of Directors	Governs the effective management of the Bank's climate-related risks and opportunities within the scope of the Bank's broader risk management and sustainability strategies.
	Board Sustainability Committee (BSC)	The Board Sustainability Committee was established during the year under review, with the aim of strengthening the sustainable business practices of the Bank in adherence with the ESG principles applicable to the financial sector which include climate-related risks and opportunities. Following its establishment, the Committee developed its Terms of Reference, clearly defining its scope, objectives, duties, and meeting frequency to facilitate adequate oversight over the Bank's sustainability practices which includes the effective management of climate-related risks and opportunities. Accordingly, the key responsibilities of the BSC include ensuring that appropriate strategies are in place to respond to the Bank's sustainability related and climate related risks and opportunities, overseeing its implementation, and facilitating the incorporation of sustainability and climate related considerations in Main Board decisions related to the Bank's strategy and risk management. The Risk Management Department, under the oversight of the Board Integrated Risk Management Committee (BIRMC) is responsible for identifying and developing quantitative tools for sustainability related and climate related risks and opportunities within the context of the Bank's broader risk management framework. The members of the BSC participated in a comprehensive training programme on "How Climate Emergency Should Embed to the Bank's Strategy" during the year under review. This programme covered best practices for integrating sustainability into business strategy.
	ESG Committee	Facilitates the implementation of the Bank's Board-approved strategies to address climate change within the scope of its sustainability strategy by liaising between the Board and the operational teams. The Committee is led by the Executive Director/Chief Financial Officer and comprises a cross-functional team of Corporate Management. Following its establishment, the ESG Committee developed a Terms of Reference to guide the implementation of sustainability initiatives approved by the Board Sustainability Committee as well as to monitor and address emerging sustainability regulations and developments. The members of the ESG committee participated in multiple training programmes on emerging sustainability regulations and best practices for integrating sustainability principles into business operations.
Management Level	Corporate Sustainability Department (CSD)	Actively plans, implements and monitors climate impact management initiatives within the scope of the Bank's overall sustainability strategy, including those under the oversight of the ESG Committee. During the year under review, the Bank strengthened the capabilities of the team through the recruitment of a Manager – Sustainability Reporting and a Sustainability Analyst. The Bank is also presently training a member of the CSD for the role of Internal Environmental Auditor.
	ESG Working Group	This cross-functional team comprises representatives from all business lines and support functions. The working group oversees the effective implementation of the Bank's sustainability agenda which includes strategies to effectively manage climate-related risks and opportunities.
Executive Level	Credit Officers	Assess climate related risks and opportunities in accordance with the Bank's ESMS when evaluating credit proposals.
	Implementation Team	The implementation team comprising representatives from Finance and Sustainability Departments of all 4 Subsidiaries, was established to adopt the SLFRS S2 requirements. The team received comprehensive technical training to ensure effective execution of the Standards.

Board Sustainability Committee Composition

- Keshini Jayawardena – Independent, Non-Executive Director (Chairperson of BSC)
 - Dilip de S Wijeyeratne – Senior Independent Director
 - Keith Modder – Independent, Non-Executive Director
 - Hiran Cabraal – Independent, Non-Executive Director
 - Ayodhya Iddawela Perera – Managing Director
- Secretary to the Committee – Company Secretary
- The BSC met 3 times during the year following its establishment in May 2024.

ESG Committee Composition

- Ajantha de Vas Gunasekara - Executive Director/Chief Financial Officer (Chairman of ESG Committee)
- Tharaka Ranwala - Senior DGM - Marketing, Customer Care & Card Centre
- Sanjaya Gunawardena - Chief Strategy Officer
- Lalith Weragoda - Chief Human Resource Officer
- Dulsiri Jayasinghe - DGM – Business Revival and Special Projects
- Lasantha Senaratne - Company Secretary
- Kasun Ratnayake - Chief Risk Officer

The ESG Committee met 7 times during the year following its establishment in June 2024.

Task Force on Climate-related Financial Disclosures

OUR APPROACH TO STRATEGY

TCFD Recommendation

Describe the actual and potential impacts on climate-related risks and opportunities on the organisation's business, strategy and financial planning where such information is material.

Recommended Disclosures

- Describe the climate-related risks and opportunities that the organisation has identified over the short, medium and long term.
- Describe the impact on climate-related risks and opportunities on the organisation's businesses, strategy and financial planning.
- Describe the resilience of the organisation's strategy, taking into consideration different climate-related scenarios including a 2°C or lower scenario.

A comprehensive assessment of the Bank's sustainability related, and climate-related risks and opportunities is presently underway in alignment with the disclosure requirements of SLFRS Sustainability Standards S1 and S2. In the interim, the Bank wishes to disclose the identified climate-related risks and opportunities over the short, medium and long terms.

Risks and Opportunities	Actual/Potential Impact	Short Term	Medium Term	Long Term	Action
Regulatory developments	Opportunities for early adoption and alignment with new regulatory requirements	✓	✓		• Monitor changes to policies and regulations • Align processes with new requirements
Climate-related knowledge and expertise	Risk of financial losses and/or reputational damage due to inadequate management of climate risk on lending exposures	✓	✓	✓	• Invest in capacity building
Capital and funding	Risk of increased costs of capital and/or funding if climate risk is not adequately managed		✓	✓	• Continuously enhance the Bank's management of climate-related risks • Enhance the Bank's climate-related disclosures
Evolving customer preferences	Opportunities to develop innovative solutions that fulfil customer needs		✓	✓	• Monitor evolving customer preferences and develop innovative products to fulfil evolving needs • Support the adoption of climate positive action among customers
Increasing stakeholder concerns on sustainable business practices	Risk of reputational damage given the negative perceptions of stakeholders	✓	✓	✓	• Transparent disclosure of the Bank's climate action plan
Rising frequency and intensity of acute and chronic climate related events	Risk of unforeseen financial losses arising from increased exposure to climate vulnerable sectors	✓	✓	✓	• Identify and collect the data required to conduct scenario analysis for physical climate risks • Conduct a climate risk assessment

To address the Bank's exposure to sustainability related risks and opportunities within its lending portfolio, sustainability considerations were incorporated into the assessment of credit proposals through the ESMS. The ESMS was developed with reference to a range of sustainability considerations including climate-related risks and opportunities identified as significant in regulatory and voluntary sustainability standards including, CBSL's Sustainable Finance Roadmap, the SASB for Commercial Banking, Mortgage Finance and Consumer Finance, UNSDGs and GRI.

During the year under review, the Bank published its Board-approved ESG policy, which was developed by taking into consideration, regulatory and voluntary sustainability requirements as well as the Bank's strategic objectives. The SLFRS S2 – Climate-Related Disclosures standard (based on IFRS S2) was carefully considered when developing our climate related commitments within the ESG policy. The ESG policy is supported by the Bank's Environment and Social Management System policy and the CSR policy.

The Bank is also in the process of conducting a scenario analysis and developing stress testing models for identified shocks, to assess implications on its capital position and long-term resilience.

OUR APPROACH TO RISK MANAGEMENT

TCFD Recommendation

Disclose how the organisation identifies, assesses and manages climate-related risks.

Recommended Disclosures

- Describe the organisation's processes for identifying and assessing climate related risks.
- Describe the organisation's processes for managing climate related risks.
- Describe the processes for identifying, assessing and managing climate related risks are integrated into the organisation's overall risk management.

Identification, assessment, mitigation, monitoring and reporting of the Bank's climate-related risks and opportunities have been integrated into the Bank's robust, Board-approved risk management framework. Please refer the Risk Management Report on pages 224 to 251 for more details. Identified climate-related risks and opportunities are assessed for impact and likelihood of occurrence in line with the Bank's risk management protocols.

DEVELOPMENTS IN 2024

Recognising the significance of sustainability related risks and opportunities stemming from its lending portfolio, the Bank implemented its Board-approved Environmental and Social Risk Management System (ESMS) during the year under review. The Bank's ESMS was developed in alignment with CBSL's Sustainable Finance Roadmap, Green Finance Taxonomy and the prescribed activity list issued by the Central Environmental Authority. It was further supported by the IFC performance standards for managing environmental and social risks.

Sampath Bank's ESMS incorporates its Board-approved ESMS Policy and published procedures and is designed to,

- Identify and evaluate the environmental and social impacts including climate related risks and opportunities on the Bank's lending activities, to strengthen its understanding of the risks.

- Encourage and support borrowers on improving their environmental performance which includes climate related and social performance.
- Ensure compliance with international and relevant risk management practices thereby minimising the Bank's exposure to environmental and social risks including climate related risks in private sector lending.

At present, the Bank's ESMS policy and procedures applies to all project loans and other loans above Rs 100 Mn excluding consumption loans and schematised facilities and involves the categorisation of applicable facilities using the Environmental and Social Risk Categorisation Tool. This tool was developed internally based on the Central Environmental Authority's prescribed activity list for environmental approvals and/or environmental protection licenses. Using this Tool, the Bank

commenced categorising applicable credit facilities under four risk categories based on the severity of the adverse environmental impact including climate related and social impact.

The Bank is also in the process of developing a scorecard to incorporate sustainability risks into ICAAP under Pillar II and allocate capital if required.

Sampath Bank is also in the process of developing scenario analysis and stress testing models for identified shocks, to assess its impacts on capital and incorporate it into ICAAP.

A comprehensive assessment of the Bank's climate related risks are presently underway to facilitate compliance with the requirements of SLFRS Sustainability Standards S2 next year.

GRI 2-19/305/404-1

OUR APPROACH TO METRICS AND TARGETS

TCFD Recommendation

Disclose the metrics and targets used to assess and manage relevant climate related risks and opportunities where such information is material.

Recommended Disclosures

- Describe the metrics used by the organisation to assess climate related risks and opportunities in line with its strategy and risk management process.
- Disclose Scope 1, Scope 2 and if appropriate Scope 3 greenhouse gases (GHG) emissions and the related risks.
- Describe the targets used by the organisation to manage climate related risks and opportunities and performance against targets.

To integrate sustainability into strategic decision making and support long term value creation, the Bank has incorporated sustainability milestones including those related to climate change in Key Management Personnels' Key Performance Indicators (KPIs) for FY 2025. The milestones established for KMPs will be cascaded to implementation teams to facilitate achievement, with performance evaluated against these targets at the year end. The Bank is in the process of revising its Reward Management Policy for KMPs to incorporate a reward mechanism for the achievement of sustainability milestones.

To strengthen monitoring of sustainability related metrics including climate related metrics, the Bank commenced developing a Sustainability Dashboard during the year under review. The metrics included in the dashboard were derived from an analysis

of various sustainability indicators including climate-related metrics identified in voluntary sustainability standards such as GRI and SASBs. The dashboard provides insights into the Bank's performance on key social and environmental metrics including energy and water consumption, enabling the identification of deviations and the implementation of corrective strategies. This database will also serve as the foundation for further analysis using analytical software, facilitating informed decision making to achieve the Bank's sustainability goals.

The Bank has been preparing a GHG Inventory Report annually since 2013. Measurement of GHG emissions encompasses its head office and its 229-branch network. The GHG Inventory Report is independently verified in accordance with ISO 14064-1:2018. The Bank's Carbon footprint for 2024 is given below.

Scope	GHG Emissions (tCO ₂ e) in 2024				
	CO ₂	N ₂ O	CH ₄	HFC	Total Emissions
Direct GHG Emissions (Scope 1)	713	11	2	15	741
Indirect GHG Emissions (Scope 2)	5,962	-	-	-	5,962
Other Indirect GHG Emissions (Scope 3)	2,797	16	5	-	2,818
Total GHG Emissions (tCO₂e)	9,472	27	7	15	9,521
GHG Emissions (Per Employee)	2.15				

	2024	2023	YoY Change
Total GHG Emissions (tCO ₂ e)	9,521	10,378	-8%

SLFRS S1 & S2 Technical Trainings

An average of
16 hrs
of training per
selected employee

A total of
637 hrs
of training

The metrics are linked to the SASB standards for Commercial Banks, Consumer Finance and Mortgage Finance excluding sensitive information, GRI material topics and UN Sustainable Development Goals.

Value Creation Process

GRI 2-6

CAPITAL INPUTS



Financial Capital

- Rs 166.5 Bn shareholders' funds
- Rs 1,469.2 Bn deposits
- Rs 77.2 Bn other borrowings
- Rs 138.7 Bn market capitalisation



Digital Capital

- 20+ digital channels and platforms
- Rs 523 Mn investment in software
- Rs 160 Mn invested to enhance information and cyber security



Manufactured Capital

- 229 branches island-wide
- 789 ATMs, CDMs and CRMs
- 1,252 eZ banking agents
- 32 digital banking centres



Intellectual Capital

- Rs 25.7 Bn brand value (Brand Finance, 2023)
- 15+ brand building activities conducted
- Organisational tacit knowledge

VALUE TRANSFORMATION PROCESS

Our Purpose

Empower dreams and enrich lives

Our Vision

To be the leader in transforming lives by unlocking financial potential with innovation, integrity and empathy, while nurturing financial well-being, sustainable growth and economic prosperity

VALUES AND CORPORATE CULTURE

DELIVERED THROUGH

Business Lines

- SME and Retail Banking
- Corporate Banking
- Treasury

Support Functions

- Operational support
- Legal, Administration and HR support
- IT and data support
- Customer Care Centre
- Other business units

OUTPUTS

Rs 87.3 Bn | ▲ 10%
Growth in loans and advances

Rs 27.3 Bn | ▲ 59%
Profits generated

Rs 204.7 Bn | ▲ 16%
Growth in deposits

CAPITAL OUTCOMES / STAKEHOLDERS IMPACTED



Financial Capital

- Profit after tax Rs 27.3 Bn (+59%)
- Earnings per share Rs 23.30 (+59%)
- Dividend per share Rs 9.35 (+60%)
- Return on equity (after tax) 17.74% (+509 bps)
- Return on assets (before tax) 2.84% (+72 bps)
- Total equity Rs 166.5 Bn (+13%)



Manufactured Capital

- 100,719 transactions channelled through eZ banking agents
- Rs 2,236 Mn investment in property, plant and equipment



Digital Capital

- 156,457 subscribers on Sampath Vishwa Retail
- 40.5 Mn number of transactions through digital channels
- Rs 3,398 Bn of transactions through digital channels
- Zero non-conformities of ISO 27001 Annual Surveillance Audit



Intellectual Capital

- 11 awards and accolades
- 4 new products
- 5 process improvements



Human Capital

- Payments to employees Rs 18.1 Bn (+27%)
- Training hours per employee 45 (+30%)
- 16 health and well-being programmes
- Employee satisfaction rate 86% (+100 bps)
- Employee retention rate 96.8% (+80 bps)





Human Capital

- **4,428** multi-skilled and motivated team
- Diverse and experienced senior management
- **Rs 202 Mn** invested in training and professional studies
- Competitive remuneration



Natural Capital

- **12,579 GJ** (3,494,136 kWh) energy consumption at Head Office
- **26,575 m³** water consumption at Head Office
- **Rs 25 Mn** investment in branch solarisation programme
- Environmental and Social Risk Management System (ESMS)



Social and Relationship Capital

- **3.6 Mn+** customer base
- Relationships with **532** correspondent banks
- A strong reliable supplier network of **685**
- Relationships with communities
- Investment in CSR projects **Rs 60 Mn**
- Prioritise local sourcing

ALIGNED TO OUR STRATEGIC ASPIRATIONS OF



Strategic Objectives

- Competitive positioning
- Operational excellence
- Cost management
- Customer experience
- Business resilience
- Corporate citizenship

UNDERPINNED BY

- Strong Risk Management
- Robust Corporate Governance
- Compliance

IN THE CONTEXT OF

- Operating environment
- Opportunities (refer pages 58 to 61)
- Risks (refer pages 58 to 61)
- Regulatory developments

EXTERNAL ENVIRONMENT

40.5 Mn | **▲ 18%**
Transactions through digital channels



Rs 3,398 Bn | **▲ 21%**
Value of transactions through digital channels



4
New products launched



9,521 tCO₂e | **▼ 8%**
Carbon footprint



Social and Relationship Capital

- + **98.2%** customer complaint resolution
- + **Rs 155 Mn** 'Sanhinda Saver' free medical benefits provided
- + **48** social and community CSR projects conducted
- + **Rs 48.9 Mn** investment in social and community CSR initiatives
- + **6,208** beneficiaries of 'Wewata Jeewayak' programme
- + **5,298** beneficiaries of the 'Sampath Saviya' entrepreneurship development programme
- + **1,052** internship opportunities provided through Corporate Leadership programme



Natural Capital

- + Solar power generated through the branch network **664,600 kWh (+36%)**
- + Environmental impact financing for renewable energy projects **Rs 1,440 Mn**
- Carbon footprint **9,521 tCO₂e (-8%)**
- + **830** borrowers screened for environmental and social considerations through ESMS
- + **37,629 kg** of paper recycled without landfilling
- + **28** biodiversity conservation and other environment related CSR projects conducted
- + **Rs 11.1 Mn** investment in environmental CSR initiatives
- + **4,428** team members joined SNaPC for environmental conservation efforts



Our Sustainability Journey

As with many local businesses, our journey is intertwined with an appreciation of the need for building sustainable communities and the reliance on our natural environment for life itself. As a bank, our years in investing in communities has taught us that favourable weather leads to prosperity and financial stability in communities and vice versa. These truths underpin our commitment to sustainability reporting and gaining deeper insights into the sustainability related risks and opportunities that will be considered when determining our strategic priorities.

Evolving our report

- Sustainability in action
- Sustainability recognition

2013

- Compiled Annual Report using GRI G4 Standards (Comprehensive)
- Compiled the first GHG Inventory Report prepared by Sampath Bank covering Head Office

2014

- Adoption of Integrated Reporting Framework
- Migration to solar energy to manage energy mix of the Bank
- Certification as 'Carbon conscious Bank'

2017

- Migrated Annual Report to GRI Standards 'In Accordance – Comprehensive' option
- Scope of GHG Inventory Report expanded to cover the Head Office and all 229 branches

2018

- Initiated 'Sampath Green Inventor' CSR programme, a national level competition to promote eco-friendly inventions
- Joined hands with Biodiversity Sri Lanka to restore 10 hectare of degraded forest in Halgahawala, Opatha to support conservation of biodiversity

2020

- Expanded the 'Sampath Saviya' Entrepreneurship Development Programme to help businesses affected by the pandemic induced economic slowdown, to strengthen their resilience against unforeseen externalities



2015

- Annual Report was certified as a 'Carbon Neutral Product' by Sri Lanka Carbon Fund (Pvt) Limited
- Early signatory to the Sri Lanka Banks' Association (SLBA) led Sustainable Banking Initiatives
- Conducted the Carbon Neutral CSR Award Ceremony for employees in the Bank
- The winner of 'Best Corporate Citizen' organised by the Ceylon Chamber of Commerce
- Gold recipient of 'CSR Brand of the Year' organised by Sri Lanka Institute of Marketing

2016

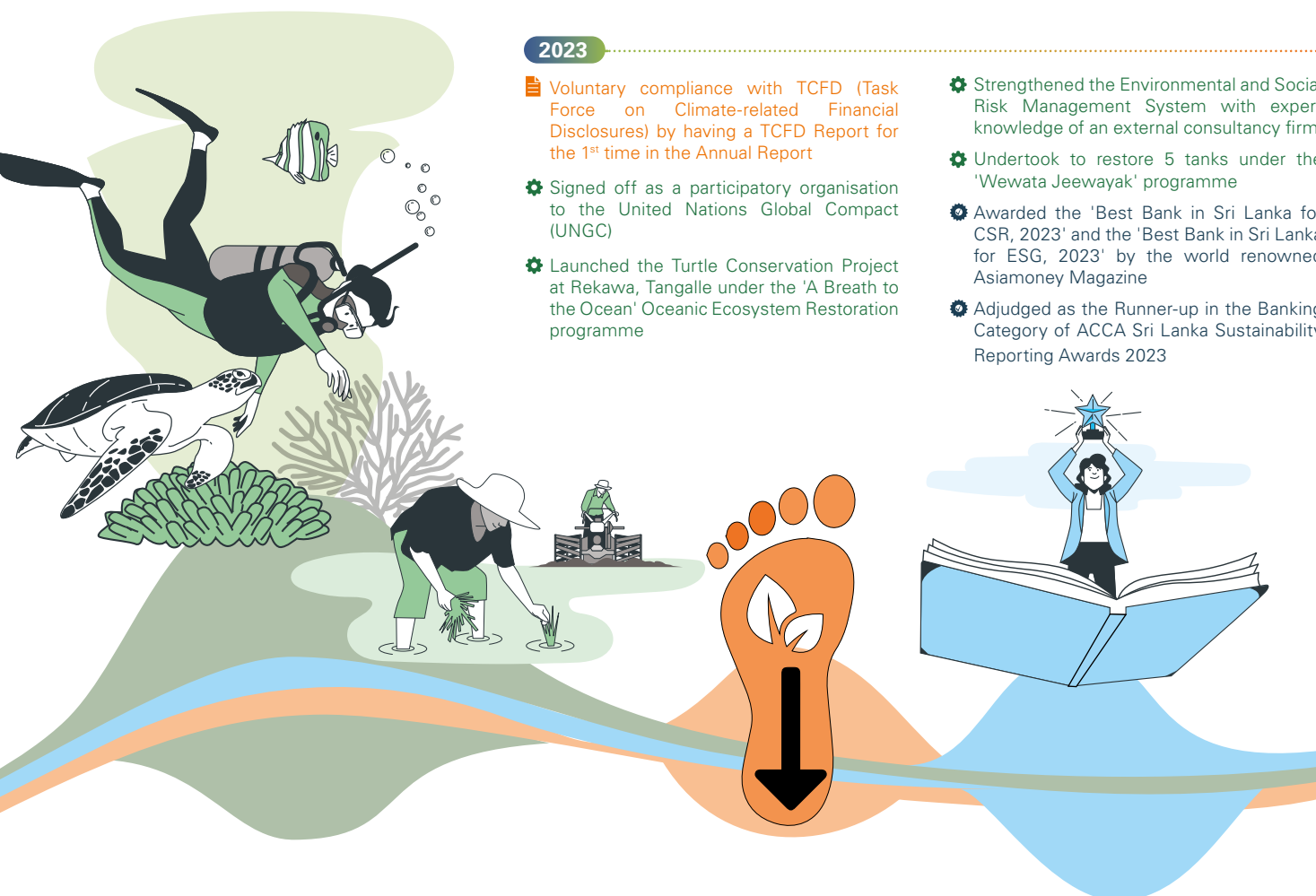
- Launched the first ever Carbon Neutral Hotel Stay programme in Sri Lanka

2019

- Conducted a series of special entrepreneurship development workshops for pensioners
- Collaborated with the Provincial Department of Agriculture - North Western Province to facilitate the 'Wayamba Isuru' organic market
- The Bank Head Office was certified as 'Carbon Neutral' by Climate Smart Initiatives (Pvt) Ltd
- Special recognition by the Small Hydro Power Developers Association for the support extended towards sustainable development and energy security of Sri Lanka

2021

- Appointed the ESMS implementation Committee to strengthen the Environmental and Social Risk Management System (ESMS)
- Structured and invested in a 'Deep Discounted Bond' issued by LVL Energy Fund PLC, which is thought to be the first of its kind for a listed corporate in the energy sector
- Launched 'Gasai Mamai Pubudu Pothai' Tree Planting programme for school children
- Expanded the investment on 'Wewata Jeewayak' Tank Restoration Programme by restoring three tanks in Anuradhapura, Puttalam, and Kurunegala districts



2023

- 📄 Voluntary compliance with TCFD (Task Force on Climate-related Financial Disclosures) by having a TCFD Report for the 1st time in the Annual Report
- ⚙️ Signed off as a participatory organisation to the United Nations Global Compact (UNGC)
- ⚙️ Launched the Turtle Conservation Project at Rekawa, Tangalle under the 'A Breath to the Ocean' Oceanic Ecosystem Restoration programme

- ⚙️ Strengthened the Environmental and Social Risk Management System with expert knowledge of an external consultancy firm
- ⚙️ Undertook to restore 5 tanks under the 'Wewata Jeewayak' programme
- 🏆 Awarded the 'Best Bank in Sri Lanka for CSR, 2023' and the 'Best Bank in Sri Lanka for ESG, 2023' by the world renowned Asiamoney Magazine
- 🏆 Adjudged as the Runner-up in the Banking Category of ACCA Sri Lanka Sustainability Reporting Awards 2023

2022

- 📄 Obtained SLSAE-3000 based Integrated Reporting Assurance Statement
- ⚙️ Commissioned the National Cleaner Production Centre of Sri Lanka (NCPC, Sri Lanka) to conduct an Eco Office Audit and Waste Audit at the Head Office
- ⚙️ Obtained independent verification to reaffirm that the 2022 GHG Inventory Report is in alignment with ISO 14064-1:2018
- ⚙️ Launched "A Breath to the Ocean" Oceanic Ecosystem Restoration Programme covering the three pillars of coral replanting, mangrove restoration and turtle conservation
- ⚙️ Appointed a professional consultancy firm to strengthen the ESMS and suggest improvements in line with the Green Finance Taxonomy and IFC Performance Standards
- 🏆 Gold recipient of "CSR Brand of the Year" organised by Sri Lanka Institute of Marketing
- 🏆 Recognised as the "Market Leader - CSR, Sri Lanka" by the Euromoney Magazine 2022 and as the "Best Bank for CSR, Sri Lanka" by Asiamoney Magazine 2022

2024

- 📄 Appointment of an external consultant to conduct gap analysis for implementation of SLFRS S1 and S2
- 📄 Appointment of a Manager - Sustainability Reporting to strengthen the reporting requirements
- 📄 Show the readiness for SLFRS S1 and S2 with the guidance of TCFD framework
- 📄 Adoption of SASB standard for Commercial Banks, Consumer Finance and Mortgage Finance for better transparency
- 📄 Continue reporting on Carbon footprint
- ⚙️ Appointment of Board Sustainability Committee, Management Level ESG Committee and ESG Representatives from each department and branch to strengthen the ESG governance structure
- ⚙️ Appointment of an external consultant to strengthen the ESG Policy Framework
- ⚙️ Undertook to restore 9 tanks under the "Wewata Jeewayak" programme signifying the highest ever undertaking during a year marking 25th tank restoration
- ⚙️ Re-launched the Sampath Nature Protection Club (SNaPC) with broader objective of contributing towards environmental and social sustainability

- ⚙️ Launched recyclable Sampath Visa Infinite Metal Credit Card for premium offering for top clients
- 🏆 Ranked among Global Top 3 Banks for Corporate Responsibility by Euromoney
- 🏆 Awarded as Asia's Best Bank for Corporate Responsibility by Euromoney
- 🏆 Crowned as the 2nd Runner-Up and Finance Sector Award Winner at the Best Corporate Citizen Sustainability Awards 2024 organised by the Ceylon Chamber of Commerce
- 🏆 Received the Silver Award of the Private Banking Sector at the TAGS Awards 2024 of CA Sri Lanka while securing a spot in Top 10. Honoured with three Certificates of Recognition under Integrated Reporting, Corporate Governance, and Sustainability Reporting, showcasing its dedication to transparency, accountability, governance and sustainability for its stakeholders
- 🏆 Adjudged as the Runner-up in the Banking Category of ACCA Sri Lanka Sustainability Reporting Awards 2024

Materiality

GRI 3-1,3

The Bank operates in a dynamic and evolving environment and undertook a comprehensive materiality assessment during the year under review to identify its most significant impacts on the economy, environment and people to inform strategic planning. The Bank conducted a robust stakeholder survey at the end of 2023 to validate its material topics for 2024.

IMPROVEMENTS IN 2024

- Incorporation of material topics identified in the SASB standards for Commercial Banks, Consumer Finance and Mortgage Finance into the materiality assessment in preparation for the adoption of SLFRS S1 and S2 next year onwards.
- Adopted a quantitative approach to ranking potential material topics.

INCLUSION OF 5 NEW MATERIAL TOPICS IN 2024

A management discussion on revision of the material topics and relevant sustainability standards led to the inclusion of five new material topics in 2024.

OUR MATERIALITY ASSESSMENT PROCESS FOR 2024



PREPARE



PLAN



ENGAGE



ANALYSE AND
EMBED



Identification of Material Topics

A range of potential material topics were identified, taking into consideration developments in the operating environment, topics identified as material in numerous local and international sustainability standards and insights gained from stakeholder engagement.



Clustering and Categorisation

Potential material topics were then categorised and mapped to the capitals.



Management Discussions

The ESG Committee analysed and discussed the impact of potential material topics on the Bank, its stakeholders and the environment.



Stakeholder Assessment Survey

The Bank relied on insights gained from the robust stakeholder survey carried out in 2023 to inform its materiality assessment.



Materiality Scoring

Potential material topics were then scored by members of the ESG Committee adopting a **double materiality lens** considering its impact on the Bank, its stakeholders and the environment.

Stakeholders Considered		Impact on the Bank	
- Depositors - Borrowers - Investors and Shareholders - Government and Regulators	- Employees - Suppliers - Community	- Financial impact - Impact on non-monetised capitals - Opportunity for innovation - Compliance	- Impact on strategy - Impact on brand and social license - Impact on credit rating - Key risks



Verification and Validation

The ESG Committee discussed, debated and reached a consensus on the results obtained from the materiality scoring.



Integration

Results of the materiality assessment were then incorporated into the Bank's strategy formulation process.



Monitor

Ongoing monitoring of the dynamics in the operating environment and stakeholder concerns to enable swift response and realignment of the Bank strategy to deliver long-term sustainable value.

RESULTS OF OUR MATERIALITY ASSESSMENT FOR 2024



Our material topics for 2024 are listed below.

GRI 3-2

No.	Material Topic	Movement in Materiality Compared to Last Year	Link to Capital	Link to Strategy	GRI	SASB Standard	SDGs	UNGC Principles
1	Profitability and financial stability	No change	Financial	Business, Technology	201, 203, 207			
2	Business continuity planning	No change	Financial, Intellectual	Business, Sustainability				
3	Corporate brand image/goodwill building	▲	Intellectual	Business				
4	Macro-economic headwinds	▼	All Seven Capitals	Business				
5	Digitalisation agenda	▲	Digital	Technology, Business, Sustainability				7,8,9
6	Information security	▲	Digital	Technology	418	FN-CF-230a.1-3 FN-CB-230a.1		
7	Physical channels	▼	Manufactured	Business	202			
8	ESG in credit analysis	New topic	Financial, Natural	Business, Sustainability		FN-CB-410a.2		1,2,4,5,6, 7,8,9
9	Environmental risks to mortgaged properties	New topic	Financial	Business		FN-CB-410b.1-4 FN-MF-450a.1-3		
10	Selling practices	New topic	Social & Relationship	Business, Sustainability		FN-CF-270a.1-5		6

Materiality

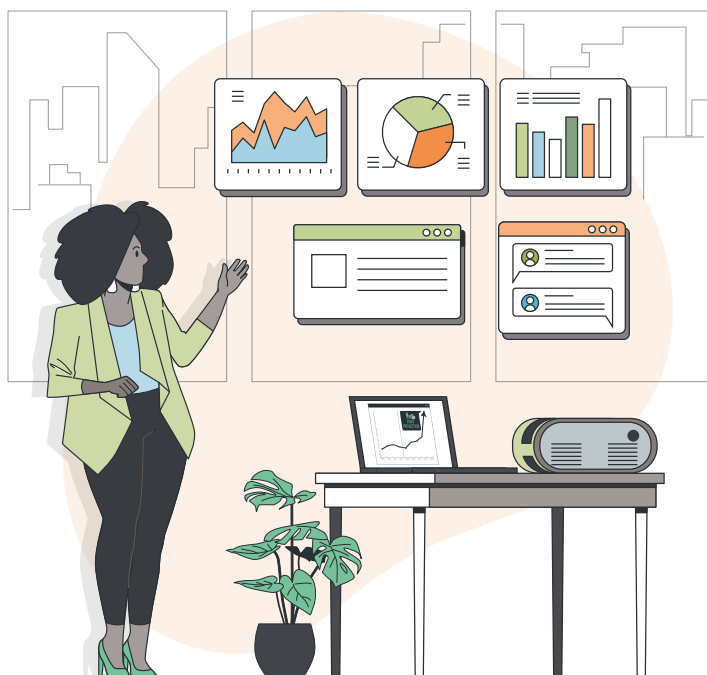
No.	Material Topic	Movement in Materiality Compared to Last Year	Link to Capital	Link to Strategy	GRI	SASB Standard	SDGs	UNGC Principles
11	Talent acquisition and management	▲	Human	People	401, 404, 405		   	1,2,4,5,6
12	Customer privacy	No change	Social & Relationship	Business	418	FN-CF-220a.1-2		
13	Financial inclusion agenda	No change	Social & Relationship	Business, Sustainability		FN-CB-240a.1-4	  	1,2
14	Customer convenience	▲	Social & Relationship	Business				
15	Sales promotions, marketing communications and information availability on the Bank's products and services	▲	Social & Relationship	Business, Sustainability	417		  	
16	Anti-corruption practices	No change	Human	Business	205			10
17	Customer health and safety	▼	Social & Relationship	Sustainability	205, 416		 	
18	Complaint management	No change	Social & Relationship	Business, Sustainability	418			
19	Research and development	No change	Intellectual	Business, Technology, Sustainability, People			  	
20	Learning and development	No change	Human	People	404		 	
21	Employee relations	No change	Human	People	402		 	1,2,3
22	Employee health and safety	No change	Human	People	403			1,2
23	Community development	▼	Social & Relationship	Business, Sustainability	413, 203		       	1,2,7,8,9
24	Employee engagement	▲	Human	People			 	
25	Lending practices	New topic	Social & Relationship	Business, Sustainability		FN-MF-270a.1-3		1,2
26	Corporate governance	New topic	All Seven Capitals	Business, Sustainability		FN-CB-510a.2	 	1,2,3,4,5, 6,7,8,9,10
27	Climate change	▲	Natural	Sustainability, Business	302, 305		     	7,8,9

Engaging with Our Stakeholders

GRI 2-25, 29

We recognise the importance of effectively engaging with our stakeholders and have implemented a formal and structured approach for this purpose. Given the prevailing uncertainties, we proactively engaged with our diverse stakeholder groups to effectively identify and respond to their needs, concerns and expectations. Insights gained through our stakeholder engagement models also played a crucial role in informing strategy, identifying opportunities, mitigating risks and directing innovation. Stakeholders' influence and interest in the Bank, as well as the Bank's interest in stakeholders in the value creation process, are the basis for identifying stakeholders. How we engaged with key stakeholders in 2024 is summarised below.

OUR STAKEHOLDER ENGAGEMENT PROCESS



STAKEHOLDER MAPPING

- Identification of key stakeholders.
- Segmentation of stakeholder categories.
- Determine the underpinning management philosophy for each stakeholder group.

DESIGNING THE ENGAGEMENT MECHANISM

- Identify frequency of engagement.
- Evaluate and review channels of engagement.
- Design the engagement model.
- Formulate policies and procedures if required.

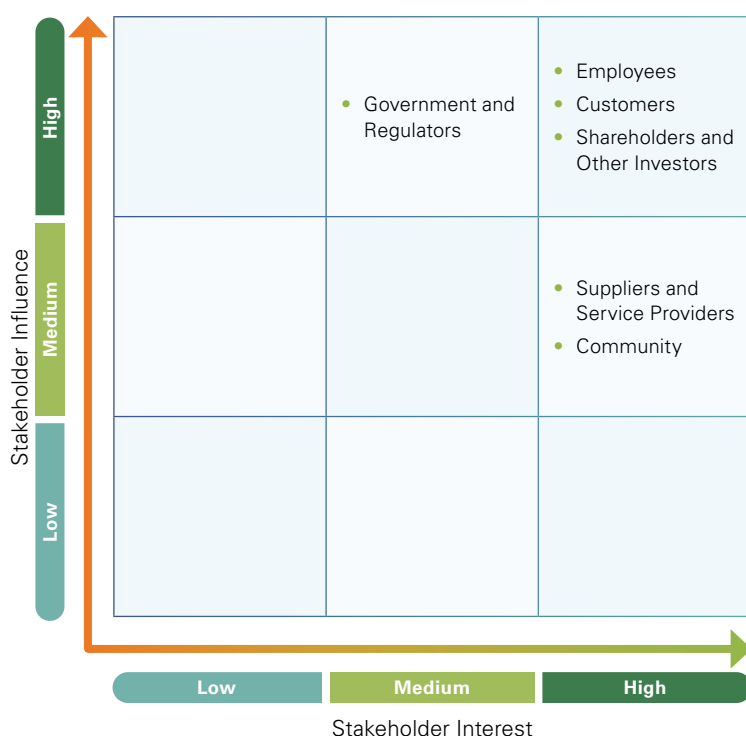
ENGAGEMENT

- Engage with stakeholders in accordance with the engagement model.

POST ENGAGEMENT EVALUATION

- Measure effectiveness of the engagement model and monitor feedback.
- Identify areas for improvement and revise engagement model accordingly.

STAKEHOLDER MAPPING



	Engagement Method
High Influence, High Interest Stakeholders have a great deal of influence and significant interest on the Bank.	Fully engaged and satisfied
High Influence, Low Interest Stakeholders have a great deal of influence on the Bank but have little interest in it.	Keep satisfied
Low Influence, High Interest Stakeholders have little influence but are interested on the Bank.	Consult and adequately informed
Low Influence, Low Interest Stakeholders have little influence on the Bank and no interest in its activities.	Monitor

Engaging with Our Stakeholders



SHAREHOLDERS AND OTHER INVESTORS

Management ethos – Long-term shareholder/investor value creation, safeguarding shareholder/investor rights and supporting a broad shareholder/investor base to facilitate wealth maximisation.



Priorities/Expectations Relevant to Shareholders and Other Investors

- Shareholder engagement with the Board
- Shareholder views on key governance and policy matters
- Development of shareholder communication channels
- Return on equity and interest income
- Strategy and business continuity
- Financial performance

Value Created

17.74%

Return on equity

Rs 139 Bn

Market capitalisation

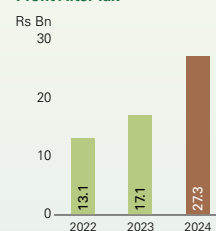
Rs 23.30

Earnings per share

Rs 9.35

Dividend per share

Profit After Tax



- Response to the prevailing uncertainties
- Robust risk management
- Financial stability and performance
- Sound corporate governance
- Regulatory compliance
- Timely engagement



- Ongoing monitoring of operating conditions and adapting strategy accordingly
- Prudent lending and emphasis on preserving portfolio quality
- Proactive risk management
- Alignment with the latest developments in corporate governance landscape
- Full compliance with all regulatory requirements

Engagement Mechanism	Engagement Frequency					
	Annually	Quarterly	Periodically	Regularly	24 hours 7 days	As and When Required
Shareholder relations forums			✓			
General meetings	✓		✓			
Annual Report	✓					
Interim Financial Statements		✓				
Disclosures and announcements to the CSE			✓			
Corporate website					✓	
General correspondence				✓		
CSR projects				✓		

Link to Strategy



Link to Capitals



Link to Material Topics





EMPLOYEES

Management ethos – Fostering an environment that nurtures both the personal and professional growth of our team.



Priorities/Expectations Relevant to Employees

- Ethical employment practices
- Career development opportunities
- Employee communication and feedback
- Rewards/recognition
- Employee well-being
- Work-life balance

Value Created

96.8%

Employee retention rate

Rs 202 Mn

Investment in training and professional studies

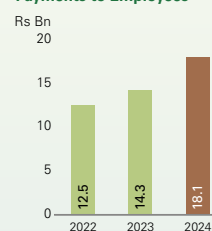
199,286

Total training hours

458

Internal staff promotions

Payments to Employees



- Job security
- Competitive and equitable remuneration and benefits
- Training and development
- Opportunities for growth
- Health and well-being
- Effective engagement
- Effective grievance handling
- Diverse and inclusive work environment



- Remuneration in line with industry standards
- Performance based rewards
- Fulfilment of vacancies internally whenever possible
- Personalised training and development plans
- Structured approach to promote employee well-being
- Multiple engagement channels
- Grievances Handling Policy

Engagement Mechanism	Engagement Frequency					
	Annually	Quarterly	Periodically	Regularly	24 hours 7 days	As and When Required
Open-door policy				✓		
Employee forums				✓		
Employee suggestion schemes and feedback forms	✓		✓			
Grievances handling procedure						✓
Employee social committees				✓		
Business unit level meetings				✓		
Internal communication channels					✓	
Training				✓		
HR hotline					✓	

Link to Strategy



Link to Capitals



Link to Material Topics



Engaging with Our Stakeholders



CUSTOMERS

Management ethos – Delivering superior customer service through a progressive banking environment that prioritises convenience and customers' evolving needs.



Priorities/Expectations Relevant to Customers

- Customer service
- Customer security
- Satisfaction on existing products
- Brand perception and reputation
- Customer convenience
- Need for innovations and customised solutions
- Communication methods
- Special promotions
- Timely and relevant information on products and services
- Customer touch-points
- Customer benefits and rewards
- Loyalty recognition

Value Created

98.2%

Customer complaints resolved

Rs 400 Mn

Loyalty points offered to credit cardholders

1,252

eZ banking agents

Rs 155 Mn

'Sanhinda Saver' medical benefits provided

4

New products launched

'Sampath Saviya' Entrepreneurship Development Programmes

Pioneered the Mini-POS solution for SMEs

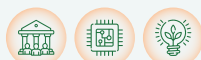
- Financial stability
- Tailored financial solutions in line with specific business needs
- Data security and customer privacy
- Service excellence and convenience
- Timely and accurate product information
- Reputation
- Loyalty recognition



- Customised repayment plans to support business revival and recovery
- Strengthened the role of the Business Revival Unit in supporting business recovery
- Innovative and technology driven banking solutions
- Initiatives to recognise customer loyalty
- Capacity building programmes for women and SMEs
- Ethical and transparent marketing communications
- Robust data security and customer privacy measures
- Effective complaint resolution

Engagement Mechanism	Engagement Frequency					
	Annually	Quarterly	Periodically	Regularly	24 hours 7 days	As and When Required
One-on-one customer engagement at branches				✓		
24/7 Customer Care Centre					✓	
Sampath Vishwa (internet banking) portal					✓	
Customer surveys and feedback forms			✓	✓		
Formal customer complaint handling mechanism					✓	
Digital platforms and social media interactions					✓	
Corporate website					✓	
CSR projects				✓		

Link to Strategy



Link to Capitals



Link to Material Topics





COMMUNITY

Management ethos – Collaborating with global and local initiatives to preserve the environment and foster community empowerment.



Priorities/Expectations Relevant to Community

- Community capacity building
- Community empowerment
- Social welfare of communities
- Environmental protection and conservation
- Preservation of local culture

Value Created

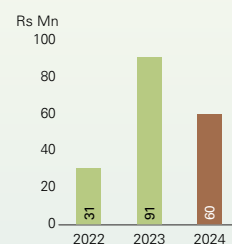
113,586

Beneficiaries from CSR projects

Rs 60 Mn

Total investment in CSR initiatives

Investment in CSR Initiatives



- Community capacity building, empowerment and financial inclusivity
- Environmental protection and conservation



- Conducted programmes to strengthen business and financial acumen of the communities we operate in
- Socially responsive CSR programmes
- Incorporated Environmental and Social Management System into lending as ESG due diligence
- Employment opportunities

Engagement Mechanism	Engagement Frequency					
	Annually	Quarterly	Periodically	Regularly	24 hours 7 days	As and When Required
Engagement with community leaders and social groups				✓		
Collaborated with government and community-based organisations				✓		
Grievance handling mechanism				✓		
Digital media forums				✓		
CSR projects				✓		
Link to Strategy	Link to Capitals		Link to Material Topics		1 4 7 13 23 27	

Engaging with Our Stakeholders



GOVERNMENT AND REGULATORS

Management ethos – Ensure compliance with all legal and regulatory requirements.



Priorities/Expectations Relevant to Government and Regulatory Bodies

- Proper and prompt action on regulatory requirements introduced from time to time
- Formulate the Bank's policies in line with the broad objectives of the Central Bank of Sri Lanka

Value Created

Rs 1,440 Mn

Environmental impact financing for renewable energy

Rs 603 Mn

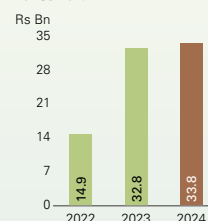
Financing under Green Finance Scheme

Rs 202 Mn

Investment in training and professional studies

Promoting inward remittances

Taxes Paid



- Timely and effective implementation of new regulations and directions
- Alignment of lending strategy with GOSL's economic priorities
- Supporting the GOSL's sustainable development initiatives
- Timely and accurate statutory reporting



- Full and timely compliance with all regulatory requirements
- Timely statutory reporting and statutory payments
- Supporting key sectors of the economy with customised and flexible financial solutions
- Lending to the renewable energy sector
- Initiatives to develop micro and SME entrepreneurship

Engagement Mechanism	Engagement Frequency					
	Annually	Quarterly	Periodically	Regularly	24 hours 7 days	As and When Required
Ongoing engagement with regulators				✓		
Timely regulatory reporting			✓	✓		✓
On-site and off-site supervision			✓			✓
Meetings and forums			✓			
Participation for training programmes				✓		

Link to Strategy



Link to Capitals



Link to Material Topics





SUPPLIERS AND SERVICE PROVIDERS

Management ethos – Cost effectiveness while promoting ethical and transparent sourcing practices.



Priorities/Expectations Relevant to Suppliers and Service Providers

- Developing strategic partnerships
- Promoting transparent and ethically responsible business practices
- Continuous communication with suppliers and service providers
- Regular reviews on quality of goods and services

Value Created

685

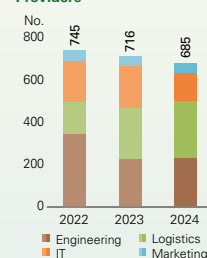
Registered suppliers in the supplier base

65+

Suppliers screened based on ESG criteria

Timely payments to suppliers

Registered Suppliers & Service Providers



- Timely payments
- Long-term strategic partnerships
- Transparent and ethical business practices
- Feedback on quality of goods and services



- Maintained fair and equitable procurement practices
- Contractual obligations to promote sustainable procurement
- Opportunities for long term contracts
- Emphasis on sourcing locally
- Supplier risk assessment mechanism
- Diverse supplier base as a business continuity measure
- ESG rating scheme

Engagement Mechanism	Engagement Frequency					
	Annually	Quarterly	Periodically	Regularly	24 hours 7 days	As and When Required
Timely payments				✓		
Supplier visits			✓			
Reviews and assessments			✓			
Written communication and meetings				✓		✓
Digital platforms			✓	✓		
Feedback evaluations						✓

Link to Strategy



Link to Capitals



Link to Material Topics

1 2 3 27

Engaging with Our Stakeholders

MEMBERSHIPS OF ASSOCIATIONS

GRI 2-28

Sampath Bank PLC has established affiliations with numerous industry-specific associations and both national and international advocacy organisations. These partnerships are designed to build long-term connections with key stakeholders and play a proactive role in the development of the banking sector as well as the broader national economy. Through these collaborations, the Bank seeks to contribute to industry growth and address global and local challenges.

Name of the Association	Membership Status
The American Chamber of Commerce in Sri Lanka	Member
Association of Compliance Officers of Banks, Sri Lanka	Member
Association of Primary Dealers (APD)	Member
Clearing Association of Bankers	Member
Exporters' Association of Sri Lanka	Executive Committee Member
International Chamber of Commerce - ICC Sri Lanka	Member
Italian Business Council	Member
LankaPay (Pvt) Limited	Member
Lanka Financial Services Bureau (LFSB)	Member
Lanka SWIFT User Group (LSUG)	Member
Leasing Council of Bankers of Sri Lanka	Member
National Chamber of Exporters of Sri Lanka	Member
Payment Card Industry Association of Sri Lanka	Executive Committee Member
Society for Worldwide Interbank Financial Telecommunication (SWIFT)	Member
Sri Lanka Bank's Association (Guarantee) Limited	Member
Biodiversity Sri Lanka	Patron Member
Sri Lanka Forex Association (SLFA)	Member
The Association of Banking Sector Risk Professionals - Sri Lanka	Member
The Ceylon Chamber of Commerce	Patron Member
The Employers' Federation of Ceylon	Member
The Financial Ombudsman Sri Lanka (Guarantee) Limited	Member
The National Chamber of Commerce of Sri Lanka	Member
United Nations Global Compact	Participating Company
Council for Business with Britain	Member
Sri Lanka – USA Business Council	Executive Committee Member
Sri Lanka – Germany Business Council	Member
Sri Lanka – China Business Council	Member
Sri Lanka – Japan Business Council	Member
Sri Lanka – Canada Business Council	Member
Indo-Lanka Chamber of Commerce and Industry	Member

MANAGEMENT DISCUSSION AND ANALYSIS

Operating Environment | 58

Capital Management Reports

Financial Capital | 62

Manufactured Capital | 69

Digital Capital | 72

Intellectual Capital | 75

Human Capital | 80

Social and Relationship Capital | 94

Natural Capital | 110

Business Reports

SME and Retail Banking | 130

Corporate Banking | 137

Treasury | 140

Subsidiary Performance | 142

A man with dark, curly hair and glasses, wearing a light blue button-down shirt, stands in a server room. He is holding a tablet computer with both hands and looking at the screen. The server racks around him are filled with equipment, and many small lights are glowing, creating a warm, orange and yellow ambient light. The background is slightly blurred, showing more server racks and lights.

A CAPACITY TO GROW

The Bank's partnerships are founded on the promise of transforming value for both people and planet. Each relationship is built to last; focused on fuelling mutual growth and strengthening collective resilience for the foreseeable future.

Operating Environment



POLITICAL

Political Uncertainty

Impact on Sampath Bank and Our Response

Given the uncertainty that prevailed, the private sector adopted a cautious approach to investment, softening credit demand. In view of this, the Bank sought alternative investment options for surplus funds including investments in US Treasuries.



ECONOMIC

Significant Milestones Strengthen the Nation's Economic Stability....

Successful Completion of Sri Lanka's External Bond Restructuring Programme

- Following two years of intense negotiations, Sri Lanka successfully concluded its International Sovereign Bond (ISB) restructuring in December 2024, with a significant majority of investors exchanging their existing bonds for new debt instruments. The agreement resulted in the restructuring of approximately 96% of the nation's total commercial external debt amounting to USD 12.6 Bn.
- The nation also reached an agreement in principle with most commercial creditors including international banks for a further USD 200 Mn, with the restructuring due to be completed by the year-end.
- The international debt restructuring is expected to alleviate the country's debt burden considerably, enabling the re-direction of resources towards vital development initiatives and social welfare programmes while establishing a sound foundation for long-term fiscal stability.

Ongoing Commitment to the IMF Extended Fund Facility Programme

- Sri Lanka reached a staff-level agreement with the IMF on the third review under the Extended Fund Facility Arrangement, granting the country access to approximately USD 333 Mn in financing.

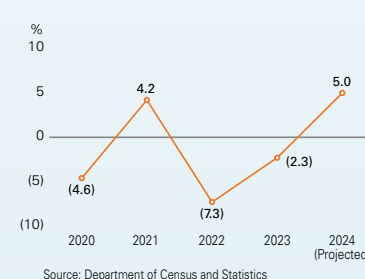
Sovereign Credit Rating Upgrade

- Following the conclusion of the ISB restructuring and an improved outlook for the country's macro-economic indicators, Fitch Ratings and Moody's Ratings upgraded Sri Lanka's long-term foreign currency issuer rating to CCC+ and Caa1 (stable outlook) respectively. Fitch Ratings also upgraded the nation's local-currency issuer rating to CCC+ from CCC- to align with the upgrade in the long-term foreign currency issuer rating.

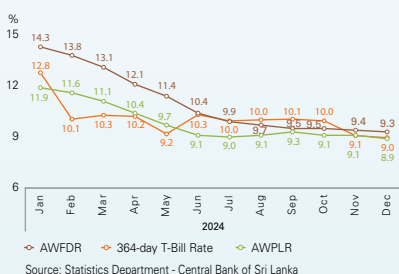
Gross Domestic Product (GDP)

- The Sri Lankan economy continued to demonstrate recovery with GDP expanding by 5% (projected) during 2024.
- All major sectors recorded positive growth with Agriculture, Industry and Services expanding by 1.9%, 11.2% and 2.6% respectively up to Q3 2024.

GDP Growth

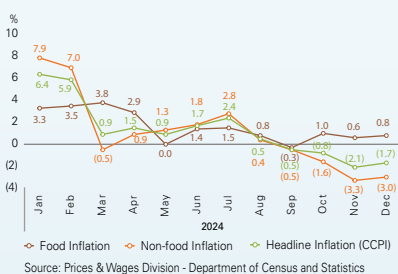


Interest Rate Movement



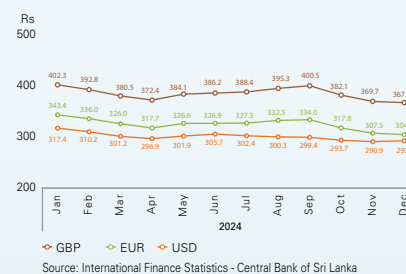
An accommodative monetary policy stance resulted in the continued decline in interest rates.

Inflation



Inflation maintained a downward trajectory, with headline inflation standing at -1.7% in December 2024.

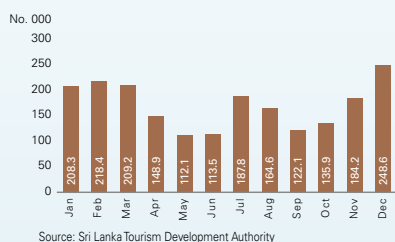
Exchange Rate Movement



The Sri Lankan Rupee appreciated by 10% against the USD to Rs 292.58 during 2024 supported by enhanced inflows from workers' remittances, tourist earnings and export conversions.

Tourism Sector Revival

Tourist Arrivals 2024



The tourism sector continued to show signs of recovery with earnings expanding by 53.2% to USD 3.2 Bn as at end-December 2024.

Worker Remittances

Worker remittances maintained its upward trajectory expanding by 10.1% to USD 6.6 Bn as at end-December 2024.

Impact on Sampath Bank and Our Response

We proactively capitalised on opportunities that emerged from the gradual economic recovery, tailoring our strategy to facilitate business revival in economically significant sectors, including tourism, agriculture, renewable energy, healthcare and trade. Specific emphasis was placed on supporting and building resilience within the SME sector, through customised lending, expert advice and guidance to improve business operations and strategic planning through the expertise of the Business Revival Unit.

The Bank also focused on strengthening its market position in the remittance market. Furthermore, the Bank accepted the local bonds option in the GOSL's ISB restructuring, converting 30% of the dues into Sri Lankan Rupee bonds and accepting new USD bonds for the remainder which was subject to a 10% haircut. Accordingly, impairment charges of Rs 15.8 Bn recognised for the ISBs were reversed. Overall, our strategic efforts contributed to a 59.4% increase in PAT and a ROE of 17.74% which stood among the best in the industry.



SOCIAL

- Declining inflation and interest rates and the overall stabilisation of macro-economic conditions eased the financial strain on households and institutions to some extent, lessening the risk of default.
- However, diminished real income amidst elevated prices and tax reforms continued to dampen credit demand and the repayment capacity of borrowers.
- The need to expand access to financial services and strengthen financial literacy among all Sri Lankans, remained a strong imperative in 2024.

Impact on Sampath Bank and Our Response

Striking a balance between responding to the needs of our customers and preserving asset quality, we engaged proactively with vulnerable customers offering revised payment plans to support business recovery. Financially distressed businesses with future potential were assigned to the Business Revival Unit for intensive monitoring and business restructure. The Bank also re-organised its SME lending unit to enhance support to small business. A range of digital solutions and financial literacy programmes conducted during the year continued to support financial inclusion in lesser served regions of the country. Moreover, the Bank maintained its commitment to its flagship CSR initiatives driving impactful change within the community.



TECHNOLOGY

- The rapid advancement of technology and the global shift towards a cashless society have necessitated the introduction of innovative digital products and affordable, accessible non-cash payment methods.
- Data analytics offers significant opportunities to strengthen agility amidst evolving operating conditions while driving operational efficiency.
- Concurrently, concerns regarding cybersecurity and data protection have gained in prominence.

Impact on Sampath Bank and Our Response

Our digital strategy strives to harness the full potential of technology while mitigating cybersecurity risks. We offer numerous digital solutions to customers including Sampath Vishwa, WePay and the mobile application. These solutions eliminate the need for branch visits, enhances accessibility and promotes ease of use through trilingual interfaces. The Bank also leverages technology to streamline processes and automate routine tasks to improve operational efficiency and accuracy. Data driven insights derived from advanced data analytics has strengthened decision-making while ongoing investments in the Bank's cybersecurity architecture has safeguarded the Bank against cyber threats.



ENVIRONMENT

- Increasingly stringent environmental regulations and disclosure requirements.
- The escalating incidence and intensity of extreme weather events and other climate related challenges have accelerated the urgency for climate action.
- Growing pressures from stakeholders to adopt sustainable practices.
- Opportunities to build long-term resilience by embedding and promoting sustainable business practices along the value chain.

Impact on Sampath Bank and Our Response

Cognisant of its impact as a provider of finance, Sampath Bank continued to drive sustainable practices within and along its value chain. Financing the renewable energy sector is a key priority for the Bank while a range of initiatives including green loans, the sustainable green financing scheme, green leases and the ESMS system promotes and prioritises lending to sustainable business ventures. Ongoing efforts to minimise its own environmental footprint led to equipping 9% of branches with solar panels, conscious reductions in paper consumption and e-waste, and the promotion of digital platforms for banking. The Bank continued to invest in numerous flagship environment-related CSR initiatives, re-iterating its commitment to driving towards a more sustainable future.



LEGAL

- The Banking (Amendment) Bill was approved by Parliament on 2nd April 2024 and was effective from 15th June 2024.
- The Cabinet suspended parole execution until March 2025.
- The GOSL introduced a 3-phase plan to lift restrictions on vehicle imports. As of end-December 2024, phases 1 and 2 have been implemented allowing the importation of public passenger transport vehicles, special purpose vehicles, non-motorised vehicles and commercial and goods transportation vehicles.
- Other regulatory developments within the banking industry.

Impact on Sampath Bank and Our Response

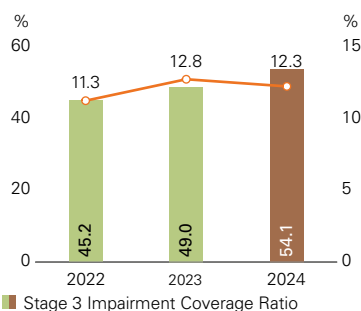
The Bank proactively monitored the developments in the legal landscape and aligned its processes with the new requirements to ensure compliance with all laws and regulations in a timely manner.

Operating Environment

BANKING SECTOR PERFORMANCE

CREDIT GROWTH AND ASSET QUALITY

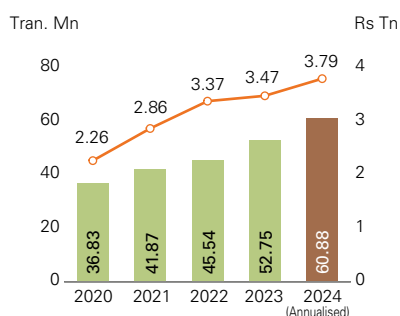
- The Banking sector recorded a credit growth of 4.1% as at end-December 2024, in contrast to the 2.6% contraction witnessed in 2023 supported by stabilising macro-economic conditions and declining interest rates.
- Overall default risk of the Banking sector also declined as at end-December 2024 as loans classified as Stage 3 decreased in absolute terms while the Stage 3 Loan Ratio improved to 12.3%.
- Meanwhile, the Stage 3 Impairment Coverage Ratio improved to 54.1% as at end 2024 (2023: 49%).



Source: Central Bank of Sri Lanka

DIGITAL PENETRATION

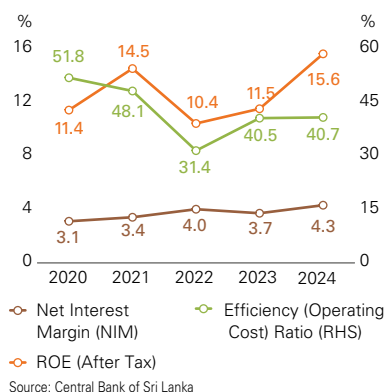
The Banking sector continued to make progress in promoting digital transaction channels among customers with increases in volume and value of transactions recorded as at end-December 2024.



Source: Payments and Settlements Department - Central Bank of Sri Lanka

PERFORMANCE

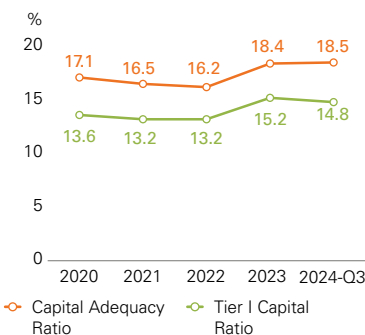
Profitability of the Banking sector improved supported by the expansion in net interest income as the decrease in interest expenses outpaced interest income in a declining interest rate environment, coupled with lower impairment charges.



Source: Central Bank of Sri Lanka

CAPITAL ADEQUACY

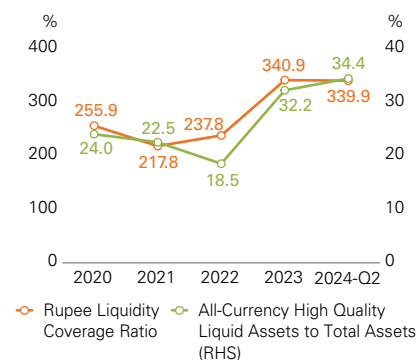
Capital adequacy levels improved following the issuance of Tier II capital instruments and internal capital generation from improved earnings.



Source: Statistics Department of Central Bank of Sri Lanka

LIQUIDITY

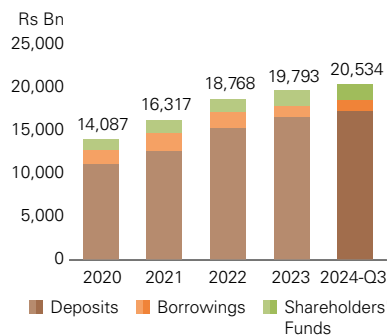
Rupee liquidity was maintained in 2024 as surplus funds ensuing from slower credit growth were invested in government securities.



Source: Financial Stability Review 2024 - Central Bank of Sri Lanka

FUNDING STRUCTURE

D-SIBs and other domestic banks continued to maintain a well-diversified funding base with a substantial proportion derived from retail deposits.



Source: Central Bank of Sri Lanka

KEY REGULATORY DEVELOPMENTS IN 2024

- Revised directions on large exposures of licensed banks to be implemented from 1st January 2026 to mitigate potential credit concentration risks.
- Guidelines for the establishment of Business Revival Units in Licensed Commercial Banks.
- The maximum interest rate on rupee denominated lending products was rescinded following easing monetary conditions.
- The Liquidity Coverage Ratio and the Net Stable Funding Ratio were designated the statutory liquidity ratios of banks while the use of the Statutory Liquid Asset ratio was discontinued.
- Off-shore banking was identified as a permissible activity of licensed commercial banks and the demarcation of the Domestic

Banking Unit and Off-shore Banking Unit was eliminated. Following this, regulations were issued to facilitate the conduct of licensed commercial banks' off-shore banking business.

- The Banking (Amendment) Bill was approved by Parliament on 2nd April 2024 and came into effect from 15th June 2024.
- A risk weighting of 20% was assigned to exposures guaranteed by National Credit Guarantee Institute Limited when calculating the capital requirements under BASEL III for LCBs and LSBs.
- A new direction on Corporate Governance was issued for LCBs and LSBs with a view to strengthen responsibility and accountability of the Board of Directors and senior management.

Source: CBSL

OUTLOOK

Sri Lanka's economy made a significant recovery in 2024, laying the foundation for a stronger and more resilient economic future. The successful completion of the international sovereign bond restructuring led to a sovereign rating upgrade. Political stability and the GOSL's commitment to the IMF-EFF programme along with improvements in key macro-economic indicators including declining inflation, expanding foreign exchange reserves and a more stable exchange rate has strengthened the country's financial outlook. These positive developments have boosted investor sentiment and positioned the country for sustainable economic growth.

Ongoing commitment to implementing essential economic reforms is expected to build on the stability achieved in 2024. Continued fiscal discipline, structural adjustments and institutional strengthening are expected to build economic resilience against external shocks while creating a conducive environment for private sector expansion. Moreover, the CBSL is committed to implementing monetary policy measures to stabilise inflation within the target of 5%.

CBSL has outlined a comprehensive policy agenda aimed at further strengthening the financial sector's resilience and stability over the short to medium term. These include an array of policy measures including the Bank

Recapitalisation Strategy, a market driven consolidation plan for licensed banks, enhanced crisis management and resolution measures and strengthening the conduct of risk based Anti-Money Laundering (AML) and Countering the Financing of Terrorism (CFT) examination of banks. Additionally, facilitating the expansion of digital payments while safeguarding against cybersecurity risks, driving sustainable financing activities and enhancing financial inclusion also remain key priorities for the CBSL. Collectively, these initiatives are expected to create a more resilient, inclusive and sustainable financial system that is positioned to drive the economic aspirations of the country while enhancing the economic opportunities of its people.

CAPITAL MANAGEMENT REPORTS

Financial Capital | 62

Manufactured Capital | 69

Digital Capital | 72

Intellectual Capital | 75

Human Capital | 80

Social and Relationship Capital | 94

Natural Capital | 110



About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information



Financial Capital

GRI 2-6

An astute strategy, robust risk management and an empowered and dedicated team, have enabled us to deliver strong performance, consistently create value for our shareholders and build resilience in the face of considerable uncertainties. With strong liquidity and capital buffers, we are well-positioned for future growth and long-term value creation.

Contributing SDGs



PROFITABILITY IN 2024



Rs 80.0 Bn

▲ 10.7%

Net interest income

Rs 11.7 Bn

▲ 158.2%

Impairment reversal

Rs 27.3 Bn

▲ 59.4%

Profit after tax

ENSURING STABILITY AND BUILDING RESILIENCE IN 2024



Rs 1,777.9 Bn

▲ 15.3%

Total assets

Rs 1,469.2 Bn

▲ 16.2%

Total deposits

Rs 166.5 Bn

▲ 12.6%

Shareholders' funds

CREATING VALUE FOR SHAREHOLDERS IN 2024



Rs 23.30

▲ 59.4%

Earnings per share

17.74%

▲ 509 bps

Return on equity

Rs 9.35

▲ 59.8%

Dividend per share

Net interest income

Rs 80.0 Bn

+

Net fee & commission income

Rs 17.5 Bn

-

Net loss from trading

Rs 1.8 Bn

-

Net loss on derecognition of
financial assets

Rs 7.2 Bn

-

Net other operating loss

Rs 1.0 Bn

+

Impairment reversal

Rs 11.7 Bn

-

Operating expenses

Rs 39.3 Bn

-

Taxes on financial services

Rs 13.2 Bn

-

Income tax expense

Rs 19.4 Bn

=

Profit for the year

Rs 27.3 Bn

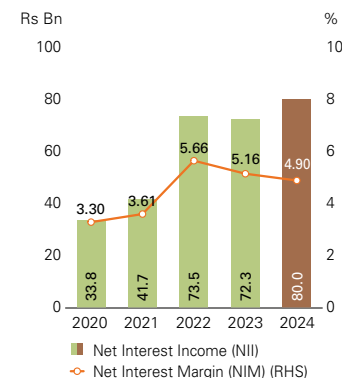
FINANCIAL PERFORMANCE

Net Interest Income

Net interest income expanded by 10.7% to Rs 80.0 Bn, as the downward re-pricing of deposits was swifter than loans in a declining interest rate environment. The Dealing/Investment segment also made a significant contribution to net interest income in 2024, as the Bank was compelled to seek alternative investment opportunities for surplus funds amidst subdued credit demand.

Lower yields earned on interest earning assets in a declining interest rate environment led to a contraction in the Bank's Net Interest Margin (NIM) to 4.90% in 2024 compared with 5.16% in 2023.

Net Interest Income



Segmental Contribution (Note - Page 66)

Corporate Banking

2024: 16.9%

2023: 27.2%

SME & Retail Banking

2024: 55.0%

2023: 51.8%

Dealing/Investment

2024: 28.1%

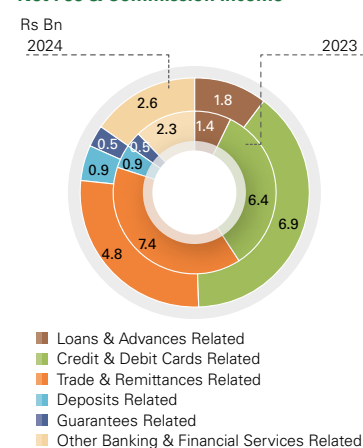
2023: 21.0%

Net Fee and Commission Income

Net fee and commission income contracted by 7.3% to Rs 17.5 Bn in 2024, primarily due to a decline in fee income from trading activities. A reduction in commission rates on trade transactions and the appreciation of the Sri Lankan Rupee against the US Dollar contributed to a 38.8% decline in net fee and commission income from trade related activities to Rs 4.1 Bn in 2024.

However, fees generated from other channels, including credit processing, credit cards, electronic transactions and operational-related activities, remained strong, increasing by 23.5%, 7.3%, 17.4% and 6.9% respectively.

Net Fee & Commission Income



Net Loss on Derecognition of Financial Assets

The Bank reported a loss of Rs 8.4 Bn on restructuring of its Sri Lanka International Sovereign Bond (SLISB) exposure by the GOSL in December 2024.

Under the programme, Sampath Bank exercised the 'Local Option' which entailed receiving 30% of its exposure in Sri Lankan Rupee denominated bonds and accepting a 10% nominal haircut on the remainder of its exposure. This resulted in the issuance of new USD denominated

bonds representing 63% of its original value with the GOSL retaining the option to settle this bond in local currency in the event of a future default. Additionally, the GOSL also issued a PDI bond with an 11% haircut applied to past-due interest claims and another bond to meet the 1.9% consent fee.

Accordingly, based on the guidelines on "Accounting Treatment for International Sovereign Bonds in Line with SLFRS 9" issued by the Institute of Chartered Accountants of Sri Lanka

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Financial Capital

In December 2024, Sampath Bank recognised a loss of Rs 8.4 Bn on its SLISB exposure following the completion of GOSL's ISB restructuring programme. The corresponding reversal of impairment provisions amounted to Rs 15.8 Bn is reported under impairment (reversal)/charge.

Further, the Bank recognised a gain of Rs 1.1 Bn from the sale of Treasury bonds and Treasury bills in 2024, reflecting a 92% growth over 2023.

Net Trading and Other Operating Income

The Bank reported a total loss of Rs 2.8 Bn under net trading and net other operating income in 2024, compared to a loss of

Rs 0.8 Bn in 2023. The appreciation of the Sri Lankan Rupee against the US Dollar resulted in an exchange loss of Rs 4.2 Bn in 2024 (2023: Rs 1.9 Bn). This included a net trading loss of Rs 1.8 Bn due to revaluation losses on forward exchange contracts and an exchange loss attributable primarily to the revaluation of FCBU reserve.

Total Operating Income

Despite the expansion in net interest income, the decline in fee and commission income, the loss recognised due to restructuring of SLISBs and increased exchange losses resulted in a 3.8% decline in operating income to Rs 87.5 Bn in 2024.

Segmental Contribution (Note - Page 66)

Corporate Banking

2024: **18.9%**

2023: 25.8%

SME & Retail Banking

2024: **63.6%**

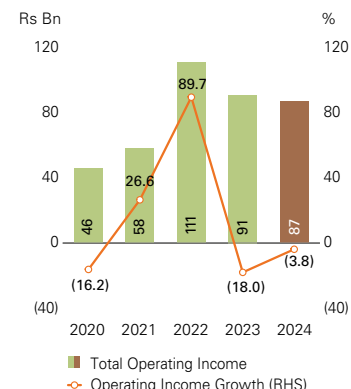
2023: 54.2%

Dealing/Investment

2024: **17.5%**

2023: 20.0%

Total Operating Income



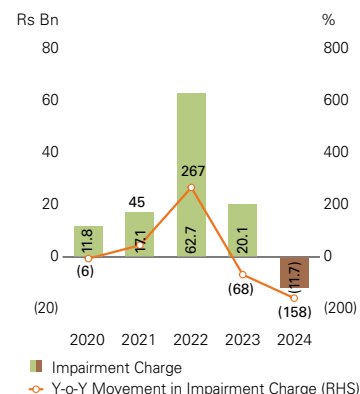
Impairment (Reversal)/Charge

The Bank reported a total impairment reversal of Rs 11.7 Bn for the year 2024, reflecting a significant decrease of 158.2% compared to the previous year. This comprised a charge of Rs 2.8 Bn for loans and advances (2023: Rs 18.1 Bn), a reversal of Rs 15.8 Bn for Sri Lanka International Sovereign Bonds (2023: charge of Rs 5.5 Bn), and a charge of Rs 1.3 Bn for other financial assets and credit related commitments (2023: reversal of Rs 3.5 Bn).

Stabilising macroeconomic conditions, improved repayment capacity of customers and the Bank's prudent provisioning approach in prior years, led to an 84.7% decline in impairment charges for loans and advances to Rs 2.8 Bn in 2024. Additionally, the positive shift in macroeconomic conditions reduced the need for allowance for overlay across most previously stressed segments.

The Bank's impairment (Stage 3) to Stage 3 loans ratio increased to 60.08% as of end-2024 (2023: 57.80%).

Impairment Charge



Segmental Contribution (Note - Page 66)

Corporate Banking

2024: **26.6%**

2023: 42.5%

SME & Retail Banking

2024: **(0.8)%**

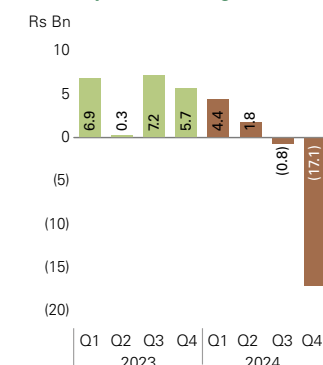
2023: 42.5%

Dealing/Investment

2024: **(125.8)%**

2023: 15.0%

Q-o-Q Impairment Charge

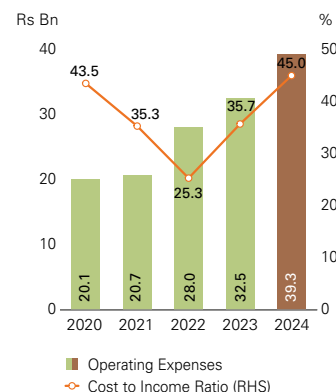


Operating Expenses

Operating expenses rose by 21.2% to Rs 39.3 Bn in 2024. Personnel expenses increased by 26.7% to Rs 18.1 Bn, reflecting annual salary increments for team members, while other expenses expanded by 16.9% to Rs 21.3 Bn.

The Bank's Cost to Income Ratio (CIR) increased to 45.0% in 2024 from 35.7% in 2023. This rise in CIR was largely attributed to an increase in operating expenses, while total operating income declined by 3.8% during the year.

Operating Expenses



Segmental Contribution (Note - Page 66)

Corporate Banking

2024: **4.0%**

2023: 4.2%

SME & Retail Banking

2024: **94.0%**

2023: 94.3%

Dealing/Investment

2024: **2.0%**

2023: 1.5%

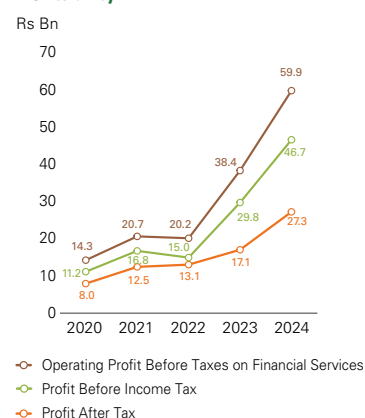
Profitability

Underpinned by increased net interest income and the impairment reversal, operating profit before taxes on financial services expanded by 56.1% to Rs 59.9 Bn.

53.7% respectively, resulting in a total tax expense of Rs 32.6 Bn in 2024. Accordingly, profit before tax rose by 57.0% to Rs 46.7 Bn (2023: Rs 29.8 Bn), while profit after tax increased by 59.4% to Rs 27.3 Bn in 2024 (2023: Rs 17.1 Bn).

Total taxes on financial services and income tax increased by 53.0% and

Profitability



Segmental Contribution (Note - Page 66)

Corporate Banking

2024: **16.4%**

2023: 26.5%

SME & Retail Banking

2024: **49.1%**

2023: 49.4%

Dealing/Investment

2024: **34.5%**

2023: 24.1%

Approach to Taxation

GRI 207

The Board of Directors formulates and implements the Bank's tax strategy while compliance with all tax regulations is monitored on an ongoing basis by the Bank's tax consultant and the external auditors. The Bank and all its subsidiaries

liaise regularly with tax authorities to ensure the timely filing of tax returns and payment of all tax obligations. The Bank fully complied with all tax-related regulations during the year under review.

In 2024, Sampath Bank's tax on financial services increased by 53.0% to Rs 13.2 Bn, while income tax rose by 53.7% to Rs 19.4 Bn, reflecting improved performance. Taxes paid to the Government of Sri Lanka in 2024 amounted to Rs 33.8 Bn, compared to Rs 32.8 Bn in 2023.

FINANCIAL STABILITY AND RESILIENCE

Assets

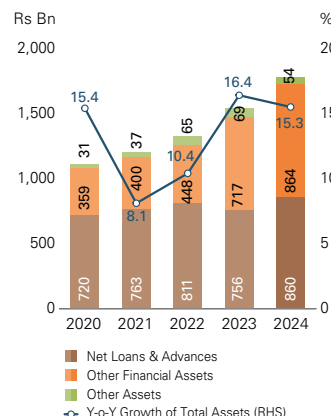
Sampath Bank's total assets expanded by 15.3% to Rs 1.78 Tn as at end-December 2024. The Bank's liquidity position strengthened, with investments in financial assets expanding by 28.7% to Rs 801 Bn as at end-December 2024 as alternative investments were sought for surplus funds amidst subdued credit demand. Investments in financial assets comprised primarily investments in LKR Government Securities, which accounted for 88% of total investments in financial assets as of end of 2024. Additionally, investments in US Treasuries recorded a notable increase of 80.5% to Rs 43.7 Bn as at end-December 2024.

Meanwhile, the Bank's gross loans and advances expanded by 9.9% to Rs 964.6 Bn as at end-2024. Sri Lanka Rupee-denominated gross loans and advances grew by 11.2% to Rs 822.8 Bn, driven primarily by import loans and money market facilities. The Bank's foreign currency-denominated lending portfolio increased by 3.4% to Rs 141.8 Bn, despite the appreciation of the Sri Lankan Rupee against the US Dollar.



Financial Capital

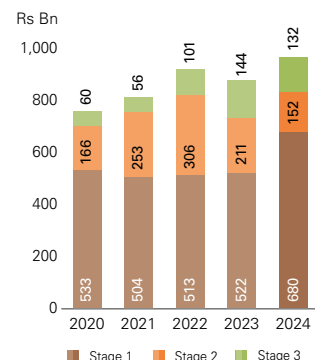
Total Assets



Improving macroeconomic conditions, focused recovery efforts and a data-driven approach to strengthening the credit risk management process resulted in the Bank's Impaired Loans (Stage 3) ratio improving to 4.69% as of the end of 2024 (2023: 5.87%). Please refer the Risk Report for more details on how Sampath Bank managed its credit risk in 2024.

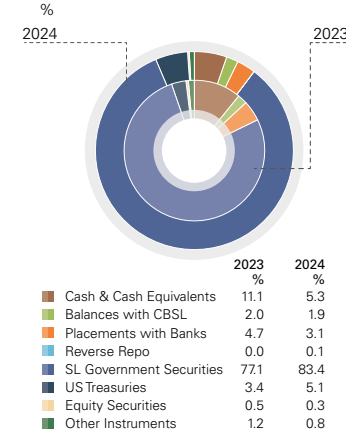
Overall, increased investment in Government Securities led to the Bank's asset composition shifting further

Gross Loans & Advances Stage-wise



towards financial investments as at end-2024. Accordingly, the proportion of financial investments increased to 45% as

Investment in Financial Assets



at end-2024 (end-2023: 40%), while the proportion of loans and advances stood at 48% compared to 49% as at end-2023.

Segmental Contribution (Note - Page 66)

Corporate Banking

2024: **15.9%**

2023: 16.8%

SME & Retail Banking

2024: **55.4%**

2023: 56.3%

Dealing/Investment

2024: **28.7%**

2023: 26.9%

Liabilities

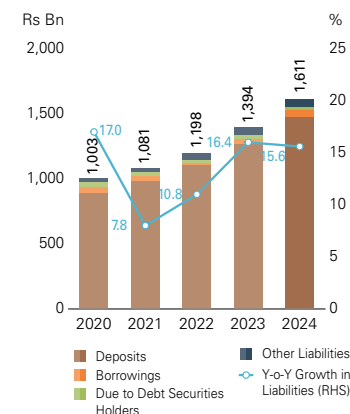
Total liabilities expanded by 15.6% to Rs 1,611 Bn as at end- 2024, with deposits accounting for 91% of total liabilities.

Strong deposit growth led to the Bank's deposit base expanding by 16.2% to Rs 1,469.2 Bn as at end- 2024. Growth was driven primarily by local currency deposits, which increased by 20.2% to Rs 1,247.3 Bn, and offset a 2.1% contraction in foreign currency-denominated deposits to Rs 222.0 Bn due to the appreciation of the Sri Lankan Rupee against the US Dollar.

Concerted efforts to strengthen the Bank's CASA position proved favourable, as the CASA base expanded by 18.3% to Rs 499.4 Bn, compared to a 15.2% growth in the Fixed Deposit base to Rs 962.3 Bn as at end-2024.

Amounts due to debt securities holders declined by 29.3% to Rs 18.9 Bn as at end-2024 due to the redemption of debentures that matured in February 2024.

Liabilities

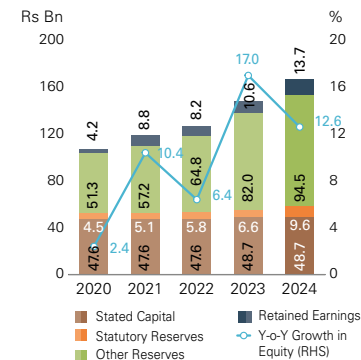


Shareholders' Funds

The Bank's capital position remained strong as at end-2024. Shareholders' funds increased by 12.6% to Rs 166.5 Bn, supported by strong performance.

The Bank's capital adequacy ratios remained well above the regulatory minimum requirement.

Shareholders' Funds



	2024	2023
Common equity Tier I capital ratio	16.75%	16.35%
Tier I capital ratio	16.75%	16.35%
Total capital ratio	19.38%	19.56%

Note: The segment assets, liabilities, income, and expenses figures mentioned above include inter-segment balances.

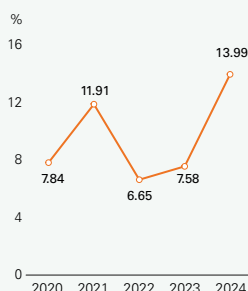
SHAREHOLDER VALUE

Strong performance drove superior shareholder value creation, as the Bank's Earnings per Share increased by 59.4% to Rs 23.30 in 2024, while Return on Average Equity rose to 17.7% in 2024

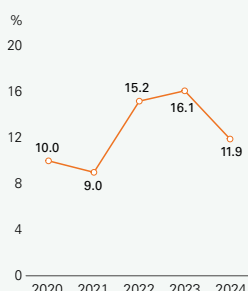
(2023: 12.7%). The Board recommended a final cash dividend of Rs 9.35 per share, bringing the dividend payout ratio to 40.13% (2023: 40.02%).

The value created for shareholders in 2024 is highlighted below through an analysis of the key drivers of the Bank's Return on Average Equity.

Net Profit Margin

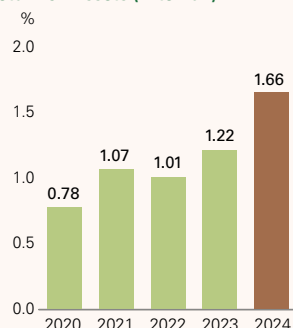


Asset Turnover



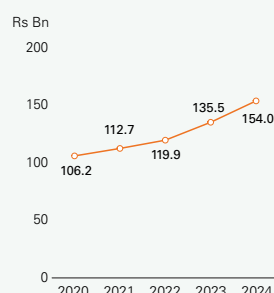
X

Return on Assets (After Tax)



Return on average assets (after tax) expanded to 1.66% in 2024 from 1.22% in 2023.

Average Equity

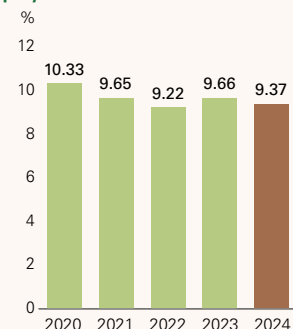


Average Assets



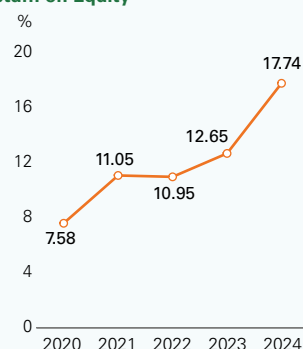
÷

Equity Ratio



÷

Return on Equity



Return on average equity expanded to 17.74% in 2024 from 12.65% in 2023 underpinned by strong performance.

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Financial Capital

Vertical Analysis of the Statement of Profit or Loss

For the year ended	2024		2023		2022		2021	
	Rs Mn	%	Rs Mn	%	Rs Mn	%	Rs Mn	%
Gross income	195,321	100	226,154	100	197,571	100	104,570	100
Interest income	183,055	94	203,447	90	157,619	80	85,987	82
Less: Interest expenses	103,047	53	131,157	58	84,117	43	44,318	42
Net interest income	80,008	41	72,290	32	73,502	37	41,669	40
Exchange income	(4,220)	(2)	(1,887)	(1)	16,261	8	4,849	5
Other income	11,706	6	20,570	9	21,191	11	11,969	11
Total operating income	87,494	45	90,973	40	110,954	56	58,487	56
Less: Impairment charge	(11,728)	(6)	20,149	9	62,706	32	17,085	16
Operating expenses	39,333	20	32,457	14	28,048	14	20,668	20
Profit before all taxes	59,889	31	38,367	17	20,200	10	20,734	20
Less: Taxes	32,568	17	21,227	9	7,066	4	8,277	8
Profit for the year	27,321	14	17,140	8	13,134	7	12,457	12

Horizontal Analysis of the Statement of Profit or Loss

For the year ended	2024		2023		2022		2021	
	Rs Mn	%	Rs Mn	%	Rs Mn	%	Rs Mn	%
Gross income	195,321	(14)	226,154	14	197,571	89	104,570	2
Interest income	183,055	(10)	203,447	29	157,619	83	85,987	(3)
Less: Interest expenses	103,047	(21)	131,157	56	84,117	90	44,318	(19)
Net interest income	80,008	11	72,290	(2)	73,502	76	41,669	23
Exchange income	(4,220)	(124)	(1,887)	(112)	16,261	235	4,849	74
Other income	11,706	(43)	20,570	(3)	21,191	77	11,969	25
Total operating income	87,494	(4)	90,973	(18)	110,954	90	58,487	27
Less: Impairment charge	(11,728)	(158)	20,149	(68)	62,706	267	17,085	45
Operating expenses	39,333	21	32,457	16	28,048	36	20,668	3
Profit before all taxes	59,889	56	38,367	90	20,200	(3)	20,734	45
Less: Taxes	32,568	53	21,227	200	7,066	(15)	8,277	31
Profit for the year	27,321	59	17,140	31	13,134	5	12,457	55

Vertical Analysis of the Statement of Financial Position

As at 31st December	2024		2023		2022		2021	
	Rs Mn	%	Rs Mn	%	Rs Mn	%	Rs Mn	%
Assets								
Cash and cash equivalents including placements	72,682	4	113,013	7	90,090	7	25,623	2
Net loans and advances	860,152	48	756,436	49	811,158	61	762,588	64
Other interest earning assets	772,150	43	584,889	38	321,531	24	338,871	28
Investment in subsidiaries	4,191	-	4,111	-	3,899	-	3,503	-
Property, plant and equipment	10,855	1	9,623	1	8,911	1	7,818	1
Other assets	57,911	4	73,876	5	88,837	7	61,510	5
Total assets	1,777,941	100	1,541,948	100	1,324,426	100	1,199,913	100
Liabilities								
Deposits from banks and customers	1,469,222	82	1,264,470	82	1,103,213	83	978,368	82
Debt securities holders, borrowings from banks & repo	77,168	4	68,829	4	40,901	3	72,829	6
Other liabilities	65,013	4	60,776	4	53,932	4	29,964	2
Total liabilities	1,611,403	90	1,394,075	90	1,198,046	90	1,081,161	90
Equity								
Stated capital	48,741	3	48,741	3	47,622	4	47,622	4
Reserves	117,797	7	99,132	7	78,758	6	71,130	6
Total equity	166,538	10	147,873	10	126,380	10	118,752	10
Total liabilities and equity	1,777,941	100	1,541,948	100	1,324,426	100	1,199,913	100

Horizontal Analysis of the Statement of Financial Position

As at 31st December	2024		2023		2022		2021	
	Rs Mn	%	Rs Mn	%	Rs Mn	%	Rs Mn	%
Assets								
Cash and cash equivalents including placements	72,682	(36)	113,013	25	90,090	252	25,623	(21)
Net loans and advances	860,152	14	756,436	(7)	811,158	6	762,588	6
Other interest earning assets	772,150	32	584,889	82	321,531	(5)	338,871	10
Investment in subsidiaries	4,191	2	4,111	5	3,899	11	3,503	5
Property, plant and equipment	10,855	13	9,623	8	8,911	14	7,818	(4)
Other assets	57,911	(22)	73,876	(17)	88,837	44	61,510	67
Total assets	1,777,941	15	1,541,948	16	1,324,426	10	1,199,913	8
Liabilities								
Deposits from banks and customers	1,469,222	16	1,264,470	15	1,103,213	13	978,368	10
Debt securities holders, borrowings from banks & repo	77,168	12	68,829	68	40,901	(44)	72,829	(13)
Other liabilities	65,013	7	60,776	13	53,932	80	29,964	(7)
Total liabilities	1,611,403	16	1,394,075	16	1,198,046	11	1,081,161	8
Equity								
Stated capital	48,741	-	48,741	2	47,622	-	47,622	-
Reserves	117,797	19	99,132	26	78,758	11	71,130	19
Total equity	166,538	13	147,873	17	126,380	6	118,752	10
Total liabilities and equity	1,777,941	15	1,541,948	16	1,324,426	10	1,199,913	8

Stabilising macroeconomic conditions, improved repayment capacity of customers and the Bank's prudent provisioning approach in prior years, led to an 84.7% decline in impairment charges for loans and advances to Rs 2.8 Bn in 2024.

OUTLOOK

As macro-economic conditions and investor sentiment continue to improve, the Bank intends on utilising advanced analytics to monitor developments and implement strategies to effectively capture emerging opportunities for diversification. Moreover, the Bank plans to utilise more efficient asset and liability management techniques for effective margin management in a low interest rate environment. Optimising provisions and strengthening recoveries by supporting business revival and leveraging data analytics will also be a key area of focus. The Bank will also continue to evolve its processes to fulfil the reporting requirements of SLFRS Sustainability Standards S1 and S2 in the year ahead.

Manufactured Capital

GRI 2-6

Sampath Bank's manufactured capital comprises the Property, Plant and Equipment of the Bank. Manufactured capital is key to connecting with customers as we seek to support and enhance economic activities throughout the country.

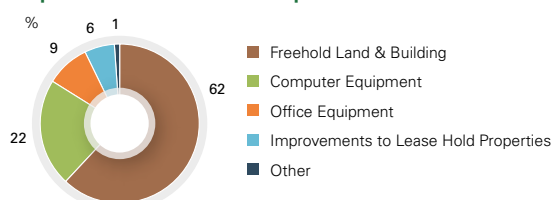


With the growth of digital transaction platforms and volumes, the need to be in every economic centre of activities has waned. A mature island-wide footprint supports our ability to service customers and preserves visibility in key markets. Consequently, the Bank has not increased the number of branches during the year, opting to invest in enhancing its digital capital which effectively supports the branch network.

STRATEGIC PRIORITIES

Strategic Priorities 2024	Key Achievements in 2024	Priorities for 2025	UN SDG
Improve the digital experience for customers at branches and at ATMs, CDMs, CRMs and VTMs	Introduced over 140 new CRMs, either replacing existing ATMs or as additions to the current network, including three strategic locations	The Bank plans to invest in around 200 new CRMs, replacing ATMs and CDMs while enhancing self-service options like cash withdrawals, deposits, recycling, balance enquiries, and account management	 
Upgrading and enhancing existing branches	Major changes or upgrades made to 30+ branches	Major refurbishments to be made to 50+ branches	 
Upgrading the Bank's head office owned by its subsidiary, Sampath Centre Limited	As outlined on pages 142 to 146 in the 'Subsidiary Performance' report		 

Composition of Manufactured Capital 2024



The chart represents the Bank's total property, plant, and equipment as of the year-end 2024. The total value of these assets amounts to Rs 10.9 Bn, with Freehold Land and Buildings accounting for 62%, Computer Equipment for 22%, Office Equipment for 9%, Improvements to Leasehold Properties for 6%, and Others for 1%.



2,300+

Physical Customer Touch Points



Rs 2.2 Bn

Investment in Manufactured Capital during 2024



3

Premises Converted to Solar Rooftops in 2024

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Manufactured Capital

GRI 2-6

MANUFACTURED CAPITAL FOOTPRINT

★ Branches

229



★ Cash Deposit Machines (CDMs)

234



★ Automated Teller Machines (ATMs)

260



★ eZ Banking Agents (EBAs)

1,252



★ Cash Recycling Machines (CRMs)

295

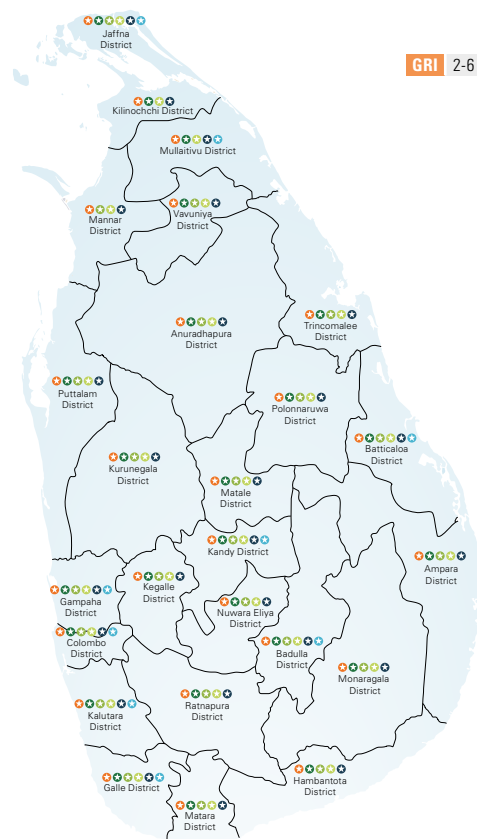


★ Digital Banking Centres (DBC's)

32



Scan this QR code for more details on the Bank's Physical Customer Touch Points



Customer Touch Points Distribution

Province	District	Branches	ATMs	CRMs	CDMs	EBAs	DBC's	Total
Northern	Mullaivivu	1	1	-	1	3	1	7
	Vavuniya	2	1	2	3	1	-	9
	Mannar	1	-	1	1	7	-	10
	Kilinochchi	1	1	-	1	2	-	5
	Jaffna	8	6	6	8	23	1	52
Central	Nuwara Eliya	4	4	3	5	39	-	55
	Matale	3	4	3	3	21	-	34
	Kandy	15	19	15	15	92	2	158
North Central	Polonnaruwa	3	2	2	3	10	-	20
	Anuradhapura	6	4	7	7	47	-	71
North Western	Puttalam	8	8	8	6	11	-	41
	Kurunegala	13	14	14	16	96	-	153
Eastern	Ampara	7	7	5	10	23	-	52
	Batticaloa	6	5	6	7	23	1	48
	Trincomalee	4	2	3	4	14	-	27
Uva	Badulla	5	5	5	7	16	1	39
	Monaragala	4	4	2	5	9	-	24
Sabaragamuwa	Ratnapura	8	9	6	8	30	-	61
	Kegalle	6	5	7	5	35	-	58
Western	Colombo	63	82	111	70	207	17	550
	Gampaha	27	39	47	24	191	5	333
	Kalutara	10	15	16	9	69	2	121
Southern	Hambantota	6	5	7	2	14	-	34
	Galle	10	8	12	6	177	2	215
	Matara	8	10	7	8	92	-	125
Total		229	260	295	234	1,252	32	2,302

BRANCH NETWORK

Sampath Bank's branch network consist of 229 fully-operational branches across 25 districts, of which 25 are in Bank-owned premises. The Bank is dedicated to enhancing operational efficiency and driving growth through sustainable practices. The Bank's Corporate Sustainability Department plays a pivotal role in driving financial inclusion, ensuring that these initiatives reach local communities, further improving access to banking services nationwide.

Enhancing Efficiency through Innovation

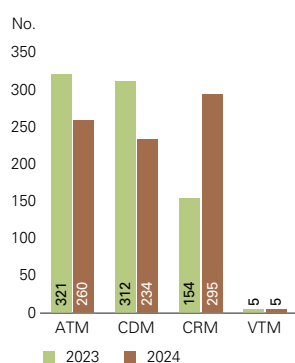
To streamline branch operations, the Bank introduced middleware solutions to expedite the account opening processes. The LIME Solution was rolled out during the year for new savings accounts, which helped simplify the account opening mandate. The solution enables front office staff to input only five primary fields when opening accounts, while the remaining steps processed centrally, significantly reducing customer wait time. The Bank aims to roll out the solution to all other personal accounts including current accounts, fixed deposits and foreign currency accounts.

Moreover, two super branches were piloted during the year, offering services on extended hours and days. During the pilot period, the branches achieved faster processing times by referring detailed tasks to the newly-established Central Branch Operations Unit (CBOU), which was established in 2023. Account level modifications also took place during the year, allowing customer details to be updated across all operating systems with a single entry, further enhancing efficiency and accuracy.

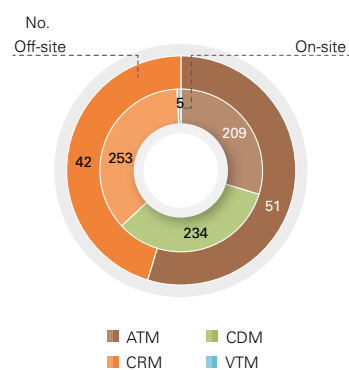
ATM/CDM/CRM AND VTM NETWORKS

The Bank continues to advance its self-service banking infrastructure, enhancing customer experience and operational efficiency through a range of machines including Automated Teller Machines (ATMs), Cash Deposit Machines (CDMs), Cash Recycling Machines (CRMs), and next generation Virtual Teller Machines (VTMs). The Bank currently operates 260 teller machines, with a growing focus on CRMs and VTMs.

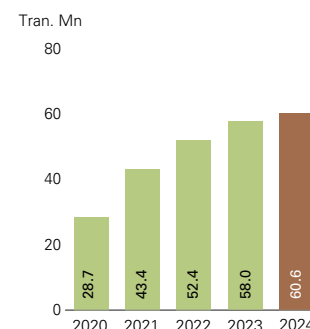
Machine Count



On-site & Off-site Machines 2024



ATM, CDM & CRM Transaction Volumes



KEY HIGHLIGHTS

- 141 new CRM machines were installed in key locations including Gampaha Sumedha International School, Sri Lanka Institute of Information Technology (SLIIT) and Port City.
- 5 VTMs are operational, providing enhanced features for customer transactions.

OUTLOOK

- The Bank is dedicated to advancing technology and upgrading systems to enhance customer service and operational efficiency.
- The Bank will replace ATMs and CDMs with new CRMs, consolidating multiple banking functions into one machine. The new CRMs will offer services like cash withdrawals, deposits and recycling with biometric authentication and enhanced security, reducing wait times, increasing convenience, and improving transaction handling, especially during high-volume periods.

SUSTAINABILITY INITIATIVES

As part of the ongoing initiatives, the 23 branches which are in owned premises have been converted to solar rooftops. For those branches which are rented, the Bank has transitioned to energy efficient lighting systems to further reduce its environmental footprint. The Bank's ongoing digital transformation has also contributed to a year-on-year increase in digital transactions, resulting in fewer people visiting the branches and leading to a decrease in Scope 3 emissions.

What is LIME? LIME is a single login platform designed to support banks digitise and streamline their operations. The main goal is to enhance operational efficiency, deliver actionable insights and to provide a quick service for customers.



Digital Capital

GRI 2-6

Since its inception, Sampath Bank has been a pioneer in introducing cutting-edge technology to both Sri Lankan consumers and corporates. Our unwavering focus on customer experience not only drives operational efficiencies but also upholds customer rights, including privacy.

Digital capital is a cornerstone of the banking sector's transformation from a traditional brick-and-mortar model to a digitalised era. This shift supports scalability and affordability, fostering a financially inclusive economy.



Contributing
SDGs



Nurturing Digital Capital in 2024

- Relaunch of 1 application
- Customer awareness on online safety
- Strengthened data security
- Enhanced CRM dashboards

Value Created for Customers

- Around **40.5 Mn** transactions facilitated on digital platforms (Sampath Vishwa & WePay)
- Around **Rs 3.4 Tn** of transactions through digital platforms (Sampath Vishwa & WePay)
- Near **100%** system uptime
- Reduced turnaround times for transactions
- Enhanced user experience
- Safeguarding customer privacy

Value Created for Bank

- **23%** in customers on digital channels (Sampath Vishwa and WePay)
- **18%** in digital transaction volumes (Sampath Vishwa and WePay)
- **21%** in digital transaction values (Sampath Vishwa and WePay)
- Reduced turnaround times in processes
- A digitally proficient team
- Enhanced digital resilience
- Relaunch of the new Vishwa App
- Relaunch of the customer onboarding solution

OUR CAPITAL INPUTS

Rs 2,862 Mn

Software at Cost
(as at 31st December 2024)

Rs 523 Mn

Capital Expenditure on
Software in 2024

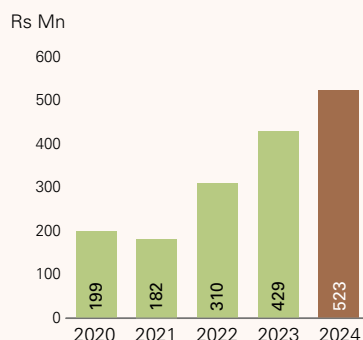
150+

IT Team

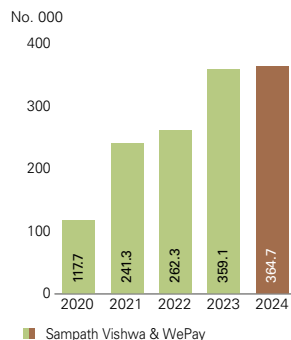
5

Built applications

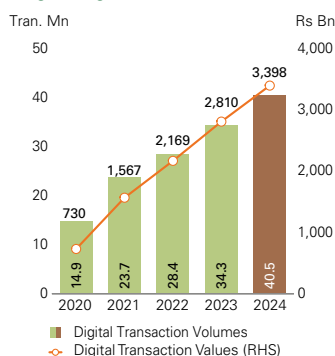
Investment in Software



Customers Onboarded to Digital Platforms



Usage of Digital Platforms (Vishwa & WePay)



Training on IT applications
and processes

3,259 hours



Training on IT security

3,054 hours

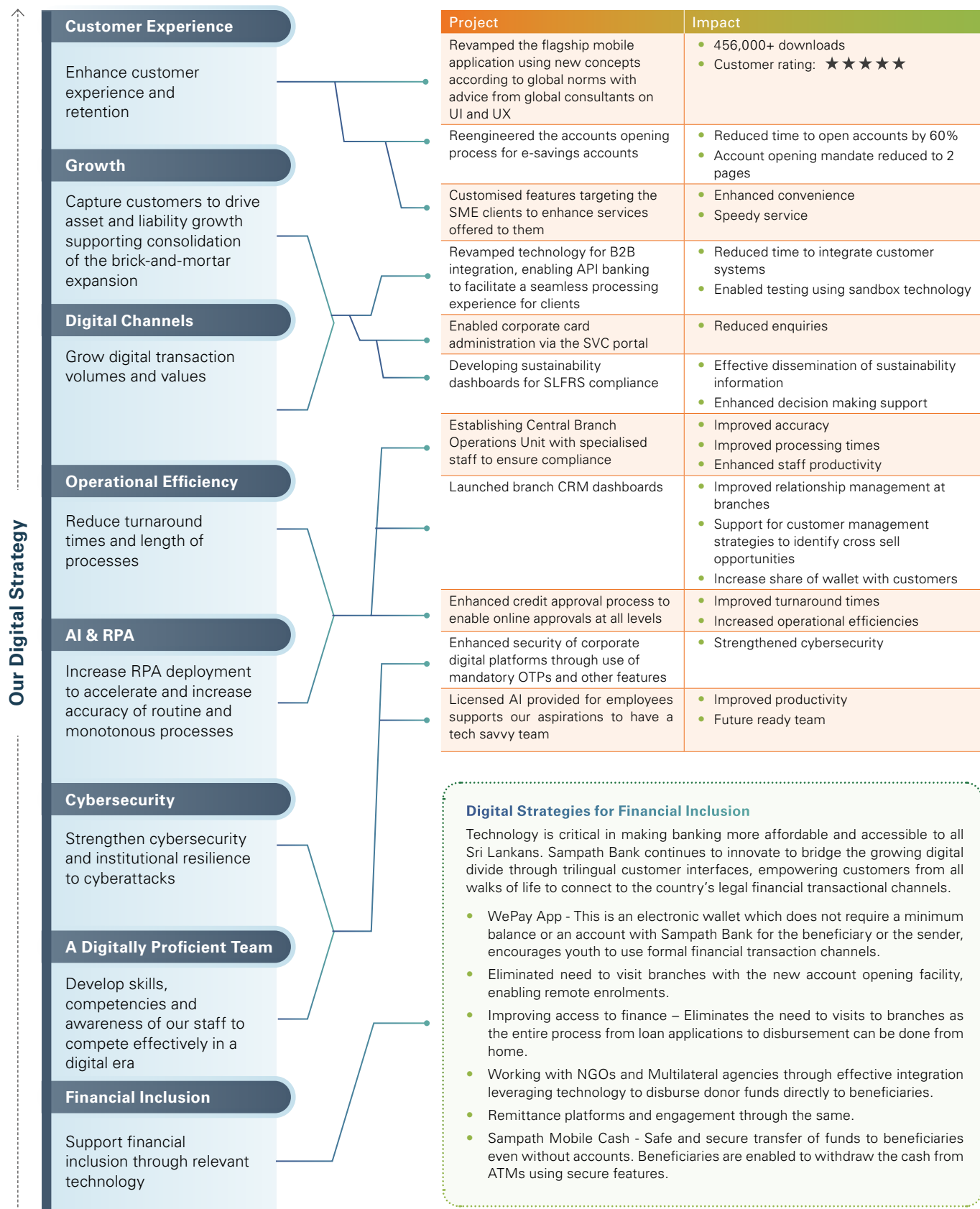
Digital Capital is the lifeblood of our technological evolution-encompassing both monetised elements like hardware and software investments, and non-monetised assets such as our highly skilled, tech-savvy team. These investments significantly enhance our digital capabilities, giving us a robust competitive edge as consumers increasingly embrace technology for greater convenience and corporations demand seamless system integration.

Over the past two years, our focus on digital capital investments has soared, with additions amounting to Rs 523 Mn in 2024, marking an increase from Rs 429 Mn recorded in 2023.

Our Balance Sheet underscores the importance of this digital capital, boasting a net book value of Rs 889 Mn.

Nurturing Our Digital Capital

A comprehensive digital strategy linked to our purpose and vision was our blueprint to nurture digital capital during the year. Our key strategies and the initiatives implemented to nurture digital capital are set out below.



Digital Capital

A YEAR OF INNOVATION

March

Launch of
Sampath
Vishwa Mobile
App V4



May

Sampath
PayBand -
Wearable device
for payments



2024



June

Quick
accounts
opening goes live



September

- API
Banking for
corporates
- AI based credit
evaluation



October

- Customised features
for SMEs on
Sampath Vishwa
Corporate
- Appointment banking
- Metal card



December

- Online credit card
manageability for
corporates



Sampath Bank continues to innovate to bridge the growing digital divide through trilingual customer interfaces, empowering customers from all walks of life to connect to the country's legal financial transactional channels.

OUTLOOK

The rapid advances in technology and generative AI continues to necessitate frequent review of digital strategies. We continue to monitor the evolving landscape considering both risks and opportunities through financial and sustainability lenses.

Taking our team and customers through the digital journey is key to success and the Bank will continue to focus on these factors. We remain committed to ensuring that a catalyst to transforming the banking sector with relevant technology.



Intellectual Capital

GRI 2-6

The Bank's intellectual capital encompasses a range of elements including its brand, systems, portfolio of products, standards, processes, as well as the tacit knowledge which is embedded within the organisation. The Bank's brand identity remains a central focus, with continuous efforts to strengthen the wide range of products and services offered to both individuals and businesses. Continuous improvements to systems and processes boost operational efficiency, while the Bank also prioritises employee development by fostering tacit knowledge through ongoing training and skill exposure, ensuring talent retention and organisational growth. Together, these elements contribute to strengthen the Bank's capacity and drive a sustainable and competitive edge.



STRATEGIC PRIORITIES

Strategic Priorities 2024	Key Achievements in 2024	Priorities for 2025	UN SDG
Strengthen the brand through brand development initiatives	15+ brand building activities conducted during the year	- Strengthening brand alignment to reflect Bank's new Purpose and Vision - Show our brand's commitment to social responsibility and sustainability	8 DECENT WORK AND ECONOMIC GROWTH
Product portfolio	4 new products launched	Prioritise on customer centric innovations and personalised solutions	9 INDUSTRY, INNOVATION AND INFRASTRUCTURE
Align systems, standards, and processes with global best practices	- Implemented LIME accounts opening process Phase I - Non-face-to-face customer onboarding	- Implementing LIME accounts opening process Phase II - Introducing operational regional managers	8 DECENT WORK AND ECONOMIC GROWTH
Invest in development and knowledge sharing programmes	- Deployed 64 team members in 21 overseas training programmes in 7 countries - Trained 2,710 team members for over 12 hours to enhance the customer centric thinking, through 36 tailored workshops conducted in 8 star class hotels regionally - Signed a MOU with IBSL	- Train team members to drive new strategies of the Bank - Ensure knowledge management systems are in place to facilitate the succession plan - Upskill the team to effectively operate business	8 DECENT WORK AND ECONOMIC GROWTH
Awards and Accolades	7 number of local awards won 4 number of international awards won	- Optimising for global and diverse recognition - Adapting to changing award criteria and practices	8 DECENT WORK AND ECONOMIC GROWTH 17 PARTNERSHIPS FOR THE GOALS

About Us

Hear from Our Leaders

Purposeful Strategy

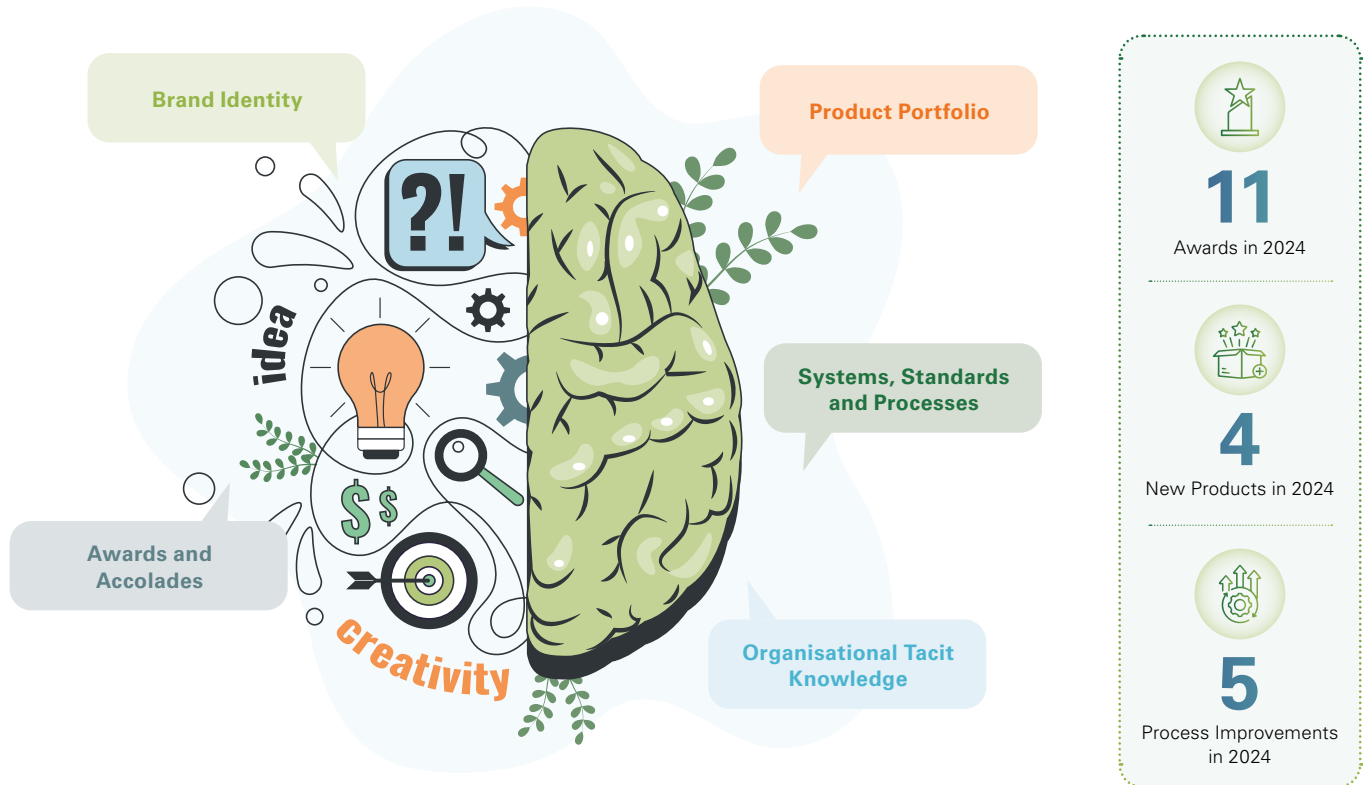
Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Intellectual Capital



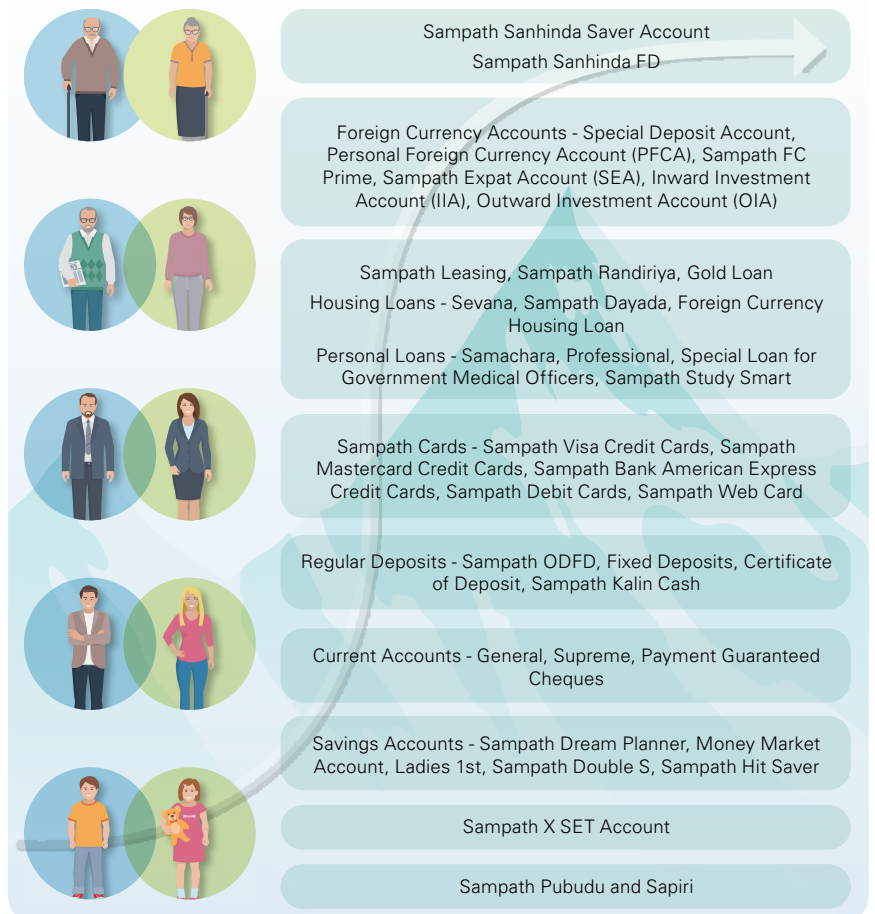
BRAND IDENTITY

Over the past 37+ years, the strategic journey at Sampath Bank has been centred on building a distinctive brand image that reflects the core values of the organisation and its vision. Through continuous innovations and customer feedback, analysis of performance metrics and market trends, the Bank ensures that the products and services remain aligned with consumer demands and market trends, maintaining a competitive edge in the market.

Guided by the message 'Pohosath Minissu' – values that bind beyond a transaction, Sampath Bank strives to be more than just a financial institution. The aim is to be a truly authentic Sri Lankan bank that adds lifetime value to the customers by offering, unique, innovative and tailor-made financial solutions, benchmarked against international standards.

The broad spectrum of offerings can be seen through the wide range of products and services designed for individuals across all stages of life, from savings to investments solutions. For businesses, the Bank provides tailored financial solutions that cater to different types, from startups and SMEs to large corporations which include services such as cash management, business loans and trade finance to support businesses grow. Through these diverse offerings, Sampath Bank supports long-term growth and success while ensuring that people and businesses have the resources they need to reach their financial objectives.

For Individuals



For Businesses and Corporates

Product/Service Category	Business	Corporate
Special Projects		✓
Bankers to IPOs, SPOs, Rights Issues and Debenture Issues		✓
Margin Trading		✓
Escrow and Custodian Services		✓
Renewable Energy Financing		✓
Export/Import Financing		✓
Warehouse Financing		✓
Dealer Financing		✓
Safe Deposit Lockers	✓	✓
Corporate Cards	✓	✓
Treasury	✓	✓
Financial Services	✓	✓
Trade Finance	✓	✓
Foreign Currency Accounts	✓	✓
Factoring	✓	✓

Product/Service Category	Business	Corporate
Business Loans and Other	✓	✓
Deposits and Investments	✓	✓
Digital Products	✓	✓
Business Savings	✓	✓
Cash Management	✓	✓
Sampath Leasing	✓	✓
Agent Banking	✓	

Beyond financial transactions, the Bank seeks to enrich the lives of communities across Sri Lanka, (refer Social and Relationship Capital) contributing positively to society and the environment. Moreover, through strategic partnerships and collaborations the Bank aims to leverage on mutual strengths and enhance the ability to provide comprehensive financial solutions. The Bank's identity remains pivotal, and ongoing efforts are being made to engage with customers through digital and content marketing activities. These include leveraging on social media advertising, content creation via social media, blogs and videos that promote the Bank's services but also help to connect with existing and potential customers.

SYSTEMS, STANDARDS AND PROCESSES

The Bank's ongoing efforts to enhance the efficiency and flexibility, while striving operational excellence, has driven several key improvements to the processes during the year. As part of these efforts, the Central Branch Operations Unit (CBOU) was formed in 2023 and under its purview the Bank has centralised almost 100% of routine back-office procedures, which was previously handled by the branch teams.

Total credit administrative functions of the Bank concentrated to one roof by amalgamating Central Loan Disbursement Unit (CLDU) with Credit Administration Department (CAD) by implementing more controls. CAD engaged in overall credit operations of the Bank including credit monitoring, auditing and statutory reporting as the central point of the Bank.

Not only do these bring benefit in streamlining operations, but it also ensures that compliance is met with various certifications and regulations related to environmental, social, product and service quality, further reinforcing the Bank's commitment to operational efficiency and regulatory adherence.

BUSINESS PROCESS IMPROVEMENTS

- Centralised operations under the Central Branch Operations Unit (CBOU) including account openings requests, processing of fund transfers, account closure requests, updating of personal/nominee information, SMS activation, all staff balance confirmations and Inland Revenue notices related activities.
- Enhanced digital account opening solutions including the introduction of the LIME system.
- Remote account opening via QR system.
- Enhancements to online banking apps with improved User Interface (UI) and User Experience (UX).
- The Centralised Credit Documentation Unit (CCDU) has taken over various functions previously handled by the branches including, scrutinisation of lease and Samachara facilities, assignment of lease indenture numbers, lease indenture acknowledgements in the Finacle system, monitoring of cash margin loan rates and clearing of all pending lease indenture acknowledgements upto 31st May 2024 across entire branch network from 2020.

PROCESS AUTOMATIONS

- With effect from 10th June 2024, Phase 1 of Lease Document Automation for Personal Facilities was implemented.
- Phase 2 of Performance Management System module implemented with effect from December 2024.

Intellectual Capital

Strengthening Internal Controls

The Bank maintains robust internal controls, including a comprehensive risk management framework, stringent compliance procedures, regular audits, ensuring effective operations and asset security.

CAD, as the centralised credit administrative department entrusted overall performance by establishing a post auditing and custodian unit to ensure the security documentation, system captured data and manage the security files in an orderly and methodical manner.

Compliance with Financial Consumer Protection Guidelines

In line with the Central Bank of Sri Lanka's Financial Consumer Protection framework, Sampath Bank adheres to the provisions outlined in Direction No. 1 of 2023 to ensure inclusivity and accessibility for all customers.

This includes,

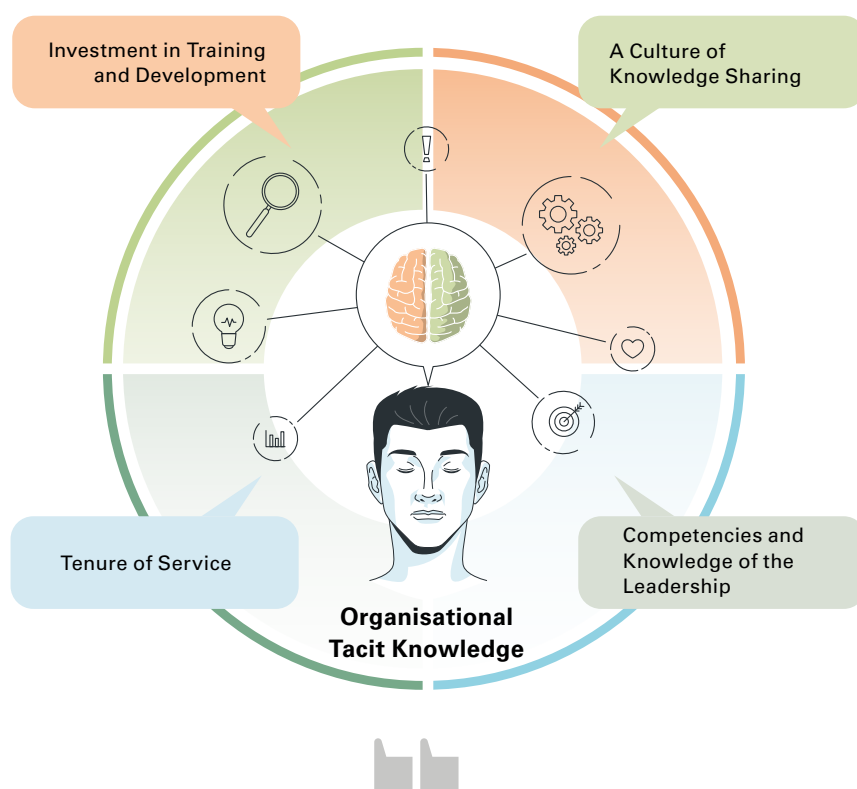
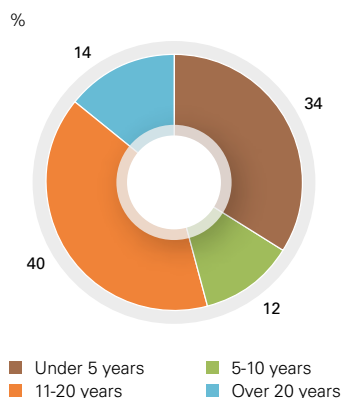
- Improving accessibility in its automated services by including assistive features such as screen reader functionality to ATMs and other devices.
- The Bank to provide debit and credit cards with accessibility features upon request of the financial customer.



ORGANISATIONAL TACIT KNOWLEDGE

In a dynamic and ever evolving banking sector, the collective tacit knowledge and expertise within the team are key to maintaining a competitive edge. At Sampath Bank, we recognise that nurturing and safeguarding this knowledge is key to long term success. To preserve this tacit knowledge, the Bank continues to foster a culture of knowledge sharing across the organisation, invest in training and development programmes, promote talent mobility through promotions and job rotations (refer Human Capital report). The ongoing commitment spans to all level across the organisation, enabling the Bank to remain adaptable and agile in an ever-changing environment.

Tenure of Employees 2024



Guided by the message 'Pohosath Minissu' – values that bind beyond a transaction, Sampath Bank strives to be more than just a financial institution. The aim is to be a truly authentic Sri Lankan bank that adds lifetime value to the customers by offering, unique, innovative and tailor-made financial solutions, benchmarked against international standards.

AWARDS AND ACCOLADES

The Bank's commitment to excellence across all aspects of the operation has been recognised both locally and internationally. This serves as testament to Sampath Bank's contribution to the Sri Lankan economy, its people and the environment.

Asia's Best Bank for Corporate Responsibility at the Euromoney Awards for Excellence 2024, the first Sri Lankan bank to receive this prestigious recognition.

Sri Lanka's Best Commercial Bank at the esteemed World Finance Banking Awards 2024 for the 10th time.

Corporate Sustainability Awards 2024 organised by Ceylon Chamber of Commerce.

Sri Lanka's Best Bank for Corporate Responsibility at the Euromoney Awards for Excellence 2024.

Merit Award in the CSR Brand of the Year category at the 23rd SLIM Brand Excellence Awards.

Finance Sector Winner.

Recognition received for Sri Lanka's Ten Best Corporate Citizens.

Second Runner Up.

Category Award Winner for Environment Beyond the Business.

Sri Lanka's Best Retail Bank at the esteemed World Finance Banking Awards 2024 for the 10th time.



Ranked 3rd in Business Today Top 40 2023 - 2024

Sampath Bank adjudged as the Runner-up in the Banking Category of ACCA Sri Lanka Sustainability Reporting Awards 2024 for the second consecutive year.

Silver Award for Private Banking Sector at the TAGS Awards 2024 organised by the Institute of Chartered Accountants of Sri Lanka.

Shortlisted for the Overall Excellence Award (Top 10).

Received Certificates of Recognition under Integrated Reporting, Corporate Governance, and Sustainability Reporting.

OUTLOOK

The focus is on aligning the Bank's brand with its new purpose and vision, demonstrating commitment to social responsibility and sustainability, prioritising customer-centric innovations and personalised solutions, while optimising for global recognition and adapting to evolving award criteria and practices.



Human Capital

GRI 2-6

As a service organisation, Human Capital is critical to the sustainable growth of the Bank and has the potential to create a significant competitive advantage. Accordingly, we are committed to strengthening our employees' skills, competencies and commitment through comprehensive engagement and development programmes. The Bank's growth and performance reflect our continuous commitment to this vital area, building a diverse and engaged workforce that powers our growth.



STRATEGIC PRIORITIES

Strategic Priorities 2024	Key Achievements in 2024	Priorities for 2025	UN SDG
HR Governance A comprehensive framework which covers policies, procedures, ethical standards of behaviour and best practices in HR to ensure achievement of stakeholder expectations.	- Reviewed/revised HR policies. - Introduced a Gender Policy. - Reviewed KPIs of Senior Management to reflect higher level of accountability and performance. - Reviewed and revised the performance-based bonus scheme to strengthen the performance-based work culture. - Considered a market adjustment of salaries for team members to attract and retain competitive talent for smooth business operations.	- Reward and recognise high performers in strengthening performance-based work culture. - Embed sustainability goals into HR practices and KPIs linked to ESG. - Further align leadership and competency development with long-term strategies of the Bank. - Technology driven HR Analytics to enhance objectivity of HR decision making. - Expand employee engagement and health and wellbeing programmes to enhance mental, physical, and emotional health.	



86%

Employee Satisfaction Ratio



Rs 6.2 Mn

Profit per Employee



45.01

Average Training Hours per Employee

STRATEGIC PRIORITIES

Strategic Priorities 2024	Key Achievements in 2024	Priorities for 2025	UN SDG
Learning and Development Foster a progressive learning culture that equips team members at all levels with essential skills to meet evolving stakeholder expectations.	• 199,286 number of training hours conducted during the year. • 45 average hours of training per year per employee. • 13 mass-scale dedicated programmes to upgrade skills and facilitate career transition.	• Increase training and development initiatives to strengthen the Bank's culture.	
Resourcing Enhance talent acquisition efforts to align with new strategies, ensuring the organisation attracts and retain those with necessary skills and qualities for future growth.	• 181 of new recruits to fill vacancies outside the Western Province. • 636 number of new recruits to fill vacancies during the year.	• Develop and implement internal mobility and structured job rotation programmes to align employee goals with Bank's strategic initiatives. • Invest in developing the talent pipeline through tailored development initiatives.	
Productivity Establish a transparent performance criterion, recognise achievements, and promote open communication.	• Rs 6.2 Mn profit per employee.	• Improve the Bank's performance through employee involvement and productivity improvements.	
Employee Engagement Implement indicatives to keep employees engaged and motivated.	• Employee engagement activities conducted under four main categories as follows. » Wellness and health initiatives » Team building activities » Recognition and rewards » Culture and social events • 86% of employee satisfaction ratio.	• Invest in employee engagement activities to strengthen its culture and motivate employees.	
Health and Wellbeing Promote a balanced work-life dynamic, supporting employees to thrive personally and professionally while positively impacting their community.	• Training on health and safety related to general workplace, job specific and compliance. • No work-related injuries or ill health recorded during the year.	• Continue to invest in employee wellness initiatives that support physical and mental health.	

HUMAN RESOURCE GOVERNANCE

Governance Structure

Sampath Bank has a comprehensive framework which updates global best practices continuously according to the new applicable human capital related laws which resembles the Bank is highly considerate on HR governance and best practices and creates a worldclass work environment for its employees to develop and enrich. HR Department centrally

handles all employee related activities including the recruitment, deployment, performance management, training and development, engagement, rewarding, exit procedures and grievance handling. The adherence to HR governance is the showcase of the Bank's commitment to manage its employees responsibly and transparently, which is critical for building stakeholder trust further.

Salary adjustments and increments exceeded 20% for all employees, with even greater increases for junior grades.

About Us

Hear from Our Leaders

Purposeful Strategy

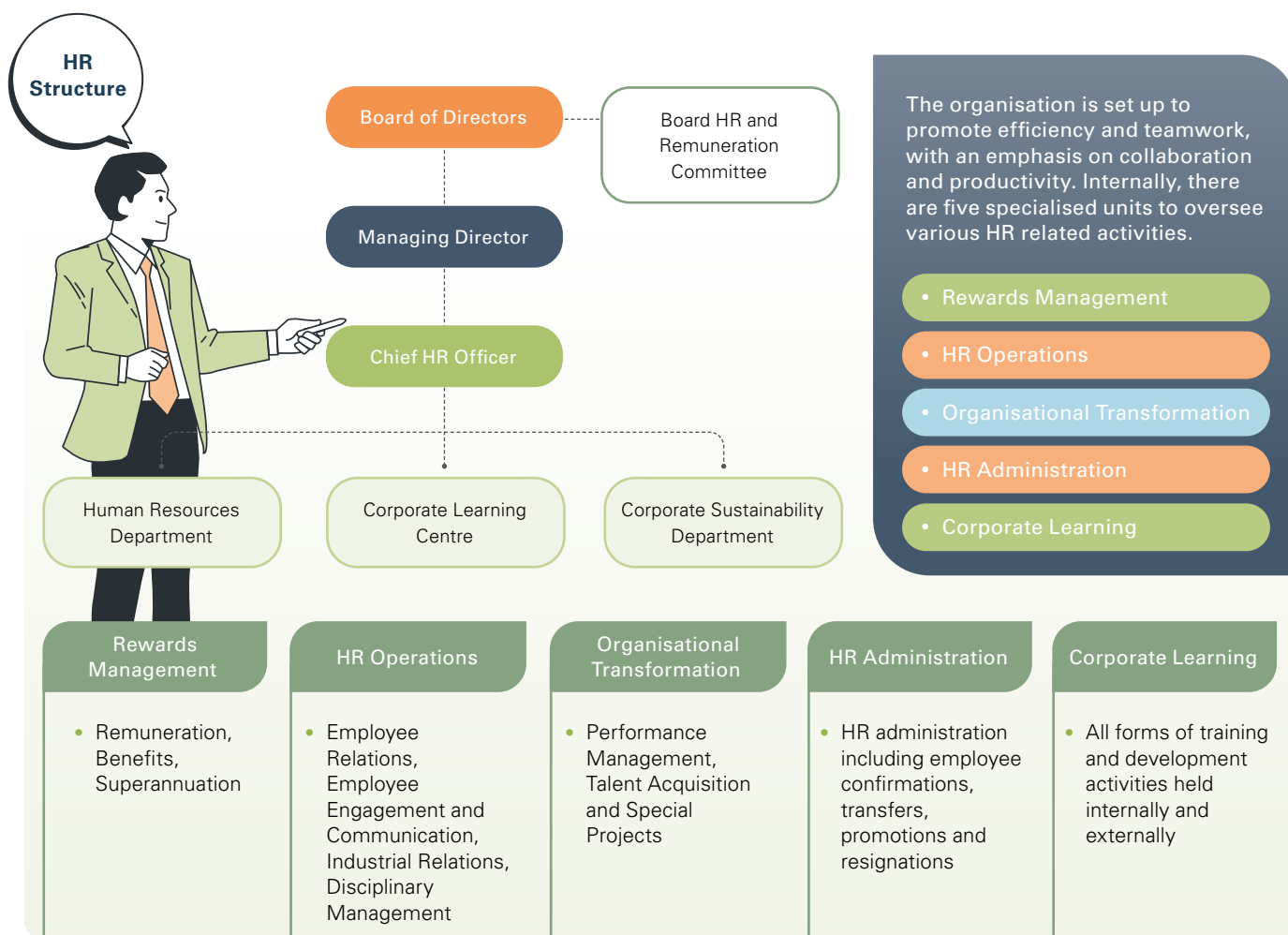
Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Human Capital



Policy Framework

The policy framework is periodically reviewed and enhanced to reflect the Bank's evolving demands, ensuring compliance with legal requirements and adherence to adopted standards and certifications. In Q4 2023, the Board authorised a new Code of Conduct, which went into effect on 1st January 2024. To ensure employees are well-informed, a series of training programmes were conducted, with 100% of employees acknowledging receipt of the new Code.

Introduced in 2024

Gender Policy

- Non-discrimination in treating the team members based on the gender
- Equal opportunities for full and equal participation in career growth and development
- Elimination of gender-based violence in workplace
- Empowerment of men and women in decision making
- Accountability to uphold principle of gender equality in the workplace

Reviewed and Updated Policies

- Overall Human Resources Policy
- Employee Relations Policy
- Employee Transfer Policy
- Employee Welfare Policy
- Grievances Handling Policy
- Industrial Relations Policy
- Leave Administration Policy
- Performance Management Policy
- Policy on Accepting and Presenting of Gifts
- Recruitment and Selection Policy
- Sports Policy
- Training and Development Policy
- Anti-Bribery and Corruption Policy

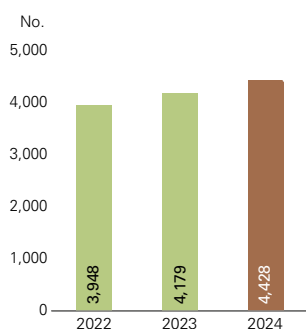


TEAM PROFILE

Job Creation

Sampath Bank's operations are driven by its diversified staff of 4,428 employees, who play a crucial role in supporting the economic growth and job creation within the nation.

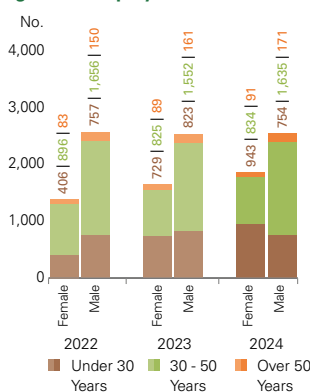
Total Employment



The total employment has demonstrated an upward trend, increasing from a headcount of 3,948 in 2022 to 4,179 in 2023, with an additional growth of 249 in 2024.

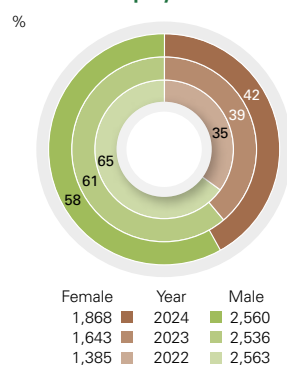


Age-wise Employment



The Sampath Team is well-balanced, with a mix of young professionals and experienced industry veterans.

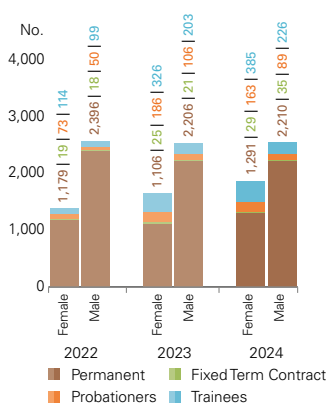
Gender-wise Employment



The representation of women in the Bank has increased from 2022 to 2023, showing an upward trend, and has reached 1,868 in 2024.

GRI 2-8

Type of Employment - Gender-wise

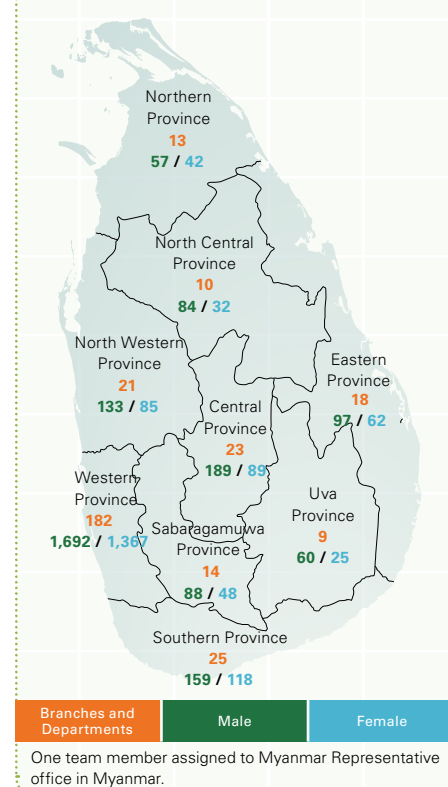


The Bank offers several employment types: fixed term contracts for temporary needs, permanent positions that offer job stability and benefits, probationary roles for new hires and trainee positions which are designed to develop skills for future roles within the bank.

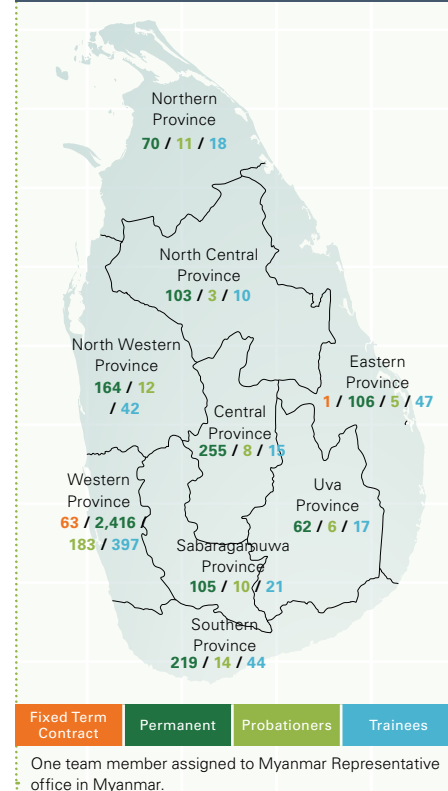


Whilst the age and gender diversity within the workforce contributes to the development of a distinctive culture, the Bank's broad geographic presence facilitates functional talent mobility across Sri Lanka, increasing operational flexibility.

Province-wise Staff Allocation 2024



Province-wise Employees by Type of Employment 2024



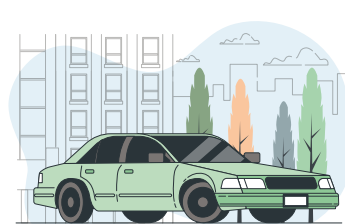
Human Capital

Outsourced Personnel

GRI 2-8

In addition to the staff employed by the Bank, there are over 1,600 personnel who are engaged through outsourcing arrangements to fulfil various operational needs. These outsourced personnel play an important role in supporting the Bank's functions and contribute to the overall success.

- Secretaries - Attend to secretarial functions.
- House keeping and janitorial staff - Ensure office premises are cleaned and maintained to high standards.
- Security officers - Safeguard the Bank's assets, employees and customers against security threats.
- Other - Drivers, stewards, messengers, telephone operators, etc.



Training and Compliance of Outsourced Personnel

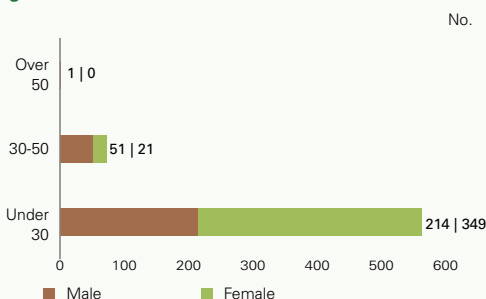
The Bank closely liaises with outsourced agents and companies to ensure that the security officers receive formal training on human rights and procedures which are relevant to their role. The security personnel are closely monitored by training supervisors who provide feedback on their compliance to the policies.

Recruitment and Turnover

Recruitment

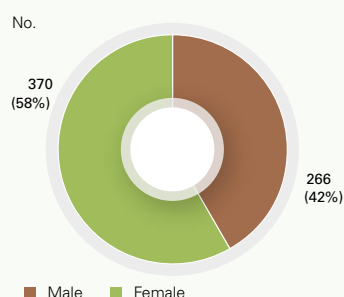
GRI 401-1

Age-wise Recruitment 2024



A higher number of female employees were recruited during the year, with the majority of the total 636 cadre being employees under the age of 30.

Gender-wise Recruitment 2024

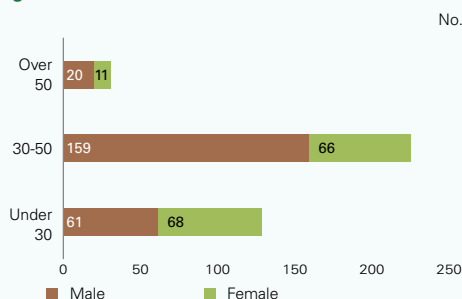


During the year a higher percentage (58%) of employees recruited has been female.

Turnover

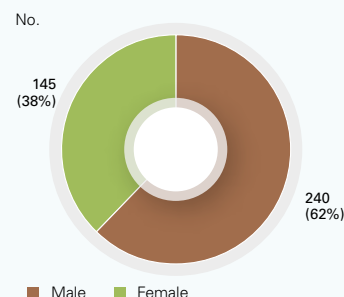
GRI 401-1

Age-wise Turnover 2024



Out of total 385 cadre, a higher turnover was observed in the 30 – 50 age group, with most of those departing being male employees.

Gender-wise Turnover 2024

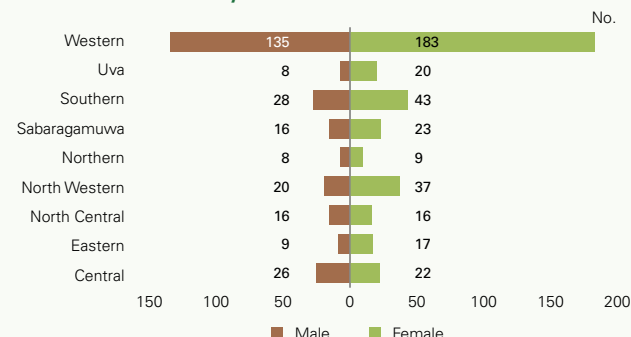


During the year, the majority of employees who left were male.

Recruitment

GRI 401-1

Provincial Recruitment by Gender 2024

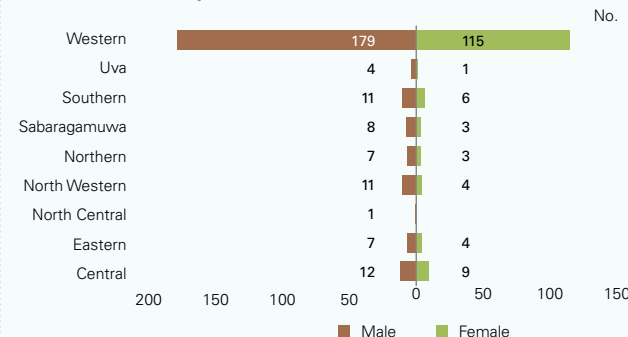


A higher number of employees have been recruited from the Western Province, with the majority being female.

Turnover

GRI 401-1

Provincial Turnover by Gender 2024



The majority of the turnover has been attributed by the Western Province, with other provinces accounting for minor turnover numbers.

HR STRATEGY AND KEY PILLARS



RESOURCING

The focus is to enhance talent acquisition efforts that align with new strategies, ensuring that the organisation attracts and recruits the right individuals who possess the right skills and qualities needed for future growth. The Bank aims to identify and onboard top talent that fits the current organisational structure as well as promote the innovative strategies.

Key Initiatives

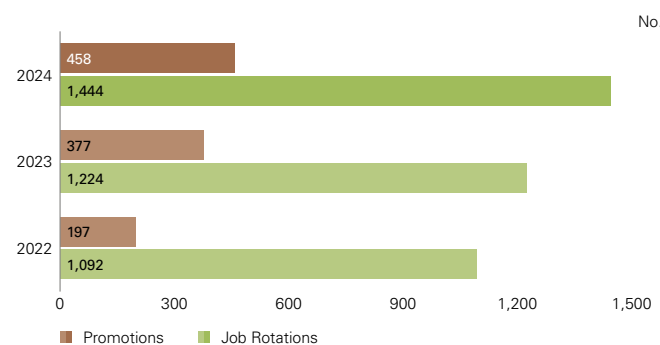
- 1 Cultivate an internal talent pool to maintain smooth operations amidst increased employee turnover
- 2 Implement island-wide recruitment to expand the availability of regional talent
- 3 Assess recruitment criteria to facilitate the reintegration of returning employees
- 4 Recruitment of experienced relevant talent for junior positions

Recruitment and Retention

During the year, the Bank implemented several strategies to manage the recruitment and retention of its employees. These include,

- **Utilisation of the succession plan**
 - » Promoted and rotated suitable team members in line with the "Develop from within" philosophy.
 - » Tapped into executive and middle management cadre to fill vacancies.
- **External recruitment**
 - » Pursued where necessary to fill in skill gaps, specialised areas and fill in senior management positions.
- **Entry level hiring**
 - » Conducted selected processes at the regional level to boost localised hiring.
 - » Facilitated via career guidance programmes held at universities.

Promotions & Job Rotations



318

of the new recruits hired are from outside the Western Province

636

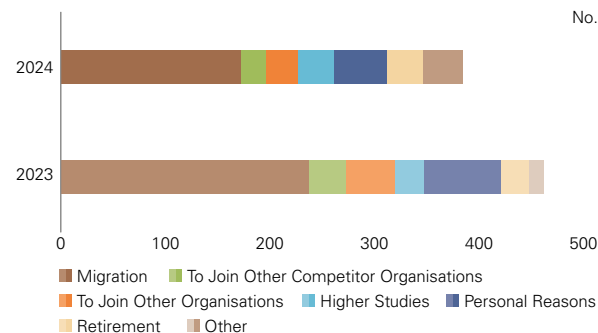
new recruitments during the year

Human Capital

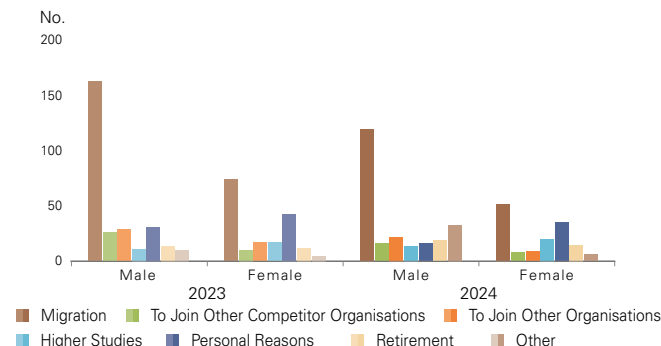
Turnover

The Bank's employee turnover data highlights significant trends influenced by various socio-economic factors. The total turnover decreased from 462 in 2023 to 385 in 2024. Migration remains the leading reason for turnover in 2024 as well. This year, 172 team members left the Bank for migration, in addition to 237 members who left in 2023, indicative of skilled professionals seeking opportunities abroad amidst economic instability.

Reasons for Turnover



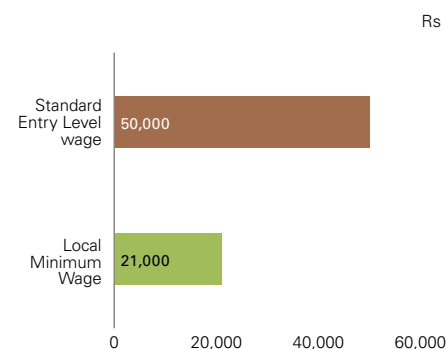
Reasons for Turnover by Gender



Rewards and Benefits

A significant increase in employee benefits, including compensation, was brought on by the substantial rise in the cost of living and higher personal income and consumption taxes. Competitive remuneration has always been a key component of Sampath Bank's approach to attracting and retaining top talent. Salary adjustments and increments exceeded 20% for all employees, with even greater increases for junior grades. The Bank's remuneration and compensation benefit plans not only adhere to legal requirements but also reflect industry standards and international best practices.

Local Minimum Wage & Standard Entry Level Wage 2024



The entry level wage of the Bank is set at Rs 50,000 which is significantly higher than the local minimum wage of Rs 21,000. The Bank's entry level wage is 2.4 times higher than the local minimum wage.

Sampath Bank's Benefit Structure

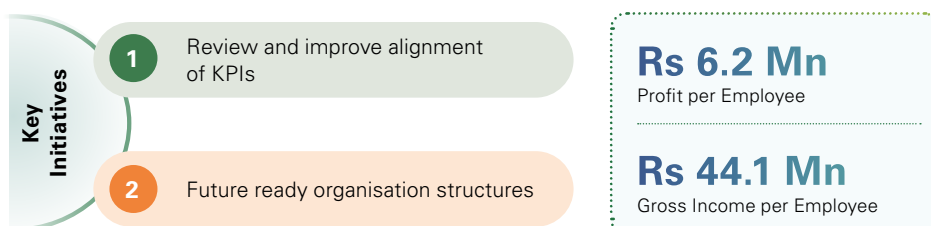
GRI 401-2

Description	Permanent Employees	Contract Employees	Differently-abled Employees
Profit Bonus	✓	✓	✓
Salary Increment	✓	On renewal of agreement	✓
Allowances (as applicable)	✓	✓	✓
Reimbursement of Course Fees/Exam Fees	✓	-	✓
Medical Facilities	✓	-	✓
Holiday Bungalow Facilities	✓	✓	✓
Special Non-technical Training	✓	✓	✓
Special Programmes for Children of Employees	✓	✓	✓
Death Benefit	✓	✓	✓

GRI 404-1,2,3

PRODUCTIVITY

The Bank has taken the initiative to cultivate a performance-oriented work culture that prioritise accountability and results. The Bank is dedicated to developing a transparent performance criterion, recognising achievement and encouraging open communication. Through fostering collaboration and providing essential resources and support, the Bank aims to inspire its workforce to achieve and align their ambitions with the organisation's objectives, driving collective success.

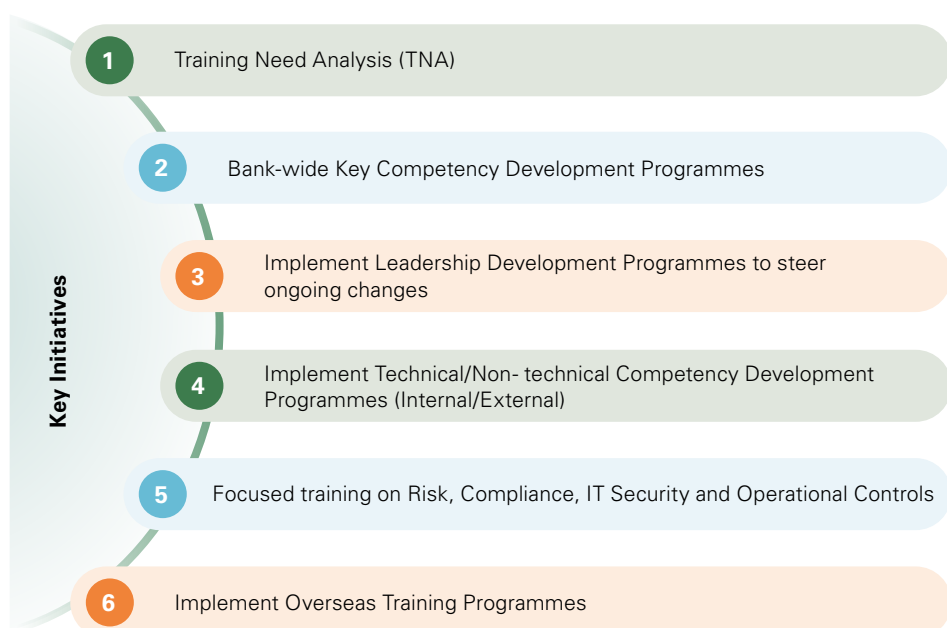


LEARNING AND DEVELOPMENT

The focus is to cultivate a progressive learning culture that nurtures high-performing, value-driven team members across all levels. This approach aims to equip employees with the skills and knowledge necessary to effectively meet the evolving expectations of stakeholders, both now and in the future.

The training coverage includes team members of the Bank (Team Sampath), interns and industrial placements, as well as the public, based on specific requirements. All employees have equitable access to job-specific training and other capacity-building activities to support their individual career goals. The Bank has increased its emphasis on training for all employee categories in response to issues with employee attrition brought on by the current economic crisis.

The Bank's training and development are conducted based on the Bank's distinctive competency framework, which encompasses 15 key competencies.



Rs 202 Mn

Investment in training and professional studies

430

Programmes conducted

4,361

Trained employees

199,286

Training hours

Delivery mode

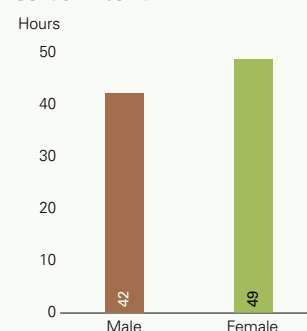
97%

in classroom

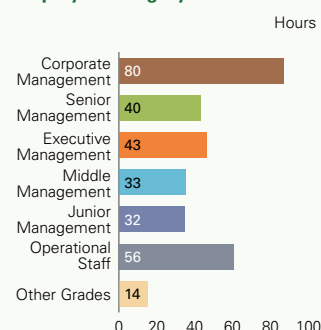
3%

online

Average Training Hours Gender-wise 2024



Average Training Hours per Employee Category-wise 2024



99%

of employees received regular performance and career development reviews

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Human Capital

GRI 404-2

Key Activities for 2024

No.	Competency Area	Number of Participants	Training Hours
(1)	Operations (Cash/Accounts Opening/Pawning/Cheques/Clearing/Credit cards)	20,979	21,044
(2)	Credit and Recoveries (Credit/Recovery/SME/Micro Finance)	5,899	19,622
(3)	International Operations (Trade/Foreign Currency Operations)	2,487	3,300
(4)	Risk and Compliance (AML)	1,078	2,019
(5)	Finance and Accounting	1,066	4,777
(6)	Marketing (Products/Branding)	1,141	1,526
(7)	Human Resource Management/Health and Wellbeing	2,478	5,981
(8)	Legal and Good Governance	526	769
(9)	Other Technical Programmes (Treasury etc.)	3,117	11,117
(10)	Orientation Programmes	4,995	34,033
(11)	Customer Service Excellence and Selling Skills	3,713	33,309
(12)	Leadership and Management (Competency Development Programmes/Strategic Management/Change Management)	1,945	8,255
(13)	IT Skills (Core Banking System/Digitalisation/Project Management/E-Commerce etc.)	1,178	3,421
(14)	Communication Skills (Business Writing/Effective Communication)	281	1,970
(15)	Other Non-Technical Skills (Train the Trainer etc.)	2,016	3,589
(16)	Learn with Vidvan - LMS (number of times participants logged into LMS)	39,142	44,554
	Grand Total	92,041	199,286

EMPLOYEE ENGAGEMENT

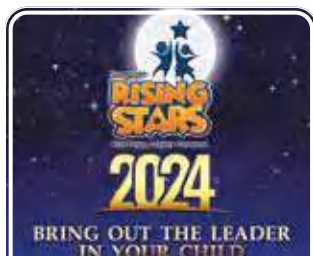
The Bank has implemented a variety of initiatives aimed at keeping its workforce engaged and motivated, including professional development opportunities, team building activities, and recognition programmes that celebrate individuals' and team achievements. The Bank encourages employees to actively participate, fostering a sense of ownership and collaboration.

Key Initiatives



Sampath Service Awards

In appreciation of long service employees



Sampath Rising Stars

Leadership and personal development programme for children of employees



Best Speaker Programme



Sampath Debater



Sampath Nite



Sampath Colours Night



Sampath Bank Inter Branch/Department Quiz



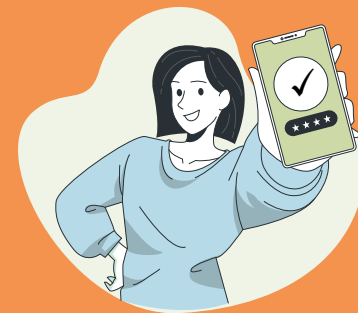
Inter Branch/Department Six-a-Side Cricket Tournament

Activities Conducted by Clubs and Societies

The Buddhist Association  - Annual Pirith Ceremony held in March - Bakthi Gee Ceremony held in Kandy	The Photographic Club  Two programmes held during the year on Event Photography and Studio Glamour Photography	Toastmasters Club  - Vision to Victory - Halloween Day - Father's Day
CSR Initiatives  Refer pages 94 to 109 on Social and Relationship Capital and pages 110 to 128 on Natural capital	Women Empowerment Initiatives  Refer pages 92 and 93	Sports Club  - Sampath Nite - Sampath Bank Inter Branch/Department Quiz - Sampath Colours Night - Inter Branch/Department Six-a-Side Cricket Tournament

Employee Satisfaction Survey

Sampath Bank conducts an annual employee satisfaction survey. The Bank recorded an overall satisfaction score of 86% in 2024.

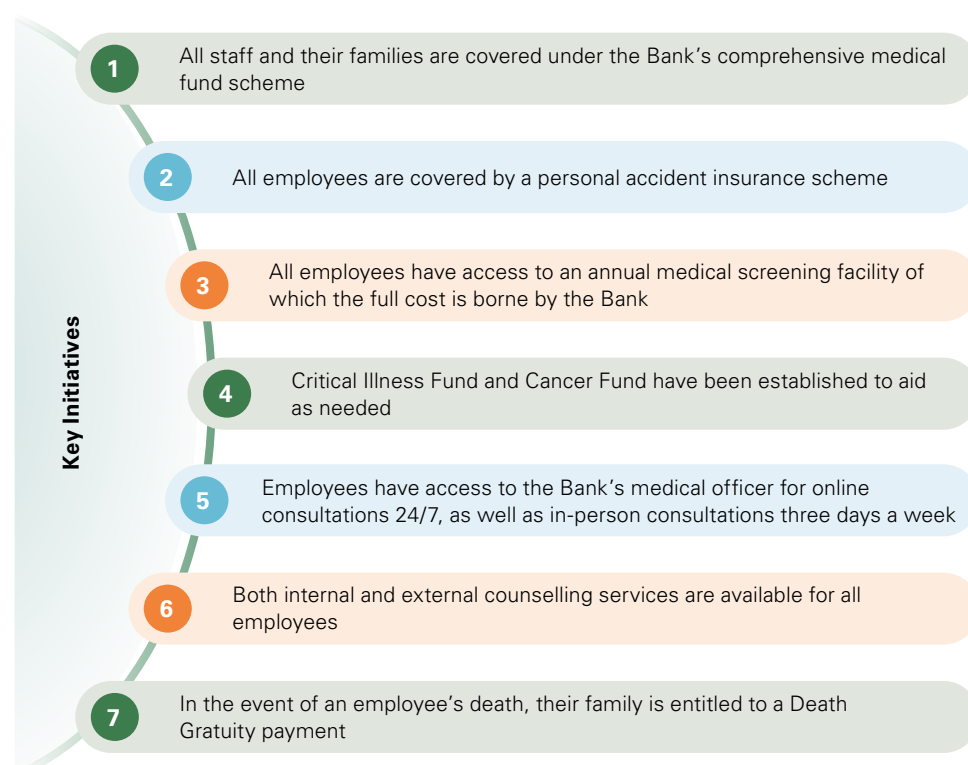


OUR COMMITMENT TO HEALTH AND WELLBEING OF OUR STAFF

GRI 403-1

Sampath Bank's health and wellbeing programmes are designed to promote a balanced work-life dynamic, allowing employees to thrive both personally and professionally while making a positive impact in their communities. The Bank recognises that achieving overall success involves not only meeting professional goals but also nurturing personal wellbeing. To this end, the Bank is dedicated to safeguarding the mental, emotional, and physical health of its staff through a holistic approach to wellbeing. This includes offering resources such as mental health support, fitness initiatives, and health check-ups that empower employees to prioritise their health. By doing so the Bank aims to enhance employee satisfaction and productivity, which leads to improving both the employee and organisation.

The Bank is committed to facilitating access to non-occupational medical and healthcare services for its employees and their families.



Medical Cover

2,229

number of claims during the year

Rs 238 Mn

spent during the year

Counselling Cell

11

employees benefited

Rs 0.14 Mn

spent during the year

Critical Illness and Cancer Funds

41

number of claims during the year

Rs 15.6 Mn

spent during the year

Human Capital

Comprehensive health and safety training is provided to all employees.

GRI 403-9,10



Fire Safety and Emergency Evacuation Training and Drills conducted



Safety trainings carried out on a planned basis as a proactive safety measure, providing employees the knowledge and abilities they need to maintain a safe environment



The Bank remains dedicated to increasing awareness about the prevention of Non-Communicable Diseases (NCD) while implementing various initiatives to encourage healthy lifestyles and enhance overall wellness. These efforts include hosting an Annual Health Conference and conducting awareness programmes on vision care, dental screenings, and breast cancer, among other topics.



Vision Care Eye Checkups

Benefited **150** employees



Vision Care Awareness Programme

Benefited **43** employees



Annual Medical Checkup

Benefited **80** employees



Weight Loss Challenge

Benefited **172** employees



Personal and Healthcare Awareness Programme

Benefited **29** employees



Non-Communicable Disease (NCD) Screening

Benefited **132** employees



Dental Screening on Wheels

Benefited **100** employees



Health Conference

Benefited **100** employees

DIVERSE AND INCLUSIVE WORKPLACE

GRI 405-1

Sampath Bank actively encourages diversity and inclusion in the workplace, guided by its values of equal opportunity and non-discrimination. By implementing a zero-tolerance policy for harassment and discrimination, the Bank ensures that every employee has equal opportunities to contribute to its success, whilst leveraging their unique skills and working with colleagues.



There were **ZERO** incidents of discrimination reported during the year

Sampath Bank Gender Ratio

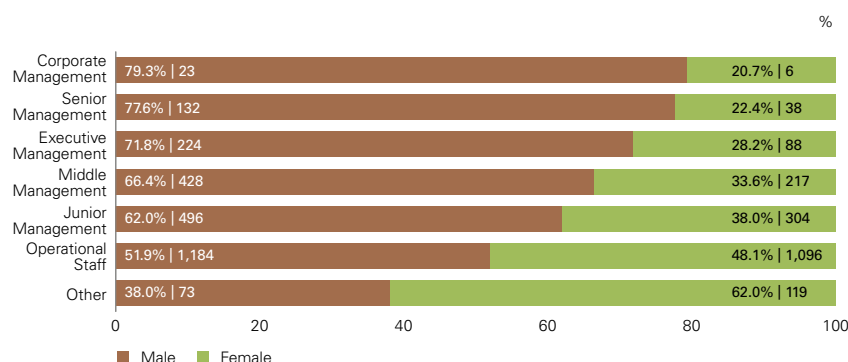
2024		
Quarter	Male	Female
Q1	59	41
Q2	58	42
Q3	58	42
Q4	58	42

In 2024, Sampath Bank maintained a relatively stable gender composition across all quarters, demonstrating its commitment to workforce diversity. The year began with a male-to-female ratio of 59:41 in Q1, which slightly adjusted

to 58:42 for the remaining three quarters of the year. This consistency in gender distribution reflects the Bank's sustained efforts to maintain a balanced workforce, though there remains opportunity for further progress toward gender parity.

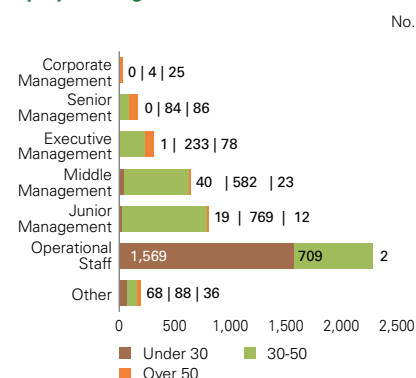
Gender Representation Across Employee Categories 2024

GRI 405-1



Age Representation Across Employee Categories 2024

GRI 405-1



Basic Salary and Remuneration Ratio by Gender and Employee Category

GRI 405-2

Description	2024		2023	
	Male	Female	Male	Female
Corporate Management	1.00	1.00	1.00	1.00
Senior Management	1.00	1.04	1.00	1.00
Executive Management	1.00	1.00	1.00	1.00
Middle Management	1.00	0.99	1.00	0.97
Junior Management	1.00	1.05	1.00	1.02
Operational Staff	1.00	0.95	1.00	0.86

The ratio of basic salary at the entry level for male and female is 1 : 1. However, this ratio may change due to different service periods of employees in the Bank and elevation of the salary grade due to promotions.

The Bank has implemented numerous initiatives aimed at empowering women, conducting programmes that support their professional development, leadership opportunities, and health and wellbeing. These initiatives aim to create an inclusive environment that fosters women's development and advancement both within the organisation and in the community.

Human Capital

GRI 401-3

Parental Leave

Sampath Bank actively promotes women's empowerment through affirmative action programmes, ensuring both parents receive the support they need during the time.

	Female	Male	Total
Total number of employees that were entitled to parental leave by gender	1,868	2,458	4,326
Total number of employees that utilised parental leave by gender	26	79	105
Total number of employees that returned to work in the reporting period after parental leave (excluding female staff who were on maternity leave as of 31st December 2024)	17	79	96
Total number of employees that returned to work after parental leave ended that were still employed 12 months after their return to work by gender (12 months considered from 1st January 2024 to 31st December 2024)	53	39	92
Return to Work Rate [%]	94.4	100.0	99.0
Retention Ratio [%]	91.4	88.6	90.2

- The Bank offers 84 working days of maternity leave



- Offers nursing hours

- Provides 7 days of leave for paternity



The Bank offers parental leave policies to support work-life balance. During the year, 4,326 employees were eligible, and 105 employees utilised parental leave. A total of 96 employees returned to work and the return-to-work rate was 94.4% for women and 100% for men, whilst the retention ratio was 91.4% for women and 88.6% for men. These metrics indicate the prevalence of a conducive work environment for parents of infant children and the support provided by the Bank towards work-life balance.

WOMEN EMPOWERMENT

The Bank has implemented numerous initiatives aimed at empowering women, conducting programmes that support their professional development, leadership opportunities, and health and well-being. These initiatives aim to create an inclusive environment that fosters women's development and advancement both within the organisation and in the community.

Trainings Focused on Women



SLID Women in Leadership

- Five Senior Management members participated during the year.
- Six months training programme including class-room training, self-learning and mentoring.



She Leads

- Leadership programme for female team members in the organisation, to equip them with the skills and confidence necessary for leadership roles.
- 23 participated during the year.
- 288 training hours completed during the year.

Engagement Initiatives

The Bank has undertaken various initiatives specifically aimed at promoting women and increasing engagement, including competitions that celebrate their achievements and health and wellbeing programmes which have been designed to promote their holistic development.



Women on Wellness Zumba Programme

75 participants



Weight Loss Competition

60 participants



Women's Day Video Competition

15 branches/departments participated



Women on Wellness Yoga Programme

25 participants



Breast Cancer Awareness Programme

40 participants

INDUSTRIAL RELATIONS

GRI 2-30

Despite the absence of an official collective bargaining agreement, 98% of Sampath Bank employees are members of an internal, politically unaffiliated employees' association. However, the Bank engages in collective bargaining with the Sampath Bank Employees' Association (SBEA) with regard to matters concerning employees. Both the Bank and the SBEA are dedicated to fostering a cooperative relationship in decision-making processes.

HUMAN RIGHTS

GRI 2-26

The Bank remains committed to upholding human rights and has in place the following grievance mechanisms to enable employees to draw attention of management to any potential or actual violations.

- Whistleblowing Policy
- Townhall meetings
- Open Door Policy
- Grievance Handling Policy
- Regular branch visits by management

OUTLOOK

Short term

- Increase presence of a young, Gen Z workforce.
- Emphasise on employee engagement and involvement while driving productivity improvements through performance-based rewards and recognition.
- To provide ongoing training and development to upskill and reskill staff in alignment with new strategies, while maintaining consistent efforts to enhance customer service standards.

Medium term

- Provide leadership development and strengthen succession planning for diverse business lines.
- To continue centralisation and automation of back-office functions to focus on customer service and to enhance productivity.



Social and Relationship Capital

GRI 2-6

The Bank is committed to maintain its valuable relationships with its current and potential stakeholders including, customers, suppliers and the wider community. These relationships are essential for the Bank's ability to operate effectively, drive business growth, and ensure long-term sustainability. In addition to building loyalty and trust with its customers and suppliers, the Bank gains the community's respect and support by offering time and resources to fostering and enhancing community projects and maintaining relationships.



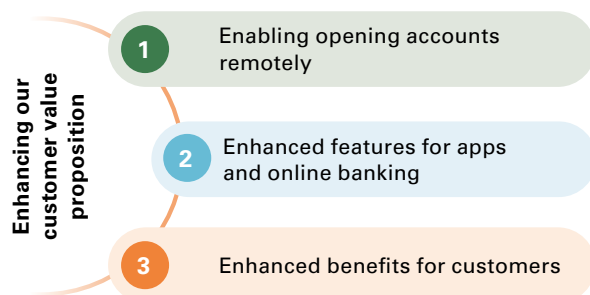
STRATEGIC PRIORITIES

Strategic Priorities 2024	Key Achievements in 2024	Priorities for 2025	UN SDG
Increase customer convenience By offering streamlined processes and offering user-friendly solutions.	4 new solutions offered to customers in 2024.	Continue to improve and provide customer convenience through new products and services.	 
Enhance the digital experience for customers Focus on improving digital platforms and services to provide customers with a seamless, efficient and intuitive online banking experience.	Enhanced customer interfaces of digital banking platforms.	Enhance customer engagement through digital channels.	  
Strengthening customer engagement and responsiveness Aim to provide proactive service and have clear communication paths, to build stronger relationships and respond quickly to customer needs and concerns.	98.2% customer complaints resolved.	- Maintain customer response time (attending to customer complaints within 24 hours). - Continue to provide proactive customer service.	 
Empower and support the community Invest in initiatives that foster community development, supporting local groups thrive through capacity building, education and other engagement programmes.	- Rs 190 Mn economic value distributed to the community. 48 social and community projects conducted during the year. 51,255 benefited from community development programmes. 6,208 beneficiaries from the 'Wewata Jeewayak' programme. 5,298 beneficiaries from the 'Sampath Saviya' Entrepreneurship Development programme.	- Continue to invest in innovative solutions to empower and uplift communities. - Increase the investment for agri entrepreneurship development programme to develop agri-based model villages. - Increase employee engagement in social and community projects.	   

CUSTOMER



The Bank is committed to delivering customer service by addressing the needs of both internal and external customers by focusing on professionalism, efficiency and a commitment to excellence. It aims to provide comprehensive solutions by embracing innovation and adopting digital avenues, which enhance customer engagement in an increasing dynamic financial environment. During the year, the Bank undertook several key initiatives aimed at enhancing its customer value proposition.



iGift – WePay Mobile App



WePay introduced the innovative iGift feature, revolutionising the gifting experience by allowing users to send money as a gift with an attractive animation via their chosen social media network.

The recipients can redeem their gifts using the WePay app, making it an ideal solution for occasions such as birthdays, weddings, anniversaries and more.

To add a personal touch, senders have the option of including a customised message, ensuring each gift is unique and meaningful.

Live Bank/Remote Account Opening Process

An initiative was launched to streamline customer onboarding process through "Live Bank" at the branches, with the primary focus on minimising customer wait time and front office involvement. By using the new process, the average account opening time has significantly reduced.

The remote accounts opening initiative focuses the customers who are unable to visit a branch, as well as overseas clients, to complete their onboarding from the comfort of their preferred location, offering greater convenience and efficiency.

New Vishwa Mobile App

The new Vishwa mobile app, launched in 2024, was initiated as a project in 2023 to deliver an enhanced user experience. The app features a simplified interface, offering trilingual access and a range of innovative features. The simplified interface allows customers to complete tasks with efficiency, with streamlined interactions to reduce steps to maximise convenience.

Key features include,

- Biometric authentication.
- Blocking and reactivating of lost cards.
- Instant loans against fixed deposits and loan settlements.



Sampath Vishwa Retail



The features include,

- Fixed deposit (FD) uplift in which customers can process their FD upliftment requests independently, addressing urgent requirements 24/7 without requiring branch staff assistance.
- Loan settlement feature in which customers can easily settle their LKR loans, fully or partially, view paid instalments and manage transactions at their convenience, offering a seamless and efficient banking experience.

Sampath Vishwa Corporate



New features,

- Customers can now benefit from an upgraded system that allows real time bulk Common Electronic Fund Transfer (CEFT) transactions through file uploads, providing a seamless and efficient way to process large volumes of payments ensuring both speed and accuracy.
- The customer can now submit bank guarantee requests added a layer of convenience by simply completing the application and submitting it for approval online, saving time and effort. Once the bank guarantee has been approved, the customers can visit the bank to collect the printed document, streamlining the entire process and reducing the waiting time.

Sampath Sanhinda Saver Account



Sampath Bank is the only bank that provides free medical benefits to senior citizens having delivered over Rs 1 Bn in medical benefits over the past five years.

Rs 155 Mn

Medical benefits provided

Solar Loans



In 2024, the Bank entered into a Memorandum of Understanding (MOU) with Hayleys Fentons to offer additional concessions to Sampath Bank customers who wish to invest in solar panels.

Rs 534 Mn

Solar loans provided

Student Payments

Sampath Bank offers a comprehensive solution for studying abroad including an education loan up to Rs 10 Mn. The Bank provided the most seamless, user-friendly services facilitating foreign education. Currently, the Bank remits money to 57 countries worldwide and recorded a 30% YoY growth amidst lowering market growth due to restrictions imposed by many international education markets.



Social and Relationship Capital

CUSTOMER ENGAGEMENT

The Bank undertakes a variety of customer engagement initiatives aimed at connecting with customers and enhancing their overall banking experience. These initiatives are aimed at building stronger relationships with customers, ensuring they have the necessary support and information they need to make informed financial decisions and access seamless banking services.

Give Away Campaigns



Ladies 1st Campaign - Bank issued attractive gifts for Ladies 1st account holders who made new deposits during the month of March.



Savings drive "Folding Chair Campaign" - Sampath Bank issued a folding chair for customers who deposit Rs 200,000 at a savings certificate.

Social Media Engagement Campaigns



Overseas Student Payment Campaign - Sampath Bank provides a total solution to study overseas.



Vishwa App Download Campaign - Bank introduced upgraded mobile app with improved UI/UX to enhance online banking experience.

Book Fair 2024



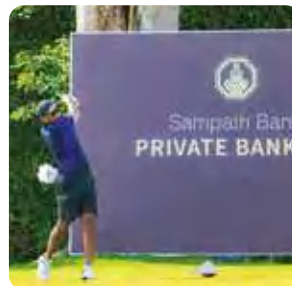
For over 16 years, Sampath Bank has proudly been the Official Banker of the Colombo International Book Fair. This iconic event, held from 27th September to 6th October 2024, at the BMICH, attracted over a million visitors. Sampath Bank's partnership continues to support the promotion of literacy and education enriching the community through the celebration of reading.

Oktoberfest



SampathCards has partnered once again with the Original Oktoberfest at Hilton Colombo to become the main sponsor for the 2024 event. This festival, which was held over a period of 10 days attracted almost 12,000 guests.

Sampath Bank Golf Tournament



Sampath Bank was proud to sponsor the prestigious July Monthly Medal Event at the Royal Colombo Golf Club (RCGC), held on the 12th and 13th of July 2024. Bringing together over 300 golfers from across the country, this event was a testament to Sampath Bank's commitment to fostering community spirit and enhancing customer experiences through distinguished sporting events.

Sponsoring Swarna Pusthaka Awards



Sampath Bank continued its long-standing sponsorship of the Swarna Pusthaka Awards, one of the most prestigious literary events in Sri Lanka. The 18th edition of the awards, held on 14th September 2024, at the BMICH, celebrated the finest Sinhala novels published in the past year. By supporting this event, Sampath Bank reaffirms its dedication to promoting local literature and encouraging the growth of Sri Lankan novelists.

Understanding Customer Concerns

A comprehensive complaint analysis is conducted at the Board level on a quarterly basis, where a detailed review is made of the types of complaints received, including those related to operational issues, human interactions, products, digital services etc. The feedback received is then used to identify necessary actions and improvements, which can be then executed. The Bank ensures that necessary follow up actions are taken to resolve the problems, with regular monitoring and tracking progress to ensure that solutions are implemented to improve overall customer satisfaction.

Success Story 1

Our customer care centre operates 24/7, 365 days a year. We promptly acknowledge enquiries, engage with customers in a supportive manner, handle complaints smoothly, and resolve issues effectively.

Success Story 2

We receive customer enquiries and complaints through social media platforms such as Facebook, Instagram, X, TikTok, and LinkedIn, as well as through the Bank's official complaint and inquiry emails. Upon receipt, we promptly acknowledge the issue, escalate it to the relevant authority, and resolve it within a satisfactory period.

GRI 417,417-1

Unstoppable Her



In connection with International Women's Day 2024, Ladies 1st conducted a fireside chat focusing on female entrepreneurs. Building on the previous years' "Wonder Women" concept, this year's event featured four successful female entrepreneurs supported by the Bank. The aim was to reinforce Sampath Bank's commitment to representing and empowering all communities.

Sponsoring Symphony Orchestra Concert



Sampath Bank proudly partnered with the Symphony Orchestra of Sri Lanka to announce SOSL Pops-first-ever trilingual Pop Extravaganza, happened on the 19th and 20th of October 2024 at Bishop's College auditorium. Sampath Bank hosted its Corporate and HNI customers on 19th October, followed by a fellowship gathering, highlighting the Bank's dedication to promoting cultural diversity and artistic expression while fostering social cohesion.



98.2%

Customer complaints resolved
(12,281 Customer complaints received)

RESPONSIBLE MARKETING AND COMMUNICATIONS

Sales promotion and marketing communications play a vital role in customer engagement, while serving as an effective platform to highlight the Bank's competitive advantages and unique value proposition compared to competitors.

The Bank designs unique campaigns focused on enhancing visibility and product awareness, enabling both individual and corporate customers to make well-informed banking decisions. The impact is measured across three areas:

Economic Impact	Environmental Impact	People Impact
Medium	Medium	High

Management Strategy and Commitments

The Bank prioritises fair and equitable service delivery while protecting customer interests throughout their banking relationship. While marketing tactics may vary, the Bank maintains an unwavering commitment to providing customers with accurate and timely information for informed decision-making.

Key Actions

- Ensure all promotional and marketing communications comply with legal and regulatory frameworks, including the Customer Charter for Licensed Commercial Banks in Sri Lanka.
- Adhere to Visa and Mastercard partnership guidelines and industry ethical standards.
- Implement regular product training for frontline staff to keep them updated on new disclosure requirements for banking products.

Evaluation and Reporting

The Bank employs a comprehensive evaluation system that combines Customer Experience Surveys with Brand Health Studies conducted at regular intervals. These assessment tools provide direct customer feedback regarding the effectiveness of sales promotions and marketing communications. Additionally, the Bank closely monitors customer queries and complaints specifically related to the clarity and transparency of their advertising campaigns. The number of queries and complaints received serves as a key performance indicator, helping measure the success of their marketing initiatives and identifying areas for potential improvement in their communication strategy.

MARKETING AND LABELLING

The Bank adheres to the customer charter set by the Central Bank, supported by an internal policy known as the Product Policy, which is reviewed on an annual basis. The policy covers key stages of the product life cycle such as product formulation, launch and retirement.

The process includes the involvement of two committees,

- **Idea Screening Committee**, which consists of a cross-functional team that collaborates to assess consumer demands, markets trends and company objectives to develop and improve new product concepts.
- **Product Sign-off Committee**, which is a senior cross-functional team, who is responsible for reviewing and approving new product concepts before they move forward to the development stage. The committee is responsible to ensure that products align with the strategic goals of the Bank, comply with regulations and are financially viable.

CUSTOMER PRIVACY

GRI 418-1

A fundamental component of the Bank's customer-centric strategy is protecting consumer privacy. In 2023, we appointed a new Data Protection Officer (DPO) to reinforce our commitment to customer privacy. Under the DPO's leadership, we have initiated several key measures in 2024 to strengthen our data protection practices. These measures include drafting a Data Protection Management Programme and updating the Sampath Bank Privacy Policy to comply with the Personal Data Protection Act No. 9 of 2022. Internal consultations and a gap analysis have been completed, and we are exploring technical solutions to further enhance our Data Governance practices.

Social and Relationship Capital

COMMUNITY



GRI 2-25

Since its inception, the Bank has stayed committed to meeting the needs of the community, going beyond just the business objectives. This commitment is reflected in its continuous involvement in various social, educational and environmental initiatives aiming to contribute to Sri Lanka's overall development and well-being.

There has been **no record** of significant negative impacts on the local communities.

The Bank has identified high impact projects through its Project Management and Evaluation Process (PMEP) which forms an integral part of the Strategic Sustainability Framework. These projects align with one or more of the following objectives,

Key Objectives

- 1 Contribution to resolving key national issues
- 2 Supporting the socio-economic progress of Sri Lanka
- 3 Providing sustainable solutions that address the root cause of socio-economic challenges faced by communities
- 4 Promoting sustainable value creation
- 5 Promoting increased stakeholder engagement among community groups
- 6 Serving the United Nations Sustainable Development Goals (SDGs)

GRI 203-1,2/413-1



'WEWATA JEEWAYAK' TANK RESTORATION PROGRAMME

The main purpose of this initiative is to restore neglected and damaged irrigation tanks in the dry and intermediate zones, to provide small-scale rural farmers with reliable, year-round water supply for irrigating their paddy lands, enabling them to benefit from both Yala and Maha cropping seasons. This programme helps to uplift the local economy, enhances national food security and preserves Sri Lanka's cultural heritage.

9

New projects commenced in 2024

Rs 34.5 Mn

Investment

6,208

Beneficiaries

1,208

Acres of paddy lands rejuvenated

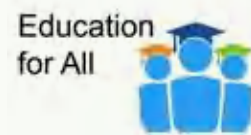


"Preserving the heritage of our present into the future"

Social Commitment Initiated Under 'Apema Sampath'



'Wewata Jeewayak' Tank Restoration Programme



'Education for All' Programme

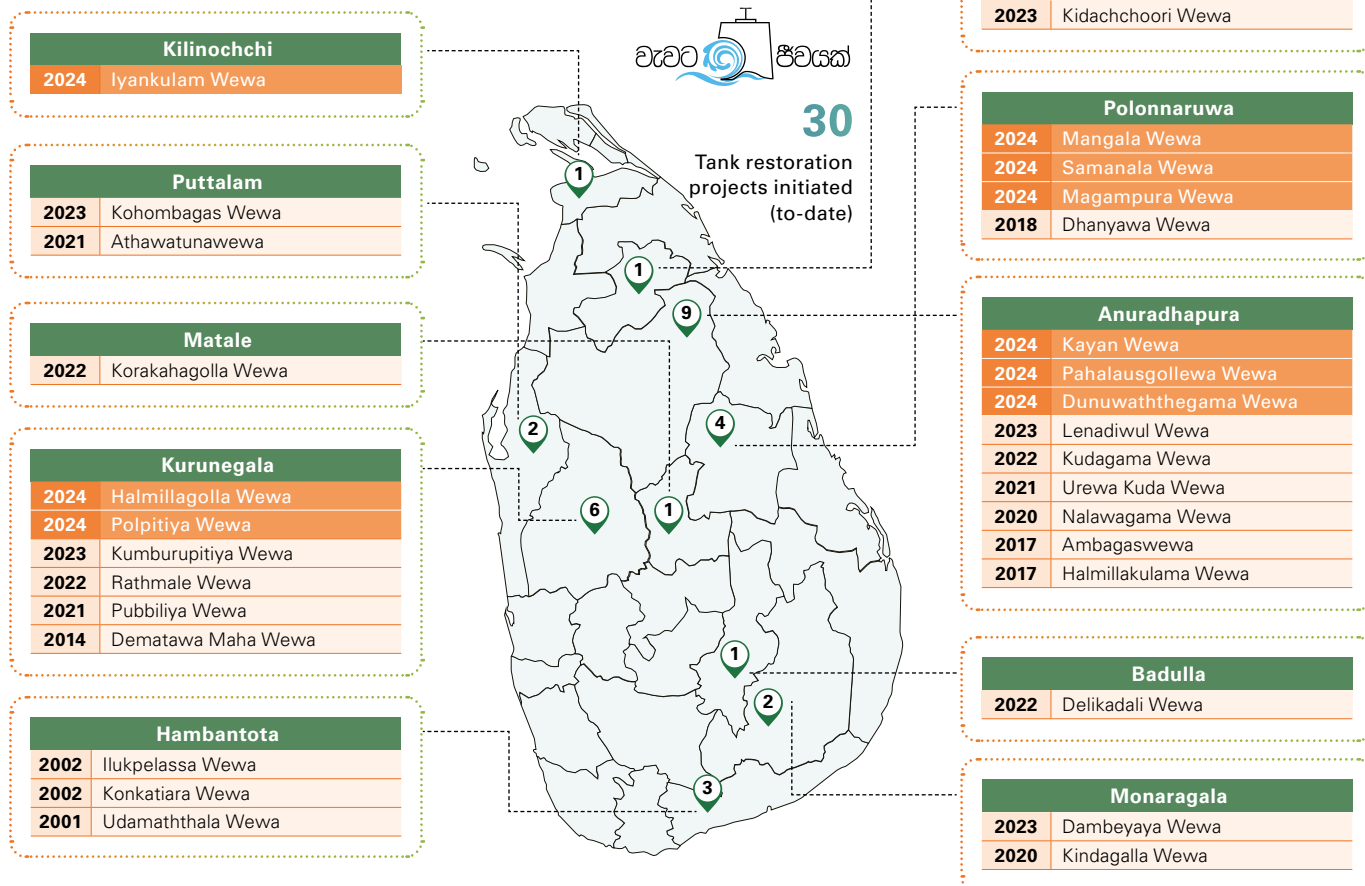


'Sampath Saviya' Entrepreneurship Development Programme



Other Community Development Projects

Our Footprint of 'Wewata Jeewayak' Programme



'Wewata Jeewayak' Project Summary for 2024

Economic Impact	Mangala Wewa	Magampura Wewa	Samanala Wewa	Polpitiya Wewa	2nd Phase of Udamaththala Wewa	Pahalausgollawa Wewa	Dunuwatthegama Wewa	Kayan Wewa	Iyankulam Wewa	Halmillagolla Wewa	Total
Number of farming families benefitted	202	208	72	150	103	102	110	75	210	70	1,302
Acres of paddy lands rejuvenated	101	128	82	85	105	188	200	109	134	76	1,208
Stakeholder partnerships	'Sri Perakum Bedum Ela' Farmers' Association			'Diyawara' Farmers' Association	'Ekamuthu' Farmers' Association	'Rantharu' Farmers' Association	'Peramuna' Farmers' Association	'Mahasen' Farmers' Association	'Iyankulam' Farmers' Association	'Parakum' Farmers' Association	
	Mahaweli Authority of Sri Lanka, Wijayabapura Block Office			Department of Agrarian Development District Office, Kurunegala	Department of Agrarian Development District Office, Hambantota	Department of Agrarian Development District Office, Anuradhapura	Department of Agrarian Development District Office, Anuradhapura	Department of Agrarian Development District Office, Anuradhapura	Department of Agrarian Development District Office, Kilinochchi	Department of Agrarian Development District Office, Kurunegala	
	Community Members			Community Members	Community Members	Community Members	Community Members	Community Members	Community Members	Community Members	
Activity	Removal of sludge and invasive aquatic plants				Construction of canal system	Excavation of tank bed and restoration of tank bund	Restoration of tank bund	Excavation of tank bed and restoration of tank bund	Restoration of tank bund, retaining wall, spill and canals	Excavation of tank bed and restoration of tank bund	

Social and Relationship Capital

Tanks Commenced for Restoration in the Financial Year 2024

Mangala Wewa

Location

Aralaganwila, Polonnaruwa District

Impact on Livelihood

The 17 acres Mangala Wewa has served as the primary water source for approximately 101 acres of paddy fields, supporting 202 farming families who rely on paddy cultivation as their main source of income.



Ground breaking ceremony

Samanala Wewa

Location

Aralaganwila, Polonnaruwa District

Impact on Livelihood

The 8 acres Samanala Wewa has served as the primary water source for approximately 82 acres of paddy fields, supporting 72 farming families who rely on paddy cultivation.



Exchanging MOU with Mahaweli Authority and the Farmers' Association

Magampura Wewa

Location

Aralaganwila, Polonnaruwa District

Impact on Livelihood

The 13 acres Magampura Wewa has been the primary water source for approximately 128 acres of paddy fields, supporting 208 farming families who rely on paddy cultivation as their main source of income.



Ground breaking ceremony

Polpitiya Wewa

Location

Polpitiya village, Horombawa, Kurunegala District

Impact on Livelihood

The tank irrigates 85 acres of paddy fields, benefiting 150 direct farming families and an additional 250 indirect beneficiaries.



Pre-condition of the tank



Polpitiya Wewa - Post restoration

Pahalausgollawa Wewa

Location

Pahalausgollawa village, Kebithigollewa, Anuradhapura District

Impact on Livelihood

Nurture 188 acres of paddy fields, supporting the livelihoods of 102 farming families.



Ground breaking ceremony

Halmillagolla Wewa

Location

Halmillagolla village, Madagalla, Polpitigama, Kurunegala District

Impact on Livelihood

The tank irrigates 76 acres of paddy fields, benefiting 70 farming families.



Ground breaking ceremony



Restoration underway

Kayan Wewa**Location**

Keeriyagaswewa village, Kekirawa, Anuradhapura District

Impact on Livelihood

Cultivate 109 acres of paddy fields, supporting the livelihoods of 75 farming families.



Stakeholder discussion

Iyankulam Wewa**Location**

Krishnapuram village, Kilinochchi, Kilinochchi District

Impact on Livelihood

Rejuvenate 134 acres of paddy fields, supporting the livelihoods of 210 farming families.



Performing rituals before the restoration

Dunuwaththegama Wewa**Location**

Kapugollewa village, Horowpathana, Anuradhapura District

Impact on Livelihood

Rejuvenate 200 acres of paddy fields, supporting the livelihoods of 110 farming families.



Ground breaking ceremony



Dunuwaththegama Wewa - Post restoration



Dunuwaththegama Wewa - Handing over ceremony



"Thanks to Sampath Bank's support, we can now cultivate our lands during both Yala and Maha seasons."

Testimonial - " Wewata Jeewayak " Programme

The Dunuwaththegama Tank in our Horowpathana area had deteriorated to an alarming state, severely impacting our farming community. During both Yala and Maha cultivation seasons, the overflowing tank made it impossible for us to properly manage our agricultural activities.

In 2024, Sampath Bank stepped forward through their 'Wewata Jeewayak' programme to address this critical issue. Their initiative to restore the tank bund has been transformative for our farming families. Without this timely intervention, our community would have faced severe consequences during the rainy season, including potential damage to our lands, properties and possible risks to human lives.

Thanks to Sampath Bank's support, we can now cultivate our lands during both Yala and Maha seasons. This restoration project has supported our entire village's agricultural activities. We are deeply grateful to Sampath Bank for this initiative and their commitment to our community's well-being.

B Sugathadasa,
President, Peramuna Farmers' Association, Dunuwaththegama, Kapugollewa, Horowpathana

Social and Relationship Capital

Restored Tanks Handed Over During the Financial Year 2024

The five tank restoration projects which were undertaken by the Bank commenced in FY 2023 in the Puttalam, Kurunegala, Anuradhapura, Monaragala and Vavuniya districts, were fully completed and vested with the respective farmer communities during the FY 2024.



Kohombagaswewa, Puttalam - Post restoration



Dambeyaya Wewa, Monaragala - Post restoration



Kidachchoori Wewa, Vavuniya - Post restoration



Kumburupitiya Wewa, Kurunegala - Post restoration



Lenadiwul Wewa, Anuradhapura - Post restoration

2nd Phase of Udamaththala Wewa

2nd Phase of restoration of Udamaththala Wewa commenced in FY 2024 as an ongoing effort of re-evaluating 'Wewata Jeewayak' programme. All tanks restored to-date are underway for a post-evaluation.

Location

Udamaththala village, Tissamaharama, Hambantota District

Impact on Livelihood

Rejuvenate 105 acres of paddy fields, supporting the livelihoods of 103 farming families.



Ground breaking ceremony



'SAMPATH SAVIYA' ENTREPRENEURSHIP DEVELOPMENT PROGRAMME

GRI 203-1,2/413-1

Launched in 2013, 'Sampath Saviya' was designed to uplift and empower Sri Lanka's Micro, Small and Medium Enterprise (MSME) sector. Over the past decade, the Bank has organised

specialised workshops for various groups including youth, women, innovators, exporters, undergraduates, differently-abled individuals, retirees and farmers to support their entrepreneurial growth and development.

Entrepreneurship Development Workshop for Sri Palee Campus – Department of Mass Media and Department of Performing Arts

In line with the theme of 'Youth Entrepreneurship,' the Bank executed the following programme in 2024. The programme was conducted with the aim of empowering undergraduates to become entrepreneurs, inspire job creation and develop them into future business leaders. Topics covered identifying opportunities for new business ideas, and understanding how creativity, opportunity, and feasibility serve as key evaluators in the entrepreneurial process.



Workshop at Sri Palee Campus

'Unstoppable Her' - Special Women Empowerment Programme

To mark International Women's Day, a special Women Empowerment Programme was held for the third consecutive year, featuring a panel discussion on how women can thrive in the workplace while balancing multiple responsibilities. The discussion covered

topics including, the importance of celebrating women's achievements, exploring leadership opportunities and addressing challenges such as prejudice faced by women in leadership roles.



The panel discussion

Agri Entrepreneurship Development Programme

The Bank has taken proactive steps to strengthen collaborative efforts towards achieving the strategic goal of fostering agri-entrepreneurs, particularly through its flagship 'Wewata Jeewayak' tank restoration programme.

This initiative is designed to improve the living conditions of rural communities by implementing the following key initiatives:

- Developing agri entrepreneurs
- Fostering sustainable agricultural producers
- Promoting value-added products
- Introducing innovative agricultural practices

In 2024, the Bank has successfully established 3 production farmers' associations at Rathmale, Lenadiwulwewa and Karuwalagaswewa, and identified Kohombagaswewa and Ambulgaswewa to establish production farmers' associations under this programme.

Rathmale

Location

Rathmale village, Nagollagama, Kurunegala District

Impact on Livelihood

Tank irrigates around 80 acres of paddy fields, supports 90 farming families

Model Village Development

- Identified as pioneering hub for Mushroom cultivation
- Formation of 'Punarjeewa' Production Farmers' Association with 32 members
- Provided seed funding through Punarjeewa Production Farmers' Association to each member
- Members received 100 Mushroom growing pots each to begin cultivation
- In collaboration with the Mushroom Development and Training Centre and Industrial Development Board, farmers were educated with profitable Mushroom cultivation through advanced farming methods and value-added agricultural practices



The progress review meeting at Rathmale

Lenadiwulwewa

Location

Lenadiwulwewa, Medawachchiya, Anuradhapura District

Impact on Livelihood

Tank irrigates around 45 acres of paddy fields, supports 55 farming families

Model Village Development

- Identified for Scotch Bonnet cultivation
- Formation of 'Gemi Diriya' Production Farmers' Association with 50 members

- Partnered with the Field Crops Research and Development Institute (FCRDI) in Mahalluppalam to provide training on standard Scotch Bonnet cultivation and management practices
- Conducted workshops to improve financial literacy and discipline among farmers



Training session on Scotch Bonnet cultivation

Karuwalagaswewa

Location

Karuwalagaswewa, Puttalam District

Model Village Development - Value Added Agricultural Products

- Identified to focus on value added products including the diverse range of produce such as Wood apple, Tamarind and Lime
- Formation of 'Nishpadana Govi Senankaya' Production Farmers' Association with 58 members
- Technical expertise and training provided to farmers on product development, packaging, labelling and standardisation
- Participants received certification from the Food Research Unit, Gannoruwa helping with business registration and improving the marketability of their products



Training session at Gannoruwa

Kohombagaswewa

Location

Kohombagaswewa, Mahakubukkadawala, Puttalam District

Impact on Livelihood

Tank irrigates around 64 acres of paddy fields, supports 76 farming families

Model Village Development

- Formation of 'Divisaru' Production Farmers' Association with 22 members is in progress
- Conducted stakeholder meeting in collaboration with Link Natural Products (Pvt) Ltd.
- Conducted workshop to improve financial literacy and discipline among farmers
- Identified as raw material hub for Link Natural Products (Pvt) Ltd focusing on 'Katuwel Batu' cultivation



Stakeholder meeting at Kohombagaswewa

Ambulgaswewa

Location

Ambulgaswewa, Kekirawa, Anuradhapura District

Model Village Development

- Formation of 'Jeewa Shakthi' Production Farmers' Association with 30 members is in progress
- Identified as raw material hub for Link Natural Products (Pvt) Ltd. focusing on 'Ela Batu' cultivation
- Conducted stakeholder meeting in collaboration with Link Natural Products (Pvt) Ltd
- Conducted a workshop to improve financial literacy and discipline among farmers



Stakeholder meeting at Ambulgaswewa

Social and Relationship Capital

SUCCESS STORY – RATHMALE VILLAGE TRANSFORMATION STORY

The Bank embarked on an ambitious initiative to transform the Rathmale village into a model for sustainable agriculture through mushroom cultivation. Following the successful restoration of the Rathmale Tank, we identified a unique opportunity to revitalise the community's previous experience with mushroom cultivation, which had been disrupted during the pandemic. Our initiative led to the establishment of the 'Punarjeeva Farmers Association' - the first of its kind in Kurunegala District - comprising 32 members, predominantly women (85%).

Through strategic interventions, we:

- Provided seed funding for mushroom cultivation.
- Delivered financial literacy training, implementing a structured savings programme.
- Facilitated technical training through the Mushroom Development and Training Centre.
- Introduced value-added product development to combat market price fluctuations.
- Initiated direct supply chain development to ensure fair pricing.
- We are currently finalising negotiations to establish direct market linkages, which will ensure fair pricing and sustainable income for the farmers. The Rathmale village transformation serves as a testament to our Bank's commitment to rural development and financial inclusion.



Technical session jointly conducted with IDB



Training session on mushroom related value added products

Empowering Social Entrepreneurs in Karuwalagaswewa for Sustainable Natural Paper Production

We supported the Karuwalagaswewa Integrated Rural Welfare Society in Puttalam District to transform local challenges into opportunities. This eco-friendly initiative repurposes invasive weeds, banana shoots, and waste paper into high-quality natural paper products. The project has empowered the community, especially women, to create sustainable livelihoods while addressing environmental issues.



Community participation in production process



Setting up a selling stall to promote eco-friendly products

Entrepreneurship Development Programme – Improving the Productivity of Grassroot Level Organic Farmers and Ensuring the Food Security of the General Public

'Deepthi Lak Wanitha' Organic Farmers' Market

The 'Deepthi Lak Wanitha' Farmers' Association, registered under the Department of Agriculture, has been operating an organic fair for over 17 years. This women-led initiative promotes organic farming practices within the Karadagolla community, fostering healthier lifestyles and environmental sustainability. The Bank empowers this organic farming community with following activities.

- Proper stalls for vendors
- Onsite branding to increase market visibility
- Improve financial literacy and discipline among farmers



Workshop for farmers on financial literacy and discipline



Stakeholder meeting

'Wayamba Isuru' Farmers' Market

'Wayamba Isuru' Farmers' Market is a collaborative effort between Sampath Bank, the United Nations Development Programme (UNDP), and the Provincial Department of Agriculture (North Western Province). This organic market takes place every Wednesday and Saturday.

In 2019, the Bank collaborated with the 'Wayamba Isuru' Farmers' Market to achieve a dual objective: promoting organic products and fostering the development of agricultural entrepreneurs, with a special focus on empowering women in entrepreneurship. With the year-on-year continuous support, the Bank introduced digital payment facilities through Mini-POS devices to merchants to facilitate financial inclusion and constructed additional stalls to accommodate growing vendor number to facilitate market operations.



Training session on digital payments



Promotional campaign on 'Wayamba Isuru' farmers market

In response to requests from State and Private universities, the fourth phase of the programme, Effective Career Guidance 4.0, was successfully launched in 2024 at,

- University of Kelaniya
- University of Colombo
- Sabaragamuwa University of Sri Lanka
- KAATSU International University (KIU), Malabe



ECG 4.0 session at University of Kelaniya



ECG 4.0 session at University of Colombo



ECG 4.0 session at Sabaragamuwa University of Sri Lanka



ECG 4.0 session at KAATSU International University, Malabe

Improving English Proficiency at Duwegoda Primary School Beruwala

The Bank in collaboration with the Ex-Sampath Bankers Club, has supported Duwegoda Primary School, located in a remote area with challenging living conditions, by providing basic English education. The initiative helped close the gap in language instructions at the school, which lack of required tools and qualified teachers.

Scholarships for Underprivileged Students to Attend Lanka Festival of Music, Dance and Speech

Sampath Bank proudly partnered with the Lanka Festival of Music, Dance & Speech in collaboration with the International Institute of Music, Speech and Drama to host this prestigious event across Sri Lanka. This initiative was aimed at nurturing and celebrating the innate talents of Sri Lankan youth. As part of this meaningful partnership, the Bank awarded scholarships to 314 underprivileged students from across the country, empowering them to pursue their passion and unlock their potential in the fields of music, dance and speech.



Award recipients with the adjudicator

Corporate Leadership Programme for School Leavers and Undergraduates

The internship programme offers school leavers and undergraduates the chance to experience a world-class corporate environment, helping to cultivate a disciplined work culture and instil strong professional ethics.



Introduction to the Corporate Leadership programme by the Chief Human Resource Officer



GRI 203-1,2/413-1

'EDUCATION FOR ALL' PROGRAMME

Our 'Education for All' initiative, aims to break down barriers by providing equal access to quality education and creating career development opportunities for individuals from all walks of life. The Bank is committed to fostering a brighter, more inclusive future for everyone, ensuring individuals have the resources necessary for success.

ECG 4.0 (Effective Career Guidance) Programmes

The career guidance session conducted by the Bank are designed to help individuals make informed decisions about their professional journeys. These sessions typically involve personalised assessments, expert advice from career counsellors/financial advisors and guidance on skill development. The Bank also provides insights into industry trends, networking opportunities, and support with resume building and preparation for interviews. Financial planning advice is also offered to help individuals achieve long-term stability and career success.

The goal is to equip individuals with the knowledge and skills necessary to navigate the job market successfully and make strategic career decisions.

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Social and Relationship Capital



An induction session under the Corporate Leadership programme



Partnership with Avinya Foundation to Empower Students from Underserved Communities

The Avinya Foundation is a non-profit organisation focused on supporting underprivileged students aged 18 to 25 who have abandoned traditional higher education paths. The Foundation offers them an opportunity for success by providing essential 21st-century skills through project-based learning. Scholarships are awarded based on the economic hardships students have faced in accessing education.

The academy accommodates more than 130 students. The curriculum includes three days of classroom sessions and two days dedicated to internships. The Foundation offers free education, including meals for both breakfast and lunch. Additionally, each student is given a monthly allowance of Rs 10,000 while they are studying, and Rs 15,000 while they are working and studying as part of the scholarship.

The Bank together with the Avinya Foundation aims to work on the following key areas for the benefit of underprivileged students,

- Conduct career guidance sessions and financial literacy programmes for the students
- Support the Avinya Foundation to attract deserving candidates through branch network
- Provide internship opportunities at Sampath Bank for underprivileged students
- Provide opportunities for Avinya students and team members to participate in some of Sampath Bank's CSR projects

Our 'Education for All' initiative, aims to break down barriers by providing equal access to quality education and creating career development opportunities for individuals from all walks of life.

Career Fairs and Other Career Development Sessions - 2024

In view of improving the quality of education and providing opportunities for youth, the Bank conducted 15 Career Fairs and other Career Development Sessions in 2024.

No	Programme	Programme Type	University/Institute	Number of Participants
1	CSE Career Day 2024	Career Fair	University of Moratuwa	400
2	Touch the Peak – Annual Job Fair 2024	Career Fair	Faculty of Management Studies and Commerce, University of Sri Jayewardenepura	800
3	AICPA & CIMA Career Day 2024	Career Fair	The Chartered Institute of Management Accountants	200
4	AAT Job Fair Phase 5	Career Fair	AAT Sri Lanka	300
5	ICBT Career Day 2024	Career Forum	ICBT	250
6	Touch the Peak – Annual Job Fair 2024	Career Fair	Faculty of Engineering, University of Sri Jayewardenepura	800
7	CA Sri Lanka Career Fair 2024	Career Fair	The Institute of Chartered Accountants of Sri Lanka	400
8	Data Nexus Career Fair	Career Fair	General Sir John Kotelawala Defence University	600
9	The Career Expo 2024	Career Forum	University of Colombo	600
10	BMS Job Fair 2024	Career Fair	Business Management School	400
11	Career Spaces – Future Fusion 2024	Career Fair	Sri Lanka Institute of Information Technology	350
12	Online Annual Job Fair	Career Fair	University of Sri Jayewardenepura	150
13	Saegis Career Fair 2024	Career Fair	Saegis Campus	300
14	Industry Day 2024	Career Fair	University of Peradeniya	150
15	The Job Fair 2024	Career Fair	Wayamba University	200



Career fair at University of Peradeniya



Career fair at Wayamba University

GRI 203-1,2/413-1

OTHER COMMUNITY PROJECTS**Endowment of Nallur Kandaswamy Kovil Annual Festival**

The Bank has been a steadfast sponsor of the event for over ten years, continuing its support in 2024. The annual historic festival of the Nallur Kandaswamy Temple is the longest religious celebration and the largest gathering in the Jaffna peninsula, attracting over 200,000 devotees each year.



Stall set up by Sampath Bank

Facilitated Training Sessions on Efficient Water Management Under the 'Wewata Jeewayak' Tank Restoration Programme

As part of Sampath Bank's flagship sustainability initiative 'Wewata Jeewayak', training sessions on efficient

water management were conducted in the Kurunegala District. These sessions targeted officials from the Department of Agrarian Development and members of farmers' associations connected to the six restored tanks in the region.

The training focused on sophisticated irrigation methods that helped farmers grow more food while using water more efficiently and fairly. These climate-smart farming practices allowed participants to produce enough crops both to feed their families and to sell at market, improving rural living standards. This approach complements the Bank's wider goals of fostering business growth and ensuring communities have reliable access to food and economic opportunities.



Training session on efficient water management

Facilitated the 57th National Aluth Sahal Mangalyaya

Sampath Bank supported the 57th National Aluth Sahal Mangalyaya organised by the Department of Agrarian Development. The sponsorship strengthens the Bank's ongoing partnership in the 'Wewata Jeewayak' Tank Restoration Programme. During this traditional ceremony, farmers present their first harvest as an offering to the sacred Sri Maha Bodhi in Anuradhapura. The ritual preserves Sri Lanka's agricultural heritage while seeking blessings for the farming community.



The inaugural moment of the religious ceremony

GRI 413-1

IMPACT ASSESSMENT OF COMMUNITY PROJECTS

The Corporate Sustainability Department is responsible for managing the Project Management and Evaluation Programme (PMEP) and overseeing the sustainability projects undertaken by the Bank. The Bank promotes community stewardship by encouraging employees to participate in community work, through regular communication and awareness sessions. Additionally, branch leadership is empowered to dedicate time to community capacity-building programmes.

Area of Work	Programme	Number of Beneficiaries	Number of Volunteered Employees Engaged
Community Capacity Building Programme	UN SDGs Served             		
	'Wewata Jeewayak' Programme		
	2nd Phase of Restoration of Udamaththala Wewa, Hambantota	412	23
	Restoration of Mangala Wewa, Aralaganwila	808	38
	Restoration of Magampura Wewa, Aralaganwila	832	
	Restoration of Samanala Wewa, Aralaganwila	288	
	Restoration of Polpitiya Wewa, Horombawa	1,600	34
	Restoration of Dunuwaththegama Wewa, Horowpathana	440	44
	Restoration of Halmillagolla Wewa, Madagalla	280	26
	Restoration of Pahalausgollawa Wewa, Kebithigollewa	408	31
	Restoration of Kayan Wewa, Kekirawa	300	28
Other Community Programmes	Restoration of Iyankulam Wewa, Kilinochchi	840	34
	Infrastructure Development Programmes	18,134	111
	Other Community Development Programmes	12,571	234

Social and Relationship Capital

IMPACT ASSESSMENT OF COMMUNITY PROJECTS

Area of Work	Programme	Number of Beneficiaries	Number of Volunteered Employees Engaged
Education for All Programme	UN SDGs Served      		
	'Education for All' Programme		
	ECG 4.0 (Effective Career Guidance) Programme at University of Kelaniya	296	21
	ECG 4.0 (Effective Career Guidance) Programme at University of Colombo	350	17
	ECG 4.0 (Effective Career Guidance) Programme at Sabaragamuwa University of Sri Lanka	200	18
	ECG 4.0 (Effective Career Guidance) Programme at KAATSU International University (KIU), Malabe	200	18
	Facilitate Underprivileged Students to Attend Lanka Festival of Music, Dance and Speech	314	12
	Facilitate to improve English Proficiency at Duwegoda Primary School, Beruwala	63	14
	Partnership with Avinya Foundation to empower students from underserved communities	120	32
	'Corporate Leadership' Programme for School Leavers and Undergraduates	1,052	1,067
Entrepreneurship Development Programme	Career Fairs and Other Career Development Sessions	5,900	58
	Other Education Projects	549	55
	UN SDGs Served      		
	'Sampath Saviya' Programme		
	Entrepreneurship Development Workshop for Sri Palee Campus – Department of Mass Media and Department of Performing Arts	122	19
	Agri Entrepreneurship Development Programme at Rathmale	128	26
	Agri Entrepreneurship Development Programme at Lenadiwulwewa	200	26
	Agri Entrepreneurship Development Programme at Karuwalagaswewa	232	30
	Agri Entrepreneurship Development Programme in Collaboration with Link Natural Products (Pvt) Ltd at Kohombagaswewa	88	18
	Agri Entrepreneurship Development Programme in Collaboration with Link Natural Products (Pvt) Ltd at Ambulagaswewa	120	26
	Facilitate to improve the Productivity of Grassroot Level Organic Farmers and Ensuring the Food Security of the General Public		
	'Deepthi Lak Wanitha' Organic Farmers' Market	88	21
	'Wayamba Isuru' Farmers' Market at Kurunegala	4,200	24
	Facilitate to improve the Natural Paper Making Center at Karuwalagaswewa	120	26

BUSINESS PARTNERS



Strengthening Supplier Relations

The Bank is committed to build and maintain strong supplier relationships with its suppliers. To strengthen these ties and understand the supplier's business models, the Bank's procurement team introduced mandatory face-to-face meetings as part of the supplier on-boarding process for all new suppliers starting in 2020. Routine meetings are held throughout the year to foster collaboration, identify risks and opportunities, and provide any improvements and align with the Bank's requirements.

Integrating Sustainable Practices Across Operations

As part of its ongoing efforts to encourage suppliers to enhance their sustainability practices, the Bank introduced a new supplier rating mechanism. It aims to further

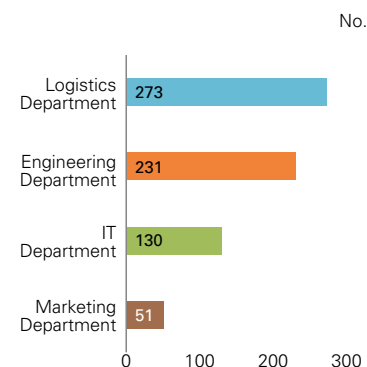
strengthen the due diligence processes, provide a holistic evaluation of suppliers from Environmental, Social, and Governance perspectives at the point of initial registration. The purpose of the rating system is to rank suppliers based on their track record in order to fulfilment and adherence to the agreed terms and conditions. Supplier due diligence activities were conducted under the oversight of the Bank's Environmentalist to ensure suppliers' compliance with the Bank's ESG practices. Additionally, advisory services were provided as needed to assist suppliers in enhancing their ESG credentials.



65+

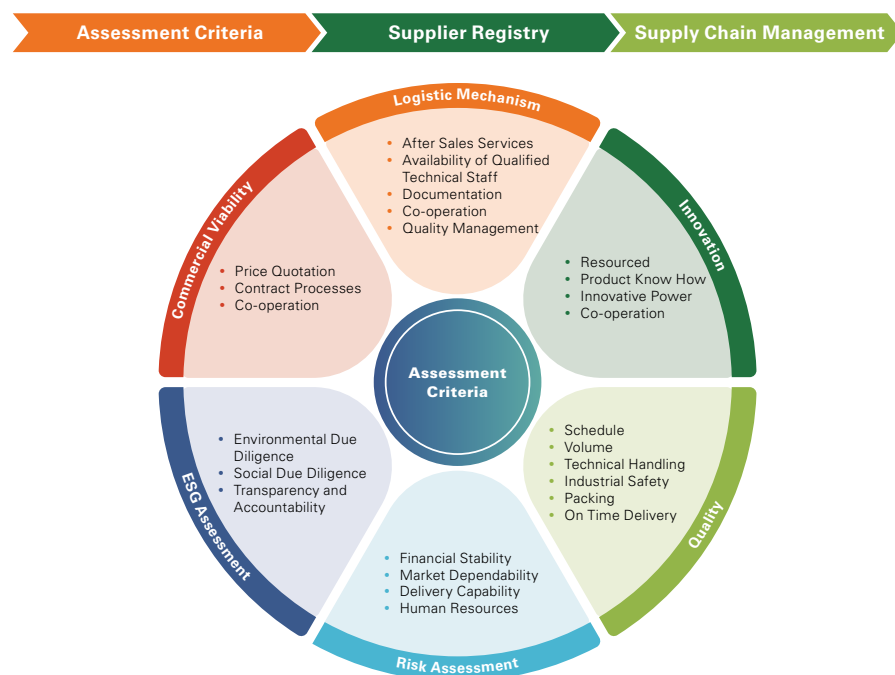
Suppliers screened using the ESG criteria in 2024

Registered Suppliers/Service Providers 2024



Supplier Evaluation Model

The supplier evaluation model consists of six criteria that must be met before progressing to the supplier registration stage. These criteria include Risk assessment, ESG assessment, Quality, Logistics mechanism, Commercial viability and Innovation. Once registered, the Bank implements standard supply management processes, including quality management, risk management, and performance management, to ensure suppliers consistently meet required standards. Suppliers are regularly assessed based on their performance, adherence to contract terms, and ability to mitigate risks, ensuring long-term, reliable partnerships aligned with the Bank's objectives.



Agency Banking

The Bank leverages the Dialog merchant network to expand its customer touchpoints, with agents screened through Dialog's network. At the start of the year, there were 1,339 agents; some exited and were replaced with new agents, bringing the total to 1,252 by year-end. These agents work to reach new market segments or are situated in places where the Bank does not have a physical presence.

Sampath Bank provides the training curriculum in which Dialog is responsible for training and educating the agents. The Bank also ensures that regulatory approval is obtained for each agent following a thorough due diligence process conducted by the branches. To maintain standards and for continuous improvements the Bank closely tracks and evaluates the performance of its agents.

Correspondent Banking

As the country's economic stability improved, confidence from international financial institutions grew. This led to more correspondent banks approaching to re-establish trade lines, facilitating smoother trade transactions and access to more trade financing activities.



532

Correspondent banks

SUPPLIER TESTIMONIAL



We are incredibly grateful for the unwavering trust and collaboration that Sampath Bank has shown us over the years. Your support has not only brought us to where we are today but has also inspired us to uphold the highest standards in our security services. The longstanding partnership between Allied Security Services (Pvt) Ltd (founded by the late Deshamanya N U Jayawardena in 1984) and Sampath Bank, dating back to the very beginning, has truly been a cornerstone of our success.

As we look ahead, we remain confident that with continued collaboration and mutual growth, our journey together will only strengthen. Allied Security Services is committed to setting new benchmarks in the Sri Lankan security industry, and we are excited about the future. With the continuous support of esteemed partners like Sampath Bank, we are certain that we will continue to grow and achieve even greater milestones in the years to come.

Thank you for being such a valuable partner in our shared achievements. Together, we look forward to a bright and prosperous future.

Tony Perera
Managing Director
Allied Security Services (Pvt) Ltd

OUTLOOK

- Increase customer engagement through social media platforms and build a community around our brand to enhance loyalty.
- Continue investing in 'Wewata Jeewayak' – the Tank Restoration Programme to restore agricultural water bodies to

support rural agricultural community while heightened focus on advocating effective water management.

- Re-innovate the Agri-entrepreneurship development programme by partnering with like-minded organisations to provide a marketplace and provide technical

expertise for value-added agriculture for the entrepreneurs.

- Empower women-led Micro, Small and Medium Enterprises (MSMEs) by skill development and entrepreneurship solutions by fostering a sustainable growth.



Natural Capital

GRI 2-26

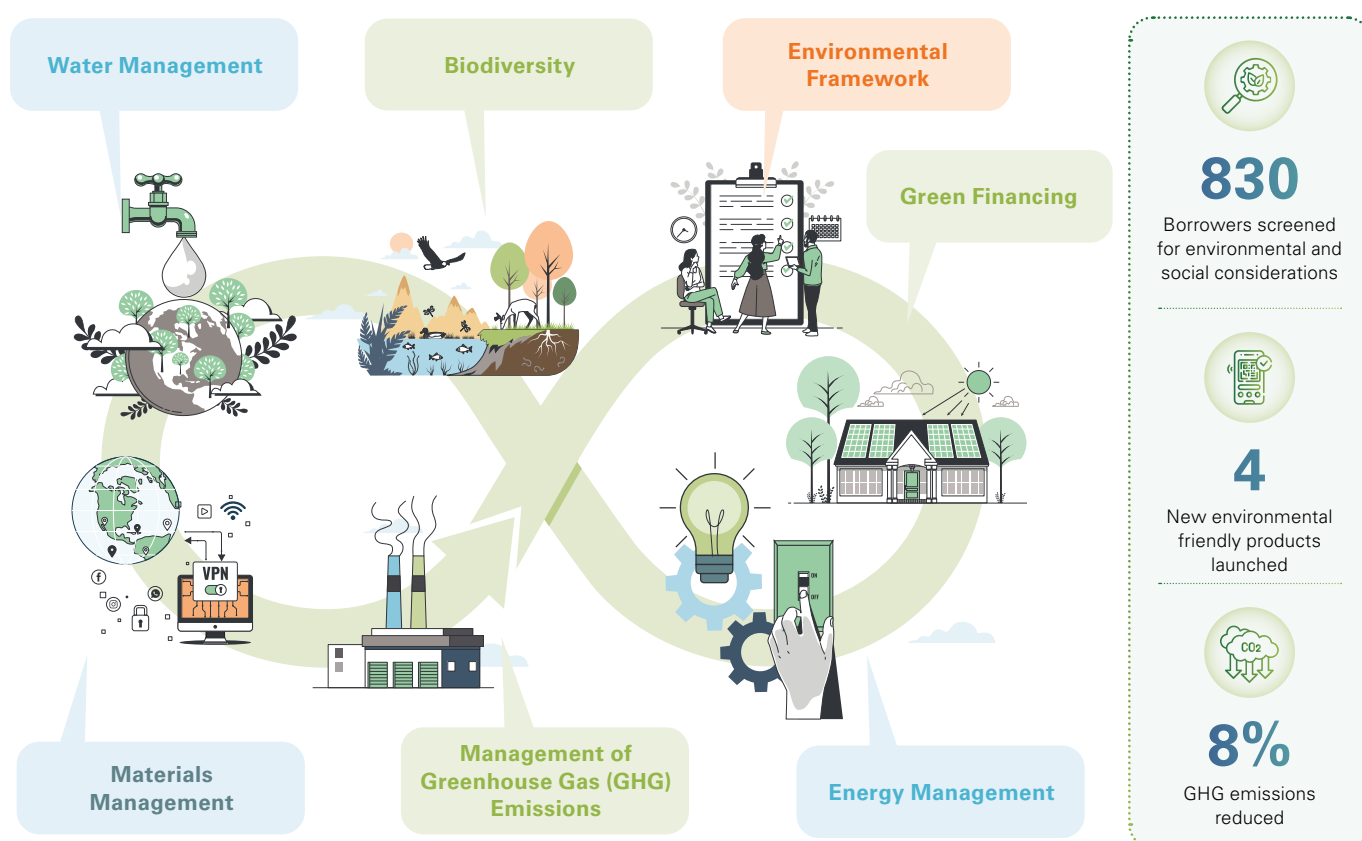
Sampath Bank is committed to safeguarding the environment by managing its Carbon footprint, moving towards a paperless office and rejuvenating communities and ecosystems. The Bank is cognisant of its impacts as a provider of finance and continues to explore means of steering its portfolio to support the country's aspirations of transitioning to a low carbon economy through effective policies and practices.



STRATEGIC PRIORITIES

Strategic Priorities 2024	Key Achievements in 2024	Priorities for 2025	UN SDG
Alignment with and compliance to both local and global sustainability benchmarks and standards	- Board, Management and subsidiary level ESG representation to manage Climate Risk 308 cross-functional ESG Working Group	Alignment with SLFRS S2 - Climate related financial disclosures standard and SASB applicable standards while compliant with the other global sustainability benchmarks and standards	 
Promote and prioritise lending facilities for sustainable projects	Rs 1,440 Mn Environmental impact financing for renewable energy 830 borrowers screened for environmental and social considerations	- Promote green lending as per CBSL's Green Finance Taxonomy - Continue lending for sustainable projects including renewable project financing - Strengthen environmental and social due diligence based credit evaluation	   
Continuous improvements in operations to reduce GHG emissions	8% GHG emissions reduced 2.15 GHG emissions per employee	Improving the databases to capture the Greenhouse Gas emissions related data and information while focusing on reducing the Scope 1 and 2 GHG emissions of the Bank	
Ongoing efforts to implementation of its solar migration strategy across branches	Rs 25 Mn invested for branch solarisation 664,600 kWh renewable energy generated	Continue setting up solar panels to transit from grid electricity to renewable energy consumption	 

Strategic Priorities 2024	Key Achievements in 2024	Priorities for 2025	UN SDG
Management of internal environmental aspects	37,629 kg of paper recycled 4 new environmental friendly products launched	Inculcate a green workforce through ESG Working Group, Sampath Nature Protection Club and establish a comprehensive internal environmental management system	 
Continue and support biodiversity projects	Rs 11.1 Mn invested in environmental CSR initiatives	Differentiate strategic contribution towards a positive environmental and social impacts by focusing on biodiversity and oceanic ecosystem restoration	  



ENVIRONMENTAL FRAMEWORK

UN SDGs



As a financial institution with a islandwide branch network, the Bank recognises the importance of its environmental impact. The Bank recognises climate related risks and opportunities as a critical factor that can have a significant financial impact on the Bank and therefore is putting in place the necessary policies, systems and processes to identify, measure, monitor, manage and report the same.



Natural Capital

The Bank's approach to environmental governance is given below.

	Regulatory and Other Institutional Frameworks Relating to Environmental Sustainability	• The Central Bank of Sri Lanka (CBSL) Sustainable Finance Roadmap • International Finance Corporation (IFC) Performance Standards • The United Nation's Sustainable Development Goals (UN SDGs) • The prescribed project list issued by the Central Environmental Authority of Sri Lanka
	ESG Governance Structure	• Board Sustainability Committee • ESG Committee • Corporate Sustainability Department • ESG Working Group
	Policy Framework	• ESG Policy • ESMS Policy • CSR Policy • Environmental Pledge  A Heartfelt Pledge to Mother Earth • I pledge to honor and protect our planet, the cradle of all life, with every action I take. • I vow to treasure water, the lifeblood of our Earth, by using it wisely and never letting a drop go to waste. • I commit to living in harmony with nature, making choices that nurture the air we breathe, the water we drink, and the soil that sustains us. • I promise to reduce, reuse, and recycle, doing my part to lighten the burden on our planet and minimize the scars of waste and pollution. • With love for the Earth and hope for the future, I will inspire others to join me in conserving the beauty and bounty of our world. • Together, we can ensure that its wonders endure for generations to come. • This is my promise: "To be a steward of the Earth, a voice for the voiceless, and a force for positive change."
	Performance Evaluation and Reporting (Refer Risk Management Report on pages 224 to 251)	• Screen environmental and social due diligence of all project loans and other loans which are above Rs 100 Mn, excluding consumption loans and schematised facilities using the Environmental and Social Risk Categorisation Tool (ESMS). • Credit proposals identified as high risk are submitted to the Risk Management Unit (RMU) for environmental and social risk evaluations and recommendations. • Identification of ESG risk drivers based on the Bank's nature, scale, complexity and interconnectedness of its operations. • The incorporation of ESG risks to the Internal Capital Adequacy Assessment Process (ICAAP) to assess the impact of ESG risks on the Bank's capital position and plan for capital allocations under Pillar II, if needed (in progress). • Developing scenario analysis and stress testing models based on identified shocks (in progress). • Sustainable Project Management and Evaluation Process (PMEP) to assess the project's capability to fulfil one or more objectives outlined in the Socially Responsive CSR Model. • The Bank in the process of developing comprehensive dashboard to track and monitor the sustainability performance across the Bank. The dashboard will enable the measurement of key environmental and social indicators as well as initiatives. • Based on the findings of Eco-Office Audit, processes are under revision for better monitoring.



Strategic Partnerships

United Nations Global Compact

Since 2023, Sampath Bank PLC has been committed to the UN Global Compact corporate responsibility initiative and its principles in the areas of human rights, labour, environment and anti-corruption.



As part of this commitment, we actively participated in UNGC learning group on climate action. These collaborative engagements have been instrumental in helping us to define and refine our sustainability targets, aligning them with global best practices.

Sustainable Banking Initiative

Additionally, as a signatory to the Sustainable Banking Initiative of the Sri Lanka Banks' Association, the Bank remains steadfast in upholding the Association's Sustainable Banking Principles.



Biodiversity Sri Lanka

With the collaboration of Biodiversity Sri Lanka (BSL), the Bank initiated sustainable projects related to environmental conservation while Chief Human Resource Officer, provided strategic direction by actively having presence at BSL Board.



Reinforcing our dedication to environmental promotion, protection and conservation, we have established strategic partnerships with the following organisations on our sustainability efforts:

- IUCN (International Union for Conservation of Nature)
- The Department of Wildlife Conservation
- Marine Environment Protection Authority (MEPA)
- The Department of Forest Conservation
- University of Ruhuna
- The Department of Coast Conservation and Coastal Resource Management



Through these collaborations, we aim to foster sustainable practices that contribute to a healthier planet.



Training and Awareness

The Bank conducts regular training and awareness sessions focused on a range of environmental topics to enhance employees' understanding on climate related issues, sustainable financing practices and to encourage the integration of sustainable practices into their daily routine and lifestyles.

- Introductory session conducted on sustainability and climate actions for new recruits.
- As part of the relaunch of the Sampath Nature Protection Club (SNaPC), comprehensive awareness sessions were conducted for all participating team members. These sessions featured insights on the Oceanic Ecosystem by Professor P B Terney Pradeep Kumara, Senior Lecturer, the Department of Oceanography and Marine Geology, Faculty of Fisheries and Marine Sciences and Technology, University of Ruhuna, and on the Blue Economy by Dr Shamen Vidanage, Country Representative for IUCN (International Union for Conservation of Nature).
- Conducted training on Credit Competency Development which covered the aspects on Environmental Due Diligence for 1,418 team members.
- A training session on "How Climate Emergency Should Embed to the Bank's Strategy" was conducted by Dr Ravi A Fernando, Chairman/CEO, Global Strategic Corporate Sustainability (Pvt) Ltd for the Board of Directors, including the Chairman and subsidiary Board Members, to enhance their understanding and alignment with sustainability and ESG principles.
- Environmental Impact Assessment in credit evaluations for credit officers with a special focus on Internal Environmental Examination (IEE) by Institute of Environmental Professionals, Sri Lanka.
- Enrolment of UNGC working group on Climate Ambition Accelerator.
- Regular onsite awareness sessions conducted for best Environmental, Social and Governance (ESG) practices for suppliers.



Awareness session on 'Your Role in Sustainability' for new recruits



Awareness session on 'Blue Economy' by Dr Shamen Vidanage, Country Representative, IUCN



Awareness session on 'Oceanic Ecosystem' by Professor P B Terney Pradeep Kumara, University of Ruhuna

Natural Capital

Internal Communication for Team Engagement on Eco Friendly Initiatives

Following the outcomes of the Eco-Office Audit and Waste Audit conducted by the National Cleaner Production Centre of Sri Lanka (NCPC, Sri Lanka), a comprehensive awareness campaign was initiated. This campaign aimed to reinforce the importance of waste reduction, water conservation and energy management among employees. Awareness boards were strategically placed in critical areas, while key messages were prominently displayed on screen savers to ensure continuous engagement and mindfulness.



Screen saver on energy management



Awareness boards fixed at lunch room

As part of our unwavering commitment to environmental sustainability, the Sampath Bank Nature Protection Club (SNaPC) was strategically relaunched this year. This volunteer-driven initiative, comprising dedicated members of the Sampath Team, serves as the Bank's green arm, embodying our guiding philosophy: "Love Life – Love Nature."

SNaPC symbolises our dedication to fostering a harmonious relationship between humanity and the natural environment. Through this platform, we implement sustainable environmental and banking initiatives while actively engaging employees in efforts to conserve, protect and regenerate natural resources. The relaunch reinforces our focus on integrating sustainability into our operations and empowering our team members to champion environmental stewardship, thereby contributing to a greener, more sustainable future for all.

To foster a culture of environmental responsibility, employees are encouraged to commit to the Sampath Bank's Environmental Pledge, reinforcing the importance of sustainability in both their professional and personal lives.

Refer pages 126 and 127 in the Biodiversity section for more details on SNaPC.

The Bank fosters a Green workforce by engaging employees in environmental volunteerism, promoting sustainability and conservation. Employees are empowered to participate in tree planting, coral and mangrove restoration, turtle conservation, biodiversity preservation and eco-awareness campaigns. These initiatives cultivate environmental responsibility, strengthen team cohesion and align corporate values with sustainability goals. Through active participation in green initiatives, the Bank drives meaningful change, minimises its ecological footprint and contributes to a healthier planet.

Building a Green Workforce

GREEN FINANCING

UN SDGs



Responsible Lending

To manage ESG related risks on credit operations, the Bank implemented an Environmental and Social Risk Management System (ESMS) which sets out the framework to identify and manage exposure to the environmental and social risks within the Bank's lending portfolio. This framework has been developed in accordance with the CBSL's Sustainable Finance Roadmap, specifically related to the Green Finance Taxonomy as well as the prescribed activity list issued by the Central Environmental Authority and further supported by IFC Performance Standards for managing environmental and social risks.

The ESMS ensures adequate supervision and risk management throughout the term of loan agreements.

The ESMS is designed to achieve the following key objectives.

- Identify and evaluate the environmental and social impacts of the Bank's lending activities to strengthen its understanding of the associated risks.
- Encourage and support the borrower in improving their environmental and social performance.
- Ensures compliance with the International Finance Corporation's (IFC) Performance Standards and other relevant international risk management practices, thereby reducing the Bank's exposure to environmental and social risks in private sector financing.



Capacity building programme on environmental impact assessment in credit evaluations for credit officers

Promoting Sustainable Financing

As part of promoting sustainable finance practices, the Bank has undertaken several key initiatives to support environmentally sustainable projects. These include,

Initiative	Impact in 2024
Sustainable Green Finance Scheme for the businesses which met specified environmental standards	Rs 603 Mn funded via the Green Finance Scheme
Financing for electric and hybrid vehicles	Rs 6 Bn hybrid/electric vehicles financed

Financing of Renewable Energy Projects in 2024

The Bank's Environmental Impact Financing programme focuses mainly on financing Sri Lanka's transition to Non-Conventional Renewable Energy (NCRE).

	Number of Projects	Capacity (MW)	Investment (Rs Mn)
Hydro power	1	1.5	347
Solar power	3	8.5	1,093
Total	4	10.0	1,440



Ground mount solar project at Sevanagala

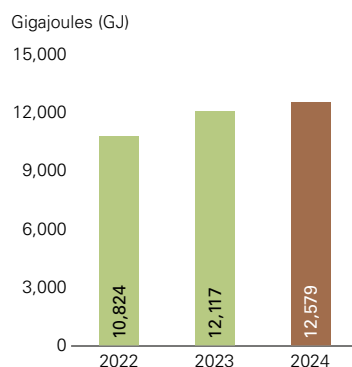
ENERGY MANAGEMENT

UN SDGs

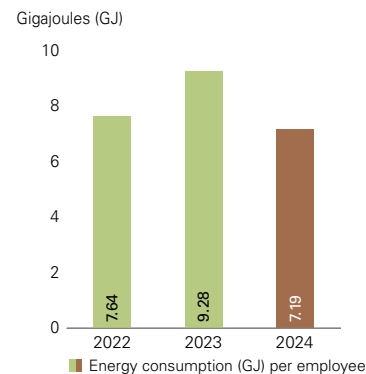


During the year 2024, the Bank consumed 12,579 Gigajoules (3,494,136 kWh) energy at Head Office, compared to 12,117 Gigajoules (3,365,838 kWh) in 2023. Energy consumption for lighting and cooling remains one of the main factors contributing to Sampath Bank's Carbon footprint in its daily operations.

Energy Consumption - Head Office



Energy Intensity Ratio - Head Office



To mitigate the environmental impact, the Bank has introduced several energy saving initiatives such as;

- The Energy Manager drives continuous improvement of the Bank's energy management programme by implementing effective energy conservation strategies to ensure energy management practices at the Bank's Head Office and all 229 branches are consistent with global best practices
- Implementing LED lighting solutions
- Installed sandwich glass panel in Head Office building to reduce heat and glare by 65%
- Installed a chiller with magnetic bearing screw with high energy efficiency in the central AC system at Head Office
- Continue investing in branch solarisation project
- Installation of Energy Monitoring System (EMS) to monitor energy consumption of each floor (ongoing)
- Controlling and monitoring of Mechanical Ventilation and Air Conditioning (MVAC) systems through the Building Management System (BMS) to operate in an efficient and effective manner (ongoing)
- Established a mechanism for monitoring, controlling and sequencing of equipment according to the demand, in order to minimise the electricity consumption
- Installation of environmental friendly Surface Mount Diode (SMD) for illumination
- Installation of Capacitor Banks for the power factor correction at the Head Office
- Transforming internal paint from dark colours to white in branches and the Head Office to conserve light energy

Natural Capital

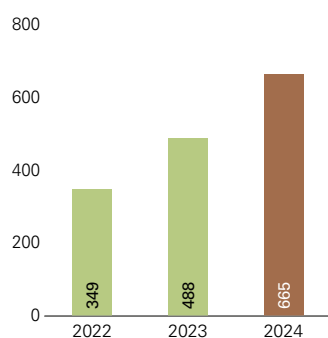
- Connecting office area lighting systems to a Building Management System (BMS) and preparing a schedule through the BMS to operate automatically (ongoing)
- Demand control ventilation system has been established to control fresh air requirement according to the CO₂ level of the entire building
- Removing blinds in branches to prevent blocking natural light and increase reflection, thereby reducing lighting energy consumption
- Use of inverter-type air conditioners at branches

Branch Solarisation Project

The Bank is progressively lowering its reliance on conventional energy sources at Bank-owned buildings. In 2024, the Bank has invested a total of Rs 25 Mn in the installation of rooftop solar systems across its owned buildings. The installations of solar panels collectively generated 664,600 kWh of renewable energy during the year.

Electricity Saving through Solar Power Generation

kWh 000



Rooftop solar project at Kandy Metro branch



Rooftop solar project at Panchikawatte branch

GRI 302-4



664,600 kWh

Solar power generated during the year



Rs 25 Mn

Invested in the installation of solar panels in 2024



23

Branches equipped with solar panels

Solar Power Generation at Branches in 2024

Branch	Installed Capacity (kW)	Power Generated (kWh)
Colombo Super	60.0	61,560
Kalutara	32.0	36,480
Negombo Super	42.2	46,150
Narahenpita	28.0	31,100
Wellawatte Super	30.6	32,100
Piliyandala	39.4	42,400
Tissamaharama	20.0	21,300
Anuradhapura Super	36.5	38,100
Attidiya	33.8	37,400
Wattala	46.0	47,200
Matara Super	32.0	36,400
Gampaha Super	22.5	24,700
Galle Super	39.6	42,400
Panadura Super	38.2	43,120
Maharagama	23.1	25,220
Kurunegala Super	37.4	42,180
Katugastota	25.3	27,500
Alawwa	31.0	7,510
Rathmalana	12.7	2,400
Borella	48.0	19,380
Kandy Metro	30.0	CEB commissioning is in progress
Panchikawatte	23.6	
Deniyaya	20.0	
Total	751.9	664,600

Energy Consumption for the Year 2024 - Head Office

GRI 302-1,2

Energy Consumption Sources: Renewable and Non-Renewable

	Electricity	Heating	Cooling	Steam	Solar Power
Consumption	12,579 GJ (3,494,136 kWh)	No	No	No	No
Sold	No	No	No	No	No
Reductions/Savings	-	-	-	-	664,600 kWh

Using any standards/methodology and assumptions used : No

Using any conversion rates : No

Energy used outside of the organisation : No



7.19 GJ/per employee

Energy intensity at Head Office for the year 2024

GRI 305-1,2,3,4,5

MANAGEMENT OF GREENHOUSE GAS (GHG) EMISSIONS

UN SDGs



Since the implementation of the Carbon Footprint Management Strategy in 2013, the Bank has continuously made it a priority to track and report its Greenhouse Gas (GHG) emissions. Through the analysis and tracking of data, it has enabled the Bank to refine its operations and adopt more sustainable practices, resulting in measurable reduction in GHG emissions year-on-year.

The GHG calculation for 2024 was conducted by RR Associates (Pvt) Limited in accordance with ISO 14064 - 1:2018 and verification of the GHG Inventory Report was done by Sri Lanka Climate Fund.

Carbon Footprint Calculation

Assessment Type

Organisational
Greenhouse Gas
Assessment



Applied Standards

ISO 14064 - 1:2018 Sixth Assessment
Report (AR6) of IPCC, 2023
Refinement

The Greenhouse Gas Protocol

A Corporate Accounting and Reporting
Standard (Revised edition), WRI/
WBCSD

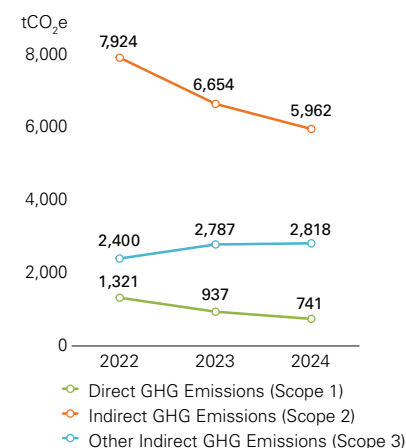
Reporting Period

1st January 2024 - 31st December 2024

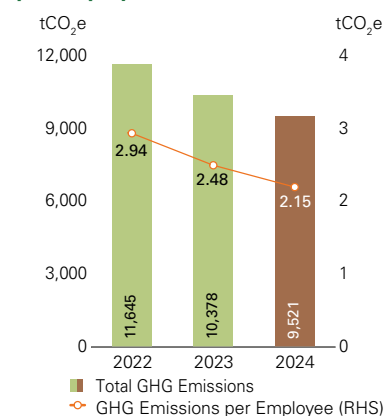
Base Year

2022

Scope-wise GHG Emissions



Total GHG Emissions Vs Emissions per Employee



Scope	GHG Emissions (tCO ₂ e) in 2024				
	CO ₂	N ₂ O	CH ₄	HFC	Total Emissions
Direct GHG Emissions (Scope 1)	713	11	2	15	741
Indirect GHG Emissions (Scope 2)	5,962	-	-	-	5,962
Other Indirect GHG Emissions (Scope 3)	2,797	16	5	-	2,818
Total GHG Emissions (tCO₂e)	9,472	27	7	15	9,521
GHG Emissions (Per Employee)	2.15				

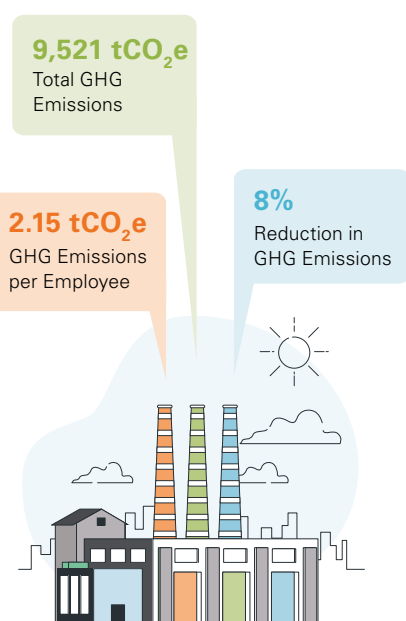
	2024	2023	YoY Change
Total GHG Emissions (tCO ₂ e)	9,521	10,378	-8%



Certificate of GHG calculation



Certificate of GHG verification



Natural Capital

MATERIALS MANAGEMENT

UN SDGs



As a committed institution to sustainability, the Bank strives to minimise its environmental impact through a range of proactive initiatives focused on material consumption.

Paper Optimisation and Digital Initiatives

The Bank has implemented several initiatives to optimise paper usage and enhance material management through digital solutions. A key component of Bank's strategy is the Digitalisation Agenda, which focuses on transforming the Bank into a world-class digital financial institution. This agenda emphasises the development of digital banking solutions and robust digital infrastructure to expand the Bank's reach and improve service efficiency.

One notable initiative is the Slip-less Banking app, designed to reduce paper consumption by eliminating the need for physical slips during transactions. Additionally, the Bank has introduced Virtual Teller Machines (VTMs), which facilitate various banking services without paper-based processes. The adoption of the Virtual Web Card further minimises paper usage by providing a digital alternative to physical cards.

In terms of material management, the Bank offers a comprehensive Cash Management Solution aimed at efficiently managing corporate cash flows. This solution reduces processing costs and saves time by streamlining cash handling processes, thereby contributing to more effective material management.

Through these digital initiatives, the Bank demonstrates its commitment to environmental sustainability and operational efficiency by reducing reliance on paper and optimising material management processes.

Procurement Procedure

Procedure to be adopted on purchase of fixed assets and third party payments other than on capital expenditure provides a guideline to select suitable service providers and suppliers based on 'Five Basic Rights' namely right quality, right source, right time, right quantity and right price.

Integrating ESG (Environmental, Social and Governance) practices into the Bank's procurement processes is becoming increasingly important for several reasons:

- **Risk Management:** ESG factors can be used to assess and mitigate risks associated with suppliers. By considering environmental risks such as climate change impacts or resource scarcity, social risks like labour practices or human rights violations and governance risks such as corruption or unethical business practices, the Bank can make more informed decisions about its suppliers and reduce potential financial, reputational, and operational risks.
- **Regulatory Compliance:** Regulatory bodies are increasingly emphasising the importance of ESG considerations in financial institutions' operations. Integrating ESG into procurement practices ensures compliance with existing and future regulations, avoiding potential penalties and legal issues.
- **Reputation and Brand Enhancement:** Prioritising ESG in the Bank's procurement processes demonstrate a commitment to sustainability and responsible business practices. This enhances the Bank's reputation among stakeholders including customers, investors and the broader community, leading to increased trust and loyalty and improved access to capital.
- **Competitive Advantage:** As sustainability becomes a key differentiator in the market, integrating ESG into procurement could give a competitive edge. It could attract ethically minded customers and investors who prefer to engage with institutions aligned with their values, especially on environmental and social aspects.
- **Long-term Value Creation:** ESG integration in procurement contributes to long-term value creation by fostering resilience and innovation. Sustainable supply chains are more likely to withstand disruptions and adapt to changing market dynamics. Additionally, they encourage innovation in product design, process efficiency, and waste reduction, leading to cost savings and revenue opportunities.

GRI 308-2

Supplier Screening and ESG Rating

The Bank has established a supplier rating system to evaluate and rank new suppliers based on their adherence to environmental, social and economic criteria.

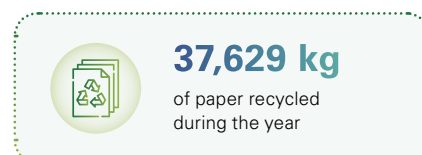


Waste Management

UN SDGs



The Bank's growth in recent years has led to an increase in waste generation. In response, waste management has become a key focus, prompting the Bank to enhance its recycling programme and expand its digital solutions portfolio. The introduction of digital services such as Slipless Banking App, WePay and Touchless Cash Withdrawals from ATMs has progressively reduced paper usage in branches. Moreover, backend processes have been systematically digitised, further contributing to lower paper usage and improving operational efficiency.



The waste generated from operations include,

- **Paper waste**

To meet and achieve operational targets, the Bank has tied up with Neptune Papers (Pvt) Limited as the primary recycling partner for paper waste.

- **E-waste**

Handed over e-waste to Infinity Green International (Pvt) Limited and N S Green Lanka (Pvt) Limited.

- **Food waste**

Biodegradable food waste generated by the Bank is responsibly handed over to the municipal authorities for proper disposal.



Waste segregation



Pet bottle collection point

CASE STUDY 1

Sampath Bank's Eco-Friendly Stationery Project – Elevating Sustainability and Community Engagement



In support of community development and environmental sustainability, Sampath Bank launched an eco-friendly initiative at its 38th Annual General Meeting that deeply resonated with shareholders. This project exemplifies the Bank's strategic approach to balancing environmental stewardship with economic empowerment. It centers on how rural communities in Karuwalagaswewa creatively use the "Ali Mana" plant to create environmentally friendly goods. This project was essential in reaping social and economic benefits for the rural communities of Karuwalagaswewa, in addition to being a green product innovation. Through a variety of initiatives, including hosting

workshops to raise awareness of entrepreneurship, providing a platform for them to showcase their products to a wider audience through the Bank's "Saviyaka Abhiman" entrepreneurs' fair, and setting up a stall to sell their environmentally friendly goods, Sampath Bank has been fostering the Karuwalagaswewa community since 2016. The Bank will involve them as partners in its supply chain, which is inclusive of both social and environmental factors, through a long-term process. By turning "Ali Mana" into eco-friendly products, Karuwalagaswewa creates jobs, improves living conditions, and establishes sustainable livelihoods.



Community participation in the production process



Natural paper products

SAVINGS



Wastepaper Paper Recycling

640 Trees

Oil 66,039 Litres

Water 1,195,850 Litres

Electricity 150,516 kWh

Landfill 113 m³

Reduced GHG emissions by 37,629 kg of Carbon equivalent



Digital Products Slipless Banking and CRMs/CDMs

303 Trees

Oil 31,274 Litres

Water 566,320 Litres

Electricity 71,280 kWh

Landfill 53 m³

Reduced GHG emission by 17,820 kg of Carbon equivalent

Note: Figures confirmed by Neptune Papers (Pvt) Limited

Waste Reduction and Recycling Programmes

In line with our commitment to promoting a circular economy and reducing landfill waste, we adopt responsible waste segregation and disposal practices. Through sustainable waste management partnerships and collaboration with the Municipal Council, we ensure the responsible disposal of biodegradable waste. Additionally, we partner with registered recyclers, such as Neptune Papers (Pvt) Ltd for paper waste and Infinity Green International (Pvt) Ltd and N S Green Lanka (Pvt) Limited for e-waste, to ensure environmentally responsible waste management.

Natural Capital

CASE STUDY 2

Sustainability through Circular Solutions

Sampath Bank, driven by its commitment to sustainability, partnered with Safepac Lanka (Pvt) Ltd to address plastic waste. Recognising the environmental impact of discarded security seals, the Bank prioritised this issue, despite its minor scale, as part of its broader sustainability goals. The widespread use of plastic in security seals creates significant waste. Safepac Lanka, a leading manufacturer of these seals, faced the challenge of managing this waste without compromising product quality. Safepac Lanka introduced a recycling programme to collect and re-purpose used seals. Key components of this initiative include:

- Monthly collection of used seals.
- Recycling plastic components to minimise the use of virgin materials.

Through this partnership, the Bank is helping Safepac Lanka to reduce plastic waste, reinforcing its commitment to a sustainable future and demonstrating how even minor issues can have a positive environmental impact when prioritised.



Handing over of plastic security seals for recycling purpose



Digital Innovation and Process Automation

UN SDGs



Digital innovation and process automation have been pivotal in revolutionising Sampath Bank's operations, driving greater efficiency and elevating customer experiences. Through the adoption of cutting-edge technologies, we have streamlined work flows, reduced operational costs and significantly enhanced service delivery. These advancements have also enabled us to broaden our reach, encourage innovation and adapt swiftly to the ever-changing needs of our customers. By integrating digital solutions into every facet of our operations, we continue to strengthen our position as a leader in digital banking, delivering sustainable value and setting new benchmarks in the industry by improving operational efficiency.

Digital Products Introduced during the Year

- Sampath Mini-POS
- Sampath Visa Infinite Metal Credit Card
- Sampath PayBand
- Cybersource

Process Improvements and Automation Initiatives

Business Process Improvements

- Centralised operations under the Central Branch Operations Unit (CBOU) including account opening requests, processing of fund transfers, account closure requests, updating of personal/nominee information, SMS activation and Inland Revenue notices related activities.
- Enhanced digital account opening solutions including the introduction of the LIME system.
- Remote account opening via QR system.
- Enhancements to online banking apps with improved user interface (UI) and user experience (UX).
- The Centralised Credit Documentation Unit (CCDU) has taken over various functions previously handled by the branches including, scrutinisation of lease and Samachara facilities, assignment of lease indenture numbers, lease indenture

acknowledgements in the Finacle system, monitoring of cash margin loan rates and clearing of all pending lease indenture acknowledgements up to 31st May 2024 across all branches from 2020.

Process Automations

- With effect from June 10, 2024 Phase I of Lease Document Automation for Personal Facilities was implemented.
- Phase II of Performance Management System module implemented with effect from December 2024.

WATER MANAGEMENT

UN SDGs



Sampath Bank's water requirement is primarily for staff utility and sanitation purposes. These needs are met through water supplied by municipal water lines. As the water used for these purposes is free from harmful substances or contaminants, it is safely discharged back into the municipal sewage system. Notable water management initiatives undertaken by the Bank include:

- Installation of motion sensors in lavatory wash basins to minimise the use of water and energy.
- Installation of Energy Monitoring System (EMS) to monitor water consumption of each floor (ongoing).
- Aerator taps have installed in lunchroom and washrooms for better water optimisation.

However, the Bank recognises the importance of managing the country's water resources as Sri Lanka is a water stressed country withdrawing over 90% of its freshwater resources. Accordingly, the Bank has created a comprehensive project to store rainwater and distribute the same in agricultural communities by restoring ancient tanks that have supported these communities over centuries. This project supports food security in the country while nurturing micro entrepreneurs and SMEs through both access to finance and technical know-how.

Refer pages 98 to 102 on 'Wewata Jeewayak' tank restoration programme

Water Discharged - Head Office

	2024	2023
Water discharged	26,575 m ³	33,011 m ³

Water source: National Water Supply and Drainage Board

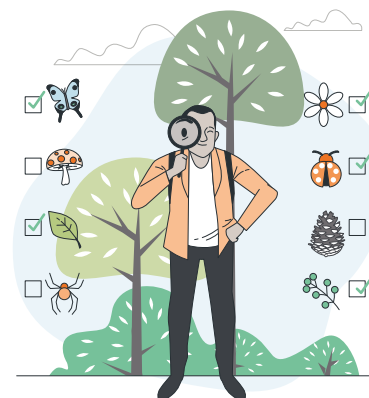
BIODIVERSITY

GRI 413-1

UN SDGs



The Bank remains committed to safeguarding natural capital by prioritising the conservation and restoration of natural ecosystems. The Bank identified marine and terrestrial ecosystem conservation as a material topic considered under Climate Change. Recognising the critical role of marine biodiversity in sustaining life by being the largest carbon sink, the Bank actively implements projects aimed at protecting coral reefs, restoring mangroves and reducing marine pollution. The Bank focuses on rehabilitating degraded forests, protecting endangered wildlife and promoting sustainable land use to optimise its impact to the Planet. In addition, the Bank actively participates in advocacy projects that promote awareness and encourage collective action for biodiversity conservation and protection.



"Preserving the heritage of our present into the future"

Environmental Commitment Initiated Under 'Apema Sampath'



Biodiversity Protection and Conservation Projects

- | | | |
|---|--|---|
| 1 'A Breath to the Ocean' – Coral Restoration Programme | 7 Research Symposium on Oceans and Freshwater Systems (SOFS) | 13 Relaunch of Sampath Bank Nature Protection Club (SNaPC) |
| 2 'A Breath to the Ocean' – Turtle Conservation Programme | 8 Partnership with National Aquatic Resources Research and Development Agency (NARA) | 14 'Gasai Mamai Pubudu Pothai' Tree Planting and Vegetable Gardening Programme |
| 3 Research on Assessing the Influence of Environmental Variables on Nesting Success of Turtles in Rekawa, Sri Lanka | 9 'Life to Our Mangroves' Project in collaboration with Biodiversity Sri Lanka | 15 Contribution to the Wildlife and Nature Protection Society of Sri Lanka |
| 4 Fixing Information Board at Batheegama | 10 'Life to Our Forest' – Halgahawala Restoration Project in collaboration with Biodiversity Sri Lanka | 16 Supported the 'Suraksha Project' led by the Zero Plastic Society at the University of Peradeniya |
| 5 Coral Reef Clean-up Project at Kapparatota, Weligama and Talaramba in collaboration with the Marine Environment Protection Authority (MEPA) | 11 Reforestation Project at Embilipitiya in collaboration with the Department of Forest Conservation | 17 'Re-Green Earth Kalutara' Environment Conservation Project |
| 6 'A Breath to the Ocean' – Ocean Plastic Reduction Initiative in collaboration with RTI International at Madu River | 12 Essential Equipment Donation to Prevent Forest Fire for the Department of Forest Conservation | |

Natural Capital



Coral Restoration Programme



'A Breath to the Ocean' – Coral restoration programme is an environmental initiative undertaken by the Bank to contribute for oceanic biodiversity restoration identifying its significance to maintain the planet's health. Through this initiative, the Bank aims to reduce the negative impact on the climate, conserve marine habitants and get community engagement for the conservation efforts. This will enhance the eco-tourism opportunities while improving the livelihood in the surrounding community. The Bank has contributed to conserving coral reefs in identified sea patches in Bandaramulla, Mirissa, Dutch Bay in Trincomalee and Batheegama in Dickwella by placing reef balls and got the community engaged throughout each phase. The resource person for the technical guidance is, Professor P B Terney Pradeep Kumara, Senior Lecturer, Department of Oceanography and Marine Geology, Faculty of Fisheries and Marine Sciences and Technology of University of Ruhuna.

This year initiatives;

- Nilwella Beach in Dickwella: 20 reef balls were placed to aid coral planting to improve marine biodiversity. This was initiated with support from the surrounding community and the Department of Wildlife Conservation.
- Marble Beach in Trincomalee: 20 reef balls were placed to boost coral growth at Marble Beach while promoting its importance of conservation. This was initiated in partnership with Sri Lanka Air Force and the Department of Wildlife Conservation.



Community participation in the project



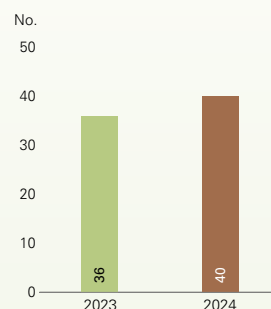
Preparation of reef balls at the Air Force base

Partnerships

- The Department of Oceanography and Marine Geology, Faculty of Fisheries and Marine Sciences and Technology, University of Ruhuna
- The Department of Wildlife Conservation
- The Marine Environment Protection Authority
- The Department of Coast Conservation and Coastal Resource Management
- Sri Lanka Navy
- Sri Lanka Air Force
- Sri Lanka Coast Guard

Impacts

Number of Reef Balls Placed



Turtle Conservation Programme



'A Breath to the Ocean' - Turtle conservation programme in Rekawa Beach, focuses on conserving endangered sea turtles and their habitats in collaboration with the Department of Wildlife Conservation and engaging with surrounding communities. Building hatcheries, creating a research centre and an education hub and equipping rescue centre are parts of this initiative.

This year initiatives;

- A camping site in Rekawa was established with the aim to facilitate scientific research on turtle conservation.
- Conducting research to assess the influence of environmental variables on nesting success of turtles in Rekawa.



Handing over equipment to establish the camping site



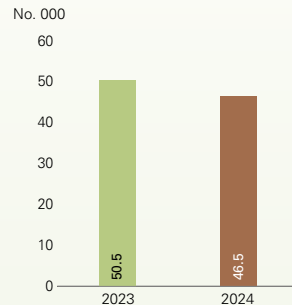
Conducting the research works at Rekawa site by interns

Partnerships

- The Department of Wildlife Conservation
- The Department of Oceanography and Marine Geology, Faculty of Fisheries and Marine Sciences and Technology, University of Ruhuna

Impacts

Number of Turtle Eggs Protected



The Bank identified marine and terrestrial ecosystem conservation as a material topic considered under Climate Change, recognising the critical role of marine biodiversity in sustaining life by being the largest carbon sink.



Research on Assessing the Influence of Environmental Variables on Nesting Success of Turtles in Rekawa, Sri Lanka



Conducting a research on assessing the influence of environmental variables on nesting success of turtles in Rekawa, Sri Lanka. In line with its commitment to sustainability, the Bank conducted a ground breaking research project at Rekawa Beach to assess the influence of environmental factors on the nesting success of sea turtles. By analysing critical variables such as sand temperature, moisture and nest elevation, this initiative offered invaluable insights to refine turtle conservation strategies. The project also fostered community collaboration, empowering local residents to actively monitor and protect nesting sites. This effort reinforces the Bank's dedication to safeguarding marine ecosystems and contributing to global biodiversity goals, ensuring a thriving future for life below water.

The research findings will be utilised to further enhance the Bank's turtle conservation efforts in collaboration with the Department of Wildlife Conservation.



Research works carrying out at Rekawa Turtle Sanctuary by interns

Partnerships

- The Department of Wildlife Conservation
- The Department of Oceanography and Marine Geology, Faculty of Fisheries and Marine Sciences and Technology, University of Ruhuna



Fixing Information Boards at Batheegama



As part of the 'A Breath to the Ocean' initiative, and to enhance the sustainability of the project, the Bank successfully fixed information boards at three prominent locations along Batheegama beach in Dickwella. These boards were designed to educate the public about the importance of turtle conservation and highlight laws protecting these endangered species. By addressing issues like poaching and habitat destruction, this project supports the local community's ongoing efforts to safeguard turtles and their nesting grounds under the guidance of the Department of Wildlife Conservation.



Information boards fixed at Batheegama beach

Partnerships

- The Department of Wildlife Conservation

Natural Capital



Coral Reef Clean-up Project at Kapparatota, Weligama and Talaramba, Matara



Coral reef clean-up project at Kapparatota, Weligama and Talaramba, Matara in collaboration with the Marine Environment Protection Authority (MEPA). As part of our commitment to environmental sustainability, the Bank successfully completed an initiative to protect and restore coral reef ecosystems, focused on raising awareness about the rainforest of the sea, mitigating threats and preserving the health of coral reefs for future generations. Through these efforts, we continue to champion the conservation of these essential marine habitats.

Partnerships

- The Marine Environment Protection Authority (MEPA)



Awareness on coral reef ecosystem



Stakeholder participation in reef cleanup project



Ocean Plastic Reduction Initiative



Ocean plastic reduction initiative in collaboration with RTI International at Madu River Sanctuary supports to establish a floating market, promoting eco-friendly and plastic alternative products. It aims to boost local livelihoods, particularly for women, by fostering sustainable tourism and economic opportunities. It is a community driven project, led by residents of Maduwa Island. 545 beneficiaries including women entrepreneurs, suppliers and boat owners were given the opportunity.

Partnerships

- RTI International



Conducting a training session for project stakeholders



Research Symposium on Oceans and Freshwater Systems (SOFS)



The Bank proudly supported the 2nd Symposium on Oceans and Freshwater Systems (SOFS), held at the University of Ruhuna, as the main collaborator. Aligned with the theme 'Expanding Resilient Blue Horizons,' this initiative brought together researchers, students and industry experts to advance sustainable practices in marine and freshwater ecosystems. Through this partnership, the Bank strengthened its commitment to environmental stewardship under the 'A Breath to the Ocean' programme, fostering knowledge sharing and innovative solutions for marine conservation and sustainable development in Sri Lanka. Furthermore, the Bank recognised and awarded the undergraduates who presented the best sustainable research across four distinct areas: Ocean and Lagoon Health, Aquaculture Development, Sustainable Fisheries and Environmental Management. In parallel to the symposium, the Bank provided snorkelling equipment to the University of Ruhuna to support their studies on oceanic ecosystems. This contribution aims to enhance the university's research capabilities and foster a deeper understanding of marine environments. 215 undergraduates participated.

Partnerships

- The Department of Oceanography and Marine Geology, Faculty of Fisheries and Marine Sciences and Technology, University of Ruhuna



Handing over of snorkelling equipment to the University of Ruhuna



Awardees of the best research presentations



Partnership with National Aquatic Resources Research and Development Agency (NARA)



As part of our ongoing commitment to environmental sustainability and the conservation of oceanic ecosystems, the Bank proudly collaborated with the National Aquatic Resources Research and Development Agency (NARA) for their Annual NARA Scientific Session (NSS) 2024, held on the 26th and 27th of September 2024. This international conference brought together leading researchers in aquatic sciences to share advancements in fields such as fisheries, aquaculture and climate resilience. Our partnership in this esteemed event aligns with our flagship 'A Breath to the Ocean' initiative, further reinforcing our dedication to oceanic biodiversity, eco-tourism and sustainable development.

Over 200 participants from diverse backgrounds including Scientists, Resource Managers, policy makers, students, industry professionals and other stakeholders in the Aquatic Science and Fisheries sectors took part in the event.

Partnerships

- National Aquatic Resources Research and Development Agency (NARA)



'Life to Our Mangroves' Project in Anawilundawa Ramsar Wetland



'Life to Our Mangroves' project in Anawilundawa Ramsar Wetland aims to restore 1 hectare of degraded wetland over a five year period. Focused on restoring species like *Bruguiera Cylindrica* and *Rhizophora Mucronata*, the initiative enhances ecosystem resilience and addresses climate and socio-economic challenges, while supporting biodiversity and community preparedness phases were carried out for awareness, research and biodiversity monitoring. The plant nursery was prepared and canal system in the project site was constructed with the support of Community Leaders. This project was recognised by winning the 'UN Decade of Restoration Flagship Award' for Sri Lanka. This recognition is bestowed upon our nation for its outstanding achievements in mangrove restoration and conservation.

This year initiatives;

- 1,900 mangrove saplings were planted
- 4,500 seeds scattered to support the natural regeneration process

Partnerships

- Biodiversity Sri Lanka
- The Department of Wildlife Conservation



Sampath team participation at the project work



An awareness session for Sampath Team



'Life to Our Forest' - Halgahawala Reforestation Project

'Life to Our Forest' - Halgahawala reforestation project is undertaken by the Bank in partnership with Biodiversity Sri Lanka to restore a dedicated degraded forest land of 10 hectares adjoining to Kanneliya Forest Reserve. This degraded forest land located in Opatha, Halgahawala in Galle District. Although the project commenced in 2018 and successfully concluded in 2023, the Bank has committed to continue supporting the project to ensure its environmental contribution of being a carbon sequestration source while enhancing air and water quality. The project will contribute to protect native species and promote its regeneration. Token of appreciation was received for this project by the platform of the Preferred by Nature of conformity with the ecosystem restoration field verification standard V3.1.

Partnerships

- Biodiversity Sri Lanka
- The Department of Forest Conservation
- IUCN (International Union for Conservation of Nature)



Token of appreciation from Preferred by Nature

Natural Capital



Reforestation Project in Collaboration with Department of Forest Conservation

The Bank launched a reforestation project in Embilipitiya, Udawalawa to restore 1 hectare of degraded forest land and prevent fires. Focused on enhancing biodiversity, water conservation and carbon sequestration through native plantings and controlling invasive species. In addition to the other native plants, the project team has taken the initiative to plant fruit saplings in the restoration site as a creative way to lessen the number of wild animals that stray into the village.

This promotes sustainability, ecological balance and community well-being in Embilipitiya area. 800 saplings were planted with the participation of 31 volunteers from the Bank, Department of Forest Conservation and with the support of community.

Partnerships

- The Department of Forest Conservation



Exchanging MoU with the Conservator General, Department of Forest Conservation



Sampath team participation in inaugural tree planting event



Essential Equipment Donation to the Department of Forest Conservation

The Bank supported the timely need to prevent forest fire on request of the Department of Forest Conservation by supplying 10 grass cutters as essential equipments. This initiative aims to reduce forest fire risks, protect biodiversity and promote sustainable ecosystems.

Partnerships

- The Department of Forest Conservation



Relaunch of Sampath Bank Nature Protection Club (SNaPC)



Established in 2012, Sampath Bank Nature Protection Club (SNaPC) is the Bank's volunteer-driven initiative dedicated to environmental sustainability, in building a Green Force comprising members of the Sampath Team. As the green arm of Sampath Bank, SNaPC operates under the guiding philosophy, 'Love Life – Love Nature,' symbolising the harmonious relationship between humanity and nature. The Club focuses on implementing sustainable environmental and banking initiatives while actively engaging employees in promoting conservation, protection and regeneration of natural resources. Recognising the growing importance of environmental stewardship in today's age of responsibility, SNaPC underwent a strategic relaunch. This relaunch underscores the Bank's commitment to embedding a green mindset among its employees and ensuring that SNaPC continues to play a pivotal role in driving sustainability across its operations. The relaunching event was conducted with the theme of 'Oceanic Eco-system' graced by the Managing Director and the Corporate Management. As part of the relaunch of the Sampath Nature Protection Club (SNaPC), comprehensive awareness sessions were conducted for all participating staff members. These sessions featured insights on the Oceanic Ecosystem by Professor P B Terney Pradeep Kumara, Senior Lecturer, the Department of Oceanography and Marine Geology, Faculty of Fisheries and Marine Sciences and Technology, University of Ruhuna, and on the Blue Economy by Dr Shamen Widanage, Country Representative for IUCN (International Union for Conservation of Nature). 142 staff members participated in the event.



Managing Director addressing Sampath Team at the relaunch event



Sampath Team participation at the relaunch event

Objectives of Sampath Nature Protection Club

- Encouraging members to share knowledge while promoting environmental conservation measures like recycling, pollution prevention, and energy conservation.
- Influencing and advising the Management of the Bank to take eco-friendly business decisions in every aspect of operations and facilitate the Bank to be positioned as a Green Bank.
- Taking initiatives to encourage members to adopt to an eco-friendly and cyclic lifestyle.
- Networking with Professional Bodies, Research Institutes, Universities in relation to environmental protection and conservation, and initiate joint activities to promote eco-friendly concepts.



Newly-appointed SNaPC committee members



'Gasai Mamai Pubudu Pothai' Tree Planting and Vegetable Gardening Programme



The 'Gasai Mamai Pubudu Pothai' tree planting programme nurtures future generations towards environmental conservation by gifting a fruit sapling to take care of until it grows. Its cultivation generates income for their schools to cover day-to-day expenses.

The 2nd phase of 'Gasai Mamai Pubudu Pothai' promotes vegetable gardening concept among school children by providing vegetable seeds, gardening equipment and organic fertilisers while improving their environmental consciousness. Facilitated to establish number of school gardening units in Gampaha and Negombo educational zones under this programme.

This year initiatives;

- 5,516 fruit saplings were distributed among 53 schools
- 60 new school gardening units in Gampaha and 55 new school gardening units in Negombo were established



A project initiated by Warakapola branch



Handing over gardening equipment and organic fertilisers

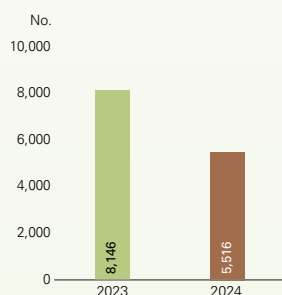
Partnerships

- Ministry of Education
- Respective Zonal/Regional Education Offices and Schools
- The Department of Agriculture

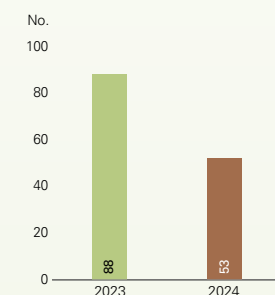
Impacts

Fruit Saplings Planting Programme

Number of Trees Planted

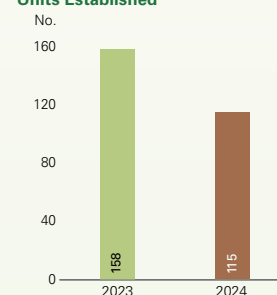


Number of Schools Benefited



Vegetable Gardening Programme

Number of School Gardening Units Established



Natural Capital



Contribution to the Wildlife and Nature Protection Society of Sri Lanka

The Bank contributes to national conservation by allocating Rs 5 for every new Debit Card issued to the Wildlife and Nature Protection Society of Sri Lanka, reinforcing its 30-years of commitment to environmental conservation.

Partnerships

- Wildlife and Nature Protection Society of Sri Lanka



'Suraksha' Project

The 'Suraksha' project, led by the Zero Plastic Society of University of Peradeniya, was initiated at Gatambe Temple, Kandy with the participation of 23 volunteers from the Bank to tackle responsible waste disposal. Introduced in collaboration with local authorities, to established waste stations and create awareness campaigns for pilgrims. It successfully promoted eco-friendly practices and fostered environmental responsibility.

Partnerships

- Zero Plastic Society of the University of Peradeniya



'Re-Green Earth Kalutara' Environment Conservation Project

In partnership with the 'Sasnaka Sansada' Foundation, Sampath Bank successfully implemented the Re-Green Earth project to combat riverbank erosion, enhance biodiversity and protect agricultural lands from frequent flooding along the Kalu Ganga River. By planting 200 plants including Kumbuk, Mee and Bamboo trees with protective clay shielding, the initiative enhanced ecological stability, reduced soil erosion and safeguarded local livelihoods. Community involvement, with local youth and environmental organisations playing a key role in continuous monitoring and maintaining ensured the project's long-term sustainability, reinforcing our commitment to environmental conservation and resilience.

Partnerships

- 'Sasnaka Sansada' Foundation

OUTLOOK

- Identify, assess and manage climate related risks and opportunities to enhance resilience and align with global sustainability frameworks.
- Enhance ESG knowledge and skills by equipping team members with focused training and development programs.
- Establish an internal environmental management system to enhance operational effectiveness.
- Create and execute a low-carbon transition plan to foster long-term environmental and business sustainability.
- Encourage environmental and social responsibility among clients and suppliers by providing education on sustainable practices.

BUSINESS REPORTS



SME and Retail Banking | 130
Corporate Banking | 137
Treasury | 140

Subsidiary Performance | 142



About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

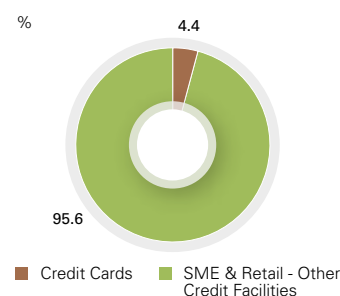
Business Reports

SME AND RETAIL BANKING

SME & Retail Banking which comprises the SME & Retail Lending, Credit Cards, Deposits and Remittance pillars focuses on supporting the financial needs of SME and retail customers. Together, these units provide customer-centric financial solutions that nurture the growth of the SME sector and fulfil the diverse financial needs of retail customers at different life stages. The Remittance Unit leverages its global presence to boost inward remittances, improving the financial well-being of families and supporting economic stability.



SME & Retail Banking Portfolio 2024



Our Services

SME & Retail Loans	Remittances	Credit Cards	Deposits
- Business Loans - Refinance - Factoring - Trade Finance - Housing Loans - Personal Loans - Pawning and Gold Loans - Leasing	E-Remittances	- Visa - Mastercard - Amex - Affinity Cards - Prepaid Cards - Personal Debit Cards - Corporate Credit Cards - Merchant Services	- Current Accounts - Savings Accounts - Term Deposits - Foreign Currency Accounts
Sampath Vishwa Retail		Sampath Payment Gateway	
Sampath Mobile Banking		WePay	Over 2,300 Touchpoints Islandwide

Market Review

The stabilisation of the economy in 2024 facilitated the revival of business activity, positioning the SME sector on a trajectory of gradual recovery, underpinned by improving cashflows and repayment ability. The tourism, agriculture, trade, healthcare and manufacturing industries demonstrated growth, presenting opportunities for lending. However, the prevailing economic and political uncertainty tempered overall business sentiment, leading to a cautious approach towards expansion. The combined impact of elevated prices and tax adjustments continued to impact real income levels of retail customers, dampening consumer spending and appetite for retail credit.

The cautious business climate presented opportunities for deposit growth, particularly in low-cost CASA deposits as businesses sought to maintain ready access to funding. This contributed to a lower cost of funding. However, the further decline in interest rates by 228 bps in 2024, following the 449 bps decline in 2023, resulted in a decline in interest income that outweighed the reduction in funding costs, adversely impacting net interest income.

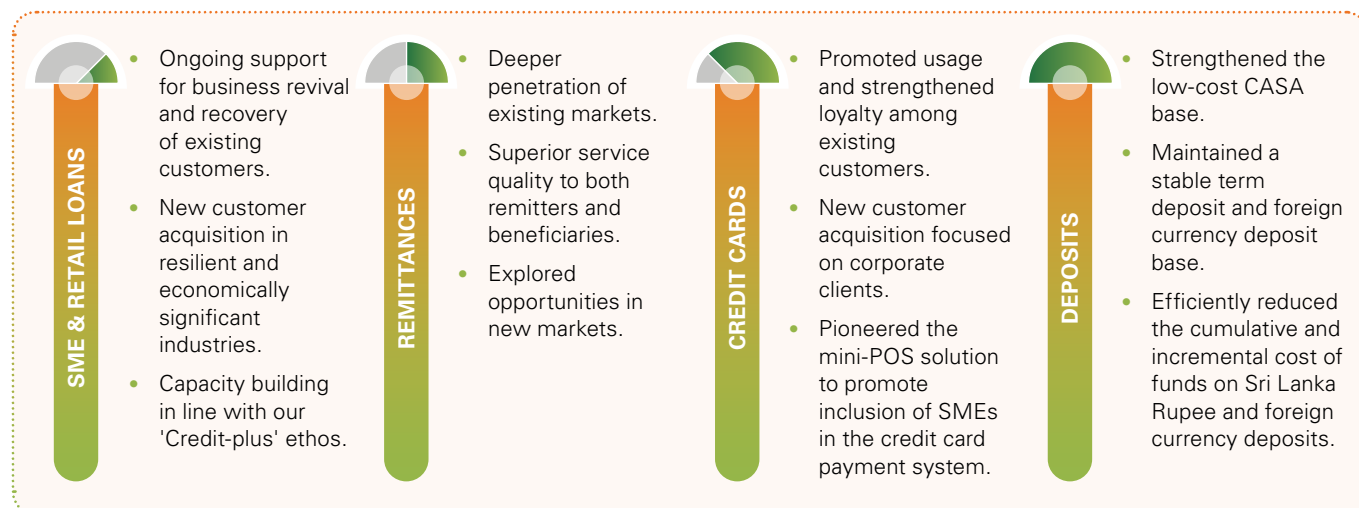
Meanwhile, inflow of workers' remittances maintained its growth momentum in 2024. The highest volumes of workers' remittances were received from the GCC region, South Korea and Italy.

Aligning with the Bank's overall long-term strategy of strengthening its presence in the SME sector, SME and Retail area was remodelled at the beginning of 2024. A range of roles and responsibilities was reorganised into separate specialised units, leading to the creation of a team of 16 Regional Managers.

Strategy

SME & Retail Loans

The Branch Banking structure was remodelled to create a dedicated team of Regional and Relationship Managers focused on lending to small and medium-sized enterprises to further the Bank's growth strategy in the SME sector.

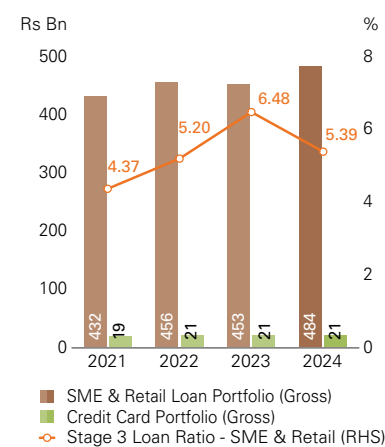


Delivering Results in 2024

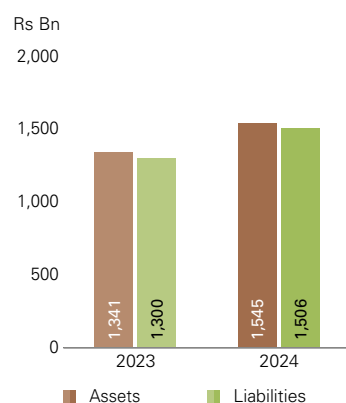
Performance Highlights			
	2024 Rs Mn	2023 Rs Mn	Change %
Net interest income	51,656	60,336	(14.4)
Net fee & commission income	14,137	14,375	(1.7)
Net other operating income	2,299	1,331	72.7
Inter-segment income	416	1,034	(59.7)
Total operating income	68,508	77,076	(11.1)
Less: Impairment (reversal)/charge	(97)	8,531	(101.1)
Net operating income	68,605	68,546	0.1
Less: Total operating expenses	19,989	17,366	15.1
Operating profit before tax	48,616	51,179	(5.0)
Segment assets	1,545,080	1,341,134	15.2
Segment liabilities	1,505,862	1,299,613	15.9

Note: The segment assets, liabilities, income, and expenses figures mentioned above include inter-segment balances.

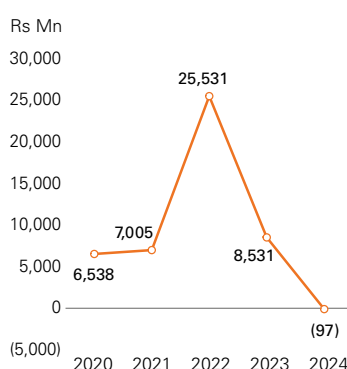
Loan Portfolio & Credit Quality - SME & Retail



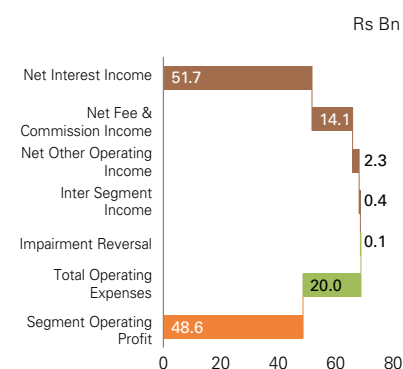
Assets & Liabilities - SME & Retail



Impairment Charge - SME & Retail



Segment's Performance - SME & Retail 2024



Business Reports

GRI 2-6

EMPOWERING COMMUNITIES THROUGH FINANCIAL INCLUSION

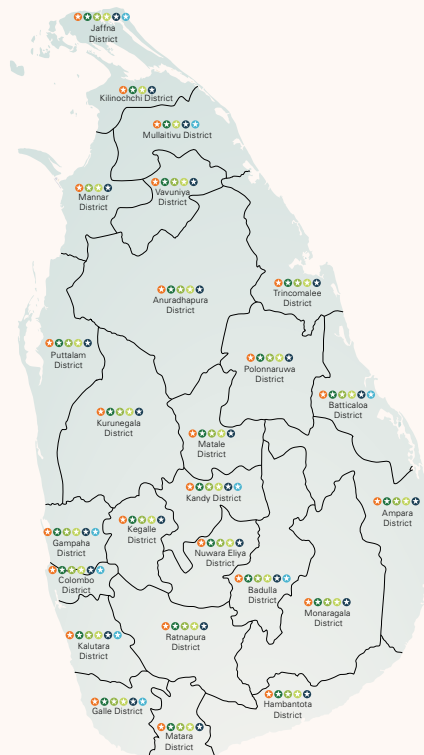
Enabling access to finance for communities across the nation

- An island-wide geographic presence promoting financial accessibility across;

★ Branches	★ ATMs	★ CRMs	★ CDMs
229	260	295	234
★ eZ Banking Agents	★ Digital Banking Centres		
1,252	32		

- Innovative digital solutions with trilingual capability enabling,
 - » 24/7 accessibility
 - » Island-wide reach
 - » Enhanced convenience to customers and businesses
 - » Support the specific needs of small businesses

RemitWise



Pioneered the introduction of the mini-POS enabling the inclusion of SMEs into the credit card payment system expanding their revenue opportunities.

A PRODUCT PORTFOLIO THAT CATERS TO THE NEEDS OF OUR COMMUNITIES



A comprehensive product portfolio that caters to the needs of our customers.



An array of savings products that meet the needs of our customers at each life stage

A lending product portfolio that supports the growth of SMEs from inception to large scale operations

Traditional and digital payment systems that enhance convenience for payments and receipts

A 'CREDIT PLUS' ETHOS FOSTERING FINANCIAL KNOWLEDGE AND SKILLS WITHIN OUR COMMUNITIES



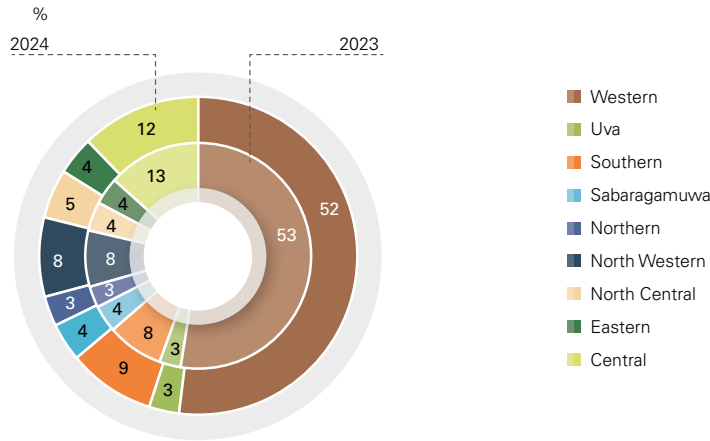
We strive to elevate businesses by providing comprehensive financial support which extends beyond the mere provision of financing to include strengthening of financial capabilities and knowledge.

Support extended includes,

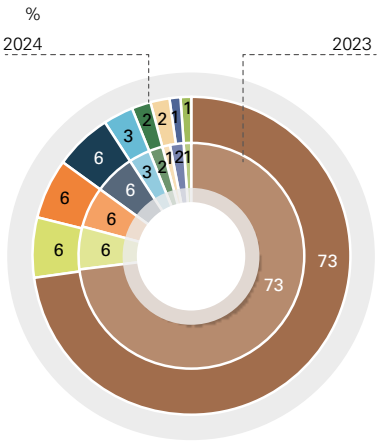
- Formal programmes on cash flow management.
- Leveraging partnerships to fuel business growth.
- One-on-one engagement with Regional Managers and Relationship Managers to optimise financial solutions according to business needs.

Our Impact

Geographic Distribution of SME & Retail Loan Portfolio



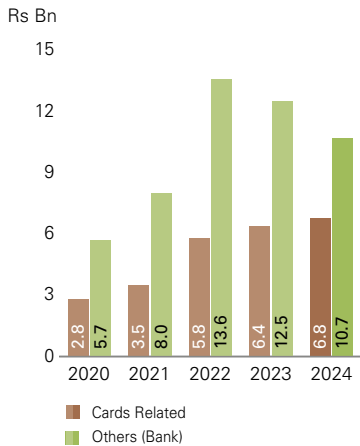
Geographic Distribution of Deposits



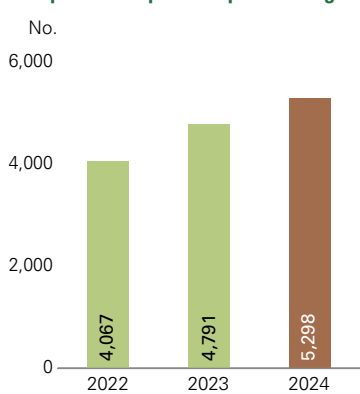
KEY BUSINESS NEEDS SUPPORTED IN 2024



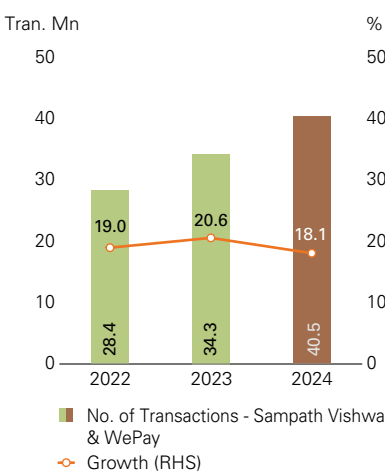
Net Fee & Commission Income - Cards Related & Others



Beneficiaries of 'Sampath Saviya' and Other Entrepreneurship Development Programmes



Digital Transaction Volumes



About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Business Reports

SME & RETAIL LENDING

The branch network which caters to SME & retail customers, delivered stable performance in 2024, underpinned by a focused strategy that supported the revival and recovery of the SME sector and targeted growth in economically significant and resurging sectors. Accordingly, the SME & Retail loan portfolio expanded by 6.7% as at end-December 2024 and stemmed primarily from the tourism, healthcare, manufacturing, agriculture and trading industries. Robust, collaborative efforts at all levels, the expertise of the Recoveries Unit, ongoing customer engagement and customised restructuring solutions that matched the cash flows of recovering SMEs, facilitated improvements in stage II and stage III loan classifications as well as a reversal in impairment charges in 2024. Improving loan quality and declining funding costs supported an uptrend in the overall profitability during the year under review.

Internal re-organisation to strengthen presence in the SME sector

Aligning with the Bank's overall long-term strategy of strengthening its presence in the SME sector, SME and Retail area was remodelled at the beginning of 2024. A range of roles and responsibilities was reorganised into separate specialised units, leading to the creation of a team of 16 Regional Managers located at Regional Offices, each with their respective teams, primarily focusing on capturing opportunities in the SME sector.

To enhance the new SME team's capabilities, the newly appointed SME Relationship Managers participated in a 6-month training programme on SME financing. Accordingly, the newly designated SME Relationship Managers completed this programme in 2024.

The above remodelling process has led to streamlining of operations, enhanced service delivery and improved turnaround times for credit approvals.

Investments were also made to upgrade the IT infrastructure to streamline operations, support swifter service delivery and improve turnaround times for loan approvals. These efforts resulted in a notable reduction in customer complaints.

Building our team

Given the integration of a significant number of new team members over the last two years, the Unit implemented a comprehensive training programme to ensure staff members possessed the skills required to fulfil their roles effectively and ensure high levels of service quality. Over

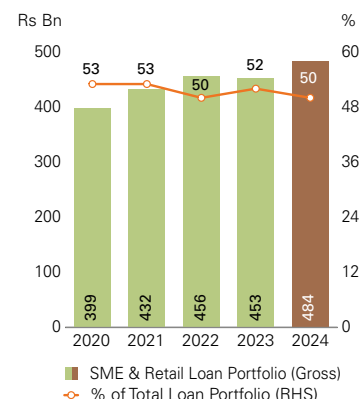
950 team members which accounted for over 35% of the Branch Banking team participated in the training programme conducted over the course of the year by senior staff members and included the development of technical and customer service competencies. These efforts have led to a notable reduction in customer complaints.

Supporting business revival and recovery

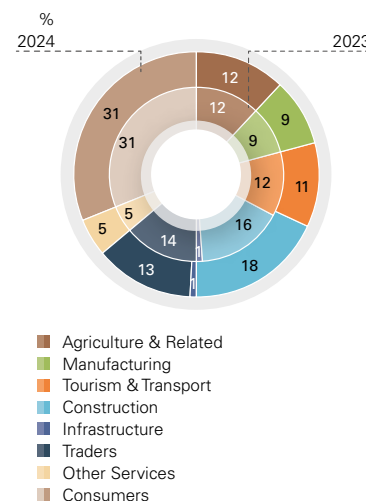
Recognising the extraordinary macroeconomic challenges faced by the SME sector in recent years, the scope of the Business Revival Unit (BRU) was expanded during the year under review in line with CBSL regulations to assist in reviving viable businesses impacted by these conditions.

Businesses with potential for revival were assessed against specific eligibility criteria. Those meeting these criteria were transferred to the BRU, where a combination of financial and operational restructuring strategies were employed to revive distressed but viable businesses. In 2024, facilities extended to 66 businesses were transferred to the BRU to initiate their journey towards recovery.

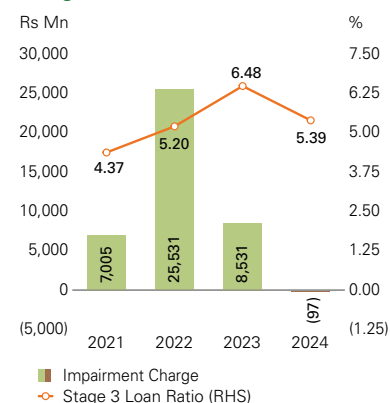
SME & Retail Banking Loan Portfolio



Sector-wise SME & Retail Loan Portfolio (Gross)



Stage 3 Loan Ratio & Impairment Charge - SME & Retail



Capacity building

Consistent with its 'Credit plus' ethos, the Unit committed to educating SME customers on financial statement preparation during the year under review. This included developing Excel based formats for financial statements and uploading them to the Sampath Vishwa SME – Persona platform for customers to download and familiarise themselves with. Regional Managers and SME – Relationship Managers actively engaged with SME customers to provide guidance and support in this regard. Additionally, the Bank also nominated suitable candidates for relevant capacity building programmes conducted by external institutions including the ADB. The Unit also utilised access to the ADB concessionary refinancing scheme to support SME sector development. Recognising the unique business needs of paddy millers and traders, the Unit introduced pledge loans and warehouse financing respectively during the year under review.

Sustainable financing

Fulfilling our social and environmental responsibilities by promoting sustainable business practices among customers remained a priority during the year under review. Concessionary rates were offered through the Sustainable Green Financing Scheme for projects that met specified environmental standards. The Unit also partnered with selected service providers to promote renewable energy solutions to customers.

SUSTAINABLE FINANCING SOLUTIONS



Green loans for projects that fulfil verified sustainability standards



Sustainable Green Financing Scheme



Partnerships to promote renewable energy solutions

CREDIT CARDS

The Card Centre recorded stable performance in 2024, despite muted consumer spending and a cautious approach to new customer acquisition. Strategic emphasis was placed on strengthening loyalty and credit card spend of existing cardholders through unique and differentiated value propositions including lifestyle, experiential and entertainment promotions. To celebrate 35 years of providing credit card solutions, the Card Centre launched a brand building campaign which leveraged social media platforms and included exclusive promotional offers for cardholders. Cardholders were also offered 35-month extended settlement plans on their transactions to reaffirm our commitment to being the responsible choice. New customer acquisition focused on expanding the corporate cards portfolio.

Supporting SME growth

Cognisant of its role in supporting SME growth and the GOSL's digitalisation efforts, the Unit pioneered the introduction of the mini-POS device in Sri Lanka in 2024. The bespoke, compact, portable device facilitates seamless transactions across multiple payment schemes, enabling the inclusion of SMEs into the digital payment system and expanding their revenue opportunities. During the year under review, over 640 SME merchants signed up for the mini-POS device, expanding their options for receiving payments while also facilitating greater payment ease for cardholders.

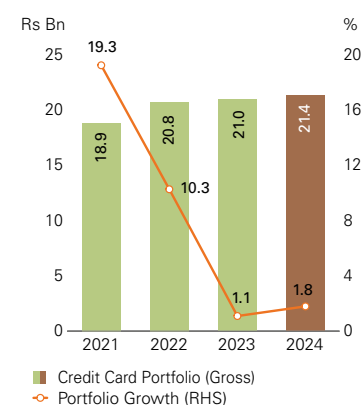
Raising awareness of credit card frauds

Given the rise in digital transactions and the risk of credit card frauds, the Card Centre engaged in numerous initiatives to raise public awareness in this regard. These included, SMS campaigns, e-flyers and island-wide merchant education programmes.

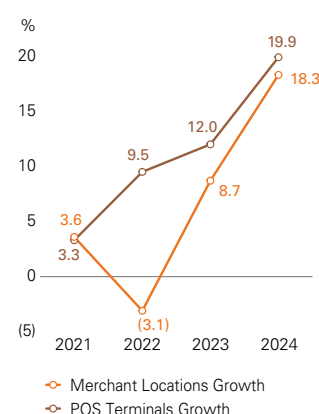


Sampath Bank launched the first-ever Sampath Visa Infinite Metal Credit Card in Sri Lanka, joining an elite circle with access to privileges that span the globe, from exclusive rewards to unique travel benefits, making every transaction a seamless blend of convenience and prestige.

Credit Card Portfolio



Card Merchant Base



Business Reports

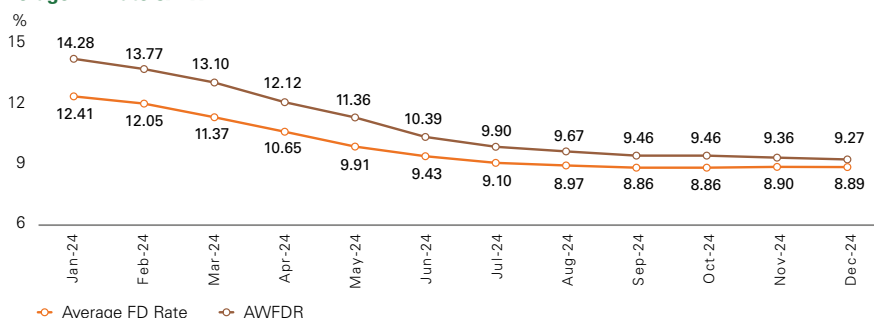
DEPOSITS

Strong deposit growth

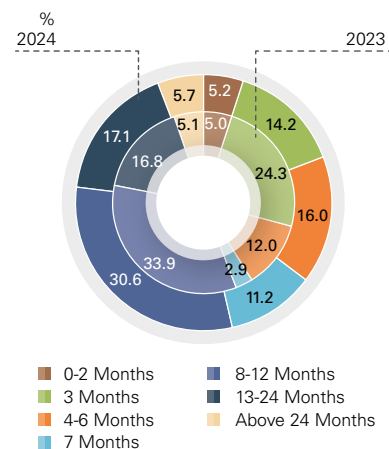
Despite declining interest rates, diminished disposable incomes and intense competition, the Bank's deposit base recorded strong growth, expanding by 16.2% to Rs 1,469 Bn as at end-December 2024 (2023: 14.6% growth to Rs 1,264 Bn). Notably, emphasis on growing its low-cost funding base led to CASA growth outpacing term deposit expansion. Accordingly, CASA increased in proportion within the deposit mix to 34% while term deposits accounted for 65.5% as at end-December 2024.

The Bank's robust deposit growth was underpinned by its strong brand and reputation, extensive island-wide reach with over 2,300 physical touchpoints, strong digital presence, and a diverse product range that caters to different life stages and needs of customers. Efforts to cross-sell deposit products across lending and transactional banking verticals, bundled service offerings to strategic partnerships, promotions, realignment of products to serve a variety of income and investment needs, prompt response towards adjusting the interest rates according to the market behaviours, intensified focus on deposit retention and superior service quality also played a significant role in driving deposit growth. Efforts to continuously evolve its product portfolio in line with customer needs resulted in the introduction of a new benefit scheme for Personal Foreign Currency Account holders during the year, was executed with medical benefits, air fare reimbursement and data package offerings.

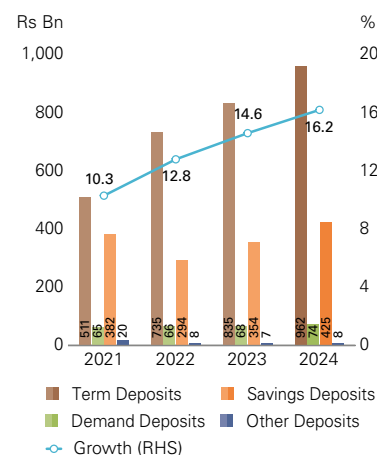
Average FD Rate & AWFDR



Tenor-wise Fixed Deposits Mix



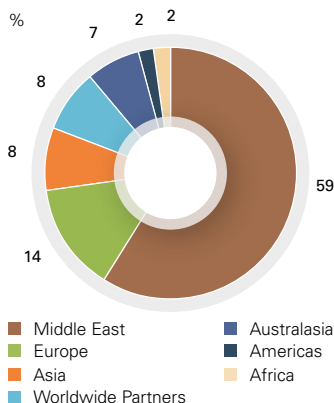
Deposit Mix



REMITTANCES

The increase in workers' remittances alongside strategic efforts to strengthen its presence in key markets and the provision of a superior value proposition to both remitters and beneficiaries underpinned the Remittance Unit's strong performance and market position in 2024.

Global Remittance Partner Network



Connecting families

The Unit's value proposition to remitters and beneficiaries centres on accessibility, speed, cost effectiveness and transparency. Accordingly, accessibility and convenience for overseas remitters were enhanced during the year under review, by expanding its global remittance partner network through the establishment of 10 new partnerships in key markets and strengthening relationships with its existing network of over 100 partners. To facilitate personalised service and strengthen brand visibility, the Unit also appointed two new overseas business promotion officers to Saudi Arabia and Oman in 2024. These efforts were supported by IT infrastructure that enabled instant transfer of funds to Sri Lanka from the country of origin and remittance tracking for both remitter and beneficiary. Remitted funds can be accessed by beneficiaries from over 2,300 touchpoints across the island or instantly transferred to the beneficiaries' bank of choice enabling ease of access to beneficiaries. Efforts to promote account-based remittances amongst beneficiaries proved favourable, as the number of non-account-based beneficiaries continued to decline in 2024 as well. The year also saw many new initiatives to enhance operational efficiency. The Unit also launched a new payment system for remitters which enabled direct utility payments on behalf of beneficiaries as a new initiative to enhance convenience.

BEYOND 2024

SME & Retail Lending

Building on the structural changes, IT investments and staff training initiatives implemented in 2024, the Unit intends to utilise the service efficiency and intensified SME focus derived from these efforts to more effectively capture emerging opportunities in the SME sector and strengthen its market position. The Unit also plans to continue to enhance its service proposition to SME and Retail customers through the introduction of new, customer-focused products and digital solutions.

Credit Cards

Providing a unique and differentiated value proposition to customers alongside expanding and enhancing services to its merchant base will remain the Card Centre's focus in the year ahead. To align with global trends and modernise its look and feel, the Unit also plans to re-design its credit cards. Plans are also underway to improve the Bank's digital wallet WePay, through the launch of digital cards and innovative payment solutions.

Deposits

The Deposits Unit intends to continue to develop innovative deposit products and related benefits that meet the evolving needs of its customers. In the year ahead, the Unit plans to double the medical benefit offered to Sanhinda Saver accountholders and introduce additional slabs to enhance eligibility of account holders for this benefit. Aligning with CBSL's efforts to promote sustainable financing solutions, the Unit also plans to develop a green deposit product next year.

Remittances

Meanwhile, the Remittances Unit plans to maintain its momentum in existing markets while continuously exploring new opportunities for growth. Emphasis will also be placed on continuing to evolve and enhance its value proposition to ensure superior service quality to both remitters and beneficiaries. The Unit also plans to leverage its partnerships with Fintechs to introduce innovative digital solutions that disrupt the remittance market.

CORPORATE BANKING

Corporate Banking comprises Corporate Credit, Corporate Finance, FCBU and International Trade Departments of the Bank. Collectively, these four departments support growth of the country's corporate sector, leveraging its highly specialised skills to customise solutions for large enterprises.



Rs 16 Bn

Segment Operating Profit
2024 (before tax)



Rs 442 Bn

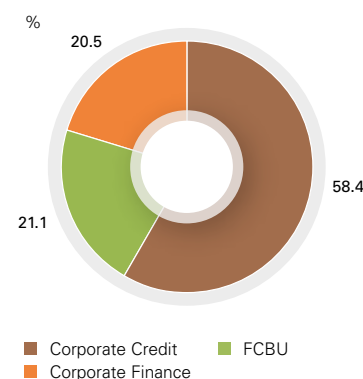
Segment Assets
2024



Rs 428 Bn

Segment Liabilities
2024

Corporate Banking Loan Portfolio 2024



Our Services

Corporate Credit

- Export Financing
- Import Financing
- Warehouse Financing
- Dealer Financing
- Cash Management
- Business Loans

Corporate Finance

- Investment Banking
- Syndicated Loans
- Custodian Services
- Infrastructure Investment including Renewable Energy
- Escrow Facilities
- Margin Trading
- Financial Sector Financing

FCBU

- Offshore Lending
- Export Sector Financing
- Managing Corporate FCBU Accounts

International Trade

- Establishment of Documentary Credits (DC)
- Arranging Confirmation for DCs
- Issuance of Shipping Guarantees
- Purchasing/Negotiation of DCs and Collection Bills
- Inward Remittances
- Outward Remittances
- Overseas Student Payments

Sampath Corporate Payment System

Sampath Vishwa Corporate

Sampath Payment Gateway

PayEasy

Sampath Automated Bill Settlement Facility

Business Reports

Market Review

2024 witnessed economic stability although forecast elections dampened investment appetite. Earnings of corporates reflected the pressures on discretionary income as consumption remained at a low ebb. Interest rates declined by 228 bps in 2024 after a sharp decline of 449 bps in 2023, significantly impacting NII for the second consecutive year. CBSL also tightened regulations regarding lending, impacting the growth of the corporate loan book. The return to stability and lower interest rates contributed to improved cash flows,

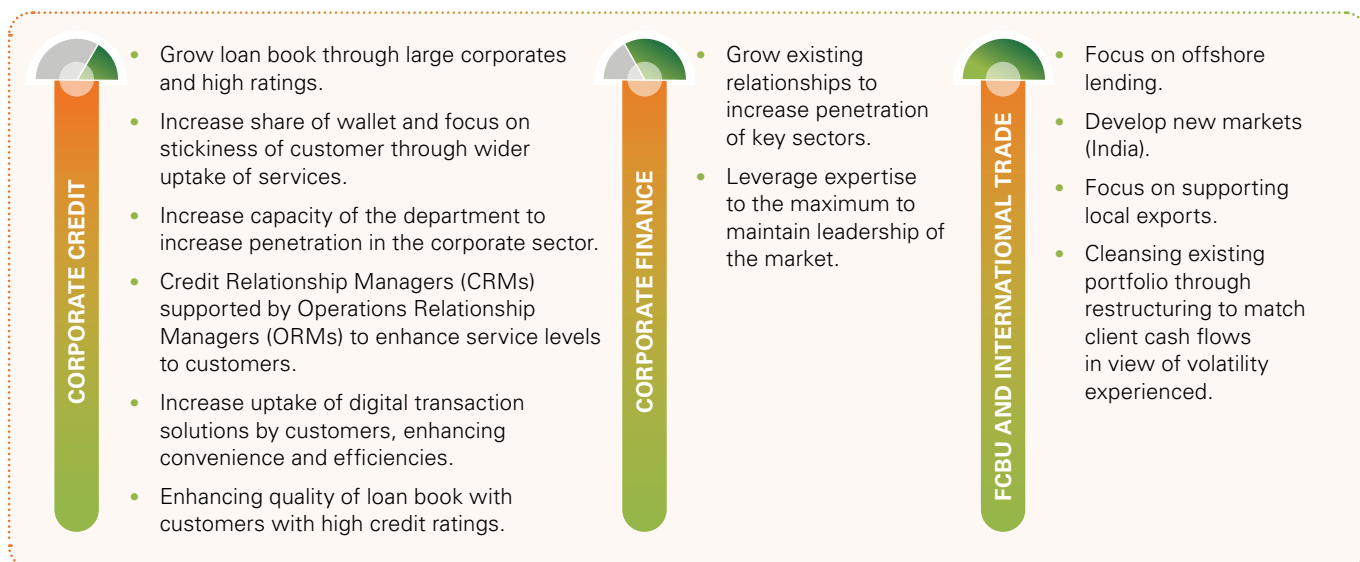
supporting recovery. However, activity in the Colombo bourse was mellow, dampening issuer and investor sentiments alike resulting in low levels of activity.

The growth momentum of the Tourism sector was encouraging, contributing to dollar liquidity in the market. Exporters also experienced positive growth during the year boosted by the routing of orders from Bangladesh in the aftermath of the country's economic struggles. Imports also increased during the year. We also witnessed a gradual uptick in the construction sector, particularly in housing

and condominiums. The government's stated target of having 70% of the country's energy requirement generated through renewable energy provided momentum for growth in the renewable energy sector of the Corporate Finance portfolio.

Economic instability in South Asia was a concern during the year while the strong growth trajectory of India presented an opportunity for growth for offshore banking.

Strategy



Delivering Results in 2024

Performance Highlights			
	2024 Rs Mn	2023 Rs Mn	Change %
Net interest income	15,926	31,725	(49.8)
Net fee & commission income	4,785	5,838	(18.0)
Net other operating income	105	116	(9.8)
Inter-segment expenses	(414)	(959)	56.8
Total operating income	20,402	36,720	(44.4)
Less: Impairment charge	3,335	8,546	(61.0)
Net operating income	17,067	28,174	(39.4)
Less: Total operating expenses	860	769	11.9
Operating profit before tax	16,206	27,405	(40.9)
Segment assets	442,436	399,964	10.6
Segment liabilities	428,355	375,296	14.1

Note: The segment assets, liabilities, income, and expenses figures mentioned above include inter-segment balances.



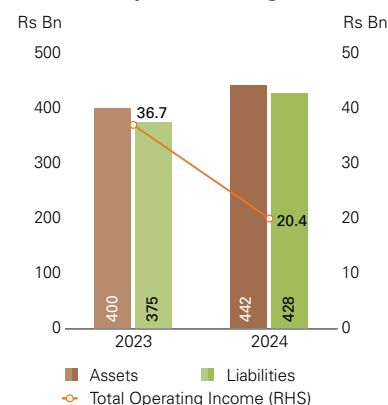
Rs 3.3 Bn

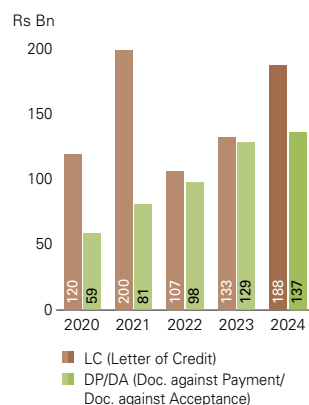
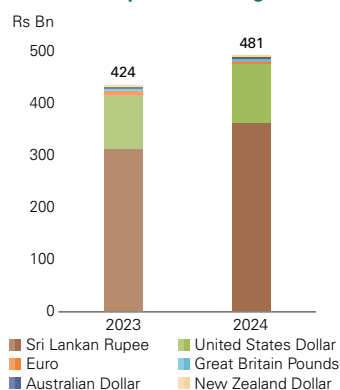
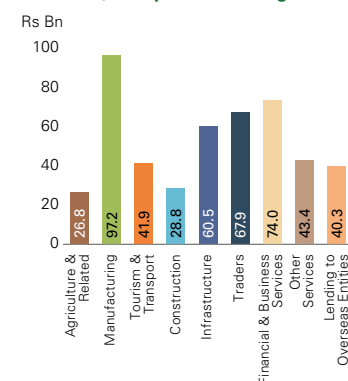
61%

Impairment Charge

2023: Rs 8.5 Bn

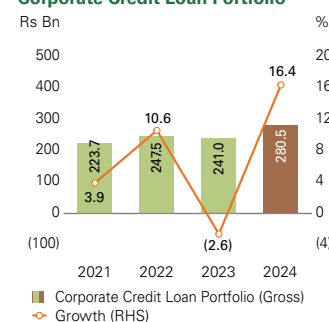
Assets, Liabilities & Operating Income - Corporate Banking



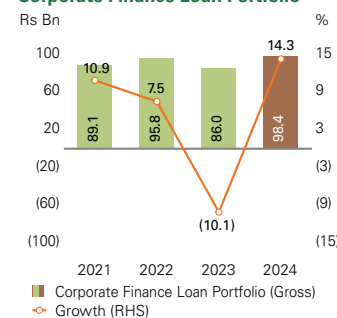
LC & DP/DA Volumes**Currency-wise Gross Loans & Advances - Corporate Banking****Industry Exposures (Gross Loans & Advances) - Corporate Banking 2024****CORPORATE CREDIT**

Corporate Credit recorded a stable year recording portfolio growth of 16.4%. Continued focus on large, resilient corporates and resurging sectors contributed to the improvement in credit quality of the portfolio as evinced by the decrease in stage II and III portfolio balances. Recoveries improved supported by recovery and growth in some sectors. Corporate Credit also restructured facilities where deemed necessary to match customer cash flows with repayments, facilitating recovery.

With the strategies introduced by globally renowned consultants, new positions were created to ease the operational workload of the Customer Relationship Managers and allow them to focus more on driving credit growth and transaction banking volumes through improved data analytics to formulate client specific strategies. Sustainable financing was a key focus with the institutionalising of ESMS prior to approval to ensure that environmental and social impacts of projects financed are considered in the approval process. This has paved the way for the Bank to steer its clients towards adopting socially and environmentally compliant business practices.

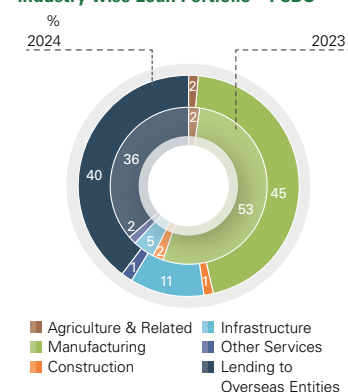
Corporate Credit Loan Portfolio**CORPORATE FINANCE**

Activity in Corporate Finance was driven by strong interest in renewable power generation project financing. The Bank's specialised technical knowledge and support throughout the process continues to provide a strong competitive edge in an increasingly competitive market. Consequently, the Bank continued to enjoy strong pipelines, a necessity given the long gestation period of infrastructure projects. However, both NIM and NII declined during the year with the decline in interest rates which corrected with macro stability, dampening earnings. However, fee based income increased during the year due to strong cross selling of the Bank's services during the year.

Corporate Finance Loan Portfolio**FCBU**

The offshore lending unit of the Bank recorded positive portfolio growth of 5.4% supported by growth in apparel, port and infrastructure development, overseas institutional lending and Agri export sectors. Client relationships were strengthened with regular interactions which strengthened information flows enhancing monitoring and identification of early warning signs amidst significant uncertainty and potential downside risks. The entry into India was a positive step to capitalise on the opportunities presented by India's ascent as the 5th largest economy in the world. Impairment charges increased due to exposures to the vulnerable sectors which are being monitored closely. The strategy of growth with established clients has supported credit quality and management of cross-border risk. The unit is keen to institutionalise sustainable financing and is looking to widen the scope of this opportunity.

Following the enactment of the Banking (Amendment) Act No. 24 of 2024, the segregation between the Domestic Banking Unit (DBU) and the Offshore Banking Unit (OBU) has been removed. Offshore banking activities are now recognised as permissible operations for Licensed Commercial Banks (LCBs). Despite this regulatory change, the Bank continues to operate its Foreign Currency Banking Unit (FCBU) as a separate unit under its business model, ensuring the delivery of seamless services to customers.

Industry-wise Loan Portfolio - FCBU

Business Reports

INTERNATIONAL TRADE

Increased import and export volumes and increased liquidity in foreign exchange supported increased activity in international trade business. However, this led to intense competition, exerting pressure on fees and interest rate spreads. Despite this, the Bank was able to increase its market share of exports from 9% to 12% and imports from 8% to 10%, a noteworthy achievement underpinned by successful implementation of strategy. Increased focus on customer centricity and service excellence supported increased shares of customer wallets as well as acquisition of new clients. As the country situation improved, the Bank was also able to increase its network of correspondent banks to enhance service levels to customers.

The Bank also strengthened its position in foreign currency remittances for students with its focus on customer centricity and the sponsorship of two major education fairs and other targeted initiatives. Accordingly, this area of business recorded 30% growth over the previous year.

The Bank has identified the importance of building the capacity of potential regional SMEs to help them become exporters. To support this objective, the Bank collaborated with the Export Development Board of Sri Lanka in their regional awareness sessions for SMEs registered under the New Exporter Development Programme. This partnership aims to bridge the knowledge gap for these entities regarding export market entry requirements.

Imports



Market share ▲ from **8% to 10%**

Exports



Market share ▲ from **9% to 12%**



42 Nostro Accounts



532 Correspondent Banks



97 Exchange Companies



Scan this QR code for a comprehensive view of our Nostro Accounts, Correspondent Banks and Exchange Companies

Student Remittances



BEYOND 2024

- Market stability is expected to prevail in Sri Lanka although there may be a correction in the interest rates and exchange rates with a slight upward movement in both. As credit growth gathers momentum with policy stability, competition in corporate banking is likely to remain at elevated levels in growth sectors and large corporates. Increased trade volumes and customer focus on convenient digitalised services are expected to support growth in fee based income. Importantly, initiatives launched with regards to capacity building within our teams during the year are expected to strengthen relationships, supporting growth and market positioning in this key segment.
- Higher levels of economic activity are also expected to benefit Corporate Finance and stability is expected to attract foreign investor interest as well. GOSL plans for infrastructure development will need private sector participation which augurs well for portfolio growth. Sampath Bank's leadership position in renewable energy and its value added offering supports its aspirations for growth in this defensive sector. Financial services companies are also expected to expand their activities, further stimulating growth.
- FCBU activity will be buoyed by export growth as uncertainties ease, increasing opportunities for growth amidst continuing turmoil in South Asia. We also expect to grow the offshore book in India as customers move into this high growth economy with continuous monitoring of geopolitical and socioeconomic developments in adjacent countries. Trade volumes will be key to growth together with stability in the country as Sri Lanka seeks to position itself as a stable manufacturing location.
- In the short term, the country's recovery and the uncertain political landscape is likely to temper growth rates and significant uncertainty prevails over potential disruptions to global supply chains. Upside potential includes strengthening of bilateral trade through trade agreements and a renewed focus on import of essential items. Policy reforms and debt restructuring are key to medium and long term stability while exporters may face challenges to global markets through both tariff and non-tariff measures such as ESG requirements. Diversification of exports and increased value addition is key to growth in the medium to long term as well as sustained growth of the tourism sector to ensure liquidity in foreign exchange markets.

TREASURY

The Dealing and Investment segment is a top contributor to PBT and manages a larger asset portfolio of the Bank. It plays a vital role in managing the assets and liabilities of the Bank while maintaining adequate liquidity. Treasury also plays a key role in transfer pricing and optimising cost of funds in line with the risk appetite of the Bank.



Rs 34 Bn

Segment Operating Profit 2024
(before tax)



Rs 803 Bn

Segment Assets 2024



Rs 765 Bn

Segment Liabilities 2024

Market Review

Financial markets continued to remain challenging during the year. However, improved market liquidity and increased activity compared to the previous year supported growth in this key business line.

The completion of the Domestic Debt Restructuring (DDR) played a vital role in creating buoyancy in markets. Additionally, the progress made on foreign debt restructuring served to further stabilise markets. Market dynamics have also been favourable towards Q4 with early indications of stability in the policy direction of the country after extreme uncertainty in the previous quarters. In 2024, the CBSL made a crucial monetary policy decision by transitioning to a single policy interest rate mechanism, replacing the previous dual policy rate system. Effective from 27th November 2024, the Central Bank introduced the "Overnight Policy Rate (OPR)" as the primary instrument for signalling its monetary policy stance. The OPR is set at 8.00%, and as a result, the Standing Deposit Facility Rate (SDFR) and the Standing Lending Facility Rate (SLFR) are no longer considered policy interest rates, with their respective levels now standing at

7.50% and 8.50%. The one-year Treasury Bill which started the year at 12.93% moved down to 8.96% by year end while AWDR and AWLR moved down by 411 bps and 228 bps during the same period.

The Sri Lankan Rupee (LKR) appreciated by 9.5% supported by lower import demand and a surge in inflows from tourism and remittances. Demand for USD came mainly from CBSL as they bought USD to build reserves. Foreign exchange market sentiments were positive as the country's macroeconomic indicators improved. Lower Brent crude prices also supported the reduced demand for dollars. Accordingly, margins have narrowed due to these factors. Despite the early favourable trends observed, significant downside risks remain in financial markets.

Strategy

- Effective investment of surplus funds until normalisation of credit demand.
- Proactive management of the Bank's Net Open Position.
- Active participation in large SOE and CBSL transactions while supporting requirements of large corporates through price discovery and advise.

The Treasury Department continues to remain pivotal to the performance of the Bank, particularly during years of lean credit growth. As it is a highly specialised function requiring a sound understanding of financial markets, we continue to invest in capacity building of the team in Treasury functions with a strong emphasis on regulatory requirements. During the year, the Bank became a signatory to the FX Global Code of the Bank for International Settlements (BIS), well ahead of the deadline set by CBSL. The Department moved into a new office, providing a conducive environment for a team that typically works under significant pressure.

NII increased by 8.1% supported by an increase of 25.5% in segment assets. Further, the liabilities were of a short term tenor and repriced lower as interest rates declined while assets were of a longer tenor resulting in a lag in repricing which also contributed to NII growth. This enabled the Bank to maintain Net Interest Margin at 4.9% which is one of the highest in the industry.

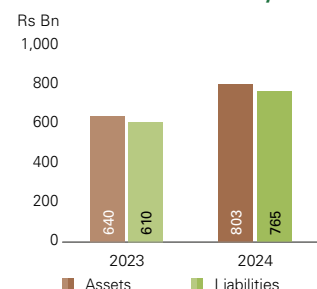
Margins in foreign exchange trading came under pressure during the year due to high levels of liquidity and increased competition for import business. This was exacerbated by the costs incurred for currency swaps to optimise overall returns through increased investments in GOSL securities. This strategy of optimising overall returns is reflected in the overall increase of 36.7% in Operating Profit of the Treasury Department.

Delivering Results in 2024

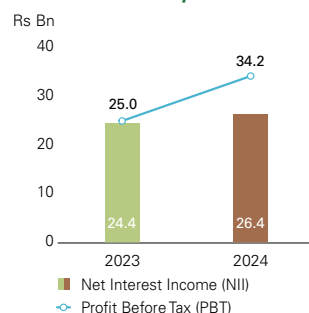
Performance Highlights			
	2024 Rs Mn	2023 Rs Mn	Change %
Net interest income	26,416	24,435	8.1
Net fee & commission income/(expense)	(38)	(20)	(90.6)
Net (loss)/gain from trading	(1,777)	762	(333.3)
Net (loss)/gain on derecognition of financial assets	(7,231)	592	(1,322.0)
Net other operating income	1,429	2,521	(43.3)
Inter-segment income	-	5	(100.0)
Total operating income	18,799	28,295	(33.6)
Less: Impairment (reversal)/charge	(15,786)	3,022	(622.3)
Net operating income	34,584	25,273	36.8
Less: Total operating expenses	414	283	46.5
Operating profit before tax	34,170	24,990	36.7
Segment assets	802,816	639,522	25.5
Segment liabilities	764,625	609,546	25.4

Note: The segment assets, liabilities, income, and expenses figures mentioned above include inter-segment balances.

Assets & Liabilities - Treasury



NII & PBT - Treasury



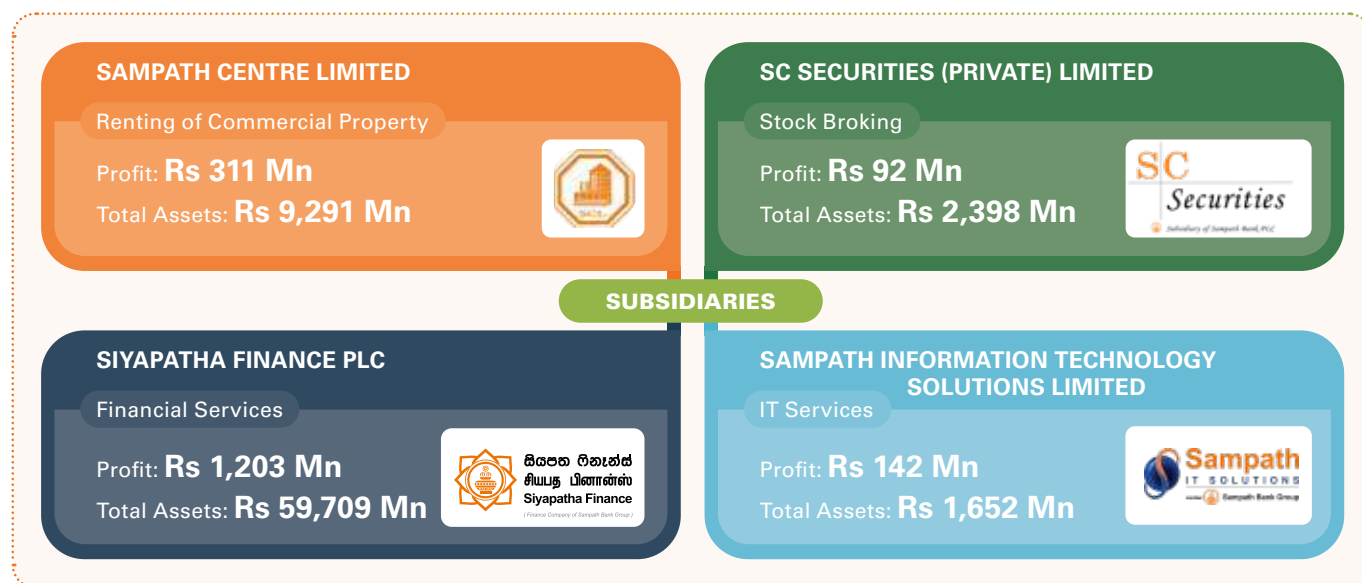
BEYOND 2024

The Treasury will maintain its primary focus on proactive management of the Bank's liquidity and net open position while optimising returns through investment income. Strong leadership in worker remittances strengthens the Bank's position in foreign exchange markets in the country and the Bank will seek to further strengthen this position by increasing its market share of import business, optimising its foreign exchange operations. The Bank will continue to be an active participant in GOSL securities trading market which maybe tempered by an anticipated higher demand for credit. The Treasury is also closely monitoring the developments in sustainable financing and will proactively seek opportunities to enhance access to capital and reduce the cost of funds through pursuit of identified opportunities.

Subsidiary Performance

GRI 2-2

Sampath Bank currently has four wholly owned subsidiaries. These subsidiaries include, Sampath Centre Limited, SC Securities (Private) Limited, Siyapatha Finance PLC and Sampath Information Technology Solutions Limited. Each of these entities operates in different sectors, contributing to the overall growth and diversification of the Group. Their individual performances, including key achievements and challenges, will be discussed in the following section to provide an overview.



SAMPATH CENTRE LIMITED



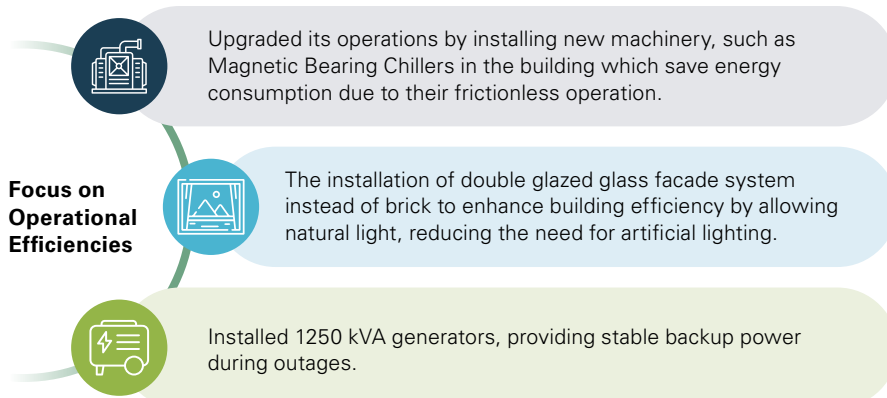
Sampath Centre Limited established in 1996 as the first subsidiary of Sampath Bank. The company owns and manages the building located at No. 110, Sir James Peiris Mawatha, Colombo 02, which houses the Bank's head office. In line with its core business of renting commercial property, the company's strategy focuses on maintaining its properties in excellent condition to ensure maximum tenant satisfaction. This is achieved through regular property inspections, prompt attention to maintenance issues, and timely repairs or upgrades. Additionally, Sampath Centre is dedicated to meeting the targets set for ongoing construction and renovation projects, ensuring that all facilities are modern, well-maintained, and meet the evolving needs of its tenants.

A new mechanical parking solution has been introduced, providing an increased number of parking slots for the tenant and customers. 78 parking slots now available both in Puzzle Parking and Stack Parking.

Key Opportunities and Challenges

The property is in the heart of Colombo, an area that has experienced rapid development, with numerous reputable condominium properties surrounding the site. This has led to an appreciation in the value of both the land and the building. As a subsidiary of Sampath Bank, it is positioned to offer facility management to the Bank by diversifying its service offerings.

However, there are several challenges in the current business environment. The property management industry is becoming increasingly competitive, especially with rise of high-rise commercial buildings that offer superior and modern amenities. Moreover, the ongoing construction and renovation project must be completed within the established time frame and approximate budget of Rs 1.95 Bn, without the disruption to current tenants. Furthermore, the building's limited parking facilities may be inadequate to meet the needs of both employees and customers. Despite these challenges, Sampath Centre is committed to taking proactive measures to address these issues and ensuring that the property continues to satisfy the changing demands of its tenant.



Sustainability Initiatives

- The company launched a tank restoration programme alongside its parent company's CSR initiative, aimed at ensuring a reliable, year-round water supply for farmers in the dry zone.
- Implemented measures to improve its waste management process, including the introduction of a PET bottle collection point for recycling, and segregation of waste.

OUTLOOK

In the short term, the key focus is on enhancing the quality of the existing building to provide better services to the tenant once the construction and renovation project is completed, while increasing rental income and effectively managing operational cost. As a medium-term plan, the focus is to provide facilities management services to the branches and other properties owned by the parent company subject to proper evaluation and approval. Looking forward, construction of a new building/establishing branch locations is another potential option for short, medium and long term.

SC SECURITIES (PRIVATE) LIMITED



SC Securities (Private) Limited has been a key player in Sri Lanka's capital market since 1992. A wholly owned subsidiary of Sampath Bank, providing stock broking services to both local and international investors. As of 31st December 2024, SC Securities holds the 6th position in the market for stock broking services.

SC Securities is proud to have a team of 30 registered investment advisors, the majority of whom bring over 15 years of industry experience and hold bachelor's degrees. Enhancing this expertise, the company is supported by highly skilled and experienced technical and fundamental analysts. Through participation in local and international events, road shows, strategic marketing campaigns and conducting investor forums, SC Securities has established a strong reputation among both local and international investors.

Key Opportunities and Challenges

SC Securities is well-positioned to leverage the consistent growth and performance of Sri Lanka's corporate sector. There is significant potential for diversification into other areas of capital market solutions, such as wealth management and investment banking, which could expand the company's service offerings and customer base. Vertical integration, particularly through expanding into investment banking, would allow the company to better serve clients with a comprehensive suite of financial services. Moreover, a positive outcome from external debt restructuring enhanced investors' confidence, leading to higher turnover, and greater revenue for brokerage firms. Along with the decrease of interest rates, high net-worth investors can be attracted to invest in capital market. Economic recovery and fiscal reforms, including International Monetary Fund (IMF) programmes, are rebuilding investor confidence which in turn create potential for growth in capital market.

Furthermore, the political stability of the country boosted investor confidence, leading to a sustained market uptrend in the latter part of 2024. This drove the ASPI to reach 13,188 at the end of 2024, marking a significant recovery after the 2022 market peak.

However, the company faces several challenges in the current business environment. The company faces stiff competition from 15 member firms, including 9 trading members and 4 trading members specialising in debts. Despite the growth in market, the percentage of the population actively investing in the stock market remains low. Limited financial literacy and risk aversion among potential investors hinder market expansion. Policy inconsistencies from regulators also create an uncertain environment, making it difficult to plan for long-term growth.

Sustainability Initiatives

- Participated in the sustainability disclosure standard training conducted by Ernst & Young with the parent company with the view to comply with the same.



Strategic Priorities

- Deliver a Return on Equity (ROE) exceeding 5% to shareholders in 2024.
- Boost active client turnover by 10% YoY basis.
- Increase new client acquisition by 10% YoY.
- Technology upgrades: Invest to enhance digital infrastructure, automate processes, and secure data through system upgrades like a backup server and real-time integrations.
- Human resource development: Recruit key personnel and implement performance appraisals and motivation programmes to retain talent and improve service quality.



Key Highlights

- Obtained ISO 9001:2015 QMS certification.
- Return on Equity (ROE) of 12.7% to shareholders in 2024.
- Achieved a Profit after Tax (PAT) of Rs 92 Mn in FY 2024 surpassing the budgeted PAT by 186%.
- In FY 2024, the company achieved a notable 12% increase in active clients' brokerage income, compared to FY 2023.
- Market share of SC Securities being 5% in 2024, while positioning the rank as 6th in the market based on the turnover for 2024.
- Finance costs has dropped by 60% compared to 2023, driven by strong debt recovery and efficient working capital management.

Subsidiary Performance



OUTLOOK

In the short term, the company's focus is on achieving its budget targets, ensuring efficient operations and meeting financial goals. By increasing market share, improving service offerings, and using technology improvements to draw in more customers and boost trading volume, the long-term goal is to rank among Sri Lanka's top three stockbrokers in terms of turnover.

SIYAPATHA FINANCE PLC



සියපත් ටිකැන්ස්
සියපත් පිණාන්සු
Siyapatha Finance
(Finance Company of Sampath Bank Group)

Siyapatha Finance PLC, established in March 2005, is a licensed finance company and a wholly owned subsidiary of Sampath Bank PLC. Over the past 19 years, it has grown to become the largest subsidiary of the Bank. The company offers a wide range of financial services, including leasing, fast draft, gold loans factoring, and other loan facilities, along with accepting deposits. In terms of market positioning, Siyapatha Finance focuses on two key unique selling propositions, Trust & Reliability and Convenience. These attributes are central to the company's strategy, as they help differentiate its products and services in a competitive market.

Key Opportunities and Challenges

The stabilisation of the market and an increase in customer repayment capacity offer a favourable environment for growth, particularly in loan recovery and new customer acquisition. The growing penetration of digital communication and service platforms also provides an opportunity to enhance customer experience, streamline operations, and expand outreach through convenient online channels. Furthermore, the market value of the vehicle stock is increasing because of increasing vehicle prices,



Strategic Priorities

- Portfolio diversification through the change of asset mix
- Portfolio quality management through focusing on infection and Non-Performing Assets (NPA) ratios
- Market development through channel expansion
- Market penetration through capacity enhancement of front line staff
- Differentiation through the unique selling proposition of customer convenience

which boosts the value of current assets for leasing. The declining market interest rates are another opportunity, as they improve the company's yield and Net Interest Margin (NIM), contributing to better profitability. Moreover, the expansion of the gold loan market offers new avenues for growth.

However, the company faces several challenges that could impact its operations. The restriction on new vehicle importation has limited the availability of vehicles for financing, hindering growth in the vehicle leasing and hire purchase segments. The spike in vehicle prices has also led to reduced affordability for customers, affecting sales and



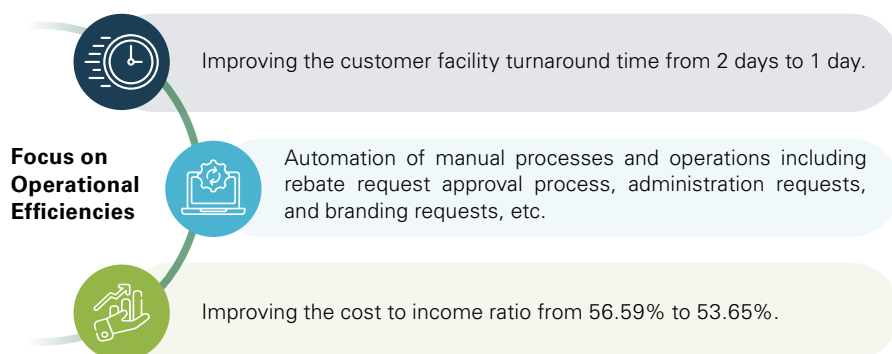
Key Highlights

- The company's total assets surpassed Rs 50 Bn in 2024
- The branch network expanded to 53 during the year
- A quality lending portfolio was built with the Fast Draft Revolving Loan without any NPAs

loan services. The changes in the Non-Performing Asset (NPA) and impairment recognition framework have led to stricter regulatory requirements, affecting financial stability of the market.

Sustainability Initiatives

- Established a dedicated sustainability unit to manage sustainability related initiatives.
- Implemented a sustainability road map for the company.
- 37 environmental cleaning projects and over 12,000 planting of trees undertaken during the year under the "Siyapathen Mihi Kathata" initiative.



AWARDS



Best Employer Brand Award 2024 awarded by the Employer Branding Institute in India and UK



Top Most HR Leaders Award Sri Lanka awarded to CHRO of Siyapatha Finance by World HRD Congress

Top HR Icon Award Asia Pacific awarded by Asia Pacific HRM Congress

OUTLOOK

Siyapatha Finance PLC plans to prioritise digitalisation and automation across its operations, aiming to enhance efficiency, streamline processes, and provide more convenient services to its customers. Moreover, a shift towards adopting a data-driven marketing and sales approach is intended to leverage customer insights and analytics to optimise targeting, improve customer acquisition, and drive growth.

SAMPATH INFORMATION TECHNOLOGY SOLUTIONS LIMITED



Sampath Information Technology Solutions Limited (SITS) is a fully owned subsidiary of Sampath Bank, specialising in developing innovative software solutions and providing maintenance services for hardware. The company is committed to improving governance, ensuring that its operations adhere to the highest standards of transparency and accountability. It also aims to recruit and retain competent professionals with the necessary skills to drive technological advancements and enhance service delivery. The company intends to increase its presence in both current and new areas, with a clear focus on growing market share and increasing profitability of the business.

Products and services offered include,

Department	Products
Software Solutions	EMMA, PRIME, RPA Practice, White Board, Credit Approval System, Fuel Card, Learning Management Solution
Managed Services	Smart Security Solutions, Smart Banking Solutions, Boardroom Solutions, POS Solutions, End User Devices
Enterprise Department	SIEM, PAM, FIM, Servers, Storages, Service operation centre, SD-WAN

Key Opportunities and Challenges

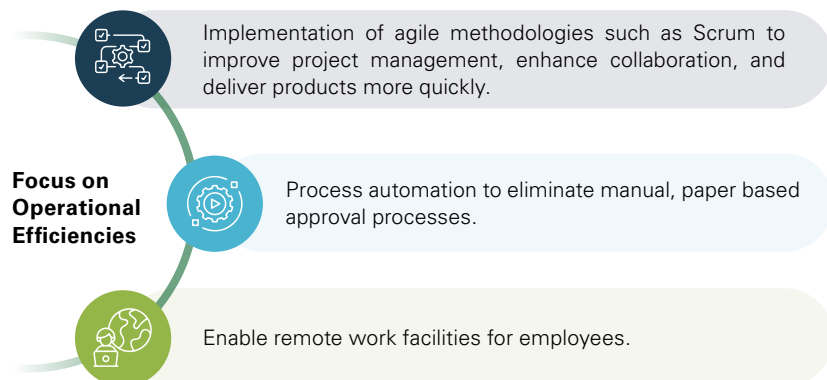
The company is positioned to capitalise on several key opportunities in the market. The government's digital transformation programmes present significant potential for growth, as there is increasing demand for technology solutions to modernise public services and enhance digital infrastructure. The lower interest rate also provides a favourable environment for businesses to invest in IT solutions. Additionally, the expansion of outsourcing and BPO services in Sri Lanka offers opportunities for SITS to tap into a growing global market, providing IT services to international clients. Moreover, the increasing demand for emerging technologies such as Robotic Process Automation (RPA), Artificial Intelligence (AI), and Blockchain enhance company's growth prospects.

However, there are several key challenges which impact the growth. The ongoing brain drain in the country poses a risk as the company struggles to retain skilled employees. The high price competitions in the IT service sectors also impose pressure on the profit margins, as customers demand for more cost-effective solutions. Despite these challenges, the company remains focused on leveraging its expertise and capitalise on emerging opportunities.

Sustainability Initiatives

- Reduce paper-based workflows and move to digital platforms.
- Replaced all old air conditioning units with new energy efficient inverter ACs.
- Implementation of remote work arrangements and virtual meetings.
- Donated a fully equipped IT lab with infrastructure to a rural school in Bulathkohupitiya and Kapugollewa.
- Focused on implementing sustainable products such as the EMMA Meeting Management Solution and Credit Approval System.

Subsidiary Performance



AWARDS



ESG award for Credit Approval System by Asian-Oceanian Computing Industry Organisation

Silver award for Redefining, Re-energising and Recognising Digital Business Initiatives at the International Conference on Sustainable & Digital Business 2024, organised by SLIIT Business School



Gold award for Best Managed Project in Technology and IT Sector by Project Management Institute.



OUTLOOK

SITS outlook will focus on leveraging the emerging digital transformation trends including Artificial Intelligence (AI), Blockchain and the Internet of Things (IoT). With the Sri Lankan government's national digital economy strategy and the expansion of e-government initiatives, there is a clear path for SITS to capitalise on the demand for advanced IT solutions. Furthermore, Sri Lanka's standing as a competitive location for Business Process Outsourcing (BPO) and IT outsourcing continues to attract clients from around the world. The move to remote work arrangements also opens new avenues for collaborations with multinational teams, which will support in drawing in top talent from around the world and expand the company's market reach.

GOVERNANCE AND RISK MANAGEMENT

Corporate Governance

Chairman's Message on Corporate Governance | 148
Corporate Governance Report | 149
Governance Structure | 184
Board of Directors | 186
Corporate Management | 190
Chief Managers | 193
Report by the Senior Independent Director | 195

Committee Reports

Board Nominations and Governance Committee Report | 196
Board Audit Committee Report | 199
Board Human Resources and Remuneration Committee Report | 202
Board Integrated Risk Management Committee Report | 204
Board Related Party Transactions Review Committee Report | 207
Board Cost Monitoring Committee Report | 209
Board Sustainability Committee Report | 210
Board Credit Committee Report | 212
Board Strategic Planning Committee Report | 214
Board Shareholder Relations Committee Report | 216
Board Treasury Committee Report | 217
Board Marketing Committee Report | 219
Board IT Committee Report | 222

Compliance Report | 223

Risk Management Report | 224

A man with a grey beard and a light brown, short-sleeved button-down shirt stands in a field of tall, golden grass. He is holding a wooden staff or stick over his shoulder. The background is a bright, hazy sunset or sunrise, creating a warm, golden glow. The man is smiling slightly and looking towards the camera.

A BEACON OF STRENGTH

The Bank engages in the responsible stewardship of resources through landmark projects designed to uplift the economy, upgrade its infrastructure, and drive sustainable impacts that support lasting growth and continuity.

Corporate Governance

CHAIRMAN'S MESSAGE ON CORPORATE GOVERNANCE



Dear Stakeholders

Our commitment to good governance serves as the cornerstone of our success enabling us to navigate uncertainty with agility and adaptability. The Bank's robust corporate governance framework fosters a culture where integrity, accountability and transparency are valued and upheld across all levels. In 2024, the Board and its Sub-Committees worked collaboratively, to drive strategic initiatives while mitigating risks to deliver value to stakeholders. Furthermore, the Board proactively strengthened the Bank's resilience by implementing and evolving the corporate governance framework to align with emerging regulatory requirements and best practices.

Board Focus

The operating environment during the year under review was dynamic and challenging and the Board continued to proactively monitor these developments and adapt strategy accordingly. The five-year strategic plan crafted by the top global consultancy firm in 2023 was implemented for 2024-2028 and the Board monitored performance closely. Emphasis was also placed on monitoring the effectiveness of the Bank's risk management strategy as evolving macro-economic conditions presented new challenges necessitating proactive mitigation measures. Maintaining strong capital buffers and ensuring financial stability was another key focal area of the Board during the year under review. Positioning the Bank for the future by advancing the Bank's digital strategy and integrating sustainability into its decision making also accounted for a significant share of the Board's agenda.

A Strengthened Board

Ensuring that the Board possesses the requisite skills, knowledge and diversity, particularly in an ever-evolving world, is a key imperative of the Board. To this end, the Board was strengthened further in 2024 with the appointment of Mr Keith Modder as an Independent Non-Executive Director. Mr Modder brings with him a wealth of experience in the IT industry and I am confident he will

strengthen the IT expertise of the Board. I take this opportunity to express our gratitude to Mr Prabhath Subasinghe who resigned from the Board in 2024, for his invaluable contributions to the Bank during the tenure as a Non-Independent, Non-Executive Director. 2024 also saw the reconstitution of the Board's Sub-Committees as we sought to bring in fresh perspectives and enhance oversight to better meet evolving business needs.

A Culture Anchored on Ethical Conduct

The Board, collectively and individually sets the tone for promoting ethics and integrity across the Bank and continued its guidance and supervision to foster a strong ethical culture within the Bank. The "Policy on Internal Code of Business Conduct and Ethics for Directors", the Code of Conduct for Corporate Management and the Code of Conduct for other Employees articulate the Bank's ethical standards and expectations of its employees. Employees are required to attend regular awareness sessions to ensure they understand the ethical standards expected of them. The Bank's "Policy on Anti-Bribery and Corruption" outlines its commitment to ethical business practices and prohibits bribery, corruption and other forms of unethical behaviour. The Bank's commitment to ethical business practices is reinforced by its "Policy on Whistleblowing" which ensures confidentiality and protection for stakeholders reporting irregularities in good faith.

Regulatory Landscape

Regulatory developments in 2024 saw the issuance of the Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks by the Central Bank of Sri Lanka (CBSL). The Board reviewed the requirements of the Direction and carried out a gap analysis to identify areas for improvement. While the Bank remained compliant with many of the requirements of the new Direction, a roadmap was established to ensure regulatory compliance in all areas by the respective due dates. I am pleased to confirm that the Bank is fully compliant with the requirements of Section 9 of the Listing Rules of the Colombo Stock Exchange (CSE) issued in September 2023, following shareholder approval in March 2024 to amend the Bank's Articles of Association accordingly.

Strengthening Sustainability Governance

The Board has guided the Bank's sustainability strategies which focus on integrating sustainability into the Bank's business processes and supporting the global Sustainable Development Goals and National Determined Contributions. We appointed a Board Sustainability Committee to assist with oversight on sustainability reporting which moves into a mandatory reporting era from 2025 and institutionalised frameworks and processes to identify, monitor and manage sustainability related risks and opportunities.

We appointed a Sustainability Committee of the Board to assist with oversight on sustainability reporting which moves into a mandatory reporting era from 2025. The Bank has prepared a solid plan for transitioning to the implementation of the SLFRS S1 and S2 standards.

The Bank has prepared a solid plan for transitioning to the implementation of the mandatory SLFRS S1 and S2 standards. Executive structures have also been strengthened to support the expanded scope and ensure that sustainability aspects are integrated into key processes as the Bank supports the country's transition to a low carbon economy. The Board Sustainability Committee will also have oversight of the Bank's growing portfolio of sustainability initiatives which focus on building and sustaining rural social and environmental ecosystems that support the socioeconomic progress of these communities.

Compliance

On behalf of the Board, I declare that the Bank, including the Board of Directors, Corporate Management and Employees have complied with the principles of good governance as set out in the Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and the regulatory frameworks applicable to Licensed Commercial Banks including the Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks and the Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks issued by the CBSL. The Bank has also complied with Section 9 of the Listing Rules of the CSE and all other applicable regulations as well as the Bank's internal constitutional framework.

The Bank upholds a Code of Conduct and Ethics that includes guidelines for dissemination, monitoring and compliance to Statutory and Voluntary Governance requirements. During the year under review, this Code has been strictly followed and all incidents within its scope have been addressed by the Bank's Disciplinary Committee.

HARSHA AMARASEKERA
Chairman

17th February 2025
Colombo, Sri Lanka

CORPORATE GOVERNANCE REPORT

Sampath Bank recognises that strong Corporate Governance is the cornerstone of our long-term success, competitiveness, growth and most importantly, sustainability. While living up to its purpose as a leading private commercial bank in Sri Lanka, we are committed to upholding the highest standards of governance to ensure transparency, accountability and integrity in all our activities.

The Bank's Corporate Governance Framework is crafted to offer a solid structure that facilitates effective decision-making and oversight. Central to this framework are the integrated performance and conformance elements, which serve as its foundational pillars. This framework guides the Board of Directors in conscientiously fulfilling their fiduciary duties to fully meet stakeholder expectations. Moreover, the Governance Framework integrates regulatory requirements, voluntary codes and best practices, all of which are embedded within the Bank's internal policies and procedures. This combination serves as the foundation for fostering trust among all stakeholders including depositors and shareholders, while enhancing the Bank's reputation in the industry.

The Bank factoring the Listing Rules of the Colombo Stock Exchange (Listing Rules), the Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks (Direction 2007) and the recently implemented Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks (Direction 2024) reinforces the nexus to Sampath Bank's Corporate Governance Report. Additionally, the Bank also incorporated the best practices stipulated under the Code of Best Practice on Corporate

Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka (Code 2023). Accordingly, we are pleased to report that the Bank has complied with the new requirements stipulated in Direction 2024, notwithstanding the stipulated deadlines, except for the extended deadlines which are given under 'Way Forward' of the Corporate Governance Report in page 183, while ensuring that the necessary steps are in place to adhere to the entire set of requisites of the aforementioned Direction 2024.

The Bank believes that Direction 2024 sets forth the essential guidelines and standards that constitute the core of our governance structure, upon which all governance principles rest, while Direction 2007, Listing Rules and Code 2023 further strengthen the foundation established by Direction 2024.



Above visual representation illustrates the synergy between foundational regulation and other driving rules that collectively inspire the Bank towards the true spirit of governance. In our pursuit for exemplary Corporate Governance, we envision a comprehensive framework that guarantees the integrity and effectiveness of the Bank's governance culture.

Corporate Governance should permeate every aspect of daily activities, extending beyond the confines of specific rules to shape the culture and ethics of the Bank. Through this Corporate Governance Report, Sampath Bank, an institution consistently striving to enhance its governance practices, demonstrates its genuine commitment to this objective by showcasing comprehensive governance compliance based on Direction 2024, Direction 2007, Listing Rules and Code 2023 as a collective approach, rather than taking individual regulations into consideration. Furthermore, we outline our governance practices, highlight key initiatives undertaken during the year under review and demonstrate Bank's unwavering commitment to ensure ethical conduct and corporate responsibility within the Bank's conduct. By fostering a culture of good governance, Sampath Bank aims to enhance its competitiveness, while assuring sustainable growth and contribute positively to the broader stakeholder groups.

We invite you to explore this report to gain a deeper understanding of the Bank's governance philosophy and the measures implemented to ensure the continued success and resilience of Sampath Bank PLC.

Governance Framework		
Regulatory Requirements	Internal Frameworks	Voluntary Codes and Best Practices
- The Companies Act No. 7 of 2007 and its amendments - The Banking Act No. 30 of 1988 and its amendments - Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks - The Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka and its amendments - The Anti-Money Laundering Laws and Regulations and Financial Transaction Reporting Act No. 6 of 2006 and its amendments - The Listing Rules of the Colombo Stock Exchange - The Securities and Exchange Commission of Sri Lanka Act No. 36 of 1987 and its amendments thereto, as repealed by the Securities and Exchange Commission of Sri Lanka Act No. 19 of 2021 - The Inland Revenue Act No. 24 of 2017 and its amendments - The Shop and Office Employees Act No. 19 of 1954 and its amendments - The Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995 - The Foreign Exchange Act No. 12 of 2017 and its regulations - The Code of Best Practices on Related Party Transactions issued by the Securities and Exchange Commission of Sri Lanka - Sri Lanka Accounting Standards issued by the Institute of Chartered Accountants of Sri Lanka - All other applicable regulations	- Articles of Association - Board approved Terms of Reference of Board and Board Sub-Committees - Board approved policy frameworks for governance, risk, compliance and operational areas - Codes of Conduct for Directors, Corporate Management and other Employees	- The Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka - The Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka - Global Reporting Initiative (GRI) Standards issued by the Global Sustainability Standards Board - The International Integrated Reporting <IR> Framework of the International Integrated Reporting Council (IIRC) - Preparer's Guide to Integrated Reporting issued by the Institute of Chartered Accountants of Sri Lanka - ISO 27001 Information Security Management - United Nations Global Compact (UNGC) Sustainability Principles - International Labour Organisation (ILO) Convention for Social and Labour issues inducing Human Rights - United Nations Sustainable Development Goals (SDG)

Corporate Governance

Key to the Diagram

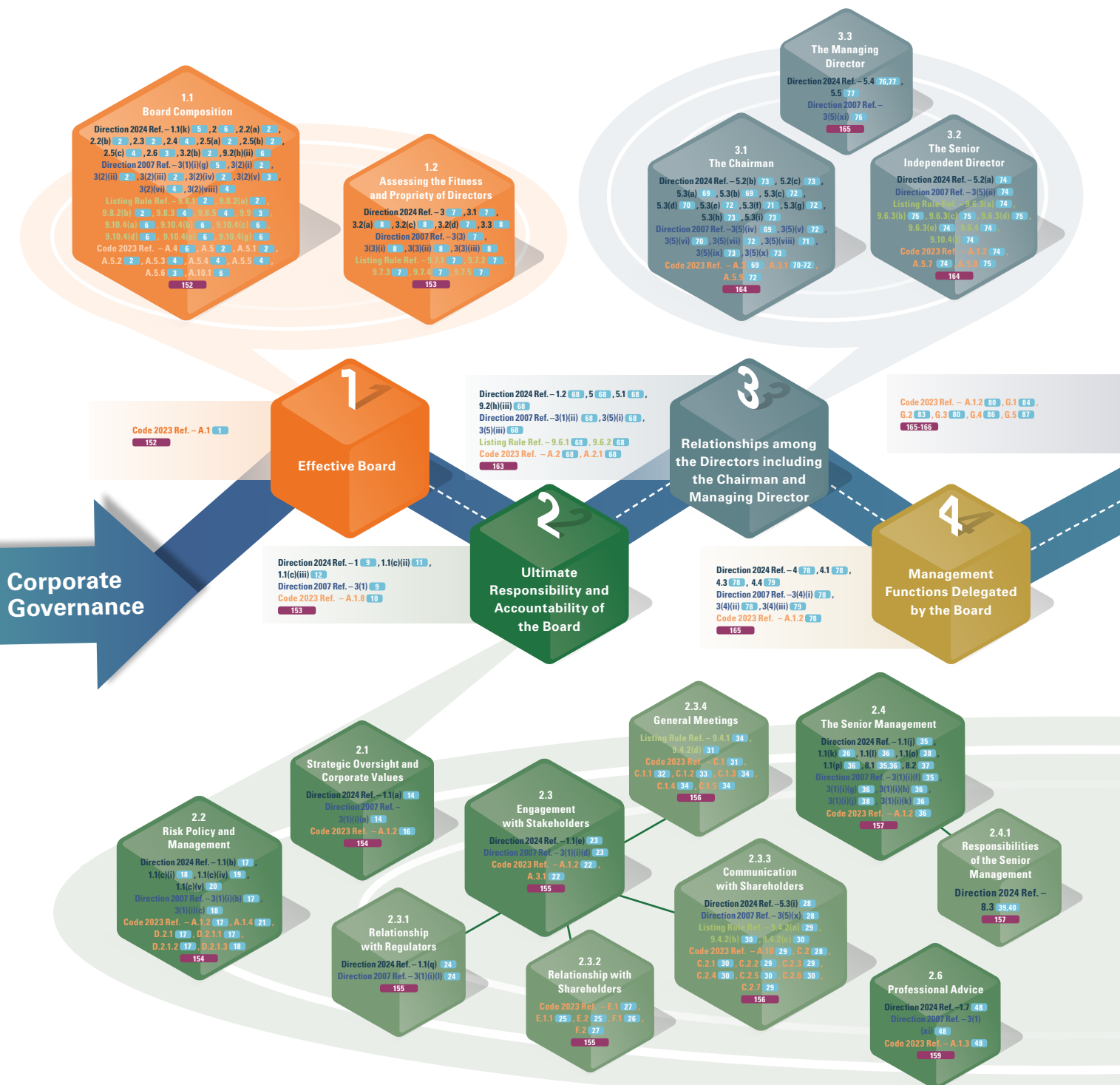
This fundamental approach forms the basis of Sampath Bank's Corporate Governance Report for 2024, highlighting the Bank's strong commitment to both mandatory and voluntary directions, rules and regulations. To elaborate on this approach, the diagram depicted herein provides a snapshot of the Bank's compliance status related to the Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks (Direction 2024), Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks (Direction 2007), Listing Rules of the Colombo Stock Exchange (Listing

Rules) and Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka (Code 2023), along with a detailed description.

As a result, the Corporate Governance Report is structured into nine (09) main topics, with certain topics further divided into sub-topics as appropriate which are highlighted in distinct colours. Each square indicates the relevant topic name along with the governance requirements outlined in Direction 2024, Direction 2007, Listing Rules and Code 2023.

denotes the exact paragraph number demonstrating compliance status for the specific section or governance requirement, while indicates the page number(s) where the relevant descriptions can be found.

Accordingly, we affirm that the Bank has fully complied with the Corporate Governance requirements under the Direction 2024, Direction 2007, Listing Rules and Code 2023 as applicable for the reporting period.





Corporate Governance

1) EFFECTIVE BOARD

Code 2023 Ref. - A.1



- 1 Sampath Bank PLC (The Bank) has an effective Board committed to fulfilling its function in accordance with laws, regulations and good governance practices. Further, Directors are regularly briefed on regulatory developments during Board Meetings to ensure that their knowledge remains up-to-date, enabling them to discharge their responsibilities effectively.

1.1 BOARD COMPOSITION

GRI 2-9

Direction 2024 Ref. - 1.1(k), 2, 2.2(a), 2.2(b), 2.3, 2.4, 2.5(a), 2.5(b), 2.5(c), 2.6, 3.2(b), 9.2(h)(ii)

Direction 2007 Ref. - 3(1)(i)(g), 3(2)(i), 3(2)(ii), 3(2)(iii), 3(2)(iv), 3(2)(v), 3(2)(vi), 3(2)(viii)

Listing Rule Ref. - 9.8.1, 9.8.2(a), 9.8.2(b), 9.8.3, 9.8.5, 9.9, 9.10.4(a), 9.10.4(b), 9.10.4(c), 9.10.4(d), 9.10.4(e), 9.10.4(g)

Code 2023 Ref. - A.4, A.5, A.5.1, A.5.2, A.5.3, A.5.4, A.5.5, A.5.6, A.10.1



- 2 The Bank is led by a competent and well-balanced Board of Directors. The Sampath Bank Board as at 31st December 2024 comprised eleven (11) Directors, including two (02) Executive Directors (EDs) and nine (09) Non-Executive Directors (NEDs). Out of the nine (09) NEDs, seven (07) are Independent Directors (INDs). There were no changes made to the minimum ratio of the INDs as stipulated in the regulations during the year 2024. Accordingly, the current Board composition fulfils all specified regulatory compliance requirements pertaining to Board Balance as detailed below:

- Direction 2007 stating that the number of NEDs should not be less than 1/3 of the total number of Directors of the Board;
- Direction 2007 and 2024 stating that the number of EDs shall not exceed 1/3 of the total number of Directors of the Board;
- Direction 2024 stating that the number of Independent, NEDs shall not be less than 1/2 of the total number of Directors of the Board;
- Listing Rules stating that the number of INDs should not be less than 1/3 of the total number of Directors of the Board;
- Code 2023 which prescribes that 2/3 of NEDs of the Board should be independent.

The Board has three (03) female representation which is well above the requirement specified by the regulations. Furthermore, in line with the Directions 2007 and 2024, there were no Directors, whose tenure of service exceeded nine (09) years.

- 3 The appointment of Alternate Directors to represent Directors at Board meetings can be done where necessary in line with the Board approved policy subject to relevant regulatory requirements and approvals. However, there were no Alternate Directors appointed during the year 2024.
- 4 The NEDs of the Bank are personnel with credible track records of good conduct, integrity and have necessary knowledge, skills and experience to bring an independent judgement to effectively address issues of strategy, performance, resources and to contribute towards the sustainability of the Bank. The Independent Directors are free of any business or other relationship that could materially interfere with the exercise of their unfettered and independent judgement. Each NED submits declarations confirming his/her independence or non-independence each year against the specified criteria to conduct evaluations on the independence of the Directors based on such declarations. The Independent, NEDs are expressly identified by specifying their individual directorship status in all corporate communications that disclose the names of Directors of the Bank. No Independent Director impaired his/her independence as set out in the relevant regulatory requirements during the year under review.

Furthermore, the Bank requires to submit declarations by the Independent, NEDs confirming their status of independence for quarterly evaluations by the Board Nominations and Governance Committee (BNGC), taking into account the new requirement effective from 1st January 2025. Accordingly, any changes to the independent status (if any) will be notified to the regulatory authorities.

- 5 The Board has defined the areas of authority and key responsibilities of the Directors in the "Policy on Internal Code of Business Conduct and Ethics for Directors" and the Terms of Reference (TOR) of the Main Board. The Board of Directors has delivered the entrusted responsibilities at an optimum level under the defined areas of authority during the year under review.
- 6 The Board diversity demonstrated on page 197 of the Board Nominations and Governance Committee Report whereas the profiles of Directors detailing their qualifications, expertise, Executive/Non-Executive and Independent/Non-Independent status, memberships in Board Sub-Committees, Companies and other entities in which each Director serves as a Board member along with their key appointments are disclosed on pages 186 to 189. The details of immediate family and/or material business relationships with other Directors of the Bank are given in Annual Report of the Board of Directors on the Affairs of the Company on pages 255 to 263. As described in the pages 186 to 189, it is evident that a majority of Directors possess sufficient Financial Acumen within the Board on matters of finance. Further, information pertaining to the Directors are disclosed in the following reports:
 - Related Party Transactions are given on pages 363 to 366 (Note 47);
 - Directors' Interests in Contracts are given on pages 262 and 263;
 - Director's attendance at Board Meetings and Board Sub-Committee meetings are given on page 158.

1.2 ASSESSING THE FITNESS AND PROPRIETY OF DIRECTORS

Direction 2024 Ref. - 3, 3.1, 3.2(a), 3.2(c), 3.2(d), 3.3

Direction 2007 Ref. - 3(3), 3(3)(i), 3(3)(ii), 3(3)(iii)

Listing Rule Ref. - 9.7.1, 9.7.2, 9.7.3, 9.7.4, 9.7.5



- 7 The Fitness and Propriety of Directors are prudently assessed by the BNGC when considering appointments to the Board and during the annual assessment of continuation of directorships in order to strengthen the diversity of the Board to induce fresh perspective that will foster robust debate and support effective decision-making. The BNGC ensures that the Directors and the Managing Director (MD) are being adequately assessed according to the Fit and Proper Assessment Criteria that has been defined in the relevant regulations applicable for the same. The Bank obtained annual declarations from the Directors confirming that they have continuously satisfied the specified Fit and Proper Assessment Criteria and no failures reported during the year under review. Further, when considering appointments to the Board and during the annual assessment of continuation of directorships, the BNGC ensures that the respective Directors have sufficient time to carry out the responsibilities as a Director of the Bank.
- 8 In compliance with the Direction 2007 and 2024, none of the Directors in the Board exceeds the age of 70 years. Further, none of the Directors hold directorships of more than twenty (20) companies/entities/institutions inclusive of Subsidiary Companies of the Bank. The Bank has complied fully with the directions applicable for the mandatory cooling-off period when appointing new Directors to the Board during the year under review.

2) ULTIMATE RESPONSIBILITY AND ACCOUNTABILITY OF THE BOARD

GRI 2-12

Direction 2024 Ref. - 1, 1.1(c)(ii), 1.1(c)(iii)

Direction 2007 Ref. - 3(1)

Code 2023 Ref. - A.1.8



- 9 The Board bears the ultimate responsibility and accountability for overseeing the management of the Bank's affairs, governance framework, business strategy, financial soundness and risk management. The Board ensures that the Bank's operations comply with all applicable laws and regulations and align with sound banking practices. Directors make decisions objectively, prioritising the interests of depositors, creditors, shareholders and other stakeholders whereas any decisions made by the Directors are presumed to be collective decisions of the Board, except when a Director expressly dissents.
- 10 When accepting the appointment as a Director of the Bank, Directors ensure that they have meticulously considered the responsibilities associated with the role, their ability to dedicate the adequate time, any existing or potential conflicts of interest and the competencies required for the position.
- 11 In alignment with Bank's commitment to robust risk governance, the Bank has successfully established well-defined organisational responsibilities across the three lines of defence within the organisation. The business lines are tasked with the initial management of risks, ensuring that risk-taking activities are conducted within the established risk appetite. The risk management and compliance functions operate independently from the business lines and internal audit, providing a second layer of oversight and ensuring adherence to regulatory requirements and internal policies. Furthermore, Bank's internal audit function, which is independent from both the business lines and the risk management and compliance functions, conducts regular reviews to ensure the effectiveness of the risk management framework. This structured approach reinforces the Bank's dedication to maintaining a strong risk governance culture and ensures comprehensive risk oversight across all levels of the organisation.
- 12 The risk management, compliance and internal audit functions are properly positioned, sufficiently staffed and resourced to carry out their responsibilities independently, objectively and effectively. This ensures the highest standards of governance and integrity are maintained, with operations conducted in a manner that mitigates risks and adheres to all relevant regulations. This approach strengthens organisational resilience and enhances the ability to achieve strategic objectives with confidence.
- 13 The Board of Directors, as the highest governing body of the Bank, plays a pivotal role in demonstrating good corporate citizenship, ethical behaviour, transparency and accountability. In its capacity as the main custodian of the Bank, the following matters are expressly reserved for Board consideration.

Corporate Governance

2.1 STRATEGIC OVERSIGHT AND CORPORATE VALUES

Direction 2024 Ref. - 1.1(a)

Direction 2007 Ref. - 3(1)(i)(a)

Code 2023 Ref. - A.1.2



- 14 The Board formulates the Bank's Purpose, Vision, Corporate Values, Strategic Objectives and provides oversight and direction to ensure that the management and all employees work towards the said Vision. The Board Strategic Planning Committee (BSPC) ensures that the revolving Strategic Plan relevant for each year is reviewed on a periodic basis, in order to facilitate strategic realignment wherever and whenever deemed necessary or as appropriate. The review and approval of the Strategic Plan includes the medium-term and short-term targets and the annual budgets with a special emphasis to the scale and complexity of the business operations. The Bank's Strategic Objectives and Corporate Values are communicated to all levels of staff through regular briefing sessions and reinforced by the Corporate Management Team. The Strategic Objectives and Corporate Values are also conveyed to new recruits as a part of their Induction Programme and are given on pages 43 and 10 respectively of this Annual Report.
- 15 Taking a quantum leap in its strategic planning process, the Board engaged the expertise of a leading global consultancy firm in 2023 to develop a five (05) year Strategic Plan for the Bank. This strategic planning process involved extensive analysis of internal and external factors such as local and international economic/business environment, opportunities, technology, risks and compliance etc. in collaboration with all stakeholders. The budgets, including major capital expenditure items and revolving Strategic Plan for 2024 onwards were duly approved by the Board in compliance with the statutory requirements. The Strategic Plan is now being implemented over the period 2024-2028 under the guidance of the Board, with adequate provisions for short and medium-term exigencies induced by the external environment.
- 16 Prior to approving the Strategic Plan and the Annual Budget, the Board collaborated with relevant Board Sub-Committees, the Corporate Management Team, the Strategic Planning Department, the Risk Management Unit and the Compliance Department to weight the risks and opportunities. The Board also undertakes to monitor the Bank's performance vis-à-vis the Strategic Plan and budget on a quarterly basis, taking into account the underlying downside risks associated with the macro-economic variables.

2.2 RISK POLICY AND MANAGEMENT

GRI 2-12,13,23,26

Direction 2024 Ref. - 1.1(b), 1.1(c)(i), 1.1(c)(iv), 1.1(c)(v)

Direction 2007 Ref. - 3(1)(i)(b), 3(1)(i)(c)

Code 2023 Ref. - A.1.2, A.1.4, D.2.1, D.2.1.1, D.2.1.2, D.2.1.3



- 17 The revolving Strategic Plan for the period 2024-2028 approved by the Board during 2023 in consultation with the Corporate Management was successfully implemented with regular reviews. In addition, the Risk Management Framework and mechanisms have also been approved by the Board in line with the Strategic Plan 2024-2028. Measurable goals for the Bank as a whole have been set with performance milestones that were measured quarterly during 2024.
- 18 The Board Integrated Risk Management Committee (BIRMC) is responsible for independently reviewing, identifying, measuring, monitoring and controlling all the risks. To ensure this process, the BIRMC is tasked with recommending the Bank's risk policies, defining the risk appetite, identifying principal risks, setting risk governance structures and implementing systems to measure, monitor and manage the principal risks prudently. The BIRMC is under the purview of the Main Board and responsible for updating significant risk events to the Main Board. The following reports provide further insights in this regard and contain the information pertaining to material foreseeable risk factors of the Bank.
 - Risk Management Report is given on pages 224 to 251.
 - Board Integrated Risk Management Committee Report is given on pages 204 to 206.
- 19 Defining the risk appetite of the Bank aligning with the Bank's strategic, capital and financial plans is done by the BIRMC and approved by the Board. This is reflected in the Board approved Risk appetite statement. The Risk Appetite Limits and Key Risk Indicators of the Bank are monitored on a regular basis.
- 20 The BIRMC takes prompt corrective action to mitigate the effects of specific risks in case such risks are at levels beyond the prudent risk levels decided by BIRMC based on the Bank's policies, regulatory and supervisory requirements. The BIRMC refers to the Human Resources Department in respect of the officers identified to be responsible for failure to identify specific risks in order to take prompt corrective actions as directed.
- 21 An insurance policy is in place in line with the regulatory requirements to cover the Board of Directors and officers including Key Management Personnel (KMPs) of the Bank. The adequacy and effectiveness of the insurance covers are reviewed periodically with the assistance of external expertise.

2.3 ENGAGEMENT WITH STAKEHOLDERS

Direction 2024 Ref. - 1.1(e)

Direction 2007 Ref. - 3(1)(i)(d)

Code 2023 Ref. - A.1.2, A.3.1



- 22 It is the fundamental duty of the Board to protect the interests of all stakeholders including shareholders, customers, employees, regulators and the wider community by exercising appropriate control to ensure the Bank is managed effectively in order to meet stakeholder deliverables. The Bank's Articles of Association empowers the Board to make decisions to protect the interests of all stakeholders. In addition, the Customer Charter, the Bank's HR Policy Manual, the "Policy on Managing Conflicts of Interest", the Board Shareholder Relations Committee (BSRC) as well as the Board Related Party Transactions Review Committee (BRPTRC) together create a fully-fledged ecosystem to uphold the interests of all stakeholders.
- 23 Well aware of its responsibility to stakeholders, the Board engages directly with employees, customers, regulators and shareholders from time to time. For this purpose, a Board approved "Policy on Communication" is in place and serves as the basis for communicating with all stakeholders, including depositors, creditors, shareholders and borrowers. Refer pages 49 to 56 for further details on "Engaging with Our Stakeholders".

2.3.1 Relationship with Regulators

Direction 2024 Ref. - 1.1(q)

Direction 2007 Ref. - 3(1)(i)(l)



- 24 To demonstrate its dedication to good governance, the Bank has consistently fostered strong relationships with regulators. The MD or an appointed representative attends all scheduled CEO/MD forums on governance organised by the Central Bank of Sri Lanka (CBSL). Additionally, the Board of Directors and relevant officers participate in meetings and special events convened by the regulators, including the CBSL, as applicable.

2.3.2 Relationship with Shareholders

Code 2023 Ref. - E.1, E.1.1, E.2, F.1, F.2



- 25 The Board executes its responsibility to shareholders by encouraging their participation in the decision-making process through the provision of fair and transparent disclosures. The Bank's Institutional Investors as well as other Investors have throughout exercised their votes enthusiastically, expressing candid preferences and are encouraged to express their views freely. The Bank has a history of active shareholder involvement and participation at general meetings. The Bank is proud to announce that the Board Sub-Committee on Shareholder Relations, established in 2008, successfully held the Shareholder Relations Forum following the 38th Annual General Meeting (AGM) on 28th March 2024 with the aim of maintaining a solid and productive dialogue with shareholders ensuring their views are communicated to the Board. Further, Institutional Investors are kept apprised of the Bank's governance practices through the Annual Report and any new initiatives are highlighted at general meetings to ensure that due weightage is given to good Corporate Governance.
- 26 The Annual Report contains sufficient information for individual shareholders as well as for all potential Investors to carry out their own analysis. This, together with the interim financial statements published each quarter provides sufficient information to enable individual shareholders to make informed judgements regarding the Bank's performance and future prospects. Additionally, a separate part of the Bank's corporate website (www.sampath.lk) is dedicated to Investor Relations, which provides relevant information online to all Investors. Shareholders can contact the Company Secretary for further information if required. Meanwhile, circulars issued to shareholders from time to time emphasize the importance of making independent decisions prior to initiating any particular investment.
- 27 It is a tradition at the Bank to encourage individual shareholders to participate and vote at any general meetings. Additionally, they are encouraged to participate in the Bank's affairs by submitting proposals through the Stakeholder Feedback Form attached with the Annual Report. The general meetings also serve as a platform for the Bank to engage with its shareholders. Sampath Bank has a proud history of well-attended general meetings where shareholders take an active role in exercising their rights in all forms.

Corporate Governance

2.3.3 Communication with Shareholders

GRI 2-12,23

Direction 2024 Ref. - 5.3(i)

Direction 2007 Ref. - 3(5)(x)

Listing Rule Ref. - 9.4.2(a), 9.4.2(b), 9.4.2(c)

Code 2023 Ref. - A.10, C.2, C.2.1, C.2.2, C.2.3, C.2.4, C.2.5, C.2.6, C.2.7



- 28 The Chairman and the Board of Directors ensure that appropriate steps are taken to maintain effective communication with shareholders and that the views of shareholders are communicated to the Board of Directors through the BSRC.
- 29 The Bank's Annual Report, Interim Financial Statements and other materials are available for download on its corporate website. These documents are posted promptly after being released to the CSE. Public disclosures are promptly shared with shareholders via market announcements. The Bank ensures fair and transparent disclosures, focusing on integrity, accuracy, timeliness, and relevance. The Board-approved "Policy on Communication" and "Policy on Relations with Shareholders and Investors" outline shareholder communication requirements. Responsibilities for stakeholder communication are defined in the policy implementation mechanism under each Policy.
- 30 Shareholders are duly notified that any communication/correspondence with the Bank should be through the Company Secretary. They may provide their concerns and suggestions to the Directors or Management through the Company Secretary. The contact information of the Company Secretary is provided in the Annual Report and the Bank's corporate website. Additionally, shareholders are at liberty even to communicate directly with any of the Board Members. They may, at any time, direct questions or request publicly available information from the Directors or Management of the Bank. The Company Secretary takes appropriate action based on the concerns/requests received from the shareholders and communicates the appropriate decisions formulated by the Board. Further, shareholders are kept advised of relevant details in respect of Directors as and when required.

2.3.4 General Meetings

Listing Rule Ref. - 9.4.1, 9.4.2(d)

Code 2023 Ref. - C.1, C.1.1, C.1.2, C.1.3, C.1.4, C.1.5



- 31 General meetings provide an opportunity for shareholders to engage directly with the Board and the Management. The Bank consistently promotes conducting these meetings in person in almost every opportunity. The AGM is the main forum to interact between the shareholders and the Board and create an opportunity for shareholders for their views to be heard. The 38th AGM was held physically at "Balmoral", the Kingsbury on 28th March 2024. The Chairpersons of all mandatory Board Sub-Committees and the Senior Independent Director were available to answer questions if so, requested by the Chairman.

Additionally, during the year under review, the Bank convened two (02) Extraordinary General Meetings (EGMs) on 28th March 2024 and 23rd December 2024 to secure the approval of the shareholders:

- for the amendments to the Bank's Articles of Association (as a physical meeting)
- for the proposed BASEL III compliant debenture issue (as an online-virtual meeting).

When convening General Meetings, the Bank adhered to the relevant regulatory requirements including the guidelines issued by the CSE for conducting virtual or hybrid meetings.

- 32 The notice of the AGM and the other papers related thereto, are duly circulated to all shareholders fifteen (15) working days prior to the AGM. The notices of other General Meetings were also duly circulated to all shareholders within the timelines stipulated by the statutes.
- 33 During the AGMs, separate resolutions are proposed and adopted on each substantial issue including the adoption of the Annual Report of the Board of Directors on the Affairs of the Company and the statements of the Audited Accounts for the year under review. All proxy votes lodged, together with the votes of shareholders who participated at the AGM are considered for each resolution. The votes withheld are not considered in determining the number of votes for and against each resolution.
- 34 The Bank duly maintains a register to ensure that all valid proxies received in respect of the general meetings are properly recorded and counted. The register is closed on the proxy submission deadline specified in the notice of meeting. The number of votes received in favour, against and abstaining on each resolution are announced at the relevant General Meeting and also the records are maintained properly by the Bank as per regulatory requirements. At the meeting, for adoption of each resolution, the Chairman, in addition to the details of the proxies registered, calls for a vote in line with the established practices followed by the announcement, as to whether the resolution is carried or not. A summary of the procedure governing voting at General Meetings is properly briefed to the shareholders at the respective General Meetings.

2.4 THE SENIOR MANAGEMENT

Direction 2024 Ref. - 1.1(j), 1.1(k), 1.1(l), 1.1(o), 1.1(p), 8.1, 8.2

Direction 2007 Ref. - 3(1)(i)(f), 3(1)(i)(g), 3(1)(i)(h), 3(1)(i)(j), 3(1)(i)(k)

Code 2023 Ref. - A.1.2



- 35 In terms of Direction 2024 the Senior Management includes the CEO and the KMPs of the Bank. The Bank has identified KMPs as persons in positions that can significantly influence policies, direct activities and exercise control over business activities, operations and risk management of the Bank. Accordingly, the Board has identified the members of Corporate Management including the MD, the Chief Compliance Officer and the Assistant Company Secretary as KMPs who represent the Senior Management of the Bank.
- 36 The Board has outlined the areas of authority and key responsibilities for the KMPs which are detailed in their individual Position Descriptions. The KMPs have delivered the entrusted responsibilities at an optimum level under the defined areas of authority that is consistent with the Board's strategies and policies throughout the year under review. The KMPs are called upon as and when required to attend meetings of the Board and its Sub-Committees to review policies, establish communication lines and other matters relating to the scope of work under their respective purview to monitor progress towards achieving corporate objectives. The KMPs may also be required to make regular presentations to the Board as appropriate. The Board ensures that the MD and the Corporate Management possess the necessary skills, collective knowledge and expertise given the size, scale, diversity and complexity of operations which are required to implement the strategy of the Bank.
- 37 In terms of regulatory requirements, the BNGC evaluated and identified that the members of the Senior Management fulfil the criteria for fitness and propriety, ensuring that each individual discharges their duties effectively.
- 38 The Bank develops and updates succession plans for the KMPs aligned to the Bank's strategic objectives to ensure at least one successor is identified for each role. A Board approved succession plan for Corporate Management is in place.

2.4.1 Responsibilities of the Senior Management

Direction 2024 Ref. - 8.3



- 39 The Senior Management ensures that they,
- contribute substantially to the Bank's sound corporate governance framework through personal conduct;
 - devote sufficient professional time to discharge their duties;
 - implement business strategies, risk management systems, risk and compliance culture, processes and controls for managing both financial and non-financial risks in terms of the directions of the Board;
 - recognise and respect the independent duties of the risk management, compliance and internal audit functions and shall not interfere in the exercise of such duties;
 - receive access to regular training to maintain and enhance competencies and keep abreast of developments relevant to the respective areas of responsibility;
 - are responsible for delegating duties to staff and overseeing such delegated duties;
 - establish a management structure that promotes Bank-wide accountability and transparency;
 - take appropriate remedial or disciplinary action if any breaches are identified;
 - regularly provide the Board and the Board Sub-committees as applicable with the information of material matters including but not limited to;
 - » changes in business strategy, risk strategy/risk appetite,
 - » performance and financial condition,
 - » breaches of risk limits or compliance rules,
 - » internal control failures,
 - » legal or regulatory concerns;
 - notify the Director of Bank Supervision upon becoming aware of any material information that may negatively affect the fitness and propriety of a Board member or another Senior Management member.
- 40 Recognising the importance of good governance, the Senior Management proactively fulfilled the above requirements set to take effect on 01st January 2025. This forward-thinking approach underscores the Bank's dedication to best practices and unwavering commitment to corporate integrity, as evident from the explanations provided throughout this Annual Report.

Corporate Governance

2.5 BOARD MEETINGS

Direction 2024 Ref. - 1.3, 1.4(a), 1.4(b), 1.4(c), 1.6, 2.7, 4.2, 5.3(c), 5.3(d)

Direction 2007 Ref. - 3(1)(iii), 3(1)(iv), 3(1)(v), 3(1)(vi), 3(1)(x), 3(1)(xiii), 3(2)(vii), 3(5)(v), 3(5)(vi)

Listing Rule Ref. - 9.10.4(f), 9.10.4(h)

Code 2023 Ref. - A.1.1, A.1.5, A.1.6, A.1.7, A.3.1, A.5.10, A.6, A.6.1, A.6.2



- 41 Regular Board Meetings are held whereas special meetings are scheduled on need basis and the Board met fourteen (14) times during 2024. Such regular Board Meetings necessarily involve active participation in person of a majority of Directors entitled to be present. The Bank has minimised obtaining approval via circulation of written resolutions/papers and it is done only on an exceptional basis. The approvals obtained via circulation were ratified at the Board meetings held immediately following the circulation. Additionally, resources are in place enabling members to virtually participate in Board meetings, fostering active engagement and ensuring seamless communication across all locations. During the year under review, the Board ensured that the majority of its members regularly attended Board meetings in person and Directors who joined the meetings virtually under exceptional circumstances attended in person at least on a half-yearly basis, in compliance with regulatory requirements.
- 42 Every Director commits sufficient time to Board matters. Directors who are members of respective Board Sub-Committees are dedicated to their responsibilities. All Directors attended at least 2/3 of the Board Meetings and no Director was absent from three consecutive meetings during the year under review. More than 1/2 of the Board members were present at each meeting, constituting the quorum for Board Meetings conducted in the year 2024. Further, more than 1/3 of the independent, NEDs were present at each meeting. During the year under review, in discharging the duties the Directors exercised independent judgment in strategy, performance, resource allocation, risk management, compliance and standards of business conduct.

DIRECTORS' ATTENDANCE AT BOARD AND BOARD SUB-COMMITTEE MEETINGS (ATTENDED/ELIGIBLE TO ATTEND)



*Attendance for Board Sub-Committees is recorded based on membership.

- 43 Dates of regular Board Meetings and Board Sub-Committee Meetings are scheduled well in advance and the notice of meetings, the relevant meeting agenda along with the respective papers are generally circulated seven (07) days prior to the meeting by uploading the same via a secure link, providing Directors an opportunity to get prepared and attend the same. There is a provision to circulate urgent papers closer to the meeting on an exceptional basis. Further, minutes of the meetings are generally provided within the stipulated period. The routine agenda for Board Meetings is developed by the Chairman in consultation with all other Directors and the Company Secretary taking into consideration matters relating to the Board Meeting covering all-important areas under discussion. A Board approved procedure is in place to permit any Director to include any matter or proposal in the Board and/or in a Sub-Committee Meeting agenda especially where such matters and proposals relate to the promotion of banking business, risk management and conduct of employees of the Bank. Further, a Board approved "Policy on Matters Relating to Board of Directors" is in place specifically reserving for its decision to ensure that the direction and control of the Bank is within its authority in line with regulatory guidelines and international best practices.
- 44 The Board has access to comprehensive, quantitative and qualitative information needed to enable them to effectively discharge their duties. The Management provides comprehensive information to Directors during the monthly Board Meetings. Board papers are informative and any further information required by Directors is provided by the Management, upon request. A Board approved procedure is in place enabling all Directors to request inclusion of matters of concern in the agenda while all Directors have access to KMPs should they need to seek information for discussions at Board Meetings. Further, the Chairman ensures that the Board is adequately briefed and informed regarding matters arising at Board Meetings in a timely manner. The following processes are in place to ensure the same.
- Agenda and Board papers are circulated with adequate time for the Directors to go through the same.
 - Relevant members of the Management Team are available for explanations and clarifications if required.
 - Management information is provided in agreed formats on a regular basis to enable Directors to assess the performance and stability of the Bank.
- 45 Any Director who was unable to attend a meeting is updated on proceedings prior to the next meeting through:
- formally documented minutes of meetings;
 - a separate document on matters arising out of minutes highlighting the items which need to be completed and need follow-up actions of the previous meetings (This is taken up immediately after confirmation of minutes);
 - archived minutes and Board papers accessible electronically at the convenience of the Directors.
- 46 The minutes of Board and Board Sub-Committee Meetings carry important concerns raised and views expressed by Directors individually to highlight how the Board has arrived at the decision in the deliberations as precisely as possible. When preparing minutes of the proceedings of a meeting the concerns raised by each Director are clearly recorded together with the responses of the other, which are important for the final decision of the Board.
- 47 The detailed minutes of the meetings include the following:
- a summary of data and information used by the Board in its deliberations;
 - the matters considered by the Board members;
 - the fact-finding discussions and the issues of contention or dissent;
 - the testimonies and confirmations of relevant KMPs which indicates compliance with the Board's strategies and policies and adherence to relevant laws and regulations;
 - matters related to risks to which the Bank is exposed and an overview of the risk management measures adopted;
 - the decisions and resolutions of Board/Board Sub-Committees.

2.6 PROFESSIONAL ADVICE

GRI 2-12,15

Direction 2024 Ref. - 1.7

Direction 2007 Ref. - 3(1)(xi)

Code 2023 Ref. - A.1.3



- 48 A Board approved policy has been established to enable Directors to seek Independent Professional Advice in appropriate circumstances at the Bank's expense. This facility is coordinated through the Company Secretary with the approval of the Board Chairman to assist the relevant Director/s to discharge his/her/their duties to the Bank.

Corporate Governance

GRI 2-15

2.7 DEALING WITH CONFLICTS OF INTEREST

Direction 2024 Ref. - 1.1(d), 1.1(m)(ii), 1.8

Direction 2007 Ref. - 3(1)(xii), 3(1)(i)(ii)



- 49 The Directors at all times take necessary steps to avoid conflicts of interest or the potential conflicts of interest, in their activities with and commitments to, other organisations, Related Parties and other stakeholders. The Directors are also conscious of their obligation to deal with situations where there is a conflict of interest in accordance with the Bank's "Policy on Managing Conflicts of Interest" and the Directions 2007 and 2024. This Policy has been developed in line with applicable regulatory requirements and best practices and its effectiveness is periodically reviewed by the Board.

The "Policy on Managing Conflicts of Interest" ensures that the Board is not dominated or significantly influenced by a Director or a group of Directors in a manner that is detrimental or prejudicial to the interests of the depositors, creditors and the Bank as a whole. As per the Policy, where there is deemed to be a conflict of interest either in respect of the Director, his/her close relation or a concern in which he/she has substantial interest, is interested, the respective Directors refrain from participating in the discussions, voicing their opinion, approving the same and accessing the information pertaining thereto, physically and/or electronically. Such actions are appropriately minuted for future reference and the Director concerned is not counted in the quorum in such instances.

In addition, "Policy on Anti-Bribery and Corruption" and relevant internal guidelines are in place to ensure the Bank's commitment towards anti-corruption practices. Further, an effective and comprehensive internal control framework for identifying, recording and disclosing Related Party Transactions is also in place.

- 50 The Directors annually confirm that there are no relationships between the Directors among themselves and as well as between the Directors, MD and KMPs are at a level that does not result in excessive familiarity, undue influence or coercion.

The Bank regularly updates the Register of Directors' Interests to meet regulatory requirements.

2.8 ROLE OF THE COMPANY SECRETARY

Direction 2024 Ref. - 1.5(a), 1.5(b), 1.5(c), 1.5(d)

Direction 2007 Ref. - 3(1)(vii), 3(1)(viii), 3(1)(ix)

Code 2023 Ref. - A.1.4



- 51 The appointment of the Company Secretary is governed by the provisions of Section 43 of the Banking Act No. 30 of 1988. Accordingly, the Board has appointed a Company Secretary who is an Attorney-at-Law of the Supreme Court of Sri Lanka to oversee secretarial services for the Board Meetings and shareholder meetings and to carry out other functions as specified in the statutes and other regulations. The Articles of Association of the Bank specifies the conditions for the appointment and removal of the Company Secretary.
- 52 The Company Secretary is a member of the Corporate Management Team and is considered to be a part of the KMPs of the Bank. The main role of the Company Secretary is to guide the Board on discharging its duties and responsibilities, by promoting Corporate Governance best practices and informing the Board of relevant legislative and regulatory changes applicable to the same. The Company Secretary is accountable to the Board for maintaining the minutes of the Board Meetings and circulating the same among all Board Members. It is the responsibility of the Company Secretary to allow Directors to access past Board papers and minutes through the secure electronic link via iPads. Additionally, the minutes of the Board meetings are available for inspection by the Regulator at any reasonable time with reasonable notice. Further, the Company Secretary is required to make sure Directors are briefed on developments in the regulatory environment at Board Meetings to ensure that their knowledge is updated regularly to discharge their responsibilities effectively.
- 53 The Company Secretary implements the recommendations of the BNGC relating to training, capacity building and professional development programmes for the Directors.
- 54 A Board approved policy is in place, ensuring that all members of the Board have the opportunity to obtain advice and services of the Company Secretary with regard to the compliance with relevant rules, regulations, directions and statutes.

2.9 BUSINESS CONTINUITY PLANNING

Direction 2024 Ref. - 1.1(h)

Code 2023 Ref. - A.1.2



- 55 The Board remains the ultimate authority in charge of ensuring the continuity of business operations to support the going concern principle. For this purpose, a Board approved Business Continuity Plan (BCP) is in place. The BCP is reviewed and updated annually or more often if needed in cognisance with contextual changes in the internal and external operating environment, with Board approval sought for any material updates to the BCP. Under the BCP testing protocols for 2024, the Disaster Recovery (DR) Drill was conducted for an extended period of time to ensure operational resilience and preserve critical operations and services. During the Drill, all operating systems including core-banking systems were functioned through DR Servers. Moreover, a series of system simulations were conducted to measure system resilience against the worst-case scenario. The Bank has developed delegated DR Sites for all critical functions of the Bank and the delegated DR Sites were also tested quarterly to ensure proper functioning of sites as well as familiarisation of team members. With the aim of ensuring safety of occupants of the building, training on "Fire Safety and Emergency Evacuation" and Fire Drill/Evacuation Drill were also conducted.

2.10 TRAINING FOR DIRECTORS

GRI 2-17

Code 2023 Ref. - A.1.8



- 56 Given the stewardship role undertaken by the Board, it is vital that all Directors remain relevant and up-to-date in terms of the skills and knowledge needed to carry out their roles and responsibilities as well as to perform their fiduciary duties as Board of Directors. Accordingly, the Directors consistently demonstrate a strong commitment to enhance their knowledge and are provided with access to learning, development and training opportunities that align with the latest developments in applicable laws, regulations, macroeconomic policies, the latest technological developments, emerging financial sector and market developments and all other areas relevant to banking industry. The BNGC, in consultation with the Board of Directors, recommends appropriate training sessions/seminars/workshops for Directors. The annual self-assessment by Directors also serves as an important source for identifying the training needs of Directors. Meanwhile, the formal induction for new Directors also covers a range of essential training modules.
- 57 Additionally, the Board encourages knowledge sharing amongst the Directors. The Board being the highest governance body also acknowledges the importance of developing and enhancing its collective knowledge on economic, environmental and social topics. During the year 2024, the Directors attended the following training programmes focusing on both general aspects of directorship and matters specific to the industry.
- FATF Mutual Evaluation (ME) – India's Best Practices
 - Awareness Session on Recent Amendments to the Listing Rules and a Reminder of Certain Laws which are being actively applied in Recent Times which Directors of Banks should be cognisant about
 - Presentation on Sustainability and Value Creation (SLFRS S1 and S2)
 - The Role of Governance in ESG and The Current Status of Sampath Bank
 - ESG Summit 2024
 - Directors' Duties in Information Security: Navigating Cybersecurity Risks in the Banking Sector
 - Annual High-Level Awareness Conference for Licensed Banks, Licensed Finance Companies, Money or Value Transfer Service Providers and Primary Dealers in Sri Lanka (Topics -Strengthening Governance: Enhancing Board's Accountability in Financial Institutions for Effective Compliance against Money Laundering, Terrorist Financing and Proliferation Financing in Sri Lanka and Importance of Advanced Transaction Monitoring Systems for a Bank to Identify Suspicious Transactions)
 - An Introduction to Embedding Sustainability/ ESG.

2.11 LEADERSHIP OF THE BOARD

Code 2023 Ref. - A.1.2



- 58 The Board recognises its duty to perform essential functions decisive to the Bank's success. It plays a key role in guiding the Company with entrepreneurial leadership, establishing a solid framework of prudent and effective controls and managing risks, which are core to the governance structure. Furthermore, the Board's responsibilities have expanded across various spheres, requiring careful and vigilant monitoring to address emerging challenges and conquer opportunities, considering the scale, nature and complexity of the business.

Corporate Governance

2.12 FINANCIAL AND BUSINESS REPORTING

Code 2023 Ref. - D.1.2, D.1.4



- 59 The Board is responsible for ensuring that the Bank fulfils all its Financial Reporting obligations. Accordingly, it provides oversight to ensure that all regulatory reports are filed with relevant authorities in a timely manner, including but not limited to the Central Bank of Sri Lanka, the Department of Inland Revenue, the Registrar of Companies and the Colombo Stock Exchange. Interim Financial Statements reflecting quarterly results, as well as the Annual Report, are published within the timelines stipulated by relevant regulatory authorities, enabling shareholders to understand the state of affairs of the Bank.
- 60 The Annual Report of the Board of Directors on the Affairs of the Company provided on pages 255 to 263 includes the declarations required by the Code 2023 concerning of financial and business reporting.

2.13 COMPLIANCE WITH CAPITAL ADEQUACY REQUIREMENTS

Direction 2024 Ref. - 1.10

Direction 2007 Ref. - 3(1)(xv)



- 61 The Board monitors capital adequacy and other prudential measures as necessary to ensure that the Bank is capitalised at levels required by the CBSL from time to time. Additionally, the Bank has established a defined risk appetite and considers industry benchmarks when evaluating capital adequacy requirements. During the year under review, the Bank complied with the minimum capital adequacy requirements. To mitigate risks arising from macroeconomic challenges, the Bank has maintained an internal capital buffer above the minimum requirements set by the regulator.

2.14 ESTABLISHMENT AND MAINTENANCE OF POLICIES IN TERMS OF LISTING RULES AND CODE 2023

Listing Rule Ref. - 9.2.1, 9.2.3, 9.2.4, 9.5.1, 9.5.2, 9.10.1

Code 2023 Ref. - I.1, I.1.1, I.1.3, I.1.4, I.2, I.2.1, I.2.2



- 62 The Bank in compliance with the Listing Rules and the Code 2023 established following policies and made available the same in the Bank's Corporate Web www.sampath.lk with effect from 1st October 2024. The policies are available for the shareholders, upon submission of a written request to the Company Secretary.
- Policy on Matters Relating to the Board of Directors
 - Policy on Board Committees
 - Policy on Corporate Governance
 - Policy on Nominations and Re-election of Directors
 - Policy on Remuneration
 - Policy on Internal Code of Business Conduct and Ethics for Directors
 - Policy on Internal Code of Business Conduct and Ethics for Employees
 - Policy on Risk Management and Internal Controls
 - Policy on Relations with Shareholders and Investors
 - Policy on Environmental, Social and Governance Sustainability
 - Policy on Control and Management of Bank Assets and Shareholder Investments
 - Policy on Corporate Disclosures
 - Policy on Whistleblowing
 - Policy on Anti-Bribery and Corruption

The Bank at the time of articulating the "Policy on Matters Relating to the Board of Directors", incorporated the requirements prescribed in Rule 9.5.1 and 9.10.1 of the Listing Rules and Principle I.2.1 of the Code 2023 and confirms compliance with these requirements.

- 63 Consequent to the publication effective from 1st October 2024, no amendments have been made to the aforementioned list of policies, except for the amendment made to the "Policy on Whistleblowing", "Policy on Matters Relating to the Board of Directors" and "Policy on Internal Code of Business Conduct and Ethics for Directors" as mentioned below:

Following the regulatory requirements specified in the Direction 2024 the Board undertook necessary steps to amend the said Policies as mentioned below.

- "Policy on Whistleblowing" on 31st December 2024 by incorporating regulatory requirements under heading "3. Reporting mechanism".
- "Policy on Matters Relating to the Board of Directors" on 14th February 2025 by incorporating regulatory requirements under headings "1. Board Composition, 2. Board Responsibilities, 3. Obligations, 4. Board Meetings, 5. Chairperson, 6. Managing Director (MD), 7. Appraisal of the Board and MD and 8. Training".
- "Policy on Internal Code of Business Conduct and Ethics for Directors" on 14th February 2025 by incorporating regulatory requirements under headings "1. Standard of Conduct, 2. Key Responsibilities, 3. Fitness and propriety, 4. Conflicts of Interest, 5. Confidentiality, 6. Dealing with Financial and Non-Financial Benefits and Gifts, 7. Accommodation Granted to Directors and Connected Parties, 10. Fair Treatment to Customers, 11. Integrity in Reporting, 12. Corporate Opportunities, 13. Protection and Proper Use of Bank Assets Including Information Assets and 15. Training".

2.15 CODE OF CONDUCT AND ETHICS

GRI 2-15

Direction 2024 Ref. - 1.1(s), 1.1(t)

Listing Rule Ref. - 9.2.2

Code 2023 Ref. - D.6, D.6.1, D.6.3, D.6.5, D.6.6, D.6.7, I.1.2



- 64 The Board collectively and Directors individually set the tone from the top for promulgating the culture of ethics and integrity across the Bank. In this regard, the "Policy on Internal Code of Business Conduct and Ethics for Directors", the Code of Conduct for Corporate Management and the Code of Conduct for other Employees are in place to ensure good governance and to inculcate a sound corporate culture that reinforces norms for professional, ethical and prudent behaviour throughout the Bank. These guidelines are reviewed periodically and updated in keeping with the latest developments. Moreover, it addresses the issues on confidentiality of data, conflicts of interest, procedures for dealing with financial and non-financial benefits and gifts, integrity in reporting and the fair treatment to customers. Bank-wide internal guidelines and the "Policy on Anti-Bribery and Corruption" have also been implemented to intensify the Bank's commitment towards anti-corruption practices.
- 65 The Bank has conducted internal training related to the code of business conduct and ethics as part of induction programmes for new employees and has obtained confirmation of compliance from all employees.
- 66 A process is in place to monitor the share transactions carried out by the Directors, KMPs and identified employees involved in financial reporting in a timely manner.
- 67 The Chairman's affirmation with regard to introduction of a Bank-wide Code of Conduct and Ethics, the status of compliance with same and his awareness of any violations thereof are given on page 148 of this Annual Report.

3) RELATIONSHIPS AMONG THE DIRECTORS INCLUDING THE CHAIRMAN AND MANAGING DIRECTOR

GRI 2-12

Direction 2024 Ref. - 1.2, 5, 5.1, 9.2(h)(iii)

Direction 2007 Ref. - 3(1)(ii), 3(5)(i), 3(5)(iii)

Listing Rule Ref. - 9.6.1, 9.6.2

Code 2023 Ref. - A.2, A.2.1



- 68 The Board has duly appointed the Chairman and the MD of the Bank and their functions and responsibilities are defined in line with the regulatory requirements. In that respect, the functional responsibilities of the Board Chairman and the MD are clearly documented and duly approved by the Board. The Chairman is a Non-Executive Director whilst the MD serves as an Executive Director. The identity of the Chairman and MD are disclosed in the Annual Report on page 186. There is no material financial, business or family relationships between the Chairman, MD and other members of the Board as disclosed on pages 262 and 263, and in Note 47 to the Financial Statements given on pages 363 to 366. The above disclosures are made as per the annual declarations and the Register of Directors' Interests which are updated regularly.

Corporate Governance

3.1 THE CHAIRMAN

GRI 2-15,18

Direction 2024 Ref. - 5.2(b), 5.2(c), 5.3(a), 5.3(b), 5.3(c), 5.3(d), 5.3(e), 5.3(f), 5.3(g), 5.3(h), 5.3(i)

Direction 2007 Ref. - 3(5)(iv), 3(5)(v), 3(5)(vi), 3(5)(vii), 3(5)(viii), 3(5)(ix), 3(5)(x)

Code 2023 Ref. - A.3, A.3.1, A.5.9



- 69 The Chairman leads the Board ensuring that it functions and duly discharges its responsibilities effectively while all key and appropriate issues are discussed by the Board in a timely manner.
- 70 The Chairman ensures that the "Policy on Internal Code of Business Conduct and Ethics for Directors" and the Terms of Reference (TOR) of Board and each Board Sub-Committee spells out the Directors' duties and responsibilities and the standards of care expected from them. The Chairman further ensures that Directors are properly briefed on issues arising at Board Meetings and also ensures that Directors receive adequate information in a timely manner.
- 71 The Board Chairman is responsible for ensuring the right mix between EDs and NEDs to ensure an appropriate balance of power to support independent and objective decision making at Board level. Further, the Chairman facilitates the effective contribution of NEDs in particular and ensures constructive discussions between EDs and NEDs.
- 72 The Chairman, in consultation with all other Directors and the Company Secretary, develops the routine agenda for Board Meetings, ensuring that all important areas for discussion are covered. Additionally, he encourages full and active participation of both EDs and NEDs at Board meetings, facilitates the expression and discussion of dissenting views and fosters proactive involvement in the Bank's best interests. The same is evident from the responses in the self-evaluation forms submitted by each Director at the end of the year. During the year under review, the Chairman held two (02) meetings on 26th July 2024 and 30th November 2024 with NEDs without the EDs being present as per the governance requirements.
- 73 The Chairman ensures that the Board has the oversight in respect of the Bank's affairs and its obligations to its depositors, shareholders and stakeholders as appropriate whereas he does not engage in activities involving direct supervision of any employee or partake in any other executive duties whatsoever. The Chairman of the Board who is also a member of BSRC ensures that appropriate steps are taken to maintain effective communication with shareholders and that the views of shareholders are communicated to the Board.

The Board taking into consideration the requirements stipulated under Section 5.2 of the Direction 2024, will make necessary arrangements to comply with the same.

3.2 THE SENIOR INDEPENDENT DIRECTOR

Direction 2024 Ref. - 5.2(a)

Direction 2007 Ref. - 3(5)(ii)

Listing Rule Ref. - 9.6.3(a), 9.6.3(b), 9.6.3(c), 9.6.3(d), 9.6.3(e), 9.6.4, 9.10.4(i)

Code 2023 Ref. - A.1.2, A.5.7, A.5.8



- 74 The Board has appointed Mr Dilip de S Wijeyeratne as the Senior Independent Director (SID) of the Board considering the fact that the Chairman is a Non-Independent Director. The position of SID is governed under the Board approved TOR which is in place with the intention of ensuring a greater independent element. The profile of the SID is given on page 187 of the Annual Report. The "Report by the Senior Independent Director" is given on page 195, demonstrating the effectiveness of his duties.
- 75 During the year under review, the SID conducted meetings fulfilling regulatory and best practice requirements and the details of such meetings are given in the "Report by the Senior Independent Director".

In line with the Board approved TOR for the SID, the SID holds a casting vote at aforementioned meetings and provides his feedback and recommendations from such meetings to the Chairman and other Board members as appropriate. The SID is also available for confidential discussions with other Directors and represents all shareholders at meetings.

3.3 THE MANAGING DIRECTOR

Direction 2024 Ref. - 5.4, 5.5

Direction 2007 Ref. - 3(5)(xi)



- 76 The MD, as the apex senior executive, is accountable to the Board for leading the Corporate Management Team and managing the Bank's day-to-day operations and business. The MD ensures the implementation of Board-approved policies and that the Bank meets its regulatory and fiduciary commitments.
- 77 The MD has been appointed as a NED of Sampath Centre Limited which is a fully owned subsidiary of the Bank. In addition to the above, the MD has also been appointed as a Director in other institutions established for the development and effective functioning of the banking industry. The profile of the MD is given on page 186. Despite these additional roles, the MD ensures such directorships do not hinder her ability to devote sufficient professional time to discharge her duties as the MD of the Bank. Further, the MD has fulfilled the Fit and Proper Assessment Criteria outlined in Section 44A and Section 76H of the Banking Act and possesses sufficient authority, stature, knowledge, competencies and expertise in the core banking functions given the size, scale, diversity and complexity of operations of the Bank.

4) MANAGEMENT FUNCTIONS DELEGATED BY THE BOARD

Direction 2024 Ref. - 4, 4.1, 4.3, 4.4

Direction 2007 Ref. - 3(4)(i), 3(4)(ii), 3(4)(iii)

Code 2023 Ref. - A.1.2

GRI 2-13



- 78 The Board clearly understands the delegation arrangements in place and consciously delegates authority to the Management to carry out certain duties to ensure a greater balance of power and authority so that powers are not concentrated in any individual. Such delegation does not hinder the Board's ability to discharge its functions within the provisions of the Bank's Memorandum and Articles of Association. The Management, who carries out duties on behalf of the Board under such delegated authority are required to report to the Board regularly on such matters attended by them.
- 79 The Board reviews and approves delegation arrangements as and when required, ensuring they address the Bank's requirements while allowing the Board to function effectively. The following Operational Level Committees offer more specialised supervision over functions that are delegated by the Board.

Management Committees		
• Advances Committee	• Executive Advances Committee	• Operational Risk Management Committee
• Asset & Liability Management Committee (ALCO)	• Fraud Risk Management Committee	• Outsourcing Committee
• Corporate Management Committee	• Information Security Committee	• Procurement Committee
• Credit Policy, Risk and Portfolio Review Committee	• Internal Capital Adequacy Assessment Process (ICAAP) Working Committee	• Recovery Plan (RCP) Working Committee
• Data Dissemination Committee	• Internal Control Over Financial Reporting (ICOFR) Committee	• Risk and Compliance Committee
• Disciplinary Committee	• Investment Committee	• Transfer Committee
• Dissemination of Regulatory Instructions Committee	• IT Steering Committee	• Vision 2028: Steering Committee
• Environmental, Social and Governance Committee	• Model Risk Management Committee	

5) CYBER SECURITY AND INTEGRITY OF INFORMATION

Code 2023 Ref. - A.1.2, G.1, G.2, G.3, G.4, G.5



- 80 Operating under the delegated authority of the Board, the Board IT Committee (BITC) provides oversight for the implementation of the Bank IT strategy, vis-à-vis digital product innovation and ensuring the robustness of the Bank's IT infrastructure to support overall strategic objectives and risk management targets. The BITC provides oversight to address IT related matters of the customers and the employees while recommending the IT strategic plan, policies, expenditure and budgets to the Board. The BITC ensures that the Bank continuously invests in advanced security controls to detect and respond to the latest threats effectively.
- 81 Considering the rapidly evolving nature of the modern technology world, the Board has allocated sufficient time during each Board Meeting to allow the BITC to present their views on the risk factors that may have a bearing on the IT needs including cyber risk management of the Bank. Further, the Directors are concerned with the manner in which the challenging economic state of the country and the complexity of expanding digital operations have negatively impacted the number of financial crimes that were being recorded. During the year under review, the Board participated in Cyber Security Awareness session conducted by an industry professional.

Corporate Governance

- 82 With the goal of maintaining the integrity and confidentiality of the data handled by the Bank, the Information Security Committee (ISC) was established to oversee the strategic and operational aspects of information security within the Bank. The ISC apprises the BIRMC on a quarterly basis on the matters that were being highlighted during the period.
- 83 The Information Security Department (ISD) headed by the Chief Information Security Officer (CISO) is tasked with determining the Bank's sensitivity and risk appetite towards information security threats at any given time. Towards ensuring the Bank's cyber security controls, the Bank has aligned with the global best practices by obtaining the ISO 27001 standards certification to validate the efficacy of the Bank's Information Security Architecture. The ISD monitors privilege access using the latest Privilege Access Management (PAM) software. The annual Risk Assessments are conducted covering all departments and the selected branches to identify potential information security risks and formulate appropriate risk treatment plans. Meanwhile, a cross functional incident response team was appointed and granted authority for taking immediate actions in the event of an information security breach to ensure business continuity and information security. A cross functional management committee (Data Dissemination Committee - DDC) was formed to manage and evaluate the information shared by the Bank internally and externally. Moreover, the Bank has implemented Data Loss Prevention (DLP) solution to manage/restrict information shared by the Bank internally and externally. To ensure the information security of the payment cards, the Bank has recently obtained PCI: DSS V3.2.1 Certification. Further, it will comply with terms of payment brands and ensure security of payment cards. To ensure the security of customer's digital experience, ISD continuously monitors external threats such as phishing attacks, bogus web contents and applications with an association of external service provider. In addition to that ISD provides customer awareness in information security frequently and where necessary. Additionally, the Bank has obtained cyber security insurance cover to enhance its information security measures.
- 84 The Bank has implemented multiple firewalls and other systems to secure its internal systems. In addition, the Bank's ISD reviews routine Vulnerability Assessments and Code Reviews to test the efficiency and integrity of these information systems in safeguarding against external and internal breaches.
- 85 All devices connected or attached to the Bank's infrastructure are authorised by a Network Access Controller and the use of other remote access solutions is strictly prohibited unless otherwise written approval has been obtained. Remote access is granted to users outside of the Bank with a justifiable business requirement, while access points into the Bank's ecosystem are regularly assessed with any changes that are formally approved.
- 86 The Bank also obtains the services of an external specialist to conduct quarterly Vulnerability Assessments and Annual Penetration Tests to identify vulnerabilities and determine possible threats in order to initiate necessary preventive actions. In addition, the Bank conducts periodic Cyber Security Drills to promote information security awareness among the staff members and a Bank-wide Information Security Risk Assessment Review was conducted in 2024 with the support of an independent expert entity.
- 87 The relevant disclosure of the process to identify and manage cyber security risk is given on pages 246 to 248 in this Annual Report.

6) SUSTAINABLE DEVELOPMENT AND ESG (ENVIRONMENTAL, SOCIAL AND GOVERNANCE)

Direction 2024 Ref. - 1.1(w)

Code 2023 Ref. - A.1.2, H.1, H.1.1, H.2, H.2.1, H.3, H.3.1, H.4, H.4.1, H.4.2, H.4.3, H.5, H.5.1, H.5.2, H.5.3, H.5.4

GRI 2-14



- 88 The Board, when considering business sustainability, focuses on integrating Environmental, Social and Governance (ESG) factors into decision making processes. Key considerations include aligning sustainability with the Bank's strategy, managing risks and opportunities related to ESG issues, engaging with stakeholders, ensuring compliance with regulations and ethical standards, fostering innovation for sustainable practices, promoting social responsibility and enhancing investor relations by demonstrating a commitment to sustainable business practices. By addressing these aspects, the Board seeks to foster responsible and ethical operations to build resilience, while contributing positively to societal and environmental progress. The Bank is conscious of its role in addressing various environmental implications and driving towards sustainable socio-economic developments. The Bank has initiated various projects for the purpose of protecting the environment and biodiversity, restoration of natural resources and sustainable use of resources.
- 89 As a result of prioritising the ESG within the Bank, the Board has established a Board Sub-Committee to address the risks and opportunities pertaining to the business operation and promote the ESG considerations. The Board Sustainability Committee (BSC) was established on 29th May 2024 by the Board of Directors also to comply with the requirements of paragraphs 26 and 27 of SLFRS S1: General Requirements for Disclosure of Sustainability-related Financial Information. The Committee consists of four (04) Independent, NEDs and the MD. The Bank established the BSC with the primary objective of overseeing the development and implementation of the Bank's sustainability strategy and policies and specifically addressing the sustainability related risks and opportunities. The Board Sustainability Committee Report is given on pages 210 and 211.
- 90 Further, the Bank has established an ESG working group with members from all departments and branches to drive the ESG strategic priorities. All the "ESG Champions" from the departments and branches have been appointed during the year under review and the said individuals will be trained to implement the environmental management system to conserve the environmental aspects.

- 91 Each employee holds a key task to contribute towards the ESG strategy. Additionally, ESG Management Committee has been formed to develop/enhance the Bank's ESG/sustainability strategy and policies, decision making, defining/redefining materiality for sustainability related risks and opportunities including climate related physical risks and transition risks, responding to sustainability related risks and opportunities, integration of ESG/sustainability matters, direction to business units, establishment of targets, skills and competencies development, improvement of ESG/sustainability disclosures and performance, escalation mechanisms, report to BSC, on recommendations on ESG Trends, Green Sustainable Lending, Green Borrowings and Sustainability Reporting. The Committee meets on a monthly basis or as and when required. The TOR of the ESG Management Committee has been developed mapping the key contribution from the KMPs towards the successful ESG implementation and continuation.

The key pillars managed by the ESG Management Committee, which contribute to the overall ESG strategies of the Bank, along with the Committee Chair are, governance, investment decisions, green products such as (Green/Sustainable) borrowings/lending, CBSL's roadmap for Sustainable Finance in Sri Lanka, ESG commitments in the Direction 2024, the Code 2023, ESG Risk Management, Corporate Social Responsibility (CSR) Programmes and ESG Communications.

- 92 The Board has always strongly emphasised strengthening the Bank's ESG credentials. The Bank has implemented an Environmental and Social Risk Management System (ESMS) to manage the environmental and social risks associated with the Bank's credit operation, thereby reducing the Bank's environmental footprint and improving its social well-being. The ESMS Implementation Committee was formed and a dedicated ESMS Officer was appointed to further strengthen the ESMS by implementing a suitable Environmental and Social Risk Management Framework to identify and measure environmental and social risks at all levels of operations across the Bank. The Bank issued the ESG Policy and CSR Policy to further strengthen the ESMS in the Bank. Additionally, all employees are encouraged to adopt the Environmental Pledge, while regular training and awareness building initiatives to ensure staff have adequate knowledge to understand the purpose, application and intended objectives of the ESMS. In this regard, staff capacity building on environmental and social due diligence is conducted by the Corporate Learning Centre on a periodic basis in collaboration with the Corporate Sustainability Department.
- 93 The adoption of integrated reporting is a key focus, combining financial and non-financial data to offer a transparent and holistic view of the Bank's performance. This approach not only enhances accountability but also meets stakeholders' expectations for responsible business practices. The Board meticulously has taken steps to evaluate ESG risks and opportunities, embedding these factors into the Bank's operations to foster resilience and sustainable growth. Upholding the highest standards of corporate governance, the Board ensures that all actions contribute to long-term value creation and effective risk mitigation. This comprehensive approach underscores the Bank's dedication to sustainability and responsible banking.
- 94 The Board and Board Sub-Committees, with a view to identifying and managing the social, economic, and environmental topics and their impacts, may from time to time call for comprehensive analysis reports from both external and internal resource personnel to be in line with the adequate due diligence. Further, the Board reviews the ESG factors where necessary to enhance the ESG-related areas. Moreover, information pertaining to CSR initiatives and sustainability framework of the Bank is given on the following reports.
- Our Approach to Sustainability is given on pages 33 to 38.
 - Natural Capital Report is given on pages 110 to 128.
 - Social and Relationship Capital Report is given on pages 94 to 109.
 - Material Topics is given on pages 46 to 48.

7) BOARD APPOINTED COMMITTEES

Direction 2024 Ref. - 6, 6.1, 9.2(g)

Direction 2007 Ref. - 3(6)(i)

Listing Rule Ref. - 9.3.1, 9.3.2, 9.3.3

GRI 2-9



- 95 As of 31st December 2024 Thirteen (13) Board Sub-Committees have been established by the Board of which seven (07) Committees are mandatory in terms of the applicable regulatory requirements while the other six (06) are discretionary committees established to strengthen the Board decision making process in line with international good governance practices. The quorum of each of these Sub-Committees consists of half of its members. All Sub-Committees act on behalf of the Board and function under the oversight of their respective Chair as per the Board approved TORs. Each Committee reports directly to the Board and the composition of Board Sub-Committees adheres to regulatory requirements, where applicable. Furthermore, the Chairman of the Board does not function as the Chairman of the Board Audit Committee, Board Human Resources and Remuneration Committee, Board Nominations and Governance Committee and Board Related Party Transactions Review Committee as stipulated in the regulatory requirements.

Corporate Governance

96 The Company Secretary or his nominee serves as the Secretary to all Sub-Committees and maintains minutes and records in sufficient detail under the supervision of the Chairperson of the Committees. The minutes of all committee meetings are submitted to the Board, thereby ensuring that the Directors are fully informed of all discussions and decisions taken by the committees. The Reports of the following Board Sub-Committees are included in this Annual Report highlighting its Memberships, Key Activities and Responsibilities and Performance during the year under review:

- Board Nominations and Governance Committee on pages 196 to 198;
- Board Audit Committee on pages 199 to 201;
- Board Human Resources and Remuneration Committee on pages 202 and 203;
- Board Integrated Risk Management Committee on pages 204 to 206;
- Board Related Party Transactions Review Committee on pages 207 and 208;
- Board Cost Monitoring Committee on page 209;
- Board Sustainability Committee on pages 210 and 211;
- Board Credit Committee on pages 212 and 213;
- Board Strategic Planning Committee on pages 214 and 215;
- Board Shareholder Relations Committee on page 216;
- Board Treasury Committee on pages 217 and 218;
- Board Marketing Committee on pages 219 to 221;
- Board IT Committee on page 222.

7.1 BOARD AUDIT COMMITTEE (BAC)

Direction 2024 Ref. - 1.1(f), 6.2(b), 6.2(c), 6.2(n), 6.2(o), 6.2(p), 6.2(q)

Direction 2007 Ref. - 3(1)(i)(e), 3(6)(ii)(a), 3(6)(ii)(b), 3(6)(ii)(l), 3(6)(ii)(m), 3(6)(ii)(n), 3(6)(ii)(o), 3(6)(ii)(p)

Listing Rule Ref. - 9.13.1, 9.13.2, 9.13.3(1), 9.13.3(2), 9.13.3(3), 9.13.3(4), 9.13.3(5), 9.13.3(6), 9.13.4(1)(x), 9.13.4(1)(xiii), 9.13.4(2), 9.13.5(1), 9.13.5(2)

Code 2023 Ref. - A.1.2, D.3, D.3.1, D.3.2, D.3.3



97 The Board Audit Committee has been established in keeping with practices of good governance. The BAC has a written TOR, approved by the Board which clearly defines its scope, authority, duties and meetings. The principal responsibilities of the BAC include oversight over Financial Reporting, Internal Controls, External Audit and Internal Audit. The duties of the BAC include providing assurances to the Board on the efficacy of the Bank's financial processes and integrity of the financial reports as well as monitoring the effectiveness, objectivity, integrity and independence of the External Auditor and reviewing the work of the Internal Audit function. The Bank has a separate BIRMC to perform the risk functions and maintains a separate BAC. The BAC Report, given on pages 199 to 201 in this Annual Report highlights the details of the activities, number of meetings conducted and attendance of each individual Director at such meetings.

The BAC has:

- explicit authority to investigate into matters within its TOR and any other audit related concerns;
- the resources which it needs to do so;
- full access to information;
- authority to obtain external professional advice and to invite outsiders with relevant experience to attend, if necessary.

98 The Chairman of the BAC, Mr Dilip de S Wijeyeratne is an Independent Non-Executive Director who is an Associate Member of the Institute of Chartered Accountants of Sri Lanka and a Fellow Member of the Chartered Institute of Management Accountants, UK. (The Profile of Mr Dilip de S Wijeyeratne is given on page 187).

As at 31st December 2024, the Committee consisted of three (03) Independent, NEDs. The members of the Committee possess a diverse set of skills and expert knowledge in finance, accounting and auditing, which align well with the Bank's size, scale, diversity and complexity of operation. In addition, the consultant to the BAC provided expert assistance and support to the committee while ensuring adherence to high standards of compliance and governance. Membership of the BAC is given on page 199 of this Annual Report. Further, the majority of the members of the BAC are not constituted by the members of the BIRMC and vice-versa.

- 99 The BAC has regular meetings in compliance with its TOR and schedules additional meetings when required. The quorum for a meeting is at least half of the committee members and requires the majority of those in attendance to be INDs. Other Board members, MD, Chief Internal Auditor (CIA), Chief Financial Officer (CFO), representative of the External Auditor and other KMPs may also attend the meetings upon the invitation of the Committee for the relevant agenda item. Consultant to the BAC also attends meetings upon the invitation of the Committee. Accordingly, the BAC met fifteen (15) times during the year under review. This includes the meetings of the BAC with the External Auditor and the Internal Auditor without the EDs being present. The details of the External Auditor, including the number of meetings between the BAC and the External Auditors without the presence of the EDs, are given under External Auditor (7.1.1). Members of the BAC are served with due notice of issues to be discussed. The conclusions of the BAC deliberations are recorded in the minutes of the meetings. The Company Secretary acts as the Secretary to the Committee and in the absence of the Company Secretary, his nominee or the CIA acts as the Secretary to the Committee and maintains minutes of the BAC meetings.
- 100 The Board reviews the adequacy and the integrity of the Bank's Internal Control Systems and Management Information Systems based on the reports provided by the BAC. Accordingly, the BAC reviews Internal Audit Reports submitted by the Internal Audit Department and monitors the follow up actions. Considering the reports provided by the BAC in 2024, the Board concluded that the Bank's Internal Control over Financial Reporting System is effective. The Directors' Statement on Internal Control over Financial Reporting is given on pages 264 and 265. The BAC and the Board respectively review and approve the Bank's accounting policies annually or sooner if required, to ensure that they are in line with the business model of the Bank, reflecting current local and international accounting standards and industry's best practices.
- 101 During the year under review, matters reported by the BAC were duly heard and satisfactorily resolved by the Board.

7.1.1 External Auditor

Direction 2024 Ref. - 1.1(r), 6.2(d), 6.2(e), 6.2(f), 6.2(g), 6.2(j), 6.2(k), 6.2(s), 9.2(c), 9.2(h)(i)

Direction 2007 Ref. - 3(1)(i)(m), 3(6)(ii)(c), 3(6)(ii)(d), 3(6)(ii)(e), 3(6)(ii)(f), 3(6)(ii)(h), 3(6)(ii)(i), 3(8)(ii)(c), 3(8)(ii)(g)

Listing Rule Ref. - 9.13.4(1)(iii), 9.13.4(1)(xi), 9.13.4(1)(xii)



- 102 Messrs Ernst & Young - Chartered Accountants functioned as the External Auditor to the Bank for the year under review. The BAC carries out necessary due diligence regarding the hiring and oversight of the External Auditor and makes recommendations to the Board. The appointment of the External Auditor is made at the Bank's AGM by the shareholders. The BAC, as the key representative body, oversees the Bank's relations with the External Auditor and reports to the Board in this regard if a necessity arises. The BAC reviews and monitors the External Auditor's independence, integrity, objectivity and effectiveness of their audit processes in accordance with the applicable standards and best practices. During the year under review, no removal/resignation of External Auditor of the Bank occurred.
- 103 The BAC has made the following recommendations on matters in connection with the:
- appointment, re-appointment and removal of the External Auditor for audit services to be provided in compliance with the relevant statutes;
 - implementation of the Central Bank guidelines issued to External Auditors from time to time;
 - application of the relevant accounting standards;
 - determination of the service period, audit fee and any resignation or dismissal of the Auditor. During the year under review the BAC ensured that the service period of the engagement of the External Audit Partner did not exceed five (05) years and that the particular Audit Partner is not re-engaged for the audit before the expiry of three years from the date of the completion of the previous term in order to preserve the integrity, independence, objectivity and effectiveness of the audit process in compliance with standards, regulations and best practice.

In accordance with Sections 22(6), 7B and 7C of the Banking (Amendment) Act No. 24 of 2024, the Bank is required to replace its External Auditor, Messrs Ernst & Young, within two years of the Act's effective date, which is prior to 15th June 2026. Accordingly, the Bank will initiate the required steps to comply and will transition to a new auditor within the stipulated deadline.

The Committee following the Direction 2024, will take the required actions to recommend and secure the approval of the shareholders to ensure the engagement of the External Auditor will not exceed six years. Additionally, the BAC will take necessary steps to request from the External Auditor to change the particular engagement partner once in every three (03) years to be in line with Section 6.2(d)(iv) of the said Direction, to be read together with Section 22(6) of the Banking Amendment Act No. 24 of 2024.

- 104 A Board approved "Policy on Engagement of External Auditors for Non-Audit Services" is in place in line with the guidelines issued by the CBSL. When assigning non-audit services to External Auditor, BAC ensures the availability of required skills and experience and ensures that independence and/or objectivity will not be impaired. Further, such services intended to be obtained from External Auditor, required approval is sought from the BAC in accordance with the regulations.

Corporate Governance

105 The BAC discusses issues, problems and reservations (if any) arising from the interim and final audits and any other matters the External Auditor may wish to discuss, including those matters that need to be addressed in the absence of the MD and KMPs, if necessary. The BAC met the External Auditor without the presence of the EDs of the Bank on two (02) occasions during the year 2024. Further, the BAC, before the audit commences, discusses and finalises with the External Auditor, the nature and scope of the audit to ensure that it includes:

- an assessment of the Bank's compliance with the relevant directions in relation to Corporate Governance and Internal Controls Over Financial Reporting;
- the preparation of financial statements for external purposes in accordance with relevant accounting principles and reporting obligations.

Since Messrs Ernst & Young - Chartered Accountants was engaged as the External Auditor for the year under review, a situation has not arisen that required coordination with another audit firm prior to commencing the audit.

106 The BAC has reviewed the External Auditor's Management Letter and the management's responses thereto. The Board has obtained independent assurance from the External Auditor to confirm that effectiveness of the Bank's Internal Controls Over Financial Reporting System as per the "Sri Lanka Standard on Assurance Engagements 3050" and this Independent Assurance Report is given on page 266. The findings presented in the Factual Findings Report of the External Auditor, addressed to the Board are consistent with the matters disclosed in this report and did not identify any inconsistencies to those reported by the Board. The recommendations made by the Auditors where relevant will be taken into consideration.

7.1.2 Internal Audits

Direction 2024 Ref. - 6.2(l), 6.2(m)

Direction 2007 Ref. - 3(6)(ii)(j), 3(6)(ii)(k)

Code 2023 Ref. - D.2.2.2



107 The Bank has established an Internal Audit function headed by the CIA, who functionally reports to the BAC. The CIA possesses the necessary knowledge, skills and relevant qualifications in the field of accounting/auditing, including fellow membership in the Institute of Chartered Accountants of Sri Lanka, the Chartered Institute of Management Accountants Sri Lanka and the Association of Chartered Certified Accountants UK. Additionally, the CIA, who is a member of the Corporate Management Team, has been recognised as a KMP of the Bank.

108 The Internal Audit Function provides an independent assurance to the Board, MD and KMPs on the quality and effectiveness of the Bank's internal controls, risk management and governance systems. The Committee ensures that the Internal Audit Function is properly positioned and independent from the first and second lines of defence and is sufficiently staffed and resourced with the required knowledge and skills to carry out its responsibilities independently, objectively and effectively. Further, the Internal Audit Function is governed through a properly documented Internal Audit Activity Charter and is accountable to the Board and the BAC. The BAC met the CIA of the Bank four (04) times during the year under review.

109 The BAC has an oversight of the Internal Audit function and has the following responsibilities with regard to the same which is clearly defined in the TOR of the BAC.

- Reviewing and discussing with the CIA the Annual Audit Plan, the adequacy of the scope and functions and the resources of Internal Audit Department (IAD) and ensure that the IAD has necessary authority to carry out its work.
- Reviewing and discussing the progress of the approved Audit Plan at the BAC meetings. The BAC reviewed the audit programmes, internal audit processes, internal audit reports along with the recommendations given by the IAD and ensured that appropriate actions are taken by the management to rectify the concerns raised by the IAD.
- Reviewing the performance of the CIA and the senior staff members of the IAD.
- Recommending to the Board, the appointment or termination of the head, senior staff members within the internal audit function.
- Ensuring that the BAC is apprised of resignations of senior staff members of the IAD including the CIA and providing an opportunity to the resigning senior staff members to submit reasons for resigning.
- Ensuring that the Internal Audit function is independent of the other activities it audits and performs with impartiality, proficiency and due professional care.

110 The BAC has reviewed the major findings of internal investigations during the year under review and the management's responses thereto. It has also ensured that the recommendations for such investigations have been implemented.

7.1.3 Whistleblowing Policy

Direction 2024 Ref. - 1.1(v), 6.2(r)

Direction 2007 Ref. - 3(6)(ii)(q)

Code 2023 Ref. - D.6.4



- 111 The Bank has a Board approved "Policy on Whistleblowing" published on its official website, where a whistleblower may, in confidence, raise concerns about possible improprieties in Financial Reporting, Internal Control or other matters. The said policy enables the whistleblowers to report matters within the ambit of the policy to the regulators. The BAC ensures the effective implementation of the whistleblowing mechanism for the fair and independent investigation of such matters and for appropriate follow-up actions and to act as the key representative body for overseeing the Bank's relation with the external auditor. The Company Secretary and the CIA takes appropriate actions for all communications including non-compliance with Bank's code of business conduct and ethics received in his/her office in this regard, including anonymous communications, to the Chairman of the BAC who addresses the issue in an appropriate manner in line with the above procedure. The policy creates an environment of utmost confidentiality, trust and protection to all stakeholders who report irregularities in good faith and ensure that they will not be penalised or suffer any adverse treatment for doing so. Further, all employees are encouraged to blow the whistle to report on any form of suspected breaches relating to or including anti-corruption and/or bribery under the "Policy on Anti-Bribery and Corruption".

7.1.4 Internal Control

Direction 2024 Ref. - 9.2(b)

Direction 2007 Ref. - 3(8)(ii)(b)

Listing Rule Ref. - 9.13.4(1)(v), 9.13.4(1)(vi)

Code 2023 Ref. - D.2.2, D.2.2.1, D.2.2.3, D.2.2.4



- 112 The Board is responsible for formulating and implementing appropriate and adequate Internal Control Systems and to review the adequacy and the integrity of the Bank's internal control system and management information system. The BAC is responsible to the Board for ensuring the availability of a process that designs, implements and monitors internal controls that provides reasonable assurance of achieving the Bank's objectives regarding the reliability of financial reporting, the effectiveness and efficiency of operations and compliance with applicable laws and regulations. The Annual Report includes the Directors' Statement on Internal Control Over Financial Reporting which is given on pages 264 and 265 where the Board confirms that the financial reporting system has been designed to provide reasonable assurance regarding the reliability of financial reporting and that the preparation of Financial Statements for external purposes has been done in accordance with relevant accounting principles and regulatory requirements.
- 113 Moreover, the BAC reviews the Internal Controls in place to prevent the leakage of material information to unauthorised persons and also oversee the processes to ensure that the Bank's Internal Controls and Risk Management are adequate to meet the requirements of the Sri Lanka Auditing Standards.

7.1.5 Financial Disclosures

Direction 2024 Ref. - 6.2(h), 6.2(i), 9.1, 9.2(a)

Direction 2007 Ref. - 3(6)(ii)(g), 3(8)(i), 3(8)(ii)(a)

Listing Rule Ref. - 9.13.4(1)(i), 9.13.4(1)(ii), 9.13.4(1)(iv)

Code 2023 Ref. - A.1.2, D.1, D.1.1, D.1.3, D.1.5



- 114 The Annual Report is the main channel used to present financial disclosures to stakeholders. The Annual Report aims to present a balanced and understandable assessment of the Bank's financial position, performance, business model, governance structure, risk management, internal controls as well as the challenges, opportunities and future prospects. The Bank's position and prospects have been discussed in detail in the following sections of this Annual Report.
- Chairman's Message on pages 22 to 24.
 - Managing Director's Review on pages 25 to 28.
 - Management Discussion and Analysis on pages 56 to 146.
- 115 Annual Audited Financial Statements and Quarterly Financial Statements are prepared and published in accordance with the formats prescribed by the supervisory and regulatory authorities in accordance with the relevant accounting standards, laws and regulations and provide a true and fair assessment of the financial position of the Bank. These Financial Statements are given on pages 274 to 421 in this Annual Report. A statement to the effect that Annual Audited Financial Statements have been prepared in line with applicable accounting standards and regulatory requirements, is included in the Annual Report of the Board of Directors on the Affairs of the Company given on pages 255 to 263.

Corporate Governance

- 116 The BAC reviews the accounting policies/systems and the internal control framework with a view to ensuring greater transparency and integrity of the Bank's financial reporting process and the adequacy of accounting and other internal controls. The Committee reviews the financial information, in order to monitor the integrity of its Financial Statements, Annual Report, Accounts and Quarterly Reports prepared for disclosure and the significant financial reporting judgments contained therein. When reviewing the Bank's Annual Report and Accounts and Quarterly Reports before submission to the Board, the Committee focuses on the following:
- judgements made by management;
 - any changes in accounting policies and practices;
 - significant adjustments arising from the audit;
 - the going concern assumption;
 - the compliance with relevant accounting standards and other legal requirements.
 - any related party transaction and conflict of interest situation which have arisen within the Bank;
 - removal/resignation of External Auditor (if any);
 - re-appointment of external auditor.
- 117 The relevant statements by the Directors, MD, CFO, respective KMPs and Auditors regarding their reporting responsibilities on operation and finance and that of the adequacy and effectiveness of Bank's Risk Management and Internal Controls are given in the following reports of this Annual Report.
- The Managing Director's and the Chief Financial Officer's Responsibility Statement on page 267.
 - The Statement of Directors' Responsibility for Financial Reporting on pages 268 and 269.
 - Report of the Auditors on pages 270 to 272.
 - Board Audit Committee Report on pages 199 to 201.

7.2 BOARD HUMAN RESOURCES AND REMUNERATION COMMITTEE (BHRRC)

GRI 2-19,20

Direction 2024 Ref. - 6.3(a), 6.3(b), 6.3(c)

Direction 2007 Ref. - 3(6)(iii)(d)

Listing Rule Ref. - 9.12.2, 9.12.5, 9.12.6(1), 9.12.6(2), 9.12.8(a)

Code 2023 Ref. - B.2.1, B.2.2, B.2.6, B.2.15, B.2.16, B.3, B.3.1



- 118 The Board has established a Board Human Resources and Remuneration Committee to develop policies and recommend remuneration for the Directors, the MD and KMPs respectively for approval by the Board. The BHRRC reviews the Bank's remuneration levels vis-à-vis industry standards and other corporate benchmarks where necessary. The BHRRC has a written TOR clearly defining its scope, authority, duties and the quorum of meetings. The Chairperson of the BHRRC is an Independent, NED who is not the chair of the Board and the membership of the Committee comprised six (06) Independent, NEDs as of 31st December 2024. Further information regarding the BHRRC including the details of the members of the Committee are given in the BHRRC Report on pages 202 and 203. The MD attends BHRRC meetings by invitation. However, MD was not present at meetings when matters relating to her were discussed. The BHRRC met six (06) times during the year under review.

7.2.1 Goals and Targets for the Directors, MD and KMPs

GRI 2-18

Direction 2024 Ref. - 6.3(e), 6.3(f)

Direction 2007 Ref. - 3(6)(iii)(b), 3(6)(iii)(c)

Code 2023 Ref. - A.11, A.11.1, A.11.2



- 119 The BHRRC, in consultation with the Board, sets goals and targets for the MD and KMPs in line with the short, medium and long-term objectives of the Bank at the commencement of every year. Accordingly, the goals and targets of the MD and KMPs for the year 2024 were documented and approved by the Committee. The Board-approved TOR of each Board Sub-Committee elaborates the collective goals and targets of the Directors.
- 120 The performance evaluation of the MD for 2023 was carried out by the BHRRC and reviewed by the BNGC with reference to the targets and goals achieved by the Bank, which were reported onward to the Board. The Board expressed its satisfaction at the MD's level of performance during 2023. The performance evaluations of KMPs for the year ended 2023 were carried out during the year 2024. Performance evaluations of the MD and KMPs for the year ended 31st December 2024 will be reviewed by the Committee during the year 2025. The standard procedures are in place for this purpose, to ensure the consistency between the Bank's achievements and industry standards.

7.2.2 Remuneration for Executive/Non-Executive Directors and KMPs

Direction 2024 Ref. - 1.1(i), 6.3(d), 6.3(g), 6.3(h)

Direction 2007 Ref. - 3(6)(iii)(a)

Listing Rule Ref. - 9.12.1, 9.12.3, 9.12.4, 9.12.7(1), 9.12.7(2), 9.12.8(b), 9.12.8(c)

Code 2023 Ref. - B.1, B.2, B.2.3, B.2.4, B.2.5, B.2.7, B.2.8, B.2.9, B.2.10, B.2.11, B.2.12, B.2.13, B.2.14, B.3.2



- 121 A Board-approved, Bank-wide “Policy on Remuneration” has been established for determining the remuneration of Directors, KMPs and employees based on the recommendations of the BHRRC. Further, internal practices are also in place to determine and govern remuneration including salaries, allowances, special payments/benefits made at termination or retirement and other financial and non-financial benefits of Executive and Non-Executive Directors as well as KMPs. The BHRRC has taken necessary steps to address the new requirement stipulated in Direction 2024, effective from 1st January 2025, that the Committee will collaborate with the BIRMC to ensure that the Bank’s approach to remuneration aligns with its risk culture and risk appetite limits and the same was included in the TOR of the Committee as a responsibility which was approved by the Board of Directors.
- 122 The Committee has access to professional advice with regard to the matters on remuneration as and when required. Further, the BHRRC consults the Chairman and the MD throughout its process when determining proposals related to remuneration of Corporate Management as appropriate.
- 123 The EDs who are part of the Bank's Corporate Management Team are rewarded according to market standards by the BHRRC, which also makes sure that there is transparency. The rewards are intended to encourage long-term success, which will ensure the Bank's sustainability, as well as attract, retain, promote and motivate EDs. It is also subject to periodic reviews based on market research studies and other information that becomes available. In addition, EDs' remuneration includes challenging yet transparent performance related elements ensuring the balance between short, medium and long-term performance outcomes. It has been developed to align individual performance in a way that allows EDs to match their interests with those of the Bank and its principal stakeholders, as well as to give them the right incentives to perform at the highest level. These performance-related elements are approved by the BHRRC upon obtaining directions from the Board. Moreover, no individual Director is involved in fixing his/her own remuneration.
- 124 The Board as a whole determines the levels of remuneration for NEDs taking into account, the time, commitment and responsibilities associated with their role and with due consideration of industry best practices and non-discriminatory principles. Remuneration for NEDs does not include Share Option Schemes. No Executive Share Option Scheme was implemented or introduced during 2024 and no contract for services has been entered into by the Bank with its NEDs. No compensation is payable by the Bank to its NEDs on “early termination” of term for any reason whatsoever. Accordingly, during the year under review no compensation was provided to the NEDs who resigned from their directorships.
- 125 The terms of employment of the EDs who are employees of the Bank including the MD, are governed by their respective Contracts of Employment.
- 126 The provisions are in place to consider special payments/financial and non-financial benefits at the sole discretion of the Board of Directors to retiring Directors, MD and KMPs, at the time of termination of employment/retirement are subject to necessary regulatory and shareholder approvals applicable at the time as appropriate. Accordingly, at the 38th AGM of the Bank, the shareholders approved an ex-gratia payment of Ten Million rupees (Rs 10,000,000) to the former MD, Mr Nanda Fernando who completed his term of office on 30th June 2023. The shareholders also approved the sale of the motor vehicle used by him at a price of rupees One Million Three Hundred Seventy Three Thousand Six Hundred Ninety Eight and cents Ninety Seven (Rs 1,373,698.97) which is 50% of the Net Book Value of the vehicle as of 30th June 2023.
- 127 When considering employee incentives, the BHRRC is mindful of the comparative employment conditions and considers the nature and extent of responsibilities, the volume of work and the level of performance against the pre-determined targets. Team-based performance-related remuneration has been in force in the Bank since 2016 and applies to all employees. Under this scheme, no performance-related remuneration is granted in retrospect.
- 128 The aggregate remuneration paid to Executive and Non-Executive Directors during the year under review, is given in Note 47.3.1 to the Financial Statements on page 363. The aggregate values of remuneration paid to and transactions with Directors and KMPs is given in Note 47 to the Financial Statements on pages 363 to 366 and in the “Disclosures” section of this Corporate Governance Report on pages 180 to 182.

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Corporate Governance

7.3 BOARD NOMINATIONS AND GOVERNANCE COMMITTEE (BNGC)

GRI 2-10,12

Direction 2024 Ref. - 1.1(m)(i), 2.1(a), 6.4(a), 6.4(b), 6.4(c), 6.4(d), 6.4(f), 6.4(g), 6.4(j), 6.4(k), 6.4(l)

Direction 2007 Ref. - 3(1)(i)(i)(i), 3(2)(ix), 3(6)(iv)(a), 3(6)(iv)(c), 3(6)(iv)(d), 3(6)(iv)(f)

Listing Rule Ref. - 9.11.1, 9.11.2, 9.11.3, 9.11.4(1), 9.11.4(2), 9.11.4(3), 9.11.5(i), 9.11.5(iii), 9.11.5(iv), 9.11.5(vii), 9.11.6

Code 2023 Ref. - A.7, A.7.1, A.7.2, A.7.5, A.7.6



- 129 The Board has established the Board Nominations and Governance Committee to have a formal and transparent procedure for the appointment of new Directors to the Board. The BNGC has a written TOR clearly defining its scope, authority, duties and the quorum of meetings. The report of the BNGC, including the details of members is given on the pages 196 to 198 of this Annual Report setting out the duties of the Committee.
- 130 The Senior Independent Director functions as the Chairman of the BNGC and as of 31st December 2024, the Committee comprised of six (06) Directors out of which four (04) members are Independent, NEDs. The MD attends meetings by invitation where necessary. The BNGC met nine (09) times during the year under review.
- 131 In terms of the TOR, the BNGC is in charge of implementing and assessing the effectiveness of the Board approved "Policy on Nominations and Re-election of Directors" and a Board approved "Procedure on Selection and Appointment of CEO/MD and KMPs" in accordance with regulatory requirements. Accordingly, new Directors including the EDs are appointed to the Board and Board Sub-Committees upon considering the recommendations of the BNGC and the Bank's succession arrangements for the Board. However, the members of the BNGC do not engage in decisions relating to his/her own appointment to the Board and its Board Sub-Committees. The BNGC has set certain eligibility criteria, including qualifications, experience and key attributes, to be considered for the appointment or promotion to key managerial positions as well as the position of MD. Additionally, the Committee obtains the views of the BIRMC in selecting Chief Risk Officer (CRO) and Chief Compliance Officer (CCO) and that of the BAC in selecting Chief Internal Auditor (CIA). The BNGC considers the applicable statutes and guidelines in setting the relevant criteria. The Board, on the recommendation of the BNGC, considers the requirement of additional skills, knowledge and expertise to the Board as appropriate. Further, the BNGC annually reviews the structure, size, qualifications, diversity and composition of the Board and its Sub-Committees to ascertain whether the combined knowledge and experience of the Board matches the strategic demands facing the Bank and to ensure the effective discharge of the duties and responsibilities of the Board and its Sub-Committees.
- 132 The Bank obtained declarations and affidavits from Directors, MD and KMPs during the year as and when required and these were submitted to CBSL to determine and ensure that they are fit and proper persons to hold office as specified in the criteria given in the direction and as set out in the applicable statutes.

Additionally, the BNGC, taking into account the new requirement effective from 1st January 2025, will take necessary steps to evaluate the independence of the Independent NEDs on a quarterly basis. This evaluation will ensure that these Directors do not have any conflicts of interest that could hinder their ability to perform their duties independently. Any changes to the independent status of the NEDs (if any) will be reported to the regulatory authorities.

- 133 The BNGC identifies the training needs of the Directors and recommends training, capacity building and professional development programmes to ensure that the Directors are regularly updated on applicable laws, regulations, macroeconomic policies, the latest technological developments, emerging financial sector and market developments etc. relevant to the banking industry.

7.3.1 Appointment/Re-election/Resignation of Directors

GRI 2-10,12

Direction 2024 Ref. - 1.1(o), 2.1(b), 6.4(e), 6.4(h), 6.4(i), 9.3

Direction 2007 Ref. - 3(2)(x), 3(2)(xi), 3(2)(xii), 3(6)(iv)(b), 3(6)(iv)(e)

Listing Rule Ref. - 9.11.5(ii), 9.11.5(vi)

Code 2023 Ref. - A.1.2, A.7.3, A.7.4, A.8, A.8.1, A.8.2, A.8.3, A.9.3



- 134 A Board-approved procedure covering succession planning for retiring Directors is in place. Additionally, the BNGC ensures that an effective succession plan for the MD and KMPs aligns with the requirements to position qualified and competent individuals with diverse skills and knowledge to meet the Bank's short, medium and long-term strategies. The BNGC reviews the succession plan on an annual basis.
- 135 The appointments of new Directors to the Board are disclosed to the shareholders via the CSE along with the relevant information required to be disclosed in terms of the regulations. Accordingly, the appointment of the Independent/Non-Executive Director, Mr Keith Modder was communicated to the shareholders via the CSE together with a brief description setting out the fields of his expertise, directorships in other companies and the number of shares held in the Bank.

136 In accordance with the provisions available in the Articles of Association and the relevant Governance requirements, the Directors appointed to the Board after the last AGM will stand for election by the shareholders at the subsequent AGM. During the year under review, Mr Keith Modder who was appointed to the Board effective from 2nd April 2024, will stand for election by shareholders at the 39th AGM to be held on 28th March 2025.

137 NEDs are appointed to the Board for specific terms subject to re-election based on the regulatory requirements. The BNGC makes recommendations regarding the re-election of current Directors who retire by rotation in terms of Article 87 of the Articles of Association of the Bank, taking into account, inter-alia, the periodic evaluations of the performance and contributions made by the Director concerned towards the overall discharge of the Board's responsibilities. In addition, a self-review process to ascertain the extent of the contribution, participation and engagement of each Director is conducted in parallel with the Board Performance Evaluation by the Directors. In accordance with the aforementioned provision, 1/3 of the NEDs retire at each AGM and submit themselves for re-election. The following Directors will retire and offer themselves for re-election at the 39th AGM.

- | | | |
|-------------------------|--------------------------|----------------------------|
| 1. Mr Vajira Kulatilaka | 2. Mr Harsha Amarasekera | 3. Mrs Keshini Jayawardena |
|-------------------------|--------------------------|----------------------------|

Following Directors were re-elected at the 38th AGM.

- | | | |
|--------------------------|----------------------|------------------------------|
| 1. Ms Aroshi Nanayakkara | 2. Mr Rushanka Silva | 3. Mr Dilip de S Wijeyeratne |
|--------------------------|----------------------|------------------------------|

138 In the event that a Director wishes to resign from his/her position as a Director, a written communication tendering his/her resignation along with reasons for such will be communicated to the Board by duly tabling the same at the immediately succeeding Board Meeting. The same will be informed to the regulatory authorities as per the requirements of the Listing Rules and the Companies Act No. 07 of 2007 together with a statement confirming whether or not there are any matters that need to be brought to the attention of shareholders through a CSE Market Announcement and Bank's official website. During the year under review, Mr Prabhath Subasinghe, who served as a Non-Independent, NED, tendered his resignation from the office of Director, effective from 1st June 2024 and the necessary disclosure was disseminated in line with regulatory requirements prevailed at that time.

139 The BNGC ensures that a Director or an employee of another Bank is not appointed, elected or nominated as a Director of the Bank when considering appointments of Directors. Moreover, the Code of Conduct for other Employees prohibits employees from being elected or nominated as a Director of another Bank.

7.3.2 Appraisal of Board Performance

GRI 2-18

Direction 2024 Ref. - 1.1(n), 1.1(m)(iii)

Direction 2007 Ref. - 3(1)(xvii), 3(1)(i)(i)(iii)

Listing Rule Ref. - 9.11.5(v)

Code 2023 Ref. - A.9, A.9.1, A.9.2, A.9.4



140 The Board of Directors performs an annual self-evaluation of its own individual performance as well as an assessment of the overall performance of the Board as a whole and the records of which are maintained by the Company Secretary. This is done with each Board member appraising the collective performance of the Board to assess if it is discharging its responsibilities satisfactorily. This process requires each Director to fill a Performance Evaluation Form in line with the relevant regulatory provisions. A self-review process to ascertain the extent of the contribution, participation and engagement of each Board Sub-Committee is also conducted in parallel with the Board performance evaluation by the Directors. The responses are reviewed by the Company Secretary who compiles a report which is submitted for discussion by the Board and its Sub-Committees as appropriate. The summary of annual self-evaluations submitted by individual Directors for 2023 was reviewed and discussed collectively by the Board during 2024, to determine weaknesses and implement necessary changes as appropriate to ensure that the Board of Directors has continued to fulfil the responsibilities entrusted to them in line with the defined areas of authority.

141 The Bank maintains a suitable process for the periodic evaluation of the performance of the Board of Directors and the MD of the Bank to ensure that their responsibilities are satisfactorily discharged in order to align with the current practice of Board evaluations, where the outcome of the Board performance evaluations is tabled at BNGC for its review. Additionally, the BNGC reviewed the MD's performance evaluation and confirmed to the Board that the MD effectively fulfilled her duties for the year 2023.

Corporate Governance

GRI 2-9,13

7.3.3 Corporate Governance Framework of the Bank

Direction 2024 Ref. - 6.4(m)

Listing Rule Ref. - 9.11.5(viii), 9.11.5(ix), 9.11.5(x)



- 142 The overall corporate governance framework of the Bank has been established, in accordance with the Listing Rules of the Colombo Stock Exchange, other applicable regulatory requirements and industry/international best practices where the same will be reviewed and updated by the BNGC as deemed appropriate. This comprehensive approach is meticulously designed around the elements of Performance and Conformance, ensuring that the Bank's governance structure is not only robust but also transparent and aligned with the highest standards of corporate governance. Periodic reviews and updates by the BNGC will maintain in compliance with evolving regulations and best practices, thereby reinforcing the Bank's commitment to effective governance and sustainable growth. Further, this approach will lead the Bank to a sustainable entity which will look after the stakeholder interests up to their expectation while ensuring ESG contribution to the country.
- 143 The Management Team is advised to submit detailed reports on the Bank's compliance with the corporate governance framework to the BNGC. This will enable the committee to assess the extent of adherence to regulatory requirements and other applicable laws.

7.4 BOARD INTEGRATED RISK MANAGEMENT COMMITTEE (BIRMC)

GRI 2-12

Direction 2024 Ref. - 6.5(a), 6.5(b), 6.5(c), 6.5(d), 6.5(e), 6.5(f), 6.5(g), 6.5(h), 6.5(i), 6.5(j), 6.5(k), 6.5(l), 6.5(m), 6.5(n), 6.5(o), 6.5(p), 6.5(q), 6.5(r)

Direction 2007 Ref. - 3(6)(v)(a), 3(6)(v)(b), 3(6)(v)(c), 3(6)(v)(d), 3(6)(v)(e), 3(6)(v)(f), 3(6)(v)(g), 3(6)(v)(h)

Listing Rule Ref. - 9.13.4(1)(vii), 9.13.4(1)(viii), 9.13.4(1)(ix)

Code 2023 Ref. - A.1.2, D.2, D.2.1.4, D.2.1.5, D.2.1.6, D.2.1.7, D.2.1.8, D.4, D.4.1, D.4.2, D.4.3, D.4.4, D.4.5



- 144 The Board has established the Board Integrated Risk Management Committee and its composition, scope, roles and responsibilities are determined considering the applicable laws, regulatory requirements and sector/industry specific business risk. The Committee ensures that policies and procedures are in place to identify the nature and extent of the principal risks associated with achieving its strategic objectives. The BIRMC oversees the strategies implemented by MD and the KMPs for capital and liquidity management and management of all relevant risks of the Bank, such as credit, market, operational, information security and strategic risks, to ensure consistency with the stated risk appetite. Further, the Committee ensures that its written TOR clearly defines its scope, authority, duties and the quorum of meetings to reinforce a robust risk management process of the Bank. The Committee has access to external professional advice with regard to the matters where necessary. The report of the BIRMC including the details of members is given on pages 204 to 206 of the Annual Report setting out the duties and membership of the Committee.
- 145 The Chairperson of the BIRMC is an Independent, Non-Executive Director who does not chair the Board or any other mandatory Board Sub-Committees. Membership of the Committee during the year under review is given on page 204. In accordance with the regulatory requirements stipulated in Direction 2024, the Board took the necessary steps to include the MD as an invitee for the BIRMC, effective from 1st January 2025. Further, the CRO who is supervising credit, market, liquidity, operations, strategic risks and CCO who are the management representatives of the Committee attend the meetings on need basis.
- 146 With effect from 1st June 2024, out of the total number of Directors of the Committee, three (03) members are Independent, Non-Executive Directors and majority of the members of the Committee not constituted by the members of the BAC and vice-versa. Other KMPs supervising credit, market, liquidity, operations, strategic risks, etc. and ED/CFO are invited to attend the meetings on a regular basis, while the CIO and Heads of strategic business units attend the meetings where necessary. Further, the BIRMC has regular meetings in compliance with its TOR and schedules additional meetings when required. The agenda covers matters pertaining to all aspects of risk management including updated Business Continuity Plans. The BIRMC met nine (09) times during 2024. The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.
- 147 An independent Risk Management Unit (RMU) has been established and is tasked with overseeing the Integrated Risk Management of the Bank. The RMU is headed by the CRO, who reports functionally to the BIRMC. The CRO is responsible for evaluating and implementing suitable mitigating actions to effectively manage the various risks the Bank encounters in its operations. BIRMC oversees the functioning of CRO and the Committee receives regular reports and communication from CRO and other relevant functions with respect to the risk profile, exposures against the established risk appetite limits and limit breaches.
- 148 The policies on Credit, Market, Operational, Liquidity and Compliance Risk Management etc. which are recommended by the BIRMC and approved by the Board, provide the framework for the assessment and effective management of Bank-wide risks. Accordingly, the BIRMC discharges its responsibilities by periodically reviewing reports on pre-established risk indicators prepared by the RMU. The BIRMC assesses all risks of the Bank on a monthly basis through Key Risk Indicators and management information, Risk Dashboards and through Risk Assessment reports done for the Bank. The Bank has formed Management Committees to assess risks on a monthly/quarterly basis and any significant risk related findings are submitted for the BIRMC for its perusal whereas the BIRMC minutes are tabled at the Main Board.

- 149 The BIRMC reviews the adequacy and the effectiveness of all Management Committees including the Credit Policy, Risk and Portfolio Review Committee and the Assets & Liabilities Management Committee to address specific risks and to manage those risks within the laid down limits specified by the BIRMC as required by the regulations. The details of the Management Committees are given on page 165.
- 150 The Board's responsibility for an oversight of risk management and how the principle risks are managed and mitigated is explained in the Risk Management Report on pages 224 to 251 and the Directors' Statement on Internal Control Over Financial Reporting given on pages 264 and 265.
- 151 The BIRMC takes prompt corrective action to mitigate the effects of specific risks in case such risks are at levels beyond the prudent risk levels decided by BIRMC based on the Bank's policies, regulatory and supervisory requirements. The Risk Appetite Limits and Key Risk Indicators of the Bank are approved by the BIRMC and the Board and are monitored on a regular basis. The Bank's exposures against the risk appetite limits are regularly reported to the BIRMC and the Board. The Committee, taking into consideration the requirements stipulated under Direction 2024 will advise and report to the Board on the Bank's exposure against the risk appetite.
- 152 The BIRMC refers to the Human Resources Department in respect of the officers identified to be responsible for failure to identify specific risks in order to take prompt corrective actions as directed.
- 153 The CRO with the directions of the BIRMC submits risk assessment reports to the Board within a week of the Committee meeting seeking its views, concurrence and guidance (if any).
- 154 BIRMC effectively communicates and coordinates with the BAC to facilitate exchange of information to ensure effective management of all risks, including emerging risks and any adjustments needed to the integrated risk management framework of the Bank.
- 155 The Committee has also taken into consideration of the new requirement stipulated in the Direction 2024 to examine whether the incentives provided to the employees take into consideration the levels of risk, capital, liquidity and earnings of the Bank without prejudice to the tasks of the BHRR.
- 156 An Independent Compliance function has been established to assess the Bank's compliance with laws, regulations and regulatory guidelines. In addition, the Compliance Department assesses the Bank's compliance with internal controls and approved policies on all areas of business operations. This function is headed by a dedicated CCO who is a KMP of the Bank. The CCO functionally reports to the BIRMC and is responsible for escalating the level of compliance of the Bank with regulations, laws and internal controls. The CCO submits periodic reports on the level of compliance on mandatory banking and other statutory requirements to BIRMC.

7.5 BOARD RELATED PARTY TRANSACTIONS REVIEW COMMITTEE (BRPTRC)

GRI 2-15

Direction 2024 Ref. - 1.1(g), 6.6(a), 6.6(b), 6.6(c), 6.6(d), 6.6(e), 6.6(f), 6.6(g), 7.1, 7.2, 7.3, 7.4, 7.5, 7.6, 9.2(e)

Direction 2007 Ref. - 3(7)(i), 3(7)(ii), 3(7)(iii), 3(7)(iv), 3(7)(v), 3(7)(vi), 3(7)(vii), 3(8)(ii)(e)

Listing Rule Ref. - 9.14.1, 9.14.2(1), 9.14.3(1), 9.14.3(2), 9.14.3(3), 9.14.3(4), 9.14.4(1), 9.14.4(2), 9.14.4(3), 9.14.4(4), 9.14.5(1), 9.14.5(2), 9.14.5(3), 9.14.5(4), 9.14.5(5), 9.14.5(6), 9.14.8(3), 9.14.10

Code 2023 Ref. - D.1.8, D.5, D.5.1, D.5.2, D.5.3



- 157 The Board has established the Board Related Party Transactions Review Committee for the purpose of reviewing Related Party Transactions as set out in the relevant regulations. The main aim is to ensure that interest of the stakeholders, including shareholders and depositors as a whole, is taken into account by the Bank when entering into transactions with Related Parties and to provide specific measures to ensure that no favourable treatment is being offered to Related Parties. The Committee requires to go beyond the legal form and technicality to measure the objective, the economic and commercial substance of Related Party Transactions. The BRPTRC operates as per the Board approved TOR which clearly defines its scope, authority, duties and the quorum of meetings. The report of the BRPTRC including its composition and duties is given on pages 207 and 208 of this Annual Report. The Committee has access to professional advice with regard to matters on Related Party Transactions as and when required.
- 158 The Chairman of the BRPTRC is an Independent, NED who is not the chair of the Board and during the year under review the Committee comprised of three (03) Independent, NEDs. The MD and relevant KMPs attend meetings by invitation where necessary. The BRPTRC met four (04) times during the year complying with the requirement set out in the regulations and the minutes of Committee meetings were properly documented and tabled at the Main Board. During the year under review, as a good governance practice, the Related Party Transactions reviewed by the BRPTRC were submitted to the Board on a monthly basis. Additionally, the Committee, taking into consideration the requirements stipulated under Direction 2024, will submit quarterly reports to the Board detailing the Related Parties, their transactions and the economic impact of such transactions.

Corporate Governance

- 159 The Bank identifies "Related Parties" and "Related Party Transactions" as defined by LKAS 24, the Section 3(7)(i) and Section 3(7)(ii) of the Direction 2007, the Section 7.1 and Section 7.2 of the Direction 2024 and Gazette No. 2404/33 issued on 3rd October 2024 by the Government of Sri Lanka. Accordingly, the Bank has implemented the "Procedure on Related Party Transactions" which is reviewed by the Board as and when required in order to identify the Related Parties of the Bank in accordance with the regulations and to avoid any conflict of interest that may arise from the transactions of such Related Parties.
- 160 A mechanism is in place to prevent the Bank from granting favourable treatment to Related Parties. This includes the Board approved "Policy on Managing Conflicts of Interest" supported by an effective and comprehensive framework for identifying, recording and disclosing Related Party Transactions. In addition, procedures have been issued explaining the methodology to be followed to avoid any favourable treatment when granting accommodation to Related Parties. To further strengthen this, Directors and KMPs are required to submit declarations disclosing their transactions with the Bank on a periodic basis. The Bank maintains records made by Related Parties and their transactions in compliance with the respective Related Party disclosure requirements.
- 161 The Bank ensures compliance with the provisions of Section 47 and Section 76K of the Banking Act, with respect to accommodation granted to any of the related parties, except for any accommodation granted to MD or KMPs under a scheme applicable to the employees.
- 162 The "Procedure on Related Party Transactions" prohibits transactions, which would grant Related Parties more favourable treatment than that accorded to other customers including the following:
- granting of "total net accommodation" to Related Parties, exceeding a prescribed percentage of the Bank's regulatory capital;
 - charging of a lower rate of interest than the Bank's best lending rate or paying more than the Bank's deposit rate for a comparable transaction with an unrelated comparable counterparty;
 - providing of preferential treatment, such as favourable terms, covering trade losses and/or waiving fees/commissions, that extend beyond the terms granted in the normal course of business undertaken with Unrelated Parties;
 - providing services to or receiving services from a related party without an evaluation procedure;
 - maintaining reporting lines and information flows that may lead to sharing potentially proprietary, confidential or otherwise sensitive information with Related Parties except as required for the performance of legitimate duties and functions.
- 163 The following Related Party Transactions are covered in the monitoring process whereas the transactions listed under Rule 9.14.10 of the Listing Rules are exempted from the ambit of the Related Party Transactions.
- Granting of accommodation, as defined in the Banking Act Direction on maximum amount of accommodation/large exposures pursuant to Section 47 of the Banking Act No. 30 of 1988 and any amendments thereto.
 - Creation of any liabilities of the Bank in the form of deposits, borrowings and investments.
 - Provision of any services of a financial or non-financial nature provided to the Bank or received from the Bank.
 - Creation or maintenance of reporting lines and information flows between the Bank and any Related Parties which may lead to the sharing of potentially proprietary, confidential or otherwise sensitive information that may give benefits to such Related Parties.
- 164 The relevant principles are followed when granting accommodation to the parties listed under applicable regulations. The "Procedure on Related Party Transactions" also addresses the requirements applicable for the concerned area.
- 165 No favourable treatment/accommodation is provided to employees of the Bank other than those provided under the schemes of staff benefits and as per the Board approved "Policy on Reward Management for Key Management Personnel". Employees of the Bank are informed through operational circulars to refrain from granting favourable treatment to employees or their close relations or to any concern in which an employee or close relation has a substantial interest except as provided in the Bank's Operational Guidelines and Directives.
- 166 The remission of accommodation or any interest due thereon which is subject to CBSL approval has not arisen in the Bank during the year under review and necessary operating instructions have been issued to prevent non-compliance with relevant requirements. Further, the Bank reviewed "Write-off/Write-down Policy of Non-Performing Credit Facilities" and amended the same in line with the regulatory requirements.

- 167 The identified Related Party Transactions under the relevant categories, are reviewed by the BRPTRC prior to proceeding with the same to avoid any conflict of interest. Where necessary, the Board approval is sought for the specific transactions in line with the internal procedure governing Related Party Transactions. In such instances, the approval of the Board of Directors is obtained prior to entering into the relevant transactions. In determining whether to obtain the approval of the Board of Directors for a Related Party Transaction, the BRPTRC takes into account the relevant factors as applicable by the Listing Rule and its own internal procedures.
- 168 The Business Units facilitate the BRPTRC with all the facts and circumstances of the proposed Related Party Transactions and update the Committee with the following information where applicable:
- Related Party's relationship to the Bank and interest in the transaction;
 - material facts of the proposed Related Party Transaction, including the proposed aggregate value of such transaction;
 - benefits of the proposed Related Party Transaction to the Bank;
 - availability of other sources of comparable products or services; and
 - assessment of whether the proposed Related Party Transaction is on terms that are comparable to the terms generally available to an unaffiliated third party under the same or similar circumstances, or to employees generally.
- 169 In the event of any material changes to a previously reviewed Related Party Transaction, such proposed changes are further reviewed by the BRPTRC prior to the completion of the transaction. No Director participates in any discussion or votes on matters concerning a proposed Related Party Transaction in which he/she is a Related Party unless otherwise the particular Director is requested by the Committee to participate in the discussions for the express purpose of providing information concerning the Related Party Transaction to the Committee. The Committee recommends the creation of a Special Committee to review and approve the proposed Related Party Transactions if required. No such instance arose during the year under review.
- 170 In the event of recurrent Related Party Transactions, the Committee has established guidelines for the Management to follow in its ongoing dealings with the Related Parties and reviewed the same as appropriate.
- 171 Related Party Transactions are given on Note 47 to the Financial Statements on pages 363 to 366 and the Net Accommodation granted to Related Parties are given below.

Category of related party transaction	As a % of regulatory capital of the Bank	Amount Rs 000
Directors	0.03	38,919
Close relations of Directors	-	-
Concerns in which the Directors of the Bank have a substantial interest	4.59	6,997,588
Concerns in which close relations of any of the Bank's Directors have a substantial interest	-	-
Officers performing executive functions of the Bank	0.10	149,415
Shareholders owning material interest in the Bank	-	-
Subsidiaries	4.03	6,152,477
Holding company of the Bank	-	-
Directors of subsidiary companies	0.12	182,352
Directors of the holding company of the Bank	-	-
Close relations of officers performing executive functions of the Bank or shareholder having a material interest	0.04	67,217
Concerns, whose director is a director of the Bank	10.39	15,840,720
Concerns in which the Bank's material shareholders have a substantial interest	8.30	12,655,713
Concerns in which a close relation of an individual material shareholder has substantial interest	-	-

Corporate Governance

7.5.1 Major and Material Transactions

Listing Rule Ref. - 9.14.6(1), 9.14.6(2), 9.14.6(3)

Code 2023 Ref. - C.3, C.3.1, C.3.3

GRI 2-15



- 172 The Bank makes relevant disclosures regarding major and material transactions to shareholders in terms of the Companies Act No. 07 of 2007 and regulations issued under the Securities and Exchange Commission of Sri Lanka Act and the Listing Rules of the Colombo Stock Exchange.
- 173 The Bank's "Procedure on Related Party Transactions" dictates the need to obtain relevant shareholder approval along with the mandatory public disclosure of any major Related Party Transaction or a series of such transactions that the Bank is about to engage in, as defined by the regulators. In terms of Section 185 of the Companies Act No. 07 of 2007, any major transaction proposed to be entered into by the Bank requires approval of the shareholders by virtue of a special resolution, with due notice to the public given through Market Announcements. During the year under review, the Bank did not engage in or commit to any "Major Transaction" which were deemed to materially affected the Bank's net asset base, warranting neither such disclosure nor such approval by the shareholders.

8) COMPLIANCE WITH LAWS AND REGULATIONS

GRI 2-27

Direction 2024 Ref. - 1.1(u), 1.11, 9.2(i), 9.2(j)

Direction 2007 Ref. - 3(1)(xvii), 3(8)(ii)(h), 3(8)(ii)(i)

Code 2023 Ref. - A.1.2



- 174 During the year under review, the extent of compliance with policies, laws, regulations and ethical standards applicable to the Bank are disclosed in this Corporate Governance Report on pages 148 to 183 in line with the statutory requirements.
- 175 Regulatory action was initiated on the Bank during March 2024 on the failure of the Bank to comply with the provisions of the Financial Transactions Reporting Act No. 06 of 2006 (FTRA) and Customer Due Diligence (CDD) Rules No. 01 of 2016 and a penalty of Two Million rupees (Rs 2,000,000) was imposed on the Bank. The Bank has already adopted required modifications and reviewed its internal systems and the processes to prevent such lapses in the future.

Further, the Bank is in the process of reviewing its Transaction Monitoring Mechanism/System to implement new controls to enhance the effectiveness of customer relationships/transactions/accounts/alert generation etc. with the involvement of external auditors, Messrs Ernst & Young.

Besides, training programmes were conducted on a continuous basis to educate team members on suspicious transaction patterns, identification and reporting of suspicious transactions, sanction screening, role of a business unit etc.

- 176 The Bank has not been communicated by the Director of Bank Supervision of CBSL on any lapses inviting supervisory concerns in relation to the Bank's Risks Management System or Non-compliance with regulatory directions that are to be disclosed to the general public nor imposed any administrative fines, under the Directions 2007 and 2024, during the year under review.
- 177 Considering the requirements outlined in Direction 2024, the Board ensures that any supervisory concerns raised by regulators are promptly addressed with the assistance of the relevant Board Sub-Committee depending on the respective purview as appropriate.

9) DISCLOSURES

GRI 2-15

Direction 2024 Ref. - 1.9, 9.1, 9.2(d), 9.2(f), 9.2(k), 11

Direction 2007 Ref. - 3(1)(xiv), 3(8)(ii)(d), 3(8)(ii)(f), 3(9)

Listing Rule Ref. - 9.1.3, 9.10.2, 9.10.3, 9.10.5, 9.14.7, 9.14.8(1), 9.14.8(2), 9.14.8(4), 9.14.9, 9.16, 9.17

Code 2023 Ref. - D.1.6, D.1.7, D.6.2, D.7, D.7.1



- 178 To promote transparency and market discipline, the Board ensures to provide timely public disclosures in line with regulatory standards, reflecting the Bank's operational complexity and scale. Further, the Bank's Annual Audited Financial Statements and Quarterly Financial Statements are prepared and published in line with the formats set by supervisory and regulatory authorities.
- 179 Disclosure of Related Party Transactions as per Section 9.14.7 and 9.14.8 (1) and (2) of the Listing Rules are given on page 439 under the Investor Information.
- 180 The affirmative statement by the Board of Directors regarding compliance with rules applicable for Related Party Transactions is given on page 261 of the Annual Report under the Annual Report of the Board of Directors on the Affairs of the Company.

- 181 No acquisition or disposal of Substantial Assets from/to Related Parties took place during the year under review. The Corporate Governance Report given on pages 148 to 183 provides information regarding Corporate Governance Practices in the Bank which are in compliance with:
- the Banking Act Direction No 05 of 2024 on Corporate Governance for Licensed Banks issued by the CBSL;
 - the Banking Act Direction No 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the CBSL;
 - requirements of Rule 9 of Listing Rules of the CSE;
 - the Code of Best Practice on Corporate Governance 2023 issued by the ICASL.
- 182 The Management Discussion and Analysis is given on pages 56 to 146 and covers the information specified in the Code 2023 which includes the following:
- business model;
 - industry structure and developments;
 - opportunities and threats;
 - risk management;
 - internal control systems and their adequacy;
 - corporate governance;
 - stakeholder relationships;
 - social and environmental governance activities carried out by the Bank;
 - financial performance;
 - investment in physical and intellectual capital;
 - human resource management activities carried out by the Bank; and outlook for the future.
- 183 The Bank's capital did not fall below 50% of the value of Shareholders' Funds during the year under review. However, when such an event occurs, the Bank would have duly notified the shareholders in line with applicable laws.
- 184 A process is in place to ensure prompt disclosure of price sensitive and material information to the public. As per the Board approved "Policy on Communication", the responsibility of making market announcements of price sensitive information lies with the Company Secretary.
- 185 The Bank is solvent and no situations have arisen to challenge its solvency. If such a situation arises, the Bank will duly inform the Director of Bank Supervision of the CBSL as per the regulatory requirements. As per the Bank's "Policy on Internal Code of Business Conduct and Ethics for Directors", the Board is responsible for informing the Director of Bank Supervision of the CBSL and making necessary public and other disclosures upon the occurrence of such an event.
- 186 Upon any changes to the composition of the Board of Directors, the Bank makes immediate Market Disclosures as per the relevant regulatory requirements. Accordingly, the Bank made an immediate Market Announcement on 2nd April 2024 regarding the appointment of Mr Keith Modder in terms of the rule 9.10.2 of the Listing Rules. Further, the Bank also made immediate Market Announcements on 2nd January 2024 and 29th May 2024 regarding the resignations of Dr Sanjiva Weerawarana and Mr Prabhash Subasinghe respectively. Additionally, necessary disclosures were made regarding the changes to the composition of Board Committees during the year under review in terms of Section 9.10.3 of the Listing Rules.
- 187 The declarations by the Board of Directors as required by Rule 9.16 of the Listing Rules are given in:
- Directors' Interests in Contracts with the Bank on pages 262 and 263;
 - Directors' Statement on Internal Control Over Financial Reporting on pages 264 and 265;
 - Chairman's Message on Corporate Governance on page 148;
 - Corporate Governance Report – "Compliance with Laws and Regulations" section given on page 180.
- 188 The Bank is aware of the enforcement procedure for non-compliance with the Corporate Governance requirements articulated in the Listing Rules.

Corporate Governance

GRI 2-19

- 189 Details of Directors including EDs are given on pages 186 to 189 and the Directors' interests in contracts with the Bank including the remuneration paid to and transactions with Directors are given below.

Category	Amount Rs 000
Loans & advances	13,627
Credit cards	4,994
Deposits	375,005
Debentures	300,000
Aggregate value of remuneration/fee paid by the Bank	
Directors' fees & expenses	120,435
Short term benefits paid to Executive Directors including the MD	149,470
Post employment benefits	
Statutory	10,922
Non-statutory	75,815
Interest income	10,729
Interest expense	105,891
Cash dividend paid	4,240
Number of shares held as at 31st December 2024	684,647

In 2024, the Bank paid Rs 10 Mn as an ex-gratia payment to the former Managing Director Mr Nanda Fernando, who completed his term of office on 30th June 2023. In addition to the above, the Bank sold a motor vehicle to the former Managing Director, at a price of Rs 1.37 Mn, which is 50% of the Net Book Value of such vehicle as of 30th June 2023. Both these transactions were approved by the shareholders at the Annual General Meeting held on 28th March 2024.

- 190 Aggregate values of remuneration paid to and transactions with KMPs excluding Executive Directors are given below.

Nature of transaction	Amount Rs 000
Loans & advance	138,037
Credit cards	33,968
Deposits	212,600
Debentures	26,560
Short term employment benefits	825,921
Post-employment benefits	
Statutory	51,617
Non-statutory	99,701
Interest income	13,085
Interest expense	25,804
Cash dividend paid	5,650
Number of shares held as at 31st December 2024	968,861

Remuneration paid to and transactions with the Executive Directors are included in Section 189 above.

- 191 The Bank has complied with the Corporate Governance requirements as set out in Section 9 of the Listing Rules. Accordingly, the necessary disclosures and the level of compliance with the said set of rules are given on pages 148 to 183 of this Annual report.
- 192 The Disclosures relating to Section 7 of the Listing Rules are given under Supplementary Information of this Annual Report on pages 443 and 444.
- 193 During the year under review, the Bank adhered to the transitional provisions of Direction 2007. Further, effective from 01st January 2025, the Bank complies with Section 11 of the Direction 2024, where applicable.

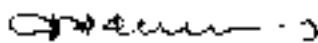
10) WAY FORWARD

- 194 Sampath Bank, under the guidance of its Board of Directors, continues to endorse good governance practices and the implementation of strong Corporate Governance principles founded on capable and ethical leadership. To ensure the Bank's long-term sustainability, it will meet regulatory Governance requirements and implement best practices in Governance. As a responsible corporate citizen, the Bank is committed to focusing on recent developments in Corporate Governance. In this regard, the Bank is aware of the recently introduced Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks issued by the CBSL, effective from 1st January 2025. Sampath Bank is proud to announce the availability of a robust and well-founded Corporate Governance Framework that allows the Bank to comply with the majority of new requirements ahead of the mandatory timelines. To further enhance Corporate Governance standards within the prescribed timeframe, the Bank is actively working to implement the following directions and guidelines mandated by the aforementioned CBSL regulation.

Direction 2024 Reference	Area	Effective Date
5.2 a)	The Chairperson shall be an Independent, Non-Executive Director. In the event the Chairperson becomes Non-Independent after the initial appointment, as an interim arrangement, the Board shall designate an Independent Director as the Senior Director for a period not exceeding six months with suitably documented terms of reference.	31st December 2027
6.2 a)	The Chairperson of the BAC shall be an Independent Director and is not the chair of the Board or any other Board committee.	1st January 2027
6.3 i)	To establish a policy on claw-back arrangements for performance-based payments made to CEO and KMPs of the Bank and to incorporate claw-back into the employment contracts of CEO and KMPs and a similar arrangement shall be implemented for the existing CEO and KMPs.	1st January 2026
6.5 a)	BIRMC shall be chaired by an Independent Director who is not the chair of the Board or any other Board committee.	1st January 2027



HARSHA AMARASEKERA
Chairman



AYODHYA IDDAWELA PERERA
Managing Director

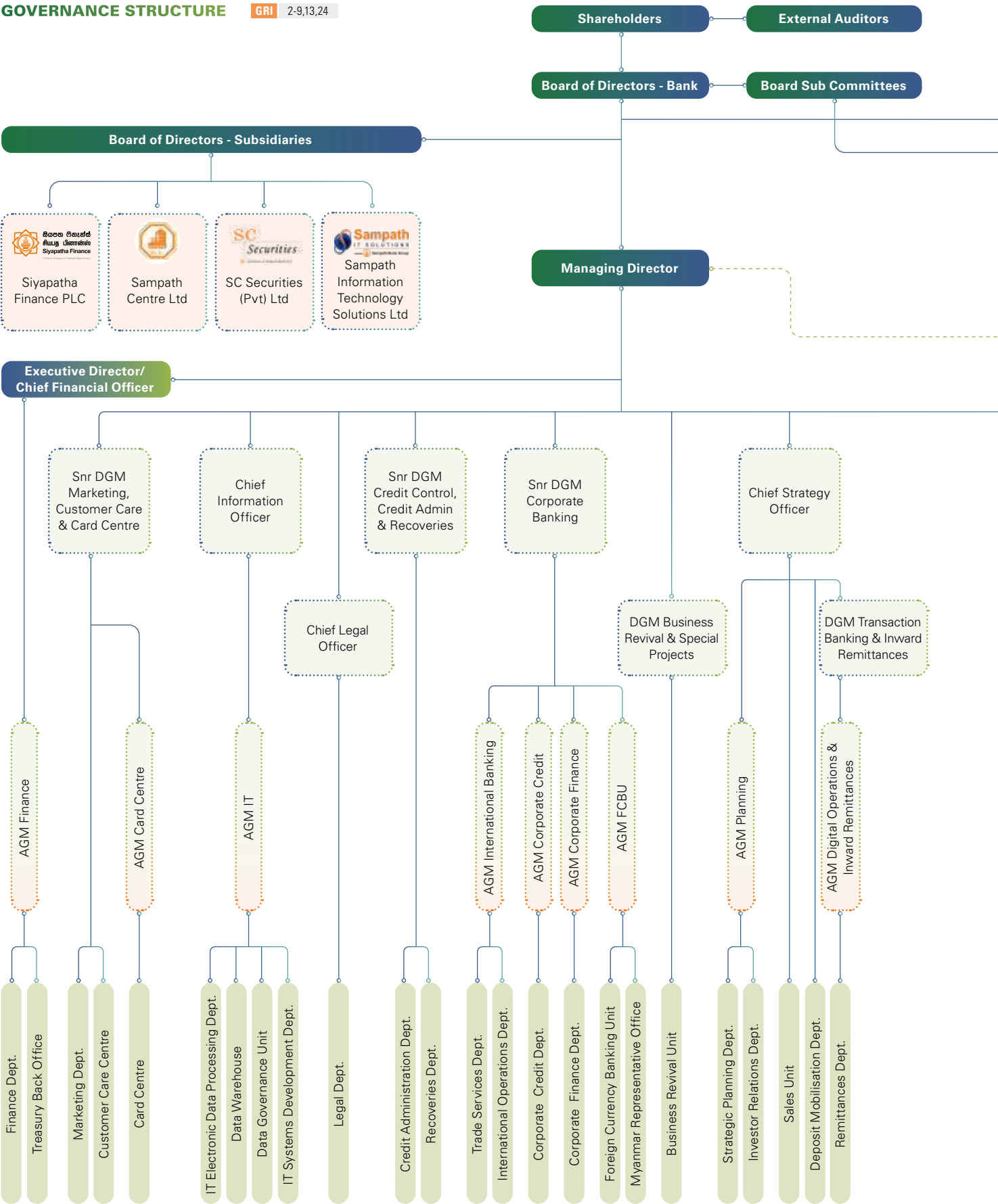


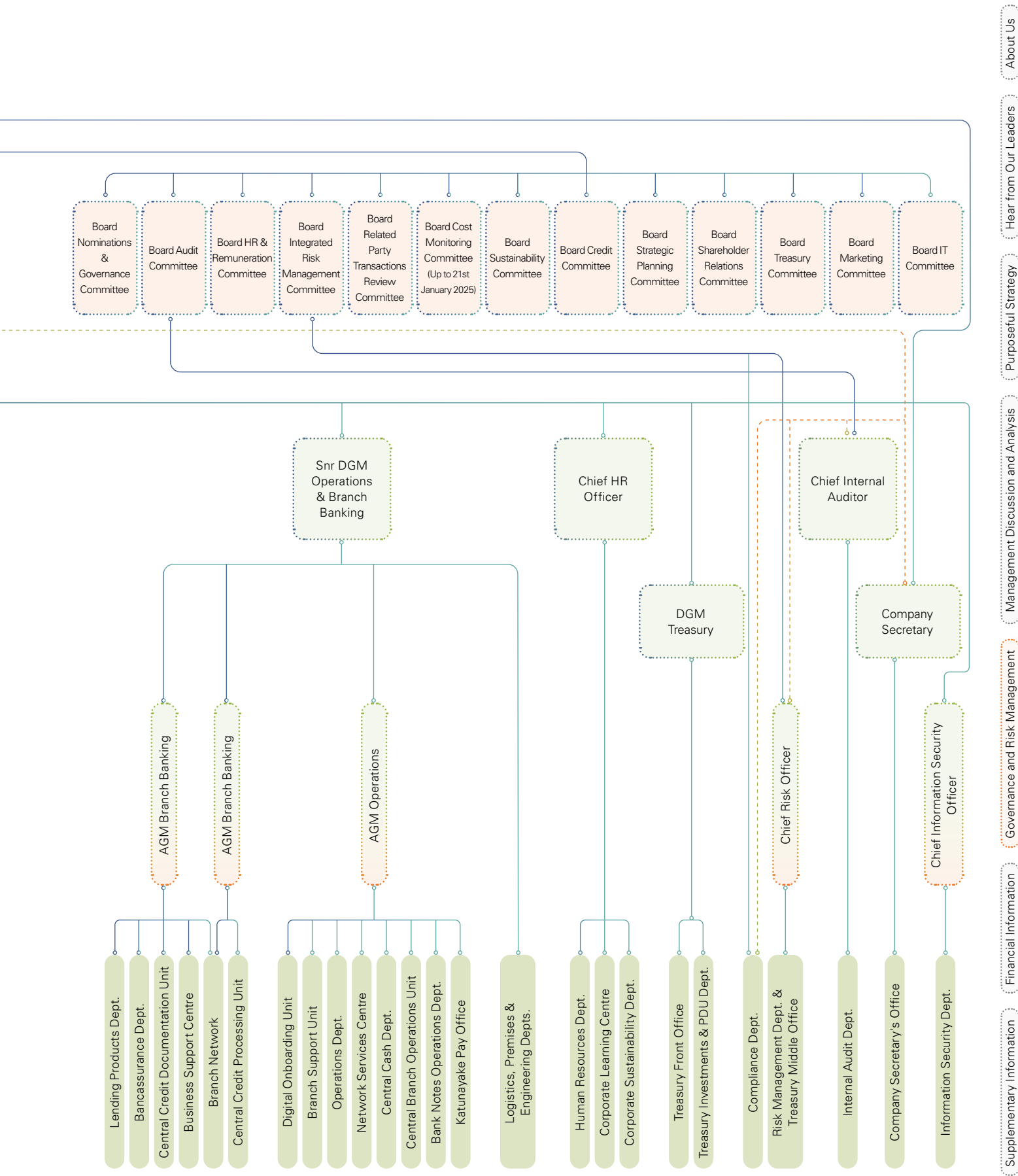
LASANTHA SENARATNE
Company Secretary

17th February 2025
Colombo, Sri Lanka

Corporate Governance

GOVERNANCE STRUCTURE GRI 2-9,13,24





Board of Directors

GRI 2-9,11,18



Harsha Amarasekera, President's Counsel
Chairman

BNGC BCMC BSPP BSRC BMC

Appointed as Non-Independent, Non-Executive Director on 18th August 2020

Chairman of the Board of Directors with effect from 30th August 2020

Expertise

Law

Qualifications

- Attorney-at-Law of the Supreme Court of Sri Lanka
- President's Counsel

Current Appointments

Non-Independent, Non-Executive Chairman

Sampath Bank PLC

Independent, Non-Executive Chairman

CIC Holdings PLC
Swisstek (Ceylon) PLC
Swisstek Aluminium Limited
CIC Agri Businesses (Pvt) Ltd
Vallibel Power Erathna PLC

Independent, Non-Executive Co-Chairman

Vallibel One PLC
Royal Ceramics Lanka PLC

Non-Executive Chairman

Sampath Centre Limited

Chairman

Colombo Port City Economic Commission

Independent, Non-Executive Director

Expolanka Holdings Ltd

Non-Executive Director

Galle Face Management Company (Pvt) Ltd
Link Natural Products (Pvt) Ltd
Millennium Airlines (Pvt) Ltd
Millennium Investments Lanka (Pvt) Ltd
Ceylon Hotels Holdings (Pvt) Ltd
Silver Aisle (Pvt) Ltd
EFL Global Logistics (Pte) Ltd

BNGC Board Nominations and Governance Committee

BAC Board Audit Committee

BHRC Board HR & Remuneration Committee



Ayodhya Iddawela Perera
Managing Director

BSC BCC BSPP BSRC BTC BMC BITC

Appointed as the Managing Director with effect from 1st July 2023

Expertise

Banking, Business Administration

Qualifications

- Masters of Business Administration (MBA) from the University of Sri Jayewardenepura
- Senior Fellow Member of the Institute of Bankers of Sri Lanka
- Advanced Diploma in Management Accounting, Chartered Institute of Management Accountants, United Kingdom

Current Appointments

Managing Director

Sampath Bank PLC

Non-Executive Director

Sampath Centre Limited

Director

Lanka Financial Services Bureau Ltd
National Credit Guarantee Institution
Institute of Bankers of Sri Lanka
Sri Lanka Banks' Association (SLBA)
LankaPay (Pvt) Ltd

BIRMC Board Integrated Risk Management Committee

BRPTRC Board Related Party Transactions Review Committee

BCMC Board Cost Monitoring Committee
(Discontinued w.e.f 21st January 2025)



Rushanka Silva
Deputy Chairman

BNGC BIRMC BCC BSPP BSRC BMC BITC

Appointed as Non-Independent, Non-Executive Director on 1st September 2017

Deputy Chairman of the Board of Directors with effect from 24th September 2020

Expertise

Finance and Management Accounting, Marketing, Business Communication, Managerial Economics, Financial Analysis

Qualifications

- Masters of Business Administration (MBA) from the University of Western Sydney, Australia
- Associate Member of the Chartered Institute of Management Accountants, UK (ACMA)
- Alumnus of Harvard Business School, USA

Current Appointments

Chairman

Braybrooke Residential Properties (Pvt) Ltd
Braybrooke Residential Towers (Pvt) Ltd
Indra Hotels and Resorts Kandy (Pvt) Ltd

Non-Executive Chairman

Sampath Information Technology Solutions Ltd

Deputy Chairman

Sampath Bank PLC
Siyapatha Finance PLC

Managing Director

Indra Traders (Pvt) Ltd

Executive Director

Suntech Solutions (Private) Ltd
Mirigama Solar (Pvt) Ltd

Director

Indra Motor Spares (Pvt) Ltd
Indra Property Development (Pvt) Ltd
Indra Service Park (Pvt) Ltd

BSC Board Sustainability Committee

BCC Board Credit Committee

BSPP Board Strategic Planning Committee

BSRC Board Shareholder Relations Committee



Dilip de S Wijeyeratne

Senior Independent Director

BNGC BAC BHRRC BRPTRC BSC BSPC BTC

Appointed as Non-Independent, Non-Executive Director on 13th November 2018

Independent Director with effect from 8th August 2019

Senior Independent Director with effect from 6th May 2022

Expertise

Banking, Finance, Risk Management & Compliance, Investment Banking & Treasury

Qualifications

- Graduate Member of Australian Institute of Company Directors (AICD)
- Associate Member of the Institute of Chartered Accountants of Sri Lanka (ACA)
- Fellow Member of the Chartered Institute of Management Accountants, UK (FCMA)

Current Appointments

Senior Independent Director

Sampath Bank PLC
Singer (Sri Lanka) PLC

Independent, Non-Executive Director

Hayleys Fibre PLC
Janashakthi Insurance PLC



Aroshi Nanayakkara

Independent, Non-Executive Director

BNGC BHRRC BIRMC BSPC BTC BMC BITC

Appointed as Non-Independent, Non-Executive Director on 30th May 2019

Independent Director with effect from 27th June 2019

Expertise

Human Capital and Engagement, Corporate Strategy, Banking and Finance

Qualifications

- BSc. in Management from the Massachusetts Institute of Technology, USA
- MSc. in Management from the London School of Economics, UK
- ACMA and CGMA qualifications from the Chartered Institute of Management Accountants, UK

Current Appointments

Independent, Non-Executive Director

Sampath Bank PLC
Asian Hotels & Properties PLC

Chief Executive Officer

Global Consulting Company

Chairperson

Sri Lanka Institute of Directors
Women Corporate Directors Sri Lanka Chapter

Managing Director

Rubik International (Pvt) Ltd



Vajira Kulatilaka

Independent, Non-Executive Director

BHRRC BRPTRC BCMC BCC BSPC BTC BITC

Appointed as Independent, Non-Executive Director with effect from 25th June 2020

Expertise

Engineering, Banking and Finance, Investment Banking and Treasury

Qualifications

- BSc. in Civil Engineering (First Class Honours), University of Moratuwa
- MEng. in Industrial Engineering and Management from Asian Institute of Technology, Thailand
- Chartered Financial Analyst (CFA) from the Institute of Chartered Financial Analysts, USA
- Fellow Member of the Chartered Institute of Management Accountants, UK (FCMA)

Current Appointments

Independent, Non-Executive Director

Sampath Bank PLC
Printcare PLC
Hemas Hospitals (Pvt) Ltd
LTL Holdings Ltd
Access Engineering PLC

Non-Executive Director

Printcare Digital Solutions (Pvt) Ltd

As stewards of long-term value, we are committed to robust governance, disciplined risk management and adaptive strategies to navigate an ever-evolving operating landscape driving sustainable value creation for all stakeholders.

BTC Board Treasury Committee
BMC Board Marketing Committee
BITC Board IT Committee

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Board of Directors



Keshini Jayawardena

Independent, Non-Executive Director

BNGC BAC BHRC BCMC BSC BCC BSPC

Appointed as Independent, Non-Executive Director with effect from 1st October 2020

Expertise

Banking, Law, Leadership Development

Qualifications

- BSc. (Econ) in International Relations from the London School of Economics and Political Science, UK
- Solicitor of the Supreme Court of England and Wales from the College of Law, UK

Current Appointments

Independent, Non-Executive Director

Sampath Bank PLC

Associate Consultant

Bridge Partnership, UK
Enolla Consulting, UK



Vinod Hirdaramani

Independent, Non-Executive Director

BNGC BHRC BCMC BCC BSPC BTC BMC

Appointed as Independent, Non-Executive Director with effect from 16th February 2021

Expertise

Business Management

Qualifications

- BA degree from the Northwestern University, USA
- Alumnus of Harvard Business School, USA

Current Appointments

Independent, Non-Executive Director

Sampath Bank PLC

Executive Director

Hirdaramani Leisure Holdings (Private) Limited
Hirdaramani Apparel Holdings (Private) Limited
Hirdaramani Investment Holdings (Private) Limited
Hirdaramani International Exports (Private) Limited
Hirdaramani (Private) Limited
Hirdaramani Power (Private) Limited
Hirdaramani Mercury Apparel (Private) Limited
HI Fashions Holdings (Private) Limited
C K T Apparel (Private) Limited
Ceylon Knit Trend (Private) Limited
Long Island Clothing Company (Private) Limited
The Island Watch Company (Private) Limited
Rosewood (Private) Limited
Zenith Insurance Brokers (Private) Limited
Hirdaramani Partners (Private) Limited
Mandalay (Private) Limited
Vinik (Private) Limited

Non-Independent, Non-Executive Director

Windforce PLC



Hiran Cabraal

Independent, Non-Executive Director

BIRMC BRPTRC BSC BSPC BSRC BTC BTIC

Appointed as Independent, Non-Executive Director with effect from 30th June 2022

Expertise

Risk Management, Financial Crime Compliance, Investment Banking and Treasury

Qualifications

- BSc. in Economics (Agricultural and Resource Economics) from the University of Maryland at College Park, USA

Current Appointments

Independent, Non-Executive Director

Sampath Bank PLC
The Lighthouse Hotel PLC
Jetwing Symphony PLC

Managing Director

HSVC (Vietnam) Company Limited

Chairman

Affno Virtual Market Pte. Ltd. (Singapore)
Affno Virtual Market Pte. Ltd. (Sri Lanka)



Keith Modder

Independent, Non-Executive Director

BAC BHRRC BIRMC BSC BSPC BMC BITC

Appointed as Independent, Non-Executive Director with effect from 2nd April 2024

Expertise

Information Technology

Qualifications

- Diploma in Business Management from the National Institute of Business Management (NIBM)

Current Appointments

Independent, Non-Executive Director

Sampath Bank PLC

Executive Director

Keystone (Pvt) Ltd

Lariam (Pvt) Ltd

Non-Executive Director

Digital Mobility Solutions Lanka PLC



Ajantha de Vas Gunasekara

Executive Director/Chief Financial Officer

BSPC

Appointed as Executive Director with effect from 29th October 2020

Expertise

Banking, Finance and Insurance

Qualifications

- Fellow Member of the Institute of Chartered Accountants of Sri Lanka (FCA)
- Associate Member of the Association of Chartered Certified Accountants of UK (ACCA)
- Fellow Member of the Certified Management Accountants of Sri Lanka (FCMA)

Current Appointments

Executive Director/Chief Financial Officer

Sampath Bank PLC

Non-Executive Director

Sampath Centre Limited

Director

LankaBangla Finance PLC

LankaBangla Securities PLC



Lasantha Senaratne

Company Secretary

Appointed as the Company Secretary with effect from 1st February 2019

Expertise

Banking, Law, Compliance

Qualifications

- PhD in Corporate Governance in the Financial Sector (University of Colombo, Faculty of Law)
- Attorney-at-Law of the Supreme Court of Sri Lanka
- Senior Fellow Member of the Institute of Bankers of Sri Lanka
- Degree of Bachelor of Laws (LL.B) from the University of Colombo
- Master of Laws (LL.M) from the University of Colombo
- Masters of Business Administration (MBA) from the University of Colombo
- International Diploma in Governance, Risk and Compliance (GRC) from the University of Manchester, UK
- Associate Member of the Institute of Chartered Corporate Secretaries of Sri Lanka



Muditha Walpola

Assistant Company Secretary

Appointed as the Assistant Company Secretary with effect from 1st February 2019

Expertise

Banking, Law

Qualifications

- Attorney-at-Law of the Supreme Court of Sri Lanka
- Advanced Post Attorney Diploma in Banking, Finance and Insurance Laws from the Incorporated Council of Legal Education

Corporate Management



Ayodhya Iddawela Perera
Managing Director



Ajantha de Vas Gunasekara
Executive Director/Chief Financial Officer



Tharaka Ranwala
Senior Deputy General Manager - Marketing,
Customer Care & Card Centre



Ajith Salgado
Chief Information Officer



Manoj Akmeemana
Senior Deputy General Manager - Credit
Control, Credit Administration & Recoveries



Amal Kirihene
Senior Deputy General Manager - Corporate
Banking



Sanjaya Gunawardena
Chief Strategy Officer



Deepal De Silva
Senior Deputy General Manager - Operations
& Branch Banking



Lalith Weragoda
Chief Human Resource Officer



Charitha Jayawickrama

Chief Internal Auditor



Rajendra Ranasinghe

Deputy General Manager - Transaction
Banking & Inward Remittances



Prassantha De Silva

Deputy General Manager - Treasury



Dulsiri Jayasinghe

Deputy General Manager - Business Revival
& Special Projects



Lasantha Senaratne

Company Secretary



Theja Silva

Chief Legal Officer

Resilience, innovation, and customer-centric banking remain at the core of our strategy. We continue to drive initiatives that foster relationships, build trust and uphold our commitment to environmental responsibility, empowering individuals and businesses to thrive in an ever-evolving operating landscape.

Corporate Management



Ananda Wijitha

Assistant General Manager -
Chief Information Security Officer



Pasan Manukith

Assistant General Manager -
Information Technology



Shiran Kossinna

Assistant General Manager -
Card Centre



Kusal De Silva

Assistant General Manager -
Corporate Finance



Chatura Rudesh

Assistant General Manager -
FCBU



Janaka Jayasuriya

Assistant General Manager -
Branch Banking



Kumari Jayasuriya

Assistant General Manager -
Corporate Credit



Halin Hettigoda

Assistant General Manager -
International Banking



Udara Suraweera

Assistant General Manager -
Digital Operations & Inward
Remittances



Kasun Rathnayake

Chief Risk Officer



Darshin Pathinayake

Assistant General Manager -
Operations



Asanka Liyanage

Assistant General Manager -
Branch Banking



Sachithri Fernando

Assistant General Manager -
Planning



Gayani Jinadasa

Assistant General Manager -
Finance

**Technology is reshaping the future
of banking, and we are driving
strategies to expand its reach by
making digital solutions accessible
to all, fostering financial inclusion
and empowering communities.**

Chief Managers



Nalaka Gunawardena
Chief Manager -
Internal Audit



Aloka Ekanayake
Chief Manager - Corporate
Credit



Champika Nanayakkara
Chief Manager - Business
Revival Unit



Kasun Fernando
Chief Manager - Branch
Banking



Thushantha Sumithraarachchi
Chief Manager - Systems &
Procedures



Janaka Karunaratne
Chief Manager -
Operations



Keshan Dabare
Chief Manager - Branch
Banking



Manoji Hettigoda
Chief Manager - Corporate
Credit



Manjula Abeysundera
Head of Administration



Asantha Punchihewa
Chief Manager - Branch
Banking



Rohana Aluthgedara
Head of Recoveries



Pupitha Rajapaksa
Chief Manager - Inward
Remittances



Namal Gunawardena
Chief Manager - Corporate
Credit



Chryshanthy Lokuhetty
Head of Human Resources



Amila Thewarapperuma
Chief Manager - Operations



Chaminda Jayasinghe
Head of Data Governance
Unit



Vipula Kuruppuarachchi
Chief Manager - Corporate
Credit



Kithsiri Dodamgoda
Chief Manager - Branch
Banking



Janaka Mohotty
Chief Manager - Business
Support Centre



Sudharshana Jayasekera
Chief Compliance Officer



Nalin Tilakaratne
Chief Manager - Branch
Banking



Sajani Abeysekera
Chief Manager - Corporate
Finance



Anton David
Chief Manager - Branch
Banking



Nuwan Wickramanayake
Chief Manager - Information
Technology EDP



Priyanka De Silva
Chief Manager - Corporate
Credit

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Chief Managers



N Jeyaseelan

Chief Manager - Recoveries



Namal Wegiriya

Chief Manager - Risk Management Unit



Rajindra Tillekeratne

Chief Dealer - Trading



Tharindu Abeywardana

Chief Economist/Head of Research



Mewan Gunawardena

Chief Dealer - ALM



Prasanna De Silva

Chief Security Consultant



Sapumal Jayatissa

Chief Manager - IT Systems



Sudath Illeperuma

Chief Manager - Credit Administration



Salinda Jayawardena

Chief Manager - FCBU



Jayasanka Kotuwella

Chief Manager - Credit Risk



Ravindra Gunawardane

Chief Manager - Branch Banking



Colin Kahatapitiya

Chief Manager - Information Technology



Janani Thewarapperuma

Chief Manager - Corporate Office



Charith Kumarasiri

Chief Manager - Finance



T Gobinath

Head of Transaction Banking



Shyanika Hewage

Head of Private Banking

We are committed to understanding the evolving needs of our communities and making banking accessible to all Sri Lankans through digital solutions, innovative products and a strong focus on financial inclusion, creating lasting value for all our stakeholders.



Scan this QR code to view our entire leadership team including Senior Managers

Report by the Senior Independent Director



Serving as the Senior Independent Director has been a privilege, as it has allowed me to ensure that all decisions and actions taken by the Board of Directors remain independent, a responsibility I believe is crucial for maintaining the integrity and transparency of our governance processes.



Dear Stakeholders

As the Senior Independent Director for Sampath Bank PLC, I take an active role in deliberating matters set before the Board and have been guided in discharging my additional duties by the Terms of Reference approved by the Board. Accordingly, I have encouraged active participation by Non-Executive Directors and have been available for confidential discussions with other Directors who may need to raise concerns. I confirm that I have carried out the following duties in accordance with Section 9.6.3 of the CSE Listing Rules as summarised below:

- Chairing a meeting of the Independent Directors without the presence of the other Directors on 19th March 2024 to discuss matters and concerns relating to the Bank and the operation of the Board. The matters raised and recommendations from the meeting were communicated to the Chairman and other Board Members and action points agreed to address the same.
- Chairing two (02) meetings of the Non-Executive Directors without the presence of the Chairman on 26th July 2024 and 30th November 2024 to appraise the Chairman's performance.
- I work closely with the Chairman in evaluating and managing the succession process for the appointment of the Managing Director, while also working closely with the Board Nominations and Governance Committee.
- Leading the annual review of Board effectiveness and ensuring that the performance of individual directors is kept under review.

To provide guidance to the Chairman, I conducted two (02) meetings with the Non-Executive Directors on 26th July 2024 and 30th November 2024 and a meeting with the Executive Directors on 13th November 2024, facilitating discussions and communication of governance-related matters in line with Principle A.5.7 of the Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka.

I also confirm that I have a casting vote at the meetings with the Independent Directors and the Non-Executive Directors although the occasion to use it has not arisen during the year.

DILIP DE S WIJEYERATNE

Senior Independent Director

17th February 2025

Colombo, Sri Lanka

Board Nominations and Governance Committee Report

GRI 2-10,24



The Committee identified and recommended candidates to the Board, ensuring that the Board has the right mix of skills, diversity and independence to guide the Bank while maintaining high standards of governance, regulatory compliance and strategic oversight.



Dilip de S Wijeyeratne
Chairman

Diversity of Expertise

No. of Directors



* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

- Managing Director

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

REGULATIONS/RULES RELEVANT TO THE FUNCTIONS OF THE COMMITTEE

The role, functions and the composition of the Board Nominations and Governance Committee (BNGC) are defined by the provisions of the:

- Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka (Direction 2007);
- Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka (Direction 2024);
- Section 9.11 of Listing Rules of the Colombo Stock Exchange (CSE Rules);
- Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka (Code 2023).

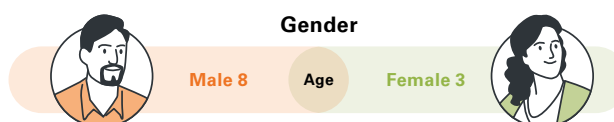
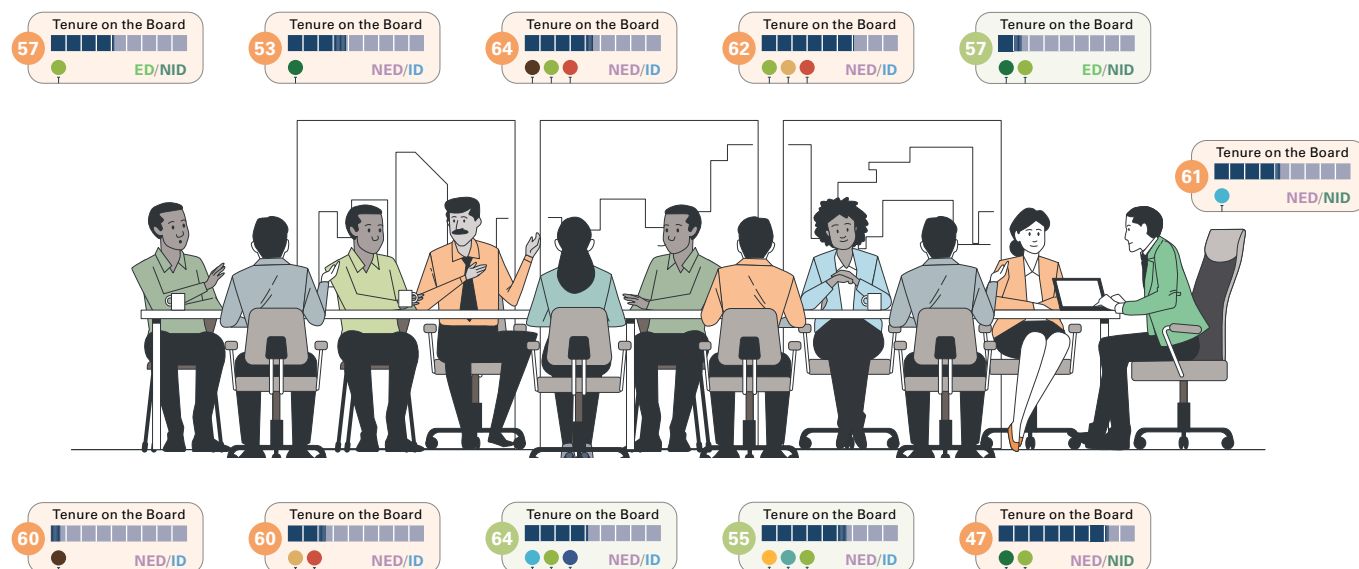
COMMITTEE MEMBERSHIP DURING THE YEAR 2024

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)	Date of Appointment to the Committee
Mr Dilip de S Wijeyeratne	Independent/ Non-Executive	Chairman	9/9	25th February 2021
Mr Rushanka Silva	Non-Independent/ Non-Executive	Member	9/9	1st May 2020
Mr Harsha Amarasekera	Non-Independent/ Non-Executive	Member	9/9	24th September 2020
Mrs Keshini Jayawardena	Independent/ Non-Executive	Member	9/9	27th January 2021
Mr Vinod Hirdaramani	Independent/ Non-Executive	Member	7/9	6th May 2022
Ms Aroshi Nanayakkara	Independent/ Non-Executive	Member	9/9	1st August 2022

Refer pages 186 to 189 for the profiles of the committee members.

KEY ACTIVITIES IN 2024

- The Board Nominations and Governance Committee expanded its responsibilities to strengthen the Governance of the Bank in line with the implementations of corporate governance regulations issued by the Colombo Stock Exchange in 2023 and the Code 2023. The Committee also reviewed the Direction on Corporate Governance issued by CBSL in 2024 and has put in place a road map to ensure compliance by the due dates.
- The Committee recommended the appointment of Mr Keith Modder to the Board in line with the procedure in place to enable the orderly succession to the Board as set out under the "Policy on Nominations and Re-election of Directors". Accordingly, Mr Keith Modder was appointed to the Board effective from 2nd April 2024, upon the recommendation of the BNGC. His profile is set out on page 189 of the Annual Report and his inclusion has enhanced the IT skills and expertise of the Board.
- The BNGC identified Board diversity to be an essential factor for effective Board performance and ensured the diversification under expertise, age and gender during the year under review.

**Expertise**

- Business Management & Administration
- Banking/Finance/Insurance
- Law
- Leadership Development/Innovation & Excellence
- Corporate Strategy

- Engineering/Information Technology
- Human Capital & Engagement
- Risk/Compliance/Financial Crime Compliance
- Investment Banking & Treasury
- Entrepreneurship

Directorship Status

- ED Executive Director
- NED Non-Executive Director
- ID Independent Director
- NID Non-Independent Director

Tenure on the Board

- 1 Month
- 1 Year

The following Directors were re-elected at the 38th Annual General Meeting in terms of provision stipulated in the Articles of Association of Sampath Bank and other applicable regulatory requirements.

Name of the Director	Board Sub-Committee Memberships*	Date of First Appointment as a Director	Date of Last Re-election as a Director	Directorships in Other Listed Entities	Material Relationships
Ms Aroshi Nanayakkara	Chairperson BIRMC, BMC	30th May 2019	28th March 2024	Commitments over the preceding three years Non-Executive Director of Hela Apparel Holdings PLC and Asian Hotels & Properties PLC Present commitments Details are given in profiles of Board of Directors on page 187.	None
	Member BNGC, BHRRC, BCMC, BSPC, BTC, BITC				
Mr Rushanka Silva	Chairman BSRC	1st September 2017	28th March 2024	Commitments over the preceding three years Not Applicable Present commitments Details are given in profiles of Board of Directors on page 186.	None
	Member BNGC, BIRMC, BCC, BSPC, BMC, BITC				
Mr Dilip de S Wijeyeratne	Chairman BNGC, BAC	13th November 2018	28th March 2024	Commitments over the preceding three years Non-Executive Director of Singer (Sri Lanka) PLC, Regnis (Lanka) PLC**, Singer Industries (Ceylon) PLC**, Hayleys Fibre PLC Present commitments Details are given in profiles of Board of Directors on page 187.	None
	Member BHRRC, BRPTRC, BSC, BSPC, BTC				

*Based on the Sub Committee membership as at 31st December 2024

**Amalgamated with Singer (Sri Lanka) PLC w.e.f 31st January 2024

BNGC – Board Nominations and Governance Committee
BAC – Board Audit Committee
BHRRC – Board Human Resources and Remuneration Committee
BIRMC – Board Integrated Risk Management Committee
BRPTRC – Board Related Party Transactions Review Committee

BCMC – Board Cost Monitoring Committee
(Discontinued w.e.f 21st January 2025)
BSC – Board Sustainability Committee
BCC – Board Credit Committee
BSPC – Board Strategic Planning Committee

BSRC – Board Shareholder Relations Committee
BTC – Board Treasury Committee
BMC – Board Marketing Committee
BITC – Board IT Committee

Board Nominations and Governance Committee Report

KEY RESPONSIBILITIES OF THE COMMITTEE

- Implement a procedure to select/appoint new Directors, CEO/MD and Key Management Personnel (KMPs).
- Consider and recommend the re-election of current Directors, taking into account the performance and contribution made by the Director concerned towards the overall discharge of the Board's responsibilities.
- To ensure that an updated procedure is in place for the selection, appointment and re-election of Directors to the Board with due consideration to their fitness and propriety and ensuring their qualifications, competencies and independency are in line with the statutory provisions.
- Set the eligibility criteria including qualifications, experience and key attributes required to be considered for appointment or promotion for the positions of MD and KMPs.
- Ensuring that Directors, MD and KMPs are fit and proper persons to hold office as per the criteria specified under Statutory and Regulatory requirements.
- Consider and recommend the requirements of additional expertise and the succession arrangements for retiring Directors and KMPs from time to time.
- Review the Terms of Reference of the Committee periodically, to ensure that it reflects industry best practices at all times.

DISCLOSURES BY THE COMMITTEE

- The Board of Directors performs an annual self-evaluation of its own individual performance as well as an assessment of the overall performance of the Board as a whole.
- The Senior Independent Director conducted a separate meeting with the Independent Directors enabling them to inform the major issues relating to the Bank in terms of the CSE Listing Rules during the year under review. In addition, Independent Directors are free to express their views on the issues relating to the Bank at Board meetings.
- Induction programmes are conducted for newly appointed Directors on Corporate Governance, Listing Rules, Securities Market Regulations and other applicable laws and regulations along with the familiarisation on the key focus areas of the Bank.
- The Board of Directors are periodically apprised on Corporate Governance, Listing Rules, Securities Market Regulations and other applicable laws and regulations as appropriate.

DECLARATIONS BY THE COMMITTEE

- The Bank maintains a suitable process for the periodic evaluation of the performance of the Board of Directors and the MD to ensure that their responsibilities are satisfactorily discharged.
- The Bank has ensured overall compliance with the Corporate Governance requirements stipulated under the CSE Listing Rules in accordance with the timelines specified therein.

- The Bank has already complied with the requirements stipulated under the Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka, which is effective from 1st January 2025 as appropriate. Further, the Bank will ensure overall compliance with the aforementioned regulation in accordance with the timelines specified therein.

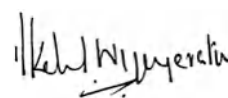
REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings, thereby providing Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at the year-end by the members of the Committee. The results were discussed at the Committee with, where necessary, areas for improvement being identified and the plans for improvement being communicated to the Board.

On behalf of the Board Nominations and Governance Committee,



DILIP DE S WIJYERATNE

Chairman - Board Nominations and Governance Committee

17th February 2025
Colombo, Sri Lanka

Board Audit Committee Report

GRI 2-24



Rigor of financial reporting processes and systems of internal controls are the cornerstone of sound corporate governance, vital for upholding investor confidence.



Dilip de S Wijeyeratne
Chairman

Diversity of Expertise

No. of Directors



* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

- Managing Director (MD)
- Executive Director/Chief Financial Officer (ED/CFO)
- Chief Internal Auditor (CIA)
- External Auditors
- Consultant to the Committee - Mrs Ranjani Joseph, Partner KPMG
- Chief Risk Officer, Chief Compliance Officer and other Key Management Personnel on need basis

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary or CIA functioned as the Secretary to the Committee during the year under review.

REGULATIONS/RULES RELEVANT TO THE FUNCTIONS OF THE COMMITTEE

The role, functions and the composition of the Board Audit Committee (BAC) are defined by the provisions of the:

- Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka (Direction 2007);
- Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka (Direction 2024);
- Section 9.13 of Listing Rules of the Colombo Stock Exchange (CSE Rules);
- Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka (Code 2023).

COMMITTEE MEMBERSHIP DURING THE YEAR 2024

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Mr Dilip de S Wijeyeratne	Independent/Non-Executive	Chairman	15/15
Mrs Keshini Jayawardena (w.e.f 1st June 2024)	Independent/Non-Executive	Member	9/9
Mr Keith Modder (w.e.f 1st June 2024)	Independent/Non-Executive	Member	9/9
Mr Hiran Cabraal (Until 31st May 2024)	Independent/Non-Executive	Member	6/6
Mr Prabhash Subasinghe (Resigned w.e.f 1st June 2024)	Non-Independent/Non-Executive	Member	4/6

w.e.f – with effect from

Refer pages 186 to 189 for the profiles of the committee members.

KEY ACTIVITIES IN 2024

Key concerns for the BAC included the following:

- growth and transformation of the Banking sector following the recent stabilisation of the economy;
- a surge in digital banking services and the increasing sophistication and impact of cybersecurity threats;
- recent changes in governance, legal and regulatory framework including amendments to the Banking Act, Corporate Governance Directions;
- expansion of scope to cover both financial and non-financial reporting including related internal controls.

Accordingly, the Board Audit Committee increased its focus on cybersecurity, customer protection, compliance and effectiveness of internal controls. The Committee also maintained open communication with the management, internal auditors and external auditors supporting the effective identification of key risks and potential issues related to the reliability of financial and non-financial reporting. The BAC continued to foster a culture of ethical conduct and continuous improvement within the Bank as a critical foundation for effective operation of internal controls.

Board Audit Committee Report

Financial Reporting

The BAC reviewed the quarterly and annual financial statements prior to release after obtaining the necessary explanations and confirmations from the ED/CFO and the MD. The BAC also received reports from Internal Auditors and External Auditors on the effectiveness of internal controls over financial reporting processes, the appropriateness of the accounting policies and their consistent application in accordance with legal and regulatory requirements. Additionally, the BAC considered the current business landscape and considerations set out above in evaluating the assumptions and applying judgements related to the financial statements.

External Auditors

The BAC is responsible for oversight of the Bank's relationship with the External Auditor. The BAC reviewed and monitored the independence, integrity and objectivity of the External Auditor and assessed the effectiveness of their audit process considering the relevant professional and regulatory requirements. To ensure that the External Auditor had the independence to discuss and express their opinions on any matter, they were granted further opportunities to meet the BAC separately, without the presence of the Executive Directors. The Committee ensured compliance with the requirements for the rotation of Audit Partners in accordance with the directions issued by the CBSL. Further, the Committee noted the requirements outlined in the Banking Act Direction No. 05 of 2024 and the Banking (Amendment) Act No. 24 of 2024, issued by the CBSL, concerning the rotation of the external auditor and the specific engagement partner, and confirmed that compliance will be achieved within the specified time frame. The Letter of Representation issued to the External Auditor by the management was also reviewed by the Committee.

The Committee obtained a statement from the External Auditor confirming that they are and have been independent throughout the conduct of the audit engagement, in accordance with the terms of all relevant regulatory and professional requirements.

Messrs Ernst and Young, Chartered Accountants has been appointed as the External Auditor of the Bank since the inception and the present Engagement Partner has been appointed since January 2023. The Committee discussed the audit plan, scope and the methodology

to be adopted in conducting the annual audit with the External Auditor prior to commencement of the audit for the financial year 2024. There was no limitation of scope and the BAC obtained assurances that Management has provided all information and explanations requested by the External Auditor.

Financial Statements were reviewed by the External Auditor, whose opinion on the financial statements is set out on pages 270 to 272. The Committee also met the External Auditor to review the Management Letter with the responses from the Management.

The Committee has recommended to the Board that Messrs Ernst and Young, Chartered Accountants, to be re-appointed for the financial year ending 31st December 2025, subject to the approval of shareholders at the 39th Annual General Meeting.

Provision of Non-Audit Services

The BAC conducted its annual review of the Policy on Engagement of External Auditors for Non-Audit Services to ensure compliance with regulatory requirements. The BAC also assessed the non-audit services provided to ensure that the independence and objectivity have not been impaired by providing such non-audit services, taking into consideration, the fees and the scope of same.

Internal Control Over Financial Reporting (ICOFR)

Sampath Bank is required to comply with the Section 3(8)(ii)(b) of the Banking Act Direction No. 11 of 2007, Section 9.2(b) of Banking Act Direction No. 05 of 2024 (Effective 1st January 2025) and assess the effectiveness of Internal Control Over Financial Reporting. The BAC assessed the effectiveness of the Bank's system of Internal Control Over Financial Reporting as of 31st December 2024 based on the criteria set out in the Guidance for Directors of Banks under "The Directors' Statement of Internal Control", issued by the CA Sri Lanka in 2010.

The Internal Controls Over Financial Reporting Steering Committee comprising the Chief Internal Auditor (Chairperson), Executive Director/Chief Financial Officer, Chief Risk Officer, Chief Information Security Officer and Chief Compliance Officer assisted the Internal Audit Department in conducting its evaluations on Internal Control Over Financial Reporting and Management Information Systems. In this regard, assessments were carried out by the Internal Audit

Department to determine if documented procedures were being followed by the respective process owners, to ensure the design effectiveness and the operating efficiency of the Internal Controls and the Management Information Systems as well as to identify areas for improvements on an ongoing basis.

The Committee obtained and reviewed the assurance received from the Managing Director and other Key Management Personnel regarding the adequacy and effectiveness of the Bank's risk management and internal control systems. To comply with this requirement, the ICOFR verification process was streamlined and revamped during the year 2024.

The backdrop of Sri Lanka's dynamic economic conditions and regulatory changes necessitated a comprehensive review of the Bank's internal control systems. Hence, the BAC intensified its focus on enhancing internal controls and risk management frameworks to mitigate threats associated with the local and global economic uncertainties. This included enhancing oversight on credit risk, liquidity risk and operational risk and related systems and controls as well as controls of related systems and processes. Based on the assessments carried out by the Internal Auditor and External Auditor, the BAC concluded that, as of 31st December 2024, the Bank's system of Internal Control Over Financial Reporting is effective. The Directors' Statement on the Bank's Internal Control Over Financial Reporting is provided on pages 264 and 265.

The Bank's External Auditors have assessed the effectiveness of the existing system of Internal Control Over Financial Reporting and have provided an assurance report to the Board indicating that nothing has come to their attention that causes them to believe that financial reporting was inconsistent with their understanding of the processes adopted by the Board for reviewing the design and operating effectiveness of the internal control system of the Bank. The External Auditors' Assurance Report on the Bank's systems of Internal Control Over Financial Reporting is provided on page 266.

Internal Audit

As the third line of defence, internal audit functions independently from the first and second lines of defence, reporting directly to the BAC. During the year, the BAC continued to fulfil its mandate to monitor and review the scope, methodologies,

extent and effectiveness of the activities of the Bank's Internal Audit Department, including review of the progress made on Audit activities and achievements against the Bank's Audit Plan. The BAC noted the increased focus by the Internal Audit function on technology-driven audit techniques to monitor the Bank's digital transformation efforts and to safeguard against cybersecurity threats. The Committee reviewed all major findings revealed through audit investigations and potential fraud monitoring activities carried out during the year.

The BAC also reviewed the resource requirements of the Internal Audit Department. The performance evaluation of the Chief Internal Auditor and the senior staff members of the Internal Audit Department for the year 2024 will be carried out by the Committee during the first quarter of 2025.

Annual Corporate Governance Report

As required by Section 3(8)(iii)(g) of the Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks and Section 9.2. (h). (i) of the Banking Act Direction No. 05 of 2024 (effective 1st January 2025) issued by the Central Bank of Sri Lanka, the Annual Corporate Governance Report for 2024 is provided on pages 152 to 183. The External Auditor of the Bank have performed procedures set out in Sri Lanka Related Services Practice Statement 4750 issued by the CA Sri Lanka (SLRSPS 4750), to meet the compliance requirement of the said Corporate Governance direction. Their findings presented in their report dated 17th February 2025 addressed to the Board, are consistent with the matters disclosed above and no inconsistencies have been identified in this regard.

Whistleblowing

The Bank's 'Policy on Whistleblowing' continued to be implemented as a component of the Corporate Fraud Risk Management Framework and made available in the Bank's website in line with the requirement specified in the Listing Rules issued by the Colombo Stock Exchange. Furthermore, the 'Procedure on Whistleblowing' was developed to enhance the internal stakeholders' understanding of the whistleblowing process that needs to be followed. The recommendations provided by the BAC were incorporated into the Whistleblowing Policy and the Whistleblowing Procedure as applicable, to further strengthen the whistleblowing mechanism. The Policy and the Procedure empower any team

member who has a legitimate concern on an existing or potential "wrongdoing" by any person within the Bank to come forward voluntarily and bring such concern to the notice of the Chairman of the BAC either through the Company Secretary or Chief Internal Auditor. Concerns raised are investigated as per the standard procedure and the identity of the person raising the concern is kept confidential.

KEY RESPONSIBILITIES OF THE COMMITTEE

- Reviewing financial information and monitoring the integrity of the financial statements of the Bank, its annual report, accounts and quarterly reports prepared for disclosure, prior to submission to the Board and ensuring compliance with statutory provisions, accounting standards and accounting policies.
- Reporting to the Board on the quality, appropriateness and acceptability of the Bank's accounting policies and practices.
- Assessing the reasonableness of the underlying assumptions based on which estimates and judgments are made when preparing the financial statements.
- Overseeing the Internal Audit function and reviewing of audit reports to ensure that appropriate actions are taken by the Management to implement the recommendations made by the Internal Auditors.
- Assessing the independence and reviewing the adequacy of the scope, functions and resources of the Internal Audit Department, including the appointment of the Chief Internal Auditor and the performance of the CIA and senior staff members of the Internal Audit Department.
- Overseeing the appointment, compensation, resignation and dismissal of the External Auditor, including review of the External Audit function, its cost and effectiveness and monitoring of the External Auditors' independence, integrity and objectivity.
- Reviewing the adequacy and effectiveness of the Internal Controls, Risk Management and ensure compliance with Corporate Governance and regulatory requirements.
- Ensure to compliance with the Environmental, Social and Governance (ESG) laws and regulations which are applicable to the Bank.

- Assess the Bank's ability to continue as a going concern in the foreseeable future. Reviewing the Terms of Reference of the Committee periodically and ensuring that it reflects the best practices of the industry at all times.

PROFESSIONAL ADVICE

The BAC has the authority to seek external professional advice from time to time on matters within its purview. During the year, several consultations were sought with various professionals on matters under the Committee's purview.

DECLARATION BY THE COMMITTEE

The Bank has already complied with the requirements stipulated under the Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka, which is effective from 1st January 2025 as appropriate. Further, the Bank will ensure overall compliance with the aforementioned regulation in accordance with the timelines specified therein.

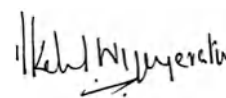
REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings, thereby providing Board members with access to the deliberations of the Committee. Additionally, the Chairman of the BAC provides a verbal summary of the key matters of concern arising from each meeting to the Board.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at the year-end by the members of the Committee. The results were discussed at the Committee with, where necessary, areas for improvement being identified and the plans for improvement being communicated to the Board.

On behalf of the Board Audit Committee,



DILIP DE S WIJYERATNE

Chairman - Board Audit Committee

17th February 2025
Colombo, Sri Lanka

Board Human Resources and Remuneration Committee Report

GRI 2-19,20,24



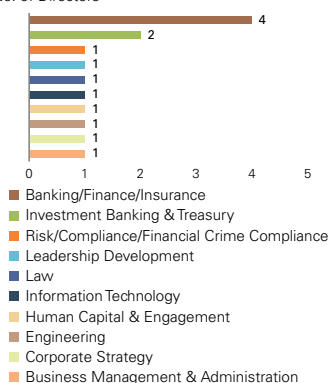
The Board Human Resources and Remuneration Committee oversaw the further strengthening of the Performance Management framework by aligning the Key Performance Indicators of the leadership with the Strategic Plan 2025 to support the ambitious business goals of the Bank.



Keshini Jayawardena
Chairperson

Diversity of Expertise

No. of Directors



* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

- Managing Director (MD)
- Chief Human Resource Officer (CHRO)
- Head of Human Resources (HOHR)

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

REGULATIONS/RULES RELEVANT TO THE FUNCTIONS OF THE COMMITTEE

The role, functions and the composition of the Board Human Resources and Remuneration Committee (BHRRC) are defined by the provisions of the:

- Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka (Direction 2007);
- Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka (Direction 2024);
- Section 9.12 of Listing Rules of the Colombo Stock Exchange (CSE Rules);
- Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka (Code 2023).

COMMITTEE MEMBERSHIP DURING THE YEAR 2024

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Mrs Keshini Jayawardena	Independent/Non-Executive	Chairperson (w.e.f 1st June 2024)	6/6
Ms Aroshi Nanayakkara	Independent/Non-Executive	Member (Chairperson until 31st May 2024)	6/6
Mr Dilip de S Wijeyeratne	Independent/Non-Executive	Member	6/6
Mr Vajira Kulatilaka	Independent/Non-Executive	Member	6/6
Mr Vinod Hirdaramani	Independent/Non-Executive	Member	4/6
Mr Keith Modder (w.e.f 1st June 2024)	Independent/Non-Executive	Member	2/3

w.e.f – with effect from

Refer pages 186 to 189 for the profiles of the committee members.

KEY ACTIVITIES IN 2024

- The Key Performance Indicators (KPIs) of Key Management Positions were agreed at the beginning of the year in line with the Strategic Plan of the Bank to support the achievement of the bank's ambitious goals.
- During the year the committee further reviewed the Performance Management System (PMS) introduced in 2022. Next year, 2025 onwards, will see continuous improvements being incorporated into the system to promote greater engagement of the team and drive performance.
- HR policies were reviewed this year and necessary changes were incorporated in order to ensure the overall performance of the Bank and future business requirements with special emphasis on risk and governance requirements.
- The remuneration structure of the employees was reviewed with the increment cycle of the Bank and appropriate remuneration and salary structures were finalised.
- The BHRRC continued to review the Succession Planning process of the Bank aiming at seamless leadership transition of the second and third tier of leadership. Individual Development Plans were completed for senior management with the involvement of BHRRC to further enhance the leadership team with continuous, topical and tactical leadership skills. This process will continue in 2025.

KEY RESPONSIBILITIES OF THE COMMITTEE

- Formulating remuneration policies relating to Directors, CEO/MD and Key Management Personnel (KMPs) and submitting the same for the approval of the Board.
- Identifying goals and targets for the Directors, CEO/MD and KMPs and submitting the same for the approval of the Board.
- Evaluating the performance of the CEO/MD and KMPs against set targets and goals periodically and submitting the same to the Board, together with recommendations for the revision of remuneration, benefits and other performance-based incentives.
- Recommending to the Board such amendments to its scope as may, in its view be desired, to achieve better corporate governance objectives.
- Advising the KMP heading the Human Resources Department of the Bank with regard to revision of salaries of Bank staff and any major organisational changes needed for the Bank's purpose.
- Recommending and keeping under review, the Human Resources Strategy including key HR Objectives, Plans and workforce requirements in line with the overall annual/medium-term strategic objectives of the Bank and monitoring implementation of the same.
- Reviewing, commenting and reporting to the Board on HR related matters including development plans, talent retention and career development of potential successors.
- Monitoring and making all necessary recommendations to the Board on ethical standards with regard to human capital and ensuring that the management has institutionalised a process to ensure compliance with these standards.
- Keeping the provisions of the Bank's Pension Plan under review.
- Assessing the performance of the Committee based on the requirements.
- Reviewing the Terms of Reference of the Committee periodically and ensuring that it reflects the best practices of the industry at all times.

DECLARATION BY THE COMMITTEE

The Bank has already complied with the requirements stipulated under the Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka, which is effective from 1st January 2025 as appropriate. Further, the Bank will ensure overall compliance with the aforementioned regulation in accordance with the timelines specified therein.

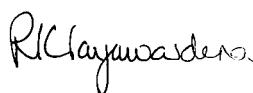
REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings, thereby providing the Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at the year-end by the members of the Committee. The results were discussed at the Committee with, where necessary, areas for improvement being identified and the plans for improvement being communicated to the Board.

On behalf of the Board Human Resources and Remuneration Committee,



KESHINI JAYAWARDENA

Chairperson - Board Human Resources and Remuneration Committee

17th February 2025
Colombo, Sri Lanka

Board Integrated Risk Management Committee Report

GRI 2-24



The Committee continued to actively monitor the risk landscape in the midst of local and global uncertainty. Its focus during the year was to ensure that the Bank's risks were effectively managed while pursuing new opportunities to reach its short and long term objectives.



Aroshi Nanayakkara
Chairperson

Diversity of Expertise

No. of Directors



* an individual Director may represent more than one discipline

Management Representatives:

- Mr Kasun Ratnayake - Chief Risk Officer (CRO)
- Mr Sudharshana Jayasekera - Chief Compliance Officer (CCO)

Regular attendees to the Committee meetings by invitation:

- Chief Information Security Officer (CISO)
- Management Representatives in charge of Credit, Market, Liquidity, Operational and Strategic Risks

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

REGULATIONS/RULES RELEVANT TO THE FUNCTIONS OF THE COMMITTEE

The role, functions and the composition of the Board Integrated Risk Management Committee (BIRMC) are defined by the provisions of the:

- Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka (Direction 2007);
- Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka (Direction 2024);
- Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka (Code 2023).

COMMITTEE MEMBERSHIP DURING THE YEAR 2024

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Ms Aroshi Nanayakkara	Independent/Non-Executive	Chairperson (w.e.f 1st June 2024)	9/9
Mr Hiran Cabraal	Independent/Non-Executive	Member (Chairman until 31st May 2024)	9/9
Mr Rushanka Silva (w.e.f 1st June 2024)	Non-Independent/Non-Executive	Member	5/6
Mr Keith Modder (w.e.f 1st June 2024)	Independent/Non-Executive	Member	6/6
Mrs Ayodhya Iddawela Perera (Until 31st December 2024)	Executive	Member	9/9
Mr Dilip de S Wijeyeratne (Until 31st May 2024)	Independent/Non-Executive	Member	3/3

w.e.f – with effect from

Refer pages 186 to 189 for the profiles of the committee members.

KEY ACTIVITIES IN 2024

- The Committee received regular reports on the Bank's performance against established Risk Appetite Limits and Key Risk Indicators (KRIs) from the Risk Management and Compliance Departments. All necessary risk mitigation measures have been initiated to maintain the Bank's exposures at prudent levels while ensuring compliance with regulatory requirements.
- At Board meetings, the Board of Directors reviewed the key risks as well as the movement in these risks.

The Bank's Credit, Operational and Market Risk Appetite limits were reviewed and recommended for approval to the Board and the Bank's KRIs were reviewed and enhanced where necessary.

- The Bank's overall risk management framework was validated by an independent audit carried out by the external auditor as per regulatory requirements.

KEY ACTIVITIES IN 2024

- All the risk related policies were reviewed in line with the industry best practices and regulatory requirements and recommended for Board approval.
- New procedures were introduced where deemed necessary and existing procedures/manuals were reviewed and updated to ensure that they remain accurate, effective and compliant with evolving requirements and regulations.
- Internal Tolerance Limits i.e. VaR, Stress Testing and other loss limits were reviewed to ensure appropriateness and effectiveness in managing risk at prudent levels and new US Treasury loss limits were introduced.
- Process documentation and process maps under "Internal Control Over Financial Reporting" were significantly improved.
- Group level risk assessment was strengthened and capital provisioning sections were reviewed to enhance the Internal Capital Adequacy Assessment Process (ICAAP) mechanism.
- Recovery Plan (RCP) was reviewed by strengthening the recovery options available to the Bank in a stressed situation.
- The Risk Matrix was enhanced to provide a holistic view of the risk profile of the Bank highlighting the high and emerging risk factors.
- The Bank's risk culture was further strengthened through the risk magazine and risk related knowledge-sharing sessions on Credit, Market and Operational Risks.
- The Bank's impairment process was strengthened by automating the impairment stages of restructured and rescheduled facilities as well as the compulsory watch-listing of restructured and rescheduled facilities.
- The Committee reviewed the liquidity contingency funding plan incorporating the stressed liquidity coverage ratio along with reciprocal contingency liquidity and funding agreement.
- The counterparty selection and limit-setting process was strengthened based on the external rating, financial evaluations and consolidation of country limits under Treasury and Export Bills to arrive at a holistic view.
- The Business Continuity Plans (BCP) were reviewed and approved while conducting timely BCP drills to ensure robust business continuity.
- The Risk and Control Self-Assessment (RCSA) process was reviewed and further expanded to third party vendors.
- A Technology Risk Framework was developed using IT KRIs, Technology Risk Appetite and Tolerance Limits.
- The Committee ensured full compliance with the requirements of the Banking Act Direction No. 16 of 2021 on Technology risk management and resilience.
- Actions were taken to mitigate the enhanced Cyber Security Risks emanating from the increased adoption of Digital Channels. Measures taken included regular review of objectives and implementation plans of the numerous projects which were launched.
- Sampath Bank has obtained PCI DSS V3.2.1 certification and ISO 27001:2013 re-certification.
- The Bank established an Environmental and Social Risk Management System and a policy to effectively manage sustainability risks related to its lending activities including the - issuance of ESG risk opinions for facilities over Rs 100 Mn under the ESMS framework.
- The Committee reviewed the ESG assessments of the existing portfolio based on analysis conducted, excluding consumption loans and schematised facilities.
- The new "goAML" reporting system phase I was successfully completed and implementation of phase II is in progress.

KEY RESPONSIBILITIES OF THE COMMITTEE

- Assessing on a monthly basis, all risks faced by the Bank including Credit, Market, Liquidity, Operational and Strategic Risks as per established risk indicators including the updated Business Continuity Plans. In case of subsidiary companies, risks were managed on a bank basis and group basis.
- Setting up risk appetite/tolerance limits of the Bank at enterprise and strategic business unit levels.
- Reviewing the adequacy and effectiveness of all Management level committees such as the Credit Policy, Risk and Portfolio Review Committee, Asset and Liability Management Committee (ALCO) and the Risk and Compliance Committee, to ensure specific risks are managed within quantitative and qualitative risk limits as specified by the Committee.
- Maintaining continued awareness of any changes in the Bank's risk profile.
- Ensuring that prompt corrective action is taken to mitigate the effects of specific risks which may move beyond the prudent levels approved by the Committee.
- Ensuring that the Bank's Disciplinary Committee is functioning effectively to take corrective action with regard to those who fail in managing risks.
- Establishing a compliance function and appointing a dedicated Compliance Officer selected from Key Management Personnel who periodically assesses and reports on the Bank's compliance with laws, regulations, regulatory guidelines, internal controls and approved policies.
- Ensuring the existence of clear and independent reporting lines and responsibilities, adequate tools, systems and resources for the successful management of risk and regulatory compliance.

Board Integrated Risk Management Committee Report

- Approving and recommending the annual budgets for Risk Management and Compliance Departments to ensure a highly effective Risk and Compliance function.
- Monitoring controls relating to "Information Security" and reviewing the progress of the "Information Security Committee" (ISC) on a quarterly basis. Ensuring that a proactive risk management culture is established within the Bank.
- Submitting a report on priority areas and concerns to the Main Board within a week of each BIRMC meeting.
- Performing any other activity within the scope of risk related functions that is deemed required by the Committee which will serve to enhance its or the risk function's effectiveness and efficiency.
- Review the Terms of Reference of the Committee periodically to ensure that it reflects industry best practices at all times.

REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings, thereby providing the Board members with access to the deliberations of the Committee. The risk assessments were submitted to the Board within the required timelines from each Board Integrated Risk Management Committee meeting.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at the year-end by the members of the Committee. The results were discussed at the Committee with plans made for improvement where necessary. These were communicated to the Board.

On behalf of the Board Integrated Risk Management Committee,



AROSHI NANAYAKKARA

Chairperson - Board Integrated Risk Management Committee

17th February 2025

Colombo, Sri Lanka

Board Related Party Transactions Review Committee Report

GRI 2-15,24



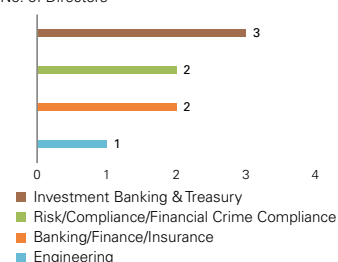
The Committee reviewed the related party transactions of the Bank to facilitate compliance with regulatory requirements, safeguarding the interests of the Bank and its stakeholders.



Vajira Kulatilaka
Chairman

Diversity of Expertise

No. of Directors



* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

- Managing Director
- Chief Compliance Officer
- Any other officer/s required by the Committee

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

REGULATIONS/RULES RELEVANT TO THE FUNCTIONS OF THE COMMITTEE

The role, functions and the composition of the Board Related Party Transactions Review Committee (BRPTRC) are defined by the provisions of the:

- Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka (Direction 2007);
- Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka (Direction 2024);
- Section 9.14 of Listing Rules of the Colombo Stock Exchange (CSE Rules);
- Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka (Code 2023).

COMMITTEE MEMBERSHIP DURING THE YEAR 2024

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Mr Vajira Kulatilaka	Independent/Non-Executive	Chairman	4/4
Mr Hiran Cabraal	Independent/Non-Executive	Member	3/4
Mr Dilip de S Wijeyeratne (w.e.f 1st June 2024)	Independent/Non-Executive	Member	2/2
Mrs Keshini Jayawardena (Until 31st May 2024)	Independent/Non-Executive	Member	2/2

w.e.f – with effect from

Refer pages 186 to 189 for the profiles of the committee members.

KEY ACTIVITIES IN 2024

The Committee enhanced their procedures and processes to comply with the enhanced rules and regulations implemented by the Central Bank of Sri Lanka, the CSE Rules and the Code 2023 during the year. Accordingly, the scope of related party transactions reviewed was expanded.

KEY RESPONSIBILITIES OF THE COMMITTEE

- Taking all necessary steps to avoid any conflicts of interest that may arise from any transaction of the Bank with any category which shall be considered as "Related Parties" as authorised by the Board.
- Ensuring that the transaction with related parties are identified by the respective authorities in line with the regulatory requirements.
- Maintaining the Board's standard which is to ensure that the Bank does not engage in transactions with related parties in a manner that would grant such parties a "More Favourable Treatment" than that accorded to other constituents of the Bank carrying on the same business.
- Ensuring that the Bank shall not grant any accommodation to any of its Directors or to a close relation of such Director or to any concern in which the person has a substantial interest unless such accommodation is sanctioned at a meeting of its Board of Directors, with not less than two-thirds of the number of Directors other than the Director concerned, voting in favour of such accommodation and to ensure all regulations pertaining to such accommodations are followed.
- Ensuring that there is an adequately effective and efficient system in place to capture information which is relevant to its review function.

Board Related Party Transactions Review Committee Report

- Obtaining professional and expert advice from qualified persons, where such advice is necessary for the performance of the review function.
- Reviewing the Terms of Reference of the Committee periodically and ensure that it reflects the best practices of the industry at all times.
- Assessing the performance of the Committee annually.
- Recommend to the Board such amendments to its scope as may, in its view be applicable, to achieve better compliance with regulatory requirements.

DECLARATION BY THE COMMITTEE

The Bank has already complied with the requirements stipulated under the Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka, which is effective from 1st January 2025 as appropriate. Further, the Bank will ensure overall compliance with the aforementioned regulation in accordance with the timelines specified therein.

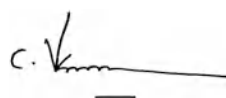
REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings, thereby providing Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at the year-end by the members of the Committee. The results were discussed at the Committee with, where necessary, areas for improvement being identified and the plans for improvement being communicated to the Board.

On behalf of the Board Related Party Transactions Review Committee,



VAJIRA KULATILAKA

Chairman - Board Related Party Transactions Review Committee

17th February 2025

Colombo, Sri Lanka

Board Cost Monitoring Committee Report

GRI 2-24

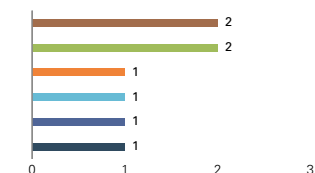


The Board Cost Monitoring Committee established a clear framework for categorising and reporting capital expenditures, allowing the Bank to understand cost drivers and prioritise resource allocation effectively.

Harsha Amarasekera
Chairman

Diversity of Expertise

No. of Directors



■ Law
■ Banking/Finance/Insurance
■ Investment Banking & Treasury
■ Engineering
■ Leadership Development
■ Business Management & Administration
* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

- Managing Director
- Executive Director/Chief Financial Officer
- Any other officer/s required by the Committee

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

REGULATIONS/RULES RELEVANT TO THE FUNCTIONS OF THE COMMITTEE

The role and functions of the Board Cost Monitoring Committee (BCMC) are defined by the provisions of the:

- Banking Act Direction No. 01 of 2023 on Restrictions on Discretionary Payments of Licensed Banks issued by the Central Bank of Sri Lanka (the Direction).

(In compliance with the regulatory timelines specified in the above Direction, the Committee was discontinued with effect from 21st January 2025 at its meeting held on the same date.).

COMMITTEE MEMBERSHIP DURING THE YEAR 2024

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Mr Harsha Amarasekera	Non Independent/Non-Executive	Chairman	2/2
Mr Vajira Kulatilaka	Independent/Non-Executive	Member	2/2
Mrs Keshini Jayawardena	Independent/Non-Executive	Member	2/2
Mr Vinod Hirdaramani	Independent/Non-Executive	Member	2/2
Ms Aroshi Nanayakkara (Until 31st May 2024)	Independent/Non-Executive	Member	1/1

Refer pages 186 to 189 for the profiles of the committee members.

KEY ACTIVITIES IN 2024

- In compliance with the 'Banking Act Direction No. 01 of 2023 issued by the Central Bank of Sri Lanka, the BCMC thoroughly monitored non-essential and/or non-urgent expenditures and/or capital expenditures to be incurred by the Bank ensuring that the Bank refrains from incurring or committing to non-essential or non-urgent expenditures/capital expenditures during the stipulated period, while exercising due diligence when incurring such expenditures and maintaining appropriate levels of liquidity and capital.
- The Committee adopted a Board approved policy in terms of 3.4(c) of the Banking Act Direction No. 1 of 2023.

KEY RESPONSIBILITIES OF THE COMMITTEE

- To evaluate and approve non- essential and/or non-urgent expenditure and or capital expenditure to be incurred by the Bank.
- To perform any other activity within the scope of capital planning related functions or functions indicated in the Banking Act Direction No. 01 of 2023 that is deemed by the Committee to be required which will serve to enhance its or the capital planning function's effectiveness and efficiency.
- To review the Terms of Reference of the Committee periodically and to ensure that it reflects the best practices of the industry at all times.
- Even though the regulatory mandate to monitor the costs and capital expenditure of the Bank was concluded with the discontinuation of the Committee, the Board and its subcommittees will continue to better manage the costs and capital expenditure in accordance with their respective purview.

REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings, thereby providing Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at the year-end by the members of the Committee. The results were discussed at the Committee with, where necessary, areas for improvement being identified and the plans for improvement being communicated to the Board.

On behalf of the Board Cost Monitoring Committee,

HARSHA AMARASEKERA

Chairman – Board Cost Monitoring Committee

17th February 2025

Colombo, Sri Lanka

Board Sustainability Committee Report

GRI 2-14,24



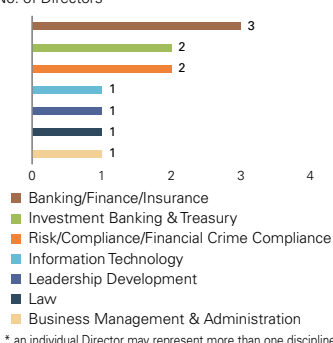
The Committee has oversight responsibility to drive the sustainability agenda across the Group and has taken key initiatives to progress its transformative journey.



Keshini Jayawardena
Chairperson

Diversity of Expertise

No. of Directors



Regular attendees to the Committee meetings by invitation:

- Executive Director/CFO – Chairman of ESG Committee
- Chief Human Resource Officer (CHRO)
- Head of Sustainability
- Any other officer/s required by the Committee

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

FORMATION OF THE COMMITTEE

The Board Sustainability Committee (BSC) was established on 29th May 2024 with the aim of strengthening the sustainable business practices in the Bank in adherence with the Environmental, Social and Governance (ESG) principles applicable to the financial sector. The Committee focuses on upgrading the Bank's position as a responsible organisation which meets local and global sustainability expectations.

COMMITTEE MEMBERSHIP DURING THE YEAR 2024

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Mrs Keshini Jayawardena	Independent/Non-Executive	Chairperson	3/3
Mr Dilip de S Wijeyeratne	Independent/Non-Executive	Member	3/3
Mr Hiran Cabraal	Independent/Non-Executive	Member	3/3
Mr Keith Modder	Independent/Non-Executive	Member	3/3
Mrs Ayodhya Iddawela Perera	Executive	Member	3/3

Refer pages 186 to 189 for the profiles of the committee members.

KEY ACTIVITIES IN 2024

- Published the Environmental, Social and Governance (ESG) Policy of the Bank.
- Adopted the Terms of Reference of the Board Sustainability Committee.
- Adopted the Terms of Reference of the Management Level ESG Committee.
- Provided strategic direction for the implementation of SLFRS S1 and S2 within the Bank.
- Provided strategic direction to embed sustainability goals in the goal sheets of the relevant Key Managerial Personnels to strengthen the sustainability culture within the Bank.
- Conducted a capacity building programme on SLFRS S1 and S2 for Sampath Bank's Board of Directors.
- Conducted a capacity building programme on "How Climate Emergency Should Embed to the Bank's Strategy" for Sampath Bank's Board of Directors.

KEY RESPONSIBILITIES OF THE COMMITTEE

- Overseeing the development and implementation of the Bank's sustainability strategy and policies.
- Ensuring that appropriate strategies are in place to respond to Sustainability-Related Risks and Opportunities (SRROs) and Climate-Related Risks and Opportunities (CRROs).
- Ensuring the availability or development of appropriate skills and competencies to oversee strategies designed to respond to SRROs and CRROs.
- Establishing mechanisms to promptly escalate SRROs and CRROs to the Committee.
- Ensuring that the Main Board is sufficiently informed about SRROs and CRROs when overseeing the Bank's strategies, decisions on major transactions and risk management processes and related policies, including the trade-offs associated with those risks and opportunities.
- Overseeing the establishment of targets related to SRROs and CRROs and provide recommendations to monitor the progress towards those targets and include related performance metrics in remuneration policies.

- Advising the Board on sustainability trends, risks, opportunities, and regulatory changes.
- Ensuring that sustainability is integrated into the Bank's business model, culture and operations.
- Reviewing and guiding sustainability initiatives, environmental practices and ethical conduct.
- Evaluating and overseeing reporting on sustainability to stakeholders, including sustainability reports, disclosures and communication methods that comply with the statutory requirements and best practices.
- Reviewing the independent external auditor's scope of work, approach and internal coordination for non-financial/sustainability disclosures assurance process.
- Reviewing and providing guidance on management's role in the governance processes, controls and procedures used to monitor, manage and oversee SRROs and CRROs.
- Critically evaluating the material matters suggested by management and propose improvements where possible.
- Facilitating continuous improvement in the Bank's non-financial reporting/sustainability disclosures and performance.
- Performing any other activities within the scope of sustainability-related functions deemed necessary by the Committee, which will serve to enhance the effectiveness and efficiency of the Committee or the sustainability function.
- Periodically reviewing the Committee's Terms of Reference (TOR) to ensure it aligns with industry best practices at all times.

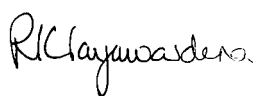
REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings, thereby providing the Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at the year-end by the members of the Committee. The results were discussed at the Committee with, where necessary, areas for improvement being identified and the plans for improvement being communicated to the Board.

On behalf of the Board Sustainability Committee,



KESHINI JAYAWARDENA

Chairperson - Board Sustainability Committee

17th February 2025

Colombo, Sri Lanka

Board Credit Committee Report

GRI 2-24



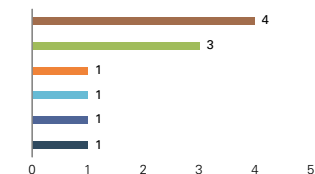
The Committee focused its efforts on reducing the Stage III portfolio through effective monitoring, risk assessment, decision making and advisory while enhancing the credit growth and profitability.



Vajira Kulatilaka
Chairman

Diversity of Expertise

No. of Directors



■ Banking/Finance/Insurance
■ Business Management & Administration
■ Investment Banking & Treasury
■ Engineering
■ Leadership Development
■ Law

* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

- Consultant to the Committee - Mr Janakan Selvaratnam representing BDO Partners.
- Any other officer/s required by the Committee.

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

FORMATION OF THE COMMITTEE

The Credit Committee was established on 9th December 1987 and was subsequently re-titled as the Board Credit Committee (BCC) on 22nd October 2008. At present, the Committee focuses on streamlining lending practices in alignment with regulatory requirements, risk appetite and business strategy to achieve its objectives in a competitive business environment.

COMMITTEE MEMBERSHIP DURING THE YEAR 2024

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Mr Vajira Kulatilaka	Independent/Non-Executive	Chairman	21/21
Mr Rushanka Silva	Non-Independent/Non-Executive	Member	19/21
Mrs Keshini Jayawardena	Independent/Non-Executive	Member	21/21
Mr Vinod Hirdaramani	Independent/Non-Executive	Member	16/21
Mrs Ayodhya Iddawela Perera	Executive	Member	21/21

Refer pages 186 to 189 for the profiles of the committee members.

KEY ACTIVITIES IN 2024

As one of the priority areas, the BCC gave its direction and value additions on case-by-case basis to the Business Revival Unit, which was set up as a specialised unit to evaluate stressed exposures and to support the viable businesses to revive with necessary restructures and re-schedulements. The experience and knowledge of the BCC members in diverse sectors have contributed to its success and improvement of credit quality.

KEY RESPONSIBILITIES OF THE COMMITTEE

Overseeing the credit management of the Bank, including;

- Ensuring Board approved internal credit policies exist in the Bank, containing at a minimum, elements required under the Risk Management Framework as set out in the Banking Act Direction No. 7 of 2011.
- Periodically reviewing all such internal credit policies including changes initiated by the management and recommending them with or without modifications to the Board for approval.
- Ensuring that the Bank's credit policies comply with the statutory requirements prescribed by the regulatory/supervisory authorities.
- Ensuring that there is an emphasis on maintaining a diversified portfolio of risk assets in line with the desired risk return profile and within the risk appetite of the Bank.
- Ensuring that Board approved portfolio exposure limits are established by obligor, industry and geography.

To ensure the operation of a sound credit origination process by;

- Recommending delegation of Lending Powers to Management personnel for Board approval in line with the Banking Act Direction No. 7 of 2011 dated 5th October 2011 on Integrated Risk Management, Annexure B on Credit Risk Management, reviewing these regularly and overseeing compliance therewith.
- Reviewing and approving credit proposals over the delegated authority granted to Key Management Personnel and Committees in accordance with Board approved credit policies and standards.

- Reviewing and recommending to the Board credit facilities, which the Committee believes, require Board approval.

Reviewing the quality and performance of the Bank's credit portfolio by;

- Calling for annual/half-yearly industry studies and single borrower reviews.
- Requesting regular portfolio reviews of sectors/industries/countries to which the Bank has exposure.
- Requesting regular reviews of clients (inclusive of groups) with large exposures.
- Requesting rapid reviews of Non-Performing and Watch Listed customers and those likely to move into Watch Listing or NPA.
- Requesting high-level portfolio reviews in the movement of the various stages in impairment.

Maintaining adequate controls over credit risk through;

- Ensuring credit risk exposure is kept within acceptable limits to maximise the Bank's risk adjusted rate of return.
- Ensuring stress tests are conducted, where deemed appropriate.

Maintaining appropriate credit administration, measuring and monitoring processes through;

- Ensuring consistent standards are maintained for the origination, documentation, and maintenance of documents for extension of credit.
- Ensuring that every obligor and facility is assigned a risk rating.

Identification and administration of problem credits through;

- Monitoring on an ongoing basis the Bank's credit quality, reviewing periodic credit portfolio reports and assessing portfolio performance.
- Ensuring post-credit monitoring, remedial management and postmortem reviews are performed, where deemed appropriate.

Understanding the cyclical aspects of the economy (both internal and external) through;

- Monitoring the resulting shifts in the composition and quality of the loan portfolio.
- Understanding the credit risk posed by the existing portfolio and reviewing methods of mitigating them in the short and long term.
- Understanding the micro and macro environment to ascertain both risks and opportunities by requesting independent views of economists/institutions.

Proper evaluation of new business opportunities by;

- Ensuring all new credit risk related products are reviewed from a credit risk management perspective.

Adopting Circular Resolutions

- To adopt decisions via circular resolutions in any means (includes any secure electronic mode, email etc.) where the quorum could not be met and/or in an instance, when a meeting could not be convened due to unforeseen/unavoidable reasons. Such circular resolution shall fulfil the purpose of a quorum required for a meeting and shall be as valid and effectual as if it had been passed at a duly constituted meeting of the BCC.
- Any other activity within the scope of credit related activities that is deemed by the Committee to be required which will serve to enhance its or the credit function's effectiveness and efficiency.
- Review the Terms of Reference of the Committee periodically, to ensure that it reflects industry best practices at all times.

REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings thereby providing the Board members with access to the deliberations of the Committee.

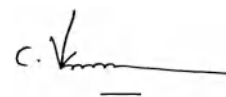
PROFESSIONAL ADVICE

The Committee has the authority to seek external professional advice on matters within its purview. Mr Janakan Selvaratnam is acting as the Credit Consultant of the Committee for the year under review.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at the year-end by the members of the Committee. The results were discussed at the Committee with, where necessary, areas for improvement being identified and the plans for improvement being communicated to the Board.

On behalf of the Board Credit Committee,



VAJIRA KULATILAKA

Chairman - Board Credit Committee

17th February 2025

Colombo, Sri Lanka

Board Strategic Planning Committee Report

GRI 2-24

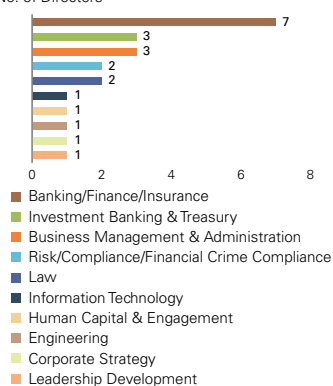


The Board Strategic Planning Committee significantly participated in developing a long-term business strategy to the Bank while ensuring that the growth opportunities are successfully identified and implemented in line with the Bank's vision and objectives.

Harsha Amarasekera
Chairman

Diversity of Expertise

No. of Directors



* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

- Members of the Strategic Planning Department.
- Any other officer/s required by the Committee.

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

FORMATION OF THE COMMITTEE

The Board Strategic Planning Committee (BSPC) was formed pursuant to a decision at the Board meeting held on 30th January 1997. The Committee aims to monitor alignment of the Bank's strategies with its long-term goals and objectives, taking into account the market dynamics, regulatory and stakeholder concerns, competitiveness and financial stability of the Bank. The BSPC is constituted of a mix of executive, non-executive, independent and non-independent directors, ensuring that a wide array of viewpoints are considered.

COMMITTEE MEMBERSHIP DURING THE YEAR 2024

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Mr Harsha Amarasekera	Non-Independent/Non-Executive	Chairman	4/4
Mr Rushanka Silva	Non-Independent/Non-Executive	Member	3/4
Mr Dilip de S Wijeyeratne	Independent/Non-Executive	Member	4/4
Ms Aroshi Nanayakkara	Independent/Non-Executive	Member	4/4
Mr Vajira Kulatilaka	Independent/Non-Executive	Member	4/4
Mrs Keshini Jayawardena	Independent/Non-Executive	Member	4/4
Mr Vinod Hirdaramani	Independent/Non-Executive	Member	4/4
Mr Hiran Cabraal	Independent/Non-Executive	Member	4/4
Mr Keith Modder (Appointed w.e.f 1st June 2024)	Independent/Non-Executive	Member	4/4
Mrs Ayodhya Iddawela Perera	Executive	Member	4/4
Mr Ajantha de Vas Gunasekara	Executive	Member	4/4
Mr Prabhash Subasinghe (Resigned w.e.f 1st June 2024)	Non-Independent/Non-Executive	Member	0/1

w.e.f – with effect from

Refer pages 186 to 189 for the profiles of the committee members.

KEY ACTIVITIES IN 2024

- The BSPC conducted quarterly reviews to assess the progress against the existing Strategic Plan and the annual budget, with necessary guidance on the improvements in implementing the strategic plan.
- The major undertaking by the BSPC in 2024 was reviewing and guiding the progress of the Five-Year Strategic Plan for the Bank. Under the Committee's guidance, the Bank received further direction and input from a well-reputed international consultancy firm, with whom the Bank has also partnered with for shared implementation of critical growth areas.
- The Bank's budget for 2025 was prepared in line with Five-year Strategic Plan. Both Strategic Plan and Budget have been reviewed and recommended to the Board for approval.
- The committee will continue to review and monitor both the Strategic Plan and Budget of the Bank during 2025 on quarterly basis and will provide guidance and recommendations to the management and the Board based on the prevailing business conditions and potential risks.

KEY RESPONSIBILITIES OF THE COMMITTEE

- Assist and guide the Management to formulate the strategic direction of the Bank, including the determination of Vision /Purpose and long and short-term objectives for the sustainable development of the Bank and towards that end:
 - » advise the Bank's Management (or Strategy function) on the establishment of processes for planning, implementing, assessing and adjusting the business strategy;
 - » consider Economic, Social and Governance (ESG) criteria in strategy formulation;
 - » request the Management to evaluate market competition using accepted Strategic Management tools.
- Fulfil oversight responsibilities relating to the Bank's strategy including periodic review.
- Assist and support the Bank's Management in the preparation of Short Term, Medium Term and Long-Term plans to fulfil the Bank's goals and objectives.
- Ensure a robust annual Strategic Plan taking into account competitor analysis, global and local market development trends as well as developments in the technological sphere, which could impact the financial services industry.
- Review annually, the Bank's achievement against Strategic objectives.
- Finalise and approve the Annual Budget.
- Oversee the implementation of the Annual budget and execution against strategic milestones and goals.
- Approve specific short-term initiatives (E.g.: new products, efficiency measures, profit generation opportunities).
- Conduct post-implementation assessment of strategic initiatives and programmes.
- Perform any other activity within the scope of BSPC related activities that is deemed by the Committee to be required which will serve to enhance its or the Strategy function's effectiveness and efficiency.
- Review the Terms of Reference of the Committee periodically, and ensure that it reflects the best practices of the industry at all times.

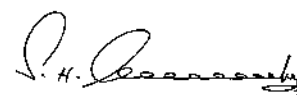
REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings, thereby providing the Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at the year-end by the members of the Committee. The results were discussed at the Committee with, where necessary, areas for improvement being identified and the plans for improvement being communicated to the Board.

On behalf of the Board Strategic Planning Committee,



HARSHA AMARASEKERA

Chairman - Board Strategic Planning Committee

17th February 2025
Colombo, Sri Lanka

Board Shareholder Relations Committee Report

GRI 2-24



The Committee monitored shareholder engagements of the Bank, addressing their concerns, questions and suggestions while reviewing shareholder proposals and resolutions to coordinate responses or further actions to address shareholder interests.



Rushanka Silva
Chairman

Diversity of Expertise

No. of Directors



Regular attendees to the Committee meetings by invitation:

- Any officer/s required by the Committee.

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

FORMATION OF THE COMMITTEE

Sampath Bank, being the first listed entity in Sri Lanka to establish a Board Shareholder Relations Committee (BSRC) pursuant to the Board Meeting held on 28th August 2008, demonstrated its commitment to strengthen shareholders' confidence in the Bank's governance by fostering transparency, trust and effective communication between the Board and the Shareholders.

COMMITTEE MEMBERSHIP DURING THE YEAR 2024

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Mr Rushanka Silva	Non-Independent/Non-Executive	Chairman	1/1
Mr Harsha Amarasekera	Non-Independent/Non-Executive	Member	1/1
Mr Hiran Cabraal	Independent/Non-Executive	Member	1/1
Mrs Ayodhya Iddawela Perera	Executive	Member	1/1
Mrs Keshini Jayawardena (Until 31st May 2024)	Independent/Non-Executive	Member	1/1

Refer pages 186 to 189 for the profiles of the committee members.

KEY ACTIVITIES IN 2024

- The Bank distributed a cash dividend of Rs 5.85 per share, upon obtaining the approval of the shareholders at 38th Annual General Meeting.
- The Committee also took into consideration, the suggestions made by shareholders to enhance the customer service aspects and addressed the issues raised by shareholders, aiming to maintain a strong, positive relationship.

KEY RESPONSIBILITIES OF THE COMMITTEE

- Providing suggestions to the Board to improve Shareholder/Investor relations of the Bank.
- Presenting Shareholder/Investor feedback to the management and to the Board.
- Providing guidance to the Board on matters of Shareholder/Investor relations.
- Performing any other activity within the scope of Shareholder/Investor related functions that is deemed by the Committee to be required which will serve to enhance its or the Shareholder/Investor function's effectiveness and efficiency.
- Reviewing the Terms of Reference of the Committee periodically and ensuring that it reflects the best practices of the industry at all times.

REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings, thereby providing the Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at the year-end by the members of the Committee. The results were discussed at the Committee with, where necessary, areas for improvement being identified and the plans for improvement being communicated to the Board.

On behalf of the Board Shareholder Relations Committee,

RUSHANKA SILVA

Chairman - Board Shareholder Relations Committee

17th February 2025
Colombo, Sri Lanka

Board Treasury Committee Report

GRI 2-24

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information



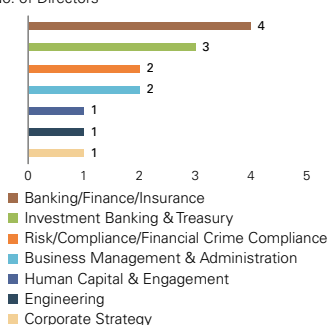
The BTC supported the Bank's strategic growth initiatives throughout the year, demonstrating exceptional expertise and precision in navigating a dynamic market environment, while providing guidance to the capitalisation of opportunities presented by the appreciation of Sri Lankan Rupee against a basket of global currencies.



Hiran Cabraal
Chairman

Diversity of Expertise

No. of Directors



* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

- Members of the Treasury Department
- Any other officer/s required by the Committee

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

FORMATION OF THE COMMITTEE

The Board Treasury Committee (BTC) was established on 31st May 2012 to guide the Treasury Department in fulfilling its responsibilities aligned with the Bank's goals of performance, profitability and growth. The BTC is responsible for assessing market developments and the country's economic outlook, ensuring informed decision-making by monitoring various market risk factors.

COMMITTEE MEMBERSHIP DURING THE YEAR 2024

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Mr Hiran Cabraal	Independent/Non-Executive	Chairman (w.e.f 1st June 2024)	5/5
Mr Dilip de S Wijeyeratne	Independent/Non-Executive	Member (Chairman until 31st May 2024)	5/5
Ms Aroshi Nanayakkara	Independent/Non-Executive	Member	5/5
Mr Vajira Kulatilaka	Independent/Non-Executive	Member	5/5
Mr Vinod Hirdaramani	Independent/Non-Executive	Member	3/5
Mrs Ayodhya Iddawela Perera	Executive	Member	5/5

w.e.f - with effect from

Refer pages 186 to 189 for the profiles of the committee members.

KEY ACTIVITIES IN 2024

- Liquidity Management:** Maintained robust liquidity buffers, ensuring compliance with regulatory requirements and safeguarding financial stability.
- Interest Rate Risk Management:** Successfully navigated a volatile interest rate environment, leveraging on strategies to minimise risks.
- Investment Performance:** Achieved above budget returns on the Bank's investment portfolio, balancing risk and return in alignment with the Bank's objectives.
- Cost of Funds:** Reduced funding costs through effective market positioning and relationship management with key financial partners.
- Foreign Exchange Risk Management:** Delivered significant profits by proactively managing currency exposures amid an appreciating Sri Lankan Rupee, leveraging on market opportunities and robust risk management strategies.
- Adoption of the BIS FX Global Code:** Successfully implemented the globally recognised framework, strengthening transparency, ethics and best practices in the Bank's foreign exchange operations.
- Initiation of the ALM/FTP System:** Launched the implementation of an advanced Asset-Liability Management and Funds Transfer Pricing system, addressing a critical long-term requirement to enhance balance sheet management.

KEY RESPONSIBILITIES OF THE COMMITTEE

- Reviewing the Bank's Treasury Policy and ensuring it meets with industry's best practices and recommend the same to Board of Directors.
- Reviewing and recommending the market and liquidity risk limits requested by the Treasury, to the Board of Directors for their approval and ensure that these limits support the Bank's objectives, business strategies and risk appetite.
- Reviewing and recommending the proposals relating to Treasury investments for the consideration and approval of the Board of Directors.

Board Treasury Committee Report

- Undertaking an independent effectiveness study of Treasury Front Office (TFO) as deemed necessary to establish if the function has competent personnel, systems and processes to function adequately and efficiently.
- Reviewing and approving the Treasury KPIs for the Treasury function and its key personnel.
- Reviewing Business Contingency Plans related to the TFO and ensure that these plans are tested frequently and in place.
- Reviewing the ALCO minutes and ensure that Treasury related initiatives and risks are properly addressed and discussed.
- Ensuring that the Treasury Middle and Back Offices are independent and no conflict of interest exists.
- Ensuring all regulatory breaches reported in the CBSL inspection reports and internal control lapses that have been highlighted in the External Auditors/Internal Audit reports have been satisfactorily resolved on a timely basis.
- Reviewing and ensuring that the Bank's Liquidity Contingency Plan is in place and is satisfactory.
- Reviewing and approving market risk limit breaches after seeking management explanations and confirmations that these have been rectified subsequently.
- Performing any other activity within the scope of BTC related activities that is deemed by the members of the Committee to be required to enhance the Treasury function's effectiveness and efficiency.
- Reviewing the Terms of Reference of the Committee periodically and ensuring that it reflects the best practices of the industry at all times.

REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings, thereby providing the Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at the year-end by the members of the Committee. The results were discussed at the Committee with, where necessary, areas for improvement being identified and the plans for improvement being communicated to the Board.

On behalf of the Board Treasury Committee,



HIRAN CABRAAL

Chairman - Board Treasury Committee

17th February 2025

Board Marketing Committee Report

GRI 2-24



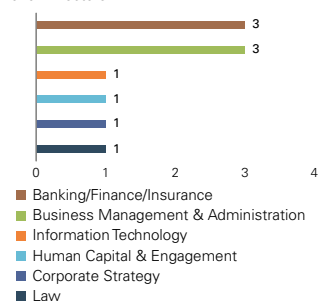
The Board Marketing Committee, in collaboration with management and its media partners, ensures the implementation of impactful and innovative marketing strategies to ensure that Sampath Bank's value driven brand remains at the heart of the Sri Lankan people.



Aroshi Nanayakkara
Chairperson

Diversity of Expertise

No. of Directors



* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

- Senior Deputy General Manager – Marketing, Customer Care & Card Centre
- Any other officer/s required by the Committee

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

FORMATION OF THE COMMITTEE

The Board Marketing Committee (BMC) was established on 28th June 2012 by the Board of Directors, with the objective of providing direction and guidance for the marketing activities of the bank, driving revenue growth and customer satisfaction.

COMMITTEE MEMBERSHIP DURING THE YEAR 2024

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Ms Aroshi Nanayakkara	Independent/Non-Executive	Chairperson	4/4
Mr Rushanka Silva	Non-Independent/Non-Executive	Member	4/4
Mr Harsha Amarasekera	Non-Independent/Non-Executive	Member	3/4
Mr Vinod Hirdaramani	Independent/Non-Executive	Member	3/4
Mr Keith Modder (w.e.f 1st June 2024)	Independent/Non-Executive	Member	2/2
Mrs Ayodhya Iddawela Perera	Executive	Member	4/4

w.e.f – with effect from

Refer pages 186 to 189 for the profiles of the committee members.

KEY ACTIVITIES IN 2024

- Ensured that the marketing strategies were aligned with the short, medium and long-term goals of the Bank.
- Reviewed customer engagement information and brand surveys to understand current and future requirements of customers and their evolving needs.
- Reviewed marketing budgets to ensure that resources are allocated effectively and utilisation is as per plan.
- Evaluated the effectiveness of marketing strategies in delivering the brand outcomes desired.
- Evaluated effectiveness of the Committee.

Engagements with Customer Segments and Marketing Related Activities of the Bank through the Guidance of BMC

Raigam Tele Awards

- In 2024, Sampath Bank marked its continued association as the main sponsor of the Raigam Tele Awards. The 20th edition of this prestigious television award ceremony took place on 30th March 2024 at the Shangri-La Hotel, Colombo. This milestone anniversary celebrated two decades of recognising excellence in Sri Lanka's television industry with a special "Nominations Evening" being held at Waters Edge. Sampath Bank's sponsorship underscores its ongoing support to the country's arts and entertainment sector.

Swarna Pusthaka Awards

- Sampath Bank continued its long-standing sponsorship of the "Swarna Pusthaka Awards", one of the most prestigious literary events in Sri Lanka. The 18th edition of the awards, held on 14th September 2024 at the Bandaranaike Memorial International Conference Hall (BMICH), celebrated the finest Sinhala novels published in the past year. By supporting this event, Sampath Bank reaffirms its dedication to promoting local literature and encouraging the growth of Sri Lankan novelists.

Board Marketing Committee Report

KEY ACTIVITIES IN 2024

Colombo International Book Fair (CIBF)

- For over 16 years, Sampath Bank has proudly been the Official Banker of the Colombo International Book Fair. This iconic event, held from 27th September to 06th October 2024 at the BMICH, attracted over a million visitors. Sampath Bank's partnership continues to support the promotion of literacy and education enriching the community through the celebration of reading.

Wonder Women Initiative Unstoppable Woman

- In commemoration of International Women's Day 2024, Sampath Bank hosted a grand celebration featuring a fireside chat with four outstanding women entrepreneurs who were actively supported by the Bank in their entrepreneurial journey. The Bank took leadership again by being one of the few corporate entities to host a public celebration of this magnitude showcasing its commitment to women's empowerment and economic inclusivity.

Brand Health Study

- Sampath Bank conducted a brand health study to assess various aspects of brand performance, customer perception and market positioning. This study evaluated factors like brand awareness, usage, consideration, loyalty and perception against market players. The study helped Sampath Bank to align its services to better meet customer expectations and strengthen its market presence.

Golf Tournament

- Sampath Bank was proud to sponsor the prestigious July Monthly Medal at the Royal Colombo Golf Club, held on the 12th and 13th of July 2024. Bringing together over 300 golfers from across the country, this event enhanced Sampath Bank's customer experiences through distinguished sporting events.

Oktoberfest 2024

- Sampath Cards was once again the main sponsor of the Oktoberfest 2024 at Hilton Colombo. This festival, which was held over a period of 10 days, attracted almost 12,000 guests.

Symphony Orchestra Concert

- Sampath Bank proudly partnered with the Symphony Orchestra of Sri Lanka to host SOSL's first-ever trilingual PoP Extravaganza which took place on the 19th and 20th of October 2024 at the Bishop's College auditorium. The exclusive, invitees only event on the 19th of September was for select customers of the Bank ending with an evening of fellowship and networking. This event was yet another demonstration of the Bank's commitment to furthering cultural diversity and artistic expression.

Sri Lanka Institute of Directors (SLID) Sponsorship

- Sampath Bank strengthened its corporate standing by becoming an annual corporate partner of the Sri Lanka Institute of Directors for 2024-2025. Bringing together over 1,000 Board Directors and business leaders from both public listed and private companies, SLID is at the forefront of corporate governance. Through this partnership, Sampath Bank has gained strategic access to high-profile corporate events and gatherings, reinforcing its position as the preferred banking partner of business leaders in the country.

EDEX Expo 2024

- Sampath Bank tied up with EDEX Expo 2024 higher education exhibition as an official banking partner. The exhibition was held on 9th, 10th and 11th February at SLECC, Colombo and in 17th and 18th February at KCC, Kandy. This collaboration supported students' educational ambitions through smoother and more accessible financial services tailored for them making their education payments easier.

Future Minds 2024

- Sampath Bank was the official banking partner for the Future Minds Educational Exhibition, a leading National Higher Education and Career Exhibition of Sri Lanka which was conducted in 3 different locations (Colombo, Kandy and Galle) to provide a comprehensive suite of services to help students and facilitate learning opportunities. By supporting the Future Minds Exhibition, the Bank not only enhanced its brand visibility but also reinforced its role in shaping a knowledgeable and empowered future generation.

Digital Marketing Initiatives

Launch of First Sri Lankan Verified Banking WhatsApp Channel

- Sampath Bank has achieved a significant milestone by becoming the first Sri Lankan Bank to launch an official WhatsApp channel, verified with a blue tick. This initiative marks a step forward in the bank's digital transformation, enhancing customer engagement and authenticity for service delivery.

Sampath Bank Takes Social Media Management in House

- Sampath Bank's decision to take advertising control of its official social media platforms reflects a strategic move to enhance its online presence and communication. By managing these platforms directly, the Bank ensured consistent and personalised messaging and improved customer engagement and feedback. This control allows for a more cohesive brand image and the ability to promptly share updates, promotions and educational content on finance with its audience. Additionally, it enabled the Bank to leverage social media analytics to refine its marketing strategies and better understand customer preferences. This initiative was part of a broader effort to strengthen the Bank's digital footprint and foster stronger relationships with its customers.

Sampath Bank Achieved Verification (Blue Tick) Across Social Media Platforms

- Sampath Bank recently achieved verification on its social media platforms such as Facebook, Instagram, LinkedIn and X by obtaining blue ticks. This verification enhances trust among customers and stakeholders as it helps to prevent impersonation and misinformation.

Other Initiatives

DS Rugby 2024-2025

- Sampath Bank proudly partnered with DS Rugby as the Official Banking Partner for 2024, furthering its commitment to promoting sports and supporting school-level initiatives. By sponsoring DS Rugby, Sampath Bank is fostering the development of young athletes while also contributing to the growth of school sports in Sri Lanka, aligning with its values of community support and corporate responsibility.

Marketing Communication to Mark 25th Tank Restoration

- Sampath Bank's 25th tank restoration under its flagship "Wewata Jeewayak" project is a testament to the yeoman service it provides in the upliftment of the rural farming community, a key pillar of Sri Lanka's economy. The marketing communications of the Bank have highlighted the "Wewata Jeewayak" project and the social consciousness with which the Bank continues to operate. The project also takes a participatory approach with farmers' views being solicited, ensuring that the actual irrigation needs of the community are met. We remain a Bank that understands and a true champion of the Sri Lankan people.

KEY RESPONSIBILITIES OF THE COMMITTEE

- Reviewing and aligning the marketing strategies in line with the overall annual/medium term strategic objectives of the Bank.
- Reviewing the customer strategy and performance against set objectives.
- Reviewing the Brand strategy and its performance.
- Monitoring customer service and customer service strategies in line with the customer charter.
- Providing oversight to marketing expenditure.
- Reviewing market research pertaining to the brand, customer, products and competition.
- Any other activity within the scope of marketing-related activities that is deemed by the Committee to be required which will serve to enhance its, or the Marketing function's effectiveness and efficiency.
- Approving marketing expenses (excluding capital expenses) recognised and approved in the annual marketing budget and the Committee to update the Main Board on such expenses sanctioned on a periodic basis as deemed necessary.

REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings, thereby providing the Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at the year-end by the members of the Committee. The results were discussed at the Committee with, where necessary, areas for improvement being identified and the plans for improvement being communicated to the Board.

On behalf of the Board Marketing Committee,



AROSHI NANAYAKKARA

Chairperson - Board Marketing Committee

17th February 2025

Colombo, Sri Lanka

Board IT Committee Report

GRI 2-24



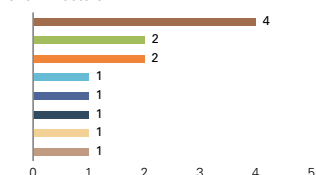
Championing strategic investments in digital platform modernisation and organisational structures that will enable us to run the bank, secure the bank, change the bank, and innovate the bank at the speed of business, we focus on continuously improving how we intelligently serve and securely connect with our clients, which is the key objective of the Committee.



Keith Modder
Chairman

Diversity of Expertise

No. of Directors



■ Banking/Finance/Insurance
 ■ Investment Banking & Treasury
 ■ Business Management & Administration
 ■ Information Technology
 ■ Risk/Compliance/Financial Crime Compliance
 ■ Human Capital & Engagement
 ■ Engineering
 ■ Corporate Strategy

* an individual Director may represent more than one discipline

Regular attendees to the Committee meetings by invitation:

- Chief Information Officer (CIO)
- Chief Information Security Officer (CISO)
- Any other officer/s required by the Committee

The Company Secretary functioned as the Secretary to the Committee and in his absence, a nominee appointed by the Company Secretary functioned as the Secretary to the Committee during the year under review.

FORMATION OF THE COMMITTEE

The Board IT Committee (BITC) was established on 26th October 2017 by the Board of Directors, with the task of expediting the digitisation agenda of the Bank and safeguarding the Bank against cybersecurity risk.

COMMITTEE MEMBERSHIP DURING THE YEAR 2024

Board Member	Directorship Status	Membership Status	Attendance (Attended/Eligible to Attend)
Mr Keith Modder (w.e.f 1st June 2024)	Independent/Non-Executive	Chairman (w.e.f 1st June 2024)	7/7
Mr Rushanka Silva	Non-Independent/Non-Executive	Member (Chairman until 31st May 2024)	7/8
Ms Aroshi Nanayakkara	Independent/Non-Executive	Member	8/8
Mr Vajira Kulatilaka	Independent/Non-Executive	Member	8/8
Mrs Ayodhya Iddawela Perera	Executive	Member	8/8
Mr Hiran Cabraal (w.e.f 1st June 2024)	Independent/Non-Executive	Member	6/7
Mrs Keshini Jayawardena (Until 31st May 2024)	Independent/Non-Executive	Member	1/1

w.e.f – with effect from

Refer pages 186 to 189 for the profiles of the committee members.

KEY ACTIVITIES IN 2024

- In 2024 the BITC strengthened its focus on digital asset acquisition and human resource allocation in keeping with our strategy.
- The Board IT Committee implemented a strong 'change the bank' framework that ensured all programs were envisaged and executed in a two-in-a-box accountability model of business and IT leadership. This is combined with a Minimal Viable Product approach to expedite ROI and 'speed to client' delivery.
- Our 'run the bank' and 'secure the bank' capabilities stood the test in a backdrop of a

global infrastructure outage and heightened cybercrime; where unscrupulous threat actors deployed phishing attacks, to deceive unsuspecting people into sharing their credentials.

- This has only reinforced our view that cybersecurity and platform resilience is a journey and never a destination.
- Finally, our 'innovate the bank' focus is evaluating several AI related client services fraud detection, cybersecurity and cycle time improvement opportunities.

KEY RESPONSIBILITIES OF THE COMMITTEE

- To review and recommend the IT strategic plan of the Bank in line with the Board approved Strategic Plan of the Bank.
- To periodically update the Board on the developments taking place in the technological landscape which may have an impact on the Bank and the Financial Services Industry in the future.
- To review and recommend the Bank policies related to IT, IT expenditure and budgets, IT Security requirements and measures of the Bank.
- To monitor the Bank's investments in technology.
- To review the progress of the Digitalisation Journey and oversee the process of training on digitalisation and on-boarding and familiarisation for all staff.
- To approve budgeted IT operational expenditure based on Procurement Committee recommendations that are within the approved annual budget.
- Any other activity within the scope of IT related activities that is deemed by the Committee to be required which will serve to enhance its or the IT function's effectiveness and efficiency.

- Review the Terms of Reference of the Committee periodically, to ensure that it reflects industry best practices at all times.

REPORTING TO THE BOARD

The minutes of the Committee meetings were tabled at Board meetings, thereby providing Board members with access to the deliberations of the Committee.

PERFORMANCE EVALUATION OF THE COMMITTEE

The annual self-evaluation of the Committee was conducted at the year-end by the members of the Committee. The results were discussed at the Committee with, where necessary, areas for improvement being identified and the plans for improvement being communicated to the Board.

On behalf of the Board IT Committee,

KEITH MODDER

Chairman – Board IT Committee

17th February 2025
Colombo, Sri Lanka

Compliance Report

GRI 2-24, 27

The Bank has a dedicated Compliance Department which supports its priorities of safeguarding its reputation and operating licenses in addition to the functions assigned by CBSL which has mandated the effective functioning of this department.

COMPLIANCE LANDSCAPE 2024

A key area of focus in 2024 was the preparation for the third mutual evaluation of the country on Anti Money Laundering standards which will be facilitated by CBSL and APG planned for 2025. Key officials from the Compliance Department participated in the training conducted by CBSL and the Association of Compliance Officers of the Banks in Sri Lanka. Negative observations arising from the review can have significant consequences for the country in the form of sanctions and downgrades and the industry is working closely with the regulator to ensure a positive outcome.

CBSL issued a new directive on Corporate Governance in September and October

2024 with target dates for compliance, further strengthening corporate governance of banks.

CSE had issued a new Listing Rule No. 9 on Corporate Governance which significantly strengthened governance of public listed entities. Compliance with provisions was progressive commenced from October 2023 to 1st January 2025 with most rules becoming applicable by 1st October 2024.

The Ministry of Defence also revised the local list of terrorist organisations during the year. Additionally, the Bank remained vigilant about frauds and thefts as the industry identified the related risks remained elevated.

2024 Highlights

- Preparations for third mutual evaluation of the country on Anti-Money Laundering standards
- CBSL issues new directives on Corporate Governance
- More provisions of CSE Listing Rule No. 9 became effective in 2024
- Strengthened compliance team
- Enhanced controls on Transaction Monitoring System

ENSURING COMPLIANCE

Focus on Training

The Bank recognises the importance of the third mutual review of the country on Anti-Money Laundering standards and is rigorously preparing for a successful outcome from the review. Accordingly, the Bank is updating the knowledge of officers across the organisation to strengthen the country report and ensure implementation of recommended remedial action in readiness for the review. Additionally, the first line of defence was strengthened to combat the increased risk of fraud and theft.

Strengthening Governance

Following the issue of the new CBSL guideline, the Board was apprised of the necessary changes and a road map for compliance has been drawn up facilitating compliance by the due dates. It is noteworthy that high standards of governance maintained by the Bank resulted in a relatively short list of non-compliances. The Bank is fully compliant with the CSE Listing Rule No. 9 at the close of the year. Additionally, the Bank has made the necessary changes in its systems to accommodate the updated list of terrorists in its systems.

Focus on Customer Awareness

The Bank increased focus on customer awareness of online safety and fraud prevention in response to elevated threats

as many fraudsters prey directly on the customer. Several campaigns were carried out on print and social media to alert customers of potential risks and remedial actions.



A Competent and Effective Team

Relatively high numbers of new employees and the increasing compliance risks related to roll out of digital products necessitated the focus on building the knowledge and capabilities of the Compliance Department. Accordingly, employees at all levels are provided with awareness sessions/training programmes

on related regulatory requirements conducted by the Compliance Department on continuous basis to educate the team. Recruitment also proved a challenge due to diminishing talent pools across the industry and significant efforts were made to attract the right talent with the requisite knowledge, experience, attitudes and behaviours.

External Reviews

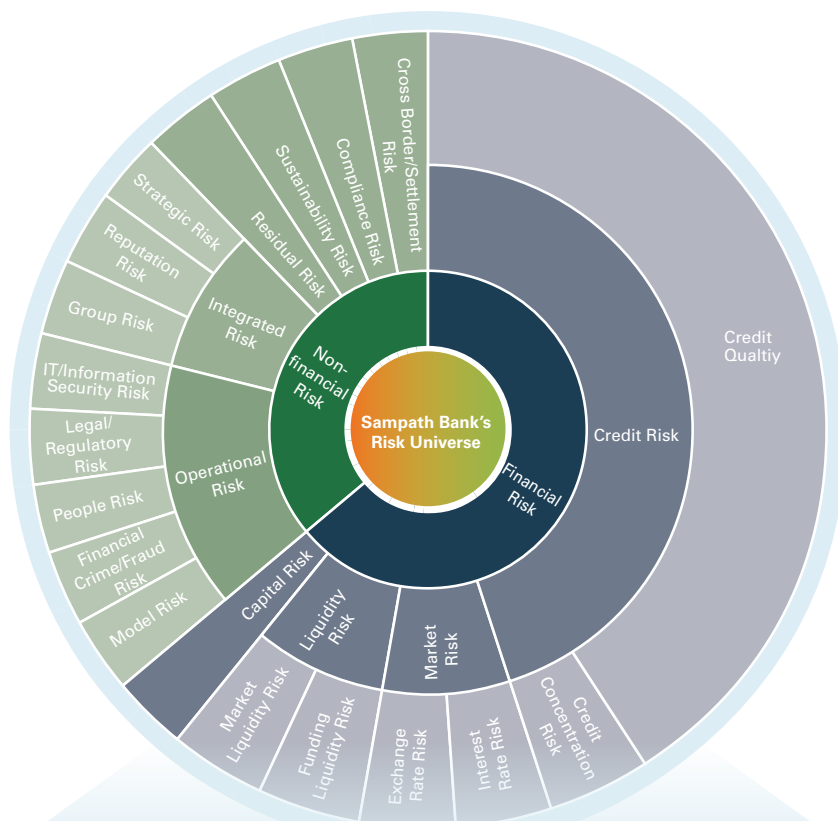
As instructed by CBSL, Bank's transaction monitoring system was reviewed by the external auditor (Ernst & Young) to identify any gaps in the current system and improve the effectiveness of the transaction monitoring system.

PRIORITIES FOR 2025

The main priority for the year ahead will be the mutual evaluation of the country's anti-money laundering standards. The Bank will also be fine-tuning its transaction monitoring systems in line with recommendations of the external auditors. Training on compliance related matters for front line and operational staff as well as capacity building of our team will continue to ensure that the Bank safeguards its reputation and operating license.

Risk Management Report

GRI 2-24



The above graph illustrates the key risk factors to which the Bank is exposed. It is important to note that the scale depicted may not precisely reflect the actual level of risk. Furthermore, non-financial risks, depending on the nature and severity of events or incidents, have the potential to result in financial losses or impact the Bank. Moreover, these risk exposures are subject to change in real time as internal and external risk events occur.

KEY INITIATIVES IMPLEMENTED IN 2024

Risk Governance

- Establishing the Board Sustainability Committee
- Documentation of RCP Policy
- Implemented sustainability related risk policies

Credit Risk

- Automation of upgrading stage of impairment related to restructured and rescheduled facilities
- Strengthening the procedure on identifying elevated risk industries
- Automation of watch listing of restructured and rescheduled facilities
- In-depth industry analysis to ascertain elevated risk industries
- Quarterly evaluation of exposures below Rs 100 Mn through a sample approach

Market Risk

- Introduction of MTM loss limits for US Treasuries portfolio
- Introducing Counterparty Selection based on external ratings and other relevant parameters
- Consolidation of country limits under Treasury and Export bills to arrive at a holistic view
- System enhancements and process improvements were made to monitor rate reasonableness for PDU deal rates and counterparty settlement limit exposures

Operational Risk

- Further strengthening of the loss data collection mechanisms by department/branch-wide training series covering the entire network

Liquidity and Capital Adequacy

- The discontinuation of SLAR as the liquidity ratio and the introduction of LCR and NSFR
- The introduction of LCR and NSFR to the risk appetite limits

Sustainability Risk

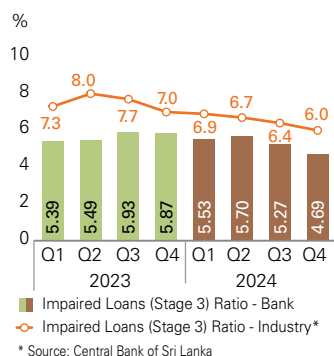
- Inclusion of sustainability risk opinions under the ESMS framework

Sampath Bank's rating was affirmed by Fitch Ratings (Lanka) Ltd at AA-(lka) with a Stable outlook in January 2025 [31st December 2024: A(lka) Stable]. The rating reflects the Bank's prominent position among the country's top three private commercial banks and its potential to generate and defend business volumes in a gradually improving macro-economy. The rating also incorporated the Bank's exposure to the sovereign through the international debt restructuring programme.

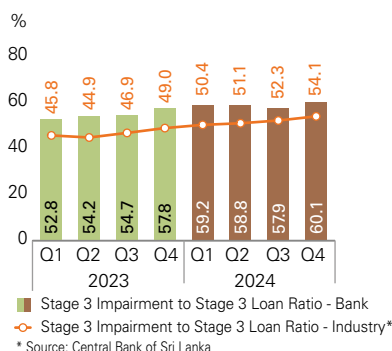
Credit Risk

This is the largest risk exposure of the Bank. The Bank's key credit risk indicators as at 31st December 2024 have improved compared with the previous year and performed better than the industry average.

Impaired Loans (Stage 3) Ratio



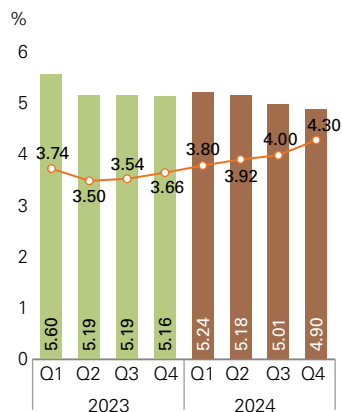
Stage 3 Impairment to Stage 3 Loan Ratio



Earnings

Better than industry earnings ratios reflect the effective management of interest rate risk and exchange rate risk, the Bank's key market risk exposures and its cost profile.

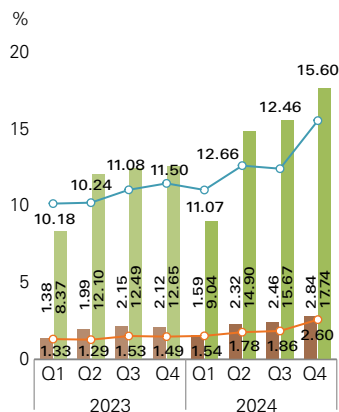
Net Interest Margin



■ Net Interest Margin - Bank
 ○ Net Interest Margin - Industry*

* Source: Central Bank of Sri Lanka

ROA & ROE



■ ROA (Before Tax) - Bank
 ■ ROE (After Tax) - Bank
 ○ ROA (Before Tax) - Industry*
 ○ ROE (After Tax) - Industry*

* Source: Central Bank of Sri Lanka

The Bank's financial stability is underpinned by robust liquidity and capital adequacy ratios that are consistently well above the minimum regulatory requirements and industry averages. Our prudent approach to managing the key risks reflects our emphasis on maintaining stakeholder trust and confidence.

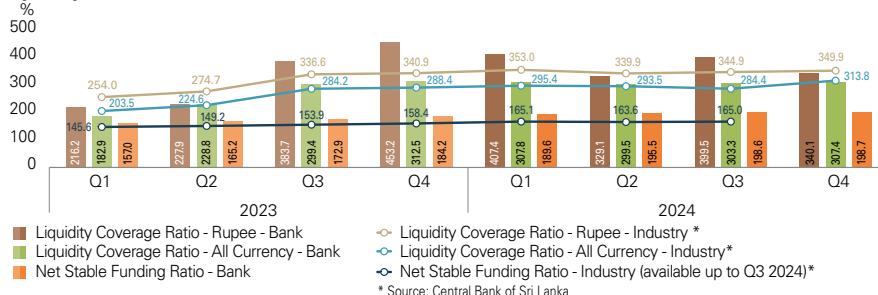
Way Forward

- Maintain a data repository which includes borrower details in similar industries, consumer behaviour and trends, industry updates to improve efficiency and effectiveness of risk assessment of credit proposals.
- Monitoring and follow up of the covenants imposed when approving credit facilities and provide periodical reminders/instructions to Business Units for necessary action plans.
- Increase the depth of independent verification of ISL impairment through the oversight of a selected list of customers with forecasted cashflows.
- Implementation of a behavioural score card, a new credit risk rating model to rate borrowers based on customer behaviour for personal borrowers.
- Develop scenarios and score cards for sectors relating to ESG risk.
- Conduct stress testing for ESG risk.
- Enhance the liquidity contingency funding plan to ensure access to adequate funding in times of stress.
- Conduct back-testing for VaR models.
- Develop a comprehensive loss event reporting system by integration of Artificial Intelligence and Automation of anomaly and potential risk event detection.
- Development of a scorecard to incorporate sustainability risks into ICAAP under Pillar II and allocate capital based on the requirement.

Liquidity and Capital Management

The Bank's financial stability is underpinned by robust liquidity and capital adequacy ratios that are consistently well above the minimum regulatory requirements and industry averages. Our prudent approach to managing these key risks reflects our emphasis on maintaining stakeholder trust and confidence.

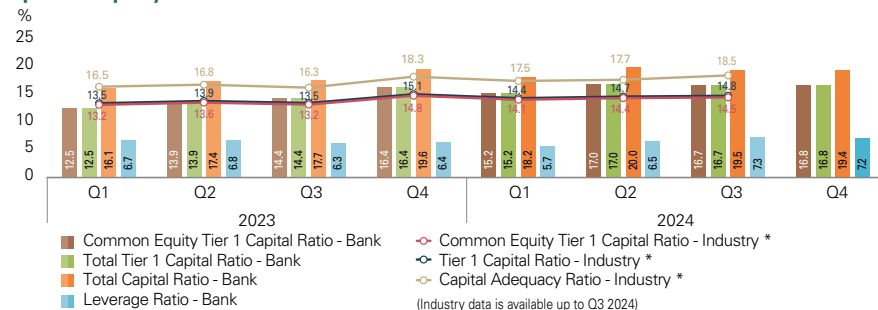
Liquidity



■ Liquidity Coverage Ratio - Ruppee - Bank
 ■ Liquidity Coverage Ratio - All Currency - Bank
 ■ Net Stable Funding Ratio - Bank
 ○ Liquidity Coverage Ratio - Ruppee - Industry*
 ○ Liquidity Coverage Ratio - All Currency - Industry*
 ○ Net Stable Funding Ratio - Industry* (available up to Q3 2024)*

* Source: Central Bank of Sri Lanka

Capital Adequacy



■ Common Equity Tier 1 Capital Ratio - Bank
 ■ Total Tier 1 Capital Ratio - Bank
 ■ Total Capital Ratio - Bank
 ■ Leverage Ratio - Bank
 ○ Common Equity Tier 1 Capital Ratio - Industry*
 ○ Total Tier 1 Capital Ratio - Industry*
 ○ Total Capital Ratio - Industry*
 ○ Leverage Ratio - Industry*

(Industry data is available up to Q3 2024)

* Source: Central Bank of Sri Lanka

Other Material Risks

Other material risks including operational risks, strategic risk, reputation risk and sustainability risks can have substantial financial consequences for the Bank. To effectively manage these risks we employ a comprehensive framework that is based on sound governance, robust internal controls, meticulous compliance and legal functions and rigorous financial reporting processes. A strong risk culture enables a shared commitment to risk awareness and management at all levels of the Bank.

Risk Management Report

RISK MANAGEMENT REVIEW

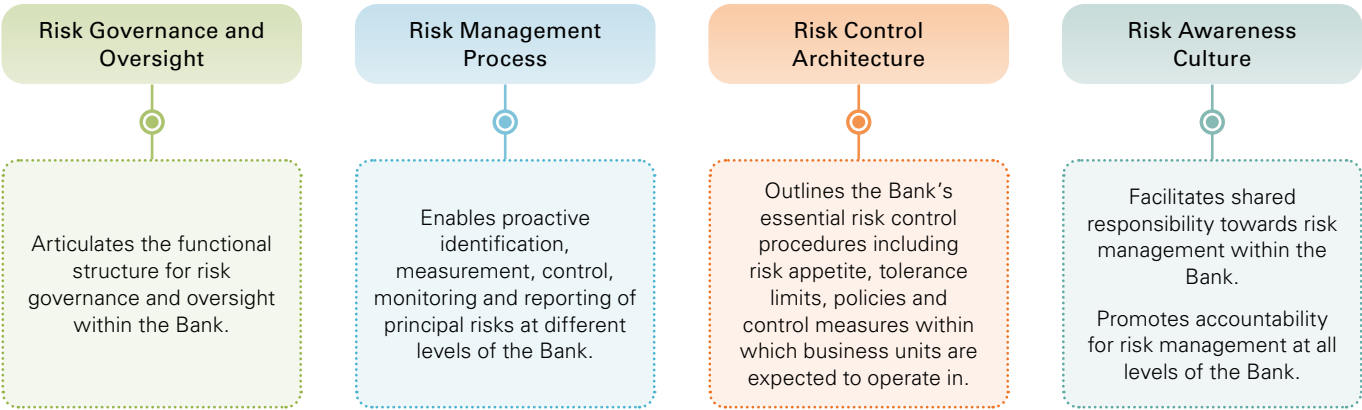
RISK MANAGEMENT FRAMEWORK

As a licensed commercial bank regulated by the Central Bank of Sri Lanka, the CBSL mandated Integrated Risk Management (IRM) forms the foundation of Sampath Bank's risk management. The Bank's Integrated Risk Management Framework

is approved by its Board of Directors and guides effective risk management within the Bank.

The Bank's Risk Management Policy Framework is anchored on four key pillars and comprises a suite of complementary

policies, procedures and protocols that enable the effective management of its principal risks within its risk universe. A summary of the Bank's risk management framework is given below.

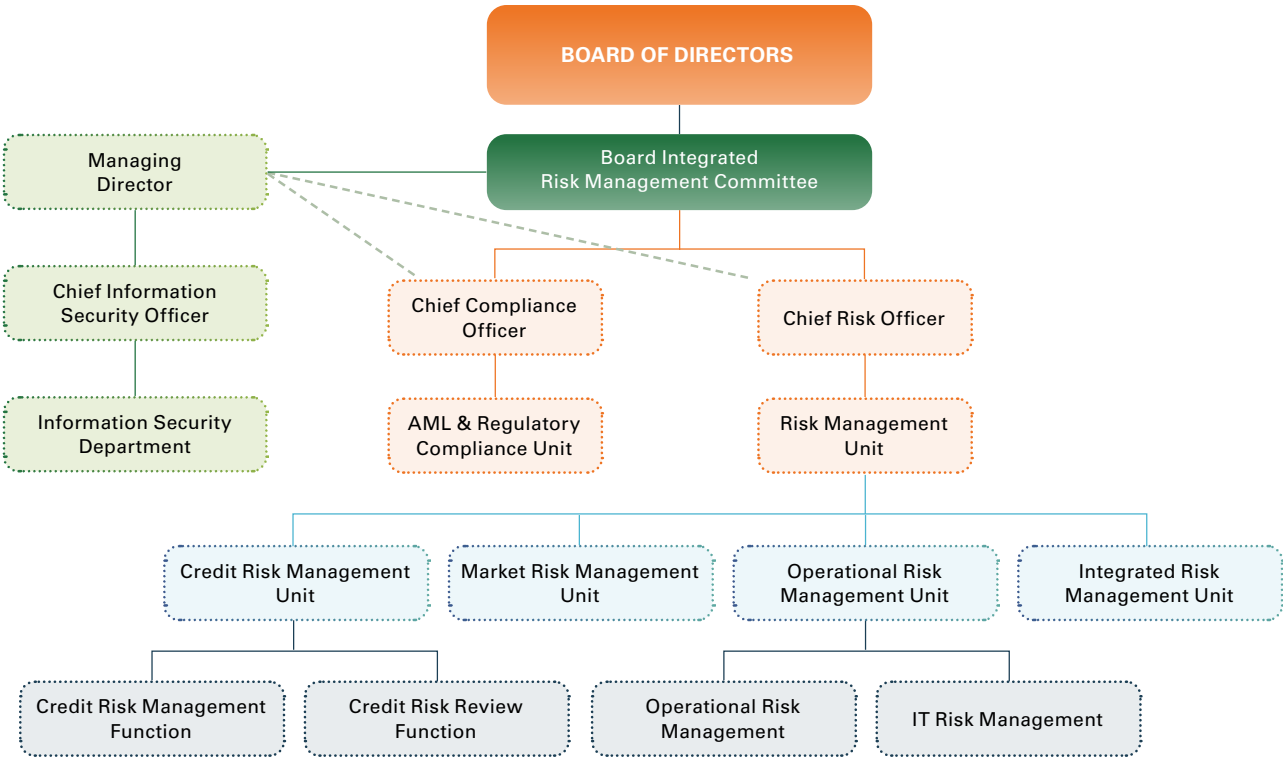


1. Risk Governance

Sampath Bank's risk governance structure clarifies the roles and responsibilities for managing risk within the Bank. The Board of Directors collectively holds overall responsibility for managing risks within the Bank and are assisted by several Board

sub-committees which operate under the delegated authority of the Board. Additionally, the Board sub-committees provide oversight and guidance to Corporate Management regarding effective implementation of the Bank's Integrated Risk Management Framework

which includes the formulation and implementation of the required risk control framework, strengthening risk monitoring and risk reporting systems as well as for driving the Bank-wide risk awareness culture. The Bank's risk governance structure is presented below.

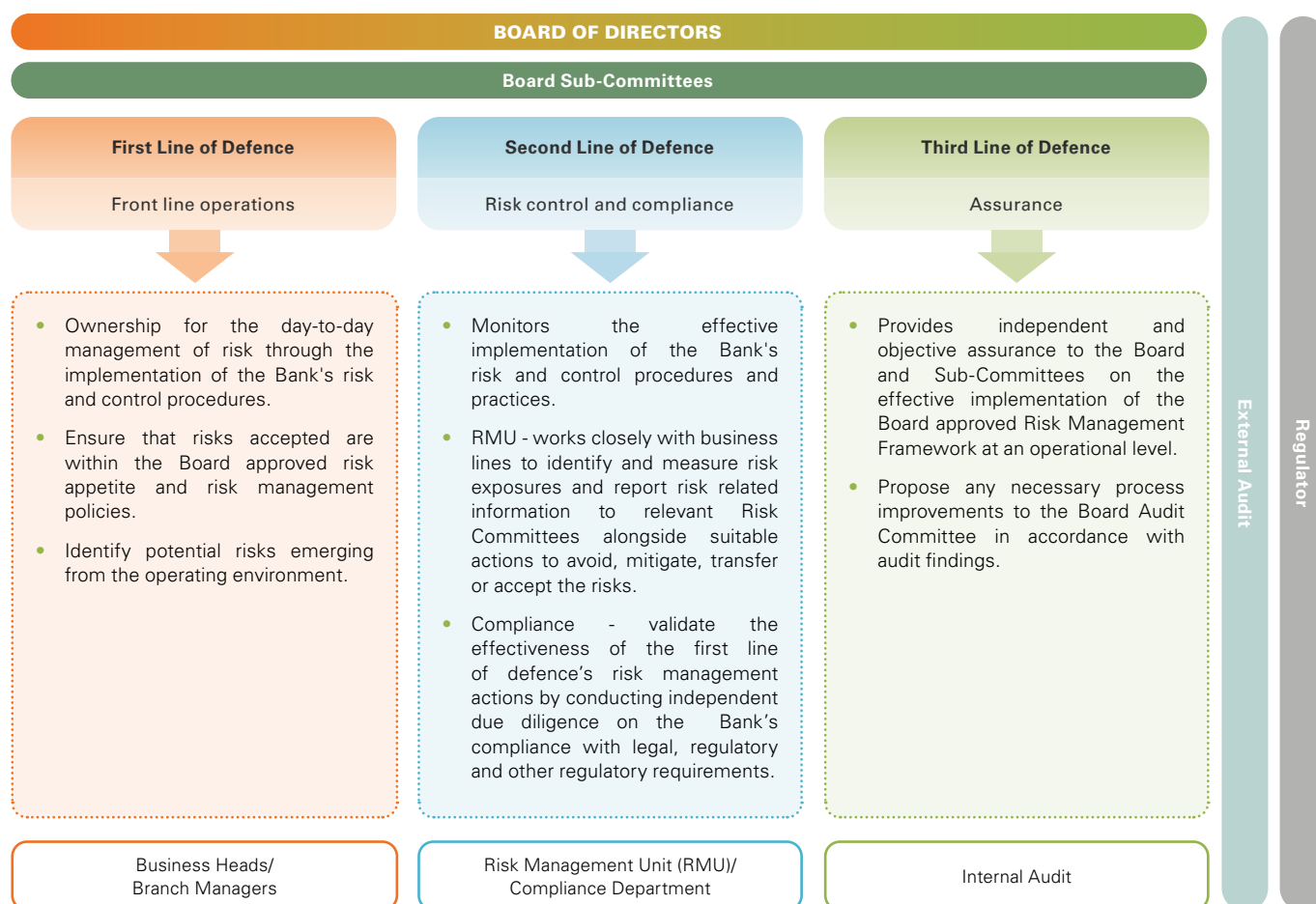


The roles and responsibilities of the Board and Board Sub-Committees are summarised below.

Roles and Responsibilities	
Board of Directors (BOD)	As the apex body for risk oversight within the Bank, the Board is responsible for setting the Bank's risk strategy and monitoring its implementation. This includes developing the Bank's risk strategy and related principles, target risk profile, risk appetite limits for each risk category and appropriate risk policies and procedures. This ensures that the Bank's operations are in alignment with its strategic goals while emphasising a robust control framework for effective risk management at an operational level.
Board Sub-Committees	
Board Integrated Risk Management Committee (BIRMC)	BIRMC has oversight of the risk management functions of the Bank and reports to the Board on the subject. They also liaise with other Board committees that look at specific aspects of risk assigned to such committees, taking an overall objective and balanced view of how these matters affect the overall risk profile of the Bank.
Board Audit Committee (BAC)	The BAC plays a critical role in ensuring the effective functioning of the system of internal controls which is vital for management of operational risks and the integrity of financial reporting which is key to measurement and monitoring of financial risks.
Board IT Committee (BITC)	BITC plays a critical role in management of operational risks including cyber risks given the high dependence on IT systems for the effective execution of increasingly digitalised business/value creation model.
Board Credit Committee (BCC)	BCC has the responsibility to oversee the credit and lending strategies and objectives of the Bank while maintaining adequate controls over credit risk.
Board Treasury Committee (BTC)	BTC plays a key role in management of Market Risk and Investment Risk, maintaining high levels of vigilance over external market factors that impact the Bank.
Board Strategic Planning Committee (BSPC)	BSPC is responsible for detailed review of the Bank's strategy and therefore, looks closely at strategic risks, resource allocation and capital management.
Board Related Party Transactions Review Committee (BRPTRC)	This committee plays a key role in Compliance Risk and Reputation Risk as it exercises oversight over related party transactions, ensuring that the Bank complies with the necessary disclosures.
Board Sustainability Committee (BSC)	The BSC oversees the development and implementation of the Bank's sustainability strategy and policies in alignment with the Bank's Sustainability Related Risks and Opportunities (SRROs) and Climate Related Risks and Opportunities (CRROs).
Management-Level Committees	
Risk and Compliance Committee (RCC)	The Committee oversees the implementation of the Bank's risk management strategy and compliance with regulatory requirements and makes recommendations to the Operational Risk Management Committee (ORMC), Corporate Management and the BIRMC.
Credit Policy, Risk & Portfolio Review Committee (CPR & PRC)	The CPR&PRC serves as the liaison between the Board Credit Committee (BCC) and Board Integrated Risk Management Committee (BIRMC) to facilitate credit and credit risk management related activities.
Model Risk Management Committee (MRMC)	Oversees the model approval and model validation process of the Bank.
Assets & Liabilities Management Committee (ALCO)	ALCO is responsible for effectively managing the assets and liabilities of the Bank, optimising its funding mix, effectively managing liquidity and market risks while maximising returns. It is also responsible for liquidity contingency planning.
Recovery Plan (RCP) Working Committee	Responsible for overseeing the RCP process and ensuring that a full range of recovery options are identified and available at the disposal of the Bank to deal with shocks to capital, liquidity and all other aspects arising from internal and external stresses.
Operational Risk Management Committee (ORMC)	Comprises a cross-functional team of Corporate Management and assists the BIRMC by increasing oversight over operational aspects. Resultantly, this committee serves as the main liaison between the BIRMC and other operational committees.
Investment Committee	The Investment Committee is responsible for reviewing, approving and overseeing the implementation of the Bank's Investment Policy including making and authorising investment decisions, optimising returns on investments, and classification of the investment portfolio.
Fraud Risk Management Committee (FRMC)	The FRMC is responsible for the effective management of fraud risk in alignment with the Bank's Board-approved Anti-Fraud policy.
Information Security Committee	This Committee is responsible for designing and driving the Bank's information security strategy, policies and awareness.
Internal Capital Adequacy Assessment Process (ICAAP) Working Committee	The ICAAP Working Committee oversees the ICAAP process and ensures consistent adoption and implementation of the Bank's Board approved ICAAP Policy. The committee shall review, challenge, and approve methods and approaches of risk assessment under Pillar II.
Environmental and Social Management System (ESMS) Implementation Committee	The ESMS Implementation Committee is responsible for integrating and operationalising the Bank's Environmental and Social Management System (ESMS) within Business Units.
Internal Control Over Financial Reporting (ICOFR) Steering Committee	Responsible for ensuring successful compliance with Section 3(8)(iii)(b) of the Banking Act Direction No. 11 of 2007 and assessing the effectiveness of the Internal Control Over Financial Reporting System. Established under the guidance of the Bank's external auditors.
Outsourcing Committee	The Outsourcing Committee oversees and manages risks arising from the Bank's outsourced functions.
Data Dissemination Committee (DDC)	The DDC is responsible for the effective implementation of the Bank's data governance strategy and building awareness on best practice related to data security and privacy management. The Committee is also responsible for approving, recommending and reviewing the Bank's protocols regarding the sharing of information with third parties.
Procurement Committee	Responsible for the effective management of procurement related risks and include the evaluation and selection of suitable suppliers.

Risk Management Report

Sampath Bank adopts the three-lines-of-defence approach to manage risk within the Bank in line with best practices.



The Bank's comprehensive risk management policy framework is summarised below.

Integrated Risk Management Policy Framework				
Risk Control Architecture				
- Integrated Risk Management Policy - Risk Appetite Statement - Stress Testing Policy	- Recovery Plan Policy - Group Risk Management Policy - Strategic Risk Management Policy	Reputational Risk Management Policy		
Credit Risk	Market Risk	Liquidity Risk and Capital Management	Operational Risk	IT Risk
- Credit Risk Management Policy - Credit Policy - ESMS Policy	Market Risk Management Policy	- Liquid Asset Management Policy - ALCO Policy - Treasury Policy - Investment Policy - ICAAP Policy	- Operational Risk Management Policy - Legal Risk Management Policy - Policy on Mapping Bank's Business Activities into Basel Business Lines	- Model Validation Policy - Model Risk Policy

STRENGTHENING RISK GOVERNANCE IN 2024

- Implemented sustainability related risk policies.
- Documentation of RCP Policy.
- Established the Board Sustainability Committee.

2. Risk Management Process

Sampath Bank's approach to managing risk follows the below common process with adaptations across key risks to capture their specific characteristics. This process is used to manage all key risks across the Bank including, credit risk, liquidity risk, operational risk, market risk, IT risk, legal risk and reputation risk. The adoption of a formal process for risk management enables the Bank to proactively identify, measure, control, monitor and report key risks across different levels of the Bank. This in turn facilitates stakeholder value creation, protects the Bank's competitive advantage, reinforces financial stability, and builds long term resilience. Responsibility for the execution of the risk management process lies with the Risk Management Unit (RMU).



2.1. Risk Identification

This is the first step in the risk management process and involves analysing the Bank's risk universe to identify current and potential risks stemming from the internal and external environments that may affect the Bank's strategy and overall risk profile.

The strong risk culture at Sampath Bank involves employees at all levels of the Bank in the risk identification process. A top-down approach led by the Bank's Board of Directors and Board appointed sub-committees identify emerging risks that may affect the Bank's strategy and overall risk profile. Meanwhile, a bottom-up approach undertaken by Business Units and Branch heads and escalated to the Risk Management Unit enables the identification of risks stemming from operations.

2.2. Risk Measurement

This involves assessing the likelihood and severity of identified risks using pre-determined metrics and other quantitative and qualitative measures. The Bank uses a range of tools and techniques to measure the impacts of identified risks. These include, the Risk Matrix, Risk Register, VaR models, financial analysis, maturity of assets and liabilities (MAL) analysis, sensitivity of assets and liabilities (SAL) analysis and stress testing. Stress testing is used to assess the severity of risks under different adverse conditions and the quantitative results are typically combined with expert opinions when arriving at a final assessment. Risk measurement is carried out by the RMU with the support of business units.

2.3. Risk Control and Mitigation

This entails applying an appropriate treatment methodology for each assessed risk while carefully balancing risk reward

dynamics. Developing risk control and mitigation strategies is a dynamic process and leads to either accepting, transferring, mitigating or avoiding the assessed risk. This entails a range of strategies, including the introduction of new controls, enhancing existing controls, strengthening contingency plans, and periodically reviewing risk appetite limits among others. Responsibility for arriving at an appropriate treatment strategy for each risk lies with the RMU under the guidance and oversight of the Board Integrated Risk Management Committee (BIRMC). The RMU is ably supported by the business units.

2.4. Risk Monitoring

Risk monitoring involves verifying that the Bank's operations adhere to established risk control protocols and enables ongoing awareness of its risk profile. The RMU is responsible for risk monitoring and collaborates closely with business units to facilitate effective control.

2.5. Risk Reporting

Identified, measured, monitored and mitigated risks are reported to the Senior Management, Board Integrated Risk Management Committee (BIRMC) and the Board of Directors, for timely action and follow up by the RMU.

Regular Risk Reports	Frequency	Reported to
Risk appetite statements	Monthly	RCC/CPR&PRC/BIRMC
Key risk indicators	Quarterly	BIRMC
Risk register	Quarterly	BIRMC
Group risk reports	Quarterly	BIRMC
Stress testing profile	Quarterly	BIRMC
Risk and Control Self-Assessment	1. IT related - Quarterly 2. Non-IT related - Annually 3. 3rd party (IT related) - Annually	BIRMC
CBSL reporting of high valued loss events	Quarterly	CBSL
Operational Risk Weighted Amount under Alternative Standardise Approach	Quarterly	Finance Department
Risk Dashboards (Credit/Market/Operations)	Quarterly	BIRMC

STRENGTHENING THE RISK MANAGEMENT PROCESS IN 2024

- Documentation of procedure on identifying elevated risk industries.
- Automation of watch listing of restructured and rescheduled facilities.
- Introduction of MTM loss limits for US Treasuries portfolio.
- Introducing Counterparty Selection based on external ratings and new additions.
- The introduction of LCR and NSFR to the risk appetite limits.
- Further strengthening of the loss data collection mechanisms by department/branch-wide training series covering the entire network during the year.

3. Risk Control Architecture

Sampath Bank's Risk Control Architecture is approved by the Board and benchmarked to international best practices. Key components of the Bank's Risk Control Architecture are summarised below.

Sampath Bank's Risk Control Architecture		
 Assessment tools	- Stress testing - Risk based pricing - Borrower/Group Rating - Value at Risk (VaR)	- Risk and control self-assessment (RCSA) - Internal capital adequacy assessment process (ICAAP)
 Internally developed tools	- Risk registers - Risk matrices	- Dashboards - Early warning signal (EWS) system

Risk Management Report

3.1. Risk Appetite

The Bank's Risk Appetite Statement specifies the type and amount of risk it is willing to accept in pursuing its strategic goals. Sampath Bank's Risk Appetite Statement is developed considering regulatory limits, covenant limits, external factors and internal prudential limits and is approved by the Board. The RMU monitors the Bank's operations on an ongoing basis to ensure its alignment with Board-approved Risk Appetite tolerance limits. The RMU presents its findings in this regard to the BIRMC monthly, to facilitate immediate remedial action in the event of any deviations.

The Risk Appetite Statement and specified tolerance limits are reviewed by the BIRMC at least once a year or more frequently if required. Recommended changes are approved by the Board prior to formal incorporation into the Risk Appetite Limit Framework.

The Bank's key risk appetite parameters and Board approved tolerance limits as at 31st December 2024 are given below.

		Appetite
Credit Risk	Credit quality	Impaired loans (stage 3) ratio (net)
		<5%
	Credit concentration	Exposure to high grades (A+ to B+) / Total advances
		>45%
		Aggregate exposure (funded + non-funded) to large borrowers (i.e. over 15% of capital) / Total advances (funded + non-funded)
		<20%
		Aggregate exposure (funded + non-funded) to large borrowers (i.e. over 15% of capital) / Capital base
Market Risk		<2 times
		Related party accommodation / Capital base
		<35%
		Top 20 advances exposure / Tier I capital
		<4 times
		Top 20 advances exposure / Capital base
		<3 times
Operational Risk		Off-shore exposure / Total advances (lending to Bank's offshore borrowers only)
		<7.5%
	Foreign exchange risk	Net open position-overnight limit of the Bank
		Subject to change as per CBSL
	Liquidity risk	Liquidity coverage ratio
		Minimum 120%
		Net stable funding ratio
Operational Risk		Net loans to total assets
		<75%
	Interest rate risk	Tolerance limit for mark to market (MTM) losses from "FVPL" and "FVOCI" Government Security Portfolios
		Rs 750 Mn
	Risk event types	Internal fraud
		Rs 10 Mn
		External fraud
Operational Risk		Rs 10 Mn
		Employment practices and workplace safety
		Rs 5 Mn
		Clients, products and business practices
		Rs 5 Mn
		Damage to physical assets
		Rs 5 Mn
Operational Risk		Business disruptions and system failures
		Rs 5 Mn
		Execution delivery and process management
		Rs 10 Mn

3.2. Capital Management

Effective capital planning and robust capital buffers safeguard a financial institution by providing a cushion to absorb unforeseen losses, prevent insolvency and maintain stability. Consequently, Sampath Bank adopts a proactive approach to capital planning with emphasis on;

- Maintaining sufficient capital to meet minimum regulatory capital requirements.
- Holding sufficient capital to commensurate the risk profile of the Bank.
- Ensuring adequate capital buffers to support the Bank's strategic objectives.
- Maintaining adequate buffers to absorb unexpected losses arising from various risks and safeguard depositors' funds.

Sampath Bank's Board of Directors is responsible for the Bank's capital management which includes capital planning, monitoring and fulfilling regulatory and Pillar II capital adequacy requirements. The Bank uses a range of tools to ensure adequate capital buffers to support its growth objectives while maintaining stability. These include computing and complying with capital adequacy ratios in line with regulatory requirements and ICAAP among others. The Board approves a comprehensive capital plan annually under the strategic planning process.

3.2.1. Capital Adequacy

Capital adequacy is a key metric used to assess the solvency and stability of a financial institution. The capital adequacy ratio which represents the proportion of a Bank's capital relative to its risk weighted assets measures a bank's ability to absorb potential losses arising from credit, market and operational risks during the course of its operations.

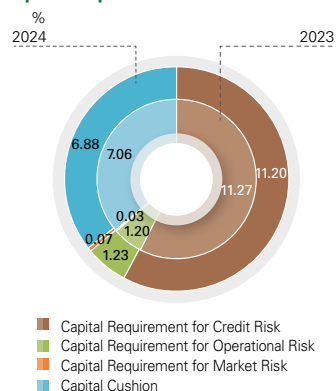
Capital adequacy ratios for licensed commercial banks in Sri Lanka are computed based on the Banking Act Direction No. 1 of 2016 and its subsequent amendments which reflect the capital requirements set out under the BASEL III Accord. As a licensed commercial bank, Sampath Bank computes its regulatory capital adequacy ratios in compliance with these regulations. Accordingly, Sampath Bank computes its regulatory capital adequacy ratios under 3 tiers, adopting the Standardised approach for credit risk, Standardised Measurement approach for market risk and Alternative Standardised approach for operational risk.

As at 31st December 2024, the Bank maintained a robust capital position as presented below.

Capital ratio		As at 31st December 2024	As at 31st December 2023
Common equity Tier I (CET I) capital	Rs Mn	131,766	118,531
Tier I capital	Rs Mn	131,766	118,531
Total capital	Rs Mn	152,522	141,854
Total risk weighted assets	Rs Mn	786,841	725,130
Risk weighted assets for credit risk	Rs Mn	704,994	653,698
Risk weighted assets for market risk	Rs Mn	4,464	1,873
Risk weighted assets for operational risk	Rs Mn	77,383	69,560
Regulatory minimum common equity Tier I (CET I) capital ratio	%	7.00	7.00
Common equity Tier I (CET I) capital ratio	%	16.75	16.35
Regulatory minimum Tier I ratio	%	8.50	8.50
Bank's Tier I capital ratio	%	16.75	16.35
Regulatory minimum total capital ratio	%	12.50	12.50
Bank's total capital ratio	%	19.38	19.56

The graph below shows the Bank's allocation of capital across the three major risk categories as at 31st December 2024 based on risk quantification in accordance with the applicable regulatory guidelines.

Capital Requirement and Cushion



3.2.2. Leverage Ratio

The BASEL III leverage ratio is an important capital adequacy tool used to assess a bank's leverage and financial stability. Regulatory limits imposed on this ratio constrain a bank's ability to expand its asset base through leverage. As Tier 1 capital represents the most loss absorbing form of capital, it serves as a crucial indicator of a bank's financial health, particularly during periods of economic stress. Sampath Bank reported a healthy leverage ratio of 7.24% as at 31st December 2024 (2023: 6.39%), well over the regulatory minimum of 3%.

3.3. Stress Testing

Stress testing is a vital part of the Bank's risk control architecture. It enables impact assessment on liquidity and capital under a range of "what if" scenarios and the development of robust contingency strategies. Stress Testing is carried out in accordance with the Bank's comprehensive Stress Testing Policy which sets out the framework and procedures to be followed. The Bank's Stress Testing Policy is aligned with the BASEL III's Pillar I and Pillar II requirements and therefore serves as an integral part of the Bank's ICAAP. The RMU is responsible for carrying out stress testing and the results are reported to the BIRMC and the Board, informing their decisions on risk limits, capital allocations for various risks and managing risk exposures and developing appropriate contingency plans in response to adverse circumstances.

The RMU conducts quarterly stress testing encompassing over 24 stress scenarios across all major risk types. Sensitivity analysis is usually conducted for individual risk types while scenario

INTERNAL CAPITAL ADEQUACY ASSESSMENT PROCESS (ICAAP)

The Bank carries out the ICAAP annually in compliance with CBSL's Banking Act Direction No. 1 of 2016 and subsequent amendments. This involves an internal assessment of the Bank's capital requirements tailored to its own specific risk exposures and considers a range of risk types that include those that are not captured or not fully captured under Pillar 1 of BASEL III. Qualitative and quantitative risk assessments are performed to identify and assess material risks not fully captured under regulatory capital and include liquidity risk, credit concentration risk, reputation risk, compliance risk, strategic risk and technology risk among others.

Sampath Bank's ICAAP is guided by its ICAAP policy which outlines the ICAAP governance structure, process for internal capital assessment and types of risks to

be considered. It also considers earnings, balance sheet and risk forecasts under expected and adverse economic and market conditions when projecting the Bank's future capital and liquidity needs.

Stress testing is carried out periodically to assess implications for the Bank's balance sheet, earnings, regulatory capital and liquidity under a range of stress scenarios.

In 2024, the ICAAP process was further enhanced through the inclusion of a detailed analysis of the Bank's main risk exposures and the identification of risk levels. Moreover, cross-border risk assessment was strengthened through the inclusion of a settlement risk assessment and the incorporation of additional sub risks. Capital targets/projections at Group level were also incorporated into the ICAAP document 2024.

analysis is conducted for combined, integrated and macro-economic stress tests based on underlying assumptions and parameters. Stress testing is carried out more frequently if the external environment is rapidly evolving. A risk register is prepared on a quarterly basis covering over 750 risk factors and a dashboard summarising the level of risk associated with each risk type is prepared and reported to the BIRMC on a quarterly basis.

Stress testing in 2024 focused on following Stress testing parameters:

Risk	Stress Tests	
Credit risk	- Impairment stage downgrade - Increase in NPA of specific sectors	
Credit concentration risk	- Default of large borrowers - Default of top industries	Herfindahl-Hirschman Index (HHI)
Foreign exchange risk	Foreign exchange rate risk	Foreign exchange rate risk - special scenario
Interest rate risk	- Interest rate risk in banking book - Interest rate risk in trading book	Interest rate risk in banking book - special scenario
Liquidity risk	- General liquidity risk - Liquidity coverage ratio (LCR) - Liquidity crisis due to reputational deterioration	- Liquidity crisis scenario - Liquidity risk - special scenario
Operational risk	- Scenario 1 [Increases (10%, 20% & 30%) in actual losses of the Bank] - Scenario 2 [Increases (10%, 20% & 30%) in actual losses and near misses]	Scenario 3 [Increases (10%, 20% & 30%) in actual losses, near misses and potential losses]
Integrated risk	Aggregation of stress tests	Macro-economic stress testing with economic crisis factor

4. Risk Awareness Culture

The effectiveness of the IRM Framework relies on a shared commitment to risk awareness and management at all levels of the Bank, encompassing the three lines of defence. At Sampath Bank, effective risk culture is driven by strong Board-level commitment and leadership. Continuous training and capacity building initiatives are implemented across all levels of the Bank under the oversight of the RMU to embed a strong risk focus in the performance of their roles and responsibilities. Policy frameworks are also regularly reinforced to promote their consistent application in daily operations. Internal audit and post-incident reviews further strengthen the risk culture at Sampath Bank.

During the year, the RMU conducted 28 risk related training programmes for employees at different levels of the Bank, while the RMU participated in 50 internal and external workshops to keep abreast of the latest developments in the external environment and effective risk management.

Risk Management Report

5. Overview of Principal Risks

The principal risks impacting the operations of Sampath Bank have been summarised below and key mitigation strategies implemented during the year under review have been summarised below.

	Credit Risk	Market Risk	Liquidity Risk	
Description	The risk of financial losses to the Bank, if a borrower or counterparty to a financial instrument fails to meet its contractual obligations.	Potential losses arising from adverse movements in financial markets which lie outside the control of the Bank that affect the value of its assets and liabilities.	The non-availability of adequate liquid funds for institutions to honour its contractual and contingent financial obligations as and when they fall due without incurring undesirable losses.	
Components	- Default risk - Credit concentration risk	- Interest rate risk - Exchange rate risk	- Funding liquidity - Market liquidity	
Change in Magnitude from 2023	▼	▼	▼	
Risk Monitoring	- Proactive, ongoing monitoring of key ratios related to asset quality, credit concentration, and provisioning - Ongoing monitoring of elevated risk industries - Credit portfolio analysis - Early Warning Signals (EWS) monitoring - Review of borrower rating - Scenario analysis and stress testing	- Scenario analysis and stress testing - VaR assessment - Ongoing monitoring of FX rate movements - Close monitoring of interest-bearing asset and liability maturities	- Scenario analysis and stress testing - Close monitoring of mismatches in assets and liabilities in different maturity buckets - Close monitoring of key liquidity ratios including deposit rollover ratio, net stable funding ratio, liquidity coverage ratio and stock of high quality liquidity assets	
Mitigation Actions	- Robust credit evaluation - Risk based loan pricing - Asset backed lending - Regular credit reviews - Ensure lending is within risk appetite limits - Prudent provisioning approach - Portfolio diversity in terms of products, geography & borrowers - Implementing loan covenants imposing certain restrictions	- Ensure market risk exposures are within risk appetite limits - Adherence to BIS FX Global Code - Timely repricing of interest-bearing assets and liabilities	- Maintain sufficient liquidity reserves within risk appetite limits - Contingency funding planning - Recovery planning - Effective asset and liability mismatch management	
Way Forward	Prudent lending balancing risk reward dynamics.	Maintain vigilance of uncertainties developing across the markets while maintaining alignment with international standards for forex risk management.	Strengthen liquidity risk monitoring and management further.	
Capitals Impacted	 	 	 	

	Operational Risk	Integrated Risks	Sustainability Risk
	Losses stemming from inadequate or failed internal processes, people and systems or from external events such as natural disasters, social or political events.	Encompasses potential negative impacts to the Bank's performance and prospects owing to internal and external risk factors i.e. ineffective strategic decisions and damage to the Bank's reputation and industry standing on Bank and Group basis.	Potential financial losses and/or reputational damage arising from the mismanagement of environmental, social and governance factors.
	- Operational risk - Information technology risk and information security risk - Legal/regulatory risk - Model risk	- Strategic risk - Reputational risk - Group risk	- Physical risk - Transition risk
	>	>	>
	- Monitoring of operational key risk indicators - Scenario analysis and stress testing - Risk and control self-assessment for operational risk - Collection and analysis of loss events - Key Risk Indicators (IT)	- Periodic review of actual performance against budgets to identify deviations - Monitoring of developments in the operating environment - Maintain vigilance across all media forms for potential threats to reputation - Monitoring stakeholder sentiments - Peer group comparison	- Categorisation of project loans above Rs 100 Mn using the Environmental and Social Risk Categorisation Tool - Credit proposals deemed high risk are submitted to the RMU for environmental and social risk assessments and recommendations
	- Root cause analysis and trend analysis of incidents/near misses and develop new controls or enhance existing controls for mitigation - Robust internal control systems - Insurance - Business continuity management	- Formal strategic planning process in alignment with a Board approved Strategic Risk Management Policy - Active stakeholder engagement and formal complaint handling process - Alignment of all brand building activities with the Bank's vision and core values	- Establishment of an Environmental and Social Risk Management System to manage sustainability risks in lending - Establishment of an ESMS Implementation Committee and ESMS Officer to facilitate the implementation of the ESMS - Capacity building of staff
	Robust monitoring of operational risk and enhance the internal control environment.	Adapt the Bank's strategic objectives with the developments in the external environment while strengthening its reputation among stakeholders.	Implement an ESG risk assessment for the loan portfolio and incorporate a sustainability risk assessment to the ICAAP and make capital allocations if required.
	      	     	     

Risk Management Report

6. Credit Risk

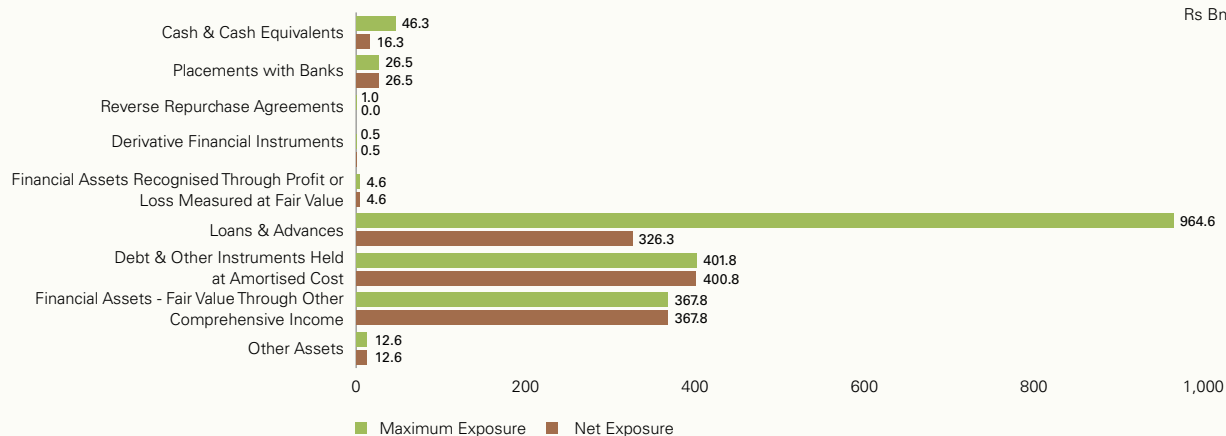
Credit risk is the Bank's largest risk exposure and stems primarily from its loans and advances and investments in debt securities. Assets exposed to credit risk amounted to Rs 1,785 Bn as at end-2024 and was equivalent to 99% of total assets. Credit risk also accounted for 89.6% of total risk weighted assets as at end-2024. Therefore, managing this risk effectively is a high priority for the Bank and is carried out through a robust credit risk management framework within the boundaries of its risk appetite.

Credit Risk	Sampath Bank's Strategy	Components of Credit Risk	Operating Context
Credit risk is the risk of financial losses to the Bank, if a borrower or counterparty to a financial instrument fails to meet its contractual obligations.	A prudent lending strategy balancing risks and rewards.	- Default risk - Credit concentration risk	While credit facility reforms are improving asset quality and capital buffers, private credit growth which is essential for the banking sector's recovery, is cautiously expanding as lending rates adjust.

Key Risk Indicators			
	31st December 2024	31st December 2023	Banking Sector as at 31st December 2024
Impaired loans (Stage 3) ratio (%)	4.69	5.87	6.00
Stage 3 impairment to Stage 3 loans ratio (%)	60.08	57.80	54.10
Total impairment on loans as a % of gross loans and advances	10.83	13.78	8.50
Total net advances to total assets (%)	48.4	49.1	51.7
Cost of risk (%)	0.31	2.04	

Maximum exposure and net exposure (net of fair value of any collateral held) to credit risk by class of financial asset before netting off impairment for expected credit losses in 2024.

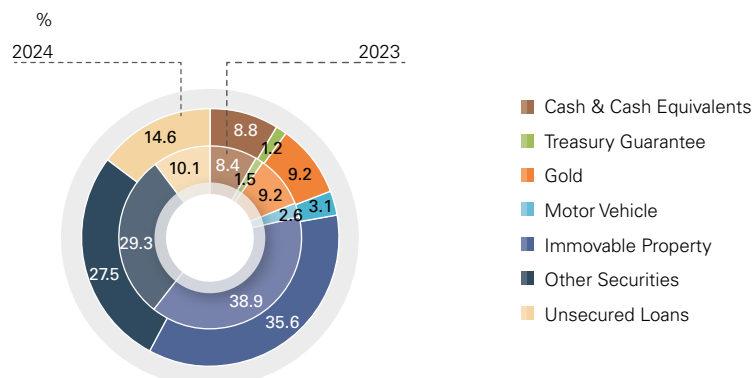
Exposure to Credit Risk



New Developments in 2024

- The Credit Risk Management Policy was reviewed and updated to support prudent lending given the uncertainties in the macro-economic environment.
- The 'Directive on Obtaining Risk Opinion from Credit Risk Management' was reviewed during the year with a view to improving asset quality and proactively manage credit risk.
- Automation of upgrading stage of impairment related to restructured and rescheduled facilities.
- The Post-Credit Risk Monitoring Procedure was reviewed to reflect process improvements made to strengthen the effectiveness and efficiency of post-credit risk management.
- Documentation of procedure on identifying elevated risk industries.
- Automation of watch listing of restructured and rescheduled facilities.

Collateral Distribution

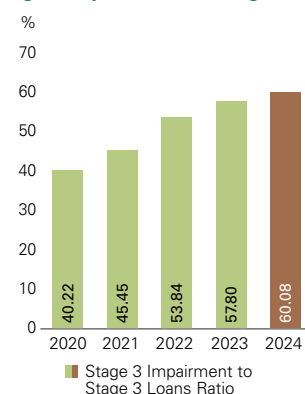


6.1. Managing Credit Risk at Sampath Bank

The Bank has implemented a well-structured and robust credit risk management framework which guides the Bank's Board, Risk Committees and RMU in effectively managing its credit risk. The Bank's Credit Policy and the Credit Operations Manual together provide direction to risk owners (the first line of defence) by defining principles including delegation of lending authority, client selection and due diligence in line with the Bank's risk appetite. This is further supported by internal procedures and directives and monitoring and reporting protocols. A summary of the Bank's credit risk management framework is given below.

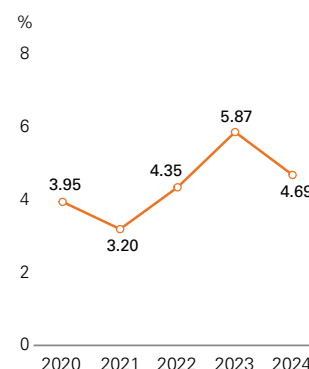
Credit Risk Management Framework		
	Policies, Directives & Procedures	Credit Risk Management Policy
		Credit Policy
		Credit Operations Manual
		Directive on obtaining risk opinions from Credit Risk Management Unit
		Procedure on Post-Credit Monitoring
	Risk Management Tools	Early warning signals/Watch listing
		Borrower/Group rating
		Risk based pricing
		Stress testing
	Risk Monitoring and Reporting Protocols and Frequency	Loan review mechanism – ongoing basis
		Sector/product-wise exposures – monthly
		Geographical distribution – monthly
		Risk appetite limits for credit risk – monthly
		Credit risk heat map/dashboard – monthly
		Monitoring the review status of facilities/borrowers – monthly
		Review of risk rating status of borrowers – ongoing basis
		Analysis of risk elevated industries – quarterly
		Monitoring the status of expired overdrafts – monthly
		Monitoring the status of security register maintenance – monthly
		Analysis of watch listed customers – half yearly
		Stress testing on credit risk and credit concentration risk – quarterly
		Analysis of advance portfolio – annually
		Analysis of Bank's exposure to 30 largest groups/customers – annually

Stage 3 Impairment Coverage Ratio



The stage 3 impairment to stage 3 loans ratio increased during the year reflective of prudent provisioning.

Impaired Loans (Stage 3) Ratio



The Bank's impaired loans (stage 3) ratio improved in 2024, reflective of its prudent approach to managing credit risk.

Sampath Bank has a robust and well-structured credit management process for assessing the credit worthiness of borrowers and monitoring loan repayments. Within this process, credit approval is the vital first step in minimising default risk and the Bank adopts rigorous criteria for client assessment, client selection in line with its risk appetite and clearly defined delegation of lending authority. The Bank also uses a range of credit indicators, tools and monitoring protocols to proactively monitor repayments and identify the potential implications of emerging risks.

During the year under review, numerous initiatives were implemented to strengthen the credit risk management process in alignment with prevailing conditions in the operating environment. Key strategies and initiatives implemented during the year that positively contributed towards the improvement in asset quality are summarised below.

Risk Management Report

PRE-CREDIT

- Amendments to procedure on obtaining risk opinions on facility proposals routed through the RMU to enhance asset quality amidst uncertainty.
- Obtaining the Managing Director's approval was made compulsory for credit proposals not recommended by RMU.
- Strengthened the credit risk assessment process by:
 - » In-depth industry analysis to ascertain elevated risk industries.
 - » Root cause analysis on new facilities classified as stage 3.
 - » Quarterly evaluation of exposures below Rs 100 Mn through a sample approach.
- Ongoing training and knowledge sharing across all levels of the Bank regarding the latest credit risk developments, forecasts, shifts in borrower ratings and borrower watchlists, common lapses in credit proposals and the impairment process among others.
- Updated the Risk Dashboard (bi-annually) and prepared the Risk Magazine (quarterly) to enable timely information to the management and business units.
- Identification of stressed customers during the loan assessment process and refer them for post credit monitoring through the Loan Review Mechanism.
- Quarterly financial analysis of Sampath Bank subsidiaries.
- Implemented a special format to carry out interim review of facilities to expedite the process.
- Controls on individual Delegated Authority levels to approve restructure of facilities repeatedly.
- Carry out business visits and advise on risk mitigating strategies.
- Monitoring of covenants imposed by CRMU in Risk Opinions and sharing same with Business Units, requesting for proper actions plans for any deviations.
- ESG risk management in lending activities:
 - » Implemented an Environmental and Social Risk Management system for Bank's lending activities.
 - » Assessment/evaluation of Environmental and Social Risk for advances over a predetermined threshold and all project loans. These assessments were captured in the risk opinions.
- The business activities of the borrowers are categorised under four different risk categories based on predetermined criteria of the environmental and social risk categorisation tool.

POST-CREDIT

- Strengthened the monitoring and review processes within the Bank by:
 - » Reviewing credit risk appetite limits, geographical prudential limits and internal sector limits to reflect prevailing local and global macro-economic conditions. These were monitored monthly to identify deviations.
 - » Preparing credit risk heat maps and dashboards on a monthly basis to monitor shifts in credit risk profile.
 - » Monthly monitoring of review of borrower rating.
 - » Monitoring the status of expired overdrafts and security register maintenance.
 - » Monitoring the review status of facilities and borrowers.
 - » Improving month-end reports through the inclusion of additional parameters.
 - » Monitoring of loan covenants identified when conducting Loan Review Mechanism and take remedial action when deviations were noted.
- » Bi-annual analysis of the watch-listed borrower portfolio.
- » Annual in-depth assessment of the loan portfolio including geographical distribution, sector analysis, trends in sector wise loan growth, stage 3 portfolio, stage-wise composition of the total portfolio and region/department-wise distribution of the loan portfolio.
- Enhanced the scope of the Loan Review Mechanism by monitoring of customers identified as high-risk during pre-credit evaluation and during evaluation of customers with large exposures.
- Documentation of a procedure for identifying elevated risk industries to improve and standardise the quarterly industry risk assessment.
- Independent review of the Individually Significant Loans (ISL) impairment by the RMU in line with CBSL requirements. Key information required for the efficient and effective selection of ISL customers was also uploaded to the SLFRS system.
- The stage upgrade of restructured facilities was automated to enhance the efficiency and effectiveness of the process as well as to improve the quality of the Bank's impairment provision.
- Watch listing of restructured and rescheduled facilities were automated to enhance efficiency and effectiveness.
- Analytical procedures to evaluate the Bank's largest borrowers were enhanced to reflect key risks. Dashboards were developed to visualise these risks.
- The internal rating system was further developed to enable the uploading of documents as documentary evidence and the implementation of a time frame for document submission and verification.
- Ongoing training related to impairment and post credit risk management functions at business unit level.

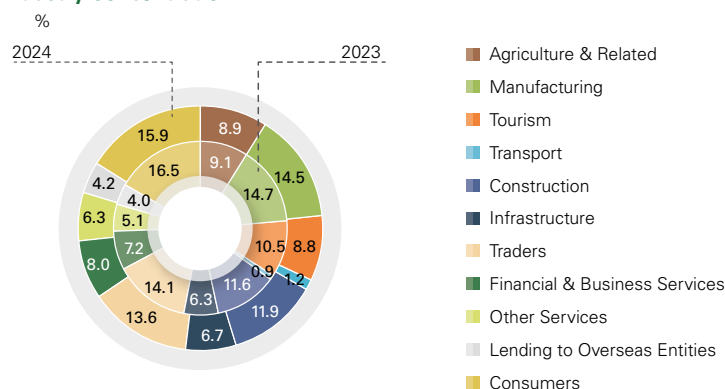
6.2. Credit Concentration Risk

Credit concentration risk arises when a significant proportion of a Bank's loan portfolio is concentrated in a specific industry, geographic segment, product or borrower. If the concentrated segment faces challenges such as industry-specific issues, borrower defaults, or geographic events, it can disproportionately affect the Bank's overall financial health and stability.

Sampath Bank ensures its loan portfolio is well-diversified across various industries, geographic regions, borrowers and products to reduce the impact of a single borrower, industry or geographic area experiencing financial stress. Board approved risk appetite limits have been established to control the exposure to any particular segments or borrower while continuous monitoring by the RMU ensures operational alignment with the specified risk appetite limits. Detailed analysis is conducted on an ongoing

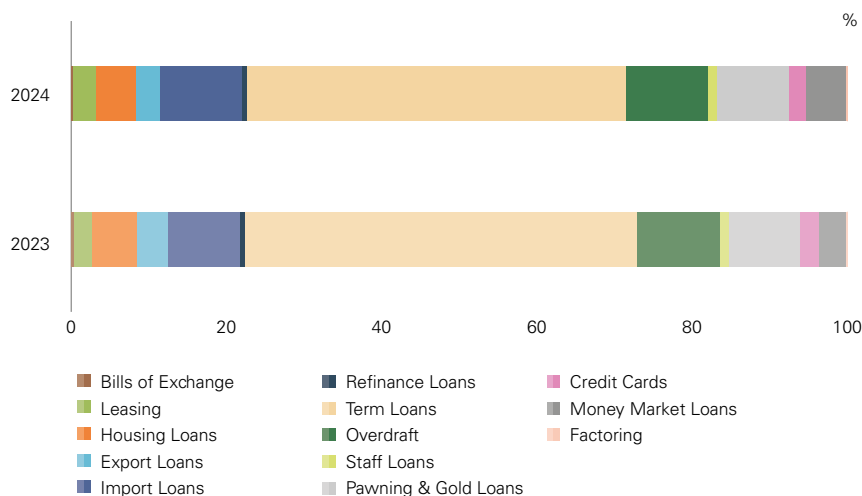
basis to proactively identify risk elevated industries and manage the Bank's exposure accordingly. Regular stress testing is carried out to ascertain the impact of adverse events on the credit portfolio, proactively identify potential risks and develop mitigation strategies.

Industry Concentration



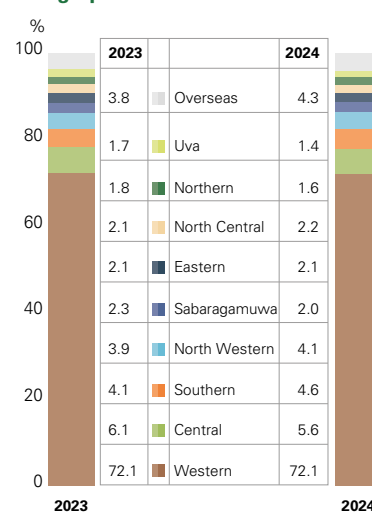
Sampath Bank's loan portfolio is diversified across a wide range of industries minimising concentrated exposure to any industry.

Product Concentration 2024



Sampath Bank's loan portfolio is diversified across a wide range of products minimising concentrated exposure to any product.

Geographic Concentration



Sampath Bank's loan portfolio is concentrated within the Western Province due to considerable economic activity and a large customer base.

Risk Management Report

WAY FORWARD

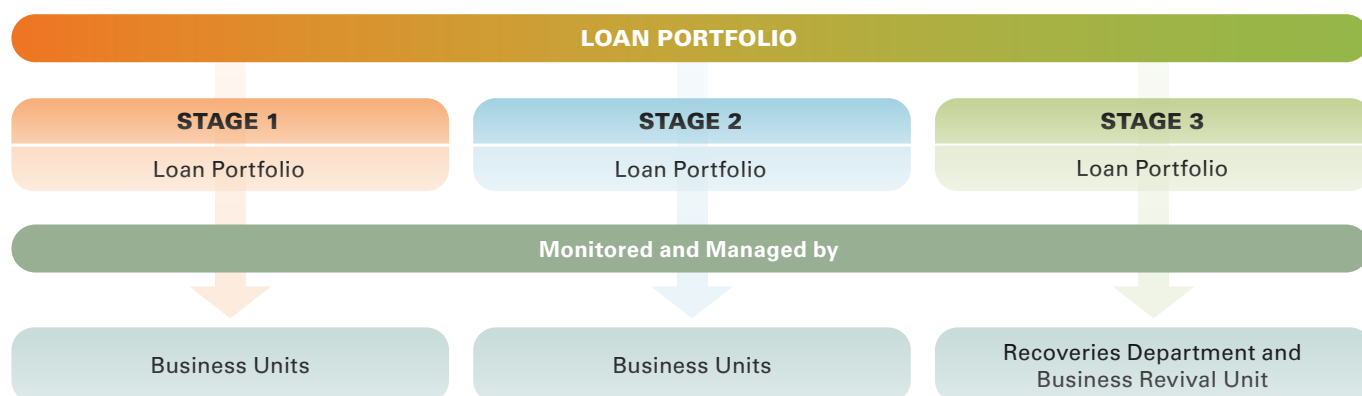
Pre-credit

- Maintain a data repository which includes borrower details in similar industries, consumer behaviour and trends, industry updates to improve the efficiency and effectiveness of risk assessment of credit proposals.
- Ongoing training and development to maintain a prudent risk management culture.

Post-credit

- Increase the depth of independent verification of ISL impairment through a selected list of customers with forecasted cashflows.
- Enhancement of the Loan Review Summaries (LRS) mechanism to include status follow-ups on issues raised by the RMU until completion.
- Implementation of a behavioural score card, a new credit risk rating model to rate borrowers based on customer behaviour for retail borrowers.
- Establish an early warning/trigger limit for credit risk appetite limit framework.

6.3. Recoveries

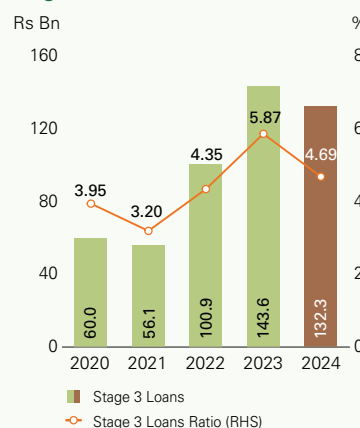


The ongoing efforts of the Recoveries Department continued to support the effective management of credit risk at Sampath Bank in 2024. Proactive efforts of the Unit in 2024 mitigated some of the challenges posed by the suspension of parate execution by CBSL from 21st April 2024 to 31st March 2025. Key initiatives implemented by the Recoveries Department in 2024 are summarised below.

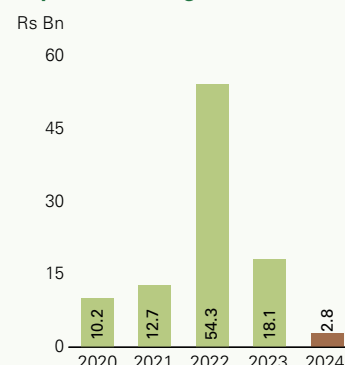
KEY DEVELOPMENTS IN 2024

- Strengthening collaborations with recovery and legal firms to facilitate swifter legal action, restructuring of stage 3 loans, and the identification of untraceable borrowers.
- Established three new units to manage the disposal of acquired assets, closely monitor the recovery of stage 3 loans below Rs 5 Mn, and stage 3 leasing facilities.
- Improved coordination among the Legal Department, Business Revival Unit and Risk Management Unit to enhance the efficiency of the recovery process.
- Leveraged technology through the implementation of the Delinquency Management System, automation of stress portfolio reports and data analytics to streamline processes, strengthen monitoring and facilitate swifter recovery.

Stage 3 Loans



Impairment Charge on Loans & Advances



6.4. Business Revival Unit

Recognising the impact of successive challenges on the SME sector in recent years, the scope of the Business Revival Unit (BRU) was expanded during the year under review. This also enabled the Bank to comply with the CBSL regulations that required all banks to set up a dedicated Business Revival Unit to assist in reviving viable businesses impacted by extraordinary macroeconomic challenges faced by the country in recent years.

The Bank proactively assessed businesses with potential for revival and such customers were provided with advice on both financial as well as non-financial initiatives/remedial action that could be taken for business revival.

Promoting Borrower Recovery and Repayment

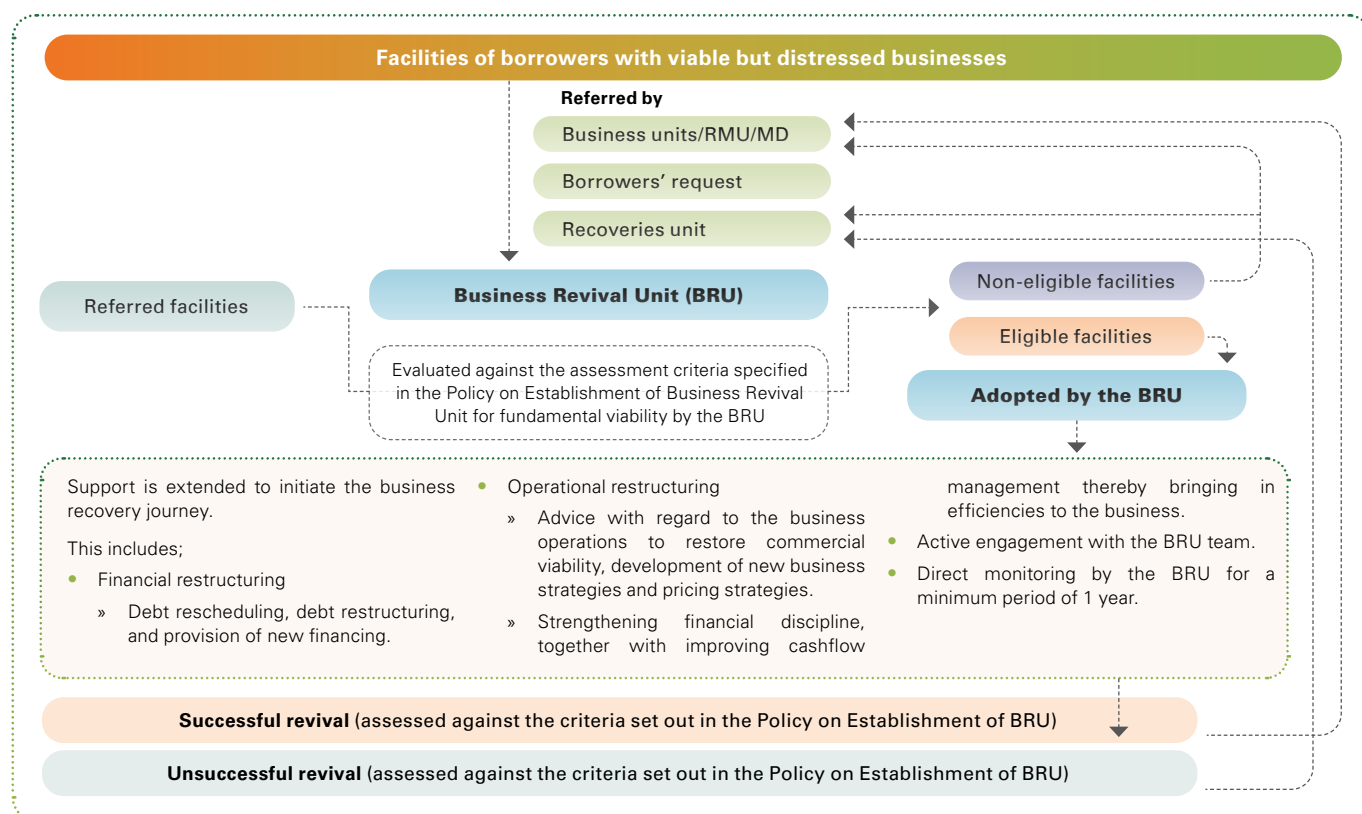
Aligning with both the regulatory requirements of Circular No. 2 of 2024 - Guidelines for the Establishment of Business Revival Units in Licensed Banks and the Bank's own commitment to support business recovery, Sampath Bank expanded the scope of its Business Revival Unit (BRU) in 2024 and strengthened its governance structure.

Accordingly, the BRU was positioned under a Deputy General Manager and a Chief Manager with experience in both retail and

corporate credit. These senior officers of the Bank report directly to the Managing Director, enabling the strategic alignment of the BRU's activities with the Bank's risk management framework while facilitating the revival of viable businesses. The Board Credit Committee reviews the performance of the BRU on a quarterly basis.

The role of the BRU is two-fold,

- Support business recovery and revival via financial assistance and re-structure/re-scheduling of facilities.
- Financial advisory services which include,
 - » Identifying and directing entities towards asset disposal as relevant, downsizing non-viable operations and concentrating on activities in which entities have core competencies, market share and/or profitability.
 - » Promoting financial discipline with covenants carefully explained to customers to highlight their potential long term benefits.
 - » Sharing market intelligence, connecting with relevant authorities for advice on business activities etc.



During the year under review, 66 new customers carrying an aggregate exposure of Rs 53.3 Bn were undertaken for revival or strategic exit by the BRU which facilitated restructure, reschedule and/or recovery of stressed exposures.

With the intervention, support and negotiations of BRU, Rs 5.2 Bn of recoveries were made during the year, whilst Rs 1.0 Bn of exposures were upgraded to the next stage based on recovery performance during 2024.

In addition, BRU provided direct intervention/negotiations in terms of advisory services to business units of the Bank to facilitate restructuring/rescheduling or recovery of exposures aggregating to Rs 19.9 Bn during 2024.

Given the strong potential for business revival in the tourism sector, the BRU placed increased emphasis on this sector during the year under review. This included directly handling eligible exposures as well as proactively engaging with willing

customers through the branch network and corporate banking departments.

PLANS FOR 2025

- To expand the reach of BRU as well as support and supplement the Relief Banking Unit setup as per the CBSL Circular 01 of 2025.
- Support businesses to revive with opportunities being created with market revival.

Risk Management Report

7. Liquidity Risk

Effective liquidity risk management is of vital importance to the Bank's financial stability. By ensuring adequate liquid buffers for the timely fulfilment of obligations, we maintained a strong reputation and continued to build upon the confidence of our stakeholders. Our prudent approach to managing liquidity also enabled us to effectively navigate the economic uncertainties that prevailed during the year under review, mitigating risks to both the Bank and the broader financial system.

Liquidity Risk	Sampath Bank's Strategy	Components of Liquidity Risk	Operating Context
Liquidity Risk is the non-availability of adequate liquid funds for institutions to honour its contractual and contingent financial obligations as and when they fall due without incurring unacceptable losses.	Maintained sufficient levels of liquidity that comfortably exceeded regulatory minimum requirements, while enabling the achievement of the Bank's lending objectives.	- Funding liquidity - Market liquidity	- Bank maintained liquidity ratios well above regulatory requirements. - Subdued demand for credit resulted in surplus funds necessitating the consideration of alternate investment avenues. Hence, the Bank assessed various avenues for investment and invested in US Treasuries and looked at lending through syndicates etc.

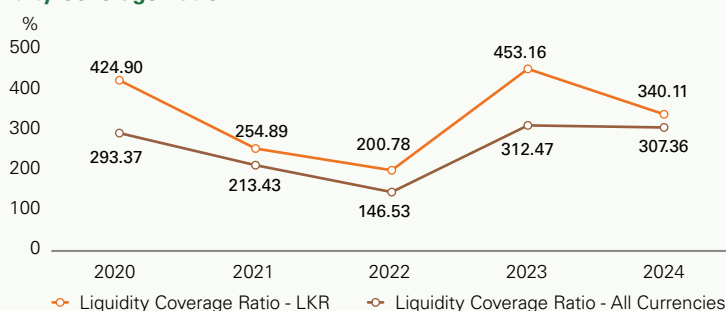
Regulatory Developments

CBSL discontinued the use of the Statutory Liquid Asset Ratio (SLAR) as a measure of a financial institution's liquidity risk during the year under review.

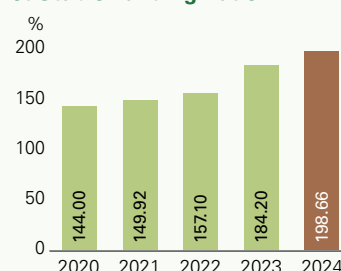
Key Risk Indicators

	Regulatory Minimum Requirement	31st December 2024	31st December 2023
Liquidity coverage ratio (LCR) – Rupee (%)	100.00	340.11	453.16
Liquidity coverage ratio (LCR) – all currencies (%)	100.00	307.36	312.47
Net stable funding ratio (NSFR) (%)	100.00	198.66	184.20

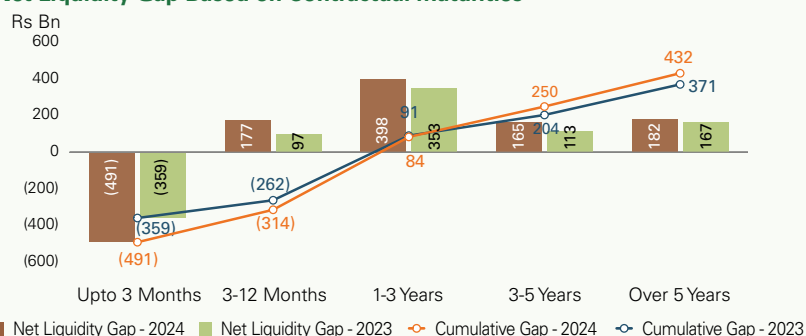
Liquidity Coverage Ratio



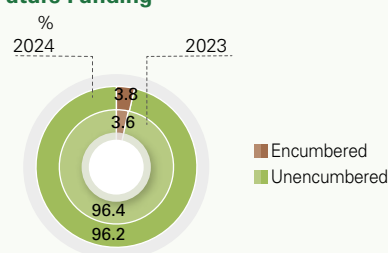
Net Stable Funding Ratio



Net Liquidity Gap Based on Contractual Maturities



Financial Assets Available to Support Future Funding



7.1. Managing Liquidity Risk at Sampath Bank

The Treasury Department manages the Bank's liquidity risk with the objective of ensuring that funding commitments and deposit withdrawals can be met when due, while complying with minimum regulatory requirements and maintaining cost-effective market access. The Bank's liquidity strategy is operationalised through the Board approved ALCO policy and Liquidity Management Policy under the oversight of the Bank's Asset and Liability Management Committee (ALCO).

Department/Committee	Responsibilities
ALCO	Provides oversight to the implementation of the Bank's liquidity strategy by monitoring liquidity risk, setting limits, triggers and guidelines, reviewing contractual and behavioural maturity of assets and liabilities, key liquidity ratios and monthly liquidity forecasts and gaps, and evaluating mitigation strategies for effective liquidity risk management.
Treasury Department	Forecasting the Bank's liquidity requirements, monitoring regulatory compliance and implementing strategies to maintain adequate liquidity levels.
Risk Management Department	Monitoring liquidity risk, developing mitigation strategies, policies and procedures, stress testing to evaluate the Bank's preparedness for stressed situations, and continuous monitoring of regulatory and risk appetite limits for liquidity risk.

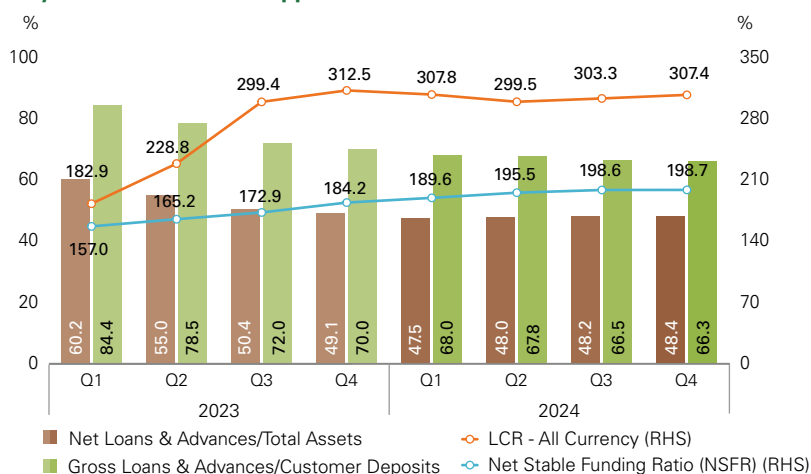
Sampath Bank relies on deposit mobilisation as its primary source of funding. Deposits are mobilised from retail, commercial and wholesale clients. To complement these deposits, Bank Treasury actively pursues additional funding avenues both domestically and internationally which includes institutional borrowings and debt instruments.

The Bank adopts the stock and flow approach to measure and manage liquidity risk in line with international best practices. This involves computing and balancing a Bank's static liquidity position and its dynamic cash inflows and outflows to maintain adequate liquidity levels. The stock approach is used to ascertain the Bank's static liquidity position by computing a range of balance sheet ratios and comparing it against its risk appetite. The flow approach is used to forecast and manage the dynamic inflow and outflow of funds at a range of points in time enabling the Bank to track cashflow mismatches over a range of specified time periods. The combination of the stock and flow approach enables the Bank to effectively ascertain short-term liquidity needs, emerging liquidity risks and proactively manage liquidity buffers. To ensure sufficient funds to meet obligations in a timely manner, approved treasury limits are tracked in real time through the Treasury limit monitoring system and deviations are reported to the management for review and approval.

The Bank has a robust system in place to manage liquidity and ensure compliance with treasury limits.

Stress testing continued to be an integral part of liquidity risk management at Sampath Bank during 2024. The approved parameters pertaining to the Liquidity Coverage Ratio were stress tested quarterly considering the prevailing economic environment and reported to the BIRMC.

Liquidity Ratios Under Stock Approach



The Bank also has a contingency funding plan in place to address crisis situations. It provides the framework to manage critical situations that lead to liquidity constraints that disrupt the daily operations of the Bank.

NEW DEVELOPMENTS IN 2024

- The Liquidity Coverage Ratio and Net Stable Funding Ratio were included in the Risk Appetite Statement in alignment with the discontinuation of the SLAR as a regulatory liquidity measure by the CBSL.
- The stressed Liquidity Coverage Ratio was incorporated as a trigger tool in the contingency funding plan as it provides a more accurate assessment of future cashflows while maintaining alignment with the regulatory development.

WAY FORWARD

- Increasing the frequency and detail of liquidity monitoring and reporting.
- Enhance the contingency funding plan to ensure access to adequate funding in times of stress.

Risk Management Report

8. Market Risk

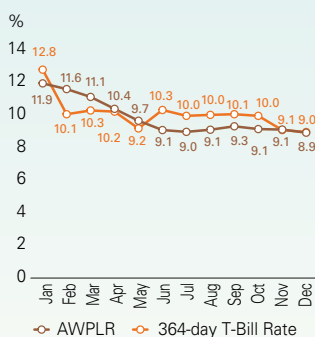
As a financial institution, our operations are exposed to market risk, primarily through interest rate and exchange rate fluctuations. These external factors can materially impact profitability and capital by affecting valuations of asset and liability portfolios. We maintain vigilance on emerging market risks and continuously adapt our strategies to manage and mitigate these exposures, effectively balancing profitability and the long-term stability within our established risk appetite.

Market Risk	Sampath Bank's Strategy	Components of Market Risk	Operating Context
Market risk refers to potential losses arising from adverse movements in financial markets which lie outside the control of the Bank that affect the value of its assets and liabilities.	A vigilant approach to the prevailing uncertainties enabling swift responses to emerging risks while capitalising on opportunities.	- Interest rate risk - Foreign exchange risk	Market risk remained significant in 2024, given fluctuations in the exchange rate, and a declining interest rate environment. The Bank performed well despite a declining market interest rates environment.

Key Risk Indicators			
	31st December 2024	31st December 2023	Banking Sector as at 31st December 2024
Interest income to interest expense (%)	178	155	169
Net interest margin (%)	4.90	5.16	4.30

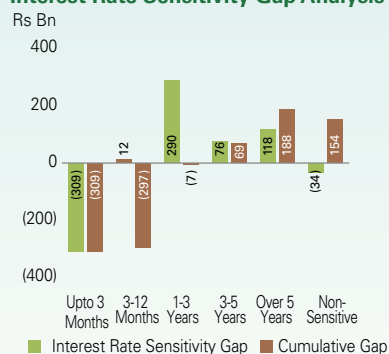
Interest Rate Risk in 2024

Interest Rate Movement



Source: Statistics Department - Central Bank of Sri Lanka

Interest Rate Sensitivity Gap Analysis

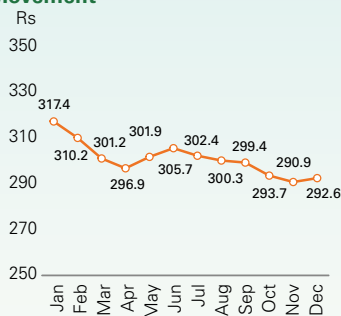


Bank's Interest Rate Risk Mitigation Strategy

The Bank adopted a comprehensive approach to managing interest rate risk in 2024 which involved prudent monitoring of decreasing interest rate scenarios, and futuristic asset-liability management decisions. This enabled to carry out responsive strategies to adapt to market changes. These efforts have positioned the Bank favourably amidst fluctuating economic conditions.

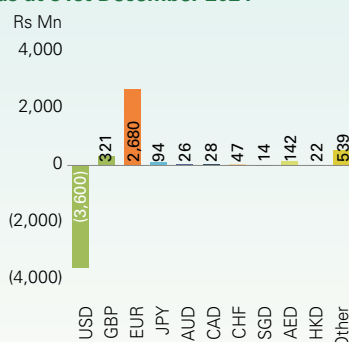
Exchange Rate Risk in 2024

LKR/USD Exchange Rate Movement



Source: International Finance Statistics - Central Bank of Sri Lanka

Foreign Exchange Position as at 31st December 2024



Bank's Exchange Rate Risk Mitigation Strategy

The Bank's approach to foreign exchange rate risk mitigation in 2024 was mainly focused through careful monitoring of currency fluctuations and strategically maintaining exposures. This helped the Bank to move forward without undue exchange losses and further positioned future stability amidst ongoing economic uncertainties in Sri Lanka.

8.1. Managing Market Risk at Sampath Bank

Sampath Bank's Market Risk Management Unit (MRMU) under the oversight of the Board and the BIRMC is responsible for conducting market risk management activities. The MRMU monitors market risk in alignment with the Bank's comprehensive Market Risk Management Policy framework. It also uses a range of quantitative statistical tools including Value at Risk (VaR) and Present Value Basis Points (PVBP) to manage market risk effectively. This enables a balance between risk and returns, reduces volatility and supports transparent reporting of the Bank's market risk profile to Corporate Management, the Board and Regulators. Both VaR and PVBP are essential tools and provide insights into potential losses and price sensitivities, respectively.

VaR is a statistical technique used to measure the potential loss in a portfolio over a specified period. The historical simulation method is used for Market Risk VaR calculations, which uses historical market data over a pre-defined period and apply the outcome to the current portfolio.

A summary of the Bank's market risk management framework is given below.

Market Risk Management Framework		
	Policies, Directives & Procedures	Market Risk Management Policy
		Investment Policy
		Treasury Policy and Procedure Guideline for Treasury Operations
		Code of Conduct for Treasury Operations
		Treasury Manual
	Risk Management Tools	Present Value Basis Points Analysis
		Stress Testing and Scenario Analysis
		Value at Risk (VaR)
		Sensitivity Analysis for Market Risk Exposures
	Risk Monitoring and Reporting Protocols and Frequency	Monitoring of Board-approved Limit Framework as per CBSL Requirements and Reporting Any Limit Exceptions to BIRMC or Board Treasury Committee (BTC)
		Market Developments, Trends and MIS
		Profitability Analysis of the Foreign Exchange Portfolio through the Revaluation Process
		Stress Testing on Interest Rate Risk, Foreign Exchange Risk and Equity Risk Encompassing Changing Positions and New Economic Variables
		Modified Duration on T-Bill, T-Bond, US Treasuries, SLISB and Debenture Portfolios
		Monitoring of Yield Curve Risk and Repricing Risk Covering Trading Book and Banking Book
		Mark-to-Market of the Equity Portfolio
		Market Risk Dashboard to BIRMC
		Submission of Management Reports to BIRMC Covering Interest Rate Risk and Foreign Exchange Risk

NEW DEVELOPMENTS IN 2024

- Review of the Bank's Market Risk Management Policy to align with current market practices, and regulatory requirements, as per recommendations of external consultants.
- TFO limits were reviewed twice during the year resulting in,
 - » Appropriate limit enhancements and increased limits for existing dealers.
 - » Establishment of new limits for new dealers.
- » Introduction of new control limits for the investment portfolio in line with the Bank's capital position.
- » Introducing limits related to US Treasury investments following a comprehensive review of the US market and relative performance assessment of alternative markets.
- Limits on VaR, Mark to Market (MTM) limits on the T-bills/T-bonds portfolio and SLISB portfolio, and PVBP were reviewed, and recommendations were submitted to the BIRMC.
- Systems were enhanced to monitor rate reasonableness for PDU deal rates and counterparty settlement limit exposures, resulting in a more user-friendly system report.
- In-depth review of the Treasury Manual, in collaboration with TBO, TFO and two external consultants.

8.1.1. Management of Interest Rate Risk

The Bank manages its interest rate risk by;

- Closely monitoring the Yield Curve and respond accordingly.
- Re-pricing its assets and liabilities accordingly.

These principles are operationalised through a formal policy framework and a set of prudential limits as well as VaR assessments, Duration and Maturity Gap Analysis, PVBP and Stress Testing.

NEW DEVELOPMENTS IN 2024

MTM limits were introduced for investments in US Treasuries based on analysis of historical trends and future projections of the Federal Funds Rate.

Risk Management Report

8.1.2. Management of Foreign Exchange Rate Risk

The Bank manages its foreign exchange rate risk in line with industry best practices and alignment with international standards including the BIS FX Global Code. Key strategies in place to manage foreign exchange rate risk include;

- Strictly adhering to CBSL guidelines and the Board approved limit framework for managing the Net Open Position (NOP).
- Daily monitoring of stop loss limits and maximum limits for individual dealers for foreign currency trading.
- Closely monitoring rate movements, counterparty limits, currency-wise and aggregate exposures of the foreign currency portfolio.
- Quarterly stress testing to ascertain the Bank's foreign exchange position under stressed conditions.
- Regular training and development of staff.

NEW DEVELOPMENTS IN 2024

- In-depth review and update of the Bank's counterparty selection and limit setting process, incorporating changes in guidelines. This was conducted under the oversight of the BTC.
- Developed Board-approved country limits for trade services and treasury. Adherence to specified limits is monitored by the RMU through an automated system report developed by the Data Warehouse Unit in collaboration with Treasury, Risk and Trade Services Departments. This has enabled the Bank to enhance prudence related to cross-border risk.
- During the year under review, staff attended a training programme conducted by the Sri Lanka Forex Association on the BIS FX Global Code.

As at end-2024, the Sri Lankan Rupee appreciated 9.5% against the USD. On this backdrop, Sampath Bank effectively managed its NOP in adherence with CBSL regulatory limits and the Bank's risk appetite statement.

WAY FORWARD

- Conduct back-testing for VaR models.
- Maintain alignment with best practices in foreign exchange risk management, including adherence with the BIS FX Global Code, and thereby strengthening market integrity and transparency.

9. Operational Risk

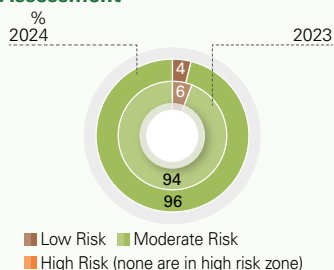
Operational risk is inherent to all banking products, processes and systems and the Bank invests significant resources to manage it effectively. The Bank's operational risk management framework focuses on proactively identifying, assessing and mitigating risks that arise from the Bank's daily operations. This not only safeguards the Bank's assets and reputation but also enhances its ability to achieve long-term success in a complex and dynamic operating environment.

Operational Risk	Sampath Bank's Strategy	Regulatory Developments	Components of Operational Risk	Operating Context
Operational risk is the risk of losses stemming from inadequate or failed internal processes, people and systems or from external events such as natural disasters, social or political events.	Stringent monitoring enabling early detection and prevention of potential threats while strengthening resilience of its technology risk management framework.	Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks was issued by CBSL, with a view to strengthening the corporate governance processes, enhancing the overall stability of the banking sector and the financial system.	• Legal/regulatory risk • Financial crimes/fraud risk • Information Technology and Information Security risk • Model risk • Business continuity management • Recovery planning	The operating context encompasses the internal and external factors that influence how risks arise and are managed within an organisation. Effective operational risk management aligns with the organisation's strategy and risk appetite, addressing risks from process failures, system issues, human errors, and external events to protect the organisation's assets and reputation.

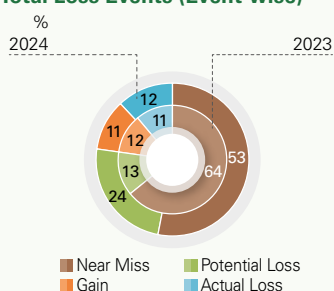
Key Risk Indicators

Total number of ATM breakdowns per ATM due to hardware or software failure, cash low situations, communication errors and power issues	Number of Bank's insurance policies expired and not renewed at the end of the quarter
CCTV breakdowns reported per quarter, per ATM location	Number of outsourced ATM management agreements not renewed during the quarter and cash loading/maintenance operating without a formal contract
Number of staff resignations in the grade of Executive I and above	

Summary of Risk & Control Self Assessment



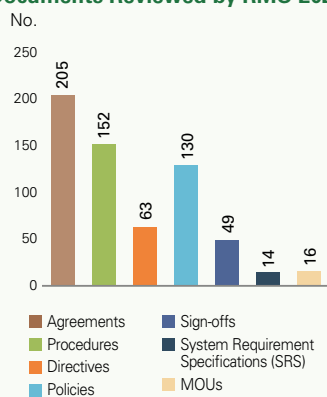
Total Loss Events (Event-wise)



Actual Losses (No. of Incidents) by Basel Event Types



Documents Reviewed by RMU 2024



9.1. Managing Operational Risk at Sampath Bank

The Bank has a robust governance framework in place to proactively and effectively manage operational risk.

Responsibilities Related to Managing Operational Risk

Board Sub-Committees

BIRMC	Oversight of operational risk management.
-------	---

Management Level Committees

Operational Risk Management Committee (ORMC)	Identification and monitoring of operational issues and ensuring prompt rectification. This committee is chaired by the Managing Director.
Risk and Compliance Committee (RCC)	Monitoring and analysis of loss events to develop and recommend mitigation strategies.
Fraud Risk Management Committee (FRMC)	Provides guidance and oversight to ensure the Bank has effective measures in place to prevent, detect and respond to fraud, protecting the Bank's assets and reputation.

Departments

Operational Risk Management Unit	Implementing the Bank's operational risk management strategy and monitoring compliance.
----------------------------------	---

Sampath Bank's operational risk management framework guides the activities of all those involved in managing operational risk and is designed to enable proactive management of operational risk, build resilience, protect stakeholders and achieve its strategic objectives.

Operational Risk Management Framework

Policies, Directives & Procedures	Operational Risk Management policy
	Policy on mapping the Bank's business activities into BASEL business lines
	Anti-fraud policy
	Legal risk management policy
	Policy on temporary dispensation of Board approved policies (Policy on management of policy overrides)
	Pillar III disclosure policy
	Model risk management policy
	Procedure on appointing and responsibilities of risk agent
	Procedure on contracts and agreements to be executed by the Bank
	Procedure on internal loss event data reporting
Risk Management Tools	Procedure on responsibilities and framework for administration of policies, procedures and directives
	Procedure on risk and control self-assessments and key risk indicators
	Procedure on risk management in new product documents/concept papers
	Risk and control self-assessment (RCSA)
	Business Continuity and Disaster Recovery Plan
	Operational risk capital charge calculation under alternative standardised approach (ASA)
	Root cause analysis
Risk Monitoring and Reporting Protocols and Frequency	Analysis of loss events
	Operational risk stress testing
	Risk and control self-assessments (RCSA) for IT related business units and IT related 3rd party suppliers
	Monitoring of the risk appetite for operational risk
	Monitoring of key risk indicators (KRIs)
	CBSL reporting of high valued actual losses

Risk Management Report

Key aspects of operational risk management at Sampath Bank include,

- Identification of operational risks across all business lines and functions and assessment of likelihood and impact of risks using a range of tools and methodologies including RCSA, scenario analysis and stress testing.
- Prompt recording and reporting of operational risk events through the loss events reporting system. Data analysis to identify root causes and trends, to facilitate the enhancement of operational processes and controls to prevent the recurrence of similar events.
- Key Risk Indicators are used to track potential risk exposures in real time. These indicators provide early warning signs allowing the Bank to take pre-emptive action before risks materialise as significant threats.
- Regular monitoring ensures the Bank's operations are within the defined risk appetite.
- Overlook the reviewing of directives, policies and procedures to ensure correct guidelines are followed when preparing the same.
- Implementation of risk mitigation strategies including strengthening operational controls, enhancing process efficiency, staff training, automation of risk management processes and adequate insurance coverage to protect against unforeseen operational losses.
- Adherence to all laws, regulations and guidelines of the CBSL and other regulatory bodies.
- Regular audits and compliance checks are conducted to ensure all operational activities fully comply with regulatory requirements.
- Fostering a strong risk culture across the Bank through regular training programmes, workshops and awareness campaigns.

NEW DEVELOPMENTS IN 2024

- Enhanced digital infrastructure to ensure robust banking services and mitigate service disruptions.
- Upgraded the internet banking platform to enhance convenience and security for customers.
 - » New security features including advanced encryption technology and multi-factor authentication.
 - » New convenience-related features including a new interface optimised for ease of use enabling customers to complete their banking activities more efficiently.
- IT KRIs were enhanced in line with the Technology Risk guidelines.
- IT risk appetite and tolerance limits have been set for selected KRIs.

WAY FORWARD

- Develop a comprehensive loss event reporting system to significantly enhance the Bank's ability to identify, analyse and respond to operational risks. This will include,
 - » Integration of Artificial Intelligence to enable more efficient data collection, pattern recognition and predictive analysis.
 - » Automation of anomaly and potential risk event detection, faster and more accurate reporting.
- IT related departments to ensure that the controls laid are accurate and effective as reflected through self-assessments.

9.2. Information Technology and Information Security Risk

IT Risk

Effectively managing the Bank's IT risk falls under the BIRMC and BITC at Board level and the ORMC & RCC at Management Level. The IT Risk Unit of the RMU is responsible for monitoring the implementation of the Bank's IT Risk Management strategy and ensuring compliance.

The Bank adopts a 360-degree approach in securely commissioning of new technology and business initiatives while maintaining focus on protecting the Bank and its customers from cyber/technology threats. The IT Risk Unit of the RMU independently monitors the Bank's IT risk profile using an array of tools and techniques including IT Key Risk Indicators and Risk & Control Self-Assessment, etc. The IT Key Risk Indicators review process involves monitoring multiple risk indicators including information security related incidents and conducting trend analysis to identify high risk or emerging risks. The RCSA process collates information from IT risk and is reviewed by the IT Risk Unit in line with established procedures in the operational risk management process, audit findings, analysis of information security incidents, internal and external loss data among others. Results of these exercises are reported to BIRMC enabling timely formulation and implementation of mitigation strategies.



IT risk refers specifically to disruption to the normal course of business either due to failure of hardware and software systems or the lack of adequate IT Infrastructure.



Information security risk occurs as a result of internal and/or external breach of the Bank's data/systems.

The IT Risk Unit also actively participated in the Bank's Business Continuity Planning and Disaster Recovery exercise and provided an independent review of the process.

NEW DEVELOPMENTS IN 2024

- Full compliance with the requirements of the Banking Act Direction No. 16 of 2021 on Technology Risk Management and Resilience.
- Developed a Technology Risk Framework using IT KRIs.
- Established the Technology Risk Appetite and Tolerance Limits.
- Conducted a RCSA for third party service providers.
- Conducted specialised training on IT risk management for staff.

Information Security Risk Management

Sampath Bank has implemented a robust information security risk management framework to mitigate the evolving cyber threats associated with the increasing reliance on digital platforms. This proactive approach aims to safeguard sensitive customer data, protect operational continuity and maintain the Bank's reputation, strengthening long term resilience.

Alignment with Global and Local Best Practices

- ISO 27001:2022 Information Security Standard Certification
- Payment Card Industry Data Security Standard (PCI DSS v4.0) certification
- CBSL's Baseline Security Standards for Licensed Commercial Banks
- Banking Act Direction No. 16 of 2021 on Technology Risk Management and Resilience

Information Security Policy Framework of the Bank

- Acceptable usage
- Cardholder data management
- Policy on information security

Responsibilities Related to Information Security Risk Management

Board Sub-Committees

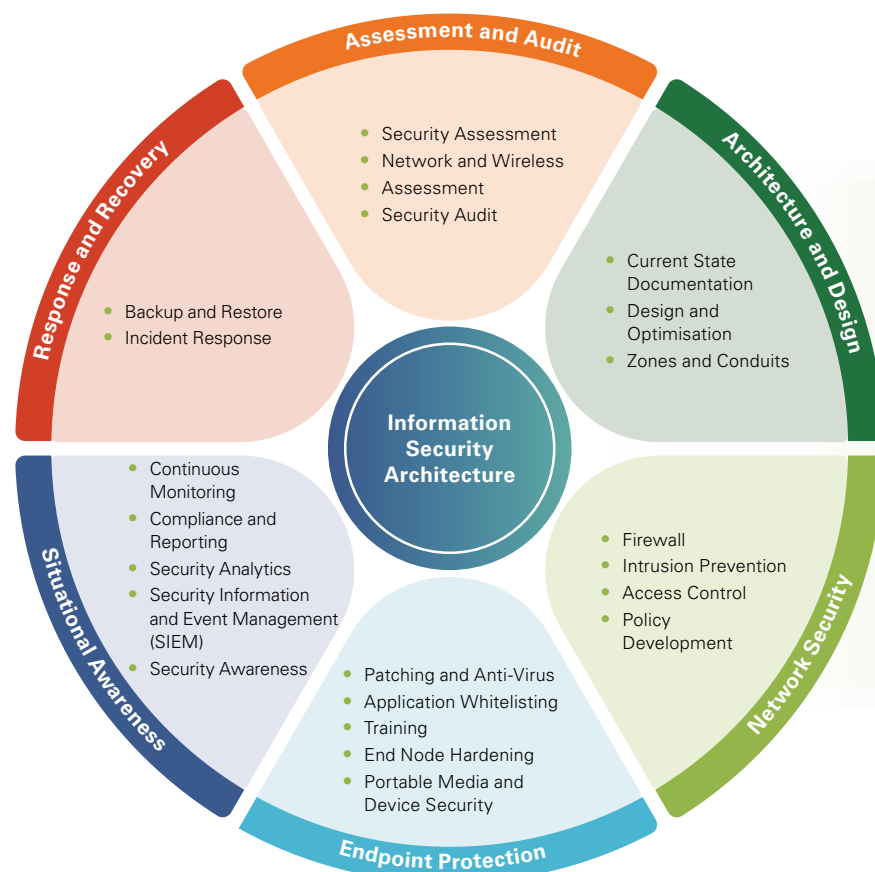
- | | |
|--------------------|--|
| Board IT Committee | • Oversight of information security risk management. |
|--------------------|--|

Management Level Committees

- | | |
|--------------------------------|---|
| Information Security Committee | <ul style="list-style-type: none"> • Oversees the implementation of the Bank's Information Security Risk Management strategy. • Formulation and maintaining information security policies and procedures in alignment with global and local regulatory requirements and best practices. • This committee is headed by the Managing Director. |
| Data Dissemination Committee | <ul style="list-style-type: none"> • Implement the Bank's data governance strategy effectively. • Build awareness on best practices related to data security and privacy management. • Approve, recommend, and review the Bank's protocols for sharing information with third parties. |

Departments

- | | |
|-------------------------|--|
| IT Risk Team of the RMU | <ul style="list-style-type: none"> • Responsible for reviewing all IT and Information security policies of the Bank. • Identifying, assessing, monitoring and reporting on technology risk related aspects covering the entire IT infrastructure of the Bank using techniques and methodologies. |
|-------------------------|--|



During the year under review, the IT Security Policy and Procedure Framework was reviewed and updated by the Bank's Information Security Committee.

The Bank also aligned its information security architecture fully with the requirements of the Banking Act No. 16 of 2021 on Technology Risk Management and Resilience and complied with required controls as of 2024.

Risk Management Report

Procedures to operationalise the Bank's information security risk management strategy are summarised below.

Procedure	Frequency	Actions Implemented	Responsibility
Annual information security risk assessment	Annual	A thorough Bank-wide assessment covering all departments, branches and various physical and digital touchpoints.	Information Security Department
Vulnerability Assessment and Penetration Testing (VAPT)	Periodic	Numerous phishing simulations of different intensities were executed to assess the threat level to the staff and potential risks to the business.	Information Security Department
Training and development for staff	Periodic	To ensure staff are up-to-date regarding the latest developments related to cyber security management.	Information Security Department
Customer awareness campaigns	Periodic	An e-mail and SMS campaign (with tri-lingual messaging) was conducted to raise customer awareness of cyber security threats.	Information Security Department

WAY FORWARD

In the year ahead, the Bank plans to strengthen its information security resilience by enhancing incident response, compliance, risk management and security assessments. This involves,

- Compliance with CBSL directives and governance requirements through ongoing monitoring and timely implementation of security requirements.
- Regular security assessment and compliance audits to ensure adherence to ISO 27001, PCI DSS, and industry best practices.
- Enhance data protection measures with DLP solutions, access reviews and classification controls to prevent data breaches.
- Proactive Threat and Vulnerability Management via penetration testing, phishing, and attack surface monitoring.
- Security awareness and training to strengthen staff and customer readiness against cyber threats.

9.3. Legal/Regulatory Risk

Legal/regulatory risk refers to potential losses arising from the failure to comply with statutory or regulatory requirements or the misinterpretation of regulations or due to uncertainties arising from legal action. Losses can include fines, penalties or punitive damages imposed by the regulator as well as legal settlement costs.



The Bank is firmly committed to complying fully and in a timely manner with all laws and regulations imposed by regulatory authorities across its operations. Sampath Bank's Board and Board Committees diligently track the regulatory landscape to promote early adoption and full compliance with all new laws and regulations. The Bank's Compliance Department carries out routine due diligence to ensure the Bank's compliance with all prevailing laws and regulations and also proactively monitors for emerging regulatory changes, reinforcing the Bank's commitment to full compliance. The Department focuses on increasing awareness on regulations by conducting training programmes. The Bank assesses its legal/regulatory risks utilising a comprehensive scorecard and allocates capital under ICAAP, if required.

9.4. Model Risk

Model risk is the potential for financial losses arising from inaccurate or misleading outputs produced by financial models. Model failures can occur due to programming errors, incorrect data, technical errors and misinterpretation of model output.



Managing model risk is crucial for the Bank as the reliable assessment of several key risks including credit risk, market risk and capital management rely on complex models that incorporate statistical, economic, financial and mathematical methodologies. Accordingly, model risk management is overseen by the Model Risk Management Committee and is governed by the Model Risk Management Policy and Model Validation Policy.

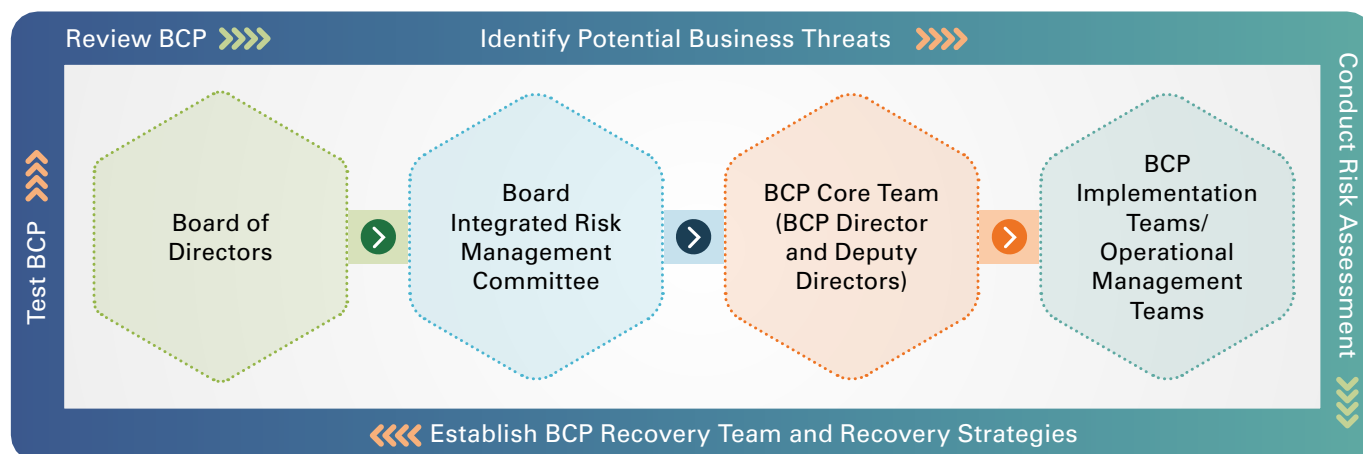
The key principles of the Bank's model risk management process include,

- Alignment with CBSL directions, the BASEL framework/guidelines and directions as and when published by the regulator.
- Maintaining clear definitions and records/details for all models.
- Creation of a robust life cycle governance process for model development, implementation and usage.
- Rigorous model validation and independent reviews as appropriate.

9.5. Business Continuity Management

The Bank has a robust Business Continuity Plan (BCP) in place to build resilience and safeguard business continuity.

While obtaining the Board approval for updated BCP annually, the BCP is reviewed regularly to ensure adequacy, effectiveness and relevance of business recovery strategies in the context of prevailing operating conditions. Due diligence of the BCP falls under the purview of the BCP Steering Committee which is headed by the BCP Director.



System simulations were carried out periodically while critical functions were tested quarterly at both disaster recovery sites. Random disaster recovery drills were also conducted where all banking functions were operated through the disaster recovery servers continuously for a long time period to verify proper functioning of disaster recovery servers and sites and familiarising the team. This also provided the team with a comprehensive overview of the Bank's disaster recovery practices.

The Bank also conducted the annual evacuation drill and required training such as first aid, evacuation in collaboration with the Fire Service Department in November 2024. The entire head office was evacuated within a satisfactory period of time with the assistance of designated fire wardens (BCP coordinators) of the Bank.

9.6. Recovery Plan

Sampath Bank has established a fully-fledged Recovery Plan (RCP) in accordance with the Banking Act Direction No. 09 of 2021 - Recovery Plans for Licensed Commercial Banks and Licensed Specialised Banks. The RCP has been reviewed annually since its initiation in 2022 in line with regulatory requirements. Periodic review of the Recovery Plan falls under the purview of the Recovery Plan Working Committee.

The Bank's RCP has been developed in the context of its business model, risk profile, scale and complexity of operations and its interconnectedness with the overall banking system of the

country. It captures a full range of credible and flexible recovery options available to the Bank to address a range of shocks (including capital and liquidity shocks) that may arise from institution specific stress, market wide stress or a combination of both.

NEW DEVELOPMENTS IN 2024

- The RCP was strengthened by enhancing the requirements to be included under the recovery options.
- Recovery options for business continuity planning and adverse court decisions were further elaborated.
- The Bank's insurance policy framework was identified as a supporting tool to assist in a crisis situation alongside the business continuity plan.
- The RCP policy was developed to strengthen the framework.

10. Integrated Risk Management

Integrated risk management is the discipline of assessing and managing risks holistically and considering inter-relationships among risks faced by an institution. This is conducted in line with the Integrated Risk Management Policy. The Board reviewed the policy during the year under review and updated to capture the prevailing conditions in the operating environment as well as industry best practices.

Internal drivers and external sources of each risk have been identified and captured in the Risk Register to reflect the risk profile of the Bank. Further, a risk matrix is being prepared to capture emerging risks on a prudent basis and submitted to BIRMC/ Board.

NEW DEVELOPMENTS IN 2024

- With the aim of standardising the Risk Register, the formulating methodology was enhanced and the process manual was updated accordingly.
- Macro-economic/integrated stress testing was carried out to assess the capital adequacy position of the Bank under severe but plausible hypothetical crisis scenarios. Stress testing scenarios were reviewed based on the current macro-economic conditions.
- Interbank comparisons were carried out to ascertain the Bank's position within the industry with regard to numerous criteria.

Risk Management Report

10.1. Strategic Risk

Strategic risk refers to the potential negative impact to the Bank's performance and prospects owing to ineffective strategic decisions resulting in the failure to capitalise on business opportunities and/or take action against potential threats.



Sampath Bank's strategic risk management process is guided by the Board approved Strategic Risk Management Policy which outlines a structured approach to strategic planning and monitoring.

The responsibility of effectively managing the Bank's strategic risk lies with its Board of Directors. The Board sets out the Bank's strategy annually, with clearly defined short, medium and long term goals aligned with its vision and core values. The strategic plan is then cascaded down to operational level targets through the Board approved annual budget. Targets set out in the budget are communicated to senior management who are responsible for developing aligned business unit goals and cascading these objectives to employees.

The Strategic Planning Department reviews actual performance against the budget on a monthly basis and reports their findings to the Board. In the event of deviations, remedial action to realign performance with the plan is also recommended. The Strategic Planning Department also monitors developments in the external environment to identify opportunities and threats, informing strategic adjustments and the re-alignment of the Bank's capabilities. In 2023, the Bank developed a new, comprehensive, 5-year strategic plan incorporating the expertise of a leading global consultancy firm. This resulted in the development of a new vision, purpose statement, and strategy for the Bank. During the year under review, strategic risk assessments were conducted in both quantitative and qualitative dimensions using a scorecard to compute capital allocation for Strategic Risk, under the ICAAP. Further, strategic risk is also assessed in the Risk Register and the Risk Matrix.

[Link to strategy](#)



10.2. Reputational Risk

Reputational risk relates to damage to the Bank's reputation and industry standing caused by errors in judgement including but not limited to violations of business ethics, non-compliance, customer service lapses or operating deficiencies, or by failures leading to loss of stakeholder confidence in the Bank.



Over 37 years of operations, the Bank has established a strong market position as a leading licensed commercial bank in Sri Lanka through effective leadership, robust risk management, a long-term strategic focus, ethical conduct and a commitment to financial inclusion and corporate responsibility. Therefore, the Bank places strong emphasis on safeguarding its reputation, maintaining its brand image and effectively managing reputation risk.

Reputation risk at Sampath Bank is managed in line with the Bank's Board-approved Reputation Risk Management Policy. The Bank's Chief Risk Officer and the Chief Compliance Officer collaborate closely with the Corporate Management including the Senior DGM - Marketing, Customer Care & Card Centre, BCP Director and Business Line Heads to safeguard the Bank's reputation and to ensure brand building activities are in alignment with established policies and procedures.

Reputation risk management within the Bank also includes active stakeholder engagement to identify potential concerns. Feedback is obtained regularly from operational level staff to anticipate potential risks to reputation. The Bank also proactively monitors traditional media and social media for potential threats to its reputation. A formal procedure for handling and monitoring social media comments, inquiries, posts and complaints is also in place. Furthermore, the Bank operates a 24/7 Customer Care Centre to address customer issues, concerns and complaints swiftly and promptly.

The availability of a Code of Ethics, Anti-bribery and Anti-corruption policy, Communication policy, and Whistleblowing policy applicable to all employees ensure that corporate values and expectations of conduct are clearly communicated throughout the Bank and prevents unethical behaviour.

The Bank is cognisant of the importance of brand building activities in strengthening its reputation within the industry. Therefore, the Bank conducts a brand health study every two years to determine areas that could adversely impact its reputation. Care is also exercised to ensure all brand building activities and marketing communications are aligned with the Bank's vision and corporate values.

A scorecard is used to assess Reputation Risk drivers to calculate the additional capital requirement under ICAAP process. Regular assessment of Reputational risk is carried out under the Risk Register and the Risk Matrix.

[Link to capital](#)



10.3. Group Risk

Group risk refers to potential financial losses to the entire Group due to risks stemming from one or more of its subsidiaries.



During the year under review, the Bank resumed assessing Group risk in line with the CBSL requirements. The Bank reviewed the Group Risk Management Policy and established a mechanism for monitoring the risk management process of subsidiaries within the Sampath Bank Group. The RMU conducted a Group Risk Analysis and an in-depth financial analysis of all subsidiaries and findings were reported to the BIRMC. Group risk was deemed low during the year under review.

The primary responsibility of overseeing and managing the risk of each subsidiary lies with its Board. As the parent company the Board/BIRMC of the Bank has the oversight responsibility of monitoring risk at subsidiary companies. The risk management divisions of the each subsidiary forward risk management review reports including the key risk concerns to the Risk Management Department of the Bank. These reports are used to identify the key risks faced by each entity, measures taken to manage or mitigate the risks and are reviewed by the Risk Management Department of the Bank and tabled at the BIRMC meetings as group risk reports.

11. Sustainability Risk

Sustainability risk relates to potential financial losses and/or reputational damage arising from the mismanagement of Environmental, Social and Governance (ESG) factors.



The Bank adopts a holistic approach to managing its sustainability risks across its value chain, considering both operational sustainability risks and those stemming from its credit portfolio with the goal of promoting the long-term sustainability of its operations. Accordingly, the Bank has adopted measures to reduce the environmental impacts of its operations by implementing resource efficiency strategies, reducing waste, actively monitoring its carbon footprint and engaging in biodiversity conservation initiatives. Furthermore, impactful community development programmes, ethical business practices and progressive HR practices continue to strengthen its social license to operate.

The Bank is strengthening its systems and processes for identifying, measuring, monitoring and managing sustainability related risks and opportunities. External consultants have been engaged to support this transition while governance structures have been strengthened in readiness.

Further, the Bank is in preparation for alignment with the reporting requirements of SLFRS Sustainability Disclosure Standards in line with the prescribed target dates.

As a Bank, we recognise that financed emissions are a significant part of the Bank's carbon footprint and the strengthening of processes takes this into account as we seek to steer the portfolio to support the country's transition to a low carbon economy. During the year under review, the Bank strengthened managing sustainability risks within its credit portfolio as described below.

NEW DEVELOPMENTS IN 2024

- The Bank established an Environmental and Social Risk Management System to effectively manage sustainability risks related to its lending activities during the year under review.
- This entailed the establishment of;
 - » A Board-approved ESMS policy
 - » A published ESMS procedure
- The ESMS policy is aligned with regulatory requirements and international best practices including,
 - » CBSL's Banking Act Direction No. 05 of 2022
 - » IFC's performance standards
 - » United Nation's Sustainable Development Goals
- All credit proposals that are deemed high risk are submitted to the RMU for environmental and social risk assessments and recommendations.
- To support effective implementation of its ESMS policy, the Bank invested significantly to achieve the following;
 - » Build capacity through physical and online trainings for staff in the RMU, Credit Policy Committee and Internal Audit Department.
 - » Sustainability and climate risk alerts were sent within the Bank to keep all business units informed of identified climate risks including adverse weather events.
 - » Knowledge sharing across the Bank through e-flyers.
- The Bank's ESMS policy and procedures,
 - » Applies to advances over a predetermined threshold and all projects loans excluding consumption loans and schematised facilities.
 - » Layouts the categorisation of applicable facilities using the Environmental and Social Risk Categorisation Tool, which has been developed internally based on the Central Environmental Authority's prescribed activity list for environmental approvals and/or environmental protection licenses.
 - » Using this tool, the Bank categorises applicable credit facilities under four risk categories as follows.

Category	Selection Criteria
A	Activities expected to have significant adverse environmental and/or social impacts that are diverse, irreversible or unprecedented
B+	Activities expected to have substantial adverse environmental and/or social impacts
B	Activities expected to have limited adverse social and/or environmental impacts that can be readily addressed through mitigation measures
C	Activities expected to have minimal or no adverse environmental and/or social impacts

WAY FORWARD

- Ongoing efforts to comply with the requirements of the Banking Act Direction No. 05 of 2022, which includes,
 - » Implementation of an ESG risk assessment on the loan portfolio.
 - » Develop scenario analysis and stress testing models for identified shocks, assess its impact on capital and incorporate it into ICAAP.
 - » Development of a scorecard to incorporate sustainability risks into ICAAP under Pillar II and allocate capital accordingly if required.
- Ongoing efforts to identify the Bank's sustainability related and climate related risks and opportunities and disclose in line with the requirements of the SLFRS Sustainability Disclosure Standards S1 and S2.

FINANCIAL INFORMATION

Financial Calendar | **254**

Annual Report of the Board of
Directors on the Affairs of the
Company | **255**

Directors' Interest in Contracts
with the Bank | **262**

Directors' Statement on Internal
Control Over Financial
Reporting | **264**

Independent Assurance Report
to the Board of Directors of
Sampath Bank PLC | **266**

Managing Director's and Chief
Financial Officer's Responsibility
Statement | **267**

Statement of Directors'
Responsibility for Financial
Reporting | **268**

Independent Auditor's Report to the
Shareholders of Sampath
Bank PLC | **270**

Key Financial Highlights | **273**

Financial Statements

Statement of Profit or Loss | **274**

Statement of Comprehensive
Income | **275**

Statement of Financial Position | **276**

Statement of Changes in Equity | **278**

Statement of Cash Flows | **280**

Notes to the Financial
Statements | **283**

A SPECTRUM OF POSSIBILITIES

The Bank's wide-ranging portfolio offers individuals from all walks of life the power to break free from their limits and explore life with renewed purpose - by adding colour to their lives, and radiating the power of infinite possibilities.



Financial Calendar

Financial Calendar - 2024

2023 Annual Report and Audited Financial Statements signed on	14th February 2024
38th Annual General Meeting held on	28th March 2024
Rs 5.85 per share Final Cash Dividend for 2023 distributed on	24th April 2024
2024 Annual Report and Audited Financial Statements signed on	17th February 2025
39th Annual General Meeting to be held on	28th March 2025
Rs 9.35 per share Final Cash Dividend for 2024 distributable on or before	23rd April 2025*

Interim Financial Statements published in terms of Rule 7.4 of the Colombo Stock Exchange (CSE) and as per the requirements of the Central Bank of Sri Lanka:

	Colombo Stock Exchange	Newspapers (as required by CBSL)		
		English	Sinhala	Tamil
2023 4th Quarter interim results released on	15th February 2024	28th February 2024	29th February 2024	29th February 2024
2024 1st Quarter interim results released on	14th May 2024	28th May 2024	29th May 2024	29th May 2024
2024 2nd Quarter interim results released on	08th August 2024	22nd August 2024	23rd August 2024	23rd August 2024
2024 3rd Quarter interim results released on	13th November 2024	26th November 2024	27th November 2024	27th November 2024

Proposed Financial Calendar - 2025

2025 Annual Report and Audited Financial Statements to be signed in	February 2026
40th Annual General Meeting to be held in	March 2026
Final dividend for 2025 payable in	April 2026**

Interim Financial Statements to be published in terms of Rule 7.4 of the Colombo Stock Exchange and as per the requirements of the Central Bank of Sri Lanka:

	Colombo Stock Exchange	Newspapers (as required by CBSL)		
		Sinhala	Tamil	English
2024 4th Quarter interim results to be released on or before	18th February 2025	31st March 2025	31st March 2025	31st March 2025
2025 1st Quarter interim results to be released on or before	15th May 2025	31st May 2025	31st May 2025	31st May 2025
2025 2nd Quarter interim results to be released on or before	15th August 2025	31st August 2025	31st August 2025	31st August 2025
2025 3rd Quarter interim results to be released on or before	14th November 2025	30th November 2025	30th November 2025	30th November 2025
2025 4th Quarter interim results to be released on or before	27th February 2026	31st March 2026	31st March 2026	31st March 2026

* Subject to confirmation by Shareholders

** Subject to confirmation by Directors and Shareholders

Annual Report of the Board of Directors on the Affairs of the Company

1. GENERAL

The Board of Directors of Sampath Bank PLC are pleased to present its Annual Report on the State of Affairs of the Company to the members of Sampath Bank PLC ("the Bank") for the financial year ended 31st December 2024, together with the Audited Financial Statements of the Bank, Consolidated Financial Statements of the Group for the financial year 2024 and the Auditors' Report on the same. This report has been prepared in compliance with the statutory requirements set out in:

- The Companies Act No. 7 of 2007 and its amendments,
- The Banking Act No. 30 of 1988 and its amendments,
- The Listing Rules of the Colombo Stock Exchange.

The Financial Statements have been reviewed and recommended by the Board Audit Committee.

This Report, including the Financial Statements was approved by the Board of Directors on 17th February 2025. The requisite number of copies of the Annual Report will be submitted to the Central Bank of Sri Lanka, Colombo Stock Exchange, Registrar of Companies, Securities and Exchange Commission of Sri Lanka and to the Sri Lanka Accounting and Auditing Standards Monitoring Board within the statutory deadlines.

Sampath Bank is a Licensed Commercial Bank registered under the Banking Act No. 30 of 1988 ("Banking Act") and was incorporated as a Public Limited Liability Company in Sri Lanka on 10th March 1986 under the Companies Act No. 17 of 1982, initially as "Investment and Credit Bank Limited" and subsequently changed to Sampath Bank Limited. The Company was re-registered as per the requirements of the Companies Act No. 07 of 2007 on 28th April 2008 under the name "Sampath Bank PLC" with the Registrar General of Companies. The re-registration number of the Bank is PQ 144.

The ordinary shares of the Bank are listed on the Main Board of the Colombo Stock Exchange (CSE). The Bank's Basel III Compliant Tier II Rated Unsecured Subordinated Redeemable Debentures are also listed on the CSE.

The Bank has been assigned a National Long Term Rating of 'AA-(lka) Stable' by Fitch Ratings Lanka Limited w.e.f 21st January 2025 [31st December 2024: A(lka) Stable]. The subordinated debentures have been assigned a rating of 'A(lka)' w.e.f. 21st January 2025 [31st December 2024: BBB+(lka)].

The Registered Office as well as the Head Office of the Bank is located at No. 110, Sir James Peiris Mawatha, Colombo 02, Sri Lanka.

2. APPROACH TO CORPORATE GOVERNANCE FRAMEWORK

The Sampath Bank Board is committed to achieving the best governance outcomes possible through the values of ethical leadership, accountability, and transparency. The Bank's governance framework gives clear direction for quick and responsive decision-making as well as supporting responsible behaviours to ensure long-term delivery of strategic results. The Bank continues to strive for a higher standard of governance, integrity, and professionalism under globally established good Governance standards.

3. GOVERNANCE IN YEAR 2024

The Bank's Governance structure is designed to achieve sustainable growth in alignment with its Purpose, Vision and Values, while carefully appraising stakeholders' interests. The Bank's Governance mechanisms allowed the Board to maintain effective oversight of the Bank's business through regular review of financial statements, risk reports, non-financial information and in-depth analyses of critical issues affecting the Bank and its stakeholders.

The Board engaged closely with the Corporate Management Team to analyse the Bank's business strategy and assess the impact of the current state of the economy, including associated risks and opportunities. The Board has adopted appropriate short, medium and long term plans that strengthen the Bank's risk profile and financial stability taking into account foreseeable challenges.

The following key changes to governance frameworks and processes were implemented during the year:

- The policy framework was reviewed and aligned to meet the requirements of the CSE Listing Rule No. 9 and the effective policies are given on the Bank's website.
- A new Board Sub-Committee was established for Sustainability.
- The Terms of Reference for all mandatory Board Sub-Committees including the Main Board were reviewed and updated during the year.
- The Board noted the Banking Act Directions on Corporate Governance issued during the year and has established a road map to comply with the same by due dates. The Board also noted that the Bank was compliant with almost all new provisions due to its compliance with the voluntary Code of Best Practice on Corporate Governance.
- The Board noted the requirement to comply with SLFRS S1 and SLFRS S2 standards in 2025 and has put in place the necessary processes with the assistance of external consultants.

Annual Report of the Board of Directors on the Affairs of the Company

4. STATUTORY DISCLOSURES

Section 168 of the Companies Act No. 7 of 2007 and its amendments requires the following information to be disclosed in the Annual Report prepared for the year under review.

No.	Disclosure Requirement	Reference to the Companies Act No. 7 of 2007	Disclosure Reference for Compliance	Page Reference
1	The nature of the business of the Bank and the Group	Section 168 (1) (a)	Sampath Bank at a Glance Note 1.3 to the Financial Statements - Principal Activities and Nature of Operations of the Bank Subsidiary Performance Note 28 to the Financial Statements - Investment in Subsidiaries	10 - 12 283 142 - 146 332 - 333
2	Signed Financial Statements of the Bank and the Group for the accounting period completed in accordance with Sections 151 and 152	Section 168 (1) (b)	The Financial Statements for the year ended 31st December 2024 have been duly signed by the Executive Director/Chief Financial Officer, three more Directors and the Company Secretary of the Bank. Financial Statements Note 2.1 to the Financial Statements - Statement of Compliance	277 274 - 421 283
3	Auditor's Report on the Financial Statements of the Bank and the Group	Section 168 (1) (c)	Independent Auditor's Report to the Shareholders of Sampath Bank PLC Based on the declaration provided by Messrs Ernst & Young and as far as the Directors are aware, the Auditors do not have any relationship with or interest with the Bank that in our judgment, may reasonably be thought to have a bearing on their independence within the meaning of the Code of Professional Conduct and Ethics issued by the Institute of Chartered Accountants of Sri Lanka, applicable as of the date of this Report. The retiring Auditors, Messrs Ernst & Young, have expressed their willingness to continue in office. They come up for re-election at the Annual General Meeting, with the recommendation of the Board Audit Committee and the Board of Directors. In accordance with the Companies Act, a resolution proposing the re-appointment of Messrs Ernst & Young, Chartered Accountants, as Auditors is being proposed at the Annual General Meeting.	270 - 272
4	Changes in Accounting Policies during the accounting period	Section 168 (1) (d)	There are no accounting policy changes during the year. The significant accounting policies adopted in the preparation of the Financial Statements	283 - 421
5	Particulars of entries in the Interests Register made during the accounting period	Section 168 (1) (e)	The Bank maintains the Directors' Interest Register as required under the provisions of Section 168 (1) (e) of the Companies Act. The Directors of the Bank have made necessary declarations of their respective interests in contracts or proposed contracts, in terms of the Sections 192 (1) and 192 (2) of the Companies Act. These interests have been recorded in the Directors' Interest Register, which is available for inspection in terms of the Companies Act. As a practice and in terms of Corporate Governance requirements, the Directors have refrained from voting on matters in which they have a material interest. The Directors have no direct or indirect interest in contracts or proposed contracts with the Bank other than those disclosed. Directors' Interest in Contracts with the Bank	262 - 263
6	Remuneration and other benefits paid to the Directors during the accounting period	Section 168 (1) (f)	Note 47.3.1 to the Financial Statements - Compensation to KMP	363
7	Total amount of donations made by the Company during the accounting period	Section 168 (1) (g)	The donations made by the Bank to the Government amounted to Rs Nil (2023: Nil). The Bank does not make donations for political purposes. Note 15 to the Financial Statements - Other Operating Expenses	308

No.	Disclosure Requirement	Reference to the Companies Act No. 7 of 2007	Disclosure Reference for Compliance	Page Reference
8	Information on Directorate of the Company at the end of the accounting period	Section 168 (1) (h)	The Board of Directors of the Bank as at 31st December 2024 comprised eleven (11) (2023: Twelve) members with wide financial and commercial knowledge, and experience. In accordance with the Listing Rules of Colombo Stock Exchange and Corporate Governance Rules of the Banking Act Direction No. 11 of 2007 and Banking Act Direction No. 05 of 2024 issued by the Central Bank of Sri Lanka (CBSL), the classification of Directors into Executive (ED), Non-Executive (NED) and Independent (IND), Non-Independent (NID) are stated against the names of the Directors. Board of Directors	186 - 189
9	Amounts payable to the Auditor as audit fees and fees for other services rendered during the accounting period by the Bank and its Subsidiaries	Section 168 (1) (i)	Note 15.1 to the Financial Statements - Auditor's Remuneration	308
10	Particulars of any relationship (other than that of auditor) which the auditor has with or any interests which the auditor has in the Company or any of its subsidiaries	Section 168 (1) (j)	The Bank's auditors during the period under review were Messrs Ernst & Young, Chartered Accountants. Independence and Objectivity of the External Auditor provide details of the Policy for the Engagement of the External Auditor for Audit and Non-Audit services. Based on the declaration provided by Messrs Ernst & Young, and as far as the Directors are aware, the auditors do not have any relationship or interest with the Bank that in our judgment, may reasonably be thought to have a bearing on their independence within the meaning of the Code of Professional Conduct and Ethics issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka), applicable on the date of this Report. A resolution re-appointing Messrs Ernst & Young as Auditors for the ensuing year and authorising the Directors to fix their remuneration will be proposed at the Annual General Meeting.	
11	Annual Report of the Board of Directors on the Affairs of the Company to be signed on behalf of the Board by two Directors and the Company Secretary	Section 168 (1) (k)	Annual Report of the Board of Directors on the Affairs of the Company	255 - 263

5. ADDITIONAL DISCLOSURES

The following additional disclosures are also made. Full details regarding these disclosures are provided within Notes to the Annual Report, which form an integral part of the Annual Report of the Board of Directors.

No.	Disclosure Requirement	Disclosure Reference	Page Reference
1	Purpose, Vision, Values and Corporate Conduct	The business activities of the Bank are conducted at a high level of ethical standards in achieving its Purpose and Vision.	10
2	Changes to the Group Structure	There were no changes to the Group Structure during the year under review.	333
3	Review of Operations	No new branches were opened during the year under review. The review of the financial and operational performance of the Bank and the Group, together with important events that took place during the year 2024 have been explained in the following Reports:	
		Chairman's Message	22 - 24
		Managing Director's Review	25 - 28
		Management Discussion and Analysis	56 - 146

Annual Report of the Board of Directors on the Affairs of the Company

No.	Disclosure Requirement	Disclosure Reference	Page Reference
4	Future Developments	The Bank will focus on a business expansion driven through its existing Branch Network, concentrating mainly on its core banking operations to increase its market share and profitability. This will be further supplemented by more vigorous efforts to expand the Bank's digital channels and focus on innovative product development, process improvements and staff development, all aimed at fulfilling the rapidly changing customer needs amidst challenging market conditions and to maximise the value created for all the stakeholders. An overview of the future development of the Bank and the Group is given in the following reports.	
		Chairman's Message	22 - 24
		Managing Director's Review	25 - 28
		Management Discussion and Analysis	56 - 146
5	Directors' Responsibility for Financial Reporting	Statement of Directors' Responsibility for Financial Reporting	268 - 269
6	Financial Results and Appropriations	Income	
		Note 6 to the Financial Statements - Gross Income	298
		Profit and Appropriations	
		Statement of Profit or Loss	274
		Statement of Comprehensive Income	275
		Statement of Financial Position	276 - 277
		Statement of Changes in Equity	278 - 279
7	Taxation	Statement of Cash Flows	280 - 282
		Please refer Note 16 to the Financial Statements.	309 - 310
		The direct and indirect taxes applicable to the Bank and rates are set out below:	
8	Dividend		
9	Reserves		

No.	Disclosure Requirement	Disclosure Reference	Page Reference
10	Capital Expenditure	The total capital expenditure on acquisition of property, plant and equipment and intangible assets of the Bank and the Group amounted to Rs 2,759,257,000/- and Rs 4,068,470,000/- respectively (2023 Bank: Rs 2,016,534,000/- and Group: Rs 2,647,695,000/-).	
		Notes 29 and 30 to the Financial Statements - Property, Plant and Equipment and Intangible Assets	334 - 341
11	Capital Commitments	The capital expenditure approved and contracted for as at the reporting date	
		Note 45.3 to the Financial Statements - Capital Commitments	361
12	Property, Plant and Equipment (PPE)	Note 29 to the Financial Statements	334 - 340
13	Market Value of Freehold Properties	The Group applies Revaluation model given in Sri Lanka Accounting Standard - LKAS 16 (Property, Plant and Equipment) to the entire class of freehold lands and buildings. Such properties are revalued every three years or more frequently if the fair values are substantially different from the carrying values. Accordingly, all freehold lands and buildings of the Group were revalued as at the end of 2022 by professionally qualified independent valuers. The results of the revaluation were brought into the Financial Statements to ensure that the carrying amount of such properties reflects the market prices prevailed at that time. On the basis that changes in property prices were not significant compared to the previous year due to the prevailing market situation in the country, the Group did not revalue its freehold lands and buildings during this year for consolidated accounting purposes. The Directors are of the view that the previous year prices reflect the current market values of such properties as at 31st December 2024. However, Sampath Centre Limited (a fully owned subsidiary of the Bank) which owns the property occupied by the Bank as its head office, carried out a revaluation on their property with the market values being taken in to their standalone financial statements prepared as at 31st December 2024, on the basis that such property is recognised as an Investment Property accounted under Fair Value model. There is no significant change between the previous year valuation and the current year valuation pertaining to this property.	
		Note 29 to the Financial Statements - Property, Plant and Equipment (Bank and Group)	334 - 340
14	Stated Capital, Debentures and Bonds	Stated Capital, Debt Capital and Shares issued by the Bank	
		Note 41 to the Financial Statements - Stated Capital	356
		Note 37 to the Financial Statements - Due to Debt Securities Holders	348 - 349
		Issue of Shares and Debt Capital - Subsidiaries	
		Investor Relations	437
		Note 37.1.1 to the Financial Statements - Details of Debentures Issued	349
15	Share Information	Investor Relations	431 - 441
16	Shareholding	Investor Relations	431 - 441
17	Equitable Treatment to Shareholders	The Bank has at all times ensured that all shareholders are treated fairly and equitably.	
18	Retirement and Re-Election/ Re-Appointment of Directors	In terms of Articles No. 86 and 87 of the Articles of Association of the Company, Mr Vajira Kulatilaka, Mr Harsha Amarasekera and Mrs Keshini Jayawardena retire by rotation and being eligible, offer themselves for re-election on the unanimous recommendation of the Board Nominations & Governance Committee and approval of the Board of Directors.	
		Mr Keith Modder having been appointed to the Board with effect from 2nd April 2024 to fill up a vacancy in the Board, will stand for election by the shareholders in terms of Article 93 of the Articles of Association.	
		Board of Directors	186 - 189
		Sections 210 and 211 of the Companies Act do not apply to the Bank, in view of the more stringent provision contained in Section 3 (3) (i) of Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks and Section 3.2.(a) of Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks which restricts the age of a Director of a Licensed Commercial Bank to 70 years and the total period of service of a Director shall not exceed nine (09) years.	

Annual Report of the Board of Directors on the Affairs of the Company

No.	Disclosure Requirement	Disclosure Reference	Page Reference
19	List of Directors of the Subsidiaries of the Bank	Names of the Directors of Subsidiary companies as at 31st December 2024:	
		Siyapatha Finance PLC	Sampath Centre Limited
		Mr P S Cumaranatunga (Chairman)	Mr S H Amarasekera (Chairman) (Appointed w.e.f 1st January 2025)
		Mr Y S H R S Silva (Deputy Chairman)	Mr P P De Silva
		Mr H M A Seneviratne (Managing Director)	Mrs Ayodhya Iddawela Perera
		Mr J Selvarathnam	Mr Ajantha de Vas Gunasekara
		Mr J H Gunawardena	Mr R Samaranayake (Retired w.e.f 31st December 2024)
		Mr D Sooriyaarachchi	Mr S G Wijesinha (Retired w.e.f 31st December 2024)
		Mr W S C Perera	Mr S P Kannangara (Retired w.e.f 31st December 2024)
		Ms H S R Ranatunga	Mr Y S H R S Silva (Chairman) (Retired w.e.f 31st December 2024)
		Mr P L C Jayawickrema	
		SC Securities (Private) Limited	Sampath Information Technology Solutions Limited
		Mr P D R Hettiarachchi (Chairman) (Appointed w.e.f 10th January 2025)	Mr Y S H R S Silva (Chairman) (Appointed w.e.f 1st January 2025)
		Mr W M P L De Alwis	Mr M A Salgado
		Mr S N Kulatilake	Mr W S C Perera
		Mr W T J R S Fernando	Mr R Samaranayake (Chairman) (Resigned w.e.f 31st December 2024)
		Mr A J W Jayasekera (Appointed w.e.f 1st January 2025)	Mr M V Indrasoma (Resigned w.e.f 31st December 2024)
		Mr S G Wijesinha (Chairman) (Retired w.e.f 31st December 2024)	
		Mr R Samaranayake (Retired w.e.f 31st December 2024)	
20	Register of Directors and Secretaries	As required under Section 223 (1) of the Companies Act, the Bank maintains a Register of Directors and Secretaries which contains the name, surname, former name (if any), residential address, business, occupation, dates of appointment and dates of resignation (if applicable) of each Director and the Company Secretary.	
21	Board Sub-Committees	The Board, while assuming the overall responsibility and accountability for the management oversight of the Bank, has also appointed Board Sub-Committees to ensure that the activities of the Bank at all times are conducted with the highest ethical standards and the best interests of all its stakeholders. As of 31st December 2024, the Board has formed Thirteen (13) Sub-Committees, including Five (5) mandatory Sub-Committees as required by the Banking Act, Four (4) of which also fulfil the requirements of Section 9 of the Listing Rules of the Colombo Stock Exchange. Additionally, the Board Sustainability Committee was established as a mandatory Sub-Committee to provide strategic direction for the implementation of SLFRS S1 and S2 within the Bank. Furthermore, there are Six (6) voluntary Sub-Committees formed by the Board.	
	Board Sub-Committee Reports		196 - 222
22	Directors’ Meetings	Corporate Governance Report (Directors' Attendance at Board and Board Sub-Committee Meetings)	158
23	Related Party Transactions	Directors have also disclosed transactions if any, that could be classified as Related Party Transactions in terms of Sri Lanka Accounting Standards - LKAS 24 (Related Party Disclosures) which is adopted in preparation of the Financial Statements.	
		The Related Party Transactions Review Committee considers all transactions that require approval in line with the Bank’s Related Party Transactions Policy and in compliance with the relevant regulations of CSE and Central Bank of Sri Lanka, ensuring transactions are fair and in the best interests of the Bank.	
		In addition, the Bank carries out transactions in the ordinary course of business in an arm’s length basis with entities where the Chairman or Directors of the Bank is the Chairman or a Director of such entities as detailed in:	
		Directors’ Interest in Contracts with the Bank	262 - 263
		Note 47 to the Financial Statements - Related Party Disclosures	363 - 366

No.	Disclosure Requirement	Disclosure Reference		Page Reference
24	Directors' Interest in Ordinary Shares and Debentures	Name of Director	No. of Shares as at 31st December 2024	No. of Shares as at 31st December 2023
		Mr Harsha Amarasekera	-	-
		Mr Rushanka Silva	-	-
		Mr Dilip de S Wijeyeratne	-	-
		Ms Aroshi Nanayakkara	-	-
		Mr Vajira Kulatilaka	-	-
		Mrs Keshini Jayawardena	-	-
		Mr Vinod Hirdaramani	668,087	288,087
		Mr Hiran Cabraal	-	-
		Mr Keith Modder	6,941	n/a
		Mr Prabhash Subasinghe*	n/a	40,195
		Mrs Ayodhya Iddawela Perera	611	611
		Mr Ajantha de Vas Gunasekara	-	-
		n/a - not applicable		
* Resigned w.e.f 1st June 2024				
Mr Rushanka Silva, Mr Vajira Kulatilaka and Mr Vinod Hirdaramani respectively hold 2,000,000, 300,000 and 700,000 of Basel III Compliant - Tier II Listed Rated Unsecured Subordinated Redeemable Debentures with a Non-Viability Conversion (2023/2028) issued by the Bank.				
25	Directors' Interest in Shares and Debentures of Subsidiaries	Mr Rushanka Silva holds one share each at Siyapatha Finance PLC and Sampath Centre Limited.		
26	Material Business Relationships	Based on the individual declarations obtained from the Directors, it was evident that none of the Directors or their close family members have any business relationships with other Directors of the Bank.		
27	Material Interests in Contracts Involving the Company	Corporate Governance Report	148 - 183	
		Directors' Interest in Contracts with the Bank	262 - 263	
28	Our Team Members	Capital Management Report - Human Capital	80 - 93	
29	Employee Share Ownership/Option Plans (ESOP)	The Bank did not initiate or establish any Employee Share Ownership/Option Plans during the year.	306	
30	Environmental Protection	To the best knowledge of the Board, the Bank has not engaged in any activity that is harmful or hazardous to the environment. The Directors also confirm that to the best of their knowledge and belief, the Bank has complied with the relevant environmental laws and regulations.		
		Capital Management Report - Natural Capital	110 - 128	
31	Statutory Payments	The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments due to the government, other regulatory bodies and related to the employees have been paid on a timely basis.		
32	Outstanding Litigation	In the opinion of the Directors who in consultation with the Bank's lawyers have established that litigation currently pending against the Bank will not have a material impact on the reported financial results or the future operations of the Bank.		
		Note 45.5 to the Financial Statements - Other Contingent Liabilities	362 - 363	
33	Complied with all applicable Laws and Regulations	Managing Director's and Chief Financial Officer's Responsibility Statement	267	
34	Events after the Reporting Period	No circumstances have arisen since the Statement of Financial Position date, which would require adjustments to or disclosure in the accounts, except those disclosed.		
		Note 49 to the Financial Statements - Events After the Reporting Period	368	
35	Going Concern	The Directors, after making necessary inquiries and reviews including reviews of the budget for the ensuing year, capital expenditure requirements, future prospects and risks, cash flows and such other matters required to be addressed under the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka and the Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the CBSL, the Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks issued by the CBSL and Colombo Stock Exchange Listing Rules, are satisfied that the Bank has adequate resources to continue operations into the foreseeable future. Accordingly, they continue to adopt the going concern basis in preparing the Financial Statements.		
		Note 2.11.1 to the Financial Statements - Going Concern	284	

Annual Report of the Board of Directors on the Affairs of the Company

No.	Disclosure Requirement	Disclosure Reference	Page Reference
36	Adherence to the Internal Controls	Director's Statement on Internal Control Over Financial Reporting	264 - 265
37	Significant Shareholdings in Other Organisations	Note 27.5 to the Financial Statements - Quoted Equity Security	330
38	Risk Management	Material Foreseeable Risk Factors	
		Integrated Risk Management Report	224 - 251
		Note 51 to the Financial Statements	376 - 417
39	Corporate Governance	Corporate Governance Report	148 - 183

6. NOTICE OF ANNUAL GENERAL MEETING

The 39th Annual General Meeting of the Bank will be held at "Oak Room", The Cinnamon Grand, No. 77, Galle Road, Colombo 03, on 28th March 2025 at 9.30 a.m. The Notice of Meeting is given on page 472 of the Annual Report.

7. ACKNOWLEDGEMENT OF THE CONTENTS OF THE REPORT

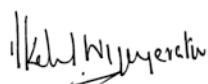
As required by Section 168 (1) (k) of the Companies Act No. 7 of 2007, the Board of Directors hereby acknowledges the contents of this Annual Report.

For and on behalf of the Board of Directors,



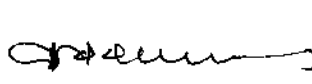
HARSHA AMARASEKERA

Chairman



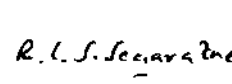
DILIP DE S WIJEYERATNE

Senior Independent Director



AYODHYA IDDAWELA PERERA

Managing Director



LASANTHA SENARATNE

Company Secretary

17th February 2025
Colombo, Sri Lanka

Directors' Interest in Contracts with the Bank

Related party disclosures as required by the Sri Lanka Accounting Standard – LKAS 24 (Related Party Disclosures) are detailed in Note 47 to the Financial Statements. In addition, the Bank carries out transactions in the ordinary course of business in an arm's length basis with entities where the Chairman or Director of the Bank is the Chairman or a Director of such entities as detailed below.

Company	Relationship	Nature of the Transaction	Current Limit Rs 000	AMOUNT	
				2024 Rs 000	2023 Rs 000
Mr Harsha Amarasekera					
Vallibel One PLC	Independent Non Executive Co-Chairman	Deposits		15,511	8,046
		Loans & advances	504,000	1,616	76
		Interest expense		24	23
		Interest income		-	6
		Dividend paid (Gross)		1,025,814	787,139
CIC Agri Businesses (Pvt) Ltd	Independent Non Executive Chairman	Deposits		5,207	6,856
		Loans & advances	2,520,000	717,000	1,060,000
		Indirect facilities		1,248,629	31,260
		Interest income		62,617	151,220
CIC Holdings PLC	Independent Non Executive Chairman	Deposits		439,559	453,642
		Loans & advances	6,000,000	4,374,000	2,532,325
		Indirect facilities		374,929	612,840
		Interest expense		26,238	37,164
		Interest income		341,470	441,164
Link Natural Products (Pvt) Ltd	Non Executive Director	Deposits		294,589	554,286
		Interest expense		19,876	85,196
		Interest income		-	472
Millennium Airlines (Pvt) Ltd	Non Executive Director	Deposits		166	184
Swisstek Aluminium Limited	Independent Non Executive Chairman	Deposits		261,954	8,486
		Loans & advances	1,625,000	935,556	376,904
		Indirect facilities		412,285	356,370
		Interest income		43,790	123,039

Company	Relationship	Nature of the Transaction	Current Limit	AMOUNT	
				2024	2023
			Rs 000	Rs 000	Rs 000
Swisstek (Ceylon) PLC	Independent Non Executive Chairman	Deposits		31,225	585
		Loans & advances	250,000	174,729	214,749
		Indirect facilities		-	-
		Interest expense		10	13
		Interest income		23,288	46,393
Royal Ceramics Lanka PLC	Independent Non Executive Co-Chairman	Deposits		26,249	19,837
		Loans & advances	1,604,000	502,027	1,697
		Indirect facilities		58,733	-
		Interest expense		-	26,897
		Interest income		37,394	
		Expenses and fees paid		127	-
Expolanka Holdings Ltd	Independent Non Executive Director	Loans & advances	2,000	25	194
		Deposits		315,193	6,580
Colombo Port City Economic Commission	Chairman	Expenses and fees paid		2,903	n/a
Mr Rushanka Silva					
Indra Property Development (Pvt) Ltd	Director	Deposits		155	156
		Expenses and fees paid		5,075	3,738
Mr Dilip de S Wijeyeratne					
Janashakthi Insurance PLC	Independent Non Executive Director	Deposits		45,450	n/a
		Loans & advances	4,650	282	n/a
		Interest expense		1,057	n/a
		Interest income		8	n/a
Singer (Sri Lanka) PLC	Senior Independent Non Executive Director	Deposits		57,807	83,222
		Loans & advances	2,832,000	710,821	1,001,592
		Indirect facilities		1,319,941	409,069
		Interest expense		41	45
		Interest income		78,816	543,783
		Expenses and fees paid		8,488	15,307
Ms Aroshi Nanayakkara					
Sri Lanka Institute of Directors	Chairperson	Expenses and fees paid		1,957	1,048
Asian Hotels & Properties PLC	Independent Non Executive Director	Expenses and fees paid		2,348	65
Mr Vajira Kulatilaka					
Access Engineering PLC	Independent Non Executive Director	Deposits		1,035	n/a
		Loans & advances	3,100,000	1,500,000	n/a
		Indirect facilities		323,903	n/a
		Interest income		60,444	n/a
Printcare PLC	Independent Non Executive Director	Deposits		6,222	6,003
		Loans & advances	360,000	3,130	250,000
		Indirect facilities		-	28,516
		Interest expense		91	27
		Interest income		7,135	28,244
		Expenses and fees paid		2	3
LTL Holdings Ltd	Independent Non Executive Director	Deposits		135	148
		Interest expense		2	
		Deposits		5,373	4,176
Hemas Hospitals (Pvt) Ltd	Independent Non Executive Director	Loans & advances	250,000	-	-
		Interest income		2,066	-
		Mr Vinod Hirdaramani			
Ceylon Knit Trend (Pvt) Ltd	Executive Director	Deposits		365,702	5,426
		Interest expense		19,438	6,328
Hirdaramani International Exports (Pvt) Ltd	Executive Director	Deposits		1,684,838	1,150,429
		Interest expense		86,453	127,977
		Interest income		-	9,912
Long Island Clothing Company (Pvt) Ltd	Executive Director	Deposits		10,966	80
		Loans & advances	50,000	-	49,170
		Indirect facilities	100,000	5,288	-
		Interest expense		5	5
		Interest income		3,257	1,528
Rosewood (Pvt) Ltd	Executive Director	Deposits		2,341	2,061
		Dividend paid (Gross)		316,333	237,261
Windforce PLC	Non Independent Non Executive Director	Deposits		5	9
Mr Hiran Cabraal					
The Lighthouse Hotel PLC	Independent Non Executive Director	Deposits		362	n/a
		Loans & advances	100,000	-	n/a
		Expenses and fees paid		2,013	n/a
Mr Keith Modder					
Digital Mobility Solutions Lanka PLC	Non Executive Director	Expenses and fees paid		20,307	n/a
Mrs Ayodhya Iddawela Perera					
Institute of Bankers of Sri Lanka	Director	Deposits		2,531	1,491
		Interest expense		5	8
		Expenses and fees paid		7,728	2,911
National Credit Guarantee Institution	Director	Deposits		500,000	n/a
		Interest expense		2,993	n/a
Lanka Financial Services Bureau Ltd	Director	Expenses and fees paid		11,620	12,004
LankaPay (Pvt) Ltd	Director	Expenses and fees paid		287,639	239,928

n/a - not applicable

Directors' Statement on Internal Control Over Financial Reporting

RESPONSIBILITY

The report on Internal Control Over Financial Reporting is presented by the Board of Directors of Sampath Bank PLC in line with Section 3(8)(iii)(b) of Banking Act Direction No. 11 of 2007, Section 9.2(b) of Banking Act Direction No. 05 of 2024 (w.e.f 1st January 2025) issued by the Central Bank of Sri Lanka (CBSL) and with Principle D.1.5 of the Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka).

The Board of Directors ("the Board") is responsible for the implementation of an adequate and effective internal control mechanism at Sampath Bank PLC ("the Bank"). In doing so, the Board has ensured that the system in place is designed to manage the Bank's key areas of risk within an acceptable risk profile, to achieve the business objectives of the Bank.

In the light of the foregoing, the system of internal controls can only provide reasonable and not absolute assurance against material misstatement of financial information and records or against financial losses or fraud.

The Board has instituted a continuous process to identify, assess and proactively manage the significant risks encountered by the Bank. This ongoing effort aims to strengthen Internal Control Over Financial Reporting, in strict adherence to regulatory guidelines and to enable the Bank to adapt swiftly to shifts in the broader operating environment. The Management plays a vital role in translating the Board's policies and risk protocols into practical measures. Their collaborative efforts encompass the identification and evaluation of risks, as well as the design, implementation and monitoring of effective internal controls, for the purpose of mitigating and managing these risks effectively. Accordingly, the Bank maintains a robust system of Internal Control Over Financial Reporting (ICOFR) and Management Information System in order to preserve the financial integrity and safeguard the interests of our stakeholders.

The process is regularly reviewed by the Board, in accordance with the "Guidance for Directors of Banks on the Directors' Statement on Internal Control" issued by CA Sri Lanka.

In the year 2024, the Board assessed the existing system of Internal Control Over Financial Reporting vis-à-vis the principles outlined in the aforementioned guidance. Following this comprehensive assessment, the Board confidently asserts that the

existing system of Internal Control Over Financial Reporting within the Bank is robust and sufficient to provide a reasonable level of assurance regarding the accuracy and reliability of financial reporting, thus ensuring that the preparation of financial statements for external purposes aligns with the relevant accounting principles and regulatory stipulations.

KEY FEATURES OF THE PROCESS FOLLOWED IN REVIEWING THE DESIGN AND OPERATING EFFECTIVENESS OF THE SYSTEM OF INTERNAL CONTROL OVER FINANCIAL REPORTING

The key mechanisms that have been established to review the adequacy and integrity of the system of internal controls with respect to financial reporting include the following:

- Board Sub-Committees assist the Board in ensuring the effectiveness of Bank's day-to-day operations and to ensure that all such operations are carried out in accordance with the corporate objectives, strategies and in line with the annual budget as well as the policies and the business direction approved by the Board.
- The Board Audit Committee reviews internal control issues identified by the Internal Audit Department, the External Auditors, Regulatory Authorities and the Management and the effectiveness of the Internal Audit function.
- The minutes of the Board Audit Committee meetings are forwarded to the Board on a periodic basis. Further, the details of the activities carried out by the Board Audit Committee during the year under review are set out in the Board Audit Committee Report on pages 199 to 201.
- The Bank's Internal Audit Department is tasked with verifying compliance with policies and procedures and the effectiveness of the internal control systems on an ongoing basis using samples and scheduled audit procedures. This helps to provide an independent and objective assessment of system efficacy and highlights significant non-compliances. Audits are carried out according to the annual audit plan which is reviewed and approved by the Board Audit Committee. Onsite Audits, Offsite Audits, Spot Audits, Process Audits and Thematic Audits are carried out across all Bank operations covering business units, departments and branches. The frequency of these audits is determined by the level of risk assessed. In addition, cyber security

and data security measures are monitored through appropriate audit techniques and tools. Through these audit programmes and techniques, all controls are tested on an ongoing basis with significant findings identified by the Internal Audit Department submitted to the Board Audit Committee for review at their periodic meetings.

- A special Steering Committee (Internal Control Over Financial Reporting Steering Committee) together with several Management-level Committees (referred to in page 165) have been granted appropriate authority to ensure effective management and supervision of the core areas of the Bank's business operations.
- In assessing the Internal Control Over Financial Reporting, identified officers of the Bank were reassigned to ensure compliance with all procedures and controls that are connected with significant accounts and disclosures of the financial statements of the Bank. The procedures used for this purpose are checked and verified by the Internal Audit Department for suitability of design and operating effectiveness on an ongoing basis. Significant issues (if any) observed by the Internal Audit Department are referred to the "Internal Control Over Financial Reporting Steering Committee" for their comments, prior to being included in the final report on Internal Control Over Financial Reporting submitted to the Board Audit Committee and the External Auditors. Sampath Bank continues to follow the new Sri Lanka Accounting Standards comprising LKAS and SLFRS. The processes and procedures initially implemented in 2012 with regard to the aforementioned Accounting Standards have been further strengthened over the years based on the feedback received from the Regulators, External Auditors, Board Audit Committee and the Internal Audit Department. The Bank has documented procedures pertaining to these new requirements and has proceeded to update the relevant procedure manuals as and when necessary.
- Due to the increase of credit risk, liquidity risk and operational risk driven by local and global economic uncertainties, cyber security threats, frauds and internal malpractices, the Board Audit Committee strengthened its focus on enhancing internal controls and risk management framework to mitigate the evolving risks.

- Further, the Credit Risk Management Unit continues to perform an independent review of the individually significant loan impairment process at each reporting date. The adequacy of post model adjustments (overlays) is also assessed. This assessment does not include the Bank's subsidiaries.
- The Board has long since recognised the need to automate the financial reporting process in order to proactively comply with the requirements of recognition, measurement, classification and disclosure of the financial instruments. Towards this end, the Bank successfully implemented Robotic Process Automation (RPA) in 2019, which has eliminated manual intervention in calculating impairment provisions to a greater extent. The Board continues to review various options available to increase the degree of automation in the financial reporting process.
- In 2024, the Bank further strengthened its internal control processes to ensure that the challenges and uncertainties facing the country, including the complexity and frequent updates of regulations, rapid technological advancements, cybersecurity threat and data protection risk, lack of skilled personnel, high employee turnover, increasing trends in fraud and internal misconduct, were effectively mitigated. To ensure the adequacy and effectiveness of the Bank's internal control systems and to comply with the applicable governance requirements the ICOFR verification process was streamlined and revamped during the year 2024 and the Board Audit Committee obtained and reviewed the assurance received from the Managing Director and other Key Management Personnel who are responsible regarding the adequacy and effectiveness of the Bank's internal control systems.
- The comments made by the External Auditor in connection with Internal Control System Over Financial Reporting in previous years, were reviewed and appropriate steps taken in 2024 to address relevant matters raised. The recommendations made by the External Auditor in 2024 in connection with the System of Internal Control Over Financial Reporting will be dealt with in future.

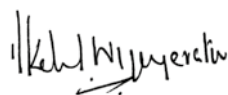
CONFIRMATION

Based on the above processes, the Board confirms that Sampath Bank's System of Internal Control Over Financial Reporting is fully competent to provide a reasonable assurance regarding the reliability of financial reporting and support the preparation of financial statements for external purposes in accordance with relevant accounting principles and regulatory requirements of the Central Bank of Sri Lanka.

REVIEW OF THE STATEMENT BY EXTERNAL AUDITORS

The External Auditors, Messrs Ernst & Young, after reviewing the Directors' Statement on Internal Control Over Financial Reporting included in the Annual Report of the Bank for the year ended 31st December 2024, have confirmed to the Board that nothing has come to their attention that causes them to believe that the Statement is inconsistent with their understanding of the process adopted by the Board in the review of the design and operating effectiveness of the System of Internal Control Over Financial Reporting. The External Auditor's Report on the Statement of Internal Control Over Financial Reporting is given on page 266 of this Annual Report.

By order of the Board,



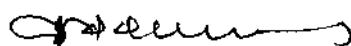
DILIP DE S WIJAYERATNE

Chairman - Board Audit Committee



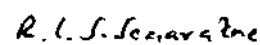
HARSHA AMARASEKERA

Chairman



AYODHYA IDDAWELA PERERA

Managing Director



LASANTHA SENARATNE

Company Secretary

17th February 2025

Colombo, Sri Lanka

Independent Assurance Report to the Board of Directors of Sampath Bank PLC



Ernst & Young
Chartered Accountants
Rotunda Towers
No. 109, Galle Road
P.O. Box 101
Colombo 03, Sri Lanka

Tel : +94 11 246 3500
Fax : +94 11 768 7869
Email: eysl@lk.ey.com
ey.com

Report on the Directors' Statement on Internal Control

We were engaged by the Board of Directors of Sampath Bank PLC ("Bank") to provide assurance on the Directors' Statement on Internal Control over Financial Reporting ("Statement") included in the annual report for the year ended 31 December 2024.

Management's responsibility

Management is responsible for the preparation and presentation of the Statement in accordance with the "Guidance for Directors of Banks on the Directors' Statement on Internal Control" issued in compliance with section 3(8)(ii)(b) of the Banking Act Direction No. 11 of 2007, by the Institute of Chartered Accountants of Sri Lanka.

Our Independence and Quality Control

We have complied with the independence and other ethical requirement of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka, which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behaviour.

The firm applies Sri Lanka Standard on Quality Control 1 and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Our responsibilities and compliance with SLSAE 3050 (Revised)

Our responsibility is to assess whether the Statement is both supported by the documentation prepared by or for directors and appropriately reflects the process the directors have adopted in reviewing the design and effectiveness of the internal control of the Bank.

We conducted our engagement in accordance with Sri Lanka Standard on Assurance Engagements (SLSAE) 3050 (Revised), Assurance Report for Banks on Directors' Statement on Internal Control, issued by the Institute of Chartered Accountants of Sri Lanka.

This Standard required that we plan and perform procedures to obtain limited assurance about whether Management has prepared, in all material respects, the Statement on Internal Control.

For purpose of this engagement, we are not responsible for updating or reissuing any reports, nor have we, in the course of this engagement, performed an audit or review of the financial information.

Summary of work performed

We conducted our engagement to assess whether the Statement is supported by the documentation prepared by or for directors; and appropriately reflected the process the directors have adopted in reviewing the system of internal control over financial reporting of the Bank.

The procedures performed were limited primarily to inquiries of bank personnel and the existence of documentation on a sample basis that supported the process adopted by the Board of Directors.

SLSAE 3050 (Revised) does not require us to consider whether the Statement covers all risks and controls or to form an opinion on the effectiveness of the Bank's risk and control procedures. SLSAE 3050 (Revised) also does not require us to consider whether the processes described to deal with material internal control aspects of any significant problems disclosed in the annual report will, in fact, remedy the problems.

The procedures selected depend on our judgement, having regard to our understanding of the nature of the Bank, the event or transaction in respect of which the Statement has been prepared.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusion.

Our conclusion

Based on the procedures performed, nothing has come to our attention that causes us to believe that the Statement included in the annual report is inconsistent with our understanding of the process the Board of Directors has adopted in the review of the design and effectiveness of internal control over financial reporting of the Bank.

17 February 2025
Colombo

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman FCA FCMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajeewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA, B Vasanthan ACA ACMA, W D P L Perera ACA

Principals: T P M Ruberu FCCA FCCA MBA (USJ-SL), G B Goudian ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), D L B Karunathilaka ACMA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shakthivel B.Com (Sp)

A member firm of Ernst & Young Global Limited

Managing Director's and Chief Financial Officer's Responsibility Statement



AYODHYA IDDAWELA PERERA

Managing Director



AJANTHA DE VAS GUNASEKARA

Executive Director/Chief Financial Officer

The Financial Statements of Sampath Bank PLC ("the Bank") and the Consolidated Financial Statements of the Bank and its Subsidiaries ("the Group") as at 31st December 2024 have been prepared in conformity with the requirements of the following:

- Sri Lanka Accounting Standards (SLFRSs & LKASs) issued by the Institute of Chartered Accountants of Sri Lanka,
- Companies Act No. 07 of 2007 and amendments thereto,
- Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995,
- Banking Act No. 30 of 1988 and amendments thereto,
- Directions, Determinations, Orders, Circulars and Guidelines issued by the Central Bank of Sri Lanka (CBSL),
- The Listing Rules of the Colombo Stock Exchange (CSE),
- The Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka; and Section 3(8)(iii)(b) of the Banking Act Direction No. 11 of 2007 and Section 9.2(b) of the Banking Act Direction No. 5 of 2024 on Corporate Governance issued by the Central Bank of Sri Lanka (CBSL).

The Group presents its financial results to its shareholders on a quarterly basis. The formats used in the preparation of the Financial Statements and disclosures made, comply with the formats prescribed by the Central Bank of Sri Lanka, which are also in compliance with the disclosure requirements of the Sri Lanka Accounting Standard - LKAS 1 (Presentation

of Financial Statements). The significant Accounting Policies of the Bank and the Group are in compliance with Sri Lanka Accounting Standards (SLFRS/LKAS) issued by the Institute of Chartered Accountants of Sri Lanka. Further such Accounting Policies are appropriate and are consistently applied. The significant accounting policies and estimates that involve a high degree of judgment and complexity were discussed with the Board Audit Committee and External Auditors. Comparative information has been restated wherever necessary to comply with the current presentation. The Board of Directors and the Management of the Bank accept responsibility for the integrity and objectivity of these Financial Statements. We confirm that to the best of our knowledge, the Financial Statements give a true and fair view of the assets, liabilities, financial position, results of the operations and the cash flows of the Bank and the Group. We have reasonable grounds to believe that the Bank and the Group have adequate resources to continue in operational existence for the foreseeable future. As such, even after considering ongoing local and global economic issues and their impact to the Bank's operations and implications on future performance, we remain confident that it is appropriate to adopt the Going Concern basis for the preparation of the financial statements.

The estimates and judgments relating to the Financial Statements were made on a prudent and reasonable basis; in order to ensure that the Financial Statements reflect in a true and fair manner, the form and substance of transactions and that the Bank's state of affairs are reasonably presented. To ensure this, the Bank and all its Subsidiaries have taken proper and sufficient care in installing a system of internal controls and procedures for safeguarding assets, preventing and detecting frauds and/or errors as well as other irregularities which are reviewed, evaluated and updated on an ongoing basis. Our Internal Auditors have conducted periodic audits to provide reasonable assurance that the established policies and procedures were consistently followed. However, there are inherent limitations that should be recognised in weighing the assurances provided by any system of internal control and accounting.

We confirm that as of 31st December 2024, the Bank's Internal Controls Over Financial Reporting are adequate and effective and comply with section 3(8)(iii)(b) of the Banking Act Direction No. 11 of 2007 on Corporate Governance and Section 9.2(b) of the Banking Act Direction No. 5 of 2024 on Corporate Governance (Internal Control Over Financial Reporting - ICOFR) issued by the Central Bank of Sri Lanka. The Annual Report of the Directors on pages 255 to 263 briefly covers the Group's Internal Control Over Financial Reporting. In addition, the Directors' Statement on Internal Control Over Financial Reporting is also provided on pages 264 and 265. The Bank's External Auditor, Messrs Ernst & Young, have audited

the effectiveness of the Bank's Internal Controls Over Financial Reporting and have given an unqualified opinion on page 266 of this Annual Report.

The Financial Statements of the Group were audited by Messrs Ernst & Young, Chartered Accountants, the independent External Auditor. Their Report is given on pages 270 to 272 of this Annual Report. The Board Audit Committee of the Bank meets periodically with the Internal Auditors and the independent External Auditor to review the manner in which these auditors are performing their responsibilities and to discuss issues relating to auditing, internal controls and financial reporting. To ensure complete independence, the External Auditor and the Internal Auditors have full and free access to the members of the Board Audit Committee to discuss any matter of substance. The Board Audit Committee report is given on pages 199 to 201.

Sampath Bank is publishing an Integrated Report using GRI standards in accordance with the Banking Act Directions No. 05 of 2022. Sampath Bank is also preparing for the mandatory adoption of SLFRS S1 and SLFRS S2 for the reporting period commencing 1st January 2025. A dedicated Board Sustainability Committee and a management level ESG Committee have been established with responsibility for oversight and implementation respectively. External consultants were engaged to conduct a gap analysis, support capacity building and facilitate a smooth transition to compliance with the standards.

The Board Audit Committee approves the audit and non-audit services provided by Messrs Ernst & Young, in order to ensure that the provision of such services does not impair Messrs Ernst & Young's independence.

We confirm that to the best of our knowledge:

- The Bank and the Group have complied with all applicable laws, regulations, guidelines and prudential requirements;
- There are no material non-compliances; and
- There is no material litigation that is pending against the Bank and the Group other than those disclosed in Note 45.5 to the Financial Statements in the Annual Report.

AYODHYA IDDAWELA PERERA

Managing Director

AJANTHA DE VAS GUNASEKARA

Executive Director/Chief Financial Officer

17th February 2025
Colombo, Sri Lanka

Statement of Directors' Responsibility for Financial Reporting

The responsibilities of the Directors in relation to the Financial Statements of Sampath Bank PLC ("the Bank") and the Consolidated Financial Statements of the Bank and its Subsidiaries ("the Group") are set out in the following Statement. The responsibility of the Auditor in relation to the Financial Statements are set out in the Report of the External Auditor; Messrs Ernst & Young, on pages 270 to 272.

In terms of Sections 150(1), 151, 152 and 153(1) and (2) of the Companies Act No. 07 of 2007 (Companies Act), the Directors of the Bank are responsible for ensuring that the Bank and the Group keep proper books of accounts of all transactions and prepare Financial Statements that give a true and fair view of the financial position of the Bank and the Group as at end of each financial year and of the financial performance of the Bank and the Group for each financial year and place them before the Annual General Meeting for shareholders for their approval. The Financial Statements comprise of the Statement of Financial Position as at end of the financial year, the Statement of Profit or Loss, the Statement of Comprehensive Income, the Statement of Cash Flows, the Statement of Changes in Equity for the financial year ended and Notes thereto.

The Financial Statements are prepared under the supervision of the Executive Director/Chief Financial Officer who is a senior member of the Corporate Management and an Executive Director of the Bank. The Directors confirm that the Financial Statements of the Bank and the Group give a true and fair view of:

- the state of affairs of the Bank and the Group as at 31st December 2024; and
- the financial performance of the Bank and the Group for the financial year ended 31st December 2024.

The Directors oversee the following to support the preparation of these Financial Statements:

- selection of appropriate accounting policies and consistent application of the same with clear disclosure and explanations of any material departures;
- presentation of Financial Statements in accordance with Sri Lanka Accounting Standards (SLFRS/LKAS) and the underlying books of accounts;
- reasonable and prudent judgments and estimates have been made so that the form and substance of transactions are properly reflected;

- the Financial Statements provide the information required by the Companies Act, Banking Act No. 30 of 1988 (Banking Act) and amendments thereto and the Listing Rules of the Colombo Stock Exchange (CSE); and
- the companies within the Group maintain sufficient accounting records to disclose the financial position of the Group with reasonable accuracy.

The Directors are also responsible for ensuring that the Bank and the Group have adequate resources to continue in operation, to justify applying the Going Concern basis in preparing these Financial Statements. In the current financial year, the Directors also considered ongoing local and global economic issues and their impact on the Group's business, operations and potential implications on future performance.

The Financial Statements of the Bank and the Group have been certified by the Executive Director/Chief Financial Officer, who is the officer responsible for its preparation, as required by the Companies Act. The Accounts have been reviewed by the Board Audit Committee (BAC) and the Board of Directors. Further, the Financial Statements of the Bank and the Group have been signed by three Directors and the Company Secretary in conformity with the requirements of the Companies Act.

The Financial Statements for the year 2024 captured in this Annual Report are consistent with the underlying books of accounts and are in conformity with the requirements of the Sri Lanka Accounting Standards, the Companies Act, the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995, the Banking Act together with its amendments, the Listing Rules of the CSE and the Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka). Further, these Financial Statements comply with the prescribed format issued by the Central Bank of Sri Lanka (CBSL) for the preparation of Annual Financial Statements of Licensed Commercial Banks. The Directors confirm that the Financial Reporting System of the Bank and the Group has been designed to provide reasonable assurance regarding the reliability of financial reporting and the Directors accept responsibility for the integrity and objectivity of the Financial Statements published in this Annual Report. The Directors confirm that in preparing the Financial Statements given on pages 274 to 421, appropriate accounting policies have been selected and applied on a consistent basis in line with the Financial

Reporting Framework, while reasonable and prudent judgments have been made so that the form and substance of transactions are properly reflected.

The Directors have taken appropriate steps to ensure that the Bank and the Group maintain proper books of accounts and review the Financial Reporting System directly at their regular meetings and also through the BAC.

The Report of the BAC is given on pages 199 to 201. The Board of Directors reviews the Interim Financial Statements with due consideration to the recommendation of BAC. Interim Financial Statements are approved by the Board prior to their release.

The Directors have taken all reasonable steps available to them to safeguard the assets of the Bank and the Group and to prevent and detect frauds and any other irregularities. For this purpose, the Directors have instituted effective and comprehensive systems of internal controls for identifying, recording, evaluating and managing the significant risks faced by the Bank throughout the year. These systems are kept under constant review by the Board to ensure appropriate financial and other controls are in place to enable the Bank to carry on its operations in an orderly manner, safeguard the assets, prevent and detect frauds and other irregularities and secure as far as practicable, the accuracy and reliability of the records.

Based on their assessment of Internal Control Over Financial Reporting (ICOFR), in compliance with Section 3(8)(ii)(b) of the Banking Act Direction No. 11 of 2007 on Corporate Governance for the Licensed Commercial Banks issued by the CBSL, the Directors have concluded that, as of 31st December 2024, the Group's Internal Controls Over Financial Reporting are effective. The Directors' Statement on Internal Control Over Financial Reporting and Annual Report of the Board of Directors on the Affairs of the Company are provided on pages 264 and 265 and pages 255 to 263 respectively of this Annual Report. The Independent Assurance Report on the "Directors' Statement on Internal Control Over Financial Reporting" issued by the Bank's External Auditor; Messrs Ernst & Young is given on page 266 of this Annual Report.

As required by Section 56(2) of the Companies Act, the Directors have made an assessment of the Solvency of the Bank, immediately after the payment of the proposed final dividend of Rs 9.35 per share in cash for the year 2024 and confirm that the

Bank satisfies the Solvency Test as required by Section 57 of the Companies Act. The Directors have also obtained the Certificate of Solvency from the External Auditor.

Messrs Ernst & Young, have been provided with every opportunity to undertake the inspections they considered appropriate. They have examined the Financial Statements made available to them by the Directors along with all financial records, related data, minutes of the Shareholders' Meetings, Directors' Meetings, BAC Meetings and other Board Sub-Committee Meetings and have expressed their opinion as reported by them in the Annual Report on pages 270 to 272.

The Directors have ensured that this Annual Report has been published in accordance with the timelines required by the Sections 166(1) and 167(1) of the Companies Act. Printed copies of this Annual Report will be made available to the shareholders of the Bank who will express their desire to receive such a copy. The PDF version of the Annual Report is available on the Bank's corporate website where it is shown under the 'Investor Relations' tab.



The PDF version of the Sampath Bank PLC Annual Report 2024 has also been uploaded to the CSE website within the stipulated period of time as required by the Sections 7.5(a) and (b) of the Listing Rules of the CSE.

COMPLIANCE REPORT

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by Sampath Bank and the Group, all contributions, levies and taxes payable on behalf of and in respect of the employees of the Bank and the Group and all other known statutory dues as were due and payable by the Bank and the Group as at reporting date, have been paid or, where relevant, provided for, except as specified in Note 45 to the Financial Statements covering contingent liabilities. The Directors confirm that based on their assessment, the accounting controls are adequate and nothing has come to their attention to indicate any breakdown in the functioning of these controls that may result in material loss to the Bank. The Directors also confirm that the Bank has adequate resources to continue operational existence and continue as a Going Concern for the foreseeable future.

This report also complies with GRI standards as encouraged by the Banking Act Directions No. 05 of 2022. The Bank is also preparing for the compulsory adoption of SLFRS S1 and SLFRS S2 from 1st January 2025 as it is one of the top 100 listed public companies as set out on the standards.

The Directors are of the view that they have discharged their responsibilities as set out in the above statement.

By order of the Board,

R. L. S. Senarathne

LASANTHA SENARATNE
Company Secretary

17th February 2025
Colombo, Sri Lanka

Independent Auditor's Report to the Shareholders of Sampath Bank PLC



Ernst & Young
Chartered Accountants
Rotunda Towers
No. 109, Galle Road
P.O. Box 101
Colombo 03, Sri Lanka

Tel : +94 11 246 3500
Fax : +94 11 768 7869
Email: eysl@lk.ey.com
ey.com

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of Sampath Bank PLC (the Bank) and the consolidated financial statements of the Bank and its subsidiaries (the Group), which comprise the statement of financial position as at 31 December 2024, and the statement of profit or loss, the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements of the Bank and the Group gives a true and fair view of the financial position of the Bank and the Group as at 31 December 2024, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Group in accordance with the Code of Ethics for Professional Accountants issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in the audit of the financial statements of the current period. These matters were addressed in the context of the audit of the financial statements as a

whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Key audit matter	How our audit addressed the key audit matter
Impairment for expected credit losses of loans and advances measured at amortised cost Impairment for expected credit losses of loans and advances measured at amortised cost as stated in Note 25.2 is determined by management based on the accounting policies described in Note 3.4.6 to the financial statements. This was a key audit matter due to: - the involvement of significant management judgements, assumptions and level of estimation uncertainty associated in estimating future recoveries of such loans and advances; and - the materiality of the reported amount of impairment for expected credit losses Key areas of significant judgements, assumptions and estimates used by management in the assessment of the impairment for expected credit losses for loans and advances include forward-looking macroeconomic scenarios, their associated weightages and considerations that indicate significant increase in credit risk. These are subject to inherently heightened levels of estimation uncertainty and subjectivity.	In addressing the adequacy of the impairment for expected credit losses of loans and advances measured at amortised cost, our audit procedures included the following key procedures. - Assessed the alignment of the Bank's Impairment for expected credit losses computations and underlying methodology including responses to current economic conditions with its accounting policies, based on the best available information up to the date of our report. - Evaluated the design, implementation and operating effectiveness of controls over estimation of expected credit losses, which included assessing the level of oversight, review and approval of impairment for expected credit losses, policies and procedures by the Board and management. - Tested the completeness, accuracy and reasonableness of the underlying data used in the expected credit loss computations by agreeing details to relevant source documents and accounting records of the Group. - Evaluated the reasonableness of credit quality assessments and related stage classifications. In addition to the above, the following procedures were performed: - For loans and advances assessed on an individual basis for impairment: - Tested the arithmetical accuracy of the underlying individual impairment calculations. - Evaluated the reasonableness of key inputs used in the impairment for expected credit losses made with economic conditions. Such evaluations were carried out considering the value and timing of cash flow forecasts particularly relating to elevated risk industries and status of recovery actions of the collaterals.

Key audit matter	How our audit addressed the key audit matter
Further information on the key estimates, assumptions and judgements is disclosed in Notes 2.11 and 3.4.6.	- For loans and advances assessed on a collective basis for impairment: - Tested the key inputs and the calculations used in the impairment for expected credit losses. - Assessed the reasonableness of judgements, assumptions and estimates used by the Management in the underlying methodology and the management overlays. Our testing included evaluating the reasonableness of forward-looking information used, economic scenarios considered, and probability weighting assigned to each scenario. - Assessed the adequacy of the related financial statement disclosures set out in Notes 25 and 51.2
Accounting for the debt restructuring of Sri Lanka International Sovereign Bonds (SLISBs) As described in Notes 10.2 and 26 to these financial statements, the Government of Sri Lanka completed its debt restructuring relating to its International Sovereign Bonds (SLISB's) in December 2024. Consequently, the Bank derecognised its SLISBs and recognised new bonds received as part of the exchange in accordance with its accounting policy described in Note 3.4 to the financial statements This was a key audit matter due to: - materiality of the reported amounts which resulted in a reversal of impairment amounting to Rs. 15,787 Mn and recognition of a loss resulting from the initial measurement of the newly issued bonds amounting to Rs. 8,365 Mn during the year; and - the degree of management judgements, assumptions and estimation uncertainties associated with measurement and classification of the newly issued bonds, and determination of its impairment on account of expected credit loss. Important aspects of assumptions and estimates made by management include the discount rates used in the measurement of newly issued bonds and the judgement applied in its classification, as detailed in Note 10.2 of the financial statements.	Our audit procedures included the following key procedures: - Obtained an understanding of the invitation memorandum issued by the Government of Sri Lanka, which details the terms of the restructuring and the relevant accounting for the option elected by the Bank. - Assessed the reasonableness of significant assumptions, judgements and estimates made by management in the measurement and classification of the newly issued bonds. - Tested the mathematical accuracy and appropriateness of the related calculations to be in line with the invitation memorandum. - Assessed the adequacy of the related financial statement disclosures set out in Notes 10.2 and 26.
Information Technology (IT) systems related internal controls over financial reporting Bank's financial reporting process is significantly reliant on multiple IT systems with automated processes and internal controls. Further, key financial statement disclosures are prepared using data and reports generated by IT systems, that are compiled and formulated with the use of spreadsheets. Accordingly, IT systems related internal controls over financial reporting were considered a key audit matter.	Our audit procedures included the following key procedures: - Obtained an understanding of the internal control environment of the processes and tested relevant controls relating to financial reporting and related disclosures. - We involved our internal specialized resources and; - Identified, evaluated and tested the design and operating effectiveness of IT systems related internal controls, including those related to user access and change management, and - Obtained a high-level understanding of the cybersecurity risks affecting the bank and the actions taken to address these risks primarily through inquiry. - We tested source data of the reports used to generate disclosures for accuracy and completeness, including review of the general ledger reconciliations.

Other information included in the Bank's 2024 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Independent Auditor's Report to the Shareholders of Sampath Bank PLC



Shape the future
with confidence

In preparing the financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's and the Group's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the

circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Bank and the Group.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements

regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

Requirements of section 163 (2) of the Companies Act No. 07 of 2007 and section 39 of the Banking Act No. 30 of 1988 (as amended by Banking Act No. 24 of 2024)

We have obtained all the information and explanations that were required for the audit. As far as appears from our examination, in our opinion, proper accounting records have been kept by the Bank.

In our opinion the disclosures made in the accompanying financial statements are in accordance with the requirements of Circular No. 05 of 2024 issued by Central Bank of Sri Lanka.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2199.

17 February 2025

Colombo

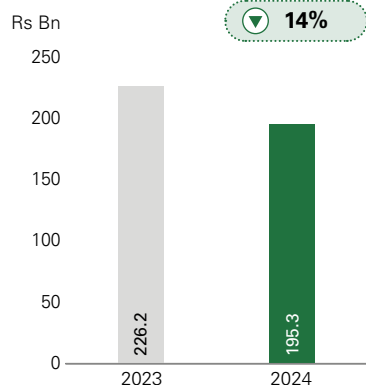
Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman FCA FCMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA, B Vasanthan ACA ACMA, W D P L Perera ACA

Principals: T P M Ruberu FCMA FCCA MBA (USJ-SL), G B Goudian ACA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), D L B Karunathilaka ACA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shaktivel B.Com (Sp)

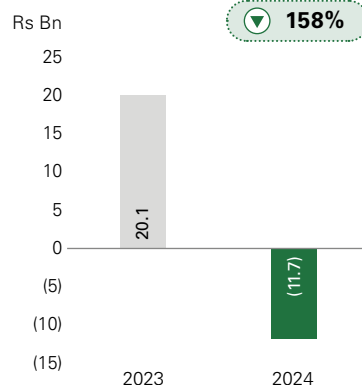
A member firm of Ernst & Young Global Limited

Key Financial Highlights

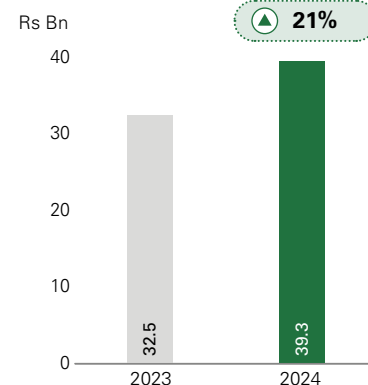
Gross Income



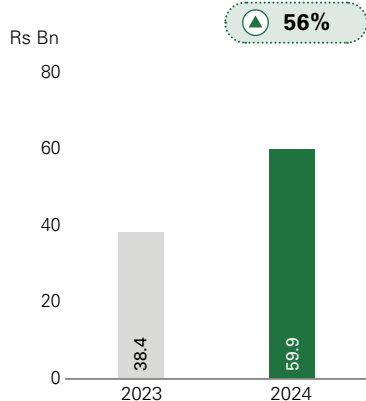
Impairment Charge



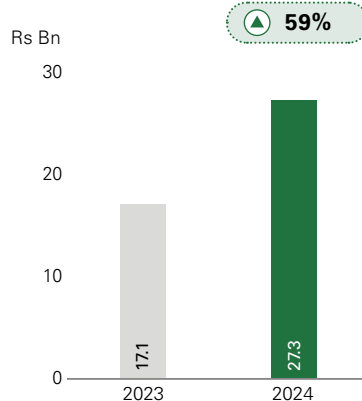
Total Operating Expenses



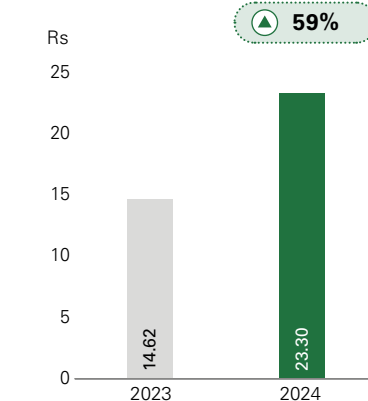
Profit Before All Taxes



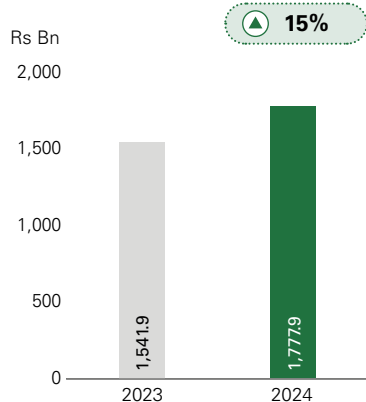
Profit After Tax



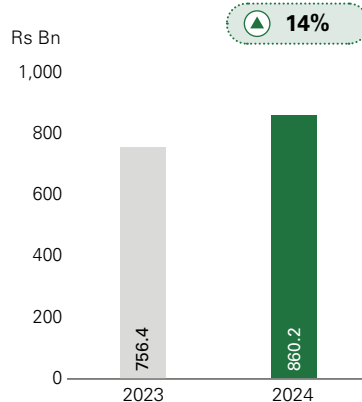
Earnings Per Share



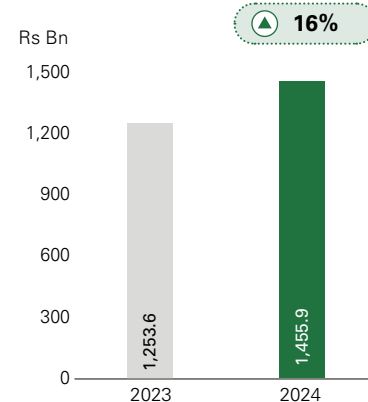
Total Assets



Net Loans & Advances



Due to Depositors



About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Statement of Profit or Loss

For the year ended 31st December	Note	BANK			GROUP		
		2024 Rs 000	2023 Rs 000	Change %	2024 Rs 000	2023 Rs 000	Change %
Gross income	6	195,321,016	226,154,096	(14)	206,569,194	236,504,470	(13)
Interest income		183,054,746	203,447,113	(10)	192,358,624	212,458,617	(9)
Less: Interest expense		103,046,806	131,157,456	(21)	107,696,550	137,015,683	(21)
Net interest income	7	80,007,940	72,289,657	11	84,662,074	75,442,934	12
Fee & commission income		22,289,477	22,909,822	(3)	22,981,135	23,544,833	(2)
Less: Fee & commission expense		4,780,225	4,023,353	19	4,783,742	4,025,896	19
Net fee & commission income	8	17,509,252	18,886,469	(7)	18,197,393	19,518,937	(7)
Net (loss)/gain from trading	9	(1,777,456)	761,786	(333)	(1,704,262)	708,976	(340)
Net (loss)/gain on derecognition of financial assets							
Capital gain on sale of financial assets	10.1	1,134,815	591,711	92	1,090,027	599,423	82
Impact on restructuring of Sri Lanka International Sovereign Bonds	10.2	(8,365,338)	-	(100)	(8,365,338)	-	(100)
Net other operating income	11	(1,015,228)	(1,556,336)	35	209,008	(807,379)	126
Total operating income		87,493,985	90,973,287	(4)	94,088,902	95,462,891	(1)
Less: Impairment (reversal)/charge							
Loans and advances	12.1	2,771,348	18,066,669	(85)	2,659,031	18,123,668	(85)
Sri Lanka International Sovereign Bonds	12.2	(15,787,060)	5,540,457	(385)	(15,787,060)	5,540,457	(385)
Other financial assets and credit related commitments	12.3	1,287,669	(3,458,584)	137	1,256,554	(3,454,523)	136
Total impairment (reversal)/charge		(11,728,043)	20,148,542	(158)	(11,871,475)	20,209,602	(159)
Net operating income		99,222,028	70,824,745	40	105,960,377	75,253,289	41
Less: Operating expenses							
Personnel expenses	13	18,056,922	14,249,843	27	20,433,710	15,826,114	29
Depreciation & amortisation expenses	14	3,088,048	2,644,499	17	3,009,836	2,554,373	18
Other operating expenses	15	18,187,593	15,562,653	17	19,358,845	16,585,848	17
Total operating expenses		39,332,563	32,456,995	21	42,802,391	34,966,335	22
Operating profit before taxes on financial services		59,889,465	38,367,750	56	63,157,986	40,286,954	57
Less: Value added tax on financial services		11,561,312	7,519,371	54	12,266,093	7,938,879	55
Social security contribution levy		1,605,738	1,087,971	48	1,703,624	1,146,552	49
Total taxes on financial services		13,167,050	8,607,342	53	13,969,717	9,085,431	54
Profit before income tax		46,722,415	29,760,408	57	49,188,269	31,201,523	58
Less: Income tax expense	16	19,401,803	12,620,329	54	20,485,009	13,277,241	54
Profit for the year		27,320,612	17,140,079	59	28,703,260	17,924,282	60
Attributable to:							
Equity holders of the Bank		27,320,612	17,140,079	59	28,703,260	17,924,282	60
Non-controlling interest					-	-	-
		27,320,612	17,140,079	59	28,703,260	17,924,282	60
Earnings per share: Basic/Diluted (Rs)	17	23.30	14.62	59	24.48	15.28	60
Dividend per share	18						
Dividend per share: Gross (Rs)		9.35	5.85				
Dividend per share: Net (Rs)		7.95	4.97				

*Based on proposed dividend which is to be approved at the Annual General Meeting.

The Notes to the Financial Statements from pages 283 to 421 form an integral part of these Financial Statements.

Statement of Comprehensive Income

For the year ended 31st December	BANK			GROUP		
	2024 Rs 000	2023 Rs 000	Change %	2024 Rs 000	2023 Rs 000	Change %
Profit for the year	27,320,612	17,140,079	59	28,703,260	17,924,282	60
Other comprehensive income						
Items that will be reclassified to profit or loss:						
Debt instruments at fair value through other comprehensive income:						
Gain arising on re-measurement (Note 43.2.1)	1,923,421	13,748,274	(86)	1,923,421	13,748,274	(86)
Reclassification to profit or loss due to derecognition	(974,008)	(282,107)	(245)	(974,008)	(282,107)	(245)
Changes in impairment recycled to profit or loss	65	281,884	(100)	65	281,884	(100)
Deferred tax effect on the above	(284,843)	(4,124,415)	93	(284,843)	(4,124,415)	93
Net other comprehensive income to be reclassified to profit or loss	664,635	9,623,636	(93)	664,635	9,623,636	(93)
Items that will not be reclassified to profit or loss:						
Equity instruments at fair value through other comprehensive income:						
Loss arising on re-measurement	(1,286,931)	-	(100)	(1,286,931)	-	(100)
Exchange loss in translation	(313,106)	(754,648)	59	(313,106)	(754,648)	59
Deferred tax effect on the above	480,011	226,394	112	480,011	226,394	112
	(1,120,026)	(528,254)	(112)	(1,120,026)	(528,254)	(112)
Actuarial loss on defined benefit plans	(1,912,875)	(884,546)	(116)	(1,907,115)	(881,559)	(116)
Deferred tax effect on the above	573,863	265,364	116	572,135	264,468	116
	(1,339,012)	(619,182)	(116)	(1,334,980)	(617,091)	(116)
Net other comprehensive income not to be reclassified to profit or loss	(2,459,038)	(1,147,436)	(114)	(2,455,006)	(1,145,345)	(114)
Other comprehensive income net of tax	(1,794,403)	8,476,200	(121)	(1,790,371)	8,478,291	(121)
Total comprehensive income for the year net of tax	25,526,209	25,616,279	-	26,912,889	26,402,573	2
Attributable to:						
Equity holders of the Bank	25,526,209	25,616,279	-	26,912,889	26,402,573	2
Non-controlling interest				-	-	-
	25,526,209	25,616,279	-	26,912,889	26,402,573	2

The Notes to the Financial Statements from pages 283 to 421 form an integral part of these Financial Statements.

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

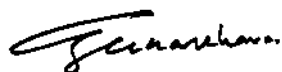
Statement of Financial Position

		BANK			GROUP		
As at 31st December	Note	2024 Rs 000	2023 Rs 000	Change %	2024 Rs 000	2023 Rs 000	Change %
ASSETS							
Cash & cash equivalents	20	46,229,318	79,272,087	(42)	46,501,139	79,530,247	(42)
Balances with Central Bank of Sri Lanka	21	16,373,983	14,463,854	13	16,373,983	14,463,854	13
Placements with banks	22	26,452,245	33,741,322	(22)	26,452,245	33,741,322	(22)
Reverse repurchase agreements		1,000,220	-	100	6,596,063	150,400	4,286
Derivative financial instruments	23	507,054	587,577	(14)	507,054	587,577	(14)
Financial assets recognised through profit or loss - measured at fair value	24	4,614,332	4,744,188	(3)	4,614,332	4,841,302	(5)
Financial assets at amortised cost							
- loans & advances	25	860,151,610	756,435,559	14	901,950,481	787,355,719	15
- debt & other instruments	26	401,280,763	368,100,002	9	405,616,020	373,899,842	8
Financial assets - fair value through other comprehensive income	27	367,782,512	216,022,295	70	367,782,568	216,022,351	70
Investment in subsidiaries	28	4,190,721	4,110,642	2	-	-	-
Property, plant & equipment	29	10,854,850	9,623,120	13	22,012,514	19,960,610	10
Intangible assets	30	888,711	745,395	19	899,752	766,532	17
Right-of-use assets	31	7,860,280	3,605,525	118	5,488,197	3,152,666	74
Deferred tax assets	32	10,934,412	17,292,023	(37)	11,177,659	17,517,519	(36)
Other assets	33	18,820,112	33,204,832	(43)	21,023,359	35,386,047	(41)
Total Assets		1,777,941,123	1,541,948,421	15	1,836,995,366	1,587,375,988	16
LIABILITIES							
Due to banks	34	23,259,811	11,621,838	100	30,067,815	17,344,766	73
Derivative financial instruments	23	3,200,590	1,498,777	114	3,200,590	1,498,777	114
Securities sold under repurchase agreements		40,312,784	34,688,209	16	40,312,784	34,438,086	17
Financial liabilities at amortised cost							
- due to depositors	35	1,455,864,416	1,253,642,547	16	1,487,148,551	1,276,551,041	16
- due to other borrowers	36	8,061,364	6,637,129	21	8,061,364	6,637,129	21
- due to debt securities holders	37	18,891,500	26,709,893	(29)	24,741,652	30,386,809	(19)
Retirement benefit obligation	38	5,799,502	3,170,247	83	6,019,892	3,355,039	79
Dividend payable		298,695	212,571	41	298,695	212,571	41
Current tax liabilities	39	14,522,729	16,220,788	(10)	15,312,202	16,688,675	(8)
Deferred tax liabilities	32	-	-	-	1,465,112	1,465,112	-
Other liabilities	40	41,191,516	39,673,346	4	42,484,397	40,967,491	4
Total Liabilities		1,611,402,907	1,394,075,345	16	1,659,113,054	1,429,545,496	16

		BANK			GROUP		
As at 31st December	Note	2024 Rs 000	2023 Rs 000	Change %	2024 Rs 000	2023 Rs 000	Change %
EQUITY							
Stated capital	41	48,741,119	48,741,119	-	48,741,119	48,741,119	-
Reserves							
Statutory reserves							
Statutory reserve fund	42.1	7,985,000	6,615,000	21	8,358,000	6,929,000	21
Special reserve	42.2	1,660,470	-	100	1,660,470	-	100
Other reserves	43	94,494,548	81,950,709	15	97,992,486	85,448,647	15
Retained earnings	44	13,657,079	10,566,248	29	21,130,237	16,711,726	26
Total equity attributable to equity holders of the Bank		166,538,216	147,873,076	13	177,882,312	157,830,492	13
Non-controlling interest					-	-	-
Total Equity		166,538,216	147,873,076	13	177,882,312	157,830,492	13
Total Liabilities & Equity		1,777,941,123	1,541,948,421	15	1,836,995,366	1,587,375,988	16
Commitments & contingencies	45	523,844,321	481,333,065	9	521,302,732	479,795,279	9
Net asset value per share (Rs)	46	142.01	126.10	13	151.69	134.59	13
Memorandum information							
Number of employees		4,428	4,179				
Number of branches		229	229				

The Notes to the Financial Statements from pages 283 to 421 form an integral part of these Financial Statements.

I certify that these Financial Statements are presented in compliance with the requirements of the Companies Act No. 07 of 2007.



AJANTHA DE VAS GUNASEKARA

Executive Director/Chief Financial Officer

The Board of Directors is responsible for these Financial Statements.

Approved and signed for and on behalf of the Board,



HARSHA AMARASEKERA

Chairman



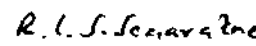
AYODHYA IDDAWELA PERERA

Managing Director



RUSHANKA SILVA

Deputy Chairman



LASANTHA SENARATNE

Company Secretary

17th February 2025
Colombo, Sri Lanka

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Statement of Changes in Equity

Bank	Stated Capital (Note 41) Rs 000	Statutory Reserves		Other Reserves			Retained Earnings (Note 44) Rs 000	Total Equity Rs 000
		Statutory Reserve Fund (Note 42.1) Rs 000	Special Reserve (Note 42.2) Rs 000	Revaluation Reserve (Note 43.1) Rs 000	FVOCI Reserve (Note 43.2) Rs 000	General Reserve (Note 43.3) Rs 000		
Balance as at 1st January 2023	47,622,493	5,755,000	-	3,594,984	2,248,650	58,989,347	8,169,471	126,379,945
Total comprehensive income for the year								
Profit for the year	-	-	-	-	-	-	17,140,079	17,140,079
Other comprehensive income	-	-	-	-	9,095,382	-	(619,182)	8,476,200
Total comprehensive income for the year	-	-	-	-	9,095,382	-	16,520,897	25,616,279
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders								
Final dividend for 2022: Scrip	1,118,626	-	-	-	-	-	(1,316,031)	(197,405)
Final dividend for 2022: Cash	-	-	-	-	-	-	(3,948,089)	(3,948,089)
Unclaimed dividend adjustments	-	-	-	-	-	22,346	-	22,346
Total contributions by and distributions to equity holders	1,118,626	-	-	-	-	22,346	(5,264,120)	(4,123,148)
Transfer to reserves during the year	-	860,000	-	-	-	8,000,000	(8,860,000)	-
Balance as at 31st December 2023	48,741,119	6,615,000	-	3,594,984	11,344,032	67,011,693	10,566,248	147,873,076
Balance as at 1st January 2024	48,741,119	6,615,000	-	3,594,984	11,344,032	67,011,693	10,566,248	147,873,076
Total comprehensive income for the year								
Profit for the year	-	-	-	-	-	-	27,320,612	27,320,612
Other comprehensive income	-	-	-	-	(455,391)	-	(1,339,012)	(1,794,403)
Total comprehensive income for the year	-	-	-	-	(455,391)	-	25,981,600	25,526,209
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders								
Final dividend for 2023: Cash	-	-	-	-	-	-	(6,860,299)	(6,860,299)
Unclaimed dividend adjustments	-	-	-	-	-	(770)	-	(770)
Total contributions by and distributions to equity holders	-	-	-	-	-	(770)	(6,860,299)	(6,861,069)
Transfer to reserves during the year	-	1,370,000	1,660,470	-	-	13,000,000	(16,030,470)	-
Balance as at 31st December 2024	48,741,119	7,985,000	1,660,470	3,594,984	10,888,641	80,010,923	13,657,079	166,538,216

The Notes to the Financial Statements from pages 283 to 421 form an integral part of these Financial Statements.

Group	Stated Capital	Statutory Reserves		Other Reserves			Retained Earnings	Total Equity Attributable to Equity Holders of the Bank	Non - Controlling Interest	Total Equity
		Statutory Reserve Fund	Special Reserve	Revaluation Reserve	FVOCI Reserve	General Reserve				
	(Note 41)	(Note 42.1)	(Note 42.2)	(Note 43.1)	(Note 43.2)	(Note 43.3)	(Note 44)			
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2023										
47,622,493 6,033,000 - 7,092,922 2,248,650 58,989,347 13,564,655 135,551,067 - 135,551,067										
Total comprehensive income for the year										
Profit for the year										
- - - - - - 17,924,282 17,924,282 - 17,924,282										
Other comprehensive income										
- - - - 9,095,382 - (617,091) 8,478,291 - 8,478,291										
Total comprehensive income for the year										
- - - - 9,095,382 - 17,307,191 26,402,573 - 26,402,573										
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders										
Final dividend for 2022: Scrip										
1,118,626 - - - - - (1,316,031) (197,405) - (197,405)										
Final dividend for 2022: Cash										
- - - - - - (3,948,089) (3,948,089) - (3,948,089)										
Unclaimed dividend adjustments										
- - - - - 22,346 - 22,346 - 22,346										
Total contributions by and distributions to equity holders										
1,118,626 - - - - 22,346 (5,264,120) (4,123,148) - (4,123,148)										
Transfer to reserves during the year										
- 896,000 - - - - 8,000,000 (8,896,000) - -										
Balance as at 31st December 2023										
48,741,119 6,929,000 - 7,092,922 11,344,032 67,011,693 16,711,726 157,830,492 - 157,830,492										
Balance as at 1st January 2024										
48,741,119 6,929,000 - 7,092,922 11,344,032 67,011,693 16,711,726 157,830,492 - 157,830,492										
Total comprehensive income for the year										
Profit for the year										
- - - - - - 28,703,260 28,703,260 - 28,703,260										
Other comprehensive income										
- - - - (455,391) - (1,334,980) (1,790,371) - (1,790,371)										
Total comprehensive income for the year										
- - - - (455,391) - 27,368,280 26,912,889 - 26,912,889										
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders										
Final dividend for 2023: Cash										
- - - - - - (6,860,299) (6,860,299) - (6,860,299)										
Unclaimed dividend adjustments										
- - - - - (770) - (770) - (770)										
Total contributions by and distributions to equity holders										
- - - - - (770) (6,860,299) (6,861,069) - (6,861,069)										
Transfer to reserves during the year										
- 1,429,000 1,660,470 - - 13,000,000 (16,089,470) - - -										
Balance as at 31st December 2024										
48,741,119 8,358,000 1,660,470 7,092,922 10,888,641 80,010,923 21,130,237 177,882,312 - 177,882,312										

The Notes to the Financial Statements from pages 283 to 421 form an integral part of these Financial Statements.

Statement of Cash Flows

For the year ended 31st December	Note	BANK		GROUP	
		2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Cash flows from operating activities					
Interest receipts		180,354,147	191,742,377	189,657,484	201,389,033
Interest payments		(103,622,237)	(130,310,620)	(108,114,476)	(135,941,536)
Net commission receipts		17,492,315	18,904,279	18,180,456	19,536,747
Cash payments to employees		(15,448,145)	(12,697,724)	(17,763,626)	(14,217,850)
Taxes on financial services		(10,923,333)	(9,473,348)	(11,698,074)	(9,923,944)
Receipts from other operating activities		1,948,732	1,342,722	3,256,747	2,302,112
Cash payments to other operating activities		(17,975,503)	(15,022,764)	(18,498,833)	(16,146,309)
Operating profit before changes in operating assets & liabilities (Note A)		51,825,976	44,484,922	55,019,678	46,998,253
(Increase)/decrease in operating assets					
Balances with Central Bank of Sri Lanka		(1,910,129)	17,115,331	(1,910,129)	17,115,331
Financial assets at amortised cost - loans & advances		(122,545,411)	27,859,038	(133,323,484)	25,070,961
Other assets		12,945,175	(7,228,410)	13,047,618	(7,678,957)
		(111,510,365)	37,745,959	(122,185,995)	34,507,335
Increase/(decrease) in operating liabilities					
Due to banks		12,148,873	908,354	13,392,435	2,628,776
Repurchase agreements		5,651,885	32,522,183	5,902,008	32,272,060
Financial liabilities at amortised cost - due to depositors		224,855,561	179,368,098	233,186,218	182,753,734
Financial liabilities at amortised cost - due to other borrowers		1,426,343	(2,525,136)	1,426,343	(2,525,136)
Other liabilities		(7,396,549)	8,214,834	(6,369,275)	8,513,773
		236,686,113	218,488,333	247,537,729	223,643,207
Net cash generated from operating activities before income tax		177,001,724	300,719,214	180,371,412	305,148,795
Income tax paid	39	(13,973,220)	(14,344,132)	(14,754,319)	(14,934,280)
Net cash generated from operating activities		163,028,504	286,375,082	165,617,093	290,214,515
Cash flows from investing activities					
Purchase of property, plant & equipment	29.1 & 29.2	(2,235,969)	(1,587,186)	(3,544,702)	(2,209,713)
Proceeds from disposal of property, plant & equipment		9,187	591	13,497	3,704
Net cash flow from reverse repurchase agreements		(1,000,000)	10,000,000	(6,445,443)	10,076,600
Net cash flow from financial assets - FVPL		295,543	474,885	420,114	512,307
Net cash flow from debt instruments at amortised cost		(29,421,237)	(109,767,329)	(27,956,564)	(110,105,303)
Net cash flow from financial assets - FVOCI		(150,588,119)	(151,786,388)	(150,588,119)	(151,786,388)
Purchase of intangible assets	30	(523,288)	(429,348)	(523,768)	(437,982)
Dividend received from financial assets		135,712	138,679	137,069	140,163
Net cash used in investing activities		(183,328,171)	(252,956,096)	(188,487,916)	(253,806,612)
Cash flows from financing activities					
Proceeds from the issue of debentures	37.1	-	10,000,000	4,000,000	10,000,000
Redemption of debentures	37.1	(7,000,000)	(7,500,000)	(8,500,000)	(9,500,000)
Net proceeds from securitisation		-	-	(457,999)	(1,705,002)
Repayment of long term bond		-	(600,000)	-	(600,000)
Dividend paid		(6,860,299)	(4,145,494)	(6,860,299)	(4,145,494)
Repayment of principal portion of lease liabilities		(1,862,720)	(1,684,608)	(1,180,132)	(945,581)
Net cash used in financing activities		(15,723,019)	(3,930,102)	(12,998,430)	(6,896,077)
Net cash (used in)/generated during the year		(36,022,686)	29,488,884	(35,869,253)	29,511,826
Net foreign exchange difference		(5,305,469)	(6,559,801)	(5,305,469)	(6,559,801)
Cash & cash equivalents at the beginning of the year		113,001,014	90,071,931	112,814,749	89,862,724
Cash & cash equivalents at the end of the year (Note B)		71,672,859	113,001,014	71,640,027	112,814,749

The Notes to the Financial Statements from pages 283 to 421 form an integral part of these Financial Statements.

NOTE (A) RECONCILIATION OF OPERATING PROFIT BEFORE CHANGES IN OPERATING ASSETS AND LIABILITIES

For the year ended 31st December	Note	BANK		GROUP	
		2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Profit before income tax		46,722,415	29,760,408	49,188,269	31,201,523
Interest income accrued on impaired loans & advances	7.1	(5,198,011)	(5,333,637)	(5,198,552)	(5,335,198)
Net loss/(gain) from trading	9				
Forward exchange contract revaluation loss/(gain)		1,782,336	(493,594)	1,782,336	(493,594)
Net mark to market gain - government & equity securities		(4,880)	(268,192)	(77,125)	(213,898)
Dividend income		-	-	(949)	(1,484)
Net (gain)/loss on derecognition of financial assets	10				
Financial assets FVPL		(160,807)	(309,604)	(116,019)	(317,316)
Financial assets FVOCI		(974,008)	(282,107)	(974,008)	(282,107)
Impact on restructuring of Sri Lanka International Sovereign Bonds		8,365,338	-	8,365,338	-
Net other operating income	11				
Dividend income from financial assets FVOCI		(135,712)	(138,679)	(136,120)	(138,679)
Dividend income from subsidiaries		(80,080)	(212,130)	-	-
(Profit)/loss on disposal of property, plant & equipment		(6,851)	865	(7,112)	(830)
Net impairment (reversal)/charge	12	(11,728,043)	20,148,542	(11,871,475)	20,209,602
Personnel expenses					
Charge on gratuity & pension fund	13	858,938	691,566	920,245	747,711
Other non-cash personnel expenses		412,343	306,417	421,179	315,251
Depreciation & amortisation expenses	14				
Depreciation of property, plant & equipment		1,001,993	873,135	1,486,413	1,313,641
Amortisation of intangible assets		379,972	261,984	386,180	271,791
Amortisation of right-of-use assets		1,706,083	1,509,380	1,137,243	968,941
Accrual for interest & commission income		1,108,265	(8,195,852)	1,108,265	(7,559,139)
Accrual for interest expense		(1,636,431)	846,836	(1,478,926)	1,074,147
Other accruals & non-cash income/expense		9,413,116	5,319,584	10,084,496	5,237,891
Operating profit before changes in operating assets/liabilities		51,825,976	44,484,922	55,019,678	46,998,253

NOTE (B) RECONCILIATION OF CASH & CASH EQUIVALENTS

As at 31st December	Note	BANK		GROUP	
		2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Local currency in hand	20	25,352,154	26,211,701	25,596,538	26,447,856
Foreign currency in hand	20	4,557,999	5,008,566	4,557,999	5,008,566
Balances with local banks	20	1,075,762	157,308	1,103,301	179,415
Balances with foreign banks	20	11,634,868	47,649,317	11,634,868	47,649,317
Money at call and short notice	20	3,630,756	291,216	3,630,756	291,216
Placements	22	26,478,308	33,758,255	26,478,308	33,758,255
Unfavourable balances with local & foreign banks	34.2	(1,056,988)	(75,349)	(1,361,743)	(519,876)
Cash & cash equivalents at the end of the year		71,672,859	113,001,014	71,640,027	112,814,749

The Notes to the Financial Statements from pages 283 to 421 form an integral part of these Financial Statements.

Statement of Cash Flows

NOTE (C) RECONCILIATION OF LIABILITIES ARISING FROM FINANCING ACTIVITIES

	BANK		GROUP		
	Redeemable Debentures (Note 37.1) Rs 000	Finance Lease Liability (Note 31.1) Rs 000	Redeemable Debentures (Note 37.1) Rs 000	Finance Lease Liability (Note 31.1) Rs 000	Securitisation (Note 37) Rs 000
Balance as at 1st January 2023	21,973,516	4,291,844	27,210,652	3,908,634	2,375,589
Cash flows from financing activities					
Proceeds from the issue of debentures	10,000,000	-	10,000,000	-	-
Net proceeds from securitisation	-	-	-	-	(1,705,002)
Redemption of debentures	(7,500,000)	-	(9,500,000)	-	-
Repayment of principal portion of lease liabilities	-	(1,684,608)	-	(945,581)	-
Non-cash changes					
Additions during the year	-	1,574,619	-	862,575	-
Net accrual/payment of interest	2,236,377	-	2,126,651	-	(121,081)
Balance as at 31st December 2023	26,709,893	4,181,855	29,837,303	3,825,628	549,506
Balance as at 1st January 2024	26,709,893	4,181,855	29,837,303	3,825,628	549,506
Cash flows from financing activities					
Proceeds from the issue of debentures	-	-	4,000,000	-	-
Net proceeds from securitisation	-	-	-	-	(457,999)
Redemption of debentures	(7,000,000)	-	(8,500,000)	-	-
Repayment of principal portion of lease liabilities	-	(1,862,720)	-	(1,180,132)	-
Non-cash changes					
Additions during the year	-	5,960,838	-	3,474,090	-
Net accrual/payment of interest	(818,393)	-	(595,651)	-	(91,507)
Balance as at 31st December 2024	18,891,500	8,279,973	24,741,652	6,119,586	-

The Notes to the Financial Statements from pages 283 to 421 form an integral part of these Financial Statements.

Notes to the Financial Statements

1. REPORTING ENTITY

1.1. General

Sampath Bank PLC ('The Bank'), is a domiciled, public limited liability company incorporated in Sri Lanka on 10th March 1986 under the Companies Act No. 17 of 1982. It is a Licensed Commercial Bank registered under the Banking Act No. 30 of 1988 (Banking Act) and amendments thereto. The Bank was re-registered with the Registrar General of Companies as per the requirements of the Companies Act No. 07 of 2007 (Companies Act) on 28th April 2008 under the name of Sampath Bank PLC. The registered office of the Bank is located at No. 110, Sir James Peiris Mawatha, Colombo 02. The shares of the Bank have a primary listing on the Colombo Stock Exchange (CSE). The unsecured subordinated debentures of the Bank are also listed on the CSE. The staff strength of the Bank as at 31st December 2024 was 4,428 (2023: 4,179).

1.2. Consolidated Financial Statements

The Consolidated Financial Statements of the Bank as at and for the year ended 31st December 2024 comprise the Bank (Parent Company) and its Subsidiaries (together referred to as the "Group" and individually as "Group entities"). The subsidiaries of the Bank as at 31st December 2024 were Sampath Centre Ltd, SC Securities (Pvt) Ltd, Siyapatha Finance PLC and Sampath Information Technology Solutions Ltd.

Sampath Bank PLC is the ultimate parent of the Group.

The Financial Statements of all companies in the Group have a common financial year which ends on 31st December.

1.3. Principal Activities and Nature of Operations

1.3.1. Bank

The Bank provides a comprehensive range of financial services encompassing accepting deposits, corporate and retail banking, project financing, trade finance, treasury and investment services, issuing of credit cards and debit cards, off-shore banking, resident and non-resident foreign currency operations, electronic banking services such as: telephone banking, internet banking, mobile banking and money remittance facilities, pawning, leasing, factoring, travel related services and dealing in government securities etc.

1.3.2. Subsidiaries

Ownership of subsidiaries as of 31st December 2024 and 31st December 2023 is given in Note 28 to the Financial Statements. There were no significant

changes in the nature of the principal activities of the Group during the financial year under review.

2. BASIS OF PREPARATION

2.1. Statement of Compliance

The Consolidated Financial Statements of the Group and the Separate Financial Statements of the Bank, which comprise the Statement of Financial Position, Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows and Notes to the Financial Statements have been prepared and presented in accordance with Sri Lanka Accounting Standards (SLFRSs and LKASs) laid down by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No. 07 of 2007. The presentation of the Financial Statements is also in compliance with the requirements of the Banking Act No. 30 of 1988 and amendments thereto and provide appropriate disclosures as required by the Listing Rules of the CSE.

The formats used in the preparation and presentation of the Financial Statements and the disclosures made therein also comply with the specified formats prescribed by the CBSL in the Circular No. 05 of 2024 on "Publication of Annual and Quarterly Financial Statements and Other Disclosures by Licensed Banks". The Bank also publish annual and quarterly financial information and other disclosures in the Press and the Website in compliance with the aforementioned Circular.

2.2. Responsibility for Financial Statements

The Board of Directors is responsible for the Financial Statements of the Group and the Bank as per Sri Lanka Accounting Standards and the provisions of the Companies Act No. 07 of 2007.

The Board of Directors acknowledges their responsibility for financial statements as set out in the "Annual Report of the Board of Directors on the Affairs of the Company" (pages 255 to 263), "Statement of Directors' Responsibility for Financial Reporting" (pages 268 and 269) and the certification on the Statement of Financial Position on page 277.

2.3. Approval of Financial Statements by Directors

The Financial Statements of the Group as at and for the year ended 31st December 2024 were authorised for issue by the Board of Directors in accordance with the resolution of the Board of Directors on 17th February 2025.

2.4. Basis of Measurement

The Financial Statements of the Group have been prepared on the historical cost basis, except for the following material items in the Statement of Financial Position:

- Derivative financial instruments are measured at fair value (Note 23)
- Financial assets recognised through profit or loss (FVPL) are measured at fair value (Note 24)
- Financial assets held at fair value through other comprehensive income (FVOCI) are measured at fair value (Note 27)
- Land and buildings which are measured at cost at the time of acquisition subsequently measured at revalued amounts, which are the fair values at the date of revaluation (Note 29)
- Liabilities for defined benefit obligations are recognised at the present value of the defined benefit obligation less the fair value of the plan assets (Note 38)

2.5. Functional and Presentation Currency

The Financial Statements of the Group are presented in Sri Lankan Rupees (Rs), which is the currency of the primary economic environment in which Sampath Bank PLC operates. Financial information presented in Sri Lankan Rupees has been rounded to the nearest thousand unless indicated otherwise. There was no change in the Group's presentation and functional currency during the year under review.

2.6. Presentation of Financial Statements

The assets and liabilities of the Group presented in the Statement of Financial Position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. No adjustments have been made for inflationary factors affecting the Financial Statements.

An analysis on recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in the Note 52 to the Financial Statements.

2.7. Materiality and Aggregation

In compliance with Sri Lanka Accounting Standard - LKAS 1 (Presentation of Financial Statements), each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or functions too are presented separately unless they are immaterial. The understandability of the Financial Statements is not compromised

Notes to the Financial Statements

by obscuring material information with immaterial information or by aggregating material items that are different in nature or function.

2.8. Offsetting

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously. Income and expenses are not offset in the Statement of Profit or Loss unless required or permitted by an Accounting Standard or interpretation, and as specifically disclosed in the accounting policies of the Group.

2.9. Comparative Information

The comparative information is re-classified wherever necessary to conform to the current year's classification in order to provide a better presentation.

2.10. Statement of Cash Flows

The Statement of Cash Flows has been prepared by using the direct method in accordance with the Sri Lanka Accounting Standard - LKAS 7 (Statement of Cash Flows), whereby gross cash receipts and gross cash payments of operating activities, financing activities and investing activities have been recognised. Cash and cash equivalents comprise short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value.

Cash and cash equivalents include cash in hand, balances with banks, placements with banks, money at call and short notice, net of unfavourable local & foreign bank balances.

2.11. Significant Accounting Judgments, Estimates and Assumptions

The preparation of Financial Statements of the Group in conformity with Sri Lanka Accounting Standards requires the management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is

revised and in any future periods affected. The most significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect on the amounts recognised in the Financial Statements of the Group are as follows:

2.11.1. Going Concern

The Directors have made an assessment of the Group's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. The Directors have considered the impact of the present macro-economic conditions and climate related matters, in making this assessment. Furthermore, the Board is not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the Group. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.11.2. Impairment Losses on Loans and Advances

The measurement of impairment losses under Sri Lanka Accounting Standards - SLFRS 9 (Financial Instruments) across all categories of financial assets requires judgement. These estimates are driven by a number of factors, changes in which can result in different levels of allowances.

The Group reviews its individually significant loans and advances at each reporting date to assess whether an impairment loss should be recorded in the Statement of Profit or Loss. In particular, management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. Loans and advances that have been assessed individually and found to be not impaired and all individually insignificant loans and advances are then assessed collectively, by categorising them into groups of assets with similar risk characteristics, to determine the expected credit loss on such loans and advances.

The expected credit loss (ECL) calculation under SLFRS 9 requires management to make judgments and estimates with regard to the following.

- The Group's criteria for assessing if there has been a significant increase in credit risk and so impairment for financial assets should be measured on a lifetime ECL basis
- Development of ECL models, including various formulas and the choice of inputs

- Selection of forward-looking macroeconomic scenarios and their probability weightings, to derive the economic inputs into the ECL model

It has been the Group's policy to regularly review its models in the context of actual loss experience and adjust when necessary. The above assumptions and judgments are discussed in detail under Note 3.4.6 to the Financial Statements.

The key assumptions used in the Group's calculation of ECL have been revised to reflect the changes in the macro-economic conditions during the year. Although the credit model inputs and assumptions, including forward-looking macroeconomic assumptions were revised in response to the current economic conditions, the fundamental credit model mechanics and methodology underpinning the Group's calculation of ECL have remained consistent with prior periods.

The economic scenarios and forward-looking macroeconomic assumptions underpinning the collective provision calculation are outlined in Note 3.4.6.7, while the impact on changing the weightages of different macro-economic scenarios during the year are given in Note 51.2.1.3. A breakdown of the loans and advances of the Bank/Group classified under stage 2 & stage 3 is given in Notes 51.2.1.5 & 51.2.1.6. Sensitivity of the individually significant loan impairment to recovery cash flows is given in Note 51.2.1.3 while sensitivity of collective impairment provision to the staging of the loans and advances is disclosed in Note 51.2.1.4.

2.11.3. Impairment of Other Financial Assets

The Group reviews its debt securities classified as FVOCI/amortised cost at each reporting date. Objective evidence that a debt security held at FVOCI/amortised cost is impaired/having an increased credit risk includes, among other things, significant financial difficulty of the issuer, a breach of contract such as a default or delinquency in interest or principal payments etc. Management judgement has been involved in determining whether there is significant increase in credit risk of these instruments or these instruments are impaired as at the reporting date.

Equity instruments classified as FVOCI are not subjective for impairment assessment.

2.11.4. Fair Value of Financial Instruments

The determination of fair values of financial assets and financial liabilities recorded on the Statement of Financial Position for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical models. The valuation of financial instruments is described in more detail in Note 50.

The Group measures fair value using the fair value hierarchy that reflects the significance of input used in making measurements. The fair value hierarchy is given in Notes 50.5 and 50.7.

2.11.5. Financial Assets and Liabilities Classification

The Group's accounting policies provide scope for assets and liabilities to be classified, at inception into different accounting categories. The classification of financial instruments is given in Note 19, 'Analysis of Financial Instruments by Measurement Basis'.

2.11.6. Taxation

The Group is subject to income tax and judgment is required to determine the total provision for current, deferred and other taxes due to the uncertainties that exist with respect to the interpretation of the applicable tax laws, at the time of preparation of these Financial Statements.

The details of deferred tax computation is given in Note 32 to the Financial Statements.

2.11.7. Defined Benefit Plans

The cost of the defined benefit plans and the present value of their obligations are determined using actuarial valuations. The actuarial valuation involves making assumptions about discount rates, future salary increases, mortality rates and possible future pension increases if any. Due to the long term nature of these plans, such estimates are subject to significant uncertainty. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the interest rates of Sri Lanka government bonds with maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases and pension increases are based on expected future inflation rate and expected future salary increase rates of the Group.

2.11.8. Fair Value of Property, Plant and Equipment

The freehold land and buildings of the Group are reflected at fair value at the date of revaluation less any accumulated depreciation and impairment losses. The Group engages independent valuation specialists to determine fair value of freehold lands and buildings in terms of the Sri Lanka Accounting Standard - SLFRS 13, (Fair Value Measurement). The details of freehold land and buildings, including methods of valuation are given in Notes 29.3 and 29.4 to the Financial Statements. The Group has not revalued its freehold lands and buildings during this year for consolidated accounting purposes, on the basis that changes in property prices were not significant compared to the previous year.

2.11.9. Useful Lifetime of the Property, Plant and Equipment

The Group reviews the residual values, useful lives and methods of depreciation of property, plant and equipment at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

2.11.10. Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote. Details of commitments and contingencies are given in Note 45.

2.11.11. SLFRS 16 - Leases

The Group uses its judgment to determine whether an operating lease contract qualifies for recognition of right-of-use assets. It also uses judgement in the determination of the discount rate in the calculation of the lease liability. The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease. As the Group cannot readily determine the interest rate implicit in the lease, it uses its incremental borrowing rate to measure the lease liability. The incremental borrowing rate is the rate of interest that the Group would have to pay, to borrow an amount similar to the value of the lease asset, over

a similar term and with similar security in similar economic environment. Further, the Group applies judgement in evaluating whether it is reasonably certain to renew or terminate the lease at the end of the lease term. That is, it considers all relevant factors that create an economic benefit for it to exercise, either the renewal or termination option.

2.11.12. Impact of Climate Risk

The Group and its customers are exposed to the physical risks from climate change and risks of transitioning to a net-zero economy. These risks may involve refinancing and liquidity risks for certain customers in high-risk sectors where financial institutions may seek to reduce their exposures in the future. However, the nature and location of the Bank's counterparties and the underlying collateral, limit the impact of this exposure. The following items and balances may be impacted by climate-related matters:

Expected credit losses (ECL): Customers and portfolios with exposure to climate risk may have a resultant deterioration in creditworthiness and a consequential impact on ECL. On the whole, the Group is of the view that the counterparties who have exposures to climate risk are not expected to be materially impacted by physical or transition risk associated with climate change. For example, the majority of the counterparties are not employed, or do not operate, in high-risk sectors, nor are they located in high-risk geographical areas. As a result, it was assessed that the magnitude of any impact of climate risk would not be material in the current reporting period.

Fair value measurement: The Bank has assumed that any climate change variables incorporated in fair value measurement are those that market participants would consider when pricing the asset or liability, in line with SLFRS 13 (Fair Value Measurement). Consequently the Bank concluded that climate risk has been adequately reflected within the fair value of its assets and liabilities. Where prices are observable, it is assumed that the fair value already incorporates market participants' view of climate risk variables.

Notes to the Financial Statements

3. MATERIAL ACCOUNTING POLICIES

The material accounting policies of the Group have been applied consistently to all periods presented in the Financial Statements. Set out below is an index of accounting policies, the details of which are available on the pages that follow:

Note	Description	Page No.	Reference to Other Notes in Financial Statements
3	Material Accounting Policies		
3.1	Basis of Consolidation	286	28
3.2	Business Combinations and Goodwill	286	28
3.3	Foreign Currency Transactions and Balances	286	9,11
3.4	Financial Instruments - Initial Recognition, Classification and Subsequent Measurement	287-295	7,9,10,12,19,20,22 to 27,34 to 37,43.2,45,50
3.5	Leases	295	31
3.6	Fiduciary Assets	295	
3.7	Provisions	296	15
3.8	Operational Risk Events	296	15
3.9	Impairment of Non-Financial Assets	296	
3.10	Other Taxes	296	
3.11	Regulatory Provisions	296	15
4	New Accounting Standards/ Amendments to Existing Accounting Standards that became Effective during the year	297	
5	Accounting Standards Issued but Not Yet Effective as at 31st December 2024	297	
7	Net Interest Income	298-299	3.4
8	Net Fee and Commission Income	300	3.4
9	Net (Loss)/Gain from Trading	300-301	3.4
10	Net (Loss)/Gain on Derecognition of Financial Assets	301-302	3.4
13	Personnel Expenses	305-306	38
14	Depreciation and Amortisation Expenses	307-308	29, 30, 31
16	Income Tax Expense	309-310	32,39
17	Earnings Per Share	311	
28	Investment in Subsidiaries	332-333	3.1, 3.2
29	Property Plant and Equipment	334-340	14, 43.1
30	Intangible Assets	341	14
47	Related Party Disclosures	363-366	
48	Segment Information	366-367	
49	Events after the Reporting Period	368	18
50	Fair Value of Assets and Liabilities	368-375	
51	Risk Management	376-417	

3.1. Basis of Consolidation

The Group's Financial Statements comprise consolidation of the Financial Statements of the Bank and its subsidiaries in terms of the Sri Lanka Accounting Standard - SLFRS 10 (Consolidated Financial Statements). The Bank's Financial Statements comprise the amalgamation of the Financial Statements of the Domestic Banking Unit and the Off-Shore Banking Unit.

3.2. Business Combinations and Goodwill

Business combinations are accounted for using the acquisition method as per the requirements of Sri Lanka Accounting Standard - SLFRS 3 (Business Combinations).

The Group measures goodwill as the fair value of the consideration transferred including the recognised amount of any non-controlling interest in the acquiree, less the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss. When excess is negative, a bargain purchase gain is recognised immediately in profit or loss, if controlling power is acquired.

The changes in parent's ownership interest in a subsidiary that do not result in the parent losing control of the subsidiary are equity transactions. The Group elects on a transaction-by-transaction basis whether to measure non-controlling interest at its fair value, or at its proportionate share of the recognised amount of the identifiable net assets, at the acquisition date. Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

3.3. Foreign Currency Transactions and Balances

All foreign currency transactions are translated into the functional currency, which is Sri Lankan Rupees, using the exchange rates prevailing at the dates of the transactions were affected.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated to Sri Lankan Rupees using the spot foreign exchange rate ruling at that date and all differences arising on non-trading activities are taken to 'Other operating income' in the Statement of Profit or Loss. The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the period, adjusted for effective interest and payments during the period, and the amortised cost in foreign currency translated at the rate of exchange prevailing at the end of the reporting period.

Non-monetary items in a foreign currency that are measured in terms of historical cost are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items in foreign currency measured at fair value are translated using the exchange rates at the date when the fair value was determined.

Foreign exchange differences arising on the settlement or reporting of monetary items at rates different from those which were initially recorded are dealt with in the Statement of Profit or Loss. However, foreign currency differences arising on equity instruments classified as fair value through other comprehensive income, financial liabilities designated as a hedge of a net investment in a foreign operation, or qualifying cash flow hedges are recognised in other comprehensive income.

Forward exchange contracts are valued at the forward market rates ruling on the reporting date. Resulting net unrealised gains or losses are dealt within the Statement of Profit or Loss under 'Net gain/loss from trading'.

3.4. Financial Instruments - Initial Recognition, Classification and Subsequent Measurement

3.4.1. Date of Recognition

Financial assets and liabilities, with the exception of loans and advances to customers and balances due to customers, are initially recognised on the trade date, i.e. the date that the Group becomes a party to the contractual provisions of the instrument. This includes regular way trades: purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place. Loans and advances to customers are recognised when funds are transferred to the customers' accounts. The Group recognises balances due to depositors when funds are transferred to the Group.

3.4.2. Initial Measurement of Financial Instruments

The classification of financial instruments at initial recognition depends on their contractual terms and the business model for managing the instruments, as described in Notes 3.4.3.1(a) and 3.4.3.1(b). Financial instruments are initially measured at their fair value.

Except in the case of financial assets and financial liabilities recorded at FVPL, transaction costs are added to, or subtracted from, this amount. Trade receivables are measured at the transaction price. When the fair value of financial instruments at initial recognition differs from the transaction price, the Group accounts for the Day 1 profit or loss, as described below.

3.4.2.1 'Day 1' Profit or Loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument, or based on a valuation technique whose variables include only data from observable markets, the Group recognises the difference between the transaction price and fair value ('Day 1' profit or loss) in the Statement of Profit or Loss over the tenor of the financial instrument using the effective interest rate method. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognised in the Statement of Profit or Loss when the inputs become observable, or when the instrument is derecognised.

The "Day 1 loss" arising in the case of loans granted to employees at concessionary rates under uniformly applicable schemes is deferred and amortised using Effective Interest Rates (EIR) in "Interest income" and "Personnel expenses" over the remaining service period of the employees or tenure of the loan whichever is shorter.

3.4.3. Measurement Categories of Financial Assets and Liabilities

The Group classifies all of its financial assets based on the business model for managing the assets and the asset's contractual terms, measured at either:

- Amortised cost, as explained in Note 3.4.3.1
- FVOCI as explained in Notes 3.4.3.5 and 3.4.3.6
- FVPL as explained in Notes 3.4.3.2, 3.4.3.3 and 3.4.3.4

The Group classifies and measures its derivative and trading portfolio at FVPL as explained in Notes 3.4.3.2 and 3.4.3.3. The Group may designate financial instruments at FVPL, if so doing eliminates or significantly reduces measurement or recognition inconsistencies, as explained in Note 3.4.3.4.

Financial liabilities, other than loan commitments and financial guarantees, are measured at amortised cost or at FVPL when they are held for trading, derivative instruments or the fair value designation is applied, as explained in Notes 3.4.3.7, 3.4.3.3, 3.4.3.2 and 3.4.3.4.

3.4.3.1. Loans and advances to customers, debt and other instruments, reverse repurchase agreements

The Group only measures loans and advances to customers, debt and other instruments and reverse repurchase agreements at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective of collecting contractual cash flows
- The contractual terms of the financial asset give rise, on specified dates, to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

The details of these conditions are outlined below.

3.4.3.1(a). Business model assessment

The Group determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective.

The Group's business model is not assessed on an instrument by instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed
- How managers of the business are compensated (for example, whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected)

The expected frequency, value and timing of sales are also important aspects of the Group's assessment.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Group's

Notes to the Financial Statements

original expectations, the Group does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

3.4.3.1(b). The SPPI test

As a second step of its classification process the Group assesses the contractual terms of financial instruments to identify whether they meet the SPPI test. 'Principal' for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount).

The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make the SPPI assessment, the Group applies judgment and considers relevant factors such as the currency in which the financial asset is denominated and the period for which the interest rate is set. In contrast, contractual terms that introduce a more than de-minimis exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement, do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding. In such cases, the financial asset is required to be measured at FVPL.

3.4.3.2. Derivatives recorded at fair value through profit or loss

A derivative is a financial instrument or other contract with all three of the following characteristics:

- Its value changes in response to the change in a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index or other variable, provided that, in the case of a non-financial variable, it is not specific to a party to the contract (i.e. the 'underlying').
- It requires no initial net investment or an initial net investment that is smaller than would be required for other types of contracts expected to have a similar response to changes in market factors.
- It is settled at a future date.

The Group enters into derivative transactions with various counterparties. These include interest rate swaps, cross-currency swaps, forward exchange contracts etc. Derivatives are recorded at fair value and

carried as assets when their fair value is positive and as liabilities when their fair value is negative. The notional amount and fair value of such derivatives are disclosed separately in Note 23. Changes in the fair value of derivatives are included in net gain/(loss) from trading unless hedge accounting is applied. The Group has not applied hedge accounting for any of its derivatives during the years ended 31st December 2024 and 2023.

3.4.3.2(a). Embedded derivatives

An embedded derivative is a component of a hybrid instrument that also includes a non-derivative host contract with the effect that some of the cash flows of the combined instrument vary in a way, similar to a stand-alone derivative.

An embedded derivative causes some or all of the cash flows that otherwise would be required by the contract to be modified according to a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index, or other variable, provided that, in the case of a non-financial variable, it is not specific to a party to the contract. A derivative that is attached to a financial instrument, but is contractually transferable independently of that instrument, or has a different counterparty from that instrument, is not an embedded derivative, but a separate financial instrument.

Derivatives embedded in liabilities and non-financial host contracts, are treated as separate derivatives and recorded at fair value if they meet the definition of a derivative (as defined above), their economic characteristics and risks are not closely related to those of the host contract, and the host contract is not itself held for trading or designated at FVPL. The embedded derivatives separated from the host were carried at fair value in the trading portfolio with changes in fair value recognised in the income statement. Derivatives embedded in financial assets are no longer separated. Instead, they are classified based on the business model and SPPI assessments as outlined in Notes 3.4.3.1(a) and 3.4.3.1(b).

3.4.3.3. Financial assets or financial liabilities held for trading

The Group classifies financial assets or financial liabilities as held for trading when they have been purchased or issued primarily for short-term profit making through trading activities or form part of a portfolio of financial instruments that are managed together, for which there is evidence of a recent pattern of short-term profit taking.

Held-for-trading assets and liabilities are recorded and measured in the statement of financial position at fair value. Changes in fair value are recognised in net trading income. Interest income from financial assets held for trading is recorded under net interest income while dividend income is recorded in net trading income when the right to receive the dividend has been established. Included in this classification are debt securities and equity investments that have been acquired principally for the purpose of selling or repurchasing in the near term. The Group does not have any financial liabilities classified as held for trading as at 31st December 2024.

3.4.3.4. Financial assets and financial liabilities designated at fair value through profit or loss

Financial assets and financial liabilities in this category are those that are not held for trading and have been either designated by management upon initial recognition or are mandatorily required to be measured at fair value under SLFRS 9. Management only designates an instrument at FVPL upon initial recognition when one of the following criteria are met. Such designation is determined on an instrument-by-instrument basis:

- The designation eliminates, or significantly reduces, the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognising gains or losses on them on a different basis
- Or
- The liabilities are part of a group of financial liabilities which are managed and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy
- Or
- The liabilities containing one or more embedded derivatives, unless they do not significantly modify the cash flows that would otherwise be required by the contract, or it is clear with little or no analysis when a similar instrument is first considered that separation of the embedded derivative(s) is prohibited

Financial assets and financial liabilities at FVPL are recorded in the statement of financial position at fair value. Changes in fair value are recorded in profit or loss with the exception of movements in fair value of liabilities designated at FVPL due to changes in the Group's own credit risk. Such changes in fair value are recorded in

the "Own credit reserve" through OCI and do not get recycled to the profit or loss. Interest earned or incurred on instruments designated at FVPL is accrued in interest income or interest expense, respectively, using the EIR, taking into account any discount/premium and qualifying transaction costs being integral parts of the instrument.

3.4.3.5. Debt instruments at FVOCI

The Group applies this category for debt instruments when both of the following conditions are met:

- The instrument is held within a business model, the objective of which is achieved by both collecting contractual cash flows and selling financial assets
- The contractual terms of the financial asset meet the SPPI test

These instruments largely comprise government securities.

FVOCI debt instruments are subsequently measured at fair value with gains and losses arising due to changes in fair value recognised in OCI. Interest income and foreign exchange gains and losses are recognised in profit or loss in the same manner as for financial assets measured at amortised cost.

The ECL calculation for debt instruments at FVOCI is explained in Note 3.4.6.5. On derecognition, cumulative gains or losses previously recognised in OCI are reclassified from OCI to profit or loss.

3.4.3.6. Equity instruments at FVOCI

Upon initial recognition, the Group occasionally elects to classify irrevocably some of its equity investments at FVOCI when they meet the definition of equity under Sri Lanka Accounting Standard – LKAS 32 (Financial Instruments: Presentation) and are not held for trading. Such classification is determined on an instrument-by-instrument basis.

Gains and losses on these equity instruments are never recycled to profit. Dividends are recognised in profit or loss under other operating income when the right of the receive the dividend has been established, except when the Group benefits from such proceeds as a recovery of part of the cost of the instrument, in which case, such gains are recorded in OCI. Equity instruments at FVOCI are not subject to an impairment assessment.

3.4.3.7. Securities sold under repurchase agreements, due to banks, due to depositors, other borrowers and debt securities holders

After initial measurement, securities sold under repurchase agreements, due to banks, due to depositors, due to other borrowers and due to debt securities holders are subsequently measured at amortised cost. Amortised cost is calculated by taking into account any discount or premium on issue of funds and costs that are an integral part of the EIR. The Group does not have compound financial instruments which contains both liability and equity components and require separation as at the date of the issue.

3.4.3.8. Financial guarantees, letters of credit and undrawn loan commitments

The Group issues financial guarantees, letters of credit and loan commitments. Financial guarantees are initially recognised in the financial statements at fair value, being the premium received. Subsequent to initial recognition, the Group's liability under each guarantee is measured at the higher of the amount initially recognised less cumulative amortisation recognised in the income statement and the ECL provision.

The premium received is recognised in the income statement under net fees and commission income on a straight line basis over the life of the guarantee.

Undrawn loan commitments and letters of credit are commitments under which, over the duration of the commitment, the Group is required to provide a loan with pre-specified terms to the customer. Similar to financial guarantee contracts, these contracts are within the scope of the ECL requirements.

The nominal contractual value of financial guarantees, letters of credit and undrawn loan commitments, where the loan agreed to be provided is on market terms, are not recorded in the statement of financial position. The nominal values of these instruments are disclosed in Note 45, while the corresponding ECL is disclosed under Note 40, "Other liabilities".

3.4.4. Reclassification of Financial Assets and Liabilities

The Group does not reclassify its financial assets subsequent to their initial recognition, apart from the exceptional circumstances in which the Group may acquire, dispose of, or terminates a business line (change in business model).

When the Group reclassifies its financial assets it applies the reclassification prospectively from the reclassification date without restating any previously recognised gains, losses or interest. Financial liabilities are never reclassified.

When a financial asset is reclassified out of the amortised cost measurement category and into the fair value through profit or loss measurement category, its fair value is measured at the reclassification date. Any gain or loss arising from the difference between the previous amortised cost of the financial asset and fair value is recognised in profit or loss.

When a financial asset is reclassified out of the fair value through profit or loss measurement category and into the amortised cost measurement category, its fair value at the reclassification date becomes its new gross carrying amount.

When a financial asset is reclassified out of the amortised cost measurement category and into the fair value through other comprehensive income measurement category, its fair value is measured at the reclassification date. Any gain or loss arising from the difference between the previous amortised cost of the financial asset and fair value is recognised in other comprehensive income. The effective interest rate and the measurement of expected credit losses are not adjusted as a result of the reclassification.

When a financial asset is reclassified out of the fair value through other comprehensive income measurement category and into the amortised cost measurement category, the financial asset is reclassified at its fair value at the reclassification date. However, the cumulative gain or loss previously recognised in other comprehensive income is removed from equity and adjusted against the fair value of the financial asset at the reclassification date. As a result, the financial asset is measured at the reclassification date as if it had always been measured at amortised cost. The effective interest rate and the measurement of expected credit losses are not adjusted as a result of the reclassification.

When a financial asset is reclassified out of the fair value through profit or loss measurement category and into the fair value through other comprehensive income measurement category, the financial asset continues to be measured at fair value.

When a financial asset is reclassified out of the fair value through other comprehensive income measurement category and into the

Notes to the Financial Statements

fair value through profit or loss measurement category, the financial asset continues to be measured at fair value. The cumulative gain or loss previously recognised in other comprehensive income is reclassified from equity to profit or loss as a reclassification adjustment at the reclassification date.

The Group did not reclassify any of its financial assets in 2024.

3.4.5. Derecognition of Financial Assets and Liabilities

3.4.5.1. Derecognition due to substantial modification of terms and conditions

The Group derecognises a financial asset, such as a loan to a customer, when the terms and conditions have been renegotiated to the extent that, substantially, it becomes a new loan, with the difference recognised as a derecognition gain or loss. The newly recognised loans are classified as stage 1 for ECL measurement purposes, unless the new loan is deemed to be credit impaired at the date of inception.

When assessing whether or not to derecognise a loan to a customer, amongst others, the Group considers the following factors:

- Change in currency of the loan
- Introduction of an equity feature
- Change in counterparty
- If the modification is such that the instrument would no longer meet the SPPI criterion

If the modification does not result in cash flows that are substantially different, the modification does not result in derecognition. Based on the change in cash flows discounted at the original EIR, the Group records a modification gain or loss, to the extent that an impairment loss has not already been recorded.

In December 2024, the Sri Lankan Government completed the restructuring of Sri Lanka International Sovereign Bonds (SLISBs). The terms and conditions of the newly issued bonds significantly differed from those of the previous bonds. As a result, the Bank de-recognised the existing bonds and recorded the new bonds in December 2024. Further details regarding the SLISBs restructuring are provided in Note 10 to the Financial Statements.

3.4.5.2. Derecognition other than for substantial modification

3.4.5.2(a). Financial assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when the rights to receive cash flows from the financial asset have expired. The Group also derecognises a financial asset if it has both transferred the financial asset and the transfer qualifies for derecognition.

The Group has transferred the financial asset if, and only if, either:

- The Group has transferred its contractual rights to receive cash flows from the financial asset
- Or
- It retains the rights to the cash flows, but has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement

Pass-through arrangements are transactions whereby the Group retains the contractual rights to receive the cash flows of a financial asset (the 'original asset'), but assumes a contractual obligation to pay those cash flows to one or more entities (the 'eventual recipients'), when all of the following three conditions are met:

- The Group has no obligation to pay amounts to the eventual recipients unless it has collected equivalent amounts from the original asset, excluding short term advances with the right to full recovery of the amount lent plus accrued interest at market rates
- The Group cannot sell or pledge the original asset other than as security to the eventual recipients
- The Group has to remit any cash flows it collects on behalf of the eventual recipients without material delay. In addition, the Group is not entitled to reinvest such cash flows, except for investments in cash or cash equivalents including interest earned, during the period between the collection date and the date of required remittance to the eventual recipients

A transfer only qualifies for derecognition if either:

- The Group has transferred substantially all the risks and rewards of the asset
- Or

- The Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

The Group considers control to be transferred if and only if, the transferee has the practical ability to sell the asset in its entirety to an unrelated third party and is able to exercise that ability unilaterally and without imposing additional restrictions on the transfer.

When the Group has neither transferred nor retained substantially all the risks and rewards and has retained control of the asset, the asset continues to be recognised only to the extent of the Group's continuing involvement, in which case, the Group also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration the Group could be required to pay.

3.4.5.2(b). Financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or expired. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in profit or loss.

3.4.6. Impairment Allowance for Financial Assets

3.4.6.1. Overview of the ECL principles

The Group calculates impairment allowances on financial assets in line with Sri Lanka Accounting Standard - SLFRS 9 (Financial Instruments) and as per the CBSL Direction No. 13 of 2021 & No. 14 of 2021 on Classification, Recognition and Measurement of Credit Facilities/ Other Financial Assets in Licensed Banks. Accordingly, the Group recognises impairment (expected credit losses) for all loans, debt & other financial instruments not held at FVPL, together with loan commitments, financial guarantee contracts, letter of credit and acceptances. Equity instruments are not subject to impairment under SLFRS 9.

Impairment is based on the credit losses expected to arise over the life of the asset [the lifetime expected credit loss or (LTECL)], when there is a significant increase in credit risk since origination. In all other instances, the impairment is based on the 12 months' expected credit loss (12mECL). The Group's policies for determining if there has been a significant increase in credit risk are set out in Note 3.4.6.1(b).

The 12mECL is the portion of LTECL that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

Both LTECLs and 12mECLs are calculated on either an individual basis or a collective basis, depending on the nature of the underlying portfolio of financial instruments. The policy for grouping financial assets measured on a collective basis is explained in Note 3.4.6.4. The details of individual assessment of ECLs are given in Note 3.4.6.3.

The Group has established a policy to perform an assessment, at the end of each reporting period, of whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument. This is further explained in Note 3.4.6.1(b). Based on the above process, the Group categorises its loans into 'stage 1', 'stage 2', 'stage 3' and 'originated credit impaired', as described below:

- **Stage 1:** When loans are first recognised, the Group recognises an impairment based on 12mECLs. Stage 1 loans also include facilities where the credit risk has improved and the loan has been reclassified from stage 2 and stage 3.
- **Stage 2:** When a loan has shown a significant increase in credit risk since origination, the Group records an impairment for the LTECLs. Stage 2 loans also include facilities, where the credit risk has improved and the loan has been reclassified from stage 3.
- **Stage 3:** Loans considered credit-impaired [as outlined in Note 3.4.6.1(a)]. The Group records an impairment for the LTECLs.
- **Originated credit impaired:** Originated credit impaired assets are financial assets that are credit impaired on initial recognition. They are recorded

at fair value at initial recognition and interest income is subsequently recognised based on a credit-adjusted EIR. ECLs are only recognised or released to the extent that there is a subsequent change in the expected credit losses. The Group did not have originated credit impaired loans as at 31st December 2024 and 2023.

For financial assets for which the Group has no reasonable expectations of recovering either the entire outstanding amount, or a proportion thereof, the gross carrying amount of the financial asset is reduced. This is considered a (partial) derecognition of the financial asset.

3.4.6.1(a). Definition of default and cure

The Group considers a financial instrument as defaulted and therefore stage 3 (credit-impaired) for ECL calculations in all cases when the borrower becomes 90 days past due on its contractual payments.

As a part of a qualitative assessment of whether an individually significant customer is in default, the Group also considers a variety of instances that may indicate unlikelihood to pay. When such events occur, the Group carefully considers whether the event should result in treating the customer as defaulted and therefore assessed as stage 3 for ECL calculations or whether stage 2 is appropriate.

Such events include:

- Customer's Internal Risk Rating (CIRR) is below C + or any down grading of the CIRR by two notches or more
- Reasonable and supportable forecasts of future economic conditions show a direct negative impact on the performance of a customer/group of customers
- A significant change in the geographical locations or natural catastrophes that directly impact the performance of a customer/group of customers
- The value of collateral is significantly reduced and/or realisability of collateral is doubtful
- The borrower is subject to litigation that significantly affects the performance of the credit facility
- Frequent changes in the Board of Directors and Senior Management of an institutional customer
- Delay in commencement of business operations/projects by more than two years from the originally agreed date

- Modification of terms resulting in concessions, including extensions, deferment of payments, waiver of covenants etc.
- The borrower is deceased/insolvent
- Bank is unable to contact or find the borrower
- A fall of 50% or more in the turnover and/or profit before tax of the borrower when compared to the previous year, for two consecutive years
- Erosion of net-worth of the borrower by more than 25% (other than due to changes in equity structure and dividend policy) when compared to the previous financial year

It is the Group's policy to consider a financial instrument as 'cured' and therefore re-classified out of stage 3 when none of the material default criteria have been presented.

Once cured, the decision whether to classify an asset as stage 2 or stage 1 largely depends on the days past due. The corresponding reduction in ECL is recognised under "Impairment charge/reversal" in Note 12 to the financial statements.

The Group's criterion for 'cure' for rescheduled/restructured loans is more stringent than ordinary loans and is explained in Note 3.4.6.11.

3.4.6.1(b). Significant increase in credit risk

The Group continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12mECL or LTECL, the Group assesses whether there has been a significant increase in credit risk since initial recognition. The Group considers an exposure to have a significantly increased credit risk when it is past due for more than 30 days.

The Group also applies secondary qualitative methods for triggering a significant increase in credit risk, such as restructuring of an asset while the asset is less than 30 days past due. In certain cases, the Group may also consider that events explained in Note 3.4.6.1(a) are significant increase in credit risk as opposed to a default, particularly for customers who are considered as individually significant and investment in other financial assets.

Notes to the Financial Statements

The exposures which are not individually significant have been moved to stage 2 based on the industry risk of the underlying borrowers. The Group has identified industries such as tourism, vehicle imports, construction (including condominiums) and certain segments of traders and manufacturing as industries carrying an increased credit risk. Accordingly, exposures outstanding from the borrowers operating in these industries have been classified as stage 2. An analysis of the loans classified under stage 2 is given in Note 51.2.1.5.

3.4.6.2. The calculation of ECL

The Group calculates ECL based on three probability-weighted scenarios to measure the expected cash shortfall (the base case, best case and the worst case), discounted at an approximation to the EIR. Each of these is associated with different loss rates. The assessment of multiple scenarios incorporates how defaulted loans are expected to be recovered, including the probability that the loans will cure and the value of collateral or the amount that might be received from selling the asset.

Key elements of the ECL calculations are outlined below:

- **PD** - The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognised and is still in the portfolio. The concept of PD is further explained in Note 3.4.6.4(a).
- **EAD** - The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected drawdowns on committed facilities, and accrued interest from missed payments. The EAD is further explained in Note 3.4.6.4(b).
- **LGD** - The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including the realisation of any collateral. It is usually expressed as a percentage of the EAD. The LGD is further explained in Note 3.4.6.4(c).

With the exception of credit cards and other revolving facilities, for which the treatment is separately set out in Note 3.4.6.6, the

maximum period for which the credit losses are determined is the contractual life of a financial instrument unless the Group has the legal right to call it earlier.

3.4.6.3. Calculation of ECLs for individually significant loans

The Group first assesses ECLs individually for financial assets that are individually significant to the Group. In the event the Group determines that such assets are not impaired, moves in to a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. However, assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognised are not included in a collective assessment of impairment. The criteria used to determine whether individually significant customer is in default is discussed in Note 3.4.6.1(a).

If the asset is impaired, the amount of the loss is measured by discounting the expected future cash flows of a financial asset at its original effective interest rate and comparing the resultant present value with the financial asset's current carrying amount. In determining the expected future cash flows, the Group takes in to account the base case, the best case and the worst case scenarios considering various modes of settlement of the impaired credit facilities. Impairment on individually significant accounts are reviewed more regularly when circumstances require. This normally encompasses re-assessment of the enforceability of any collateral held and the timing and amount of actual and anticipated receipts. Individually assessed impairment is only released when there is reasonable and objective evidence of a reduction in the established loss estimate. Interest on impaired assets continues to be recognised through the unwinding of the discount.

When ECLs are determined for individually significant financial assets, following factors are considered:

- Aggregate exposure to the customer including any undrawn exposures;
- The viability of the customer's business model and their capacity to trade successfully out of financial difficulties and generate sufficient cash flows to service debt obligations;
- The amount and timing of expected receipts and recoveries;
- The extent of other creditors' commitments ranking ahead of, or pari-passu with the Bank and the likelihood of other creditors continuing to support the company;

- The complexity of determining the aggregate amount and ranking of all creditor claims and the extent to which legal and insurance uncertainties are evident;
- The realisable value of security (or other credit mitigants) and likelihood of successful repossession;
- The likely deduction of any costs involved in recovery of amounts outstanding;
- The ability of the borrower to obtain and make payments in the currency of the loan if not denominated in local currency; and
- The likely dividend available on liquidation or bankruptcy

3.4.6.4. Grouping financial assets measured on a collective basis

The Group calculates ECLs either on a collective or an individual basis. Asset classes where the Group calculates ECL on an individual basis include:

- All customers whose exposure is more than or equal to the internal threshold for classifying them as individually significant. However, if the customer is determined to be not impaired such customers are moved back to collective ECL calculation.
- The treasury, trading and interbank relationships (such as due from banks, debt and other instruments at amortised cost/FVOCI)

For all other asset classes, the Group calculates ECL on a collective basis. The Group categorises these exposures into smaller homogeneous portfolios, based on a combination of internal and external characteristics of the loans, as described below:

- Product type
- Type of collateral
- Industry of the borrower
- Whether the loan is restructured/rescheduled

3.4.6.4(a). The internal rating and PD estimation process

The Bank and its' subsidiary, Siyapatha Finance PLC have their own internal rating models. These models incorporate both qualitative and quantitative information and, in addition to information specific to the borrower, utilise supplemental external information that could affect the borrower's behaviour. Although these PDs are used for regulatory purposes, the same is not used for PD estimation under SLFRS 9.

PD estimation for loans and advances under SLFRS 9 is largely based on the Days Past Due (DPD) of the customers which is common for most banks in the country.

Accordingly, exposures are categorised among 5 groups based on the DPD as follows.

- Zero days past due
- 1 - 30 days past due
- 31 - 60 days past due
- 61 - 90 days past due
- Above 90 days past due

The movement of the customers into adverse DPD categories are tracked at each account level over the periods and it is used to estimate the amount of loans that will eventually be written off. If a borrower holds multiple loan accounts within a specific product group, the loan with the worst DPD is used to calculate the Probability of Default (PD).

However, for loans granted to banks, debt & other financial instruments classified as amortised cost/FVOCI, the Group relies on external credit ratings in determining their respective PDs.

3.4.6.4(b). Exposure at default

The exposure at default (EAD) represents the gross carrying amount of the financial instruments subject to the impairment calculation, addressing both the client's ability to increase its exposure while approaching default and potential early repayments too.

To calculate the EAD for a stage 1 loan, the Group assesses the possible default events within 12 months. However, if a stage 1 loan that is expected to default within the 12 months from the balance sheet date is also expected to cure and subsequently default again, then all linked default events are considered. For stage 2 and stage 3 financial assets and credit impaired financial assets at origination, events over the lifetime of the instruments are considered. The Group determines EADs by modelling the range of possible exposure outcomes at various points in time, corresponding the multiple scenarios. The SLFRS 9 PDs are then assigned to each economic scenario based on the outcome of Group's models.

3.4.6.4(c). Loss given default

LGD values are assessed at least annually for each material collateral type. The Group segregates its customer loan book based on following major types of collaterals when calculating the LGD.

- Secured against cash/deposits held within the bank
- Secured against immovable property
- Secured against motor vehicles and other movable properties
- Secured against gold
- Secured against listed shares
- Secured against lease receivables

These LGD rates consider the expected EAD in comparison to the amount expected to be recovered or realised from any collateral held. Historically collected loss data is used for LGD calculation and involves a wider set of transaction characteristics (e.g. product type, collateral type) as well as borrower characteristics. Further, recent data and forward-looking economic scenarios are used in order to determine the LGD for each collateral type. The LGD rates, where possible, are calibrated through back testing against recent recoveries.

For financial investments other than loans and advances, the Group uses the LGD rates specified by the regulator in the Basel III guidelines when calculating the ECL as per SLFRS 9.

3.4.6.5. Debt instruments measured at FVOCI

The ECLs for debt instruments measured at FVOCI do not reduce the carrying amount of these financial assets in the statement of financial position, which remains at fair value. Instead, an amount equal to the impairment that would arise if the assets were measured at amortised cost is recognised in OCI as an accumulated impairment amount, with a corresponding charge to profit or loss. The accumulated loss recognised in OCI is recycled to the profit and loss upon derecognition of the assets.

3.4.6.6. Credit cards and other revolving facilities

The Bank's product offering includes credit card facilities and other revolving products, in which the Bank has the right to cancel and/or reduce the facilities with a very short notice. The Bank does not limit its exposure to credit losses to the contractual notice period, but, instead calculates ECL over a period of 12 months to reflect the Bank's expectations of the customer behaviour, its likelihood of default and the Bank's future risk mitigation procedures, which could include reducing or cancelling the facilities.

3.4.6.7. Forward looking information

In its ECL models, the Group relies on a broad range of forward-looking information as economic inputs. The inputs and models

used for calculating ECLs may not always capture all characteristics of the market as at the date of the financial statements. To reflect this, qualitative adjustments or overlays are occasionally made as temporary adjustments when such differences are significantly material.

In 2024, the Group changed the values of the key macro-economic variables in the impairment calculation model including the GDP growth rate, unemployment rate, interest rate, exchange rate etc. These values have been determined based on the most recent forecasts available as at the date of the calculation.

To reflect the current economic conditions in the calculation of expected credit losses, the Group also revisited the weightages assigned for multiple economic scenarios as of 31st December 2024. Weightages assigned for each scenario is given below along with the weightages used in 2023.

	2024	2023
Base Case	45%	20%
Best Case	20%	10%
Worst Case	35%	70%

To ensure completeness and accuracy, the Group obtains the above data primarily from the Central Bank of Sri Lanka (CBSL). Other third party sources such as World Bank and International Monetary Fund etc. is also used when CBSL data is not available.

Although the Group relaxed some of the forward-looking assumptions in response to the positive macro-economic outlook, it continued to maintain adequate impairment buffers to mitigate potential future credit risks.

3.4.6.8. Collateral valuation

To mitigate its credit risks on financial assets, the Group seeks to use collateral, where possible.

The collateral comes in various forms, such as cash, securities, letter of credit/ guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting agreements. The fair value of collateral affects the calculation of ECLs. It is generally assessed, at a minimum, at inception and to fall in line with the CBSL directives.

To the extent possible, the Group uses active market data for valuing financial assets held as collateral. Other financial assets which do not have readily determinable market values are valued using models.

Notes to the Financial Statements

Non-financial collateral, such as real estate, is valued based on data provided by third parties such as independent valuation specialists.

3.4.6.9. Collateral repossessed

The Group's policy is to determine whether a repossessed asset can be best used for its internal operations or should be sold. Assets determined to be useful for the internal operations are transferred to the relevant asset category at the lower of the repossessed value or the carrying value of the original secured asset. The Bank did not transfer any repossessed assets to its property, plant and equipment during the years ended 31st December 2024 and 2023.

3.4.6.10. Write-offs

Financial assets are written off either partially or in their entirety only when the Group has stopped pursuing the recovery. For individual customers, the Group has a policy of writing off the gross carrying amount when the financial asset is past due for 5 years, based on historical experience on recovery of similar assets. For corporate customers, the Group individually makes an assessment with respect to the timing and amount of write-off based on whether there is a reasonable expectation of recovery.

If the amount to be written off is greater than the accumulated impairment, the difference is first treated as an addition to the impairment that is then applied against the gross carrying amount. Any subsequent recoveries are credited to the statement of profit or loss.

Total value of loans written off during the year are given in Note 25.2. Although the Bank has written-down these loans, it retains the enforcement rights on the full capital until the legal proceedings are concluded.

3.4.6.11. Rescheduled and restructured loans

The Group sometimes makes concessions or modifications to the original terms of loans in response to the borrower's financial difficulties, rather than taking possession of the collateral. The Group considers a loan as rescheduled/restructured, when such concessions or modifications are provided as a result of the borrower's present or expected financial difficulties and the Group would not have agreed to them if the borrower had been financially healthy. Indicators of financial difficulties include defaults on covenants, or significant concerns raised by the Credit Risk Management Unit. Rescheduling/restructure

may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been renegotiated, any impairment is measured using the original EIR as calculated before the modification of terms. It is the Group's policy to monitor rescheduled/restructured loans to ensure that future payments are likely to occur. When the Group restructures a loan, it is assigned a minimum classification of stage 2 as of the modification date. The Group also assesses whether the loan should be classified as stage 3, taking into account the number of previous restructurings. Rescheduled loans are classified as stage 3 from the modification date onward. Both restructured and rescheduled loans are upgraded to stage 1 by the Bank's Risk Management Unit, contingent on satisfactory repayment following the restructuring or rescheduling. The Bank has established guidelines specifying the minimum conditions for upgrading a restructured or rescheduled loan to stage 1. The responsibility for upgrading restructured and rescheduled loans lies with the Risk Management Unit.

If the upgraded rescheduled/restructured loans become past due (for more than 30 days) on a later date, loss allowance reverts to being measured at an amount equal to life time expected credit losses. Details of restructured/rescheduled loans are disclosed in Notes 51.2.1.7 and 51.2.1.8. If modifications are substantial, the loan is derecognised, as explained in Note 3.4.5.1.

3.4.7. Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount presented in the Statement of Financial Position only when the Group has a legal right to set-off the recognised amounts and it intends either to settle on a net basis or to realise the asset and settle the liability simultaneously. Income and expenses are presented on a net basis only when permitted under LKASs/SLFRSs or for gains and losses arising from a group of similar transactions such as in the Group's trading activity.

3.4.8 Hedge Accounting

The Group designates certain derivatives as either:

- Hedges of fair value of recognised assets, liabilities or firm commitments (fair value hedge);
- Hedges of highly probable future cash flows attributable to a recognised asset or liability, or a forecast transaction (cash flow hedge); or

- Hedges of net investments in foreign operations (net investment hedges)

Hedge accounting is used for derivatives designated in this way provided certain criteria are met. The Group documents, at the inception of the transaction, the relationship between hedging instruments and hedged items, as well as its risk management objective and strategy for undertaking various hedge transactions. The Group also documents its assessment, both at hedge inception and on an ongoing basis, of whether the derivatives that are used in hedging transactions are highly effective in offsetting changes in fair values or cash flows of hedged items.

The Group did not designate any derivative as a hedging instrument during the years ended 31st December 2024 and 2023.

3.4.9. Amortised Cost Measurement

The amortised cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount recognised and the maturity amount, minus any reduction for impairment.

3.4.10. Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk. When available, the Group measures the fair value of an instrument using the quoted price in an active market for that instrument (Level 01 valuation). A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Group uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price - i.e. the fair value of the consideration given or received. If the Group determines that the

fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability (Level 01 valuation) nor based on a valuation technique that uses only data from observable markets (Level 02 valuation), then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognised in profit or loss on an appropriate basis over the life of the instrument but not later than when the valuation is wholly supported by observable market data or the transaction is closed out.

Fair values reflect the credit risk of the instrument and include adjustments to take account of the credit risk of the Group entity and the counterparty where appropriate. Fair value estimates obtained from models are adjusted for any other factors, such as liquidity risk or model uncertainties; to the extent that the Group believes a third-party market participant would take them into account in pricing a transaction.

The fair value of a demand deposit is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid.

A fair value measurement of a non-financial asset considers a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group recognises transfers between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.

3.5. Leases

At inception of a contract, the Group assesses whether the contract is, or contains a lease. A contract is, or contains a lease, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for a consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group considers whether:

- The contract involves the use of an identified asset. This may be specified explicitly or implicitly and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified;

- The Group has right to obtain substantially all of the economic benefits from the use of the asset throughout the period of use; and
- The Group has right to direct the use of the asset. The Group has this right when it has the decision-making rights that are most relevant to changing how and for what purpose the asset is used. In rare cases where the decision about how and for what purpose the asset is used is predetermined, the Group has the right to direct the use of the asset if either;
 - » The Group has the right to operate the asset; or
 - » The Group designed the asset in a way that predetermines how and for what purpose it will be used.

3.5.1 Group as the Lessee

The Group recognises a right of use asset and a lease liability at the lease commencement date. The right of use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made on or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying assets or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right of use asset is subsequently depreciated using straight line method from the commencement date to the earlier of the end of the useful life of the right of use asset or the end of the lease term. The estimated useful lives of right of use assets are determined on the same basis as those of property plant and equipment and are in the range of 1 to 20 years.

In addition, the right of use asset is periodically reduced by impairment losses, if any, and adjusted for certain re-measurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Groups' incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

The lease liability is subsequently measured at amortised cost using the effective interest method. It is re-measured when there is a change in future lease payments such as Group changes its assessment

of whether it will exercise a purchase, extension or termination option. When the lease liability is re-measured in this way, a corresponding adjustment is made to the carrying amount of the right of use asset, or is recorded in profit or loss if the carrying amount of the right of use asset has been reduced to zero.

The Group presents right of use assets under Note 31 to the financial statements while the corresponding lease liability is presented in Note 40, 'Other Liabilities'.

3.5.1.1. Short term leases and leases of low value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for short term leases (that have a lease term of 12 months or less) and leases of low value assets. The Group recognises lease payments associated with these leases as an expense on a straight line basis over the lease term.

3.5.2. Group as the Lessor

When the Group acts as a lessor, it determines at least inception whether each lease is a finance lease or an operating lease. To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease. If not it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic life of the assets.

When the Group is the lessor under a finance lease contract, the amounts due under the leases, after deduction of unearned interest income, are included in Note 25, 'Loans and advances'. Interest income receivable is recognised in 'Net interest income' over the periods of the leases so as to give a constant rate of return on the net investment in the leases.

The Group recognises lease payments received under operating leases as income on a straight line basis over the lease term as part of other income.

3.6. Fiduciary Assets

The Group provides fiduciary services that result in the holding of assets on behalf of its customers. Assets held in fiduciary capacity are not reported in the Financial Statements, as they are not assets of the Group.

Notes to the Financial Statements

3.7. Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation.

The amount recognised is the best estimate of the consideration required to settle the present obligation at the reporting date, taking in to account the risks and uncertainties surrounding the obligation at that date. Where a provision is measured using cash flows estimated to settle the present obligation, its carrying amount is determined based on the present value of those cash flows.

A provision for onerous contracts is recognised when the expected benefits to be derived by the Group from a contract are lower than the unavoidable cost of meeting its obligations under the contract. The provision is measured as the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract.

Before a provision is established, the Group recognises any impairment loss on the assets used in fulfilling the contract. The expense relating to any provision is presented in the Statement of Profit or Loss net of any reimbursement.

3.8. Operational Risk Events

Provisions for operational risk events are recognised for losses incurred by the Group which do not relate directly to the amounts of principal outstanding for loans and advances. The amount recognised as a provision is the best estimate of the expenditure required to settle the present obligation as at the reporting date, taking into account the risks and uncertainties that surround the events and circumstances that affect the provision.

3.9. Impairment of Non-Financial Assets

The carrying amounts of the Group's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount. The recoverable amount of an asset is the greater of its value in use and its fair value less cost of disposal. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

3.10. Taxes on Financial Services

3.10.1. Value Added Tax (VAT)

VAT on financial services is calculated in accordance with Value Added Tax (VAT) Act No. 14 of 2002 and subsequent amendments thereto. The base for the computation of value added tax on financial services is the accounting profit before VAT and income tax adjusted for the economic depreciation and emoluments payable to employees including cash benefits, non-cash benefits & provisions relating to terminal benefits.

3.10.2. Social Security Contribution Levy

Social Security Contribution Levy shall be paid by any person carrying on the business of supplying financial services, on the liable turnover specified in the Second Schedule of the Social Security Contribution Levy Act No. 25 of 2022 any amendments thereto, at the rate of 2.5%, with effect from 1st October 2022. SSCL is payable on 100% of the value addition attributable to financial services.

The value addition attributable to financial services shall be computed for the payment of SSCL by applying the attributable method referred to in Chapter IIIA of the Value Added Tax Act No. 14 of 2002.

3.11. Regulatory Provisions

3.11.1. Deposit Insurance Premium

All Licensed Commercial Banks are required to insure their deposit liabilities in the "Sri Lanka Deposit Insurance Scheme" in terms of the Banking (Special Provisions) Act Direction No. 1 of 2023, issued on 15th November 2023. The Bank's total capital ratio as at 31st December 2023 exceeded 14% and accordingly the Bank paid a premium of 0.10% of the eligible deposits as deposit insurance premium, during the year ended 31st December 2024. Deposit insurance premium expense of the Bank/ Group is given in Note 15 to the Financial Statements.

3.11.2. Crop Insurance Levy

In terms of the Finance Act No. 12 of 2013, all institutions under the purview of Banking Act No. 30 of 1988, Finance Business Act No. 42 of 2011 and Regulation of Insurance Industry Act No. 43 of 2000 are required to pay 1% of the profit after tax as Crop Insurance Levy to the National Insurance Trust Fund effective from 1st April 2013.

4. NEW ACCOUNTING STANDARDS/AMENDMENTS TO EXISTING ACCOUNTING STANDARDS THAT BECAME EFFECTIVE DURING THE YEAR

Accounting Standard	Description	Effective Date	Assessment of the Impact on the Group/Bank
Amendments to LKAS 1- Presentation of Financial Statements	Classification of Liabilities with Covenants as Current or Non-current The amendments clarify that if an entity's right to defer settlement of a liability is subject to the entity complying with the required covenants only at a date subsequent to the reporting period (future covenants), the entity has a right to defer settlement of the liability even if it does not comply with those covenants at the end of the reporting period.	1st January 2024	No impact on the Financial Statements of the Bank/ Group
Amendments to LKAS 7 - Statement of Cash Flows and SLFRS 7 - Financial Instruments Disclosures	Disclosures on Supplier Finance Arrangements The amendments specify disclosure requirements which are intended to assist users of financial statements, in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.	1st January 2024	No impact on the Financial Statements of the Bank/ Group
Amendments to LKAS 12 - Income Taxes	International Tax Reform – Pillar Two Model Rules The amendments introduce a mandatory temporary exception to the accounting for deferred taxes arising from the Pillar Two model rules and requires new disclosures about an entity's exposure to income taxes arising from the Pillar Two model rules.	1st January 2024	No impact on the Financial Statements of the Bank/ Group
Amendments to SLFRS 16 - Leases	Sale and Lease Back Transactions The amendments specify the requirements for a seller-lessee in measuring the lease liability arising in a sale and leaseback transaction, to ensure the seller-lessee does not recognise any amount of the gain or loss that relates to the right of use it retains.	1st January 2024	No impact on the Financial Statements of the Bank/ Group

Apart from the above, there were no new accounting standards/amendments to existing accounting standards that became effective during the year.

5. ACCOUNTING STANDARDS ISSUED BUT NOT YET EFFECTIVE AS AT 31ST DECEMBER 2024

SLFRS 17 - Insurance Contracts: SLFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, SLFRS 17 will replace SLFRS 04 - Insurance Contracts that was issued in 2005. SLFRS 17 is effective for annual reporting periods beginning on or after 1st January 2026. The Group does not expect that the new standard will have a material impact on its Financial Statements.

Apart from the above, there were no new accounting standards issued by the Institute of Chartered Accountants of Sri Lanka but not yet effective as at 31st December 2024, having a material impact on the Group's Financial Statements. The Group has applied all relevant accounting standards which have been issued up to 31st December 2024 in the preparation of the Financial Statements for the year ended 31st December 2024.

Notes to the Financial Statements

6. GROSS INCOME

ACCOUNTING POLICY

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured. Specific recognition criteria that must be met before recognising revenue is discussed under Note 7 - Net Interest Income, Note 8 - Net Fee and Commission Income, Note 9 - Net (Loss)/Gain from Trading, Note 10 - Net (Loss)/Gain on Derecognition of Financial Assets and Note 11 - Net Other Operating Income.

For the year ended 31st December	Note	BANK		GROUP	
		2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Interest income	7.1	183,054,746	203,447,113	192,358,624	212,458,617
Fee & commission income	8	22,289,477	22,909,822	22,981,135	23,544,833
Net (loss)/gain from trading	9	(1,777,456)	761,786	(1,704,262)	708,976
Net (loss)/gain on derecognition of financial assets	10	(7,230,523)	591,711	(7,275,311)	599,423
Net other operating income	11	(1,015,228)	(1,556,336)	209,008	(807,379)
		195,321,016	226,154,096	206,569,194	236,504,470

7. NET INTEREST INCOME

ACCOUNTING POLICY

Recognition of Interest Income

The Group recognises interest income for all financial instruments measured at amortised cost, interest-bearing financial assets measured at FVOCI and FVPL using the effective interest rate (EIR) method. The EIR is the rate that exactly discounts the estimated future cash receipts through the expected life of the financial instrument or, when appropriate, a shorter period, to the net carrying amount of the financial asset.

The EIR (and therefore, the amortised cost of the asset) is calculated by taking into account any discount or premium on acquisition, fees and costs that are an integral part of the EIR. The Group recognises interest income using a rate of return that represents the best estimate of a constant rate of return over the expected life of the loan. Hence, it recognises the effect of potentially different interest rates charged at various stages, and other characteristics of the product life cycle (including prepayments, penalty interest and charges).

If expectations regarding the cash flows on the financial asset are revised for reasons other than credit risk, the adjustment is booked as a positive or negative adjustment to the carrying amount of the asset in the Statement of Financial Position with an increase or reduction in interest income. The adjustment is subsequently amortised through interest and similar income in the Income Statement.

When a financial asset becomes credit-impaired [as set out in Note 3.4.6.1(a)] and is, therefore, regarded as 'Stage 3', the Group calculates interest income by applying the effective interest rate to the net amortised cost of the financial asset. If the financial asset cures and is no longer credit-impaired, the Group reverts to calculating interest income on a gross basis.

For the year ended 31st December	Note	BANK		GROUP	
		2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Interest income	7.1	183,054,746	203,447,113	192,358,624	212,458,617
Interest expense	7.2	103,046,806	131,157,456	107,696,550	137,015,683
Net interest income		80,007,940	72,289,657	84,662,074	75,442,934

7.1 Interest Income

For the year ended 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Placements with banks	2,116,153	3,629,443	2,116,153	3,629,443
Financial assets recognised through profit or loss - measured at fair value	595,697	965,881	595,697	965,881
Reverse repurchase agreements	212,738	678,035	279,163	728,444
Financial assets at amortised cost				
- loans & advances	89,996,635	130,907,033	98,443,597	138,559,282
- debt & other instruments	43,895,066	39,620,638	44,685,016	40,927,923
Interest income accrued on impaired loans & advances (Note 25.2)	5,198,011	5,333,637	5,198,552	5,335,198
Financial assets - fair value through other comprehensive income	41,040,446	22,312,446	41,040,446	22,312,446
	183,054,746	203,447,113	192,358,624	212,458,617

7.2 Interest Expense

For the year ended 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Due to banks	250,972	403,142	959,333	1,246,347
Securities sold under repurchase agreements	2,563,271	2,808,304	2,540,837	2,791,550
Financial liabilities at amortised cost				
- due to depositors	95,754,451	122,416,657	99,216,440	126,775,973
- due to other borrowers	446,338	447,313	446,338	447,313
- due to debt securities holders	3,494,729	4,422,886	4,127,238	5,247,775
Interest rate SWAP	-	13,191	-	13,191
Finance leases (Notes 31.1)	537,045	645,963	406,364	493,534
	103,046,806	131,157,456	107,696,550	137,015,683

7.3 Net Interest Income from Sri Lanka Government Securities

For the year ended 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Interest income				
Financial assets recognised through profit or loss - measured at fair value	595,697	965,881	595,697	965,881
Financial assets at amortised cost - debt & other instruments	41,770,501	38,004,417	42,560,451	39,311,702
Financial assets - fair value through other comprehensive income	39,768,217	22,300,712	39,768,217	22,300,712
Reverse repurchase agreements	212,738	678,035	279,163	728,444
Interest expense				
Securities sold under repurchase agreements	(2,563,271)	(2,808,304)	(2,540,837)	(2,791,550)
Net interest income from Sri Lanka Government Securities	79,783,882	59,140,741	80,662,691	60,515,189

Notes to the Financial Statements

8. NET FEE AND COMMISSION INCOME

ACCOUNTING POLICY

Fee Income Earned from Services that are Provided over a Certain Period of Time

Fees earned for the provision of services over a period of time are accrued over that period. These fees include professional fees, trade service fees, commission income and asset management fees etc. Loan commitment fees for loans that are likely to be drawn down and other credit related fees are deferred (together with any incremental costs) and recognised as an adjustment to the effective interest rate of the loan. When it is unlikely that a loan will be drawn down, the loan commitment fees are recognised over the commitment period on a straight-line basis.

Fee Income from Providing Transaction Services

Fees arising from negotiating or participating in the negotiation of a transaction for a third party, such as the arrangement of an acquisition of shares or other securities or the purchase or sale of businesses, are recognised on completion of the underlying transaction. Fees or components of fees that are linked to a certain performance are recognised as the related services are performed.

Expenses on Account of Customer Loyalty Program

Award credits under customer loyalty program are accounted for as a separately identifiable component of the transaction in which they are granted. The fair value of the consideration received in respect of the initial sale is allocated between the award credits and the other components of the sale. Expense incurred for customer loyalty program is accounted under fee and commission expense.

Other Fee and Commission Expense

Other fee and commission expense relate mainly to transactions and services fees which are expensed as the services are received. Fee and commission expenses are recognised on an accrual basis.

For the year ended 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Fee & commission income	22,289,477	22,909,822	22,981,135	23,544,833
Fee & commission expense	(4,780,225)	(4,023,353)	(4,783,742)	(4,025,896)
Net fee & commission income	17,509,252	18,886,469	18,197,393	19,518,937
Comprising:				
Loans & advances	1,836,106	1,375,269	2,182,125	1,702,880
Credit & debit cards	6,848,808	6,352,180	6,848,808	6,352,180
Trade & remittances	4,768,957	7,410,709	4,768,957	7,410,709
Deposits	886,370	898,416	886,371	898,476
Guarantees	536,179	546,306	536,207	546,382
Other banking & financial services	2,632,832	2,303,589	2,974,925	2,608,310
Net fee & commission income	17,509,252	18,886,469	18,197,393	19,518,937

9. NET (LOSS)/GAIN FROM TRADING

ACCOUNTING POLICY

Net (loss)/gain from trading includes all the gains and losses from changes in fair value and dividend from financial assets measured at fair value through profit or loss. Dividend income is recognised when the Group's right to receive the payment is established. This category also includes foreign exchange differences arising from derivative contracts which are not designated as hedging instruments.

For the year ended 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Derivative financial instruments				
Forward exchange contract revaluation (loss)/gain				
-Inter bank	(1,821,705)	493,902	(1,821,705)	493,902
-Others	39,369	(308)	39,369	(308)
Financial assets recognised through profit or loss measured at fair value				
Government Securities				
Net mark to market gain	4,880	268,192	4,880	268,192
Equity Securities				
Net mark to market gain/(loss)	-	-	72,245	(54,294)
Dividend income	-	-	949	1,484
	(1,777,456)	761,786	(1,704,262)	708,976

10. NET (LOSS)/GAIN ON DERECOGNITION OF FINANCIAL ASSETS

ACCOUNTING POLICY

Net (loss)/gain on derecognition of financial assets include realised (loss)/gain related to financial assets measured at fair value through profit or loss, debt instruments measured at FVOCI and financial instruments measured at amortised cost.

For the year ended 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Capital gain on sale of financial assets (Note 10.1)	1,134,815	591,711	1,090,027	599,423
Impact on restructuring of Sri Lanka International Sovereign Bonds (Note 10.2)	(8,365,338)	-	(8,365,338)	-
	(7,230,523)	591,711	(7,275,311)	599,423

10.1 Capital Gain on Sale of Financial Assets

For the year ended 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Recognised at:				
- fair value through profit or loss	160,807	309,604	116,019	317,316
- fair value through other comprehensive income	974,008	282,107	974,008	282,107
	1,134,815	591,711	1,090,027	599,423

10.2 Impact on restructuring of Sri Lanka International Sovereign Bonds (SLISBs)

In December 2024, the Government of Sri Lanka successfully completed the restructuring of its Sri Lanka International Sovereign Bonds (SLISBs). Consequently, the Bank recognised the newly issued bonds and derecognised the SLISBs held as at the date of restructuring.

The Bank elected to participate in the Local Option of the SLISB restructuring proposal, which was specifically offered to local bondholders by the Government. As part of this option, 30% of the face value of the SLISBs originally held by the Bank was converted into rupee denominated Treasury Bonds. The remaining 70% of the face value was settled through a USD-denominated Step-Up Bond, with a capital haircut of 10%. Additionally, the accrued coupon (Past Due Interest) on the original SLISBs up to 31st March 2024 was settled through a USD-denominated bond (PDI Bond) at a haircut of 11%.

The derecognition resulted in a loss of Rs 8,365 Mn, which is disclosed in Note 10 to the Financial Statements. The reversal of the brought forward impairment provision amounting to Rs 15,787 Mn is included in Note 12.2 to the financial statements.

Notes to the Financial Statements

10. NET (LOSS)/GAIN ON DERECOGNITION OF FINANCIAL ASSETS CONTD.

The breakdown of the new instruments received in settlement of SLISBs held as at the date of restructuring is as follows.

Type of Bond	Face Value Rs 000	Coupon Rate	Maturity/ Amortisation	Fair Value as at the date of Restructuring Rs 000	Amortised Cost as at 31st December 2024 Rs 000
Rupee denominated Treasury Bonds	8,792,026	SLFR + 0.5%	2036 to 2043	8,792,026	9,028,099
USD denominated Step-Up Bond	18,650,260	1% to 3.5%	2029 to 2038 Non-linear amortisation	11,173,397	11,069,794
USD denominated PDI Bond	3,854,074	4.0%	2024 to 2028 Non-linear amortisation	3,558,835	3,320,331

Additionally, a consent fee bond of Rs 563.7 Mn (USD 1.92 Mn) was received by the Bank which matured on 27th December 2024. This has been considered in determining the derecognition loss reported in Note 10.

10.2.1 Discount rate used in the determination of fair value

A discount rate of 10.25% was applied in determining the fair value of the PDI Bond, which was calculated by adding a risk premium to the US Treasury Rate prevailing as at the date of restructuring. For the Step-Up Bond, a discount rate of 8.5% was used. The Government of Sri Lanka has reserved the right to settle the Step-Up Bond in Sri Lankan Rupees if it is unable to settle in US Dollars. As a result, a lower discount rate was applied to the Step-Up Bond, reflecting the rupee settlement option and the corresponding reduction in credit risk. Rupee-denominated Treasury Bonds are issued at the Standard Lending Facility Rate (SLFR) + 0.5%, with interest to be reset every six months. As these are market-linked instruments, the Bank concluded that there is no material difference between the face value and the fair value of the bonds at the date of initial recognition.

10.2.2 Sensitivity of the fair value of the bonds to discount rate

A 1% increase/decrease in the discount rate of both the Step-Up Bond and the PDI Bond would decrease/increase the fair value by approximately Rs 1 Bn. Consequently, the loss reported in Note 10 to the Financial Statements would have increased/decreased by Rs 1 Bn.

10.2.3 Classification of the new bonds

The new bonds have been classified under amortised cost. As of 31st December 2024, the Bank has continued to recognise the new USD denominated bonds under Stage 2. Although the Bank recognised an impairment provision of Rs 271 Mn on the PDI Bond, no impairment provision has been recognised on the Step-Up Bond since the government has the option of settling the Step-Up Bond in LKR, if it is unable to settle the bonds in USD. The LKR Treasury Bonds received in settlement of restructured SLISBs have been considered under Stage 1 similar to other government securities denominated in LKR with no impairment provisions recognised on such bonds. Both USD and LKR Bonds have been classified under Level 2 of the fair value hierarchy in Note 50.7 to the Financial Statements.

11. NET OTHER OPERATING INCOME

ACCOUNTING POLICY

Net other operating income includes foreign exchange gains and losses, dividend income from equity securities designated through other comprehensive income, dividend income from subsidiary companies, gains/(losses) from disposal of property, plant and equipment and rental income.

For the year ended 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Exchange income				
- Inter bank	(11,195,845)	(971,060)	(11,195,845)	(971,060)
- Others	8,757,682	(1,409,116)	8,757,682	(1,409,116)
Dividend income from financial assets at FVOCI	135,712	138,679	136,120	138,679
Dividend income from subsidiaries	80,080	212,130	-	-
Profit/(loss) on disposal of property, plant & equipment	6,851	(865)	7,112	830
Rental & other income	1,200,292	473,896	2,503,939	1,433,288
	(1,015,228)	(1,556,336)	209,008	(807,379)

- 11.1.** Exchange income represents both revaluation gain/(loss) on the Bank's net open position and realised exchange gain/(loss) on foreign exchange contracts including the Bank's currency notes operation. Loss on forward exchange contracts amounting to Rs 1,782 Mn (2023: gain of Rs 494 Mn) is reported under Note 9, 'Net (loss)/gain from trading' as required by the Sri Lanka Accounting Standard SLFRS 9 (Financial Instruments). Accordingly total exchange loss of the Bank & the Group for the year ended 31st December 2024 amounted to Rs 4,220 Mn (2023: loss of Rs 1,887 Mn). The exchange loss for the financial year 2024 was incurred primarily on the Bank's FCBU exposure, due to appreciation of LKR during the year.

12. IMPAIRMENT (REVERSAL)/CHARGE

ACCOUNTING POLICY

The accounting policies adopted in determining the impairment allowance for financial assets including loans and advances are given in Note 3.4.6 to the Financial Statements.

For the year ended 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Financial assets at amortised cost - loans & advances (Note 12.1)	2,771,348	18,066,669	2,659,031	18,123,668
Sri Lanka International Sovereign Bonds (Note 12.2)	(15,787,060)	5,540,457	(15,787,060)	5,540,457
Other financial assets and credit related commitments (Note 12.3)	1,287,669	(3,458,584)	1,256,554	(3,454,523)
	(11,728,043)	20,148,542	(11,871,475)	20,209,602

12.1 Financial Assets at Amortised Cost - Loans & Advances

For the year ended 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Stage 1	(2,855,375)	3,130,378	(2,786,774)	3,120,425
Stage 2	(9,099,027)	(18,677,580)	(9,104,302)	(18,792,525)
Stage 3	14,725,750	33,613,871	14,550,107	33,795,768
	2,771,348	18,066,669	2,659,031	18,123,668

12.1.1 Loans and advances - Impact on impairment charge due to changes in accounting estimates, judgements and assumptions

Key accounting estimates, judgements and assumptions	Impact on impairment charge for the period
Amount and timing of the recovery cash flows of individually significant impaired loans	Due to the restrictions imposed on parate execution, the Group extended the recovery cash flows for selected borrowers subject to such restrictions. Consequently, the impairment charge for individually significant customers increased during the year. Additionally, the Group discounted the security values of certain customers, considering the specific conditions of the properties involved. This also contributed to the recognition of a higher impairment charge for individually significant customers.
Calculation of Probability of Default (PD) and Loss Given Default (LGD)	The Group updated its PD and LGD calculations using the most recent recovery data to determine the impairment provisions as of 31st December 2024.
Forward looking information	The Group updated the values assigned to various macro-economic variables using the most recent data published by the Central Bank of Sri Lanka, the International Monetary Fund, and other relevant sources. Additionally, the weightings assigned to the best, base and worst-case scenarios were adjusted, reflecting the positive macro-economic outlook of the country since the end of 2023. The weightings applied in 2024 are disclosed in Note 3.4.6.7, alongside those applied in the corresponding period. As a result of the reduced weighting applied to the worst-case scenario and improvements in macro-economic variables, a decrease in the collective impairment charge was reported for the year ended 31st December 2024 in comparison to the corresponding period.
Allowances for overlays	The Group discontinued most of the management overlays during the year ended 31st December 2024, as the economy returned to normalcy. The provisions recognised as allowances for overlay were utilised during the year with the deterioration in the credit quality of a few customers, while the remaining balance being reversed to profit.

Notes to the Financial Statements

12. IMPAIRMENT (REVERSAL)/CHARGE CONTD.

12.2 Sri Lanka International Sovereign Bonds

For the year ended 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Stage 1	-	-	-	-
Stage 2	(15,787,060)	5,540,457	(15,787,060)	5,540,457
Stage 3	-	-	-	-
	(15,787,060)	5,540,457	(15,787,060)	5,540,457

12.2.1 Net impact on restructuring of Sri Lanka International Sovereign Bonds

In December 2024, the Government of Sri Lanka successfully completed the restructuring of its SLISBs. Consequently, the Bank recognised a Day 1 loss of Rs 8,365 Mn under Note 10, Net (loss)/gain on derecognition of financial assets, reversing the brought forward impairment provisions of Rs 15,787 Mn.

12.3 Other Financial Assets and Credit Related Commitments

For the year ended 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Cash & cash equivalents (Note 20.2)				
Stage 1	(18,449)	(46,495)	(18,449)	(46,433)
Stage 2	-	-	-	-
Stage 3	-	-	-	-
	(18,449)	(46,495)	(18,449)	(46,433)
Placements with banks (Note 22.2)				
Stage 1	11,793	13,375	11,793	13,375
Stage 2	-	-	-	-
Stage 3	-	-	-	-
	11,793	13,375	11,793	13,375
Financial assets at amortised cost - debt & other instruments (Note 26.4)				
Stage 1	627	(49,873)	627	(49,873)
Stage 2	1,164	(3,588,728)	1,164	(3,588,728)
Stage 3	-	(21,197)	-	(21,197)
	1,791	(3,659,798)	1,791	(3,659,798)
Financial assets at fair value through other comprehensive income				
Stage 1	65	-	65	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
	65	-	65	-
Credit related commitments & contingencies (Note 45.2)				
Stage 1	(438,217)	430,818	(443,746)	420,597
Stage 2	337,064	(207,123)	337,064	(207,123)
Stage 3	565,622	10,639	565,622	10,639
	464,469	234,334	458,940	224,113
Other financial assets	828,000	-	802,414	14,220
	1,287,669	(3,458,584)	1,256,554	(3,454,523)

13. PERSONNEL EXPENSES

ACCOUNTING POLICY

Short Term Employee Benefits

Short term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short term cash bonus or profit-sharing plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Defined Contribution Plans

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity (a fund) and will have no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits relating to employee services in the current and prior periods, as defined in the Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits).

The contribution payable by the employer to a defined contribution plan is in proportion to the services rendered to the Group by the employees and is recorded as an expense under 'Personnel expenses' as and when they become due. Unpaid contributions are recorded as a liability under 'Other liabilities' in Note 40.

The Group contributes 3% of the salary of each employee to the Employees' Trust Fund. Further, the subsidiary companies contribute 12% on the salary of each employee to the Employees' Provident Fund. The above expenses are identified as contributions to "Defined Contribution Plans" as defined in the Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits).

Defined Benefit Plans

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. Accordingly, the pension fund, staff gratuity and the Employees' Provident Fund of the Bank are considered as defined benefit plans as per Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits).

Pension Fund

The Bank has a pension fund for all members who joined the Bank for permanent employment before 1st June 2003. A member is eligible for a monthly pension after attainment of the retirement age and completion of 10 years uninterrupted service. The Bank measures the present value of the pension obligation, which is a defined benefit plan with the advice of an independent professional actuary using the Projected Unit Credit (PUC) method as required by Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits). An actuarial valuation is carried out at every year end to ascertain the full liability under the Fund.

The Bank's obligation in respect of defined benefit pension plan is calculated by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods and discounting that benefit to determine its present value, then deducting the fair value of any plan assets to determine the net amount to be shown in the Statement of Financial Position. The value of any defined benefit asset is restricted to the present value of any economic benefits available in the form of refunds from the plan or reductions in the future contributions to the plan. In order to calculate the present value of economic benefits, consideration is given to any minimum funding requirements that apply to any plan in the Bank. An economic benefit is available to the Bank if it is realisable during the life of the plan, or on settlement of the plan liabilities.

The Bank determines the net interest expense/(income) on the net defined benefit liability/(asset) by applying the discount rate used to measure the defined benefit obligation at the beginning of the annual period to the net defined benefit liability/(asset) at the beginning of the annual period. The discount rate is the yield at the reporting date on government bonds that have maturity dates approximating to the terms of the Bank's obligations.

The increase in the pension fund liabilities attributable to the services provided by employees, who are members of the Fund, during the year ended 31st December 2024 (current service cost) has been recognised in the Statement of Profit or Loss under 'Personnel expenses' together with the net interest income/expense. The Bank recognises the total actuarial gain/loss that arise in calculating the Bank's obligation in respect of a plan in other comprehensive income during the period in which it occurs.

The demographic assumptions underlying the valuation are early withdrawals from service and retirement on medical grounds, death before and after retirement etc.

The assets of the fund are held separately from those of the Bank's assets and are administered independently. The subsidiaries do not operate pension funds.

Notes to the Financial Statements

13. PERSONNEL EXPENSES CONTD.

Gratuity

In compliance with the Gratuity Act No. 12 of 1983, provision is made in the accounts from the first year of service, for gratuity payable to employees who joined the Bank on or after 1st June 2003, as they are not in pensionable service of the Bank. Provision is not made in the accounts for gratuity payable to employees who joined prior to 1st June 2003 and completed five or more years of continuous service, as the Bank has its own non-contributory pension scheme in force. However, if employees who are eligible for pension resign before retirement age, the Bank is liable to pay gratuity to such employees.

An actuarial valuation is carried out at every year end to ascertain the full liability under gratuity.

The gratuity liability is not externally funded. All subsidiary companies too carry out actuarial valuations to ascertain their respective gratuity liabilities.

The Group determines the interest expense on this defined benefit liability by applying the discount rate used to measure the defined benefit liability at the beginning of the annual period to the defined benefit liability at the beginning of the annual period. The discount rate is the yield at the reporting date on government bonds that have maturity dates approximating to the terms of the Group's obligations.

The increase in gratuity liabilities attributable to the services provided by employees during the year ended 31st December 2024 (current service cost) has been recognised in the Statement of Profit or Loss under 'Personnel expenses' together with the net interest expense. The Group recognises the total actuarial gain/loss that arise in calculating the Group's obligation in respect of gratuity, in other comprehensive income during the period in which it occurs.

The demographic assumptions underlying the valuation are retirement age (60 years), early withdrawals from service and retirement on medical grounds etc.

Employees' Provident Fund - Bank

Employees' Provident Fund is an approved private provident fund which has been set up to meet the provident fund liabilities of the Bank to which the Bank and employees contribute 12% and 8% respectively on the salary of each employee. Employees who are members of the fund, entitle to receive interest at a guaranteed rate of National Savings Bank one-year fixed deposit rate (net of income tax) on their balance even if the fund earns a lower return from its investment in a given financial year. Accordingly, this obligation was treated as a defined benefit liability and an actuarial valuation was conducted to value the Bank's obligation on the same.

Unutilised Accumulated Leave

The Bank's liability towards the accumulated leave which is expected to be utilised beyond one year from the end of the reporting period is treated as other long-term employee benefits. The Bank's net obligation towards unutilised accumulated leave is calculated by discounting the amount of future benefit that employees have earned in return for their service in the current and prior periods to determine the present value of such benefits. The discount rate is the yield at the reporting date on government bonds that have maturity dates approximating to the terms of the Bank's obligation. The calculation is performed using the Projected Unit Credit method. Net change in liability for unutilised accumulated leave including any actuarial gain/(loss) is recognised in the Statement of Profit or Loss under 'Personnel expenses' in the period in which they arise.

The Group's net obligation to pension fund, gratuity, EPF interest guarantee and unutilised accumulated annual leave is disclosed under Note 38 to the Financial Statements.

Share Based Payment Transactions

The Group does not have any share-based payment transactions in force as at 31st December 2024.

For the year ended 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Salaries & bonus	14,726,185	11,553,214	16,555,765	12,825,765
Contributions to EPF & ETF	1,175,149	976,596	1,303,469	1,082,067
Amortisation of pre-paid staff cost (Note 33.2)	385,001	282,014	393,450	290,850
Provision on gratuity (Note 38.1.2)	473,501	492,418	534,808	548,563
Provision on pension fund (Note 38.4.2)	385,437	199,148	385,437	199,148
Others	911,649	746,453	1,260,781	879,721
	18,056,922	14,249,843	20,433,710	15,826,114

Non-statutory special payments made to the former Managing Director is given in Note 47.3.1.

14. DEPRECIATION AND AMORTISATION EXPENSES

ACCOUNTING POLICY

Depreciation of Property, Plant and Equipment

The Group provides depreciation from the date the assets are available for use up to the date of disposal, at the following rates, on a straight-line basis, over the periods appropriate to the estimated useful lives, based on the pattern in which the asset's future economic benefits are expected to be consumed by the Group.

Improvements to leasehold properties are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Group will obtain ownership by the end of the lease term. Freehold lands are not depreciated.

Depreciation of an asset ceases at the earlier of the date that the asset is classified as held for sale or the date that the asset is derecognised. Depreciation does not cease when the asset becomes idle or is retired from active use unless the asset is fully depreciated.

Asset Category	Depreciation Rate per Annum (%)	
	2024	2023
Freehold buildings	2.50	2.50
Improvements to leasehold properties	10.00 - 20.00	10.00 - 20.00
Computer equipment - Freehold	15.00 - 25.00	15.00 - 25.00
Motor vehicles	12.50 - 20.00	12.50 - 20.00
Office equipment	5.00 - 20.00	5.00 - 20.00
Fixtures & fittings	4.00 - 20.00	4.00 - 20.00

Amortisation of Intangible Assets

Intangible assets, except for goodwill, are amortised on a straight-line basis in the Statement of Profit or Loss from the date when the asset is available for use, over the best estimate of its useful economic life, based on a pattern in which the asset's economic benefits are consumed by the Group. The Group assumes that there is no residual value for its intangible assets.

Asset Category	Amortisation Rate per Annum (%)	
	2024	2023
Computer software	25.00	25.00
Licenses	5.00 - 33.33	5.00 - 33.33

Amortisation of Right-of-Use Assets

The right of use assets are depreciated using a straight-line method from the commencement date to the earlier of the end of the useful life of the right of use assets or the end of the lease term. The estimated useful lives of right of use assets are determined on the same basis as those of property plant and equipment and are in the range of 1 to 20 years.

Changes in Estimates

Depreciation/amortisation methods, useful lives and residual values are reassessed at each reporting date and adjusted if appropriate. During the year ended 31st December 2024, the Group conducted an operational efficiency review and estimates were revised accordingly.

Notes to the Financial Statements

14. DEPRECIATION AND AMORTISATION EXPENSES CONTD.

For the year ended 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Depreciation of property, plant & equipment (Note 29)	1,001,993	873,135	1,486,413	1,313,641
Amortisation of intangible assets (Note 30)	379,972	261,984	386,180	271,791
Amortisation of right-of-use assets (Note 31)	1,706,083	1,509,380	1,137,243	968,941
	3,088,048	2,644,499	3,009,836	2,554,373

15. OTHER OPERATING EXPENSES

For the year ended 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Directors' fees & expenses	120,435	98,268	201,743	169,335
Auditors' remuneration (Note 15.1)	51,388	42,561	62,603	48,802
Professional & legal expenses	583,147	92,342	628,158	130,253
Deposit insurance premium	1,372,243	1,161,365	1,411,686	1,194,233
Donations	1,250	1,250	1,760	1,250
Operating lease expenses	385,930	251,426	504,955	355,935
Office administration expenses	5,283,740	4,872,240	5,453,141	5,030,439
Establishment expenses	2,766,849	2,427,902	3,082,936	2,676,194
Crop insurance levy	273,000	172,000	284,776	179,016
Marketing & business promotion expenses	1,356,080	1,507,117	1,468,234	1,577,914
Other overhead expenses (Note 15.2)	5,993,531	4,936,182	6,258,853	5,222,477
	18,187,593	15,562,653	19,358,845	16,585,848

15.1 Auditors' Remuneration

For the year ended 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Audit fees	17,920	16,072	22,467	19,748
Audit related fees & expenses	12,652	12,796	15,377	14,407
Non - audit expenses	20,816	13,693	24,759	14,647
	51,388	42,561	62,603	48,802

Auditor's Remuneration disclosed in Note 15.1 are inclusive of applicable taxes.

- 15.2** Other overhead expenses include credit card related expenses and other miscellaneous expenses incurred on day to day operations of the Bank/Group.

16. INCOME TAX EXPENSE

ACCOUNTING POLICY

As per Sri Lanka Accounting Standard - LKAS 12 (Income Taxes), tax expense is the aggregate amount included in determination of profit or loss for the period in respect of current and deferred taxation. Income tax expense is recognised in the Statement of Profit or Loss, except to the extent it relates to items recognised directly in equity or other comprehensive income in which case it is recognised in equity or in other comprehensive income. The Group applied IFRIC Interpretation 23 "Uncertainty over Income Tax Treatment" in the determination of taxable profit, tax bases, unused tax losses, unused tax credits and tax rates, when there is uncertainty over the income tax treatment.

Current Taxation

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year, using the tax rates and tax laws enacted or substantively enacted on the reporting date and any adjustment to tax payable in respect of prior years. Accordingly, provision for taxation is based on the profit for the year adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and subsequent amendments thereto, at the rates specified in Note 16.2 to the Financial Statements.

Deferred Taxation

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes for all Group entities. Deferred tax liabilities are recognised for all taxable temporary differences, except:

- Where the deferred tax liability arises from the initial recognition of goodwill or the initial recognition of an asset or liability in a transaction that is not a business combination and at the time of the transaction, affects neither the accounting profit nor taxable profit (tax loss) and at the time of transaction does not give rise to equal taxable and deductible temporary differences.
- In respect of taxable temporary differences associated with investments in subsidiaries, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognised for all deductible temporary differences, carried forward unused tax credits and unused tax losses (if any), to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, carried forward unused tax credits and unused tax losses can be utilised except:

- Where the deferred tax asset relating to the deductible temporary differences arising from the initial recognition of an asset or liability in a transaction that is not a business combination and at the time of the transaction, affects neither the accounting profit nor taxable profit or loss and does not give rise to equal taxable and deductible temporary differences.
- In respect of deductible temporary differences associated with investments in subsidiaries, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is probable that sufficient taxable profit will be available to allow the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Current and deferred tax assets and liabilities are offset only to the extent that they relate to income taxes imposed by the same taxation authority, there is a legal right and intention to settle on a net basis and it is allowed under the tax law of the relevant jurisdiction. Details of current tax liabilities/(receivables) and deferred tax liabilities/(assets) are given in Note 39 and Note 32 to the Financial Statements respectively.

Notes to the Financial Statements

16. INCOME TAX EXPENSE CONTD.

For the year ended 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Current tax expense				
Current tax based on profit for the year (Note 39)	12,929,208	11,810,765	13,923,111	12,434,937
(Over)/under provision in respect of previous years (Note 39)	(654,047)	-	(545,265)	1,779
Total current tax expense	12,275,161	11,810,765	13,377,846	12,436,716
Deferred tax expense				
Due to change in temporary differences (Note 32.1)	7,126,642	809,564	7,107,163	840,525
Total deferred tax expense	7,126,642	809,564	7,107,163	840,525
Total income tax expense	19,401,803	12,620,329	20,485,009	13,277,241
Effective tax rate	41.5%	42.4%	41.6%	42.6%

16.1 Reconciliation of the Accounting Profit to Current Tax Expense

For the year ended 31st December	BANK				GROUP			
	2024		2023		2024		2023	
	%	Rs 000	%	Rs 000	%	Rs 000	%	Rs 000
Profit before tax		46,722,415		29,760,408		49,188,269		31,201,523
Tax effect on accounting profit before tax	30.0	14,016,725	30.0	8,928,122	30.0	14,756,481	30.0	9,360,457
Tax effect on								
Disallowable expenses	2.9	1,350,643	16.1	4,783,676	3.9	1,918,783	16.8	5,245,307
Tax deductible expenses	(3.0)	(1,418,323)	(1.5)	(439,381)	(3.5)	(1,746,106)	(2.3)	(730,818)
Exempt income	(2.2)	(1,019,837)	(4.9)	(1,461,652)	(2.1)	(1,019,837)	(4.7)	(1,461,652)
Income from other sources	-	-	-	-	-	13,790	0.1	21,643
Current tax based on profit for the year (Note 39)	27.7	12,929,208	39.7	11,810,765	28.3	13,923,111	39.9	12,434,937
(Over)/under provision in respect of previous years (Note 39)	(1.4)	(654,047)	-	-	(1.1)	(545,265)	-	1,779
Deferred tax expense due to change in temporary differences (Note 32.1)	15.2	7,126,642	2.7	809,564	14.4	7,107,163	2.7	840,525
Total income tax expense	41.5	19,401,803	42.4	12,620,329	41.6	20,485,009	42.6	13,277,241

16.2 Applicable Income Tax Rates

Company	2024	2023
Sampath Bank PLC	30%	30%
Sampath Centre Ltd	30%	30%
S C Securities (Pvt) Ltd	30%	30%
Siyapatha Finance PLC	30%	30%
Sampath Information Technology Solutions Ltd	30%	30%

The Group was liable for income tax on local dividend received for the year of assessment 2024/2025 at 15% (2023/2024:15%).

17. EARNINGS PER SHARE

ACCOUNTING POLICY

The Group presents basic and diluted Earnings per Share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary equity shareholders of the Bank by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting both the profit attributable to the ordinary equity shareholders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares, if any. The Group did not have any dilutive potential ordinary shares as at 31st December 2024.

17.1 Earnings per Share: Basic/Diluted

	BANK		GROUP	
	2024	2023	2024	2023
Amount used as the numerator				
Profit after tax for the year attributable to equity holders (Rs)	27,320,612,000	17,140,079,000	28,703,260,000	17,924,282,000
No. of ordinary shares used as the denominator				
Weighted average number of ordinary shares (Note 17.1.1)	1,172,700,760	1,172,700,760	1,172,700,760	1,172,700,760
Basic/diluted earnings per ordinary share (Rs)	23.30	14.62	24.48	15.28

17.1.1 Weighted Average Number of Ordinary Shares for Basic/Diluted EPS

Bank & Group

	Outstanding No. of Shares		Weighted Average No. of Shares	
	2024	2023	2024	2023
Number of shares in issue as at 1st January	1,172,700,760	1,144,373,955	1,172,700,760	1,144,373,955
Add:				
Number of shares issued due to final scrip dividend for 2022	-	28,326,805	-	28,326,805
Number of shares in issue/weighted average number of shares as at 31st December	1,172,700,760	1,172,700,760	1,172,700,760	1,172,700,760

18. DIVIDEND PAID AND PROPOSED

ACCOUNTING POLICY

Provision for final dividend and interim dividend (scrip) are recognised at the time the dividend is approved by the shareholders. However, interim cash dividend is recognised when the Board approves such dividend in accordance with the Companies Act No. 07 of 2007 and its amendments.

	2024	2023
	Rs 000	Rs 000
Final dividend paid for the years 2023 & 2022 respectively		
Out of dividend received	234,390	561,330
Out of normal profit	6,625,909	4,702,790
Cash/scrip dividend paid	6,860,299	5,264,120
Dividend per Ordinary Share (Rs)	5.85	4.60
Final dividend proposed for the years 2024 (Note 18.1) & 2023 respectively		
Out of dividend received	94,743	234,390
Out of normal profit	10,870,009	6,625,909
Cash/scrip dividend payable	10,964,752	6,860,299
Dividend per Ordinary Share (Rs)	9.35	5.85

Notes to the Financial Statements

18. DIVIDEND PAID AND PROPOSED CONTD.

- 18.1** The Board of Directors has recommended a final cash dividend of Rs 9.35 per share for the financial year ended 31st December 2024 subject to the approval of the shareholders at the Annual General Meeting to be held on 28th March 2025.
- 18.2** In accordance with Sri Lanka Accounting Standard - LKAS 10 (Events after the Reporting Period), above proposed final dividend has not been recognised as a liability as at the year end. Necessary disclosures have been made under Note 49 to the Financial Statements, "Events after the reporting period" as required by the said standard.
- 18.3** As per the Inland Revenue (Amendment) Act No. 04 of 2023, the proposed final dividend for the year ended 31st December 2024 is subject to a Withholding Tax (WHT) of 15% (2023: 15%). Accordingly, total Withholding Tax liability on dividend proposed for the year ended 31st December 2024 amounted to Rs 1,630.5 Mn.

19. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

ACCOUNTING POLICY

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The Accounting Policies describe how each category of financial instrument is measured and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in Sri Lanka Accounting Standard - SLFRS 9 (Financial Instruments) under headings of the Statement of Financial Position.

19.1 Analysis of Financial Instruments by Measurement Basis - Bank

		As at 31st December 2024			
	Note	Fair Value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
		Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets					
Cash & cash equivalents	20	-	46,229,318	-	46,229,318
Balances with Central Bank of Sri Lanka	21	-	16,373,983	-	16,373,983
Placements with banks	22	-	26,452,245	-	26,452,245
Reverse repurchase agreements		-	1,000,220	-	1,000,220
Derivative financial instruments	23	507,054	-	-	507,054
Financial assets recognised through profit or loss - measured at fair value	24	4,614,332	-	-	4,614,332
Financial assets at amortised cost					
- loans & advances	25	-	860,151,610	-	860,151,610
- debt & other instruments	26	-	401,280,763	-	401,280,763
Financial assets - fair value through other comprehensive income	27	-	-	367,782,512	367,782,512
Other assets		-	12,571,604	-	12,571,604
Total Financial Assets		5,121,386	1,364,059,743	367,782,512	1,736,963,641
Financial Liabilities					
Due to banks	34	-	23,259,811		23,259,811
Derivative financial instruments	23	3,200,590	-		3,200,590
Securities sold under repurchase agreements		-	40,312,784		40,312,784
Financial liabilities at amortised cost					
- due to depositors	35	-	1,455,864,416		1,455,864,416
- due to other borrowers	36	-	8,061,364		8,061,364
- due to debt securities holders	37	-	18,891,500		18,891,500
Dividend payable		-	298,695		298,695
Other liabilities		-	30,918,520		30,918,520
Total Financial Liabilities		3,200,590	1,577,607,090		1,580,807,680

19.2 Analysis of Financial Instruments by Measurement Basis - Bank

		As at 31st December 2023			
	Note	Fair Value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
		Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets					
Cash & cash equivalents	20	-	79,272,087	-	79,272,087
Balances with Central Bank of Sri Lanka	21	-	14,463,854	-	14,463,854
Placements with banks	22	-	33,741,322	-	33,741,322
Reverse repurchase agreements		-	-	-	-
Derivative financial instruments	23	587,577	-	-	587,577
Financial assets recognised through profit or loss - measured at fair value	24	4,744,188	-	-	4,744,188
Financial assets at amortised cost					
- loans & advances	25	-	756,435,559	-	756,435,559
- debt & other instruments	26	-	368,100,002	-	368,100,002
Financial assets - fair value through other comprehensive income	27	-	-	216,022,295	216,022,295
Other assets		-	27,778,625	-	27,778,625
Total Financial Assets		5,331,765	1,279,791,449	216,022,295	1,501,145,509
Financial Liabilities					
Due to banks	34	-	11,621,838		11,621,838
Derivative financial instruments	23	1,498,777	-		1,498,777
Securities sold under repurchase agreements		-	34,688,209		34,688,209
Financial liabilities at amortised cost					
- due to depositors	35	-	1,253,642,547		1,253,642,547
- due to other borrowers	36	-	6,637,129		6,637,129
- due to debt securities holders	37	-	26,709,893		26,709,893
Dividend payable		-	212,571		212,571
Other liabilities		-	32,953,593		32,953,593
Total Financial Liabilities		1,498,777	1,366,465,780		1,367,964,557

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Notes to the Financial Statements

19. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS CONTD.

19.3 Analysis of Financial Instruments by Measurement Basis - Group

		As at 31st December 2024			
	Note	Fair Value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
		Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets					
Cash & cash equivalents	20	-	46,501,139	-	46,501,139
Balances with Central Bank of Sri Lanka	21	-	16,373,983	-	16,373,983
Placements with banks	22	-	26,452,245	-	26,452,245
Reverse repurchase agreements		-	6,596,063	-	6,596,063
Derivative financial instruments	23	507,054	-	-	507,054
Financial assets recognised through profit or loss - measured at fair value	24	4,614,332	-	-	4,614,332
Financial assets at amortised cost					
- loans & advances	25	-	901,950,481	-	901,950,481
- debt & other instruments	26	-	405,616,020	-	405,616,020
Financial assets - fair value through other comprehensive income	27	-	-	367,782,568	367,782,568
Other assets		-	14,358,414	-	14,358,414
Total Financial Assets		5,121,386	1,417,848,345	367,782,568	1,790,752,299
Financial Liabilities					
Due to banks	34	-	30,067,815		30,067,815
Derivative financial instruments	23	3,200,590	-		3,200,590
Securities sold under repurchase agreements		-	40,312,784		40,312,784
Financial liabilities at amortised cost					
- due to depositors	35	-	1,487,148,551		1,487,148,551
- due to other borrowers	36	-	8,061,364		8,061,364
- due to debt securities holders	37	-	24,741,652		24,741,652
Dividend payable		-	298,695		298,695
Other liabilities		-	31,040,787		31,040,787
Total Financial Liabilities		3,200,590	1,621,671,648		1,624,872,238

19.4 Analysis of Financial Instruments by Measurement Basis - Group

		As at 31st December 2023			
	Note	Fair Value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
		Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets					
Cash & cash equivalents	20	-	79,530,247	-	79,530,247
Balances with Central Bank of Sri Lanka	21	-	14,463,854	-	14,463,854
Placements with banks	22	-	33,741,322	-	33,741,322
Reverse repurchase agreements		-	150,400	-	150,400
Derivative financial instruments	23	587,577	-	-	587,577
Financial assets recognised through profit or loss - measured at fair value	24	4,841,302	-	-	4,841,302
Financial assets at amortised cost					
- loans & advances	25	-	787,355,719	-	787,355,719
- debt & other instruments	26	-	373,899,842	-	373,899,842
Financial assets - fair value through other comprehensive income	27	-	-	216,022,351	216,022,351
Other assets		-	29,462,947	-	29,462,947
Total Financial Assets		5,428,879	1,318,604,331	216,022,351	1,540,055,561
Financial Liabilities					
Due to banks	34	-	17,344,766		17,344,766
Derivative financial instruments	23	1,498,777	-		1,498,777
Securities sold under repurchase agreements		-	34,438,086		34,438,086
Financial liabilities at amortised cost					
- due to depositors	35	-	1,276,551,041		1,276,551,041
- due to other borrowers	36	-	6,637,129		6,637,129
- due to debt securities holders	37	-	30,386,809		30,386,809
Dividend payable		-	212,571		212,571
Other liabilities		-	33,316,061		33,316,061
Total Financial Liabilities		1,498,777	1,398,886,463		1,400,385,240

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Notes to the Financial Statements

20. CASH AND CASH EQUIVALENTS

ACCOUNTING POLICY

Cash and cash equivalents comprise cash in hand, balances with banks, money at call and short notice that are subject to an insignificant risk of changes in their value. Cash and cash equivalents are carried at amortised cost in the Statement of Financial Position and used by the Group in the management of its short-term commitments. All cash and cash equivalent balances held by the Group entities were available for use by the Group.

For the purpose of the Statement of Cash Flows, cash and cash equivalents consist of cash and short term deposits as defined above, placements with banks (Note 22), net of unfavourable balances with local & foreign banks (Note 34.2).

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Local currency in hand	25,352,154	26,211,701	25,596,538	26,447,856
Foreign currency in hand	4,557,999	5,008,566	4,557,999	5,008,566
Balances with local banks	1,075,762	157,308	1,103,301	179,415
Balances with foreign banks	11,634,868	47,649,317	11,634,868	47,649,317
Money at call & short notice	3,630,756	291,216	3,630,756	291,216
Gross cash & cash equivalents	46,251,539	79,318,108	46,523,462	79,576,370
Impairment for expected credit losses (Note 20.2)	(22,221)	(46,021)	(22,323)	(46,123)
Net cash & cash equivalents	46,229,318	79,272,087	46,501,139	79,530,247

20.1 Analysis of Cash and Cash Equivalents based on Exposure to Credit Risk

Bank

As at 31st December	2024				2023
	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Total Rs 000
Balances with local banks	1,075,762	-	-	1,075,762	157,308
Balances with foreign banks	11,634,868	-	-	11,634,868	47,649,317
Money at call & short notice	3,630,756	-	-	3,630,756	291,216
	16,341,386	-	-	16,341,386	48,097,841
Impairment for expected credit losses	(22,221)	-	-	(22,221)	(46,021)
	16,319,165	-	-	16,319,165	48,051,820

Group

As at 31st December	2024				2023
	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Total Rs 000
Balances with local banks	1,103,301	-	-	1,103,301	179,415
Balances with foreign banks	11,634,868	-	-	11,634,868	47,649,317
Money at call & short notice	3,630,756	-	-	3,630,756	291,216
	16,368,925	-	-	16,368,925	48,119,948
Impairment for expected credit losses	(22,323)	-	-	(22,323)	(46,123)
	16,346,602	-	-	16,346,602	48,073,825

20.2 Impairment for Expected Credit Losses - Cash and Cash Equivalents

	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Stage 1				
Balance as at 1st January	46,021	101,287	46,123	101,327
Net reversal for the year (Note 12.3)	(18,449)	(46,495)	(18,449)	(46,433)
Amounts written off during the year	-	-	-	-
Other movements including exchange rate differences	(5,351)	(8,771)	(5,351)	(8,771)
Balance as at 31st December	22,221	46,021	22,323	46,123
Total				
Balance as at 1st January	46,021	101,287	46,123	101,327
Net reversal for the year (Note 12.3)	(18,449)	(46,495)	(18,449)	(46,433)
Amounts written off during the year	-	-	-	-
Other movements including exchange rate differences	(5,351)	(8,771)	(5,351)	(8,771)
Balance as at 31st December	22,221	46,021	22,323	46,123

21. BALANCES WITH CENTRAL BANK OF SRI LANKA**ACCOUNTING POLICY**

As required by the provisions of Section 93 of the Monetary Law Act, a cash balance is maintained with the Central Bank of Sri Lanka. As at 31st December 2024, the minimum cash reserve requirement was 2% (2023: 2%) of the rupee deposit liabilities. There is no reserve requirement for foreign currency deposit liabilities of the Domestic Banking Unit (DBU) and the deposit liabilities of the Foreign Currency Banking Unit (FCBU).

Balances with Central Bank of Sri Lanka are carried at amortised cost in the Statement of Financial Position.

Bank & Group

As at 31st December	2024	2023
	Rs 000	Rs 000
Statutory reserve requirement	16,373,983	14,463,854
	16,373,983	14,463,854

22. PLACEMENTS WITH BANKS**Bank & Group**

As at 31st December	2024	2023
	Rs 000	Rs 000
Placements - in Sri Lanka	8,284,799	4,493,388
Placements - out side Sri Lanka	18,193,509	29,264,867
Gross placements with banks	26,478,308	33,758,255
Impairment for expected credit losses (Note 22.2)	(26,063)	(16,933)
Net placements with banks	26,452,245	33,741,322

Notes to the Financial Statements

22. PLACEMENTS WITH BANKS CONTD.

22.1 Analysis of Placements with Banks based on Exposure to Credit Risk

Bank & Group

As at 31st December	2024				2023
	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Total Rs 000
Placements - in Sri Lanka	8,284,799	-	-	8,284,799	4,493,388
Placements - out side Sri Lanka	18,193,509	-	-	18,193,509	29,264,867
	26,478,308	-	-	26,478,308	33,758,255
Impairment for expected credit losses	(26,063)	-	-	(26,063)	(16,933)
	26,452,245	-	-	26,452,245	33,741,322

22.2 Impairment for Expected Credit Losses - Placements with Banks

Bank & Group

	2024	2023
	Rs 000	Rs 000
Stage 1		
Balance as at 1st January	16,933	2,555
Net charge for the year (Note 12.3)	11,793	13,375
Amounts written off during the year	-	-
Other movements including exchange rate differences	(2,663)	1,003
Balance as at 31st December	26,063	16,933
Total		
Balance as at 1st January	16,933	2,555
Net charge for the year (Note 12.3)	11,793	13,375
Amounts written off during the year	-	-
Other movements including exchange rate differences	(2,663)	1,003
Balance as at 31st December	26,063	16,933

23. DERIVATIVE FINANCIAL INSTRUMENTS

ACCOUNTING POLICY

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, commodity prices, foreign exchange rates etc. Derivatives are categorised as trading unless they are designated as hedging instruments. The accounting policies pertaining to "Derivative Financial Instruments" are given in Note 3.4.3.2 to the Financial Statements.

The table below shows the fair values of derivative financial instruments of the Bank/Group, recorded as assets or liabilities, together with their notional amounts. The notional amounts indicate the volume of transactions outstanding at the year end and are indicative of neither the market risk nor the credit risk.

Bank & Group

As at 31st December	2024			2023		
	Assets Rs 000	Liabilities Rs 000	Notional Amount Rs 000	Assets Rs 000	Liabilities Rs 000	Notional Amount Rs 000
Forward exchange contracts						
Sales	103,826	131,731	36,292,777	187,231	21,131	21,949,834
Purchases	37,860	29,580	15,402,711	7,165	33,009	6,485,122
Currency SWAPS						
Sales	247,949	56,435	18,992,623	388,142	52,630	48,713,859
Purchases	117,419	2,982,844	102,652,002	5,039	1,392,007	107,447,795
	507,054	3,200,590	173,340,113	587,577	1,498,777	184,596,610

24. FINANCIAL ASSETS RECOGNISED THROUGH PROFIT OR LOSS - MEASURED AT FAIR VALUE**ACCOUNTING POLICY**

The accounting policies pertaining to “Financial Assets Recognised through Profit or Loss - Measured at Fair Value” are given in Note 3.4.3.3 to the Financial Statements.

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Government Securities				
Treasury bills (Note 24.1)	2,834,537	3,420,649	2,834,537	3,420,649
Treasury bonds (Note 24.2)	1,779,795	1,323,539	1,779,795	1,323,539
Equity Securities				
Quoted equity securities (Note 24.3)	-	-	-	97,114
	4,614,332	4,744,188	4,614,332	4,841,302

**24.1 Treasury Bills
Bank & Group**

As at 31st December	2024 Rs 000	2023 Rs 000
Amortised cost	2,822,620	3,389,487
Gain/(loss) from mark to market valuation as at 1st January	31,162	(19,925)
Movement during the year	(19,245)	51,087
Gain from mark to market valuation as at 31st December	11,917	31,162
Market value	2,834,537	3,420,649

**24.2 Treasury Bonds
Bank & Group**

As at 31st December	2024 Rs 000	2023 Rs 000
Amortised cost	1,689,627	1,257,496
Gain/(loss) from mark to market valuation as at 1st January	66,043	(151,062)
Movement during the year	24,125	217,105
Gain from mark to market valuation as at 31st December	90,168	66,043
Market value	1,779,795	1,323,539

Notes to the Financial Statements

24. FINANCIAL ASSETS RECOGNISED THROUGH PROFIT OR LOSS - MEASURED AT FAIR VALUE CONTD.

24.3 Quoted Equity Securities

Group

As at 31st December	2024			2023		
	No. of Ordinary Shares	Cost of Investment	Market Value	No. of Ordinary Shares	Cost of Investment	Market Value
		Rs 000	Rs 000		Rs 000	Rs 000
Name of the company						
Browns Investments PLC	-	-	-	8,952,116	71,281	42,075
Lanka IOC PLC	-	-	-	269,870	61,194	27,526
Expolanka Holdings PLC	-	-	-	127,836	24,744	18,313
LOLC Finance PLC	-	-	-	2,000,000	12,140	9,200
Total		-	-		169,359	97,114
Loss from mark to market valuation as at 1st January		(72,245)			(17,951)	
Movement during the year		72,245			(54,294)	
Loss from mark to market valuation as at 31st December		-			(72,245)	
Market value		-			97,114	

24.4 Analysis of Financial Assets Recognised through Profit or Loss - Measured at Fair Value

As at 31st December	BANK		GROUP	
	2024	2023	2024	2023
	Rs 000	Rs 000	Rs 000	Rs 000
By collateralisation				
Pledged as collateral	-	-	-	-
Unencumbered	4,614,332	4,744,188	4,614,332	4,841,302
Gross total	4,614,332	4,744,188	4,614,332	4,841,302
By currency				
Sri Lankan Rupee	4,614,332	4,744,188	4,614,332	4,841,302
Other currency	-	-	-	-
Gross total	4,614,332	4,744,188	4,614,332	4,841,302

25. LOANS AND ADVANCES

ACCOUNTING POLICY

The key accounting policies pertaining to financial instruments including “Loans and Advances” are given in Notes 3.4 to the Financial Statements.

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Gross loans & advances (Note 25.1)				
Stage 1	680,421,037	522,382,314	702,367,590	533,318,509
Stage 2	151,867,317	211,319,074	170,413,248	227,146,446
Stage 3	132,287,791	143,615,684	136,480,157	151,460,276
	964,576,145	877,317,072	1,009,260,995	911,925,231
Impairment for expected credit losses (Note 25.2)				
Stage 1	(9,810,450)	(12,906,592)	(9,885,943)	(12,913,484)
Stage 2	(15,131,439)	(24,962,148)	(15,910,717)	(25,746,701)
Stage 3	(79,482,646)	(83,012,773)	(81,513,854)	(85,909,327)
	(104,424,535)	(120,881,513)	(107,310,514)	(124,569,512)
Net loans & advances	860,151,610	756,435,559	901,950,481	787,355,719

25.1 Analysis of Loans & Advances

25.1.1 By Product

As at 31st December	BANK					GROUP				
	2024 Rs 000	Mix %	2023 Rs 000	Mix %	Growth %	2024 Rs 000	Mix %	2023 Rs 000	Mix %	Growth %
Bills of exchange	2,287,990	-	2,294,207	-	-	2,287,990	-	2,294,207	-	-
Leasing (Note 25.3)	28,404,717	3	21,349,645	2	33	61,021,594	6	50,621,080	6	21
Housing loans	50,081,802	5	50,188,464	6	-	50,081,802	5	50,188,464	6	-
Export loans	29,644,375	3	35,516,896	4	(17)	29,644,375	3	35,516,896	4	(17)
Import loans	102,602,359	11	82,499,453	9	24	102,602,359	10	82,499,453	9	24
Refinance loans	5,511,241	1	5,556,161	1	(1)	5,511,241	1	5,556,161	1	(1)
Term loans										
Long term	449,456,651	47	437,679,038	50	3	449,362,357	45	433,141,926	47	4
Short term	22,337,571	2	4,137,805	-	440	22,337,571	2	5,823,377	1	284
Overdraft	101,006,836	11	93,471,012	11	8	100,987,922	10	92,972,493	10	9
Staff loans	11,896,324	1	10,313,063	1	15	12,064,511	1	10,428,627	1	16
Pawning & gold loans	88,415,351	9	80,715,233	10	10	99,861,831	10	88,683,130	10	13
Credit cards	21,410,705	2	21,027,761	2	2	21,410,686	2	21,027,720	2	2
Money market loans	49,750,754	5	30,700,866	4	62	49,750,754	5	30,700,866	3	62
Factoring	1,753,817	-	1,831,406	-	(4)	1,897,655	-	1,985,699	-	(4)
Others	15,652	-	36,062	-	(57)	438,347	-	485,132	-	(10)
Gross loans & advances	964,576,145	100	877,317,072	100	10	1,009,260,995	100	911,925,231	100	11

Notes to the Financial Statements

25. LOANS AND ADVANCES CONTD.

25.1.2 By Currency

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Sri Lankan Rupee	822,816,575	740,199,175	867,501,425	774,807,334
United States Dollar	134,016,452	127,328,562	134,016,452	127,328,562
Euro	6,280,245	8,146,782	6,280,245	8,146,782
Great Britain Pounds	1,414,273	1,584,231	1,414,273	1,584,231
Australian Dollar	48,600	54,541	48,600	54,541
New Zealand Dollar	-	3,781	-	3,781
Gross loans & advances	964,576,145	877,317,072	1,009,260,995	911,925,231

25.1.3 By Product and Currency

As at 31st December	BANK				GROUP			
	2024 Rs 000	%	2023 Rs 000	%	2024 Rs 000	%	2023 Rs 000	%
Local currency								
Bills of exchange	84,400	-	182,672	-	84,400	-	182,672	-
Leasing	28,404,717	3	21,349,645	2	61,021,594	6	50,621,080	6
Housing loans	49,894,932	5	49,859,121	6	49,894,932	5	49,859,121	5
Export loans	5,848,686	1	4,990,737	1	5,848,686	1	4,990,737	1
Import loans	92,185,840	10	68,914,981	8	92,185,840	9	68,914,981	7
Refinance loans	5,511,241	1	5,556,161	1	5,511,241	1	5,556,161	1
Term loans								
Long term	363,666,340	37	356,523,264	41	363,572,046	36	351,986,152	39
Short term	11,260,393	1	3,954,496	-	11,260,393	1	5,640,068	1
Overdraft	92,720,824	10	84,268,300	10	92,701,910	9	83,769,781	9
Staff loans	11,896,324	1	10,313,063	1	12,064,511	1	10,428,627	1
Pawning & gold loans	88,415,351	9	80,715,233	9	99,861,831	10	88,683,130	10
Credit cards	21,410,705	2	21,027,761	2	21,410,686	2	21,027,720	2
Money market loans	49,750,754	5	30,700,866	3	49,750,754	5	30,700,866	3
Factoring	1,753,817	-	1,831,406	-	1,897,655	-	1,985,699	-
Others	12,251	-	11,469	-	434,946	-	460,539	-
Sub total	822,816,575	85	740,199,175	84	867,501,425	86	774,807,334	85
Foreign currency								
Bills of exchange	2,203,590	-	2,111,535	-	2,203,590	-	2,111,535	-
Housing loans	186,870	-	329,343	-	186,870	-	329,343	-
Export loans	23,795,689	3	30,526,159	4	23,795,689	2	30,526,159	3
Import loans	10,416,519	1	13,584,472	2	10,416,519	1	13,584,472	2
Term loans								
Long term	85,790,311	9	81,155,774	9	85,790,311	9	81,155,774	9
Short term	11,077,178	1	183,309	-	11,077,178	1	183,309	-
Overdraft	8,286,012	1	9,202,712	1	8,286,012	1	9,202,712	1
Others	3,401	-	24,593	-	3,401	-	24,593	-
Sub total	141,759,570	15	137,117,897	16	141,759,570	14	137,117,897	15
Gross loans & advances	964,576,145	100	877,317,072	100	1,009,260,995	100	911,925,231	100

25.1.4 By Industry

As at 31st December	BANK				GROUP			
	2024		2023		2024		2023	
	Rs 000	%	Rs 000	%	Rs 000	%	Rs 000	%
Agriculture & related (Note 25.1.4.1)	86,219,268	9	80,246,890	9	93,202,232	9	84,227,587	9
Manufacturing	140,236,594	14	129,279,879	15	143,600,736	14	132,517,043	15
Tourism	84,606,218	9	92,276,636	11	85,947,950	9	93,277,039	10
Transport	11,779,277	1	8,328,765	1	15,888,121	2	11,778,904	1
Construction	114,412,472	12	101,338,982	12	114,073,475	11	100,393,867	11
Infrastructure	64,639,086	7	55,341,956	6	66,761,003	7	57,187,604	6
Traders	131,390,245	14	123,852,812	14	140,009,797	14	130,066,877	14
Financial & business services	77,152,399	8	63,463,446	7	75,983,297	7	59,559,055	7
Other services	60,766,385	6	44,502,224	5	69,841,369	7	53,009,075	6
Lending to overseas entities	40,294,819	4	35,160,904	4	40,294,819	4	35,160,904	4
Consumers	153,079,382	16	143,524,578	16	163,658,196	16	154,747,276	17
Gross loans & advances	964,576,145	100	877,317,072	100	1,009,260,995	100	911,925,231	100

25.1.4.1 As per the requirement of Central Bank of Sri Lanka (CBSL), a minimum of 10% of the loans and advances shall be granted to the agriculture sector. The Bank has complied with the said requirement as at 31st December 2024 and 31st December 2023. The computation method used to derive the industry-wise exposure in Note 25.1.4 above is different from the method used for CBSL minimum lending requirement calculation to agriculture sector.

25.2 Impairment for Expected Credit Losses - Loans and Advances

	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Stage 1				
Balance as at 1st January	12,906,592	9,917,653	12,913,484	9,934,498
Net (reversal)/charge for the year (Note 12.1)	(2,855,375)	3,130,378	(2,786,774)	3,120,425
Amounts written off during the year	-	-	-	-
Other movements including exchange rate differences	(240,767)	(141,439)	(240,767)	(141,439)
Balance as at 31st December	9,810,450	12,906,592	9,885,943	12,913,484
Stage 2				
Balance as at 1st January	24,962,148	44,751,656	25,746,701	45,651,154
Net reversal for the year (Note 12.1)	(9,099,027)	(18,677,580)	(9,104,302)	(18,792,525)
Amounts written off during the year	-	-	-	-
Other movements including exchange rate differences	(731,682)	(1,111,928)	(731,682)	(1,111,928)
Balance as at 31st December	15,131,439	24,962,148	15,910,717	25,746,701
Stage 3				
Balance as at 1st January	83,012,773	54,294,693	85,909,327	57,527,839
Net charge for the year (Note 12.1)	14,725,750	33,613,871	14,550,107	33,795,768
Amounts written off during the year (Note 51.2.1.2)	(13,713,315)	(708,986)	(14,402,471)	(1,227,387)
Interest income accrued on impaired loans & advances (Note 7.1)	(5,198,011)	(5,333,637)	(5,198,552)	(5,335,198)
Other movements including exchange rate differences	655,449	1,146,832	655,443	1,148,305
Balance as at 31st December	79,482,646	83,012,773	81,513,854	85,909,327
Total				
Balance as at 1st January	120,881,513	108,964,002	124,569,512	113,113,491
Net charge for the year (Note 12.1)	2,771,348	18,066,669	2,659,031	18,123,668
Amounts written off during the year (Note 51.2.1.2)	(13,713,315)	(708,986)	(14,402,471)	(1,227,387)
Interest income accrued on impaired loans & advances (Note 7.1)	(5,198,011)	(5,333,637)	(5,198,552)	(5,335,198)
Other movements including exchange rate differences	(317,000)	(106,535)	(317,006)	(105,062)
Balance as at 31st December	104,424,535	120,881,513	107,310,514	124,569,512

Notes to the Financial Statements

25. LOANS AND ADVANCES CONTD.

25.3 Leasing

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Total lease rentals receivable	34,472,639	25,642,637	76,816,972	64,345,353
Unearned lease interest income	(6,067,922)	(4,292,992)	(15,795,378)	(13,724,273)
Gross lease receivable	28,404,717	21,349,645	61,021,594	50,621,080
Impairment for expected credit losses	(976,496)	(1,567,445)	(2,805,586)	(4,203,813)
Net lease receivable	27,428,221	19,782,200	58,216,008	46,417,267
Gross lease receivable within one year (Note 25.3.1)	10,541,966	9,231,697	23,697,803	22,212,104
Gross lease receivable after one year (Note 25.3.2)	17,862,751	12,117,948	37,323,791	28,408,976
	28,404,717	21,349,645	61,021,594	50,621,080

25.3.1 Lease Receivable within One Year

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Total lease rentals receivable within one year from reporting date	13,739,455	11,649,846	31,525,278	29,251,376
Unearned lease interest income	(3,197,489)	(2,418,149)	(7,827,475)	(7,039,272)
Gross lease receivable within one year (Note 25.3)	10,541,966	9,231,697	23,697,803	22,212,104
Impairment for expected credit losses	(362,411)	(666,788)	(1,113,207)	(1,956,744)
Net lease receivable within one year	10,179,555	8,564,909	22,584,596	20,255,360

25.3.2 Lease Receivable after One Year

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Total lease rentals receivable after one year from reporting date	20,733,184	13,992,791	45,291,694	35,093,977
Unearned lease interest income	(2,870,433)	(1,874,843)	(7,967,903)	(6,685,001)
Gross lease receivable after one year (Note 25.3)	17,862,751	12,117,948	37,323,791	28,408,976
Impairment for expected credit losses	(614,085)	(900,657)	(1,692,379)	(2,247,069)
Net lease receivable after one year	17,248,666	11,217,291	35,631,412	26,161,907

Additional information on loans and advances are given in Note 51 to the Financial Statements (Risk Management), including the movement of the gross carrying amount of amortised cost and expected credit losses (ECL), sensitivity of ECL to key variables used in the ECL calculation etc.

26. DEBT AND OTHER INSTRUMENTS

ACCOUNTING POLICY

The accounting policies pertaining to financial instruments including “Debt and Other Instruments” are given in Note 3.4 to the Financial Statements.

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Government Securities - Sri Lanka				
Treasury bills	117,575,919	122,949,700	121,911,176	128,749,540
Treasury bonds	237,965,544	203,777,225	237,965,544	203,777,225
Sri Lanka International Sovereign Bonds (Note 26.1)	14,390,125	33,244,652	14,390,125	33,244,652
US Treasuries				
Treasury bills	24,724,887	16,170,762	24,724,887	16,170,762
Other Instruments				
Debentures (Note 26.2)	5,243,105	5,308,711	5,243,105	5,308,711
Lease backed trust certificates (Note 26.3)	1,019,826	1,328,681	1,019,826	1,328,681
Corporate Bond - LVL Energy Fund	900,145	859,281	900,145	859,281
Promissory Notes - Sri Lanka Telecom PLC	-	1,349,750	-	1,349,750
Gross debt & other instruments	401,819,551	384,988,762	406,154,808	390,788,602
Impairment for expected credit losses (Note 26.4)	(538,788)	(16,888,760)	(538,788)	(16,888,760)
Net debt & other instruments	401,280,763	368,100,002	405,616,020	373,899,842

26.1 Sri Lanka International Sovereign Bonds

In December 2024, the Government of Sri Lanka successfully completed the restructuring of its International Sovereign Bonds (SLISBs). As a result, the Bank reversed an impairment provision of Rs 15.8 Bn, which is disclosed in Note 12.2 to the financial statements. Of the total reversal of Rs 15.8 Bn, Rs 14.9 Bn pertains to the SLISBs previously classified under amortised cost, as disclosed in Note 26.4 of the financial statements. The remaining reversal of Rs 0.9 Bn relates to the SLISBs previously classified under fair value through other comprehensive income. Further information on the restructuring of SLISBs, including the Day 1 loss on the initial recognition of the new bonds issued in settlement of the original SLISBs, presented in Note 10.2 to the financial statements.

Notes to the Financial Statements

26. DEBT AND OTHER INSTRUMENTS CONTD.

26.2 Debentures

Bank & Group

As at 31st December	2024	2023
	Amortised Cost Rs 000	Amortised Cost Rs 000
Name of the company		
Banks, Finance & Insurance		
Commercial Credit & Finance PLC	535,371	535,371
LOLC Finance PLC	519,285	525,290
National Savings Bank	2,054,486	2,106,619
Nations Trust Bank PLC	334,746	334,746
People's Leasing & Finance PLC	1,048,761	1,048,860
	4,492,649	4,550,886
Construction & Engineering		
MTD Walkers PLC	254,784	254,784
	254,784	254,784
Others		
Ceylon Electricity Board	489,212	489,212
Kotagala Plantations PLC	6,460	13,829
	495,672	503,041
	5,243,105	5,308,711

26.3 Lease Backed Trust Certificates

Bank & Group

As at 31st December	2024	2023
	Amortised Cost Rs 000	Amortised Cost Rs 000
Commercial Credit & Finance PLC	462,000	1,188,000
Sarvodaya Development Finance Ltd	557,826	140,681
	1,019,826	1,328,681

26.4 Impairment for Expected Credit Losses - Debt and Other Instruments at Amortised Cost

Bank & Group

	2024	2023
	Rs 000	Rs 000
Stage 1		
Balance as at 1st January	11,651	61,524
Net charge/(reversal) for the year (Note 12.3)	627	(49,873)
Amounts written off during the year	-	-
Other movements including exchange rate differences	(13)	-
Balance as at 31st December	12,265	11,651
Stage 2		
Balance as at 1st January	16,622,325	18,328,188
Net (reversal)/charge for the year		
Sri Lanka International Sovereign Bonds (Note 26.1)	(14,913,094)	5,258,573
Other financial assets (Note 12.3)	1,164	(3,588,728)
Amounts written off during the year	-	-
Other movements including exchange rate differences	(1,438,656)	(3,375,708)
Balance as at 31st December	271,739	16,622,325
Stage 3		
Balance as at 1st January	254,784	275,981
Net reversal for the year (Note 12.3)	-	(21,197)
Amounts written off during the year	-	-
Other movements including exchange rate differences	-	-
Balance as at 31st December	254,784	254,784
Total		
Balance as at 1st January	16,888,760	18,665,693
Net (reversal)/charge for the year		
Sri Lanka International Sovereign Bonds (Note 26.1)	(14,913,094)	5,258,573
Other financial assets (Note 12.3)	1,791	(3,659,798)
Amounts written off during the year	-	-
Other movements including exchange rate differences	(1,438,669)	(3,375,708)
Balance as at 31st December	538,788	16,888,760

26.5 Analysis of Debt and Other Instruments based on Exposure to Credit Risk

Bank

As at 31st December	2024				2023
	Stage 1	Stage 2	Stage 3	Total	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Government Securities - Sri Lanka					
Treasury bills	117,575,919	-	-	117,575,919	122,949,700
Treasury bonds	237,965,544	-	-	237,965,544	203,777,225
Sri Lanka International Sovereign Bonds (Note 10.2)	-	14,390,125	-	14,390,125	33,244,652
US Treasuries					
Treasury bills	24,724,887	-	-	24,724,887	16,170,762
Other Instruments					
Debentures	4,981,861	6,460	254,784	5,243,105	5,308,711
Leased backed trust certificates	1,019,826	-	-	1,019,826	1,328,681
Corporate Bond - LVL Energy Fund	900,145	-	-	900,145	859,281
Promissory Notes - Sri Lanka Telecom PLC	-	-	-	-	1,349,750
	387,168,182	14,396,585	254,784	401,819,551	384,988,762
Impairment for expected credit losses	(12,265)	(271,739)	(254,784)	(538,788)	(16,888,760)
	387,155,917	14,124,846	-	401,280,763	368,100,002

Notes to the Financial Statements

26. DEBT AND OTHER INSTRUMENTS CONTD.

26.5 Analysis of Debt and Other Instruments based on Exposure to Credit Risk (Contd.)

Group

As at 31st December	2024				2023
	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Total Rs 000
Government Securities - Sri Lanka					
Treasury bills	121,911,176	-	-	121,911,176	128,749,540
Treasury bonds	237,965,544	-	-	237,965,544	203,777,225
Sri Lanka International Sovereign Bonds (Note 10.2)	-	14,390,125	-	14,390,125	33,244,652
US Treasuries					
Treasury bills	24,724,887	-	-	24,724,887	16,170,762
Other Instruments					
Debentures	4,981,861	6,460	254,784	5,243,105	5,308,711
Leased backed trust certificates	1,019,826	-	-	1,019,826	1,328,681
Corporate Bond - LVL Energy Fund	900,145	-	-	900,145	859,281
Promissory Notes - Sri Lanka Telecom PLC	-	-	-	-	1,349,750
	391,503,439	14,396,585	254,784	406,154,808	390,788,602
Impairment for expected credit losses	(12,265)	(271,739)	(254,784)	(538,788)	(16,888,760)
	391,491,174	14,124,846	-	405,616,020	373,899,842

26.6 Analysis of Debt and Other Instruments

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
By collateralisation				
Pledged as collateral	42,516,856	31,896,491	42,516,856	31,630,713
Unencumbered	358,763,907	336,203,511	363,099,164	342,269,129
	401,280,763	368,100,002	405,616,020	373,899,842
By currency				
Sri Lankan Rupee	362,436,455	335,307,010	366,771,712	341,106,850
Other currency	38,844,308	32,792,992	38,844,308	32,792,992
	401,280,763	368,100,002	405,616,020	373,899,842

27. FINANCIAL ASSETS - FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME**ACCOUNTING POLICY**

The accounting policies pertaining to “Financial Assets – Fair Value Through Other Comprehensive Income” are given in Notes 3.4.3.5 & 3.4.3.6 to the Financial Statements.

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Government Securities - Sri Lanka				
Treasury bills (Note 27.1)	116,214,123	91,294,355	116,214,123	91,294,355
Treasury bonds (Note 27.2)	230,056,460	111,664,941	230,056,460	111,664,941
Sri Lanka International Sovereign Bonds (Note 27.3)	-	1,040,578	-	1,040,578
US Treasuries				
Treasury bills (Note 27.4)	18,983,956	8,045,352	18,983,956	8,045,352
Equity Securities				
Quoted equity security (Note 27.5)	2,324,219	3,916,498	2,324,219	3,916,498
Unquoted equity securities (Note 27.6)	203,754	60,571	203,810	60,627
	367,782,512	216,022,295	367,782,568	216,022,351

27.1 Sri Lanka Treasury Bills**Bank & Group**

As at 31st December	2024 Rs 000	2023 Rs 000
Amortised cost	115,826,479	90,844,763
Gain from mark to market valuation as at 1st January	449,592	1,023
Movement during the year		
Gross change in market value	259,110	578,313
Reclassification to profit or loss on derecognition	(321,058)	(129,744)
Gain from mark to market valuation as at 31st December	387,644	449,592
Market value	116,214,123	91,294,355

27.2 Sri Lanka Treasury Bonds**Bank & Group**

As at 31st December	2024 Rs 000	2023 Rs 000
Amortised cost	216,405,478	99,302,260
Gain/(loss) from mark to market valuation as at 1st January	12,362,681	(273,156)
Movement during the year		
Gross change in market value	1,957,595	12,788,200
Reclassification to profit or loss on derecognition	(669,294)	(152,363)
Gain from mark to market valuation as at 31st December	13,650,982	12,362,681
Market value	230,056,460	111,664,941

Notes to the Financial Statements

27. FINANCIAL ASSETS - FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME CONTD.

27.3 Sri Lanka International Sovereign Bonds

Bank & Group

As at 31st December	2024	2023
	Rs 000	Rs 000
Amortised cost	-	1,627,674
Loss from mark to market valuation as at 1st January	(587,096)	(973,050)
Movement during the year		
Gross change in market value	(286,870)	-
Net reversal during the year	873,966	385,954
Loss from mark to market valuation as at 31st December	-	(587,096)
Market value	-	1,040,578

27.3.1 In December 2024, the Government of Sri Lanka successfully completed the restructuring of its SLISBs. As a result, the Bank reversed an impairment provision of Rs 15.8 Bn, which is disclosed in Note 12.2 to the financial statements. Of the total reversal of Rs 15.8 Bn, Rs 0.9 Bn pertains to the SLISBs previously classified under fair value through other comprehensive income. The remaining reversal of Rs 14.9 Bn relates to the SLISBs previously classified under amortised cost which is disclosed under Note 26.4 to the financial statements. Further information on the restructuring of SLISBs, including the Day 1 loss on the initial recognition of the new bonds issued in settlement of the original SLISBs, presented in Note 10.2 to the financial statements.

27.4 US Treasuries - Treasury Bills

Bank & Group

As at 31st December	2024	2023
	Rs 000	Rs 000
Amortised cost	18,978,219	8,049,545
Loss from mark to market valuation as at 1st January	(4,193)	-
Movement during the year		
Gross change in market value	(6,414)	(4,193)
Reclassification to profit or loss on derecognition	16,344	-
Gain/(loss) from mark to market valuation as at 31st December	5,737	(4,193)
Market value	18,983,956	8,045,352

27.5 Quoted Equity Security

Quoted equity security represents the investment in ordinary shares of LankaBangla Finance PLC in Bangladesh.

Bank & Group

	2024		2023	
	No. of Ordinary Shares	Rs 000	No. of Ordinary Shares	Rs 000
Cost of the investment as at 1st January	51,036,605	1,908,547	51,036,605	2,153,006
Exchange loss		(181,135)		(244,459)
Cost of the investment as at 31st December	51,036,605	1,727,412	51,036,605	1,908,547
Gain from mark to market valuation as at 1st January		2,007,951		2,518,140
Movement during the year				
Gross change in market value		(1,279,173)		-
Exchange loss		(131,971)		(510,189)
Gain from mark to market valuation as at 31st December		596,807		2,007,951
Market value		2,324,219		3,916,498

Sensitivity of the FVOCI reserve to changes in the share price of LankaBangla Finance PLC is disclosed in Note 51.4.4.

27.6 Unquoted Equity Securities

As at 31st December	2024			2023		
	No. of Ordinary Shares	Cost of the Investment Rs 000	Market Value Rs 000	No. of Ordinary Shares	Cost of the Investment Rs 000	Market Value Rs 000
Bank						
Name of the company						
LankaBangla Securities Ltd	293,485	87,193	1,923	293,485	96,336	2,125
Credit Information Bureau	1,700	170	170	1,700	170	170
SWIFT	23	9,035	30,517	23	9,035	30,517
LankaPay (Pvt) Ltd	2,000,000	20,000	20,000	2,000,000	20,000	20,000
Lanka Financial Services Bureau Ltd	500,000	5,000	-	500,000	5,000	-
Lanka Rating Agency Ltd	9,449,707	15,516	-	9,449,707	15,516	7,758
National Credit Guarantee Institution Limited	15,114,475	151,144	151,144	101	1	1
		288,058	203,754		146,058	60,571
Loss from mark to market valuation as at 1st January		(85,487)			(97,555)	
Movement during the year						
Gross change in market value		(7,758)			-	
Exchange rate differences		8,941			12,068	
Loss from mark to market valuation as at 31st December		(84,304)			(85,487)	
Market value		203,754			60,571	
Group						
Name of the company						
LankaBangla Securities Ltd	293,485	87,193	1,923	293,485	96,336	2,125
Credit Information Bureau	1,800	226	226	1,800	226	226
SWIFT	23	9,035	30,517	23	9,035	30,517
LankaPay (Pvt) Ltd	2,000,000	20,000	20,000	2,000,000	20,000	20,000
Lanka Financial Services Bureau Ltd	500,000	5,000	-	500,000	5,000	-
Lanka Rating Agency Ltd	9,449,707	15,516	-	9,449,707	15,516	7,758
National Credit Guarantee Institution Limited	15,114,475	151,144	151,144	101	1	1
		288,114	203,810		146,114	60,627
Loss from mark to market valuation as at 1st January		(85,487)			(97,555)	
Movement during the year						
Gross change in market value		(7,758)			-	
Exchange rate differences		8,941			12,068	
Loss from mark to market valuation as at 31st December		(84,304)			(85,487)	
Market value		203,810			60,627	

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Notes to the Financial Statements

27. FINANCIAL ASSETS - FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME CONTD.

27.7 Analysis of Financial Assets - Fair Value through Other Comprehensive Income

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
By collateralisation				
Pledged as collateral	-	-	-	-
Unencumbered	367,782,512	216,022,295	367,782,568	216,022,351
	367,782,512	216,022,295	367,782,568	216,022,351
By currency				
Sri Lankan Rupee	346,441,897	202,987,225	346,441,953	202,987,281
Other currency	21,340,615	13,035,070	21,340,615	13,035,070
	367,782,512	216,022,295	367,782,568	216,022,351

28. INVESTMENT IN SUBSIDIARIES

ACCOUNTING POLICY

Subsidiaries are entities that are controlled by the Bank. The Bank is presumed to control an investee when it is exposed or has rights to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. At each reporting date, the Bank reassesses whether it controls an investee, if facts and circumstances indicate that there are changes to one or more elements of control mentioned above.

The Financial Statements of subsidiaries are fully consolidated from the date on which control is transferred to the Bank and continue to be consolidated until the date when such control ceases. The Financial Statements of the Bank's subsidiaries are prepared for the same reporting year as per the Bank, using consistent accounting policies.

The cost of acquisition of a subsidiary is measured as the fair value of the consideration, including contingent consideration, given on the date of transfer of title. The acquired identifiable assets, liabilities and contingent liabilities are measured at their fair values at the date of acquisition. Subsequent to the initial measurement, the Bank continues to recognise the investments in subsidiaries at cost.

The total assets and liabilities of the subsidiaries as at the reporting date are included in the Consolidated Statement of Financial Position. The total profit or loss for the year of the subsidiaries is included in the Consolidated Statement of Profit or Loss. The non-controlling interest is presented in the Consolidated Statement of Financial Position within equity, separately from the equity attributable to the equity holders of the Bank. Non-controlling interest in the profit or loss of the Group is disclosed in the Consolidated Statement of Comprehensive Income. Total comprehensive income is allocated to the owners of the parent and to the non-controlling interest even if this results in non-controlling interest having a deficit balance.

Intra-group balances and any income and expenses arising from intra-group transactions are eliminated when preparing the Consolidated Financial Statements. Unrealised losses are eliminated in the same way as unrealised gains, except that they are only eliminated to the extent that there is no evidence of impairment. When a subsidiary is acquired or sold during the year, operating results of such subsidiary is included from the date of acquisition or to the date of disposal. Upon the loss of control, the Group derecognise the assets and liabilities of the subsidiary, any non-controlling interest and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in the Statement of Changes in Equity.

If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date the control is lost. Subsequently it is accounted for as an equity-accounted investee or in accordance with the Group's accounting policy for financial instruments depending on the level of influence retained.

The Group did not acquire/dispose any subsidiaries during the year ended 31st December 2024.

There are no significant restrictions on the ability of the subsidiaries to transfer funds to the Bank in the form of cash dividend or repayment of loans and advances.

All subsidiaries of the Bank have been incorporated in Sri Lanka. Principal activities of the subsidiary companies of the Bank are given below.

Name of the Subsidiary	Principal Activities
Sampath Centre Ltd	Renting of commercial property
SC Securities (Pvt) Ltd	Stock broking
Siyapatha Finance PLC	Granting lease, hire purchase, factoring & other loans facilities & accepting deposits
Sampath Information Technology Solutions Ltd	Software development, renting of IT equipment & IT resource outsourcing & consultancy

Bank

As at 31st December	2024				2023		
Name of the Subsidiary	No. of Ordinary Shares	Ownership	Cost Rs 000	Directors' Valuation Rs 000	Ownership	Cost Rs 000	Directors' Valuation Rs 000
Sampath Centre Ltd	36,696,433	100%	771,188	6,362,061	100%	714,331	6,060,553
SC Securities (Pvt) Ltd	12,180,273	100%	201,035	776,614	100%	201,035	684,207
Siyapatha Finance PLC	100,421,363	100%	2,872,846	8,428,554	100%	2,866,877	7,246,729
Sampath Information Technology Solutions Ltd	11,196,503	100%	345,652	844,104	100%	328,399	706,158
			4,190,721			4,110,642	

Subsidiaries are not quoted in the Colombo Stock Exchange except Siyapatha Finance PLC.

The Directors' valuation of investments in subsidiaries has been carried out on net asset basis as at 31st December 2024. Net asset values of all subsidiary companies have exceeded the cost of investment as at 31st December 2024 and accordingly no provisions have been recognised in the Financial Statements against investment in subsidiaries.

Notes to the Financial Statements

29. PROPERTY, PLANT AND EQUIPMENT

ACCOUNTING POLICY

Recognition

Property, plant and equipment are tangible items that are held for use in the production or supply of services, for rental to others or for administrative purposes and are expected to be used during more than one period. The Group applies the requirements of the Sri Lanka Accounting Standard - LKAS 16 (Property, Plant and Equipment) in accounting for these assets. Property, plant and equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the Group and the cost of the asset can be reliably measured.

Measurement

An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to, replace part of an item of property, plant and equipment. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable for bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring the site on which they are located. Purchased software that is integral to the functionality of the related equipment is capitalised as a part of computer equipment. When parts of an item of property or equipment have different useful lives, they are accounted as separate items (major components) of property, plant and equipment.

Cost Model

The Group applies cost model to property, plant and equipment except for freehold land and buildings and records at cost of purchase or construction together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses.

Revaluation Model

The Group applies the revaluation model to the entire class of freehold land and buildings. Such properties are carried at a revalued amount, being their fair value at the date of revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses. Freehold land and buildings of the Group are revalued by independent professional valuers every three years or more frequently if the fair values are substantially different from carrying amounts, to ensure that the carrying amounts do not differ from the fair values as at the reporting date.

On revaluation of an asset, any increase in the carrying amount is recognised in 'Other Comprehensive Income' and accumulated in equity, under revaluation reserve or used to reverse a previous revaluation decrease relating to the same asset, which was charged to the Statement of Profit or Loss. In this circumstance, the increase is recognised as income to the extent of the previous write down. Any decrease in the carrying amount is recognised as an expense in the Statement of Profit or Loss or debited to the other comprehensive income to the extent of any credit balance existing in the revaluation reserve in respect of that asset. The decrease recognised in other comprehensive income reduces the amount accumulated in equity under revaluation reserves. Any balance remaining in the revaluation reserve in respect of an asset is transferred directly to retained earnings on retirement or disposal of the asset.

The Group last revalued its freehold land and buildings as at 31st December 2022, the details of which are given in Note 29.3. The Group carried out an assessment of the fair values of its land and buildings as at 31st December 2024 and concluded that there is no material change in the fair values of its land and buildings as at the reporting date.

Subsequent Cost

The subsequent cost of replacing a component of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within that part will flow to the Group and its cost can be reliably measured. The costs of day to day servicing of property, plant and equipment are charged to the Statement of Profit or Loss as incurred.

Derecognition

The carrying amount of an item of property, plant and equipment is derecognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from derecognition of an item of property, plant and equipment is included in the Statement of Profit or Loss when the item is derecognised. When replacement costs are recognised in the carrying amount of an item of property, plant and equipment, the remaining carrying amount of the replaced part is derecognised. Major inspection costs are capitalised. At each such capitalisation, the remaining carrying amount of the previous cost of inspection is derecognised.

Capital Work in Progress

These are expenses of capital nature directly incurred in the construction of buildings, major plant, machinery and system development, awaiting capitalisation. Capital work in progress would be transferred to the relevant asset when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management. Capital work-in-progress is stated at cost less any accumulated impairment losses.

Borrowing Costs

Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset have been capitalised as part of the cost of the asset in accordance with Sri Lanka Accounting Standard - LKAS 23 (Borrowing Costs). A qualifying asset is an asset which takes substantial period of time to get ready for its intended use or sale. Capitalisation of borrowing costs ceases when substantially all the activities necessary to prepare the qualifying asset for its intended use are completed. Other borrowing costs are recognised in profit or loss in the period in which they are incurred. The Group has not capitalised any borrowing cost under property, plant and equipment during the year.

Rates of depreciation for each category of property, plant and equipment are given in Note 14, 'Depreciation and Amortisation Expenses'.

29.1 Bank

	Freehold Land & Buildings Rs 000	Improvements to Lease Hold Properties Rs 000	Computer Equipment Rs 000	Office Equipment Rs 000	Fixtures & Fittings Rs 000	Motor Vehicles Rs 000	2024 Total Rs 000	2023 Total Rs 000
Cost/Valuation								
Balance as at 1st January	6,811,787	1,613,125	4,600,191	3,002,518	445,116	197,977	16,670,714	16,473,708
Additions & improvements	48,578	271,970	1,512,019	330,522	72,880	-	2,235,969	1,587,186
Disposals during the year	-	(739)	(291,000)	(44,997)	(3,135)	(21,800)	(361,671)	(1,390,180)
Transfers/adjustments	-	-	-	1,066	(812)	(254)	-	-
Cost/valuation as at 31st December	6,860,365	1,884,356	5,821,210	3,289,109	514,049	175,923	18,545,012	16,670,714
Accumulated Depreciation								
Balance as at 1st January	56,729	1,142,006	3,157,127	2,148,025	352,297	191,410	7,047,594	7,563,183
Charge for the year (Note 14)	58,035	119,942	563,759	217,944	38,246	4,067	1,001,993	873,135
Disposals during the year	-	(739)	(289,206)	(44,945)	(2,735)	(21,800)	(359,425)	(1,388,724)
Transfers/adjustments	-	-	-	924	(686)	(238)	-	-
Accumulated depreciation as at 31st December	114,764	1,261,209	3,431,680	2,321,948	387,122	173,439	7,690,162	7,047,594
Net book value as at 31st December 2024	6,745,601	623,147	2,389,530	967,161	126,927	2,484	10,854,850	
Net book value as at 31st December 2023	6,755,058	471,119	1,443,064	854,493	92,819	6,567		9,623,120

- 29.1 (a)** The carrying amount of Bank's revalued freehold land and buildings, if they were carried at cost less accumulated depreciation, would be as follows:

As at 31st December	2024			2023		
	Cost Rs 000	Accumulated Depreciation Rs 000	Cost Less Accumulated Depreciation Rs 000	Cost Rs 000	Accumulated Depreciation Rs 000	Cost Less Accumulated Depreciation Rs 000
Freehold lands	906,309	-	906,309	906,309	-	906,309
Freehold buildings	1,341,623	409,782	931,841	1,293,045	375,914	917,131
Total	2,247,932	409,782	1,838,150	2,199,354	375,914	1,823,440

Notes to the Financial Statements

29. PROPERTY, PLANT AND EQUIPMENT CONTD.

29.2 Group

	Freehold Land & Buildings Rs 000	Improvements to Lease Hold Properties Rs 000	Computer Equipment Rs 000	Office Equipment Rs 000	Fixtures & Fittings Rs 000	Motor Vehicles Rs 000	Capital Work-in Progress Rs 000	2024 Total Rs 000	2023 Total Rs 000
Cost/Valuation									
Balance as at 1st January	14,855,889	1,613,125	6,585,375	3,871,131	1,241,123	209,969	798,480	29,175,092	28,514,453
Additions & improvements	79,105	271,970	2,044,378	361,320	141,984	25,225	620,720	3,544,702	2,209,713
Disposals during the year	-	(739)	(343,065)	(50,371)	(4,491)	(29,100)	-	(427,766)	(1,549,074)
Transfers/adjustments	484,823	-	-	96,807	91,361	(254)	(672,737)	-	-
Cost/valuation as at 31st December	15,419,817	1,884,356	8,286,688	4,278,887	1,469,977	205,840	746,463	32,292,028	29,175,092
Accumulated Depreciation									
Balance as at 1st January	180,003	1,142,006	4,630,528	2,381,375	680,739	199,831	-	9,214,482	9,447,041
Charge for the year (Note 14)	190,146	119,942	796,875	269,313	104,795	5,342	-	1,486,413	1,313,641
Disposals during the year	-	(739)	(340,288)	(50,084)	(4,091)	(26,179)	-	(421,381)	(1,546,200)
Transfers/adjustments	-	-	-	924	(686)	(238)	-	-	-
Accumulated depreciation as at 31st December	370,149	1,261,209	5,087,115	2,601,528	780,757	178,756	-	10,279,514	9,214,482
Net book value as at 31st December 2024	15,049,668	623,147	3,199,573	1,677,359	689,220	27,084	746,463	22,012,514	
Net book value as at 31st December 2023	14,675,886	471,119	1,954,847	1,489,756	560,384	10,138	798,480		19,960,610

29.2 (a) The carrying amount of Group's revalued freehold land and buildings, if they were carried at cost less accumulated depreciation, would be as follows:

As at 31st December	2024			2023		
	Cost Rs 000	Accumulated Depreciation Rs 000	Cost Less Accumulated Depreciation Rs 000	Cost Rs 000	Accumulated Depreciation Rs 000	Cost Less Accumulated Depreciation Rs 000
Freehold lands	1,245,388	-	1,245,388	1,245,388	-	1,245,388
Freehold buildings	5,459,924	961,181	4,498,743	4,895,996	833,196	4,062,800
Total	6,705,312	961,181	5,744,131	6,141,384	833,196	5,308,188

29.3 Details of Bank's & Group's Land and Buildings Stated at Valuation

Valuer/Location	Range of Estimates for Unobservable Inputs			Net Book Value before Revaluation		Revaluation Amount		Revaluation Gain/(Loss)			Revaluation Gain/(Loss) Recognised in 2022	
	Price per Perch for Land	Price per Square Foot for Building	Depreciation Rate	Land	Building	Land	Building	Land	Building	Total	Profit or Loss	OCI
	Rs 000	Rs 000	%	Rs Mn	Rs Mn	Rs Mn	Rs Mn	Rs Mn	Rs Mn	Rs Mn	Rs Mn	Rs Mn
Bank												
Valuer - Mr C Wellappili												
No. 05, Wakwella Road, Galle	6,492.57	9.14	3.33	104.88	36.98	113.62	49.37	8.74	12.39	21.13	-	21.13
No. 42, Anguruwatota Road, Horana	2,992.79	Bare Land	Bare Land	51.87	-	62.25	-	10.38	-	10.38	-	10.38
No. 81 & 81 A, High Level Road, Maharagama	6,979.26	10.55	3.33	80.76	39.05	94.22	66.58	13.46	27.53	40.99	-	40.99
Valuer - Mr G M Gamage												
No. 69, Main Street, Deniyaya	2,302.63	6.19	2.50	35.04	25.20	40.29	32.98	5.26	7.78	13.03	-	13.03
No. 117, Hapugahawalawatta, Ihlagama Road, Deniyaya	87.50	Bare Land	Bare Land	1.50	-	3.50	-	2.00	-	2.00	-	2.00
No. 05, Hakmana Road, Matara	7,500.00	6.10	2.50	185.64	39.39	357.00	68.00	171.36	28.61	199.97	-	199.97
No. 25-27, Main Street, Tissamaharama	1,300.00	4.73	2.50	27.75	38.25	28.86	51.13	1.11	12.88	13.99	-	13.99
Valuer - Mr Sarath Fernando												
No. 9, 9/1, Giriulla Road, Alawwa	1,497.58	3.54	5.00	24.70	22.36	31.00	29.00	6.30	6.64	12.94	-	12.94
No. 150, Colombo Road, Gampaha	2,800.00	9.15	3.33	68.00	39.31	70.00	52.00	2.00	12.69	14.69	-	14.69
No. 312/A, Galle Road, Kalutara	2,833.33	8.38	3.33	82.00	65.92	85.00	73.00	3.00	7.08	10.08	-	10.08
No. 187, Madawala Road, Katugastota	3,534.48	8.58	3.33	81.00	59.87	82.00	67.00	1.00	7.13	8.13	-	8.13
No. 31 & 33, Negombo Road, Kurunegala	5,133.69	7.16	3.33	187.00	96.22	192.00	116.00	5.00	19.78	24.78	-	24.78
No. 475, Elvitigala Mawatha, Narahenpita	5,820.11	7.19	3.33	104.00	59.58	110.00	69.00	6.00	9.42	15.42	-	15.42
No. 408, Main Street, Negombo	3,204.82	8.95	3.33	124.00	132.32	133.00	135.00	9.00	2.68	11.68	-	11.68
No. 371, Old Moor St, Masangasveediya, Colombo 12	8,625.00	5.89	5.00	192.00	54.73	207.00	60.00	15.00	5.27	20.27	-	20.27
No. 373 A, Galle Road, Panadura	2,930.40	8.97	3.33	75.00	46.62	80.00	54.00	5.00	7.38	12.38	-	12.38
No. 85/87, Panchikawatta Road, Colombo 10	8,163.27	5.59	4.00	78.00	66.61	80.00	82.00	2.00	15.39	17.39	-	17.39
No. 180(part), Bodiraja Mawatha, Pettah	-	21.23	4.35	-	92.60	-	108.80	-	16.20	16.20	-	16.20
No. 61A, Moratuwa Road, Piliyandala	2,400.00	6.14	3.33	75.00	38.93	90.00	50.00	15.00	11.07	26.07	-	26.07
No. 1/87, Victoria Range, Digana, Kandy	547.26	5.69	3.33	10.00	10.73	11.00	13.20	1.00	2.47	3.47	-	3.47
No. 256/1, Negombo Road, Wattala	2,541.18	8.84	3.33	106.00	39.61	108.00	47.00	2.00	7.39	9.39	-	9.39
No. 591, Galle Road, Wellawatta	6,511.63	7.97	3.33	139.00	52.71	140.00	62.00	1.00	9.29	10.29	-	10.29
Valuer - Mr G W G Abeygunawardene												
"Nuwarawewakele", Maithreepala Senanayake Mw, Anuradhapura	4,650.00	6.81	2.86	175.74	58.46	187.86	60.84	12.12	2.38	14.50	0.80	13.70
No. 1022, Maradana Road, Borella	12,889.55	5.69	2.50	296.16	87.30	318.37	90.38	22.21	3.08	25.29	-	25.29
No. 103, Dharmapala Mawatha, Hunupitiya, Colombo 7	16,528.89	9.96	2.86	1,731.30	62.71	1,973.55	72.68	242.25	9.97	252.22	-	252.22
No. 29, Cross Street, Kandy	13,500.00	6.57	2.50	282.70	84.23	346.95	114.30	64.25	30.07	94.32	-	94.32
No. 261, Galle Road, Ratmalana	6,750.00	8.82	3.33	49.00	20.42	73.58	48.68	24.58	28.25	52.83	-	52.83
Valuer - Mr A A M Fathihu												
No. 202, Main Road, Attidiya	4,496.06	7.24	2.50	50.76	25.35	57.10	43.90	6.34	18.55	24.89	-	24.89
Total - Bank				4,418.80	1,395.46	5,076.15	1,716.83	657.35	321.37	978.72	0.80	977.92
Subsidiaries												
Valuer - Mr C Wellappili												
Sampath Centre - No. 110, Sir James Peiris Mawatha, Colombo 2	18,500.00	10.39	2.50	2,677.50	2,650.83	2,841.60	3,306.82	164.10	655.99	820.09	-	820.09
Valuer - Mr C Wellappili												
Siyapatha Finance PLC - No. 111, Dudley Senanayake Mawatha, Colombo 8	14,587.63	22.82	2.50	367.91	1,400.69	424.51	1,400.69	56.60	-	56.60	-	56.60
Total - Group				7,464.21	5,446.98	8,342.26	6,424.34	878.05	977.36	1,855.41	0.80	1,854.61

The revaluation amounts given in Note 29.3 are derived from valuations conducted as of 31st December 2022. The Group has determined that there is no significant change in the fair values of land and buildings as of the reporting date, from the values reported as at the last revaluation date. The income basis has been employed in determining the revaluation amount, with the exception of properties at No. 1/87, Victoria Range, Digana, Kandy, and No. 103, Dharmapala Mw, Hunupitiya, Colombo 7, which have been valued using the market comparable method.

Notes to the Financial Statements

29. PROPERTY, PLANT AND EQUIPMENT CONTD.

29.4 Freehold Land and Buildings

Location	Land Extent Perches	Buildings Sq.ft	No. of Buildings in the Location	Cost/ Revaluation of Land Rs 000	Cost/ Revaluation of Buildings Rs 000	Total Value Rs 000	Accumulated Depreciation Rs 000	2024 Net Book Value Rs 000	As a % of Total NBV	2023 Net Book Value Rs 000
Bank										
1 Alawwa										
No. 9, 9/1, Giriulla Road, Alawwa	20.7	8,190	1	31,000	38,684	69,684	3,105	66,579	0.4%	58,550
2 Anuradhapura										
"Nuwarawewakele", Maithreepala Senanayake Mw, Anuradhapura	40.4	8,929	1	187,860	61,052	248,912	3,486	245,426	1.6%	247,170
3 Attidiya										
No. 202, Main Road, Attidiya	12.7	6,064	1	57,100	51,931	109,031	2,423	106,608	0.7%	107,907
4 Borella										
No. 1022, Maradana Road, Borella	24.7	15,876	1	318,372	90,378	408,750	4,519	404,231	2.7%	406,490
5 Deniyaya										
No. 69, Main Street, Deniyaya	17.5	5,325	1	40,296	32,978	73,274	1,649	71,625	0.5%	72,449
6 Deniyaya										
No. 117, Hapugahawalawatta, lhalagama Road, Deniyaya	40.0	Bare Land	-	3,500	-	3,500	-	3,500	0.0%	3,500
7 Dharmapala Mawatha										
No. 103, Dharmapala Mawatha, Hunupitiya, Colombo 7	119.4	7,300	1	1,973,550	73,378	2,046,928	4,388	2,042,540	13.6%	2,044,756
8 Galle										
No. 05, Wakwella Road, Galle	17.5	5,400	1	113,620	49,367	162,987	3,292	159,695	1.1%	161,341
9 Gampaha										
No. 150, Colombo Road, Gampaha	25.0	5,680	1	70,000	52,000	122,000	3,467	118,533	0.9%	120,266
10 Horana										
No. 42, Anguruwatota Road, Horana	20.8	Bare Land	-	62,250	-	62,250	-	62,250	0.4%	62,250
11 Kalutara										
No. 312/A, Galle Road, Kalutara	30.0	8,715	1	85,000	73,000	158,000	4,867	153,133	1.0%	155,566
12 Kandy Metro										
No. 29, Cross Street, Kandy	25.7	17,398	1	346,950	114,300	461,250	5,715	455,535	3.0%	458,392
13 Katugastota										
No. 187, Madawala Road, Katugastota	23.2	7,811	1	82,000	67,000	149,000	4,467	144,533	1.0%	146,766
14 Kurunegala										
No. 31 & 33, Negombo Road, Kurunegala	37.4	16,202	1	192,000	117,497	309,497	7,830	301,667	2.0%	305,584
15 Maharagama										
No. 81 & 81 A, High Level Road, Maharagama	13.5	6,310	1	94,220	66,580	160,800	4,439	156,361	1.0%	158,580
16 Matara										
No. 05, Hakmana Road, Matara	47.6	11,141	2	357,000	72,716	429,716	3,598	426,118	2.8%	427,305
17 Narahenpita										
No. 475, Elvitigala Mawatha, Narahenpita	18.9	9,600	1	110,000	69,000	179,000	4,601	174,399	1.2%	176,700
18 Negombo										
No. 408, Main Street, Negombo	41.5	15,088	1	133,000	135,000	268,000	9,001	258,999	1.7%	263,499
19 Old Moor Street										
No. 371, Old Moor St, Masangasweediya, Colombo 12	24.0	10,180	1	207,000	60,000	267,000	6,001	260,999	1.7%	263,999
20 Panadura										
No. 373 A, Galle Road, Panadura	27.3	6,020	1	80,000	54,000	134,000	3,600	130,400	0.9%	132,200

Location	Land Extent Perches	Buildings Sq.ft	No. of Buildings in the Location	Cost/ Revaluation of Land Rs 000	Cost/ Revaluation of Buildings Rs 000	Total Value Rs 000	Accumulated Depreciation Rs 000	2024 Net Book Value Rs 000	As a % of Total NBV	2023 Net Book Value Rs 000
21 Panchikawatta										
No. 85/87, Panchikawatta Road, Colombo 10	9.8	14,680	1	80,000	90,835	170,835	6,756	164,079	1.1%	158,720
22 Pettah										
No. 180 (part), Bodiraja Mawatha, Pettah	-	5,124	1	-	115,909	115,909	9,758	106,151	0.7%	108,256
23 Piliyandala										
No. 61A, Moratuwa Road, Piliyandala	37.5	8,138	1	90,000	55,708	145,708	3,385	142,323	0.9%	138,333
24 Ratmalana										
No. 261, Galle Road, Ratmalana	10.9	5,520	1	73,575	69,559	143,134	3,712	139,422	0.9%	120,627
25 Tissamaharama										
No. 25-27, Main Street, Tissamaharama	22.2	10,815	1	28,860	51,140	80,000	2,557	77,443	0.5%	78,721
26 Victoria Range										
No. 1/87, Victoria Range, Digana, Kandy	20.1	2,320	1	11,000	13,200	24,200	880	23,320	0.2%	23,760
27 Wattala										
No. 256/1, Negombo Road, Wattala	42.5	5,314	1	108,000	47,000	155,000	3,134	151,866	1.0%	153,438
28 Wellawatte										
No. 591, Galle Road, Wellawatta	21.5	7,776	1	140,000	62,000	202,000	4,134	197,866	1.3%	199,933
Total - Bank	792.3	230,916	27	5,076,153	1,784,212	6,860,365	114,764	6,745,601	44.8%	6,755,058
Subsidiaries										
Sampath Centre Ltd										
29 Slave Island	153.6	318,264	1	2,841,600	3,863,686	6,705,286	181,520	6,523,766	43.4%	6,130,653
No. 110, Sir James Peiris Mawatha, Colombo 2										
Siyapatha Finance PLC										
30 Borella	29.1	61,370	1	424,500	1,429,666	1,854,166	73,865	1,780,301	11.8%	1,790,175
No. 111, Dudley Senanayake Mawatha, Colombo 8										
Total - Group	975.0	610,550	29	8,342,253	7,077,564	15,419,817	370,149	15,049,668	100.0%	14,675,886

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Notes to the Financial Statements

29. PROPERTY, PLANT AND EQUIPMENT CONTD.

29.5 (a) Improvements to Leasehold Properties

Bank & Group

As at 31st December	2024			2023
	Cost of Buildings Rs 000	Accumulated Depreciation Rs 000	Net Book Value Rs 000	Net Book Value Rs 000
01 - 05 years	299,784	248,158	51,626	53,603
06 - 10 years	868,462	706,144	162,318	120,752
Above 10 years	716,110	306,907	409,203	296,764
Total	1,884,356	1,261,209	623,147	471,119

29.5 (b) Fully Depreciated Property, Plant and Equipment

A class-wise analysis of the initial cost of fully depreciated property, plant and equipment which are still in use as at reporting date is as follows.

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Asset class				
Improvements to leasehold properties	1,026,310	995,531	1,029,982	995,531
Computer equipment & software	3,594,367	3,694,610	4,180,137	4,286,555
Office equipment	1,719,678	1,613,390	1,828,397	1,680,279
Fixtures & fittings	314,924	259,621	530,102	457,049
Motor vehicles	162,141	153,856	170,670	166,056
Total	6,817,420	6,717,008	7,739,288	7,585,470

29.5 (c) Temporarily Idle Property, Plant and Equipment - Bank & Group

The Bank holds Horana land worth of Rs 62.25 Mn with the intention of constructing a branch. The Bank does not intend to construct a branch in the bare land located in Deniyaya as it was severely affected by an earth slip. Any future construction on this land would be subjected to NBRO (National Building Research Organisation) certification.

29.5 (d) Property, Plant and Equipment Retired from Active Use - Bank & Group

Property, plant and equipment retired from active use as at 31st December 2024: Rs 99.82 Mn (2023: NIL).

29.5 (e) Title Restriction on Property, Plant and Equipment - Bank & Group

There were no restriction on the title of property, plant and equipment as at 31st December 2024 (2023: NIL).

29.5 (f) Property, Plant and Equipment Pledged as Security against Liabilities - Bank & Group

There were no items of property, plant and equipment pledged as securities against liabilities outside the Group (2023: NIL).

29.5 (g) Compensation from Third Parties for Items of Property, Plant and Equipment - Bank & Group

There were no compensation received during the year from third parties for items of property, plant and equipment that were impaired, lost or given up (2023: NIL).

30. INTANGIBLE ASSETS

ACCOUNTING POLICY

Recognition

An intangible asset is an identifiable non-monetary asset without physical substance, held for use in the production or supply of goods or services, for rental to others or for administrative purposes. An intangible asset is recognised if it is probable that the future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably. An intangible asset is initially measured at cost. Expenditure incurred on an intangible item that was initially recognised as an expense by the Group in previous annual Financial Statements or interim Financial Statements are not recognised as part of the cost of an intangible asset at a later date.

Computer Software

Cost of purchased licenses and all computer software costs incurred, licensed for use by the Group, which are not integrally related to associated hardware, which can be clearly identified, reliably measured and it's probable that they will lead to future economic benefits, are included in the Statement of Financial Position under the category 'Intangible Assets' and carried at cost less accumulated amortisation and any accumulated impairment losses.

Subsequent Expenditure

Expenditure incurred on software is capitalised only when it is probable that this expenditure will enable the asset to generate future economic benefits in excess of its originally assessed standard of performance and this expenditure can be measured and attributed to the asset reliably. All other expenditure is expensed as incurred. Goodwill is measured at cost less accumulated impairment losses.

Derecognition of Intangible Assets

The carrying amount of an item of intangible asset is derecognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from derecognition of an item of intangible asset is included in the Statement of Profit or Loss when the item is derecognised.

There were no restrictions on the title of the intangible assets as at the reporting date. Further, there were no items pledged as securities for liabilities.

Intangible assets of the Bank as at 31st December 2024 only include computer software and cost of licenses. Rates of amortisation for computer software and licenses are given in Note 14, 'Depreciation and Amortisation Expenses'.

	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Cost				
Balance as at 1st January	3,570,033	3,512,494	3,819,209	3,753,036
Additions & improvements	523,288	429,348	523,768	437,982
Disposal/write off during the year	(1,032,967)	(371,809)	(1,032,967)	(371,809)
Transfers/adjustments	-	-	(4,368)	-
Cost as at 31st December	3,060,354	3,570,033	3,305,642	3,819,209
Accumulated Amortisation				
Balance as at 1st January	2,824,638	2,934,463	3,052,677	3,152,695
Charge for the year (Note 14)	379,972	261,984	386,180	271,791
Disposal/write off during the year	(1,032,967)	(371,809)	(1,032,967)	(371,809)
Accumulated amortisation as at 31st December	2,171,643	2,824,638	2,405,890	3,052,677
Net book value as at 31st December	888,711	745,395	899,752	766,532

Notes to the Financial Statements

31. RIGHT-OF-USE ASSETS

Set out below are the carrying amounts of right-of-use assets recognised and the movements during the year.

	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Cost				
Balance as at 1st January	8,085,233	7,771,140	6,581,967	6,079,768
Additions & improvements	5,960,838	1,574,619	3,474,090	862,575
Expiration/write off during the year	(2,722,503)	(1,260,526)	(1,407,973)	(360,376)
Cost as at 31st December	11,323,568	8,085,233	8,648,084	6,581,967
Accumulated Amortisation				
Balance as at 1st January	4,479,708	4,230,854	3,429,301	2,813,998
Charge for the year (Note 14)	1,706,083	1,509,380	1,137,243	968,941
Expiration/write off during the year	(2,722,503)	(1,260,526)	(1,406,657)	(353,638)
Accumulated amortisation as at 31st December	3,463,288	4,479,708	3,159,887	3,429,301
Net book value as at 31st December	7,860,280	3,605,525	5,488,197	3,152,666

31.1 Lease Liability

Set out below are the carrying amounts of lease liabilities (included under "Other Liabilities" in Note 40) and the movements during the year.

	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Balance as at 1st January	4,181,855	4,291,844	3,825,628	3,908,634
Additions	5,960,838	1,574,619	3,474,090	862,575
Accretion of interest (Note 7.2)	537,045	645,963	406,364	493,534
Payments	(2,399,765)	(2,330,571)	(1,586,496)	(1,439,115)
Balance as at 31st December (Note 40)	8,279,973	4,181,855	6,119,586	3,825,628

31.2 Future Minimum Lease Payments under Non-cancellable Leases

	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
As at 31st December				
Maturity analysis of contractual undiscounted cash flows				
Less than 1 year	3,163,523	2,224,337	1,850,432	1,534,118
1 to 5 years	6,029,310	2,471,504	4,750,397	2,935,339
More than 5 years	996,952	545,277	1,058,055	744,265
Total undiscounted lease liabilities	10,189,785	5,241,118	7,658,884	5,213,722

31.3 Sensitivity of Right-of-Use Assets/Lease Liability to Key Assumptions

31.3.1 Sensitivity to Discount Rates

1% increase/(decrease) in discount rate as at 31st December 2024 would have (decreased)/increased the lease liability by approximately Rs 148 Mn with a similar (decrease)/increase in the right-of-use asset. Had the Bank increased/(decreased) the discount rate by 1%, the Bank's profit before tax for the year would have (decreased)/increased by approximately Rs 23 Mn.

31.3.2 Sensitivity to Lease Term

Had the lease term of all existing lease agreements been increased by further one year, lease liability of the Bank as at 31st December 2024 would have increased by Rs 3 Bn, with a similar increase in the right-of-use assets. Further, this would reduce the profit before tax of the Bank by Rs 292 Mn.

The above sensitivities are given only for the Bank since the subsidiary leases do not have a material impact on the financial statements of the Group.

32. DEFERRED TAX (ASSETS)/LIABILITIES

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Recognised under assets	(10,934,412)	(17,292,023)	(11,177,659)	(17,517,519)
Recognised under liabilities	-	-	1,465,112	1,465,112
	(10,934,412)	(17,292,023)	(9,712,547)	(16,052,407)

Net deferred tax (assets)/liabilities of one entity cannot be set-off against another entity's liabilities/(assets) since there is no legally enforceable right to set-off. Therefore, net deferred tax assets and liabilities of different entities are separately recognised in the Statement of Financial Position.

The management exercises judgment in determining the carrying value of the deferred tax asset at each reporting date. The carrying amount of the deferred tax assets is adjusted to reflect changes in tax laws and management judgement, if any, during the subsequent reporting periods, resulting in corresponding increase or decrease in profit or loss /other comprehensive income.

Notes to the Financial Statements

32. DEFERRED TAX (ASSETS)/LIABILITIES CONTD.
32.1 Movement in Deferred Tax (Assets)/Liabilities
Bank

	Accelerated Depreciation for Tax Purposes		Provision for Loan and Other Financial Assets	Revaluation on Land & Buildings	Retirement Benefit Obligation	Gain/(Loss) on FVOCI Assets	Others	Total
	Property, Plant & Equipment	Leased Assets						
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2023	503,035	118,847	(24,054,047)	1,540,708	(553,568)	963,707	(252,926)	(21,734,244)
Profit or loss (Note 16)	15,124	(7,776)	860,073	-	(132,141)	-	74,284	809,564
Other comprehensive income	-	-	-	-	(265,364)	3,898,021	-	3,632,657
Balance as at 31st December 2023	518,159	111,071	(23,193,974)	1,540,708	(951,073)	4,861,728	(178,642)	(17,292,023)
Balance as at 1st January 2024	518,159	111,071	(23,193,974)	1,540,708	(951,073)	4,861,728	(178,642)	(17,292,023)
Profit or loss (Note 16)	44,989	(19,899)	7,269,477	-	(214,915)	-	46,990	7,126,642
Other comprehensive income	-	-	-	-	(573,863)	(195,168)	-	(769,031)
Balance as at 31st December 2024	563,148	91,172	(15,924,497)	1,540,708	(1,739,851)	4,666,560	(131,652)	(10,934,412)

Group

	Accelerated Depreciation for Tax Purposes		Provision for Loan and Other Financial Assets	Revaluation on Land & Buildings	Retirement Benefit Obligation	Gain/(Loss) on FVOCI Assets	Others	Total
	Property, Plant & Equipment	Leased Assets						
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2023	566,529	138,288	(24,291,862)	3,039,824	(600,917)	963,707	(342,054)	(20,526,485)
Profit or loss (Note 16)	44,626	(23,279)	886,080	-	(141,127)	-	74,225	840,525
Other comprehensive income	-	-	-	-	(264,468)	3,898,021	-	3,633,553
Balance as at 31st December 2023	611,155	115,009	(23,405,782)	3,039,824	(1,006,512)	4,861,728	(267,829)	(16,052,407)
Balance as at 1st January 2024	611,155	115,009	(23,405,782)	3,039,824	(1,006,512)	4,861,728	(267,829)	(16,052,407)
Profit or loss (Note 16)	67,840	(22,338)	7,241,545	-	(227,320)	-	47,436	7,107,163
Other comprehensive income	-	-	-	-	(572,135)	(195,168)	-	(767,303)
Balance as at 31st December 2024	678,995	92,671	(16,164,237)	3,039,824	(1,805,967)	4,666,560	(220,393)	(9,712,547)

33. OTHER ASSETS

	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
As at 31st December				
Pre-paid expenses	1,031,301	736,542	1,195,195	816,632
Reimbursement under special senior citizen deposit scheme	3,435,944	10,839,640	3,435,944	10,839,640
Items in transit (Note 33.1)	5,124,276	13,668,632	5,124,276	13,668,632
Pre-paid staff cost (Note 33.2)	3,658,138	3,720,634	3,684,152	3,734,428
Refundable deposits	52,904	21,641	77,547	44,554
Other debtors	5,517,549	4,217,743	7,506,245	6,282,161
	18,820,112	33,204,832	21,023,359	35,386,047

33.1 Items in transit include amounts receivable under the Common Electronic Fund Transfer (CEFT) system, e-remittance, cheque clearing transactions etc.

33.2 The Movement in the Pre-Paid Staff Cost

	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Balance as at 1st January	3,720,634	3,585,095	3,734,428	3,604,034
Add: Adjustment for new grants (net of settlements)	322,505	417,553	343,174	421,244
Charge to personnel expenses (Note 13)	(385,001)	(282,014)	(393,450)	(290,850)
Balance as at 31st December	3,658,138	3,720,634	3,684,152	3,734,428

The Group's accounting policy on pre-paid staff cost is explained in Note 3.4.2.1.

34. DUE TO BANKS**ACCOUNTING POLICY**

The accounting policies pertaining to "Due to Banks" are given in Note 3.4.3.7 to the Financial Statements.

	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
As at 31st December				
Deposits (Note 34.1)	13,357,451	10,827,650	13,357,451	10,827,650
Borrowings (Note 34.2)	9,902,360	794,188	16,710,364	6,517,116
Total due to banks	23,259,811	11,621,838	30,067,815	17,344,766

34.1 Deposits**Bank & Group**

As at 31st December	2024 Rs 000	2023 Rs 000
Local Currency Deposits		
Demand deposits	36,005	19,454
Savings deposits	241,482	411,455
Term deposits	289,743	321,932
Total local currency deposits	567,230	752,841
Foreign Currency Deposits		
Term deposits	12,790,221	10,074,809
Total foreign currency deposits	12,790,221	10,074,809
Total deposits	13,357,451	10,827,650

Notes to the Financial Statements

34. DUE TO BANKS CONTD.

34.2 Borrowings

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Call borrowings	7,012,707	-	7,012,707	-
Term borrowings	-	-	6,503,249	5,278,401
Foreign bank borrowings	1,832,665	718,839	1,832,665	718,839
Unfavourable balances with local & foreign banks	1,056,988	75,349	1,361,743	519,876
Total Borrowings	9,902,360	794,188	16,710,364	6,517,116

The Bank/Group has not defaulted on principal or interest with regard to any liability during 2023 and 2024.

35. DUE TO DEPOSITORS

ACCOUNTING POLICY

The accounting policies pertaining to "Due to Depositors" are given in Note 3.4.3.7 to the Financial Statements.

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Local Currency Deposits				
Demand deposits	66,394,391	59,048,988	66,377,158	59,008,095
Saving deposits	346,557,832	272,907,275	346,311,065	272,917,719
Call deposits	3,472	3,743	3,472	3,743
Term deposits	826,447,841	698,430,507	857,995,976	721,369,450
Certificates of deposits	5,635,081	5,391,335	5,635,081	5,391,335
Margin deposits	1,647,558	1,121,567	1,647,558	1,121,567
Total local currency deposits	1,246,686,175	1,036,903,415	1,277,970,310	1,059,811,909
Foreign Currency Deposits				
Demand deposits	7,679,069	9,130,948	7,679,069	9,130,948
Saving deposits	78,528,703	80,753,895	78,528,703	80,753,895
Term deposits	122,794,214	126,656,250	122,794,214	126,656,250
Margin deposits	176,255	198,039	176,255	198,039
Total foreign currency deposits	209,178,241	216,739,132	209,178,241	216,739,132
Total deposits	1,455,864,416	1,253,642,547	1,487,148,551	1,276,551,041

35.1 Analysis of Due to Depositors

35.1.1 By Product

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Demand deposits	74,073,460	68,179,936	74,056,227	68,139,043
Saving deposits	425,086,535	353,661,170	424,839,768	353,671,614
Call deposits	3,472	3,743	3,472	3,743
Term deposits	949,242,055	825,086,757	980,790,190	848,025,700
Certificates of deposits	5,635,081	5,391,335	5,635,081	5,391,335
Margin deposits	1,823,813	1,319,606	1,823,813	1,319,606
Total deposits	1,455,864,416	1,253,642,547	1,487,148,551	1,276,551,041

35.1.2 By Currency

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Sri Lankan Rupee	1,246,686,175	1,036,903,415	1,277,970,310	1,059,811,909
United States Dollar	196,477,248	203,290,306	196,477,248	203,290,306
Euro	3,592,810	3,417,325	3,592,810	3,417,325
Great Britain Pounds	4,503,653	4,693,261	4,503,653	4,693,261
Australian Dollar	3,149,846	3,026,165	3,149,846	3,026,165
Japanese Yen	256,848	759,554	256,848	759,554
New Zealand Dollar	31,548	34,641	31,548	34,641
Singapore Dollar	313,982	325,890	313,982	325,890
Others	852,306	1,191,990	852,306	1,191,990
Total deposits	1,455,864,416	1,253,642,547	1,487,148,551	1,276,551,041

35.1.3 Current Accounts and Savings Accounts (CASA)

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
CASA				
Local Currency Deposits				
- Due to banks	277,487	430,909	277,487	430,909
- Due to depositors	412,952,223	331,956,263	412,688,223	331,925,814
Total local currency CASA	413,229,710	332,387,172	412,965,710	332,356,723
Foreign Currency Deposits				
- Due to depositors	86,207,772	89,884,843	86,207,772	89,884,843
Total foreign currency CASA	86,207,772	89,884,843	86,207,772	89,884,843
Total CASA deposits	499,437,482	422,272,015	499,173,482	422,241,566
Total Deposits				
Due to bank (Note 34.1)	13,357,451	10,827,650	13,357,451	10,827,650
Due to depositors	1,455,864,416	1,253,642,547	1,487,148,551	1,276,551,041
	1,469,221,867	1,264,470,197	1,500,506,002	1,287,378,691
CASA as a percentage (%) of total deposits	34.0	33.4	33.3	32.8

36. DUE TO OTHER BORROWERS

Bank & Group

As at 31st December	2024	2023
	Rs 000	Rs 000
Refinance borrowings	8,061,364	6,637,129
	8,061,364	6,637,129

The Bank/Group has not defaulted on principal or interest with regard to any liability during 2023 and 2024.

Notes to the Financial Statements

37. DUE TO DEBT SECURITIES HOLDERS

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Redeemable debentures (Note 37.1)	18,891,500	26,709,893	24,741,652	29,837,303
Securitisation	-	-	-	549,506
Total	18,891,500	26,709,893	24,741,652	30,386,809
Due within 1 year	2,891,500	10,709,893	3,241,652	12,886,809
Due after 1 year	16,000,000	16,000,000	21,500,000	17,500,000
Total	18,891,500	26,709,893	24,741,652	30,386,809
Senior debt	-	-	4,000,000	549,506
Subordinated debt	18,891,500	26,709,893	20,741,652	29,837,303
Total	18,891,500	26,709,893	24,741,652	30,386,809

37.1 Redeemable Debentures

	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Balance as at 1st January	26,709,893	21,973,516	29,837,303	27,210,652
Debentures issued	-	10,000,000	4,000,000	10,000,000
Debentures redeemed	(7,000,000)	(7,500,000)	(8,500,000)	(9,500,000)
	19,709,893	24,473,516	25,337,303	27,710,652
Interest accrued during the year	3,494,729	4,250,797	4,064,042	4,709,694
Interest paid	(4,313,122)	(2,014,420)	(4,659,693)	(2,583,043)
Balance as at 31st December	18,891,500	26,709,893	24,741,652	29,837,303

37. DUE TO DEBT SECURITIES HOLDERS CONTD.**37.1.1 Details of Debentures Issued**

Category	Colombo Stock Exchange Listing	No. of Debentures	Face Value	Rate of Interest	Interest Payable Frequency	Tenor	Allotment Date	Maturity Date	Amortised Cost	
									As at 31.12.2024	As at 31.12.2023
Rs 000										
Debentures issued by the Bank										
2019	Listed	70,000,000	7,000,000	13.90%	Annually	5 years	28-Feb-19	28-Feb-24	-	7,818,386
2021	Listed	60,000,000	6,000,000	9.00%	Annually	7 years	12-Apr-21	12-Apr-28	6,390,575	6,390,575
2023	Listed	99,900,000	9,990,000	28.00%	Annually	5 years	9-Feb-23	9-Feb-28	12,489,138	12,488,321
2023	Listed	100,000	10,000	*T-bill rate+1.5%	Annually	5 years	9-Feb-23	9-Feb-28	11,787	12,611
Total debentures issued by the Bank										
18,891,500 26,709,893										
Debentures issued by the Subsidiary, Siyapatha Finance PLC										
2019	Listed	15,000,000	1,500,000	13.33%	Annually	5 Years	8-Aug-19	7-Aug-24	-	1,579,980
2021	Listed	15,000,000	1,500,000	9.46%	Annually	5 Years	1-Sep-21	31-Aug-26	1,547,818	1,547,430
2024	Listed	40,000,000	4,000,000	13.20%	Annually	5 Years	6-Jun-24	6-Jun-29	4,302,334	-
Total debenture issued by the Subsidiary										
5,850,152 3,127,410										
Total debentures issued by the Group										
24,741,652 29,837,303										

Since 2017, the Bank has only issued Basel III, Tier II compliant, listed, rated, unsecured, subordinated, redeemable debentures with a non-viability conversion at a par value of Rs 100/- each. The Bank redeemed the debentures issued in 2019 on 28th February 2024.

The outstanding debentures of Siyapatha Finance PLC are rated, unsecured, redeemable debentures of a par value of Rs 100/- each. The debentures issued in 2024 are senior debentures whilst all others are subordinated debentures. Siyapatha Finance PLC has redeemed the debentures issued in 2019 on 7th August 2024.

*One year gross T-bill rate + 1.5%, subject to a floor of 20% & a cap of 31%

37.1.2 Proposed Debenture Issue

The Board of Directors of the Bank at its meeting held on 7th August 2024 decided to issue up to 50,000,000 Basel III compliant - Tier 2, Listed, Rated Unsecured, Subordinated, Redeemable, 5 year debentures with a Non-Viability Conversion, of the par value of Rs 100/- each, to raise a sum of up to Rs 5 Bn with an option to issue up to a further 20,000,000 of said debentures to increase the said sum by up to a further Rs 2 Bn at the discretion of the Bank in the event of an oversubscription of the initial issue and with a further option to issue up to a further 30,000,000 of said debentures to increase the said sum by up to a further Rs 3 Bn at the discretion of the Bank in the event of an oversubscription of the initial issue and the second tranche. The proposed debenture has been approved by the shareholders and the Central Bank of Sri Lanka.

Notes to the Financial Statements

38. RETIREMENT BENEFIT OBLIGATION

ACCOUNTING POLICY

The accounting policies pertaining to "Retirement Benefit Obligation" are given in Note 13 to the Financial Statements.

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Provision for gratuity (Note 38.1.1)	2,688,432	2,206,081	2,908,822	2,390,873
Leave accrual plan (Note 38.2.1)	349,460	265,027	349,460	265,027
EPF interest guarantee plan (Note 38.3.1)	175,057	135,674	175,057	135,674
Net liability on pension fund (Note 38.4.1)	2,586,553	563,465	2,586,553	563,465
	5,799,502	3,170,247	6,019,892	3,355,039

38.1 Provision for Gratuity

38.1.1 Movement of Defined Benefit Obligation During the Year

	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Balance as at 1st January	2,206,081	1,809,909	2,390,873	1,962,919
Current service cost	180,092	166,634	217,377	195,236
Interest expenses	293,409	325,784	317,431	353,327
Benefits paid from plan	(254,334)	(265,675)	(274,283)	(287,051)
Actuarial loss/(gain) due to changes in assumptions				
- Financial assumptions	83,705	(79,663)	84,006	(77,513)
- Demographic assumptions	(85,350)	371,875	(85,350)	371,883
Actuarial experience loss/(gain)	264,829	(122,783)	258,768	(127,928)
Balance as at 31st December	2,688,432	2,206,081	2,908,822	2,390,873

38.1.2 Amounts Recognised in Profit or Loss

For the year ended 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Current service cost	180,092	166,634	217,377	195,236
Interest expenses	293,409	325,784	317,431	353,327
Total amount recognised in profit or loss (Note 13)	473,501	492,418	534,808	548,563

38.1.3 Amounts Recognised in OCI

For the year ended 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Actuarial gain/(loss) due to changes in assumptions*				
- Financial assumptions	83,705	(79,663)	84,006	(77,513)
- Demographic assumptions	(85,350)	371,875	(85,350)	371,883
Actuarial experience loss arising during the year	264,829	(122,783)	258,768	(127,928)
Total actuarial loss recognised in OCI	263,184	169,429	257,424	166,442

*The significant assumptions used for the actuarial valuation are given in Note 38.1.4.

An actuarial valuation of the gratuity fund of the Bank was carried out as at 31st December 2024 by Mr Piyal S Goonetilleke (Fellow of Society of Actuaries - USA) of Messrs Piyal S Goonetilleke & Associates, a firm of professional actuaries. The valuation method used by the actuary to value the Fund is the Projected Unit Credit Method, as recommended by Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits).

38.1.4 Actuarial Assumptions - Bank

	2024	2023
Financial assumptions*		
Discount rate	11.8%	13.3%
Future salary increment rate	10.8%	11.9%
Demographic assumptions**		
Mortality	RP 2000 Mortality Table	RP 2000 Mortality Table
Retirement age	60 years	60 years

The expected average future working life of the active participants is 10.1 years (2023: 9.8 years).

* The discount rate used for the actuarial valuation changed during the year due to changes in market interest rates. The future salary increment rate was also revised to align with the decrease in market interest rates.

** The Bank adjusted the staff turnover rates used in 2024, a key demographic assumption, based on the actual turnover rates during the period.

38.1.5 Sensitivity of Assumptions Employed in Gratuity Valuation - Bank

Reasonably possible changes to one of the significant actuarial assumptions at the reporting date, while holding other assumptions constant, would have affected the gratuity liability/Statement of Comprehensive Income by the amounts shown below.

Increase/(Decrease) in Discount Rate	Increase/(Decrease) in Salary Increment Rate	2024		2023	
		Sensitivity Effect on Comprehensive Income Statement Increase/(Decrease) in Comprehensive Income for the Year Rs Mn	Sensitivity Effect on Gratuity Liability Increase/(Decrease) in Liability Rs Mn	Sensitivity Effect on Comprehensive Income Statement Increase/(Decrease) in Comprehensive Income for the Year Rs Mn	Sensitivity Effect on Gratuity Liability Increase/(Decrease) in Liability Rs Mn
1%	-	237.6	(237.6)	218.8	(218.8)
(1%)	-	(278.4)	278.4	(260.2)	260.2
-	1%	(275.4)	275.4	(258.1)	258.1
-	(1%)	239.4	(239.4)	221.0	(221.0)

All Subsidiaries of the Group conduct actuarial valuations to determine their respective gratuity liabilities. However, assumptions and the sensitivity of the assumptions have been provided only for the Bank's gratuity fund as Subsidiary gratuity liabilities do not have a material impact on the Group Financial Statements.

38.2 Leave Accrual Plan**38.2.1 Liability Recognised in the Statement of Financial Position****Bank & Group**

	2024	2023
	Rs 000	Rs 000
Balance as at 1st January	265,027	274,845
Provision made/(reversed) during the year	84,433	(9,818)
Balance as at 31st December	349,460	265,027

Notes to the Financial Statements

38. RETIREMENT BENEFIT OBLIGATION CONTD.

38.3 EPF Interest Guarantee Plan

Employees' Provident Fund (EPF) is an approved private provident fund established to meet the provident fund liabilities of the Bank, to which the Bank and employees contribute 12% and 8%, respectively, on the salary of each employee. Employees who are members of the fund are entitled to receive interest at a guaranteed rate, which is the National Savings Bank's one-year fixed deposit rate (net of income tax), on their balance, even if the fund earns a lower return from its investments in a given financial year. As per Section 8 of the EPF Constitution, the Bank shall contribute any shortfall in the revenue account of the fund, after payment of interest at the stated rate and other costs of administering the fund. Therefore, the Bank's obligation to the EPF is not limited to the 12% contribution mentioned above, and accordingly, the fund was treated as a defined benefit liability under Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits). An actuarial valuation was carried out by Mr Piyal S Goonetilleke (Fellow of the Society of Actuaries - USA) of Messrs Piyal S Goonetilleke & Associates, a firm of professional actuaries, to assess the Bank's additional obligation arising from Section 8 of the EPF Constitution as of 31st December 2024.

38.3.1 Movement of the Liability Recognised in the Statement of Financial Position

Bank & Group

	2024	2023
	Rs 000	Rs 000
Balance as at 1st January	135,674	97,733
Current service cost and interest cost (Note 38.3.2)	27,343	24,400
Actuarial loss (Note 38.3.3)	12,040	13,541
Balance as at 31st December	175,057	135,674

38.3.2 Amounts Recognised in Profit or Loss

Bank & Group

	2024	2023
	Rs 000	Rs 000
For the year ended 31st December		
Current service cost	9,298	6,808
Interest expense on defined benefit liability	18,045	17,592
Total amount recognised in profit or loss	27,343	24,400

38.3.3 Amounts Recognised in OCI

Bank & Group

	2024	2023
	Rs 000	Rs 000
For the year ended 31st December		
Actuarial loss/(gain) due to changes in assumptions*		
- Financial assumptions	12,884	34,550
- Demographic assumptions	4,660	(3,160)
Actuarial gain due to experience adjustments	(5,504)	(17,849)
Total amount recognised in OCI	12,040	13,541

* The significant assumptions used for the actuarial valuation are given in Note 38.3.4.

38.3.4 Actuarial Assumptions - Bank

	2024	2023
Financial assumptions*		
Discount rate	11.8%	13.3%
Future salary increment rate	10.8%	11.9%
Return from EPF investments	5.8%	6.6%
Long term guaranteed EPF interest rate (net of tax)	6.0%	6.9%
Demographic assumptions**		
Mortality	RP 2000 Mortality Table	RP 2000 Mortality Table

The expected average future working life of the active participants is 10.3 years (2023: 9.8 years)

* The discount rate used for the actuarial valuation changed during the year due to changes in market interest rates. The future salary increment rate was also revised to align with the decrease in market interest rates.

** The Bank adjusted the staff turnover rates used in 2024, a key demographic assumption, based on the actual turnover rates during the period.

38.3.5 Sensitivity of Assumptions Employed in EPF Interest Guarantee Plan Valuation

Reasonably possible changes to one of the significant actuarial assumptions at the reporting date, while holding other assumptions constant, would have affected the EPF interest guarantee liability/Statement of Comprehensive Income by the amounts shown below.

Increase/(Decrease) in Discount Rate	Increase/(Decrease) in Salary Increment Rate	2024		2023	
		Sensitivity Effect on Comprehensive Income Statement Increase/(Decrease) in Comprehensive Income for the Year Rs Mn	Sensitivity Effect on Employment Benefit Obligation Increase/(Decrease) in Liability Rs Mn	Sensitivity Effect on Comprehensive Income Statement Increase/(Decrease) in Comprehensive Income for the Year Rs Mn	Sensitivity Effect on Employment Benefit Obligation Increase/(Decrease) in Liability Rs Mn
1%	-	16.2	(16.2)	13.2	(13.2)
(1%)	-	(18.8)	18.8	(15.3)	15.3
-	1%	(3.5)	3.5	(2.9)	2.9
-	(1%)	3.2	(3.2)	2.7	(2.7)

38.4 Pension Fund

38.4.1 Net Liability Recognised in the Statement of Financial Position

Bank & Group

As at 31st December	2024	2023
	Rs 000	Rs 000
Present value of funded obligations as at 31st December (Note 38.4.4)	12,511,832	9,815,046
Fair value of plan assets as at 31st December (Note 38.4.5)	(9,925,279)	(9,251,581)
Funded status	2,586,553	563,465
Present value of unfunded benefit obligation	-	-
Net liability recognised in the Statement of Financial Position	2,586,553	563,465

Notes to the Financial Statements

38. RETIREMENT BENEFIT OBLIGATION CONTD.

38.4.2 Amounts Recognised in Profit or Loss

Bank & Group

For the year ended 31st December	2024	2023
	Rs 000	Rs 000
Current service cost	246,524	210,167
Net interest expense on the net defined benefit liability	138,913	(11,019)
Total amount recognised in profit or loss (Note 13)	385,437	199,148

38.4.3 Amounts Recognised in OCI

Bank & Group

For the year ended 31st December	2024	2023
	Rs 000	Rs 000
Actuarial loss/(gain) due to changes in assumptions*		
- Financial assumptions	757,072	2,204,734
- Demographic assumptions	(215,070)	(605,775)
Actuarial loss/(gain) due to experience adjustments	1,589,821	(141,906)
Actuarial gain from plan assets	(494,172)	(755,477)
Total amount recognised in OCI	1,637,651	701,576

* The significant assumptions used for the actuarial valuation are given in Note 38.4.6.

38.4.4 Defined Benefit Obligation Reconciliation

Bank & Group

	2024	2023
	Rs 000	Rs 000
Defined benefit obligation as at 1st January	9,815,046	7,336,784
Current service cost	246,524	210,167
Interest cost	1,266,141	1,320,621
Gain on plan amendments	-	-
Actual benefits paid from plan	(947,702)	(509,579)
Actuarial loss/(gain) due to changes in assumptions		
- Financial assumptions	757,072	2,204,734
- Demographic assumptions	(215,070)	(605,775)
Actuarial loss/(gain) due to experience adjustments	1,589,821	(141,906)
Defined benefit obligation as at 31st December	12,511,832	9,815,046

38.4.5 Fair Value of Plan Assets Reconciliation

Bank & Group

	2024	2023
	Rs 000	Rs 000
Fair value of plan assets as at 1st January	9,251,581	7,674,043
Interest income on plan assets	1,127,228	1,331,640
Actual employer contributions	-	-
Actual benefits paid from plan	(947,702)	(509,579)
Actuarial gain from plan assets	494,172	755,477
Fair value of plan assets as at 31st December (Note 38.4.5 (a))	9,925,279	9,251,581

An actuarial valuation of the Pension Fund was carried out as at 31st December 2024 by Mr Piyal S Goonetilleke (Fellow of Society Actuaries - USA) of Messrs Piyal S Goonetilleke & Associates, a firm of professional actuaries. The valuation method used by the actuary to value the Fund is the Projected Unit Credit Method, as recommended by Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits).

38.4.5(a) Fair Value of Plan Assets Consists of the Following**Bank & Group**

As at 31st December	2024	2023
	Rs 000	Rs 000
Equity securities & debentures - quoted	2,354,692	1,720,352
Term deposits	3,062,999	5,091,348
Government securities	4,186,703	1,696,870
Others	320,885	743,011
Fair value of plan assets	9,925,279	9,251,581

38.4.6 Actuarial Assumptions**Bank & Group**

As at 31st December	2024	2023
Financial assumptions*		
Discount rate	11.8%	12.9%
Future salary increment rate	10.8%	11.9%
Expected return on assets	11.8%	12.9%
Demographic assumptions**		
Mortality	RP 2000 Mortality Table	RP 2000 Mortality Table
Retirement age	60 years	60 years

The expected average future life of the active and retired participants is 27.5 years (2023: 28.4 years).

The weighted average duration of the defined benefit obligation is 10.7 years (2023: 10.5 years).

* The discount rate used for the actuarial valuation changed during the year due to changes in market interest rates. The future salary increment rate was also revised to align with the decrease in market interest rates.

** The Bank adjusted the staff turnover rates used in 2024, a key demographic assumption, based on the actual turnover rates during the period.

38.4.7 Sensitivity of Assumptions Employed in Pension Fund Valuation

Reasonably possible changes to one of the significant actuarial assumptions at the reporting date, while holding other assumptions constant, would have affected the net pension liability/Statement of Comprehensive Income by the amounts shown below.

Increase/(Decrease) in Discount Rate	Increase/(Decrease) in Salary Increment Rate	2024		2023	
		Sensitivity Effect on Statement of Comprehensive Income Increase/(Decrease) in Comprehensive Income for the Year Rs Mn	Sensitivity Effect on Employment Benefit Obligation Increase/(Decrease) in Pension Liability Rs Mn	Sensitivity Effect on Statement of Comprehensive Income Increase/(Decrease) in Comprehensive Income for the Year Rs Mn	Sensitivity Effect on Employment Benefit Obligation Increase/(Decrease) in Pension Liability Rs Mn
1%	-	1,080.3	(1,080.3)	832.8	(832.8)
(1%)	-	(1,256.0)	1,256.0	(964.9)	964.9
-	1%	(440.7)	440.7	(372.7)	372.7
-	(1%)	410.7	(410.7)	346.6	(346.6)

Notes to the Financial Statements

39. CURRENT TAX LIABILITIES

	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Balance as at 1st January	16,220,788	18,754,155	16,688,675	19,186,239
Current tax based on profit for the year (Note 16)	12,929,208	11,810,765	13,923,111	12,434,937
(Over)/under provision in respect of previous years (Note 16)	(654,047)	-	(545,265)	1,779
Payment of tax	(13,973,220)	(14,344,132)	(14,754,319)	(14,934,280)
Balance as at 31st December	14,522,729	16,220,788	15,312,202	16,688,675

40. OTHER LIABILITIES

	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
As at 31st December				
Deposit insurance premium payable	364,428	313,609	368,380	316,480
Deferred income	353,167	370,104	353,167	370,104
Lease liability (Note 31.1)	8,279,973	4,181,855	6,119,586	3,825,628
Pay orders and drafts issued	1,353,428	1,297,588	1,353,428	1,297,588
Items in transit (Note 40.1)	11,521,034	17,780,549	11,521,034	17,780,549
Accrued expenses	9,504,672	5,568,944	9,767,558	5,739,576
Impairment provision for expected credit loss- credit related commitments & contingencies (Note 45.2)	3,616,994	3,235,498	3,595,480	3,219,513
Other payable (Note 40.2)	6,197,820	6,925,199	9,405,764	8,418,053
	41,191,516	39,673,346	42,484,397	40,967,491

40.1 Items in transit include amounts payable under the Common Electronic Fund Transfer (CEFT) system, Common ATM Switch (CAS), Sri Lanka Interbank Payments Systems (SLIPS) etc.

40.2 Other payables include amounts payable to credit/debit card merchants for point-of-sale transactions, amounts payable to vendors for finance lease transactions, unclaimed balances and other miscellaneous payable balances that have arisen in the ordinary course of business of the Bank/Group.

41. STATED CAPITAL

Bank & Group

	2024 Rs 000	2023 Rs 000
Balance as at 1st January	48,741,119	47,622,493
Scrip dividend	-	1,118,626
Balance as at 31st December	48,741,119	48,741,119

Rights, preferences and restrictions of classes of capital

The holders of ordinary shares have the right to receive dividends as declared from time to time and are entitled to one vote per share at the Annual General Meeting of the Bank.

41.1 Reconciliation of Number of Shares

Bank & Group

	2024	2023
Ordinary shares as at 1st January	1,172,700,760	1,144,373,955
Number of shares issued due to final scrip dividend 2022	-	28,326,805
Ordinary shares as at 31st December	1,172,700,760	1,172,700,760

42. STATUTORY RESERVES

	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Statutory reserve fund (Note 42.1)	7,985,000	6,615,000	8,358,000	6,929,000
Special reserve (Note 42.2)	1,660,470	-	1,660,470	-
Balance as at 31st December	9,645,470	6,615,000	10,018,470	6,929,000

42.1 Statutory Reserve Fund

The statutory reserve fund is maintained as required by the Section 20 (1) of the Banking Act No. 30 of 1988. A sum equivalent to not less than 5% of the profit after tax before any dividend is declared or any profits are transferred to elsewhere, should be transferred to above reserve until it equals to 50% of the Bank's stated capital. Thereafter, a further sum equivalent to 2% of such profits should be transferred to the statutory reserve fund until the amount of the said reserve fund equals the stated capital of the Bank.

Siyapatha Finance PLC also transfers 5% of its profit after tax to the statutory reserve fund, as required by the Finance Companies (Capital Funds) Direction No. 01 of 2003.

	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Balance as at 1st January	6,615,000	5,755,000	6,929,000	6,033,000
Transfer during the year	1,370,000	860,000	1,429,000	896,000
Balance as at 31st December	7,985,000	6,615,000	8,358,000	6,929,000

42.2 Special Reserve

The Central Bank of Sri Lanka (CBSL) instructed banks to establish a special temporary reserve equal to 15% of the amortised cost of the USD Step-Up Bonds received in settlement of the restructured SLISBs. This requirement is effective for a six-month period starting from 31st December 2024. As a result, in 2024, the Bank transferred Rs 1,660 Mn to this reserve, representing 15% of the Step-Up Bonds' amortised cost, which amounted to Rs 11,070 Mn.

Bank & Group

	2024 Rs 000	2023 Rs 000
Balance as at 1st January	-	-
Transfer during the year	1,660,470	-
Balance as at 31st December	1,660,470	-

43. OTHER RESERVES

	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
As at 31st December				
Revaluation reserve (Note 43.1)	3,594,984	3,594,984	7,092,922	7,092,922
Fair value through other comprehensive income reserve (Note 43.2)	10,888,641	11,344,032	10,888,641	11,344,032
General reserve (Note 43.3)	80,010,923	67,011,693	80,010,923	67,011,693
	94,494,548	81,950,709	97,992,486	85,448,647

Notes to the Financial Statements

43. OTHER RESERVES CONTD.

43.1 Revaluation Reserve

The revaluation reserve relates to the revaluation of freehold land and buildings and represents the fair value changes of the land and buildings as at the date of revaluation.

	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Balance as at 1st January	3,594,984	3,594,984	7,092,922	7,092,922
Revaluation surplus	-	-	-	-
Balance as at 31st December	3,594,984	3,594,984	7,092,922	7,092,922

43.2 Fair Value through Other Comprehensive Income Reserve

The fair value through other comprehensive income reserve (FVOCI) comprises the cumulative net change in the fair value of financial assets measured at FVOCI until such investments are derecognised or impaired.

Bank & Group

	2024 Rs 000	2023 Rs 000
Balance as at 1st January	11,344,032	2,248,650
Gain on re-measurement - debt instruments at FVOCI	1,923,421	13,748,274
Reclassification to profit or loss due to derecognition - debt instruments at FVOCI	(974,008)	(282,107)
Changes in impairment recycled to profit or loss - debt instruments at FVOCI	65	281,884
Loss on re-measurement - equity instruments at FVOCI	(1,286,931)	-
Exchange loss - equity instruments at FVOCI	(313,106)	(754,648)
Deferred tax effect - due to change in temporary difference (Note 32.1)	195,168	(3,898,021)
Balance as at 31st December	10,888,641	11,344,032

43.2.1 The Bank earned a mark to market gain of Rs 1.9 Bn (2023: 13.7 Bn) primarily on remeasurement of treasury bills and treasury bonds.

43.3 General Reserve

The Board of Directors decides the amount to be transferred to the general reserve from retained earnings after retaining a substantial amount to pay the proposed dividend. The purpose of setting up the general reserve is to meet potential future unknown commitments.

Bank & Group

	2024 Rs 000	2023 Rs 000
Balance as at 1st January	67,011,693	58,989,347
Unclaimed dividend adjustments	(770)	22,346
Transfer during the year	13,000,000	8,000,000
Balance as at 31st December	80,010,923	67,011,693

44. RETAINED EARNINGS

	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Balance as at 1st January	10,566,248	8,169,471	16,711,726	13,564,655
Profit for the year	27,320,612	17,140,079	28,703,260	17,924,282
Actuarial loss on defined benefit plans	(1,912,875)	(884,546)	(1,907,115)	(881,559)
Deferred tax effect on actuarial loss on defined benefit plans	573,863	265,364	572,135	264,468
Final dividend: Scrip	-	(1,316,031)	-	(1,316,031)
Final dividend: Cash	(6,860,299)	(3,948,089)	(6,860,299)	(3,948,089)
Transfers to reserves during the year	(16,030,470)	(8,860,000)	(16,089,470)	(8,896,000)
Balance as at 31st December	13,657,079	10,566,248	21,130,237	16,711,726

45. COMMITMENTS AND CONTINGENCIES

ACCOUNTING POLICY

The accounting policies pertaining to "Commitments and Contingencies" are given in Note 3.4.3.8 to the Financial Statements

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Local Currency				
Credit related commitments & contingencies				
Undrawn-direct credit facilities	130,621,587	116,854,253	127,964,746	115,140,510
Undrawn-indirect credit facilities	100,355,887	65,688,629	100,355,887	65,688,629
Acceptances	43,094	26,325	43,094	26,325
Documentary credit	493,673	1,003,478	493,673	1,003,478
Guarantees	32,709,383	31,886,127	32,710,383	31,889,127
Credit related commitments & contingencies - Local currency	264,223,624	215,458,812	261,567,783	213,748,069
Other commitments & contingencies				
Capital commitments	1,419,564	632,692	1,512,302	789,664
Operating lease commitments - as lessee (Note 45.4)	100,937	84,450	100,937	84,450
Forward exchange contracts	15,142,955	5,288,272	15,142,955	5,288,272
Currency SWAPs	102,652,002	107,447,795	102,652,002	107,447,795
Other commitments & contingencies - Local currency	119,315,458	113,453,209	119,408,196	113,610,181
Gross commitments & contingencies - Local currency	383,539,082	328,912,021	380,975,979	327,358,250
Foreign Currency				
Credit related commitments & contingencies				
Undrawn-direct credit facilities	31,818,805	38,693,848	31,818,805	38,693,848
Undrawn-indirect credit facilities	7,311,473	3,214,738	7,311,473	3,214,738
Acceptances	16,722,320	10,642,621	16,722,320	10,642,621
Documentary credit	25,226,514	27,338,763	25,226,514	27,338,763
Guarantees	6,765,517	3,605,317	6,765,517	3,605,317
Credit related commitments & contingencies - Foreign currency	87,844,629	83,495,287	87,844,629	83,495,287
Other commitments & contingencies				
Capital commitments	532,448	300,712	532,448	300,712
Forward exchange contracts	36,552,533	23,146,684	36,552,533	23,146,684
Currency SWAPs	18,992,623	48,713,859	18,992,623	48,713,859
Other commitments & contingencies - Foreign currency	56,077,604	72,161,255	56,077,604	72,161,255
Gross commitments & contingencies - Foreign currency	143,922,233	155,656,542	143,922,233	155,656,542
Total gross commitments & contingencies	527,461,315	484,568,563	524,898,212	483,014,792
Impairment for expected credit losses - credit related commitments & contingencies (Note 45.2)	(3,616,994)	(3,235,498)	(3,595,480)	(3,219,513)
Commitments & contingencies - net of impairment for expected credit losses	523,844,321	481,333,065	521,302,732	479,795,279

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Notes to the Financial Statements

45. COMMITMENTS AND CONTINGENCIES CONTD.

45.1 Analysis of Credit Related Commitments and Contingencies based on the Exposure to Credit Risk

Bank

As at 31st December 2024	Stage 1	Stage 2	Stage 3	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Undrawn-direct credit facilities	153,504,250	8,936,142	-	162,440,392
Undrawn-indirect credit facilities	95,800,123	11,865,639	1,598	107,667,360
Acceptances	15,670,186	889,386	205,842	16,765,414
Documentary credit	23,841,836	1,754,097	124,254	25,720,187
Guarantees	32,220,326	5,911,696	1,342,878	39,474,900
Gross credit related commitments & contingencies	321,036,721	29,356,960	1,674,572	352,068,253
Impairment for expected credit losses	(2,027,337)	(1,000,137)	(589,520)	(3,616,994)
Net credit related commitments & contingencies	319,009,384	28,356,823	1,085,052	348,451,259

As at 31st December 2023	Stage 1	Stage 2	Stage 3	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Undrawn-direct credit facilities	147,398,802	8,149,299	-	155,548,101
Undrawn-indirect credit facilities	54,019,532	13,313,616	1,570,219	68,903,367
Acceptances	9,947,239	246,109	475,598	10,668,946
Documentary credit	26,348,217	1,988,621	5,403	28,342,241
Guarantees	25,327,806	9,371,566	792,072	35,491,444
Gross credit related commitments & contingencies	263,041,596	33,069,211	2,843,292	298,954,099
Impairment for expected credit losses	(2,507,806)	(701,999)	(25,693)	(3,235,498)
Net credit related commitments & contingencies	260,533,790	32,367,212	2,817,599	295,718,601

Group

As at 31st December 2024	Stage 1	Stage 2	Stage 3	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Undrawn-direct credit facilities	150,847,409	8,936,142	-	159,783,551
Undrawn-indirect credit facilities	95,800,123	11,865,639	1,598	107,667,360
Acceptances	15,670,186	889,386	205,842	16,765,414
Documentary credit	23,841,836	1,754,097	124,254	25,720,187
Guarantees	32,221,326	5,911,696	1,342,878	39,475,900
Gross credit related commitments & contingencies	318,380,880	29,356,960	1,674,572	349,412,412
Impairment for expected credit losses	(2,005,823)	(1,000,137)	(589,520)	(3,595,480)
Net credit related commitments & contingencies	316,375,057	28,356,823	1,085,052	345,816,932

As at 31st December 2023	Stage 1	Stage 2	Stage 3	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Undrawn-direct credit facilities	145,685,059	8,149,299	-	153,834,358
Undrawn-indirect credit facilities	54,019,532	13,313,616	1,570,219	68,903,367
Acceptances	9,947,239	246,109	475,598	10,668,946
Documentary credit	26,348,217	1,988,621	5,403	28,342,241
Guarantees	25,330,806	9,371,566	792,072	35,494,444
Gross credit related commitments & contingencies	261,330,853	33,069,211	2,843,292	297,243,356
Impairment for expected credit losses	(2,491,821)	(701,999)	(25,693)	(3,219,513)
Net credit related commitments & contingencies	258,839,032	32,367,212	2,817,599	294,023,843

45.2 Impairment for Expected Credit Losses- Credit Related Commitments and Contingencies

	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Stage 1				
Balance as at 1st January	2,507,806	2,128,073	2,491,821	2,122,309
Net (reversal)/charge for the year (Note 12.3)	(438,217)	430,818	(443,746)	420,597
Other movements including exchange rate differences	(42,252)	(51,085)	(42,252)	(51,085)
Balance as at 31st December	2,027,337	2,507,806	2,005,823	2,491,821
Stage 2				
Balance as at 1st January	701,999	975,413	701,999	975,413
Net charge/(reversal) for the year (Note 12.3)	337,064	(207,123)	337,064	(207,123)
Other movements including exchange rate differences	(38,926)	(66,291)	(38,926)	(66,291)
Balance as at 31st December	1,000,137	701,999	1,000,137	701,999
Stage 3				
Balance as at 1st January	25,693	15,578	25,693	15,578
Net charge for the year (Note 12.3)	565,622	10,639	565,622	10,639
Other movements including exchange rate differences	(1,795)	(524)	(1,795)	(524)
Balance as at 31st December	589,520	25,693	589,520	25,693
Total				
Balance as at 1st January	3,235,498	3,119,064	3,219,513	3,113,300
Net charge for the year (Note 12.3)	464,469	234,334	458,940	224,113
Other movements including exchange rate differences	(82,973)	(117,900)	(82,973)	(117,900)
Balance as at 31st December	3,616,994	3,235,498	3,595,480	3,219,513

45.3 Capital Commitments

Capital expenditure approved by the Board of Directors, for which provisions have not been made in the accounts are detailed below.

	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
As at 31st December				
Approved & contracted for	1,346,818	586,919	1,439,556	743,891
Approved but not contracted for	605,194	346,485	605,194	346,485
	1,952,012	933,404	2,044,750	1,090,376

45.4 Operating Lease Commitments**Bank & Group**

	2024	2023
	Rs 000	Rs 000
As at 31st December		
Less than 1 year	100,937	84,450
More than 1 year	-	-
	100,937	84,450

Notes to the Financial Statements

45. COMMITMENTS AND CONTINGENCIES CONTD.

45.5 Other Contingent Liabilities

45.5.1 Litigation against the Bank

Litigation is a common occurrence in the Banking industry due to the nature of its business and in that light, the Bank has formal controls and policies in place for managing and defending any legal actions instituted against it. Pursuant to obtaining professional advice and estimating any loss likely to be incurred by the Bank if any, adjustments are made to the accounts of the Bank in order to accommodate any adverse effects that such claims may have on its financial standing.

(i). The following cases instituted against the Bank are currently being adjudicated before court.

(a) Case No. 7058/DMR

The Plaintiff instituted this action against the Bank, claiming a sum of Rs 20 Mn on the purported basis that the Bank has increased the rate of interest in respect of the housing loan obtained by the Plaintiff, thereby causing loss to the Plaintiff. While the case is currently being adjudicated before the District Court, we note that the letter of offer confirms that the Bank has the right to increase the rate of interest. Bank is confident that the documentation gives the Bank the right to increase rates.

(b) CHC Colombo Case No. 29/13/MR

The Plaintiff has filed this action against the Bank claiming damages in a sum of Rs 40 Mn on the alleged basis that the Bank illegally suspended his credit balance of Rs 299,209.43, resulting in two cheques issued by him being dishonoured. Over Rs 3 Mn is due to the Bank from the said customer on a charge back created through the payment gateway, which was utilised by the customer. The Bank is defending this action on the right of set off recognised by law relating to banking facilities. Judgment was delivered in favour of the Bank.

Customer has appealed against the judgment to Supreme Court and the case bearing No.SC/CHC/61/19 is fixed for argument on 27th May 2025.

(c) CHC Colombo Case No. 299/13/MR

The Plaintiff instituted the above action against the Bank claiming damages in a sum of Rs 250 Mn on the purported basis that the Bank has unlawfully suspended the operation of his current account and the payment gateway facility provided to him by the Bank.

A sum in excess of Rs 3 Mn is due to the Bank from the Plaintiff on a charge back created through the payment gateway, utilised by the Plaintiff. The Bank is defending this action on the basis that it has right in law, to set-off dues against other facilities granted to the Plaintiff by the Bank. Judgment was delivered in favour of the Bank.

An appeal was preferred to Supreme Court by the Plaintiff and the case bearing No.SC/CHC/61/19 is fixed for argument on 27th May 2025.

(d) CHC Colombo Case No. CHC/167/2020/MR and Case No. CHC/168/2020/MR

The Plaintiffs have filed the above actions against the Bank claiming a sum of Rs 250 Mn and Rs 100 Mn respectively, from inter-alia the Bank on the purported basis has erroneously uplifted the deposits and transferred monies from Plaintiff's personal and corporate accounts without his consent and knowledge.

The orders of the above cases were delivered in favour of the Bank by dissolving the enjoining orders and refusing to grant the interim reliefs sought.

(e) Case No. CHC/21/2021/MR

The Plaintiff instituted this action against the Bank claiming damages in a sum of Rs 897 Mn on the purported basis that the Bank has recovered part of the outstanding facilities without consent of the customer. However, the Bank has taken up the position that it has at all times acted on the written instructions of the customer and in strict conformity with the applicable law.

(f) Case No. CHC/187/2023/MR

Customer has filed the case against the Bank claiming that he is entitled to a concessionary rate of interest under 'Jaya Isura' scheme. However, the Bank has granted the facility in keeping with the documents signed between the parties.

(ii). In addition to the above cases, the following cases have also been filed against the Bank seeking orders from Court preventing the Bank from enforcing mortgages to recover dues:

- (a) Eight actions have been filed in Supreme Court
- (b) Twelve actions have been filed in Court of Appeal
- (c) Eighty actions have been filed in Commercial High Court
- (d) Two hundred and ten actions have been filed in District Courts

45.5.2 Litigation on Employment and Industrial Relations

There are no material legal issues outstanding against the Bank and the Group on employment and industrial relations as at 31st December 2024. The Bank has made adequate provisions for all known litigations on employment and industrial relations.

45.5.3 Litigation against the Group

Other than those disclosed above, there are no cases filed against the Group which would have a material impact on the financial position of the Group.

46. NET ASSET VALUE PER SHARE

As at 31st December	BANK		GROUP	
	2024	2023	2024	2023
Amounts used as the numerator:				
Total equity attributable to equity holders of the Bank (Rs 000)	166,538,216	147,873,076	177,882,312	157,830,492
Number of ordinary shares used as the denominator:				
Total number of shares as at 31st December	1,172,700,760	1,172,700,760	1,172,700,760	1,172,700,760
Net asset value per share (Rs)	142.01	126.10	151.69	134.59

47. RELATED PARTY DISCLOSURES

The Bank and the Group carry out transactions in the ordinary course of business with the parties who are defined as related parties in the Sri Lanka Accounting Standards - LKAS 24 (Related Party Disclosures), the details of which are reported below.

47.1 Terms and Conditions

The pricing applicable to such transactions is based on the assessment of risk and pricing model of the Bank and is comparable with what is applied to transactions between the Bank/Group and its unrelated customers with similar credit standing.

47.2 Parent and Ultimate Controlling Party

The Bank does not have an identifiable parent of its own.

47.3 Transactions with Key Management Personnel (KMP)

As per Sri Lanka Accounting Standard - LKAS 24 (Related Party Disclosures), Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. According to the above definition, a person cannot be considered as a KMP unless such person has both the authority and responsibility to carry out all the three activities mentioned in the above definition (i.e. planning, directing and controlling the activities of the entity).

Accordingly, the Board of Directors of the Bank are considered as KMP of the Bank and the Group.

47.3.1 Compensation to KMP

For the year ended 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Short term employment benefits				
Directors' fees & expenses	120,435	98,268	128,372	103,790
Short term benefits	149,470	116,122	149,470	116,122
Post-employment benefits				
Statutory	10,922	19,400	10,922	19,400
Non-statutory	75,815	3,825	75,815	3,825
Total	356,642	237,615	364,579	243,137

In 2024, the Bank paid Rs 10 Mn as an ex-gratia payment to former Managing Director Mr Nanda Fernando, who completed his term of office on 30th June 2023. In addition to the above, the Bank sold a motor vehicle to the former Managing Director, at a price of Rs 1.37 Mn, which is 50% of the Net Book Value of the vehicle as of 30th June 2023. Both these transactions were approved by the shareholders at the Annual General Meeting held on 28th March 2024.

Notes to the Financial Statements

47. RELATED PARTY DISCLOSURES CONTD.

47.3.2 Transactions with KMP and their Close Family Members (CFM)

CFMs of the KMP are those family members who may be expected to influence the KMP or be influenced by that KMP in their dealings with the entity. They may include KMP's spouse, children, domestic partner, children of the KMP's spouse/domestic partner and dependents of the KMP, KMP's spouse/domestic partner. Aggregate value of the transactions with KMP and their CFMs are disclosed below.

As at 31st December	2024			2023		
	Limit	Closing Balance	Average Balance	Limit	Closing Balance	Average Balance
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Loans & advances	118,000	13,627	80,644	323,000	156,420	87,949
Credit cards	18,800	4,994	9,115	47,600	18,989	4,200
Indirect facilities	72,000	-	-	72,000	-	-
Deposits		375,005	327,195		530,907	634,406
Debentures		300,000	300,000		300,000	269,603
Number of shares held		684,647			336,569	

For the year ended 31st December	2024	2023
	Rs 000	Rs 000
Interest & other income	10,729	14,672
Interest expense	105,891	157,018
Cash dividend paid (Gross)	4,240	6,900
Scrip dividend paid (Number of shares)	-	49,507

No losses have been recorded against loan balances outstanding with KMP during the period and no specific provisions have been made under impairment losses against such balances as at the reporting date.

47.4 Transactions with Subsidiaries

Details of the subsidiaries are given in Note 28. Aggregate value of transactions with subsidiaries are disclosed below.

Subsidiary Company	Nature of Facility/ Transaction	2024			2023		
		Limit	Average Balance	31st December Balance	Limit	Average Balance	31st December Balance
		Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Sampath Centre Ltd	As at						
	Loans & advances	1,275,023	1,080,057	1,225,029	1,125,023	1,110,081	1,075,001
	Other assets		174,198	174,198		151,909	174,198
	Deposits		252,730	138,517		226,977	302,424
	Other liabilities		32,581	29,357		100,144	35,975
	For the year ended						
	Dividend income (Gross)			66,891			1,000
	Income & fees received			97,714			124,414
	Expenses & fees paid			717,698			743,801
SC Securities (Pvt) Ltd	As at						
	Loans & advances	600,000	187,695	-	600,000	384,935	498,513
	Deposits		45,506	175,795		13,147	13,323
	For the year ended						
	Dividend income (Gross)			-			5,505
	Income & fees received			27,643			68,669
	Expenses & fees paid			1,193			5,472

Subsidiary Company	Nature of Facility/ Transaction	2024			2023		
		Limit	Average Balance	31st December Balance	Limit	Average Balance	31st December Balance
		Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Siyapatha Finance PLC	As at						
	Loans & advances	4,149,767	3,825,917	3,668,500	5,033,533	4,656,047	4,193,040
	Deposits		42,940	6,530		222,729	28,517
	Other liabilities		250,205	-		125,025	250,123
	For the year ended						
	Dividend income (Gross)			7,024			226,396
	Income & fees received			405,460			936,112
	Expenses & fees paid			23,993			17,503
Sampath Information Technology Solutions Ltd	As at						
	Loans & advances	400,000	24,082	52,914	400,000	3,750	18,749
	Deposits		393,853	592,098		175,979	313,153
	Other liabilities		177,656	153,271		170,491	128,464
	Indirect facilities	25,000	4,963	3,964	25,000	1,713	2,450
	For the year ended						
	Dividend income (Gross)			20,298			16,661
	Income & fees received			2,535			1,252
	Expenses & fees paid excluding reimbursement of expenses			388,533			242,621
	Purchase of computer hardware & software			43,199			287,548

The net asset value of all subsidiary companies exceeded carrying value of the investments as at 31st December 2024. Accordingly, the Bank has not made any impairment provisions against its investment in subsidiary companies as at the reporting date.

47.5 Transactions with Other Related Parties

47.5.1 Transactions with Entities Controlled and/or Jointly Controlled by KMP or their CFMs

As at 31st December	2024			2023		
	Limit	Average Balance	Closing Balance	Limit	Average Balance	Closing Balance
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Loans & advances	6,923,453	10,333,786	6,883,833	20,498,610	4,745,378	18,049,409
Indirect facilities	61,779	434,258	61,779	735,740	383,068	643,705
Deposits		379,993	166,001		190,333	788,671
Debentures		100,000	100,000		89,041	100,000

For the year ended 31st December	2024	2023
	Rs 000	Rs 000
Interest income	940,024	422,504
Interest & other expenses	36,245	34,185
Cash dividend paid (Gross)	691,076	3,985
Scrip dividend paid (Number of shares)	-	28,588

No losses have been recorded against loan balances outstanding with the entities controlled/jointly controlled by KMP/CFMs of KMP as at the reporting date.

Notes to the Financial Statements

47. RELATED PARTY DISCLOSURES CONTD.

47.5.2 Transactions with Post Employment Benefit Plans of the Bank

Name of the Post Employment Benefit Plan	Nature of Transactions	2024		2023	
		Average Balance	31st December Balance	Average Balance	31st December Balance
		Rs 000	Rs 000	Rs 000	Rs 000
Sampath Bank Employees' Provident Fund	As at				
	Deposits	3,583,707	3,662,357	2,770,911	3,598,067
	Debentures	661,073	634,740	950,137	950,740
	Interest payable	210,432	288,077	289,216	386,252
	Securities sold under repurchase agreements	-	-	117,998	-
	For the year ended				
	Interest expense		453,695		707,894
Sampath Bank Employees' Pension Fund	As at				
	Deposits	2,252,871	2,029,563	2,392,167	2,177,446
	Debentures	740,250	734,000	809,000	809,000
	Investment in Sampath Bank Shares - market value	974,157	1,399,189	701,294	834,188
	Interest payable	256,334	271,101	312,072	223,852
	Net liability in the Bank's Financial Statements (Note 38.4.1)		2,586,553		563,465
	For the year ended				
	Interest expense		331,446		554,412
	Cash dividend paid (Gross)		69,220		39,836
	Scrip dividend paid (Number of shares)		-		285,815

48. SEGMENT INFORMATION

ACCOUNTING POLICY

An operating segment is a component of the Group that engages in business activities from which it may earn revenue and incur expenses, including revenue and expenses that relate to transactions with any of the Group's other components, whose operating results are reviewed regularly by the chief operating decision maker to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available.

For management purposes, the Group has identified four operating segments based on products and services, as follows:

- Corporate Banking
- SME & Retail Banking
- Dealing/Investment
- Others

SME & Retail Banking encompasses activities like retail lending and deposit-taking conducted through branch networks, excluding corporate units and support service departments. Dealing/Investment covers activities such as securities trading, investment banking, and foreign currency services provided by the treasury department and primary dealer unit. The activities of the four subsidiaries are categorised under the "Others" section.

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profits or losses, which in certain respects, are measured differently from operating profits or losses in the Consolidated Financial Statements. Taxes are managed at an entity level and are not allocated to operating segments.

Interest income is reported net as management primarily relies on net interest income as a performance measure, not the gross income and expense.

Revenue from transactions with a single external customer or counterparty did not exceed 10% or more of the Bank's total revenue in 2024 or 2023.

The following table presents income, profit, total assets, total liabilities & cash flows of the Group's operating segments.

48. SEGMENT INFORMATION CONTD.

	Corporate Banking		SME & Retail Banking		Dealing/Investment		Others		(Eliminations)/Unallocated		Total	
	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
For the year ended 31st December	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Net interest income	15,925,716	31,725,132	51,655,744	60,336,407	26,415,943	24,434,813	4,456,915	2,939,020	(13,792,244)	(43,992,438)	84,662,074	75,442,934
Net fee & commission income	4,785,210	5,837,647	14,136,655	14,375,067	(38,125)	(20,005)	688,141	632,468	(1,374,488)	(1,306,240)	18,197,393	19,518,937
Net (loss)/gain from trading	-	-	-	-	(1,777,456)	761,786	73,194	(52,810)	-	-	(1,704,262)	708,976
Net (loss)/gain on derecognition of financial assets	-	-	-	-	(7,230,523)	591,711	(44,788)	7,712	-	-	(7,275,311)	599,423
Net other operating income	104,991	116,419	2,298,906	1,330,825	1,428,867	2,521,496	2,341,744	1,886,930	(5,965,500)	(6,663,049)	209,008	(807,379)
Total revenue from external customers	20,815,917	37,679,198	68,091,305	76,042,299	18,798,706	28,289,801	7,515,206	5,413,320	(21,132,232)	(51,961,727)	94,088,902	95,462,891
Inter segment (expense)/income	(414,263)	(958,968)	416,441	1,034,119	-	5,478	-	-	(2,178)	(80,629)	-	-
Total operating income	20,401,654	36,720,230	68,507,746	77,076,418	18,798,706	28,295,279	7,515,206	5,413,320	(21,134,410)	(52,042,356)	94,088,902	95,462,891
Less: Impairment charge	3,334,962	8,545,960	(96,892)	8,530,645	(15,785,676)	3,022,199	(177,345)	95,085	853,476	15,713	(11,871,475)	20,209,602
Net operating income	17,066,692	28,174,270	68,604,638	68,545,773	34,584,382	25,273,080	7,692,551	5,318,235	(21,987,886)	(52,058,069)	105,960,377	75,253,289
Less: Total operating expenses	860,350	768,851	19,988,540	17,366,430	414,236	282,740	4,165,607	3,104,726	17,373,658	13,443,588	42,802,391	34,966,335
Segment result	16,206,342	27,405,419	48,616,098	51,179,343	34,170,146	24,990,340	3,526,944	2,213,509	(39,361,544)	(65,501,657)	63,157,986	40,286,954
Less: Taxes on financial services	-	-	-	-	-	-	-	-	-	-	13,969,717	9,085,431
Less: Income tax expense	-	-	-	-	-	-	-	-	-	-	20,485,009	13,277,241
Profit for the year	-	-	-	-	-	-	-	-	-	-	28,703,260	17,924,282
Non controlling interest	-	-	-	-	-	-	-	-	-	-	-	-
Profit attributable to equity holders of the Bank	-	-	-	-	-	-	-	-	-	-	28,703,260	17,924,282
As at 31st December	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Segment assets	442,436,102	399,963,849	1,545,079,683	1,341,134,368	802,816,207	639,522,102	72,141,750	57,174,066	201,186,007	143,553,534	3,063,659,749	2,581,347,919
Unallocated assets	-	-	-	-	-	-	-	-	(1,226,664,383)	(993,971,931)	(1,226,664,383)	(993,971,931)
Total assets	442,436,102	399,963,849	1,545,079,683	1,341,134,368	802,816,207	639,522,102	72,141,750	57,174,066	(1,025,478,376)	(850,418,397)	1,836,995,366	1,587,375,988
Segment liabilities	428,354,853	375,296,226	1,505,861,912	1,299,612,694	764,625,061	609,545,832	56,682,788	43,346,077	123,906,537	89,644,201	2,879,431,151	2,417,445,030
Unallocated liabilities	-	-	-	-	-	-	-	-	(1,220,318,097)	(987,899,534)	(1,220,318,097)	(987,899,534)
Total liabilities	428,354,853	375,296,226	1,505,861,912	1,299,612,694	764,625,061	609,545,832	56,682,788	43,346,077	(1,096,411,560)	(898,255,333)	1,659,113,054	1,429,545,496
For the year ended 31st December	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Cash flows from operating activities	(33,563,684)	88,631,225	138,697,501	130,936,617	95,193,049	104,587,734	2,588,589	3,839,433	(37,298,362)	(37,780,494)	165,617,093	290,214,515
Cash flows from investing activities	97,826	116,418	-	-	(180,713,723)	(251,078,832)	(5,159,745)	(850,517)	(2,712,274)	(1,993,681)	(188,487,916)	(253,806,612)
Cash flows from financing activities	-	-	-	-	-	-	2,724,589	(2,965,975)	(15,723,019)	(3,930,102)	(12,998,430)	(6,896,077)
Capital expenditure	-	-	-	-	-	-	(1,309,213)	(631,161)	(2,759,257)	(2,016,534)	(4,068,470)	(2,647,695)

Notes to the Financial Statements

49. EVENTS AFTER THE REPORTING PERIOD

ACCOUNTING POLICY

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorised for issue. No circumstances have arisen since the reporting date which would require adjustments to, or disclosure in the Financial Statements, other than those disclosed below.

49.1 Proposed Dividend

The Directors of the Bank have recommended a final cash dividend of Rs 9.35 per share for the financial year ended 31st December 2024. This dividend is to be approved by the shareholders at the Annual General Meeting to be held on 28th March 2025.

In accordance with Sri Lanka Accounting Standard - LKAS 10 (Events after the Reporting Period), this proposed final dividend has not been recognised as a liability as at 31st December 2024. As required by Section 56 (2) of the Companies Act No. 7 of 2007, the Board of Directors has confirmed that the Bank has satisfied the 'solvency test' in accordance with Section 57 of the Companies Act No. 7 of 2007, having obtained a certificate from the External Auditors, prior to recommending the final dividend for the year.

49.2 Revision of National Long Term Rating by Fitch Ratings

Following the recent sovereign upgrade and recalibration of Sri Lanka national rating scale by Fitch Ratings Lanka Ltd, effective 21st January 2025, Sampath Bank's National Long Term rating has been upgraded to 'AA-(lka)' from 'A (lka)'. The National Long Term Rating of the outstanding Basel III compliant subordinated debentures issued by the Bank has been upgraded to 'A (lka)' from 'BBB+(lka)'. Further, the National Long Term Rating of the proposed Basel III compliant subordinated debentures to be issued by the Bank has been upgraded to 'A(EXP) (lka)' from 'BBB+(EXP)(lka)'.

50. FAIR VALUE OF ASSETS & LIABILITIES

50.1 Assets & Liabilities Recorded at Fair Value

The following is a description of how fair values are determined for assets and liabilities that are recorded at fair value. These incorporate the Bank's estimate of assumptions that a market participant would make when valuing assets and liabilities.

Derivatives - Assets & Liabilities

Derivative products which consist of SWAPs, forward foreign exchange contracts and hedges are valued using a valuation technique with market-observable inputs. The most frequently applied valuation techniques include forward foreign exchange spot and forward premiums.

Financial Assets - Fair Value through Other Comprehensive Income (FVOCI)

FVOCI financial assets primarily consist of quoted/unquoted equity securities and government securities of both Sri Lanka and USA. Local government securities are valued using the yield curve published by the Central Bank of Sri Lanka. The Bank uses the prices quoted in Bloomberg to value the US Treasuries. Quoted equity securities are valued using quoted market prices in the active markets as at the reporting date. Unquoted equity investments of the Group include share investments that have been made primarily for regulatory purposes. Such investments have been recorded at cost, which is a close approximation to the respective fair values of such shares.

Trading Assets Measured at Fair Value

Trading assets and other assets measured at fair value are the government securities and quoted equity securities. Government securities are valued using the yield curve published by the Central Bank of Sri Lanka. For quoted equity securities, the Bank/Group uses quoted market prices in the active market as at the reporting date.

Property, Plant & Equipment

Freehold land and buildings are carried at revalued amount, being their fair value at the revaluation date less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

50.2 Valuation Model

For all financial instruments where fair values are determined by referring to externally quoted prices or observable pricing inputs to models, independent price determination or validation is obtained. In an inactive market, direct observation of a traded price may not be possible. In these circumstances, the Bank uses alternative market information to validate the financial instrument's fair value, with greater weight given to information that is considered to be more relevant and reliable.

Fair value of freehold land and buildings was determined by using Market Comparable Method or Income Basis. These valuations performed by the valuers are based on active market prices, significantly adjusted for difference in the nature, location or condition of the specific property. Management determined that freehold land and buildings constitute one class of asset under Sri Lanka Accounting Standard - SLFRS 13 (Fair Value Measurement), based on the nature, characteristics and risks of the property.

Fair values are determined according to the following hierarchy:

Level 1 – Quoted market price (unadjusted): quoted prices for identical assets and liabilities in active markets.

Level 2 – Valuation technique using observable inputs: quoted prices for similar assets and liabilities in active markets or quoted prices for identical or similar assets and liabilities in inactive markets and are valued using models where all significant inputs are observable.

Level 3 – Valuation technique with significant unobservable inputs: assets and liabilities valued using valuation techniques where one or more significant inputs are unobservable.

50.3 Valuation Framework

The Bank has an established control framework with respect to the measurement of fair values of trading and investment operations and all other significant assets and liabilities. Specific controls include:

- A review and approval process involving the Board Audit Committee for significant judgment and assumptions, new models, changes to existing judgments, assumptions and models.
- Periodic (at least quarterly) reviewing of fair value measurements against observable market data.
- Periodic (at least annually) reviewing of fair value measurement models against changes in market conditions, significant judgments and assumptions.
- Use of sophisticated software for fair value measurements of trading and investment securities and derivatives.
- Independent analysis and investigation of significant daily valuation movements in trading and investment securities and derivatives.
- A dual verification process for market data inputs to the fair value measurement software.

50.4 Transfers between the Levels of the Fair Value Hierarchy

Significant transfers can occur between the fair value hierarchy levels when additional or new information regarding valuation inputs and their observability becomes available. The Bank recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

The regulatory floor price imposed on the shares of LankaBangla Finance PLC was lifted in January 2024. Since then, the shares have been actively traded in the Dhaka Stock Exchange. Accordingly, the investment in LankaBangla Finance PLC was transferred from Level 2 to Level 1 during the year 2024.

Apart from the mentioned transfer, the Bank/Group did not move any asset/liability between levels of the fair value hierarchy during the reporting period.

50.5 Assets & Liabilities Measured at Fair Value - Fair Value Hierarchy

The following table shows an analysis of assets and liabilities recorded at fair value by level of the fair value hierarchy into which the fair value measurement is categorised. The amounts are based on the value recognised in the Statement of Financial Position.

Notes to the Financial Statements

50. FAIR VALUE OF ASSETS & LIABILITIES CONTD.
50.5.1 Assets & Liabilities Measured at Fair Value - Fair Value Hierarchy
Bank

As at 31st December	Date of Valuation	2024					2023				
		Fair Value Measurement Using					Fair Value Measurement Using				
		Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total		Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total	
		Rs 000	Rs 000	Rs 000	Rs 000		Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial assets measured at fair value											
Derivative financial instruments											
Currency SWAPs	31st December	-	365,368	-	365,368		-	393,181	-	393,181	
Forward exchange contracts		-	141,686	-	141,686		-	194,396	-	194,396	
Sub Total		-	507,054	-	507,054		-	587,577	-	587,577	
Financial assets- fair value through profit or loss											
Government securities -Treasury bills & bonds	31st December	4,614,332	-	-	4,614,332		4,744,188	-	-	4,744,188	
Sub Total		4,614,332	-	-	4,614,332		4,744,188	-	-	4,744,188	
Financial assets - fair value through other comprehensive income											
Government securities - Sri Lanka											
Treasury bills & bonds	31st December	346,270,583	-	-	346,270,583		202,959,296	-	-	202,959,296	
Sri Lanka International Sovereign Bonds		-	-	-	-		-	1,040,578	-	1,040,578	
US Treasuries											
Treasury bills		18,983,956	-	-	18,983,956		8,045,352	-	-	8,045,352	
Equity Securities											
Quoted equity securities		2,324,219	-	-	2,324,219		-	3,916,498	-	3,916,498	
Unquoted equity securities		-	-	203,754	203,754		-	-	60,571	60,571	
Sub Total		367,578,758	-	203,754	367,782,512		211,004,648	4,957,076	60,571	216,022,295	
Total financial assets measured at fair value		372,193,090	507,054	203,754	372,903,898		215,748,836	5,544,653	60,571	221,354,060	
Non-financial assets measured at fair value											
Freehold land & buildings (included under property, plant & equipment)*	31st December	-	-	6,745,601	6,745,601		-	-	6,755,058	6,755,058	
Total non - financial assets measured fair value		-	-	6,745,601	6,745,601		-	-	6,755,058	6,755,058	
Financial liabilities measured at fair value											
Derivative financial instruments											
Currency SWAPs	31st December	-	3,039,279	-	3,039,279		-	1,444,637	-	1,444,637	
Forward exchange contracts		-	161,311	-	161,311		-	54,140	-	54,140	
Total financial liabilities measured at fair value		-	3,200,590	-	3,200,590		-	1,498,777	-	1,498,777	

* The fair value of the most recent valuation less subsequent accumulated depreciation and impairment losses is considered as the fair value as at 31st December 2024.

50. FAIR VALUE OF ASSETS & LIABILITIES CONTD.**50.5.2 Assets & Liabilities Measured at Fair Value - Fair Value Hierarchy****Group**

As at 31st December	Date of Valuation	2024					2023				
		Fair Value Measurement Using					Fair Value Measurement Using				
		Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total		Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total	
		Rs 000	Rs 000	Rs 000	Rs 000		Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial assets measured at fair value											
Derivative financial instruments											
Currency SWAPs	31st December	-	365,368	-	365,368	-	-	393,181	-	-	393,181
Forward exchange contracts		-	141,686	-	141,686	-	-	194,396	-	-	194,396
Sub Total		-	507,054	-	507,054	-	-	587,577	-	-	587,577
Financial assets - fair value through profit or loss											
Government securities - Treasury bills & bonds	31st December	4,614,332	-	-	4,614,332	4,744,188	-	-	-	-	4,744,188
Quoted equity securities		-	-	-	-	97,114	-	-	-	-	97,114
Sub Total		4,614,332	-	-	4,614,332	4,841,302	-	-	-	-	4,841,302
Financial assets - fair value through other comprehensive income											
Government securities - Sri Lanka	31st December										
Treasury bills & bonds		346,270,583	-	-	346,270,583	202,959,296	-	-	-	-	202,959,296
Sri Lanka International Sovereign Bonds		-	-	-	-	-	-	1,040,578	-	-	1,040,578
US Treasuries											
Treasury bills		18,983,956	-	-	18,983,956	8,045,352	-	-	-	-	8,045,352
Equity Securities											
Quoted equity securities		2,324,219	-	-	2,324,219	-	-	3,916,498	-	-	3,916,498
Unquoted equity securities		-	-	203,810	203,810	-	-	-	60,627	-	60,627
Sub Total		367,578,758	-	203,810	367,782,568	211,004,648	4,957,076	60,627	216,022,351	-	216,022,351
Total financial assets measured at fair value		372,193,090	507,054	203,810	372,903,954	215,845,950	5,544,653	60,627	221,451,230	-	221,451,230
Non-financial assets measured at fair value											
Freehold land & buildings (included under property, plant & equipment) *	31st December										
Total non - financial assets measured fair value		-	-	15,049,668	15,049,668	-	-	-	14,675,886	-	14,675,886
Financial liabilities measured at fair value											
Derivative financial instruments	31st December										
Currency SWAPs		-	3,039,279	-	3,039,279	-	-	1,444,637	-	-	1,444,637
Forward exchange contracts		-	161,311	-	161,311	-	-	54,140	-	-	54,140
Total financial liabilities measured at fair value		-	3,200,590	-	3,200,590	-	-	1,498,777	-	-	1,498,777

* The fair value of the most recent valuation less subsequent accumulated depreciation and impairment losses is considered as the fair value as at 31st December 2024.

Notes to the Financial Statements

50. FAIR VALUE OF ASSETS & LIABILITIES CONTD.

50.6 Level 3 Fair Value Measurement

50.6.1 Reconciliation

The following table shows a reconciliation of how the fair value measurements in Level 3 of the fair value hierarchy were arrived at, from the beginning to the ending balances.

	BANK		GROUP	
	Assets Measured at Level 3		Assets Measured at Level 3	
	Unquoted Equity Securities Rs 000	Freehold Land and Buildings Rs 000	Unquoted Equity Securities Rs 000	Freehold Land and Buildings Rs 000
Balance as at 1st January 2023	60,841	6,792,986	60,897	14,766,601
Additions	1	18,801	1	26,504
Gain/(loss) recognised in other comprehensive income				
Exchange rate differences	(271)	-	(271)	-
Gain/(loss) recognised in profit or loss:				
Depreciation of buildings	-	(56,729)	-	(180,003)
Transfer from capital work in progress	-	-	-	62,784
Balance as at 31st December 2023	60,571	6,755,058	60,627	14,675,886
Balance as at 1st January 2024	60,571	6,755,058	60,627	14,675,886
Additions	151,144	48,578	151,144	79,105
Gain/(loss) recognised in other comprehensive income				
Loss from mark to market valuation (Note 27.6)	(7,758)	-	(7,758)	-
Exchange rate differences	(203)	-	(203)	-
Gain/(loss) recognised in profit or loss:				
Depreciation of buildings	-	(58,035)	-	(190,146)
Transfer from capital work in progress	-	-	-	484,823
Balance as at 31st December 2024	203,754	6,745,601	203,810	15,049,668

50.6.2 Unobservable Inputs Used In Measuring Fair Value

The table below sets out information about significant unobservable inputs used in measuring the fair value of assets categorised under Level 3 of the fair value hierarchy.

Type of Asset	Assets Measured at Level 3					
	Bank Fair Value as at 31st December 2024 Rs 000	Group Fair Value as at 31st December 2024 Rs 000	Valuation Technique	Significant Unobservable Inputs	Weighted Average Range of Estimates for Unobservable Inputs	Fair Value Measurement Sensitivity to Unobservable Inputs
Property, plant & equipment						
- Freehold lands	5,076,153	8,342,253	Market comparable method	Estimated price per perch	Rs 87,500 - 18,500,000	*
- Freehold buildings	1,669,448	6,707,415	Income basis	Estimated price per sq.ft	Rs 3,541 - 22,824	*
			Income basis	Estimated rental value per sq.ft		
				Bank	Rs 18 - 275	
				Subsidiary	Rs 250 - 375	
				Expected market rental growth		
				Bank	0% - 5%	*
				Subsidiary	0% - 6%	*
				Discount rate		
				Bank	7.0%	**
				Subsidiary	6.0%	**

* Significant increases/(decreases) in any of these inputs in isolation would result in a significantly higher/(lower) fair value.

** Significant increases/(decreases) in this input in isolation would result in a significantly (lower)/higher fair value.

50.7 Fair Value of Financial Assets and Liabilities Carried at Amortised Cost

The following describes the methodologies and assumptions used to determine fair values of those financial instruments which are not already recorded at fair value in the Financial Statements.

Assets of which Fair Value Approximates Carrying Value

For financial assets and liabilities that have a short term maturity, it is assumed that the carrying amounts approximate their fair values. This assumption is also applied to demand deposits and savings deposits which do not have a specific maturity.

Fixed Rate Financial Instruments

The fair value of fixed rate financial assets and liabilities carried at amortised cost are estimated by comparing market interest rates when they were first recognised with current market rates for similar financial instruments. The estimated fair value of fixed interest bearing deposits is based on discounted cash flows using prevailing market interest rates for debts with similar credit risk and maturity. For quoted debt issued, the fair values are determined based on quoted market prices. For variable rate instruments with a fixed credit spread, an adjustment is made to reflect the change in credit spread since the instrument was first recognised.

Variable Rate Financial Instruments

Variable rate is a fair measure which reflects market movements. Hence the carrying value represents the fair value of the variable rate instruments. Treasury bonds received in settlement of Sri Lanka Development Bonds under the Domestic Debt Optimisation Program in 2023 carry a variable interest rate of SLFR + 1% (Standard Lending Facility Rate). Similarly, treasury bonds received in settlement of the of Sri Lanka International Sovereign Bonds in 2024, carry a variable interest rate of SLFR + 0.5%. These bonds have been classified under Level 2 of the fair value hierarchy.

Set out below is a comparison of the carrying amounts and fair values of the Bank's financial instruments by classes that are not carried at fair value in the Financial Statements. This table does not include the fair values of non-financial assets and non-financial liabilities.

Notes to the Financial Statements

50. FAIR VALUE OF ASSETS & LIABILITIES CONTD.

50.7 Fair Value of Financial Assets and Liabilities Carried at Amortised Cost (Contd.)

As at 31st December 2024	BANK					GROUP				
	Fair Value			Carrying Value	Rs 000	Fair Value			Total	Rs 000
	Level 1	Level 2	Level 3			Level 1	Level 2	Level 3		
	Rs 000	Rs 000	Rs 000		Rs 000	Rs 000	Rs 000	Rs 000		Rs 000
Financial Assets										
Cash & cash equivalents	-	46,229,318	-	46,229,318	46,229,318	-	46,501,139	-	46,501,139	46,501,139
Balances with Central Bank of Sri Lanka	-	16,373,983	-	16,373,983	16,373,983	-	16,373,983	-	16,373,983	16,373,983
Placements with banks	-	26,452,245	-	26,452,245	26,452,245	-	26,452,245	-	26,452,245	26,452,245
Reverse repurchase agreements	-	1,000,220	-	1,000,220	1,000,220	-	6,596,063	-	6,596,063	6,596,063
Financial assets at amortised cost										
- loans & advances	-	862,032,418	-	862,032,418	860,151,610	-	907,820,422	-	907,820,422	901,950,481
- debt & other instruments	354,429,078	53,244,486	-	407,673,564	401,280,763	358,764,335	53,244,486	-	412,008,821	405,616,020
Other financial assets	-	12,571,604	-	12,571,604	12,571,604	-	14,358,414	-	14,358,414	14,358,414
	354,429,078	1,017,904,274	-	1,372,333,352	1,364,059,743	358,764,335	1,071,346,752	-	1,430,111,087	1,417,848,345
Financial Liabilities										
Due to banks	-	23,259,811	-	23,259,811	23,259,811	-	30,160,890	-	30,160,890	30,067,815
Securities sold under repurchase agreements	-	40,312,784	-	40,312,784	40,312,784	-	40,312,784	-	40,312,784	40,312,784
Financial liabilities at amortised cost										
- due to depositors	-	1,462,284,013	-	1,462,284,013	1,455,864,416	-	1,493,462,078	-	1,493,462,078	1,487,148,551
- due to other borrowers	-	8,061,364	-	8,061,364	8,061,364	-	8,061,364	-	8,061,364	8,061,364
- due to debt securities holders	-	23,059,835	-	23,059,835	18,891,500	-	28,863,197	-	28,863,197	24,741,652
Dividend payable	-	298,695	-	298,695	298,695	-	298,695	-	298,695	298,695
Other financial liabilities	-	30,918,520	-	30,918,520	30,918,520	-	31,040,787	-	31,040,787	31,040,787
	-	1,588,195,022	-	1,588,195,022	1,577,607,090	-	1,632,199,795	-	1,632,199,795	1,621,671,648

50. FAIR VALUE OF ASSETS & LIABILITIES CONTD.**50.7 Fair Value of Financial Assets and Liabilities Carried at Amortised Cost (Contd.)**

As at 31st December 2023	BANK				GROUP			
	Fair Value			Carrying Value	Fair Value			Carrying Value
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000
Financial Assets								
Cash & cash equivalents	-	79,272,087	-	79,272,087	-	79,530,247	-	79,530,247
Balances with Central Bank of Sri Lanka	-	14,463,854	-	14,463,854	-	14,463,854	-	14,463,854
Placements with banks	-	33,741,322	-	33,741,322	-	33,741,322	-	33,741,322
Reverse repurchase agreements	-	-	-	-	-	150,400	-	150,400
Financial assets at amortised cost								
- loans & advances	-	756,414,366	-	756,414,366	-	791,028,334	-	791,028,334
- debt & other instruments	316,477,987	48,582,784	-	365,060,771	322,277,827	48,582,784	-	370,860,611
Other financial assets	-	27,778,625	-	27,778,625	-	29,462,947	-	29,462,947
	316,477,987	960,253,038	-	1,276,731,025	322,277,827	996,959,888	-	1,319,237,715
Financial Liabilities								
Due to banks	-	11,621,838	-	11,621,838	-	17,337,165	-	17,337,165
Securities sold under repurchase agreements	-	34,688,209	-	34,688,209	-	34,438,086	-	34,438,086
Financial liabilities at amortised cost								
- due to depositors	-	1,261,492,161	-	1,261,492,161	-	1,284,805,767	-	1,276,551,041
- due to other borrowers	-	6,637,129	-	6,637,129	-	6,637,129	-	6,637,129
- due to debt securities holders	-	29,764,020	-	29,764,020	-	33,281,286	-	30,386,809
Dividend payable	-	212,571	-	212,571	-	212,571	-	212,571
Other financial liabilities	-	32,953,593	-	32,953,593	-	33,316,061	-	33,316,061
	-	1,377,369,521	-	1,377,369,521	-	1,410,028,065	-	1,398,886,463

Notes to the Financial Statements

51. RISK MANAGEMENT

51.1 Introduction

Risk is inherent in the Bank's activities, but is managed through an ongoing process of identification, measurement and monitoring, subject to risk limits and other controls. The risk management process is critical to the Bank's continuous profitability and each individual within the Bank is accountable for managing the risk exposures associated with their specific job functions. The Bank is mainly exposed to Credit Risk, Liquidity Risk, Market Risk and Operational Risk, which have been disclosed in this note, as summarised below.

	Page No.
51.2 Credit Risk	377
51.2.1 Assessment of expected credit losses	378-383
51.2.2 Risks on credit-related commitments	383
51.2.3 Collateral and other credit enhancements	383-385
51.2.4 Stage-wise movement of loans & advances and commitments & contingencies	386-391
51.2.5 Credit quality by class of financial assets	392-395
51.2.6 Counterparty-wise analysis of derivative financial instruments	396
51.2.7 Analysis of risk concentration	397-400
51.3 Liquidity Risk and Funding Management	401
51.3.1 Liquidity ratios	401
51.3.2 Analysis of financial assets and liabilities by remaining contractual maturities	402-405
51.3.3 Remaining contractual maturities of commitments and contingencies	406-407
51.3.4 Financial assets available to support future funding	408
51.4 Market Risk	409
51.4.1 Classification of financial assets and financial liabilities subject to market risk	409-410
51.4.2 Interest rate risk	411-415
51.4.3 Currency risk	415-416
51.4.4 Equity price risk	416
51.5 Operational Risk	416
51.6 Capital Management	417
51.6.1 Regulatory Capital	417

Risk Management Framework

The Board of Directors has overall responsibility for the establishment and oversight of the Bank's risk management framework. The Board has delegated its authority to Board Integrated Risk Management Committee (BIRMC) which is responsible for developing and monitoring Bank's risk management policies. The Committee comprises of Executive and Non - Executive Directors. Meetings of BIRMC are held regularly, and the Board of Directors are duly updated of its activities.

The Bank's risk management policies are established to identify and analyse the risks faced by the Bank, to set appropriate risk limits & controls and to monitor adherence to established limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions, products and services offered. The Bank maintains a disciplined and constructive control environment, in which all employees are assigned and made to understand their respective roles and responsibilities.

Integrated Risk Management Unit

The primary responsibility for risk management lies with the business units, including Credit Departments, Branches, Regional Offices, Treasury etc. The Integrated Risk Management Unit, which has no responsibility for profit or volume targets, acts as the 2nd line of defence and reports to the Chief Risk Officer (CRO) who in turn directly reports to the BIRMC.

Asset/Liability Management Committee (ALCO)

ALCO is chaired by the Managing Director and has representatives from Treasury Department, Credit Departments, Finance Department, Strategic Planning Department, Deposit Mobilisation Department and the Marketing Department. The Executive Director/ Chief Financial Officer, Chief Strategy Officer and the Chief Risk Officer are also members of the ALCO. The Committee meets regularly to monitor and manage the Bank's assets, liabilities, and the overall liquidity position, ensuring that liquidity remains at healthy levels while adhering to regulatory requirements.

Risk Measurement and Reporting

The Bank's risks are assessed using suitable techniques tailored to each type of risk, in alignment with industry best practices. The Bank also carries out stress testing to identify the effect of extreme events/worst-case scenarios for major types of risks and the results are reported to the BIRMC on a periodic basis. Monitoring and controlling risks are primarily performed based on policies, limits and thresholds established by the Bank. These limits reflect the business strategy, market environment within which the Bank operates and also the level of risk that the Bank is willing to accept (Risk Appetite).

Risk Mitigation

As part of its overall risk management, the Bank obtains various types of collaterals to mitigate the risk. Details such as nature of the collateral that could be accepted, required security margin, etc. are clearly defined in the Risk Management Policy of the Bank and any deviations require specific approval. However, respective approving authorities would take into account the availability of security only as the secondary source of repayment.

51.2 Credit Risk

Credit risk is the risk of financial loss to the Bank, if a borrower or counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Bank's loans & advances and investments in debt securities. In addition to the credit risk from direct funding exposures, the Bank would also be exposed to indirect liabilities such as letters of credit, guarantees etc, which would carry credit risk.

The Bank considers and consolidates all elements of credit risk exposure (such as individual obligor default risk, country and sector concentration risks) to ensure stringent Credit Risk Management.

Notes to the Financial Statements

51. RISK MANAGEMENT CONTD.

51.2.1 Assessment of Expected Credit Losses

51.2.1.1 Analysis of the total impairment for expected credit losses

Bank

As at 31st December	Notes	2024				2023
		Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Total Rs 000
Cash & cash equivalents	20.2	22,221	-	-	22,221	46,021
Placements with banks	22.2	26,063	-	-	26,063	16,933
Financial assets at amortised cost						
- loans & advances	25.2	9,810,450	15,131,439	79,482,646	104,424,535	120,881,513
- debt & other instruments	26.4	12,265	271,739	254,784	538,788	16,888,760
Credit related commitments & contingencies	45.2	2,027,337	1,000,137	589,520	3,616,994	3,235,498
Other financial assets		-	828,000	-	828,000	-
Total allowance for expected credit losses		11,898,336	17,231,315	80,326,950	109,456,601	141,068,725

Group

As at 31st December	Notes	2024				2023
		Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Total Rs 000
Cash & cash equivalents	20.2	22,323	-	-	22,323	46,123
Placements with banks	22.2	26,063	-	-	26,063	16,933
Financial assets at amortised cost						
- loans & advances	25.2	9,885,943	15,910,717	81,513,854	107,310,514	124,569,512
- debt & other instruments	26.4	12,265	271,739	254,784	538,788	16,888,760
Credit related commitments & contingencies	45.2	2,005,823	1,000,137	589,520	3,595,480	3,219,513
Other financial assets		106,698	828,000	-	934,698	146,136
Total allowance for expected credit losses		12,059,115	18,010,593	82,358,158	112,427,866	144,886,977

51.2.1.2 Movement of the total allowance for expected credit losses during the period

	Notes	BANK		GROUP	
		2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Balance as at 1st January		141,068,725	130,852,601	144,886,977	135,136,562
Net charge for the year		(10,854,142)	19,866,658	(10,997,574)	19,927,718
Write-off during the year	25.2	(13,713,315)	(708,986)	(14,402,471)	(1,227,387)
Interest income accrued on impaired loans & advances	7.1	(5,198,011)	(5,333,637)	(5,198,552)	(5,335,198)
Other movements		(1,846,656)	(3,607,911)	(1,860,514)	(3,614,718)
Balance as at 31st December		109,456,601	141,068,725	112,427,866	144,886,977

The methodology used in the determination of expected credit losses is explained in Note 3.4.6 to the financial statements.

51.2.1.3 Sensitivity of factors used to determine impairment provisions

Management judgement is involved in the determination of impairment allowance for loans and advances. Key variables such as PD, LGD, EFA, property foreclosure period for individually significant loans, deemed loss period are affected by management judgment and changes in any such variables can result in different levels of impairment allowance. The following tables demonstrate the sensitivity of the impairment allowance of the Bank to the changes in the above variables, as at 31st December 2024 and 31st December 2023.

As at 31st December 2024

	Sensitivity effect on Statement of Financial Position [Increase/(Decrease) in impairment provision]				Sensitivity effect on Statement of Profit or Loss [Increase/(Decrease) in operating profit before tax]
	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Rs 000
Probability of Default (PD)					
Increase existing PD by 1% across all age buckets	2,995,844	308,132	-	3,303,976	(3,303,976)
Decrease existing PD by 1% across all age buckets*	(2,799,870)	(387,065)	-	(3,186,935)	3,186,935
Loss Given Default (LGD)					
5% increase	839,223	306,235	1,578,135	2,723,593	(2,723,593)
5% decrease*	(839,223)	(306,235)	(1,578,135)	(2,723,593)	2,723,593
Economic Factor Adjustment (EFA)					
worst case 5% increase, with a decrease of 2.5% each in best & base cases	220,289	43,036	-	263,325	(263,325)
worst case 5% decrease, with an increase of 2.5% each in best & base cases	(220,289)	(43,036)	-	(263,325)	263,325
Property foreclosure period for individually significant impaired customers					
Increase by one year	-	-	3,589,086	3,589,086	(3,589,086)
Decrease by one year**	-	-	(3,965,851)	(3,965,851)	3,965,851
Deemed loss period					
Increase by 1 year	(543,114)	(381,337)	(1,537,393)	(2,461,844)	2,461,844
Decrease by 1 year**	1,083,443	522,923	2,617,984	4,224,350	(4,224,350)

* The PD/LGD decrease is limited to 0%, if applicable.

** Foreclosure period/deemed loss period is capped at one year, if applicable.

Notes to the Financial Statements

51. RISK MANAGEMENT CONTD.

As at 31st December 2023

	Sensitivity effect on Statement of Financial Position [Increase/(Decrease) in impairment provision]				Sensitivity effect on Statement of Profit or Loss [Increase/ (Decrease) in operating profit before tax]
	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000	Rs 000
Probability of Default (PD)					
Increase existing PD by 1% across all age buckets	2,691,489	842,510	-	3,533,999	(3,533,999)
Decrease existing PD by 1% across all age buckets*	(2,420,351)	(834,924)	-	(3,255,275)	3,255,275
Loss Given Default (LGD)					
5% increase	783,272	863,578	1,683,657	3,330,507	(3,330,507)
5% decrease*	(783,272)	(863,578)	(1,683,657)	(3,330,507)	3,330,507
Economic Factor Adjustment (EFA)					
worst case 5% increase, with a decrease of 2.5% each in best & base cases	189,633	192,846	-	382,479	(382,479)
worst case 5% decrease, with an increase of 2.5% each in best & base cases	(189,633)	(192,846)	-	(382,479)	382,479
Property foreclosure period for individually significant impaired customers					
Increase by one year	-	-	3,740,543	3,740,543	(3,740,543)
Decrease by one year**	-	-	(3,998,440)	(3,998,440)	3,998,440
Deemed loss period					
Increase by 1 year	(838,346)	(1,130,008)	(2,278,156)	(4,246,510)	4,246,510
Decrease by 1 year**	302,197	494,290	992,191	1,788,678	(1,788,678)

* The PD/LGD decrease is limited to 0%, if applicable.

** Foreclosure period/deemed loss period is capped at one year, if applicable.

51.2.1.4 Sensitivity Analysis: Impact of staging of loans and advances on collective impairment

If all loans and advances currently in stage 2, were moved to stage 1, the ECL provision of the Bank/Group as at 31st December 2024 would have reduced by approximately 2% (2023 - 4%). The total loans and advances in stage 2 as at 31st December 2024 amounts to Rs 152 Bn & Rs 170 Bn for the Bank & the Group respectively.

If all loans and advances currently in stage 1, were moved to stage 2, the ECL provision of the Bank/Group as at 31st December 2024 would have further increased by approximately 21% (2023 - 14%). The total loans and advances in stage 1 as at 31st December 2024 amounts to Rs 680 Bn & Rs 702 Bn for the Bank & the Group respectively. The management believes that a movement of the entire stage 1 loan portfolio to stage 2 is highly unlikely.

The increase/decrease in impairment has been calculated excluding the allowance for overlay recognised as at the reporting date.

51.2.1.5 Breakdown of loans classified under stage 2

Loans classified under the stage 2 includes contractually past due loans and loans which have been shifted to stage 2 based on the criteria specified in the Notes 3.4.6.1 (b) & 3.4.6.11.

Bank

As at 31st December	2024				2023
	Not Contractually Past Due 0 - 30 Days Rs 000	Contractually Past Due		Total Rs 000	Total Rs 000
		31 - 60 Days Rs 000	61 - 90 Days Rs 000		
Term loans	58,477,501	19,650,550	16,317,875	94,445,926	133,857,429
Overdraft	12,335,603	1,682,124	63,624	14,081,351	21,071,799
Import loans	11,633,218	1,134,543	136,454	12,904,215	17,591,524
Others	18,762,888	6,347,848	5,325,089	30,435,825	38,798,322
	101,209,210	28,815,065	21,843,042	151,867,317	211,319,074

Group

As at 31st December	2024				2023
	Not Contractually Past Due 0 - 30 Days Rs 000	Contractually Past Due		Total Rs 000	Total Rs 000
		31 - 60 Days Rs 000	61 - 90 Days Rs 000		
Term loans	58,477,501	20,503,277	16,781,268	95,762,046	135,035,493
Overdraft	12,335,603	1,682,124	63,624	14,081,351	21,071,799
Import loans	11,633,218	1,134,543	136,454	12,904,215	17,591,524
Others	28,616,146	10,683,911	8,365,579	47,665,636	53,447,630
	111,062,468	34,003,855	25,346,925	170,413,248	227,146,446

Notes to the Financial Statements

51. RISK MANAGEMENT CONTD.

51.2.1.6 Breakdown of loans classified under stage 3

Loans classified under the stage 3 includes contractually past due loans and loans which have been shifted to stage 3 based on the criteria specified in the Notes 3.4.6.1 (a) & Note 3.4.6.11.

Bank

As at 31st December	2024					2023
	Not Contractually Past Due			Contractually Past Due	Total	Total
	0 - 30 Days Rs 000	31 - 60 Days Rs 000	61 - 90 Days Rs 000	above 90 Days Rs 000	Rs 000	Rs 000
Term loans	10,491,409	1,608,980	4,809,900	95,688,691	112,598,980	120,575,890
Overdraft	1,220,527	44,642	-	5,857,428	7,122,597	8,043,525
Import loans	473,940	22,083	36,085	3,004,173	3,536,281	3,862,102
Others	40,209	15,278	45,027	8,929,419	9,029,933	11,134,167
	12,226,085	1,690,983	4,891,012	113,479,711	132,287,791	143,615,684

Group

As at 31st December	2024					2023
	Not Contractually Past Due			Contractually Past Due	Total	Total
	0 - 30 Days Rs 000	31 - 60 Days Rs 000	61 - 90 Days Rs 000	above 90 Days Rs 000	Rs 000	Rs 000
Term loans	10,491,409	1,608,980	4,809,900	96,749,759	113,660,048	121,490,870
Overdraft	1,220,527	44,642	-	5,857,428	7,122,597	8,043,525
Import loans	473,940	22,083	36,085	3,004,173	3,536,281	3,862,102
Others	117,523	57,714	66,821	11,919,173	12,161,231	18,063,779
	12,303,399	1,733,419	4,912,806	117,530,533	136,480,157	151,460,276

51.2.1.7 Overview of rescheduled & restructured loans

An analysis of rescheduled & restructured loans and advances of the Bank/Group which are in stage 2 and stage 3 is given below along with the impairment for ECL. This does not include individually significant impaired loans and advances for which ECLs have been derived by discounting future recovery cash flows of such loans.

As at 31st December 2024

	Amortised Cost			Impairment for ECL			Net Carrying Value Rs 000
	Stage 2	Stage 3	Total	Stage 2	Stage 3	Total	
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	
Bank	5,348,856	14,718,674	20,067,530	540,759	7,688,434	8,229,193	11,838,337
Group	6,134,784	15,556,905	21,691,689	572,482	7,918,683	8,491,165	13,200,524

As at 31st December 2023

	Amortised Cost			Impairment for ECL			Net Carrying Value Rs 000
	Stage 2	Stage 3	Total	Stage 2	Stage 3	Total	
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	
Bank	21,737,488	15,314,630	37,052,118	2,781,864	7,683,524	10,465,388	26,586,730
Group	22,101,401	16,128,264	38,229,665	2,796,317	7,927,439	10,723,756	27,505,909

51.2.1.8 Overview of rescheduled/restructured loans & advances upgraded during the year

The Bank upgrades rescheduled/restructured loans from Stage 3/Stage 2 to Stage 1 as per the upgrading policy described in Note 3.4.6.11 of the Financial Statements. During the year the Bank upgraded Rs 4.6 Bn (2023: Rs 14.8 Bn) worth of rescheduled/restructured loans to Stage 1. Due to this upgrade, the impairment provision against these loans decreased by Rs 413 Mn from Rs 720 Mn as at 31st December 2023 to Rs 307 Mn as at 31st December 2024.

51.2.2 Risks on Credit-related Commitments

The Bank makes available to its customers, guarantees that may require the Bank to make payments on behalf of customers and enters into commitments to extend credit lines to secure their liquidity needs. Letters of credit and guarantees are commitments to make payments on behalf of customers in the event of a specific act. Such commitments expose the Bank to risks similar to loans and are mitigated by the same control processes and policies.

The maximum exposure to credit risk relating to a financial guarantee is the maximum amount the Bank should have to pay if the guarantee is called upon. The maximum exposure to credit risk relating to a loan commitment is the full amount of the commitment. In both cases, the maximum risk exposure is significantly greater than the amount recognised as a liability in the Statement of Financial Position. The Bank's maximum credit risk exposure to commitments and contingencies are disclosed in Note 51.2.3.1 to the Financial Statements.

51.2.3 Collateral and Other Credit Enhancements

51.2.3.1 Net exposure to credit risk

The required amount and type of collateral depends on an assessment of the credit risk of the counterparty. Guidelines are in place covering the acceptability and valuation of each type of collateral. The main types of collateral obtained are as follows:

For commercial lending : charges over real estate properties, cash, inventory and trade receivables, shares etc.

For retail lending : mortgages over residential properties, motor vehicles, gold etc.

The Bank also obtains guarantees from parent companies as securities against loans granted to their subsidiaries.

Management monitors the market value of collateral and will request additional collateral if the market values are not sufficient in accordance with the underlying agreement. It is the Bank's policy to dispose repossessed properties in an orderly manner. The proceeds are used to recover the outstanding claim.

There was no change in the Group's collateral policy during the year. Further, the Group did not observe any significant deterioration in the quality of the collaterals and other credit enhancements during the reporting period.

The Group does not provide for any allowances for ECL against financial assets secured by cash/deposits held within the Group. Further, no allowance for ECL has been recognised for government securities denominated in Sri Lankan rupees, other financial assets secured by government guarantees, treasury bills and treasury bonds. Except for the above, Group has recognised ECL for all other financial assets classified at amortised cost and debt instruments at FVOCI.

The following table shows the maximum exposure and net exposure (net of fair value of any collaterals held) to credit risk by class of financial asset, before netting off impairment for expected credit losses.

Bank

As at 31st December	Note	2024		2023	
		Maximum Exposure to Credit Risk	Net Exposure	Maximum Exposure to Credit Risk	Net Exposure
		Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets					
Cash & cash equivalents	20	46,251,539	16,341,386	79,318,108	48,097,841
Placements with banks	22	26,478,308	26,478,308	33,758,255	33,758,255
Reverse repurchase agreements		1,000,220	-	-	-
Derivative financial instruments	23	507,054	507,054	587,577	587,577
Financial assets recognised through profit or loss - measured at fair value	24	4,614,332	4,614,332	4,744,188	4,744,188
Financial assets at amortised cost					
- loans & advances	25	964,576,145	326,331,500	877,317,072	281,961,494
- debt & other instruments	26	401,819,551	400,799,725	384,988,762	383,660,081
Financial assets - fair value through other comprehensive income	27	367,782,512	367,782,512	216,022,295	216,022,295
Other assets		12,571,604	12,571,604	27,778,625	27,778,625
		1,825,601,265	1,155,426,421	1,624,514,882	996,610,356
Credit related commitments and contingencies		352,068,253	344,719,459	298,954,099	295,350,164

Notes to the Financial Statements

51. RISK MANAGEMENT CONTD.

Group

As at 31st December	Note	2024		2023	
		Maximum Exposure to Credit Risk	Net Exposure	Maximum Exposure to Credit Risk	Net Exposure
		Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets					
Cash & cash equivalents	20	46,523,462	16,368,925	79,576,370	48,119,948
Placements with banks	22	26,478,308	26,478,308	33,758,255	33,758,255
Reverse repurchase agreements		6,596,063	-	150,400	-
Derivative financial instruments	23	507,054	507,054	587,577	587,577
Financial assets recognised through profit or loss - measured at fair value	24	4,614,332	4,614,332	4,841,302	4,841,302
Financial assets at amortised cost					
- loans & advances	25	1,009,260,995	323,548,963	911,925,231	279,402,046
- debt & other instruments	26	406,154,808	405,134,982	390,788,602	389,459,921
Financial assets - fair value through other comprehensive income	27	367,782,568	367,782,568	216,022,351	216,022,351
Other assets		14,358,414	14,358,414	29,462,947	29,462,947
		1,882,276,004	1,158,793,546	1,667,113,035	1,001,654,347
Credit related commitments and contingencies		349,412,412	342,063,618	297,243,356	293,639,420

51.2.3.2 Stage-wise analysis of collateral held against loans & advances

The following table sets out the principle types of collateral held by the Bank/Group against loans and advances. For each loan, the value of the collateral is capped at the amortised cost of the loan.

As at 31st December	BANK				GROUP			
	Mix %	2024 Amortised Cost Rs 000	Mix %	2023 Amortised Cost Rs 000	Mix %	2024 Amortised Cost Rs 000	Mix %	2023 Amortised Cost Rs 000
Stage 1								
Cash & cash equivalents	11	75,507,312	12	62,823,469	11	75,821,901	12	63,218,811
Treasury guarantee	2	11,539,478	3	13,132,971	2	11,539,478	3	13,132,971
Gold	13	87,729,682	15	80,416,658	14	98,017,264	16	86,614,450
Motor vehicle	3	23,858,373	3	14,359,620	6	39,878,109	4	23,723,078
Immovable property	25	167,749,826	25	129,604,607	24	167,749,826	24	129,604,607
Other securities*	30	204,716,699	32	169,010,575	28	200,041,345	31	163,990,178
Unsecured	16	109,319,667	10	53,034,414	15	109,319,667	10	53,034,414
	100	680,421,037	100	522,382,314	100	702,367,590	100	533,318,509
Stage 2								
Cash & cash equivalents	6	8,500,086	5	10,578,798	5	8,537,099	5	10,621,754
Gold	-	680,060	-	123	1	1,778,936	-	1,133,670
Motor vehicle	3	4,166,406	3	6,165,073	13	21,564,718	9	20,796,242
Immovable property	60	90,664,123	59	126,571,095	53	90,664,123	56	126,572,538
Other securities*	21	32,153,778	25	51,923,180	19	32,165,508	23	51,941,437
Unsecured	10	15,702,864	8	16,080,805	9	15,702,864	7	16,080,805
	100	151,867,317	100	211,319,074	100	170,413,248	100	227,146,446
Stage 3								
Cash & cash equivalents	1	701,112	-	66,037	1	728,081	-	146,151
Gold	-	22,777	-	318,991	-	82,799	1	955,549
Motor vehicle	1	1,684,456	2	2,225,600	3	4,736,248	5	8,140,971
Immovable property	64	84,672,826	59	85,440,276	62	84,978,085	56	85,808,235
Other securities*	22	29,308,793	26	36,542,755	22	30,057,117	25	37,385,348
Unsecured	12	15,897,827	13	19,022,025	12	15,897,827	13	19,024,022
	100	132,287,791	100	143,615,684	100	136,480,157	100	151,460,276

* Other securities include quoted & unquoted shares, lease receivable, inventories, trade receivable, personal guarantees and corporate guarantees etc.

51.2.3.3 Offsetting financial assets & liabilities

Financial assets and financial liabilities are offset and the net amount is presented in the Statement of Financial Position when the Group has a legal right to set off the recognised amounts and it intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

51.2.3.4 Financial assets & liabilities not subject to offsetting

Amounts that do not qualify for offsetting include netting arrangements that only permit outstanding transactions with the same counterparty to be offset in an event of default or occurrence of other predetermined events. Such netting arrangements include repurchase arrangements and other similar secured lending and borrowing arrangements.

The amount of the financial collateral received or pledged subject to netting arrangements but not qualified for offsetting are disclosed below.

Bank

As at 31st December	2024			2023		
	Gross Amount	Amount Subject to Netting but do not Qualify for Offsetting	Net Amount	Gross Amount	Amount Subject to Netting but do not Qualify for Offsetting	Net Amount
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets						
Loans & advances	118,366,527	84,708,510	33,658,017	82,162,417	73,468,304	8,694,113
Financial Liabilities						
Securities sold under repurchase agreements	40,312,784	40,312,784	-	34,688,209	34,688,209	-

Group

As at 31st December	2024			2023		
	Gross Amount	Amount Subject to Netting but do not Qualify for Offsetting	Net Amount	Gross Amount	Amount Subject to Netting but do not Qualify for Offsetting	Net Amount
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets						
Loans & advances	118,924,821	85,087,081	33,837,740	82,719,145	73,986,716	8,732,429
Financial Liabilities						
Securities sold under repurchase agreements	40,312,784	40,312,784	-	34,438,086	34,438,086	-

Notes to the Financial Statements

51. RISK MANAGEMENT CONTD.

51.2.4 Stage-wise Movement of Loans & Advances and Commitments & Contingencies

Changes in the gross carrying amount of loans & advances and commitments & contingencies during the period that contributed to the changes in impairment provisions is given below.

51.2.4.1 Stage-wise movement of gross carrying values of loans and advances

Bank

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2023	513,418,507	305,856,795	100,846,349	920,121,651
Current stage of new financial assets originated	197,201,271	47,725,674	-	244,926,945
Changes in the gross carrying amount				
- Transfer to stage 1	30,828,553	(35,999,098)	(2,546,540)	(7,717,085)
- Transfer to stage 2	(17,689,911)	19,850,285	(6,582,685)	(4,422,311)
- Transfer to stage 3	(1,459,023)	(49,077,265)	49,001,264	(1,535,024)
Financial assets that have been derecognised	(199,917,083)	(102,650,835)	(13,663,661)	(316,231,579)
Write-offs during the year	-	-	(708,986)	(708,986)
Changes to contractual cash flows due to modifications	-	25,613,518	17,269,943	42,883,461
Balance as at 31st December 2023	522,382,314	211,319,074	143,615,684	877,317,072
Balance as at 1st January 2024	522,382,314	211,319,074	143,615,684	877,317,072
Current stage of new financial assets originated	341,605,769	43,228,281	-	384,834,050
Changes in the gross carrying amount				
- Transfer to stage 1	41,821,430	(42,670,339)	(1,231,540)	(2,080,449)
- Transfer to stage 2	(16,544,334)	17,653,196	(4,583,953)	(3,475,091)
- Transfer to stage 3	(1,278,139)	(18,192,737)	16,952,965	(2,517,911)
Financial assets that have been derecognised	(207,566,003)	(76,571,992)	(20,682,599)	(304,820,594)
Write-offs during the year	-	-	(13,713,315)	(13,713,315)
Changes to contractual cash flows due to modifications	-	17,101,834	11,930,549	29,032,383
Balance as at 31st December 2024	680,421,037	151,867,317	132,287,791	964,576,145

Group

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2023	519,894,217	322,149,877	111,046,135	953,090,229
Current stage of new financial assets originated	207,874,959	56,869,731	-	264,744,690
Changes in the gross carrying amount				
- Transfer to stage 1	31,334,985	(36,380,043)	(2,672,027)	(7,717,085)
- Transfer to stage 2	(17,984,796)	20,448,262	(6,885,777)	(4,422,311)
- Transfer to stage 3	(1,557,220)	(49,525,874)	49,548,072	(1,535,022)
Financial assets that have been derecognised	(206,243,636)	(112,089,573)	(17,417,479)	(335,750,688)
Write-offs during the year	-	-	(1,227,387)	(1,227,387)
Changes to contractual cash flows due to modifications	-	25,674,066	19,068,739	44,742,805
Balance as at 31st December 2023	533,318,509	227,146,446	151,460,276	911,925,231
Balance as at 1st January 2024	533,318,509	227,146,446	151,460,276	911,925,231
Current stage of new financial assets originated	362,243,583	54,036,586	-	416,280,169
Changes in the gross carrying amount				
- Transfer to stage 1	42,740,668	(43,385,452)	(1,441,514)	(2,086,298)
- Transfer to stage 2	(17,915,021)	19,700,084	(5,270,827)	(3,485,764)
- Transfer to stage 3	(1,558,391)	(19,317,429)	18,178,750	(2,697,070)
Financial assets that have been derecognised	(216,461,758)	(84,868,821)	(24,310,120)	(325,640,699)
Write-off during the year	-	-	(14,402,471)	(14,402,471)
Changes to contractual cash flows due to modifications	-	17,101,834	12,266,063	29,367,897
Balance as at 31st December 2024	702,367,590	170,413,248	136,480,157	1,009,260,995

51.2.4.2 Stage-wise movement of Impairment for loans and advances

Bank

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2023	9,917,653	44,751,656	54,294,693	108,964,002
Net impairment charge for the year due to:				
New financial assets originated	3,970,968	4,094,262	-	8,065,230
Changes in the gross carrying amount				
- Transfer to stage 1	1,473,006	(3,582,787)	(1,114,774)	(3,224,555)
- Transfer to stage 2	(659,234)	1,900,410	(1,716,738)	(475,562)
- Transfer to stage 3	(59,448)	(11,828,698)	25,891,568	14,003,422
Net remeasurement of impairment	656,421	(3,372,565)	5,579,084	2,862,940
Financial assets that have been derecognised	(2,251,335)	(10,625,132)	(4,614,334)	(17,490,801)
Change to contractual cash flows due to modifications	-	4,736,930	9,589,065	14,325,995
Write-off during the year	-	-	(708,986)	(708,986)
Interest accrued on impaired loans & advances	-	-	(5,333,637)	(5,333,637)
Other movements	(141,439)	(1,111,928)	1,146,832	(106,535)
Balance as at 31st December 2023	12,906,592	24,962,148	83,012,773	120,881,513
Balance as at 1st January 2024	12,906,592	24,962,148	83,012,773	120,881,513
Net impairment charge for the year due to:				
New financial assets originated	3,857,337	3,844,406	-	7,701,743
Changes in the gross carrying amount				
- Transfer to stage 1	1,435,671	(3,882,763)	(464,823)	(2,911,915)
- Transfer to stage 2	(651,297)	1,269,697	(1,222,224)	(603,824)
- Transfer to stage 3	(82,506)	(3,664,933)	8,641,263	4,893,824
Net remeasurement of impairment	(3,320,106)	(2,257,710)	10,617,820	5,040,004
Financial assets that have been derecognised	(4,094,474)	(6,479,358)	(10,163,422)	(20,737,254)
Change to contractual cash flows due to modifications	-	2,071,634	7,317,136	9,388,770
Write-off during the year	-	-	(13,713,315)	(13,713,315)
Interest accrued on impaired loans and advances	-	-	(5,198,011)	(5,198,011)
Other movements	(240,767)	(731,682)	655,449	(317,000)
Balance as at 31st December 2024	9,810,450	15,131,439	79,482,646	104,424,535

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Notes to the Financial Statements

51. RISK MANAGEMENT CONTD.

Group

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2023	9,934,498	45,651,154	57,527,839	113,113,491
Net impairment charge for the year due to:				
New financial assets originated	4,032,154	4,493,620	-	8,525,774
Changes in the gross carrying amount				
- Transfer to stage 1	1,901,936	(3,957,712)	(1,168,779)	(3,224,555)
- Transfer to stage 2	(671,297)	1,996,048	(1,800,313)	(475,562)
- Transfer to stage 3	(115,565)	(12,018,952)	26,137,939	14,003,422
Net remeasurement of impairment	651,865	(3,372,550)	5,579,095	2,858,410
Financial assets that have been derecognised	(2,678,668)	(10,672,251)	(4,769,505)	(18,120,424)
Change to contractual cash flows due to modifications	-	4,739,272	9,817,331	14,556,603
Write-off during the year	-	-	(1,227,387)	(1,227,387)
Interest accrued on impaired loans and advances	-	-	(5,335,198)	(5,335,198)
Other movements	(141,439)	(1,111,928)	1,148,305	(105,062)
Balance as at 31st December 2023	12,913,484	25,746,701	85,909,327	124,569,512
Balance as at 1st January 2024	12,913,484	25,746,701	85,909,327	124,569,512
Net impairment charge for the year due to:				
New financial assets originated	3,950,047	4,090,978	-	8,041,025
Changes in the gross carrying amount				
- Transfer to stage 1	1,484,094	(3,907,870)	(485,245)	(2,909,021)
- Transfer to stage 2	(673,448)	1,374,749	(1,305,356)	(604,055)
- Transfer to stage 3	(88,603)	(3,739,137)	8,668,862	4,841,122
Net remeasurement of impairment	(3,297,883)	(2,257,710)	10,608,679	5,053,086
Financial assets that have been derecognised	(4,160,981)	(6,736,946)	(10,787,114)	(21,685,041)
Change to contractual cash flows due to modifications	-	2,071,634	7,850,281	9,921,915
Write-off during the year	-	-	(14,402,471)	(14,402,471)
Interest accrued on impaired loans and advances	-	-	(5,198,552)	(5,198,552)
Other movements	(240,767)	(731,682)	655,443	(317,006)
Balance as at 31st December 2024	9,885,943	15,910,717	81,513,854	107,310,514

51.2.4.3 Stage-wise movement of gross carrying values of credit related commitments and contingencies

Bank

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2023	240,109,111	60,024,798	2,405,956	302,539,865
Current stage of new commitments originated	54,455,526	5,861,785	-	60,317,311
Changes in the gross carrying amount				
- Transfer to stage 1	19,279,910	(19,420,880)	(26,614)	(167,584)
- Transfer to stage 2	(6,809,110)	7,320,449	(1,303,499)	(792,160)
- Transfer to stage 3	(2,094)	(1,951,368)	2,459,438	505,976
Amounts that have been derecognised	(43,991,747)	(18,765,573)	(691,989)	(63,449,309)
Balance as at 31st December 2023	263,041,596	33,069,211	2,843,292	298,954,099
Balance as at 1st January 2024	263,041,596	33,069,211	2,843,292	298,954,099
Current stage of new commitments originated	79,540,434	5,337,824	-	84,878,258
Changes in the gross carrying amount				
- Transfer to stage 1	10,868,299	(10,820,843)	(4,280)	43,176
- Transfer to stage 2	(12,527,931)	11,274,587	(38,553)	(1,291,897)
- Transfer to stage 3	(30)	(1,461,300)	1,288,374	(172,956)
Amounts that have been derecognised	(19,885,647)	(8,042,519)	(2,414,261)	(30,342,427)
Balance as at 31st December 2024	321,036,721	29,356,960	1,674,572	352,068,253

Group

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2023	238,961,992	60,024,798	2,405,956	301,392,746
Current stage of new commitments originated	54,466,086	5,861,785	-	60,327,871
Changes in the gross carrying amount				
- Transfer to stage 1	18,705,726	(19,420,880)	(26,614)	(741,768)
- Transfer to stage 2	(6,809,110)	7,320,449	(1,303,499)	(792,160)
- Transfer to stage 3	(2,094)	(1,951,368)	2,459,438	505,976
Amounts that have been derecognised	(43,991,747)	(18,765,573)	(691,989)	(63,449,309)
Balance as at 31st December 2023	261,330,853	33,069,211	2,843,292	297,243,356
Balance as at 1st January 2024	261,330,853	33,069,211	2,843,292	297,243,356
Current stage of new commitments originated	79,540,434	5,337,824	-	84,878,258
Changes in the gross carrying amount				
- Transfer to stage 1	9,927,346	(10,820,843)	(4,280)	(897,777)
- Transfer to stage 2	(12,527,931)	11,274,587	(38,553)	(1,291,897)
- Transfer to stage 3	(30)	(1,461,300)	1,288,374	(172,956)
Amounts that have been derecognised	(19,889,792)	(8,042,519)	(2,414,261)	(30,346,572)
Balance as at 31st December 2024	318,380,880	29,356,960	1,674,572	349,412,412

Notes to the Financial Statements

51. RISK MANAGEMENT CONTD.

51.2.4.4 Stage-wise movement of impairment for credit related commitments and contingencies

Bank

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2023	2,128,073	975,413	15,578	3,119,064
Net impairment charge for the year due to:				
New commitments originated	34,364	264,763	-	299,127
Changes in the gross carrying amount				
- Transfer to stage 1	59,983	(271,083)	-	(211,100)
- Transfer to stage 2	(24,768)	161,803	-	137,035
- Transfer to stage 3	(2,470)	(52,383)	25,693	(29,160)
Net remeasurement of impairment	591,878	70,635	-	662,513
Amounts that have been derecognised	(228,169)	(380,858)	(15,054)	(624,081)
Other movements	(51,085)	(66,291)	(524)	(117,900)
Balance as at 31st December 2023	2,507,806	701,999	25,693	3,235,498
Balance as at 1st January 2024	2,507,806	701,999	25,693	3,235,498
Net impairment charge for the year due to:				
New commitments originated	200,587	101,957	-	302,544
Changes in the gross carrying amount				
- Transfer to stage 1	21,559	(126,735)	-	(105,176)
- Transfer to stage 2	(96,160)	336,364	-	240,204
- Transfer to stage 3	(2,401)	(29,605)	-	(32,006)
Net remeasurement of impairment	(447,852)	187,440	565,622	305,210
Amounts that have been derecognised	(113,950)	(132,357)	-	(246,307)
Other movements	(42,252)	(38,926)	(1,795)	(82,973)
Balance as at 31st December 2024	2,027,337	1,000,137	589,520	3,616,994

Group

	Stage 1 Subject to 12-month ECL Rs 000	Stage 2 Subject to Lifetime ECL but not Credit Impaired Rs 000	Stage 3 Subject to Lifetime ECL Credit Impaired Rs 000	Total Rs 000
Balance as at 1st January 2023	2,122,309	975,413	15,578	3,113,300
Net impairment charge for the year due to:				
New commitments originated	35,941	264,763	-	300,704
Changes in the gross carrying amount				
- Transfer to stage 1	48,185	(271,083)	-	(222,898)
- Transfer to stage 2	(24,768)	161,803	-	137,035
- Transfer to stage 3	(2,470)	(52,383)	25,693	(29,160)
Net remeasurement of impairment	591,878	70,635	-	662,513
Amounts that have been derecognised	(228,169)	(380,858)	(15,054)	(624,081)
Other movements	(51,085)	(66,291)	(524)	(117,900)
Balance as at 31st December 2023	2,491,821	701,999	25,693	3,219,513
Balance as at 1st January 2024	2,491,821	701,999	25,693	3,219,513
Net impairment charge for the year due to:				
New commitments originated	200,587	101,957	-	302,544
Changes in the gross carrying amount				
- Transfer to stage 1	21,559	(126,735)	-	(105,176)
- Transfer to stage 2	(96,160)	336,364	-	240,204
- Transfer to stage 3	(2,401)	(29,605)	-	(32,006)
Net remeasurement of impairment	(449,910)	187,440	565,622	303,152
Amounts that have been derecognised	(117,421)	(132,357)	-	(249,778)
Other movements	(42,252)	(38,926)	(1,795)	(82,973)
Balance as at 31st December 2024	2,005,823	1,000,137	589,520	3,595,480

51.2.4.5 Stage-wise movement of gross carrying values of other financial assets

During the year, the investment in debentures of Kotagala Plantation PLC was transferred from Stage 1 to Stage 2 due to a downgrade in its external credit rating. Apart from the above, there were no material stage movements recorded in other financial assets during the year.

Notes to the Financial Statements

51. RISK MANAGEMENT CONTD.

51.2.5 Credit Quality by Class of Financial Assets

The tables below show the credit quality by the class of asset for all financial assets exposed to credit risk, based on the internal credit ratings for loans & advances and based on external credit ratings for other financial assets.

Bank

	High Grade				Standard Grade				Sub -Standard Grade				
	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	
As at 31st December 2024													
Financial Assets													
Cash & cash equivalents	16,263,056	-	-	29,910,153	2,158	-	-	-	76,172	-	-	-	
Balances with Central Bank of Sri Lanka	-	-	-	16,373,983	-	-	-	-	-	-	-	-	
Placements with banks	17,583,607	-	-	-	8,894,701	-	-	-	-	-	-	-	
Reverse repurchase agreements	1,000,220	-	-	-	-	-	-	-	-	-	-	-	
Derivative financial instruments	-	-	-	495,540	-	-	-	9,633	-	-	-	-	
Financial assets recognised through profit or loss - measured at fair value	-	-	-	4,614,332	-	-	-	-	-	-	-	-	
Financial assets at amortised cost													
- loans & advances	427,779,223	43,596,707	787,393	-	142,682,598	85,713,393	14,289,376	-	1,865,707	18,794,717	5,188,824	-	
- debt & other instruments	385,123,773	-	-	-	2,044,409	-	-	-	-	14,396,585	-	-	
Financial assets - fair value through other comprehensive income	365,254,539	-	-	-	-	-	-	-	-	-	-	-	
Other assets	-	-	-	-	-	-	-	-	-	-	-	-	
Total financial assets	1,213,004,418	43,596,707	787,393	51,394,008	153,623,866	85,713,393	14,289,376	9,633	1,941,879	33,191,302	5,188,824	-	
Credit related commitments & contingencies	219,854,020	8,498,667	-	-	71,981,520	19,942,796	288,009	-	403,732	202,267	480,207	-	
As at 31st December 2023													
Financial Assets													
Cash & cash equivalents	47,867,508	-	-	31,220,267	138,100	-	-	-	92,233	-	-	-	
Balances with Central Bank of Sri Lanka	-	-	-	14,463,854	-	-	-	-	-	-	-	-	
Placements with banks	31,552,375	-	-	-	2,205,880	-	-	-	-	-	-	-	
Reverse repurchase agreements	-	-	-	-	-	-	-	-	-	-	-	-	
Derivative financial instruments	-	-	-	538,298	-	-	-	46,839	-	-	-	-	
Financial assets recognised through profit or loss - measured at fair value	-	-	-	4,744,188	-	-	-	-	-	-	-	-	
Financial assets at amortised cost													
- loans & advances	319,151,302	65,610,262	5,622,324	-	102,009,063	130,592,814	44,175,122	-	1,224,614	11,584,822	16,085,993	-	
- debt & other instruments	348,262,952	-	-	-	2,367,093	-	-	-	-	33,244,652	-	-	
Financial assets - fair value through other comprehensive income	211,004,648	-	-	-	-	-	-	-	-	1,040,578	-	-	
Other assets	-	-	-	-	-	-	-	-	-	-	-	-	
Total financial assets	957,838,785	65,610,262	5,622,324	50,966,607	106,720,136	130,592,814	44,175,122	46,839	1,316,847	45,870,052	16,085,993	-	
Credit related commitments & contingencies	180,738,818	14,219,771	329,329	-	55,941,438	18,111,740	2,311,982	-	132,208	240,671	41,442	-	

393

Notes to the Financial Statements

51. RISK MANAGEMENT CONTD.

Group

	High Grade				Standard Grade				Sub -Standard Grade				
	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	
As at 31st December 2024													
Financial Assets													
Cash & cash equivalents	16,290,468	-	-	30,154,537	2,285	-	-	-	76,172	-	-	-	
Balances with Central Bank of Sri Lanka	-	-	-	16,373,983	-	-	-	-	-	-	-	-	
Placements with banks	17,583,607	-	-	-	8,894,701	-	-	-	-	-	-	-	
Reverse repurchase agreements	6,596,063	-	-	-	-	-	-	-	-	-	-	-	
Derivative financial instruments	-	-	-	495,540	-	-	-	9,633	-	-	-	-	
Financial assets recognised through profit or loss - measured at fair value	-	-	-	4,614,332	-	-	-	-	-	-	-	-	
Financial assets at amortised cost													
- loans & advances	426,499,410	43,596,707	787,393	-	139,009,831	85,713,393	14,289,376	-	1,865,707	18,794,717	5,188,824	-	
- debt & other instruments	389,459,030	-	-	-	2,044,409	-	-	-	-	14,396,585	-	-	
Financial assets - fair value through other comprehensive income	365,254,539	-	-	-	-	-	-	-	-	-	-	-	
Other assets	-	-	-	-	-	-	-	-	-	-	-	-	
Total financial assets	1,221,683,117	43,596,707	787,393	51,638,392	149,951,226	85,713,393	14,289,376	9,633	1,941,879	33,191,302	5,188,824	-	
Credit related commitments & contingencies	219,463,187	8,498,667	-	-	69,692,091	19,942,796	288,009	-	403,732	202,267	480,207	-	

As at 31st December 2023

Financial Assets													
Cash & cash equivalents	47,889,583	-	-	31,456,422	138,132	-	-	-	92,233	-	-	-	
Balances with Central Bank of Sri Lanka	-	-	-	14,463,854	-	-	-	-	-	-	-	-	
Placements with banks	31,552,375	-	-	-	2,205,880	-	-	-	-	-	-	-	
Reverse repurchase agreements	150,400	-	-	-	-	-	-	-	-	-	-	-	
Derivative financial instruments	-	-	-	538,298	-	-	-	46,839	-	-	-	-	
Financial assets recognised through profit or loss - measured at fair value	-	-	-	4,753,387	-	-	-	-	-	-	-	-	
Financial assets at amortised cost													
- loans & advances	313,364,292	65,610,262	5,622,324	-	102,009,063	130,592,814	44,175,122	-	1,224,614	11,584,822	16,085,993	-	
- debt & other instruments	354,062,792	-	-	-	2,367,093	-	-	-	-	33,244,652	-	-	
Financial assets - fair value through other comprehensive income	211,004,648	-	-	-	-	-	-	-	-	1,040,578	-	-	
Other assets	-	-	-	-	-	-	-	-	-	-	-	-	
Total financial assets	958,024,090	65,610,262	5,622,324	51,211,961	106,720,168	130,592,814	44,175,122	46,839	1,316,847	45,870,052	16,085,993	-	
Credit related commitments & contingencies	178,999,509	14,219,771	329,329	-	55,941,438	18,111,741	2,311,982	-	132,208	240,671	41,442	-	

395

Notes to the Financial Statements

51. RISK MANAGEMENT CONTD.

51.2.6 Counterparty-wise Analysis of Derivative Financial Instruments

The following table shows a counterparty-wise analysis of derivative financial instruments.

Bank & Group

As at 31st December 2024	Type of Derivative							
	SPOT			Forward			SWAP	
	Notional amount	Gain/Loss	Rs 000	Notional amount	Gain/Loss	Rs 000	Notional amount	Gain/Loss
	Rs 000	Rs 000		Rs 000	Rs 000		Rs 000	Rs 000
Derivative financial assets								
- with banks	1,968,058	10,388		12,105,178	77,011		36,402,939	365,368
- with other customers	634,841	1,199		2,346,461	53,088		-	-
Total derivative financial assets	2,602,899	11,587		14,451,639	130,099		36,402,939	365,368
Derivative financial liabilities								
- with banks	5,717,486	12,993		26,528,382	135,985		85,241,686	3,039,279
- with other customers	1,650,775	2,904		744,307	9,429		-	-
Total derivative financial liabilities	7,368,261	15,897		27,272,689	145,414		85,241,686	3,039,279
							119,882,636	3,200,590

Bank & Group

As at 31st December 2023	Type of Derivative							
	SPOT			Forward			SWAP	
	Notional amount	Gain/Loss	Rs 000	Notional amount	Gain/Loss	Rs 000	Notional amount	Gain/Loss
	Rs 000	Rs 000		Rs 000	Rs 000		Rs 000	Rs 000
Derivative financial assets								
- with banks	1,592,314	11,048		11,867,798	171,285		45,715,067	393,181
- with other customers	4,449,523	3,452		654,353	8,611		-	-
Total derivative financial assets	6,041,837	14,500		12,522,151	179,896		45,715,067	393,181
							64,279,055	587,577
Derivative financial liabilities								
- with banks	2,238,025	5,138		5,791,466	39,524		110,446,587	1,444,637
- with other customers	1,121,828	1,123		719,649	8,355		-	-
Total derivative financial liabilities	3,359,853	6,261		6,511,115	47,879		110,446,587	1,444,637
							120,317,555	1,498,777

51.2.7 Analysis of Risk Concentration

By setting various concentration limits (i.e. large exposures, industry, product, country/region etc.), the Bank/Group ensures that an acceptable level of risk diversification is maintained on an ongoing basis. These limits are continuously monitored and periodically reviewed at management and Board level to capture the developments in the macro economy, both locally and globally.

The exposure to credit risk based on the geographical concentration and industry/sector concentration is given below, for each item of financial asset in the Statement of Financial Position.

51.2.7.1 Geographical concentration

Bank

As at 31st December	2024			2023		
	Sri Lanka Rs 000	Overseas Rs 000	Total Rs 000	Sri Lanka Rs 000	Overseas Rs 000	Total Rs 000
Financial Assets						
Cash & cash equivalents	33,193,108	13,036,210	46,229,318	31,574,518	47,697,569	79,272,087
Balances with Central Bank of Sri Lanka	16,373,983	-	16,373,983	14,463,854	-	14,463,854
Placements with banks	8,279,954	18,172,291	26,452,245	4,492,105	29,249,217	33,741,322
Reverse repurchase agreements	1,000,220	-	1,000,220	-	-	-
Derivative financial instruments	505,076	1,978	507,054	584,997	2,580	587,577
Financial assets recognised through profit or loss - measured at fair value	4,614,332	-	4,614,332	4,744,188	-	4,744,188
Financial assets at amortised cost						
- loans & advances *	823,144,933	37,006,677	860,151,610	727,809,712	28,625,847	756,435,559
- debt & other instruments	376,556,005	24,724,758	401,280,763	351,929,336	16,170,666	368,100,002
Financial assets - fair value through other comprehensive income	346,441,897	21,340,615	367,782,512	204,027,803	11,994,492	216,022,295
Other assets	11,005,240	1,566,364	12,571,604	27,292,588	486,037	27,778,625
Total financial assets	1,621,114,748	115,848,893	1,736,963,641	1,366,919,101	134,226,408	1,501,145,509

* Provincial breakdown for loans & advances within Sri Lanka

Province	BANK	
	2024 Rs 000	2023 Rs 000
Central	47,844,013	45,829,245
Eastern	18,112,960	15,907,389
North Central	18,772,409	16,025,925
North Western	34,946,461	29,472,446
Northern	13,892,731	13,516,912
Sabaragamuwa	17,642,391	17,203,155
Southern	39,915,029	30,917,253
Uva	12,218,423	13,088,306
Western	619,800,516	545,849,081
Total	823,144,933	727,809,712

Notes to the Financial Statements

51. RISK MANAGEMENT CONTD.

Group

As at 31st December	2024			2023		
	Sri Lanka Rs 000	Overseas Rs 000	Total Rs 000	Sri Lanka Rs 000	Overseas Rs 000	Total Rs 000
Financial Assets						
Cash & cash equivalents	33,464,929	13,036,210	46,501,139	31,832,678	47,697,569	79,530,247
Balances with Central Bank of Sri Lanka	16,373,983	-	16,373,983	14,463,854	-	14,463,854
Placements with banks	8,279,954	18,172,291	26,452,245	4,492,105	29,249,217	33,741,322
Reverse repurchase agreements	6,596,063	-	6,596,063	150,400	-	150,400
Derivative financial instruments	505,076	1,978	507,054	584,997	2,580	587,577
Financial assets recognised through profit or loss - measured at fair value	4,614,332	-	4,614,332	4,841,302	-	4,841,302
Financial assets at amortised cost						
- loans & advances *	864,943,804	37,006,677	901,950,481	758,729,872	28,625,847	787,355,719
- debt & other instruments	380,891,262	24,724,758	405,616,020	357,729,176	16,170,666	373,899,842
Financial assets - fair value through other comprehensive income	346,441,953	21,340,615	367,782,568	204,027,859	11,994,492	216,022,351
Other assets	12,792,050	1,566,364	14,358,414	28,976,910	486,037	29,462,947
Total financial assets	1,674,903,406	115,848,893	1,790,752,299	1,405,829,153	134,226,408	1,540,055,561

*Provincial breakdown for loans & advances within Sri Lanka

Province	GROUP	
	2024 Rs 000	2023 Rs 000
Central	54,272,301	51,098,962
Eastern	22,880,029	19,443,577
North Central	20,417,538	17,618,822
North Western	39,863,104	33,309,880
Northern	15,352,138	14,824,003
Sabaragamuwa	20,543,368	19,661,148
Southern	43,124,989	33,774,679
Uva	13,112,465	13,594,331
Western	635,377,872	555,404,470
Total	864,943,804	758,729,872

51. RISK MANAGEMENT CONTD.**51.2.7.2 Industry/sector concentration**

The following tables show the risk concentration by industry for the financial assets.

Bank

As at 31st December	2024										Total
	Agriculture & Related	Manufacturing	Tourism	Transport	Construction	Infrastructure	Traders	Banks, Financial & Business Services	Other Services	Lending to Overseas Entities	Consumers
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets											
Cash & cash equivalents	-	-	-	-	-	-	-	46,229,318	-	-	-
Balances with Central Bank of Sri Lanka	-	-	-	-	-	-	-	16,373,983	-	-	-
Placements with banks	-	-	-	-	-	-	-	26,452,245	-	-	-
Reverse repurchase agreements	-	-	-	-	-	-	-	1,000,220	-	-	-
Derivative financial instruments	-	49,804	-	-	-	-	3,468	453,782	-	-	-
Financial assets recognised through profit or loss - measured at fair value	-	-	-	-	-	-	-	-	-	-	-
Financial assets at amortised cost	-	-	-	-	-	-	-	4,614,332	-	-	-
- loans & advances	80,257,682	121,865,166	64,660,946	10,634,892	95,281,691	61,108,279	111,682,604	74,896,175	56,100,905	37,006,677	146,656,593
- debt & other instruments	5,295	-	-	-	-	1,384,677	-	399,890,791	-	-	-
Financial assets - fair value through other comprehensive income	-	-	-	-	-	-	-	367,782,512	-	-	-
Other assets	-	-	-	-	-	-	-	10,913,633	1,657,971	-	-
Total financial assets	80,262,977	121,914,970	64,660,946	10,634,892	95,281,691	62,492,956	111,686,072	948,606,991	57,758,876	37,006,677	146,656,593
											1,736,963,641

As at 31st December	2023										Total
	Agriculture & Related	Manufacturing	Tourism	Transport	Construction	Infrastructure	Traders	Banks, Financial & Business Services	Other Services	Lending to Overseas Entities	Consumers
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets											
Cash & cash equivalents	-	-	-	-	-	-	-	79,272,087	-	-	-
Balances with Central Bank of Sri Lanka	-	-	-	-	-	-	-	14,463,854	-	-	-
Placements with banks	-	-	-	-	-	-	-	33,741,322	-	-	-
Reverse repurchase agreements	-	-	-	-	-	-	-	-	-	-	-
Derivative financial instruments	-	-	-	-	-	-	12,063	575,514	-	-	-
Financial assets recognised through profit or loss - measured at fair value	-	-	-	-	-	-	-	-	-	-	-
Financial assets at amortised cost	-	-	-	-	-	-	-	4,744,188	-	-	-
- loans & advances	73,593,441	107,969,399	69,758,600	6,965,907	81,038,518	51,461,266	102,325,367	59,166,906	38,067,186	28,625,847	137,463,122
- debt & other instruments	13,309	-	-	-	-	2,692,044	-	365,394,649	-	-	-
Financial assets - fair value through other comprehensive income	-	-	-	-	-	-	-	216,022,295	-	-	-
Other assets	-	-	-	-	-	-	-	26,428,335	1,350,290	-	-
Total financial assets	73,606,750	107,969,399	69,758,600	6,965,907	81,038,518	54,153,310	102,337,430	799,809,150	39,417,476	28,625,847	137,463,122
											1,501,145,509

Notes to the Financial Statements

51. RISK MANAGEMENT CONTD.

Group

As at 31st December	2024											Total
	Agriculture & Related	Manufacturing	Tourism	Transport	Construction	Infrastructure	Traders	Banks, Financial & Business Services	Other Services	Lending to Overseas Entities	Consumers	
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	
Financial Assets												
Cash & cash equivalents	-	-	-	-	-	-	-	46,501,139	-	-	-	46,501,139
Balances with Central Bank of Sri Lanka	-	-	-	-	-	-	-	16,373,983	-	-	-	16,373,983
Placements with banks	-	-	-	-	-	-	-	26,452,245	-	-	-	26,452,245
Reverse repurchase agreements	-	-	-	-	-	-	-	6,596,063	-	-	-	6,596,063
Derivative financial instruments	-	49,804	-	-	-	-	3,468	453,782	-	-	-	507,054
Financial assets recognised through profit or loss - measured at fair value	-	-	-	-	-	-	-	4,614,332	-	-	-	4,614,332
Financial assets at amortised cost												
- loans & advances	86,838,944	124,762,287	65,925,462	14,403,458	94,940,482	63,052,686	119,586,733	73,653,983	64,752,286	37,006,677	157,027,483	901,950,481
- debt & other instruments	5,295	-	-	-	-	1,384,677	-	404,226,048	-	-	-	405,616,020
Financial assets - fair value through other comprehensive income	-	-	-	-	-	-	-	367,782,568	-	-	-	367,782,568
Other assets	-	-	-	-	-	-	-	10,913,633	3,444,781	-	-	14,358,414
Total financial assets	86,844,239	124,812,091	65,925,462	14,403,458	94,940,482	64,437,363	119,590,201	957,567,776	68,197,067	37,006,677	157,027,483	1,790,752,299
As at 31st December	2023											Total
	Agriculture & Related	Manufacturing	Tourism	Transport	Construction	Infrastructure	Traders	Banks, Financial & Business Services	Other Services	Lending to Overseas Entities	Consumers	
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	
Financial Assets												
Cash & cash equivalents	-	-	-	-	-	-	-	79,530,247	-	-	-	79,530,247
Balances with Central Bank of Sri Lanka	-	-	-	-	-	-	-	14,463,854	-	-	-	14,463,854
Placements with banks	-	-	-	-	-	-	-	33,741,322	-	-	-	33,741,322
Reverse repurchase agreements	-	-	-	-	-	-	-	150,400	-	-	-	150,400
Derivative financial instruments	-	-	-	-	-	-	12,063	575,514	-	-	-	587,577
Financial assets recognised through profit or loss - measured at fair value	-	-	-	-	-	-	-	4,813,775	-	-	-	4,841,302
Financial assets at amortised cost												
- loans & advances	77,089,209	110,594,942	70,647,788	9,962,047	80,118,123	52,975,534	107,650,016	55,310,665	45,957,530	28,625,847	148,424,018	787,355,719
- debt & other instruments	13,309	-	-	-	-	2,692,044	-	371,194,489	-	-	-	373,899,842
Financial assets - fair value through other comprehensive income	-	-	-	-	-	-	-	216,022,351	-	-	-	216,022,351
Other assets	-	-	-	-	-	-	-	26,428,335	3,034,612	-	-	29,462,947
Total financial assets	77,102,518	110,594,942	70,647,788	9,962,047	80,118,123	55,667,578	107,689,606	802,230,952	48,992,142	28,625,847	148,424,018	1,540,055,561

51.3 Liquidity Risk and Funding Management

The Bank manages liquidity risk, in accordance with regulatory guidelines and industry best practices. The objective of the Bank's liquidity and funding framework is to ensure that funding commitments and deposit withdrawals can be met when due and market access remains cost effective.

A board approved liquidity policy to manage liquidity on a day-to-day basis and a contingency funding plan to deal with crisis situations are in place. Contractual and behavioural maturity of assets and liabilities, key liquidity ratios and monthly liquidity forecasts and gaps are reviewed at Assets and Liability Committee (ALCO) meetings. The main sources of the Bank's funding are core deposits from retail and commercial clients, wholesale deposits and access to borrowed funds from the interbank money market. The Bank also maintains a portfolio of readily marketable securities to further strengthen its liquidity position. Liquidity risk exposure is managed with limits and triggers being set, thereby ensuring that sufficient liquidity surplus and reserves are available to meet daily business requirements and also to deal with a sudden liquidity shock.

51.3.1 Liquidity Ratios

51.3.1.1 Liquidity Coverage Ratio (LCR)

This ratio determines the ability of the Bank to withstand adverse liquidity shocks (i.e. sudden withdrawal of a significant portion of deposits) over a 30 day time span, measured by the amount of unencumbered high-quality liquid assets it holds, over and above the anticipated net cash outflow during this period.

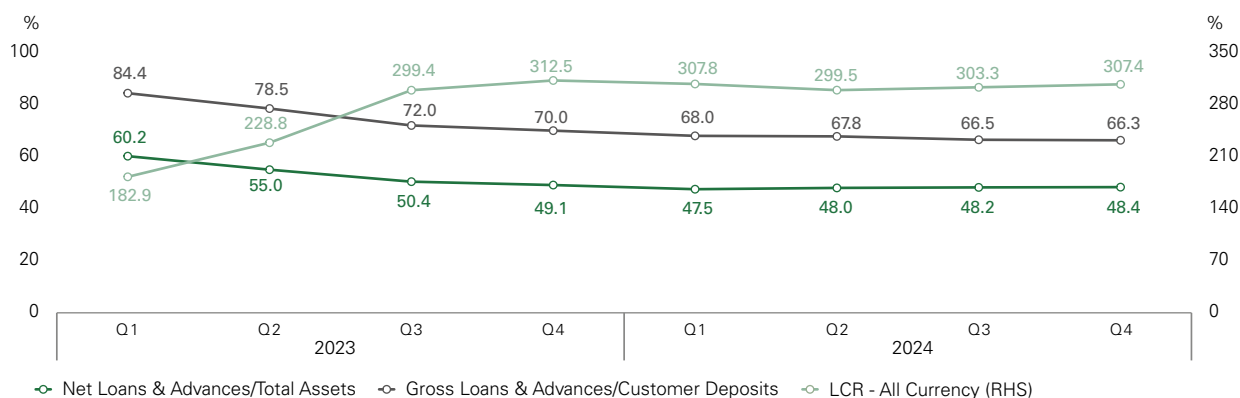
As at 31st December	2024	2023
	%	%
Rupee Liquidity Requirement	340.11	453.16
All Currency Liquidity Requirement	307.36	312.47

51.3.1.2 Net Stable Funding Ratio (NSFR)

This ratio measures the Bank's availability of stable funds against the required funds. NSFR creates an additional incentive for the banks to fund their activities with more stable sources of funding on an ongoing basis, over a longer time horizon.

As at 31st December	2024	2023
	%	%
Net Stable Funding Ratio (NSFR)	198.66	184.20

51.3.1.3 Liquidity Ratios under Stock Approach



Notes to the Financial Statements

51. RISK MANAGEMENT CONTD.

51.3.2 Analysis of Financial Assets and Liabilities by Remaining Contractual Maturities

The tables below summarise the maturity profile of the undiscounted cash flows of the Bank/Group's financial assets and financial liabilities as at 31st December 2024 and 31st December 2023. Although the cash outflows have been considered based on the earliest date of repayment, it is believed that most of the customers would not expect the repayments on the earliest possible date. Therefore, the behavioural maturity profile would be different to the contractual maturities shown in the below tables.

Contractual Maturities of Undiscounted Cash Flows of Financial Assets and Financial Liabilities

(a) Bank - as at 31st December 2024

	Up to 3 Months	3 - 12 Months	1 - 3 Years	3 - 5 Years	Over 5 Years	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets						
Cash & cash equivalents	46,229,318	-	-	-	-	46,229,318
Balances with Central Bank of Sri Lanka	10,884,650	3,970,834	1,161,279	357,220	-	16,373,983
Placements with banks	21,803,822	4,814,545	-	-	-	26,618,367
Reverse repurchase agreements	1,000,220	-	-	-	-	1,000,220
Derivative financial instruments	387,790	119,264	-	-	-	507,054
Financial assets recognised through profit or loss - measured at fair value	759,828	2,354,511	1,697,129	213,500	-	5,024,968
Financial assets at amortised cost						
- loans & advances	343,200,035	261,977,255	217,582,835	128,167,828	119,227,716	1,070,155,669
- debt & other instruments	70,847,608	142,297,410	155,447,188	60,877,637	62,922,943	492,392,786
Financial assets - fair value through other comprehensive income	48,884,897	174,621,653	141,475,630	42,212,898	2,929,150	410,124,228
Other assets	8,360,206	129,271	4,029,223	-	52,904	12,571,604
Total Financial Assets	552,358,374	590,284,743	521,393,284	231,829,083	185,132,713	2,080,998,197
Financial Liabilities						
Due to banks	20,231,869	3,193,152	-	-	-	23,425,021
Derivative financial instruments	3,033,784	166,806	-	-	-	3,200,590
Securities sold under repurchase agreements	39,729,026	630,822	-	-	-	40,359,848
Financial liabilities at amortised cost						
- due to depositors	956,574,046	402,148,990	108,727,010	42,755,945	-	1,510,205,991
- due to other borrowers	104,500	1,705,712	3,292,820	2,820,057	1,864,118	9,787,207
- due to debt securities holders	2,799,200	540,000	6,678,400	19,339,200	-	29,356,800
Dividend payable	298,695	-	-	-	-	298,695
Other liabilities	20,775,051	4,786,404	4,223,324	1,444,854	1,390,118	32,619,751
Total Financial Liabilities	1,043,546,171	413,171,886	122,921,554	66,360,056	3,254,236	1,649,253,903
Total Net Financial Assets/(Liabilities)	(491,187,797)	177,112,857	398,471,730	165,469,027	181,878,477	431,744,294

(b) Bank - as at 31st December 2023

	Up to 3 Months	3 - 12 Months	1 - 3 Years	3 - 5 Years	Over 5 Years	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets						
Cash & cash equivalents	79,272,087	-	-	-	-	79,272,087
Balances with Central Bank of Sri Lanka	9,431,178	3,627,818	706,846	560,623	137,389	14,463,854
Placements with banks	33,878,556	-	-	-	-	33,878,556
Reverse repurchase agreements	-	-	-	-	-	-
Derivative financial instruments	532,945	54,632	-	-	-	587,577
Financial assets recognised through profit or loss - measured at fair value	868,803	2,868,075	621,169	1,289,657	-	5,647,704
Financial assets at amortised cost						
- loans & advances	306,896,231	236,074,153	197,597,257	116,150,014	112,495,419	969,213,074
- debt & other instruments	70,670,879	162,048,398	116,010,925	51,526,488	42,251,122	442,507,812
Financial assets - fair value through other comprehensive income	56,104,961	67,620,575	99,315,284	21,810,111	6,144,849	250,995,780
Other assets	15,503,252	1,605,509	804,423	1,015,216	8,850,225	27,778,625
Total Financial Assets	573,158,892	473,899,160	415,055,904	192,352,109	169,879,004	1,824,345,069
Financial Liabilities						
Due to banks	8,159,696	3,656,533	-	-	-	11,816,229
Derivative financial instruments	1,048,270	450,507	-	-	-	1,498,777
Securities sold under repurchase agreements	33,657,029	1,357,075	-	-	-	35,014,104
Financial liabilities at amortised cost						
- due to depositors	848,224,762	365,493,255	51,656,493	53,560,827	-	1,318,935,337
- due to other borrowers	168,063	1,726,118	2,603,255	2,008,264	2,508,654	9,014,354
- due to debt securities holders	10,773,122	540,000	6,680,244	22,680,244	-	40,673,610
Dividend payable	212,571	-	-	-	-	212,571
Other liabilities	30,274,772	3,237,135	947,473	1,094,969	390,586	35,944,935
Total Financial Liabilities	932,518,285	376,460,623	61,887,465	79,344,304	2,899,240	1,453,109,917
Total Net Financial Assets/(Liabilities)	(359,359,393)	97,438,537	353,168,439	113,007,805	166,979,764	371,235,152

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Notes to the Financial Statements

51. RISK MANAGEMENT CONTD.

(c) Group - as at 31st December 2024

	Up to 3 Months	3 - 12 Months	1 - 3 Years	3 - 5 Years	Over 5 Years	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets						
Cash & cash equivalents	46,501,139	-	-	-	-	46,501,139
Balances with Central Bank of Sri Lanka	10,884,650	3,970,834	1,161,279	357,220	-	16,373,983
Placements with banks	21,803,822	4,814,545	-	-	-	26,618,367
Reverse repurchase agreements	6,626,824	-	-	-	-	6,626,824
Derivative financial instruments	387,790	119,264	-	-	-	507,054
Financial assets recognised through profit or loss - measured at fair value	759,828	2,354,511	1,697,129	213,500	-	5,024,968
Financial assets at amortised cost						
- loans & advances	365,113,924	278,144,394	235,009,545	133,552,935	117,572,555	1,129,393,353
- debt & other instruments	72,935,507	144,634,199	155,447,188	60,877,637	62,922,943	496,817,474
Financial assets - fair value through other comprehensive income	48,884,897	174,621,653	141,475,630	42,212,898	2,929,206	410,124,284
Other assets	10,072,316	176,681	4,038,526	17,020	53,871	14,358,414
Total Financial Assets	583,970,697	608,836,081	538,829,297	237,231,210	183,478,575	2,152,345,860
Financial Liabilities						
Due to banks	24,904,121	3,476,743	1,297,384	771,232	99,034	30,548,514
Derivative financial instruments	3,033,784	166,806	-	-	-	3,200,590
Securities sold under repurchase agreements	39,729,026	630,822	-	-	-	40,359,848
Financial liabilities at amortised cost						
- due to depositors	962,737,083	419,304,001	119,022,488	43,633,325	-	1,544,696,897
- due to other borrowers	104,500	1,705,712	3,292,820	2,820,057	1,864,118	9,787,207
- due to debt securities holders	2,799,200	1,209,900	9,328,870	24,130,477	-	37,468,447
Dividend payable	298,695	-	-	-	-	298,695
Other liabilities	20,897,318	4,786,404	4,223,324	1,444,854	1,390,118	32,742,018
Total Financial Liabilities	1,054,503,727	431,280,388	137,164,886	72,799,945	3,353,270	1,699,102,216
Total Net Financial Assets/(Liabilities)	(470,533,030)	177,555,693	401,664,411	164,431,265	180,125,305	453,243,644

(d) Group - as at 31st December 2023

	Up to 3 Months	3 - 12 Months	1 - 3 Years	3 - 5 Years	Over 5 Years	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets						
Cash & cash equivalents	79,530,247	-	-	-	-	79,530,247
Balances with Central Bank of Sri Lanka	9,431,178	3,627,818	706,846	560,623	137,389	14,463,854
Placements with banks	33,878,556	-	-	-	-	33,878,556
Reverse repurchase agreements	150,400	-	-	-	-	150,400
Derivative financial instruments	532,945	54,632	-	-	-	587,577
Financial assets recognised through profit or loss - measured at fair value	965,917	2,868,075	621,169	1,289,657	-	5,744,818
Financial assets at amortised cost						
- loans & advances	320,133,840	248,768,166	213,397,398	119,514,926	110,430,947	1,012,245,277
- debt & other instruments	75,056,139	163,646,398	116,010,925	51,526,488	42,251,122	448,491,072
Financial assets - fair value through other comprehensive income	56,104,961	67,620,575	99,315,284	21,810,111	6,144,905	250,995,836
Other assets	15,653,494	3,129,654	813,697	1,015,877	8,850,225	29,462,947
Total Financial Assets	591,437,677	489,715,318	430,865,319	195,717,682	167,814,588	1,875,550,584
Financial Liabilities						
Due to banks	13,222,789	5,555,621	1,134,229	222,354	-	20,134,993
Derivative financial instruments	1,048,270	450,507	-	-	-	1,498,777
Securities sold under repurchase agreements	33,406,844	1,357,075	-	-	-	34,763,919
Financial liabilities at amortised cost						
- due to depositors	852,865,496	381,343,661	53,942,014	56,577,618	-	1,344,728,789
- due to other borrowers	168,063	1,726,118	2,603,255	2,008,264	2,508,654	9,014,354
- due to debt securities holders	10,931,413	2,735,399	8,452,381	22,680,244	-	44,799,437
Dividend payable	212,571	-	-	-	-	212,571
Other liabilities	30,227,786	3,260,127	1,010,385	1,138,517	444,409	36,081,224
Total Financial Liabilities	942,083,232	396,428,508	67,142,264	82,626,997	2,953,063	1,491,234,064
Total Net Financial Assets/(Liabilities)	(350,645,555)	93,286,810	363,723,055	113,090,685	164,861,525	384,316,520

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Notes to the Financial Statements

51. RISK MANAGEMENT CONTD.

51.3.3 Remaining Contractual Maturities of Commitments and Contingencies

The tables below illustrate the remaining maturity of the commitments and contingencies based on the contractual expiry dates. However, all undrawn direct and indirect commitments are classified as "On Demand" based on the earliest date those can be drawn down by the customers.

(a) Bank - as at 31st December 2024

	On Demand	Less than 3 Months	3 to 12 Months	1 to 5 Years	Over 5 Years	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Credit related commitments & contingencies						
Undrawn - direct credit facilities	162,440,392	-	-	-	-	162,440,392
Undrawn - indirect credit facilities	107,667,360	-	-	-	-	107,667,360
Acceptances	-	14,025,632	2,739,782	-	-	16,765,414
Documentary credit	2,371,788	18,636,723	4,711,676	-	-	25,720,187
Guarantees	3,923,869	15,619,402	18,078,158	1,849,888	3,583	39,474,900
	276,403,409	48,281,757	25,529,616	1,849,888	3,583	352,068,253
Other commitments & contingencies						
Capital commitments	1,952,012	-	-	-	-	1,952,012
Operating lease commitments	-	46,009	54,928	-	-	100,937
Forward & SWAP contracts	-	147,883,311	25,456,802	-	-	173,340,113
	1,952,012	147,929,320	25,511,730	-	-	175,393,062
Total gross commitments & contingencies	278,355,421	196,211,077	51,041,346	1,849,888	3,583	527,461,315
Impairment for expected credit losses - credit related commitments & contingencies	(2,832,665)	(431,104)	(324,265)	(28,904)	(56)	(3,616,994)
Commitments & contingencies - net of impairment for expected credit losses	275,522,756	195,779,973	50,717,081	1,820,984	3,527	523,844,321

(b) Bank - as at 31st December 2023

	On Demand	Less than 3 Months	3 to 12 Months	1 to 5 Years	Over 5 Years	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Credit related commitments & contingencies						
Undrawn - direct credit facilities	155,548,101	-	-	-	-	155,548,101
Undrawn - indirect credit facilities	68,903,367	-	-	-	-	68,903,367
Acceptances	185,040	8,961,458	1,522,448	-	-	10,668,946
Documentary credit	1,176,242	22,268,281	4,314,764	582,954	-	28,342,241
Guarantees	3,138,384	12,204,889	18,097,582	2,042,520	8,069	35,491,444
	228,951,134	43,434,628	23,934,794	2,625,474	8,069	298,954,099
Other commitments & contingencies						
Capital commitments	933,404	-	-	-	-	933,404
Operating lease commitments	-	36,875	47,575	-	-	84,450
Forward & SWAP contracts	-	126,705,016	57,891,594	-	-	184,596,610
	933,404	126,741,891	57,939,169	-	-	185,614,464
Total gross commitments & contingencies	229,884,538	170,176,519	81,873,963	2,625,474	8,069	484,568,563
Impairment for expected credit losses - credit related commitments & contingencies	(2,770,357)	(176,174)	(259,560)	(29,291)	(116)	(3,235,498)
Commitments & contingencies - net of impairment for expected credit losses	227,114,181	170,000,345	81,614,403	2,596,183	7,953	481,333,065

(c) Group - as at 31st December 2024

	On Demand	Less than 3 Months	3 to 12 Months	1 to 5 Years	Over 5 Years	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Credit related commitments & contingencies						
Undrawn - direct credit facilities	159,783,551	-	-	-	-	159,783,551
Undrawn - indirect credit facilities	107,667,360	-	-	-	-	107,667,360
Acceptances	-	14,025,632	2,739,782	-	-	16,765,414
Documentary credit	2,371,788	18,636,723	4,711,676	-	-	25,720,187
Guarantees	3,923,869	15,619,902	18,078,658	1,849,888	3,583	39,475,900
	273,746,568	48,282,257	25,530,116	1,849,888	3,583	349,412,412
Other commitments & contingencies						
Capital commitments	1,952,012	92,738	-	-	-	2,044,750
Operating lease commitments	-	46,009	54,928	-	-	100,937
Forward & SWAP contracts	-	147,883,311	25,456,802	-	-	173,340,113
	1,952,012	148,022,058	25,511,730	-	-	175,485,800
Total gross commitments & contingencies	275,698,580	196,304,315	51,041,846	1,849,888	3,583	524,898,212
Impairment for expected credit losses - credit related commitments & contingencies	(2,811,151)	(431,104)	(324,265)	(28,904)	(56)	(3,595,480)
Commitments & contingencies - net of impairment for expected credit losses	272,887,429	195,873,211	50,717,581	1,820,984	3,527	521,302,732

(d) Group - as at 31st December 2023

	On Demand	Less than 3 Months	3 to 12 Months	1 to 5 Years	Over 5 Years	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Credit related commitments & contingencies						
Undrawn - direct credit facilities	153,834,358	-	-	-	-	153,834,358
Undrawn - indirect credit facilities	68,903,367	-	-	-	-	68,903,367
Acceptances	185,040	8,961,458	1,522,448	-	-	10,668,946
Documentary credit	1,176,242	22,268,281	4,314,764	582,954	-	28,342,241
Guarantees	3,138,384	12,206,389	18,099,082	2,042,520	8,069	35,494,444
	227,237,391	43,436,128	23,936,294	2,625,474	8,069	297,243,356
Other commitments & contingencies						
Capital commitments	933,404	44,097	112,875	-	-	1,090,376
Operating lease commitments	-	36,875	47,575	-	-	84,450
Forward & SWAP contracts	-	126,705,016	57,891,594	-	-	184,596,610
	933,404	126,785,988	58,052,044	-	-	185,771,436
Total gross commitments & contingencies	228,170,795	170,222,116	81,988,338	2,625,474	8,069	483,014,792
Impairment for expected credit losses - credit related commitments & contingencies	(2,749,978)	(180,568)	(259,560)	(29,291)	(116)	(3,219,513)
Commitments & contingencies - net of impairment for expected credit losses	225,420,817	170,041,548	81,728,778	2,596,183	7,953	479,795,279

Notes to the Financial Statements

51. RISK MANAGEMENT CONTD.

51.3.4 Financial assets available to support future funding

As at 31st December	2024					2023				
	Encumbered		Unencumbered		Total	Encumbered		Unencumbered		Total
	Pledged as collateral Rs 000	Other Rs 000	Available as collateral Rs 000	Other Rs 000		Pledged as collateral Rs 000	Other Rs 000	Available as collateral Rs 000	Other Rs 000	
Bank										
Financial Assets										
Cash & cash equivalents	-	-	46,229,318	-	46,229,318	-	-	79,272,087	-	79,272,087
Balances with Central Bank of Sri Lanka	-	16,373,983	-	-	16,373,983	-	14,463,854	-	-	14,463,854
Placements with banks	7,079,416	-	19,372,829	-	26,452,245	7,066,457	-	26,674,865	-	33,741,322
Reverse repurchase agreements	-	-	1,000,220	-	1,000,220	-	-	-	-	-
Derivative financial instruments	-	-	-	507,054	507,054	-	-	-	587,577	587,577
Financial assets recognised through profit or loss - Measured at fair value	-	-	4,614,332	-	4,614,332	-	-	4,744,188	-	4,744,188
Financial assets at amortised cost										
- loans & advances	-	-	860,151,610	-	860,151,610	-	-	756,435,559	-	756,435,559
- debt & other instruments	42,516,856	-	358,763,907	-	401,280,763	31,896,491	-	336,203,511	-	368,100,002
Financial assets - fair value through other comprehensive income	-	-	367,782,512	-	367,782,512	-	-	216,022,295	-	216,022,295
Other assets	-	-	-	12,571,604	12,571,604	-	-	-	27,778,625	27,778,625
Total Financial Assets	49,596,272	16,373,983	1,657,914,728	13,078,658	1,736,963,641	38,962,948	14,463,854	1,419,352,505	28,366,202	1,501,145,509
Group										
Financial Assets										
Cash & cash equivalents	-	-	46,501,139	-	46,501,139	-	-	79,530,247	-	79,530,247
Balances with Central Bank of Sri Lanka	-	16,373,983	-	-	16,373,983	-	14,463,854	-	-	14,463,854
Placements with banks	7,079,416	-	19,372,829	-	26,452,245	7,066,457	-	26,674,865	-	33,741,322
Reverse repurchase agreements	-	-	6,596,063	-	6,596,063	-	-	150,400	-	150,400
Derivative financial instruments	-	-	-	507,054	507,054	-	-	-	587,577	587,577
Financial assets recognised through profit or loss - Measured at fair value	-	-	4,614,332	-	4,614,332	-	-	4,841,302	-	4,841,302
Financial assets at amortised cost										
- loans & advances	-	-	901,950,481	-	901,950,481	-	-	787,355,719	-	787,355,719
- debt & other instruments	42,516,856	-	363,099,164	-	405,616,020	31,630,713	-	342,269,129	-	373,899,842
Financial assets - fair value through other comprehensive income	-	-	367,782,568	-	367,782,568	-	-	216,022,351	-	216,022,351
Other assets	-	-	-	14,358,414	14,358,414	-	-	-	29,462,947	29,462,947
Total Financial Assets	49,596,272	16,373,983	1,709,916,576	14,865,468	1,790,752,299	38,697,170	14,463,854	1,456,844,013	30,050,524	1,540,055,561

51. RISK MANAGEMENT CONTD.**51.4 Market Risk**

Market risk is the risk that the fair value or future cash flows of financial instruments will fluctuate due to changes in market variables such as interest rates, foreign exchange rates, commodity prices and equity prices. The Treasury middle office monitors and ensures that the Bank's market risk limits align with the risk tolerance established by the Board. The Bank employs a range of tools to monitor and limit market risk exposure which are discussed below.

51.4.1 Classification of financial assets and financial liabilities subject to market risk

The following tables distinguish the Bank/Group's financial assets and liabilities subject to market risk between trading and non-trading portfolios.

Bank

As at 31st December	2024				2023			
	Market risk measurement		Carrying amount Rs 000	Market risk measurement		Carrying amount Rs 000		
	Trading portfolio Rs 000	Non-trading portfolio Rs 000		Trading portfolio Rs 000	Non-trading portfolio Rs 000			
Financial Assets								
Cash & cash equivalents	-	46,229,318	46,229,318	-	79,272,087	79,272,087		
Balances with Central Bank of Sri Lanka	-	16,373,983	16,373,983	-	14,463,854	14,463,854		
Placements with banks	-	26,452,245	26,452,245	-	33,741,322	33,741,322		
Reverse repurchase agreements	-	1,000,220	1,000,220	-	-	-		
Derivative financial instruments	507,054	-	507,054	587,577	-	587,577		
Financial assets recognised through profit or loss - measured at fair value	4,614,332	-	4,614,332	4,744,188	-	4,744,188		
Financial assets at amortised cost								
- loans & advances	-	860,151,610	860,151,610	-	756,435,559	756,435,559		
- debt & other instruments	-	401,280,763	401,280,763	-	368,100,002	368,100,002		
Financial assets - fair value through other comprehensive income	-	367,782,512	367,782,512	-	216,022,295	216,022,295		
Other assets	-	12,571,604	12,571,604	-	27,778,625	27,778,625		
Total Financial Assets	5,121,386	1,731,842,255	1,736,963,641	5,331,765	1,495,813,744	1,501,145,509		
Financial Liabilities								
Due to banks	-	23,259,811	23,259,811	-	11,621,838	11,621,838		
Derivatives financial instruments	3,200,590	-	3,200,590	1,498,777	-	1,498,777		
Securities sold under repurchase agreements	-	40,312,784	40,312,784	-	34,688,209	34,688,209		
Financial liabilities at amortised cost								
- due to depositors	-	1,455,864,416	1,455,864,416	-	1,253,642,547	1,253,642,547		
- due to other borrowers	-	8,061,364	8,061,364	-	6,637,129	6,637,129		
- due to debt securities holders	-	18,891,500	18,891,500	-	26,709,893	26,709,893		
Dividend payable	-	298,695	298,695	-	212,571	212,571		
Other liabilities	-	30,918,520	30,918,520	-	32,953,593	32,953,593		
Total Financial Liabilities	3,200,590	1,577,607,090	1,580,807,680	1,498,777	1,366,465,780	1,367,964,557		

Notes to the Financial Statements

51. RISK MANAGEMENT CONTD.

Group

As at 31st December	2024			2023		
	Market risk measurement		Carrying amount Rs 000	Market risk measurement		Carrying amount Rs 000
	Trading portfolio Rs 000	Non-trading portfolio Rs 000		Trading portfolio Rs 000	Non-trading portfolio Rs 000	
Financial Assets						
Cash & cash equivalents	-	46,501,139	46,501,139	-	79,530,247	79,530,247
Balances with Central Bank of Sri Lanka	-	16,373,983	16,373,983	-	14,463,854	14,463,854
Placements with banks	-	26,452,245	26,452,245	-	33,741,322	33,741,322
Reverse repurchase agreements	-	6,596,063	6,596,063	-	150,400	150,400
Derivative financial instruments	507,054	-	507,054	587,577	-	587,577
Financial assets recognised through profit or loss - measured at fair value	4,614,332	-	4,614,332	4,841,302	-	4,841,302
Financial assets at amortised cost						
- loans & advances	-	901,950,481	901,950,481	-	787,355,719	787,355,719
- debt & other instruments	-	405,616,020	405,616,020	-	373,899,842	373,899,842
Financial assets - fair value through other comprehensive income	-	367,782,568	367,782,568	-	216,022,351	216,022,351
Other assets	-	14,358,414	14,358,414	-	29,462,947	29,462,947
Total Financial Assets	5,121,386	1,785,630,913	1,790,752,299	5,428,879	1,534,626,682	1,540,055,561
Financial Liabilities						
Due to banks	-	30,067,815	30,067,815	-	17,344,766	17,344,766
Derivatives financial instruments	3,200,590	-	3,200,590	1,498,777	-	1,498,777
Securities sold under repurchase agreements	-	40,312,784	40,312,784	-	34,438,086	34,438,086
Financial liabilities at amortised cost						
- due to depositors	-	1,487,148,551	1,487,148,551	-	1,276,551,041	1,276,551,041
- due to other borrowers	-	8,061,364	8,061,364	-	6,637,129	6,637,129
- due to debt securities holders	-	24,741,652	24,741,652	-	30,386,809	30,386,809
Dividend payable	-	298,695	298,695	-	212,571	212,571
Other liabilities	-	31,040,787	31,040,787	-	33,316,061	33,316,061
Total Financial Liabilities	3,200,590	1,621,671,648	1,624,872,238	1,498,777	1,398,886,463	1,400,385,240

51. RISK MANAGEMENT CONTD.**51.4.2 Interest Rate Risk**

The interest rate risk is the risk of loss arising from fluctuations in the future cash flows or fair values of financial instruments due to changes in market interest rates. The Bank manages the interest rate risk of the non-trading portfolio against interest rate gap limits, which is supplemented by monitoring the sensitivity of the non-trading portfolio to various rate scenarios.

51.4.2.1 Interest Rate Sensitivity Analysis

The tables below analyse the Bank/Group's interest rate risk exposure based on the interest rate repricing gaps. The financial assets and liabilities in the non-trading portfolio are included at their carrying amount and categorised by the earlier of the contractual repricing date or the maturity date.

(a) Bank - as at 31st December 2024

	Up to 3 Months Rs 000	3 - 12 Months Rs 000	1 - 3 Years Rs 000	3 - 5 Years Rs 000	Over 5 Years Rs 000	Non Interest Sensitive Rs 000	Total Rs 000
Financial Assets							
Cash & cash equivalents	12,232,012	-	-	-	-	33,997,306	46,229,318
Balances with Central Bank of Sri Lanka	-	-	-	-	-	16,373,983	16,373,983
Placements with banks	21,732,299	4,719,946	-	-	-	-	26,452,245
Reverse repurchase agreements	1,000,220	-	-	-	-	-	1,000,220
Financial assets at amortised cost							
- loans & advances	474,342,329	126,686,621	139,202,525	36,452,345	83,445,714	22,076	860,151,610
- debt & other instruments	72,261,977	120,137,379	123,275,802	48,168,591	37,437,014	-	401,280,763
Financial assets - fair value through other comprehensive income	47,245,427	154,123,200	124,562,319	38,975,012	348,581	2,527,973	367,782,512
Other assets	-	-	-	-	-	12,571,604	12,571,604
Total Financial Assets	628,814,264	405,667,146	387,040,646	123,595,948	121,231,309	65,492,942	1,731,842,255
Financial Liabilities							
Due to banks	19,879,714	3,102,610	-	-	-	277,487	23,259,811
Securities sold under repurchase agreements	39,698,773	614,011	-	-	-	-	40,312,784
Financial liabilities at amortised cost							
- due to depositors	874,848,769	385,944,350	91,013,593	28,111,249	-	75,946,455	1,455,864,416
- due to other borrowers	107,897	1,218,302	2,516,428	2,386,517	1,832,220	-	8,061,364
- due to debt securities holders	2,510,925	390,575	-	15,990,000	-	-	18,891,500
Dividend payable	-	-	-	-	-	298,695	298,695
Other liabilities	722,938	2,044,497	3,535,979	1,030,834	945,725	22,638,547	30,918,520
Total Financial Liabilities	937,769,016	393,314,345	97,066,000	47,518,600	2,777,945	99,161,184	1,577,607,090
Interest Rate Sensitivity Gap	(308,954,752)	12,352,801	289,974,646	76,077,348	118,453,364	(33,668,242)	154,235,165

Notes to the Financial Statements

51. RISK MANAGEMENT CONTD.
(b) Bank - as at 31st December 2023

	Up to 3 Months Rs 000	3 - 12 Months Rs 000	1 - 3 Years Rs 000	3 - 5 Years Rs 000	Over 5 Years Rs 000	Non Interest Sensitive Rs 000	Total Rs 000
Financial Assets							
Cash & cash equivalents	42,855,478	-	-	-	-	36,416,609	79,272,087
Balances with Central Bank of Sri Lanka	-	-	-	-	-	14,463,854	14,463,854
Placements with banks	33,741,322	-	-	-	-	-	33,741,322
Reverse repurchase agreements	-	-	-	-	-	-	-
Financial assets at amortised cost							
- loans & advances	417,668,903	93,965,018	115,489,362	33,979,496	95,291,360	41,420	756,435,559
- debt & other instruments	72,040,185	141,304,061	83,486,695	37,878,528	33,390,533	-	368,100,002
Financial assets - fair value through other comprehensive income	54,960,663	54,462,312	82,713,303	18,013,333	1,895,615	3,977,069	216,022,295
Other assets	-	-	-	-	-	27,778,625	27,778,625
Total Financial Assets	621,266,551	289,731,391	281,689,360	89,871,357	130,577,508	82,677,577	1,495,813,744
Financial Liabilities							
Due to banks	8,006,197	3,520,838	-	-	-	94,803	11,621,838
Securities sold under repurchase agreements	33,500,533	1,187,676	-	-	-	-	34,688,209
Financial liabilities at amortised cost							
- due to depositors	763,973,059	343,860,074	45,466,068	30,800,540	-	69,542,806	1,253,642,547
- due to other borrowers	309,243	1,267,550	2,036,697	1,135,261	1,888,378	-	6,637,129
- due to debt securities holders	10,329,318	390,575	-	15,990,000	-	-	26,709,893
Dividend payable	-	-	-	-	-	212,571	212,571
Other liabilities	1,376,133	1,123,739	830,474	502,958	348,551	28,771,738	32,953,593
Total Financial Liabilities	817,494,483	351,350,452	48,333,239	48,428,759	2,236,929	98,621,918	1,366,465,780
Interest Rate Sensitivity Gap	(196,227,932)	(61,619,061)	233,356,121	41,442,598	128,340,579	(15,944,341)	129,347,964

51. RISK MANAGEMENT CONTD.

(c) Group - as at 31st December 2024

	Up to 3 Months Rs 000	3 - 12 Months Rs 000	1 - 3 Years Rs 000	3 - 5 Years Rs 000	Over 5 Years Rs 000	Non Interest Sensitive Rs 000	Total Rs 000
Financial Assets							
Cash & cash equivalents	12,503,771	-	-	-	-	33,997,368	46,501,139
Balances with Central Bank of Sri Lanka	-	-	-	-	-	16,373,983	16,373,983
Placements with banks	21,732,299	4,719,946	-	-	-	-	26,452,245
Reverse repurchase agreements	6,596,063	-	-	-	-	-	6,596,063
Financial assets at amortised cost							
- loans & advances	485,238,612	139,358,092	152,743,559	41,074,912	83,513,230	22,076	901,950,481
- debt & other instruments	75,407,123	121,327,490	123,275,802	48,168,591	37,437,014	-	405,616,020
Financial assets - fair value through other comprehensive income							
Other assets	47,245,427	154,123,200	124,562,319	38,975,012	348,581	2,528,029	367,782,568
	669,665	-	-	-	-	13,688,749	14,358,414
Total Financial Assets	649,392,960	419,528,728	400,581,680	128,218,515	121,298,825	66,610,205	1,785,630,913
Financial Liabilities							
Due to banks	25,669,790	3,149,366	667,737	288,725	-	292,197	30,067,815
Securities sold under repurchase agreements	39,698,773	614,011	-	-	-	-	40,312,784
Financial liabilities at amortised cost							
- due to depositors	881,324,525	402,066,419	99,029,271	28,794,043	5,071	75,929,222	1,487,148,551
- due to other borrowers	107,897	1,218,302	2,516,428	2,386,517	1,832,220	-	8,061,364
- due to debt securities holders	2,510,924	740,728	1,500,000	19,990,000	-	-	24,741,652
Dividend payable	-	-	-	-	-	298,695	298,695
Other liabilities	722,993	2,044,497	3,535,979	1,030,834	945,725	22,760,759	31,040,787
Total Financial Liabilities	950,034,902	409,833,323	107,249,415	52,490,119	2,783,016	99,280,873	1,621,671,648
Interest Rate Sensitivity Gap	(300,641,942)	9,695,405	293,332,265	75,728,396	118,515,809	(32,670,668)	163,959,265

Notes to the Financial Statements

51. RISK MANAGEMENT CONTD.
(d) Group - as at 31st December 2023

	Up to 3 Months Rs 000	3 - 12 Months Rs 000	1 - 3 Years Rs 000	3 - 5 Years Rs 000	Over 5 Years Rs 000	Non Interest Sensitive Rs 000	Total Rs 000
Financial Assets							
Cash and cash equivalents	42,855,478	-	-	-	-	36,674,769	79,530,247
Balances with Central Bank of Sri Lanka	-	-	-	-	-	14,463,854	14,463,854
Placements with banks	33,741,322	-	-	-	-	-	33,741,322
Reverse repurchase agreements	150,400	-	-	-	-	-	150,400
Financial assets at amortised cost							
- loans & advances	424,931,645	102,997,709	127,122,584	37,026,964	95,235,397	41,420	787,355,719
- debt & other instruments	76,327,950	142,816,136	83,486,695	37,878,528	33,390,533	-	373,899,842
Financial assets - fair value through other comprehensive income	54,960,663	54,462,312	82,713,303	18,013,333	1,895,615	3,977,125	216,022,351
Other assets	-	-	-	-	-	29,462,947	29,462,947
Total Financial Assets	632,967,458	300,276,157	293,322,582	92,918,825	130,521,545	84,620,115	1,534,626,682
Financial Liabilities							
Due to banks	13,462,463	3,595,839	191,661	-	-	94,803	17,344,766
Securities sold under repurchase agreements	33,250,410	1,187,676	-	-	-	-	34,438,086
Financial liabilities at amortised cost							
- due to depositors	768,951,866	358,233,882	47,288,542	32,570,870	3,969	69,501,912	1,276,551,041
- due to other borrowers	309,243	1,267,550	2,036,697	1,135,261	1,888,378	-	6,637,129
- due to debt securities holders	10,463,743	2,433,066	1,500,000	15,990,000	-	-	30,386,809
Dividend payable	-	-	-	-	-	212,571	212,571
Other liabilities	1,376,133	1,123,739	830,474	502,958	348,551	29,134,206	33,316,061
Total Financial Liabilities	827,813,858	367,841,752	51,847,374	50,199,089	2,240,898	98,943,492	1,398,886,463
Interest Rate Sensitivity Gap	(194,846,400)	(67,565,595)	241,475,208	42,719,736	128,280,647	(14,323,377)	135,740,219

51.4.2.2 Sensitivity of Net Interest Income to Changes in Interest Rates

The table below illustrates the sensitivity of the Bank/Group's Net Interest Income (NII) to potential changes in market interest rates. The impact on NII is calculated by applying interest rate shocks to the interest rate gap within each repricing bucket, assuming all other variables remain constant as of the reporting date. The sensitivity of NII to various rate shocks is assessed at least quarterly to ensure that interest rate volatility is prudently managed within the Bank/Group's risk appetite limits.

Impact on Net Interest Income	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Parallel Increase				
100 bps	(2,818,078)	(1,901,402)	(2,759,377)	(1,916,583)
200 bps	(5,636,156)	(3,802,804)	(5,518,753)	(3,833,166)
Parallel Decrease				
100 bps	2,818,078	1,901,402	2,759,377	1,916,583
200 bps	5,636,156	3,802,804	5,518,753	3,833,166

51.4.3 Currency Risk

Currency risk arises as a result of fluctuations in foreign exchange rates. In order to manage the currency risk, there are Board approved limits for Net Open Position (NOP) for each major currency. In accordance with the Bank's policy, positions are monitored on a daily basis and hedging strategies are used to ensure positions are maintained within established limits.

The Risk Management Unit conducts stress testing on the NOP to assess the potential impact of exchange rate fluctuations on the Bank's profit and equity. In addition, the Bank utilises Value at Risk (VaR) to measure market risk exposure from its overnight foreign exchange positions. VaR is calculated using the historical method at various confidence levels.

51.4.3.1 Net Open Position by Currency

The following table shows the NOP of the Bank for each of the major currencies as at 31st December 2024 and 31st December 2023.

As at 31st December	2024		2023	
	Net Overall Long Rs 000	Net Overall Short Rs 000	Net Overall Long Rs 000	Net Overall Short Rs 000
Currency				
USD	-	3,600,218	403,235	-
GBP	320,786	-	37,394	-
EUR	2,680,467	-	46,372	-
JPY	94,011	-	-	13,745
AUD	26,222	-	39,118	-
CAD	28,461	-	14,266	-
CHF	47,318	-	25,070	-
SGD	14,091	-	17,718	-
AED	142,072	-	463,032	-
HKD	22,330	-	16,818	-
Sub Total	3,375,758	3,600,218	1,063,023	13,745
Other Currencies	538,821	172	181,879	-
Grand Total	3,914,579	3,600,390	1,244,902	13,745
Net Exposure	314,189	-	1,231,157	-
Higher of Long and Short for Basel III	3,914,579	-	1,244,902	-
VaR (99%, 1 day) 31st December	71,234	-	182,690	-

Notes to the Financial Statements

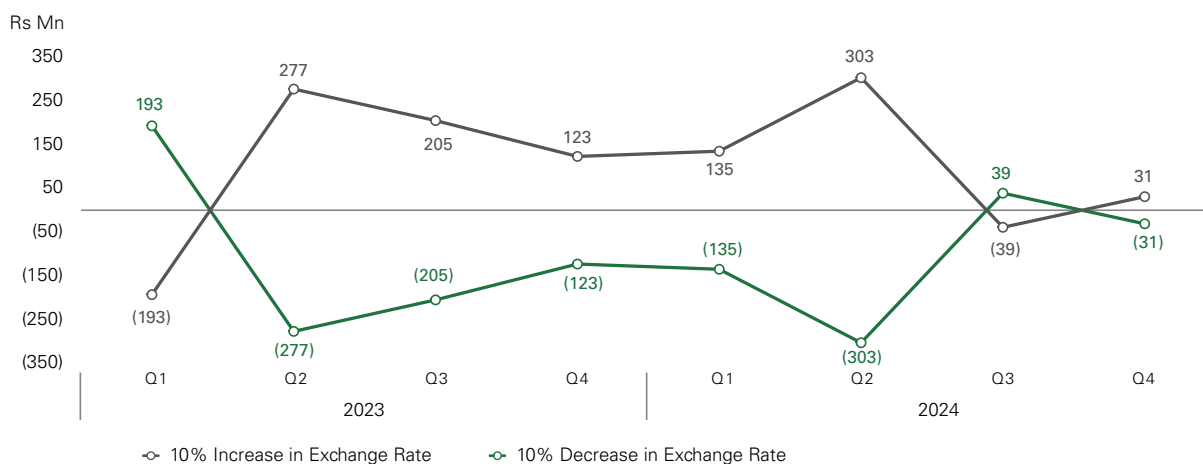
51. RISK MANAGEMENT CONTD.

51.4.3.2 Impact due to Exchange Rate Shocks

The following table indicates the gain/(loss) to the Bank and the impact on total CAR, of a reasonably possible change in exchange rates, based on a constant open position as indicated in Note 51.4.3.1.

Increase/(decrease) in exchange rate	2024				2023			
	Position for Basel III Rs 000	Impact on Total CAR %	Net Open Position Rs 000	Impact on Income Rs 000	Position for Basel III Rs 000	Impact on Total CAR %	Net Open Position Rs 000	Impact on Income Rs 000
5%	4,110,308	(0.02)	329,898	15,709	1,307,147	(0.07)	1,292,715	61,558
10%	4,306,037	(0.05)	345,608	31,419	1,369,392	(0.13)	1,354,273	123,116
(5%)	3,718,850	0.02	298,480	(15,709)	1,182,657	0.07	1,169,599	(61,558)
(10%)	3,523,121	0.05	282,770	(31,419)	1,120,412	0.13	1,108,041	(123,116)

51.4.3.3 Impact on Income due to increase/decrease in Exchange Rate by 10%



51.4.4 Equity Price Risk

Equity price risk arises as a result of any volatility in market prices of individual equities. The Bank conducts mark to market calculations on a monthly basis or more frequently on a need basis, to identify the impact on the financial statements due to changes in equity prices.

The table below summarises the impact of a 10% change in individual equity prices on the Statement of Profit or Loss, Other Comprehensive Income and total equity of the Bank/Group as at 31st December 2024 and 31st December 2023.

As at 31st December	2024			2023		
	Statement of Profit or Loss Rs 000	Other Comprehensive Income Rs 000	Total Impact to Equity Rs 000	Statement of Profit or Loss Rs 000	Other Comprehensive Income Rs 000	Total Impact to Equity Rs 000
Bank						
10% increase	-	232,422	232,422	-	391,650	391,650
10% decrease	-	(232,422)	(232,422)	-	(391,650)	(391,650)
Group						
10% increase	-	232,422	232,422	9,711	391,650	401,361
10% decrease	-	(232,422)	(232,422)	(9,711)	(391,650)	(401,361)

51.5 Operational Risk

Operational risk arises due to inadequate or failed internal processes, people and systems or from external events. Operational risk events which include legal and regulatory implications could lead to financial and reputational losses to the Bank.

The Bank's operational risk management framework is outlined in the Board-approved Operational Risk Management Policy. Operational risk is managed by implementing an appropriate internal control system, which includes mechanisms for segregating related responsibilities and conducting periodic evaluations of the efficiency and effectiveness of the Bank's overall internal controls.

Operational Risk Management Unit reports to Chief Risk Officer who reports directly to the Board Integrated Risk Management Committee (BIRMC). BIRMC maintains a high-level of overall supervision over managing operational risks of the Bank.

51.6 Capital Management

The Bank's capital management objectives can be summarised as follows:

- Maintain sufficient capital to meet minimum regulatory capital requirements
- Hold sufficient capital to support the Bank's risk appetite
- Provide additional capital to business segments of the Bank to achieve the overall strategic objectives
- Provide a "cushion" or "buffer" in absorbing potential losses arising from various risks and safeguarding the depositors' funds

51.6.1 Regulatory Capital

The Bank manages its capital in line with regulatory capital requirements set by the Central Bank of Sri Lanka (CBSL), based on the Basel framework. As of 31st December 2024, the Bank is required to maintain a minimum Total Tier I Capital Adequacy Ratio (including capital buffers) of 8.5% and a minimum Total Capital Adequacy Ratio of 12.5%.

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Common Equity Tier I (CET I) Capital after adjustments	131,766,084	118,530,902	142,561,898	128,072,822
Common Equity Tier I (CET I) Capital	145,328,039	138,432,283	153,174,197	144,891,761
Stated capital	48,741,119	48,741,119	48,741,119	48,741,119
Statutory reserve fund	7,985,000	6,615,000	8,358,000	6,929,000
Published retained earnings/(Accumulated retained losses)	2,692,327	10,566,248	10,165,485	16,711,726
Published accumulated other comprehensive income (OCI)	5,898,670	5,498,223	5,898,670	5,498,223
General and other disclosed reserves	80,010,923	67,011,693	80,010,923	67,011,693
Total adjustments to CET I Capital	13,561,955	19,901,381	10,612,299	16,818,939
Intangible assets (net)	888,711	745,395	899,752	766,532
Deferred tax assets (net)	10,934,412	17,292,023	9,712,547	16,052,407
Defined benefit pension fund assets	-	-	-	-
Others (Investments in the capital of banking & financial institutions)	1,738,832	1,863,963	-	-
Additional Tier I (AT I) Capital after adjustments	-	-	-	-
Additional Tier I (AT I) Capital	-	-	-	-
Tier II Capital after adjustments	20,756,236	23,322,764	21,257,018	23,776,886
Tier II Capital	20,756,236	23,322,764	21,257,018	23,776,886
Qualifying Tier II capital instruments	10,700,000	14,250,000	10,700,000	14,250,000
Revaluation gains	1,243,805	901,539	1,243,805	901,539
Stage 1 & 50% of stage 2 impairment provision subject to 1.25% of credit RWA	8,812,431	8,171,225	9,313,213	8,625,347
Total adjustments to Tier II	-	-	-	-
CET I Capital	131,766,084	118,530,902	142,561,898	128,072,822
Total Tier I Capital	131,766,084	118,530,902	142,561,898	128,072,822
Total Capital	152,522,320	141,853,666	163,818,916	151,849,708
Total Risk Weighted Assets (RWA)	786,841,091	725,130,348	833,824,684	768,221,870
RWAs for Credit Risk	704,994,453	653,697,972	745,057,021	690,027,790
RWAs for Operational Risk	77,382,536	69,559,848	84,303,561	76,139,080
RWAs for Market Risk	4,464,102	1,872,528	4,464,102	2,055,000
CET I Capital Ratio (%)	16.75	16.35	17.10	16.67
Total Tier I Capital Ratio (%)	16.75	16.35	17.10	16.67
Total Capital Ratio (%)	19.38	19.56	19.65	19.77

Pillar III - Disclosure Requirements under Basel III

Disclosures under the Pillar III requirements mainly include the regulatory capital requirements and liquidity, risk weighted assets, discussion on meeting current and future capital requirements of banks, linkages between financial statements and regulatory exposures and information on assessment of D-SIBs. The Bank is required to disclose the templates specified by the Central Bank of Sri Lanka, in accordance with the Basel III minimum disclosure requirements, effective from 1st July 2017. These templates are given on pages 445 to 454.

Notes to the Financial Statements

52. MATURITY ANALYSIS

Remaining contractual period to maturity, as at the date of Statement of Financial Position is tabulated below:

Bank

As at 31st December	2024			2023		
	Within 12 Months	After 12 Months	Total	Within 12 Months	After 12 Months	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Assets						
Cash & cash equivalents	46,229,318	-	46,229,318	79,272,087	-	79,272,087
Balances with Central Bank of Sri Lanka	14,855,483	1,518,500	16,373,983	13,058,996	1,404,858	14,463,854
Placements with banks	26,452,245	-	26,452,245	33,741,322	-	33,741,322
Reverse repurchase agreements	1,000,220	-	1,000,220	-	-	-
Derivative financial instruments	507,054	-	507,054	587,577	-	587,577
Financial assets recognised through profit or loss - measured at fair value	4,614,332	-	4,614,332	4,744,188	-	4,744,188
Financial assets at amortised cost						
- loans & advances	522,726,757	337,424,853	860,151,610	457,892,366	298,543,193	756,435,559
- debt & other instruments	190,050,584	211,230,179	401,280,763	210,382,963	157,717,039	368,100,002
Financial assets - fair value through other comprehensive income	201,368,628	166,413,884	367,782,512	109,422,976	106,599,319	216,022,295
Investment in subsidiaries	-	4,190,721	4,190,721	-	4,110,642	4,110,642
Property, plant & equipment	-	10,854,850	10,854,850	-	9,623,120	9,623,120
Intangible assets	-	888,711	888,711	-	745,395	745,395
Right-of-use assets	2,744,980	5,115,300	7,860,280	1,744,240	1,861,285	3,605,525
Deferred tax assets	-	10,934,412	10,934,412	-	17,292,023	17,292,023
Other assets	11,299,440	7,520,672	18,820,112	18,914,332	14,290,500	33,204,832
Total Assets	1,021,849,041	756,092,082	1,777,941,123	929,761,047	612,187,374	1,541,948,421
Liabilities						
Due to banks	23,259,811	-	23,259,811	11,621,838	-	11,621,838
Derivative financial instruments	3,200,590	-	3,200,590	1,498,777	-	1,498,777
Securities sold under repurchase agreements	40,312,784	-	40,312,784	34,688,209	-	34,688,209
Financial liabilities at amortised cost						
- due to depositors	1,336,739,574	119,124,842	1,455,864,416	1,177,375,939	76,266,608	1,253,642,547
- due to other borrowers	1,326,199	6,735,165	8,061,364	1,564,875	5,072,254	6,637,129
- due to debt securities holders	2,891,500	16,000,000	18,891,500	10,709,893	16,000,000	26,709,893
Retirement benefit obligation	-	5,799,502	5,799,502	-	3,170,247	3,170,247
Dividend payable	298,695	-	298,695	212,571	-	212,571
Current tax liabilities	14,522,729	-	14,522,729	16,220,788	-	16,220,788
Other liabilities	35,646,944	5,544,572	41,191,516	37,381,022	2,292,324	39,673,346
Total Liabilities	1,458,198,826	153,204,081	1,611,402,907	1,291,273,912	102,801,433	1,394,075,345
Maturity Gap	(436,349,785)	602,888,001	166,538,216	(361,512,865)	509,385,941	147,873,076
Cumulative Gap	(436,349,785)	166,538,216		(361,512,865)	147,873,076	

Group

As at 31st December	2024			2023		
	Within 12 Months	After 12 Months	Total	Within 12 Months	After 12 Months	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Assets						
Cash & cash equivalents	46,501,139	-	46,501,139	79,530,247	-	79,530,247
Balances with Central Bank of Sri Lanka	14,855,483	1,518,500	16,373,983	13,058,996	1,404,858	14,463,854
Placements with banks	26,452,245	-	26,452,245	33,741,322	-	33,741,322
Reverse repurchase agreements	6,596,063	-	6,596,063	150,400	-	150,400
Derivative financial instruments	507,054	-	507,054	587,577	-	587,577
Financial assets recognised through profit or loss - measured at fair value	4,614,332	-	4,614,332	4,841,302	-	4,841,302
Financial assets at amortised cost						
- loans & advances	548,786,858	353,163,623	901,950,481	476,299,455	311,056,264	787,355,719
- debt & other instruments	194,385,841	211,230,179	405,616,020	216,182,803	157,717,039	373,899,842
Financial assets - fair value through other comprehensive income	201,368,628	166,413,940	367,782,568	109,422,976	106,599,375	216,022,351
Property, plant & equipment	-	22,012,514	22,012,514	-	19,960,610	19,960,610
Intangible assets	-	899,752	899,752	-	766,532	766,532
Right-of-use assets	499,328	4,988,869	5,488,197	1,812,391	1,340,275	3,152,666
Deferred tax assets	-	11,177,659	11,177,659	-	17,517,519	17,517,519
Other assets	13,419,571	7,603,788	21,023,359	21,033,565	14,352,482	35,386,047
Total Assets	1,057,986,542	779,008,824	1,836,995,366	956,661,034	630,714,954	1,587,375,988
Liabilities						
Due to banks	25,632,279	4,435,536	30,067,815	16,189,255	1,155,511	17,344,766
Derivative financial instruments	3,200,590	-	3,200,590	1,498,777	-	1,498,777
Securities sold under repurchase agreements	40,312,784	-	40,312,784	34,438,086	-	34,438,086
Financial liabilities at amortised cost						
- due to depositors	1,359,320,166	127,828,385	1,487,148,551	1,196,687,661	79,863,380	1,276,551,041
- due to other borrowers	1,326,199	6,735,165	8,061,364	1,564,875	5,072,254	6,637,129
- due to debt securities holders	3,241,652	21,500,000	24,741,652	12,886,809	17,500,000	30,386,809
Retirement benefit obligation	-	6,019,892	6,019,892	-	3,355,039	3,355,039
Dividend payable	298,695	-	298,695	212,571	-	212,571
Current tax liabilities	15,312,202	-	15,312,202	16,688,675	-	16,688,675
Deferred tax liabilities	-	1,465,112	1,465,112	-	1,465,112	1,465,112
Other liabilities	36,355,467	6,128,930	42,484,397	38,414,236	2,553,255	40,967,491
Total Liabilities	1,485,000,034	174,113,020	1,659,113,054	1,318,580,945	110,964,551	1,429,545,496
Maturity Gap	(427,013,492)	604,895,804	177,882,312	(361,919,911)	519,750,403	157,830,492
Cumulative Gap	(427,013,492)	177,882,312		(361,919,911)	157,830,492	

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Notes to the Financial Statements

53. REPURCHASE AND REVERSE REPURCHASE TRANSACTIONS IN SCRIPLESS TREASURY BONDS AND SCRIPLESS TREASURY BILLS

Directive No. 1 of 2019, issued by the Central Bank of Sri Lanka, requires Licensed Banks/Primary Dealers to disclose following additional information on repurchase and reverse repurchase transactions in scripless treasury bonds and bills.

53.1 Carrying Value of Securities Allocated for Repurchase Transactions

As at 31st December	Note	2024		2023	
		Amortised Cost	Fair Value	Amortised Cost	Fair Value
		Rs 000	Rs 000	Rs 000	Rs 000
Financial assets at amortised cost - debt & other instruments	26.6				
Bank		42,516,856	42,687,685	31,896,491	34,096,244
Group		42,516,856	42,687,685	31,630,713	33,829,894

53.2 Market Value of Securities Received for Reverse Repurchase Transactions

Securities purchased under agreements to resell at a specified future date are not recognised in the Statement of Financial Position. The consideration paid, including accrued interest, is recorded in the Statement of Financial Position, within "reverse repurchase agreements".

As at 31st December	2024		2023	
	Amortised Cost	Fair Value of Securities Received	Amortised Cost	Fair Value of Securities Received
	Rs 000	Rs 000	Rs 000	Rs 000
Reverse repurchase agreements				
Bank	1,000,220	1,073,932	-	-
Group	6,596,063	6,669,775	150,400	200,129

53.3 Bank's Policy on Haircuts for Repurchase and Reverse Repurchase Transactions

According to the Bank's internal policies, minimum haircut applicable for each maturity bucket as at 31st December 2024 is given below. The haircuts applied meet the minimum haircut requirements imposed by the Directive No. 1 of 2019.

Remaining Term to Maturity of the Eligible Security	MINIMUM HAIRCUT (%)	
	Repurchase Transactions	Reverse Repurchase Transactions
Up to 1 year	6.00	6.00
More than 1 year and up to 3 years	6.00	6.00
More than 3 years and up to 5 years	8.00	8.00
More than 5 years and up to 8 years	10.00	10.00
More than 8 years	12.00	12.00

53.4 Penalties Imposed on the Bank/Group for Non-Compliance

No penalties have been imposed on the Group for non compliance with Directive No. 1 of 2019 during the year ended 31st December 2024.

54 SELECTED PERFORMANCE INDICATORS/KEY FINANCIAL DATA (AS PER REGULATORY REPORTING)

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Regulatory Capital Adequacy (Rs 000)				
Common Equity Tier 1 Capital	131,766,084	118,530,902	142,561,898	128,072,822
Tier 1 Capital	131,766,084	118,530,902	142,561,898	128,072,822
Total Regulatory Capital	152,522,320	141,853,666	163,818,916	151,849,708
Regulatory Capital Ratios (%)				
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 7.0%)	16.75	16.35	17.10	16.67
Tier 1 Capital Ratio (Minimum Requirement - 8.5%)	16.75	16.35	17.10	16.67
Total Capital Ratio (Minimum Requirement - 12.5%)	19.38	19.56	19.65	19.77
Basel III Leverage Ratio % (Minimum Requirement - 3%)	7.24	6.39	7.58	6.73

As at 31st December	BANK	
	2024 Rs 000	2023 Rs 000
Regulatory Liquidity Requirement		
Liquidity Coverage Ratio (%) - Rupee (Minimum Requirement - 100%)	340.11	453.16
Liquidity Coverage Ratio (%) - All Currency (Minimum Requirement - 100%)	307.36	312.47
Net Stable Funding Ratio (%) (Minimum Requirement - 100%)	198.66	184.20
Assets Quality (Quality of Loan Portfolio)		
Impaired Loans (Stage 3) to Total Loans Ratio (%)	4.69	5.87
Impairment (Stage 3) to Stage 3 Loans Ratio (%)	60.08	57.80
Income & Profitability		
Net Interest Margin (%)	4.90	5.16
Return on Assets (Before Tax) (%)	2.84	2.12
Return on Equity (After Tax) (%)	17.74	12.65
Cost to Income Ratio (%)	44.95	35.68
Memorandum Information		
Credit Rating - Fitch	AA- (Ika)	A (Ika)
Number of Employees	4,428	4,179
Number of Branches	229	229

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

SUPPLEMENTARY INFORMATION

Ten Years at a Glance | **424**
Quarterly Statistics | **426**
Statement of Profit or Loss in US\$ | **428**
Statement of Comprehensive
Income in US\$ | **429**
Statement of Financial Position
in US\$ | **430**
Investor Relations | **431**
Direct Economic Value Generated
and Distributed - Bank | **442**
Annexures to Corporate Governance
Report | **443**
Basel III Disclosure Requirements | **445**
GRI Content Index | **455**
Compliance with SASB
Disclosure Requirements | **461**
Independent Practitioner's
Assurance Report to the Board
of Directors of Sampath Bank PLC
on the Integrated Annual
Report 2024 | **462**
Independent Practitioner's
Assurance Report to the
Board of Directors of Sampath Bank
PLC on the Sustainability Reporting
Criteria Presented
in the Integrated Annual
Report 2024 | **464**
Glossary of Financial and
Banking Terms | **466**
Acronyms and Abbreviations | **470**
Notice of Annual General Meeting | **472**
Notes | **473**
Stakeholder Feedback Form | **475**
Corporate Information | **477**
Encl. - Form of Proxy

A RADIANT FUTURE

Sampath Bank strives to safeguard and nurture future generations to take up the mantle of progress; by passing on the torch of knowledge, sharing vital resources, building capabilities, and arming every individual with the power of hope.



Ten Years at a Glance

For the year ended/As at 31st December	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Operating Results (Rs Mn)										
Gross income	47,032	67,585	92,590	115,310	118,855	102,339	104,570	197,571	226,154	195,321
Interest income	37,944	56,529	79,625	97,934	103,567	88,628	85,987	157,619	203,447	183,055
Interest expense	20,542	33,776	51,261	59,880	61,992	54,805	44,318	84,117	131,157	103,047
Net interest income	17,402	22,754	28,363	38,054	41,575	33,823	41,669	73,502	72,290	80,008
Exchange income	2,466	2,589	3,132	5,491	2,793	2,792	4,849	16,261	(1,887)	(4,220)
Other income	5,421	7,002	8,484	10,198	10,809	9,598	11,969	21,191	20,570	11,706
Total operating income	25,288	32,344	39,979	53,743	55,177	46,213	58,487	110,954	90,973	87,494
Impairment charge/(reversal)	944	1,460	2,376	11,223	12,573	11,783	17,085	62,706	20,149	(11,728)
Operating expenses	13,339	15,471	16,918	19,307	20,366	20,095	20,668	28,048	32,457	39,333
Taxes on financial services	1,904	2,814	4,079	4,863	6,740	3,163	3,901	5,176	8,607	13,167
Profit before income tax	9,101	12,600	16,606	18,350	15,498	11,172	16,833	15,024	29,760	46,722
Income tax expense	2,967	3,475	4,502	6,207	4,347	3,147	4,376	1,890	12,620	19,402
Profit for the year	6,134	9,125	12,104	12,143	11,151	8,025	12,457	13,134	17,140	27,321
Assets (Rs Mn)										
Cash and cash equivalents including placements	18,781	25,814	25,494	27,799	25,040	32,282	25,623	90,090	113,013	72,682
Net loans and advances	377,348	458,831	562,884	650,014	689,378	720,215	762,588	811,158	756,436	860,152
Other interest earning assets	95,025	124,127	145,371	174,300	182,772	309,468	338,871	321,531	584,889	772,150
Investment in subsidiaries	1,080	1,228	1,356	2,320	2,395	3,351	3,503	3,899	4,111	4,191
Property, plant and equipment	5,313	5,972	7,270	7,918	8,466	8,126	7,818	8,911	9,623	10,855
Other assets	27,730	42,540	52,727	51,874	54,299	36,829	61,510	88,837	73,876	57,911
Total assets	525,277	658,512	795,102	914,225	962,350	1,110,271	1,199,913	1,324,426	1,541,948	1,777,941
Liabilities (Rs Mn)										
Deposits from banks and customers	409,411	516,273	630,442	698,085	718,301	886,873	978,368	1,103,213	1,264,470	1,469,222
Due to debt securities holders, borrowings from banks and repo	66,663	82,605	80,601	104,875	110,164	83,617	72,829	40,901	68,829	77,168
Other liabilities	14,078	15,145	20,409	26,876	28,880	32,232	29,964	53,932	60,776	65,013
Total liabilities	490,152	614,023	731,452	829,836	857,345	1,002,722	1,081,161	1,198,046	1,394,075	1,611,403
Shareholders' Fund (Rs Mn)										
Stated capital	5,381	6,471	16,308	32,796	47,622	47,622	47,622	47,622	48,741	48,741
Reserves	29,744	38,018	47,342	51,593	57,384	59,927	71,130	78,758	99,132	117,797
Total equity	35,125	44,489	63,650	84,389	105,006	107,549	118,752	126,380	147,873	166,538
Total liabilities and equity	525,277	658,512	795,102	914,225	962,350	1,110,271	1,199,913	1,324,426	1,541,948	1,777,941
Investor Information										
Dividend paid/proposed (Rs Mn)	2,240	3,362	4,598	4,565	4,482	3,147	4,864	5,264	6,860	10,965
Dividend per share (Rs) ^[A]	13.00	18.75	17.20	16.25	11.75	2.75	4.25	4.60	5.85	9.35
Cash dividend per share (Rs) ^[A]	6.00	4.75	nil	5.00	11.75	2.75	4.25	3.45	5.85	9.35
Dividend cover (times)	2.74	2.71	2.63	2.66	2.49	2.55	2.56	2.50	2.50	2.49
Dividend yield (%)	5.24	7.20	5.45	6.91	7.24	6.08	8.16	13.45	8.30	7.91
Earnings per share - Basic/ Diluted (Rs) ^[B]	6.03	8.98	11.88	11.32	9.86	6.84	10.62	11.20	14.62	23.30
Earnings yield (%)	13.98	18.18	17.76	18.37	20.22	15.51	20.90	33.57	20.74	19.70
Price earning ratio (times)	7.16	5.50	5.63	5.44	4.95	6.45	4.78	2.98	4.82	5.08
Price to book value (times)	1.25	1.09	1.08	0.78	0.59	0.48	0.50	0.31	0.56	0.83
Net asset value per share (Rs) ^[B]	34.55	43.76	62.45	78.69	92.86	91.71	101.26	107.77	126.10	142.01
Market price per share (Rs) - High	279.90	268.70	352.20	335.50	245.00	170.00	250.00	56.50	79.20	119.00
Market price per share (Rs) - Low	235.20	210.00	253.50	218.00	136.00	96.00	48.00	26.00	33.00	66.00
Market price as at 31st December (Rs)	248.00	260.40	315.70	235.00	162.40	135.60	52.10	34.20	70.50	118.25

For the year ended/As at 31st December	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Ratios										
Growth in income (%)	5.5	43.7	37.0	24.5	3.1	(13.9)	2.2	88.9	14.5	(13.6)
Growth in profit (%)	24.8	48.8	32.7	0.3	(8.2)	(28.0)	55.2	5.4	30.5	59.4
Growth in total assets (%)	21.6	25.4	20.7	15.0	5.3	15.4	8.1	10.4	16.4	15.3
Growth in net loans and advances (%)	24.8	21.6	22.7	15.5	6.1	4.5	5.9	6.4	(6.7)	13.7
Growth in deposits (%)	19.7	26.1	22.1	10.7	2.9	23.5	10.3	12.8	14.6	16.2
Cost to income ratio with taxes on financial services (%)	60.3	56.5	52.5	45.0	49.1	50.3	42.0	29.9	45.1	60.0
Cost to income ratio without taxes on financial services (%)	52.7	47.8	42.3	35.9	36.9	43.5	35.3	25.3	35.7	45.0
Return on average assets (before tax) (%)	1.90	2.14	2.29	2.13	1.66	1.09	1.44	1.16	2.12	2.84
Return on average assets (after tax) (%)	1.28	1.55	1.67	1.41	1.20	0.78	1.07	1.01	1.22	1.66
Return on average equity (after tax) (%)	18.42	23.47	23.35	16.02	11.78	7.58	11.05	10.95	12.65	17.74
Property, plant & equipment to shareholders' fund (%)	15.1	13.4	11.4	9.4	8.1	7.6	6.6	7.1	6.5	6.5
Total assets to shareholders' fund (times)	15.0	14.8	12.5	10.8	9.2	10.3	10.1	10.5	10.4	10.7
Total impairment on loans as a % of gross loans & advances	1.82	1.67	1.52	3.03	4.20	5.10	6.21	11.84	13.78	10.83
Cost of risk (%)	n/a	n/a	0.44	1.69	1.74	1.36	1.61	5.97	2.04	0.31
CASA ratio (%)	47.3	38.4	34.9	33.4	35.2	39.3	45.7	32.7	33.4	34.0
Loans to deposits ratio (%)	93.9	90.4	90.7	96.0	100.2	85.6	83.1	83.4	69.4	65.7
Non-performing loan ratio (%) - Gross ^[C]	1.64	1.61	1.64	3.69	6.37	6.30	5.09	n/a	n/a	n/a
Non-performing loan ratio (%) - Net ^[C]	0.46	0.62	0.75	2.39	4.53	3.45	1.78	n/a	n/a	n/a
Stage 3 impairment to Stage 3 loans ratio (%) ^[C]	n/a	n/a	n/a	n/a	n/a	40.22	45.45	53.84	57.80	60.08
Impaired loans (Stage 3) ratio (%) ^[C]	n/a	n/a	n/a	n/a	n/a	3.95	3.20	4.35	5.87	4.69
Liquid Assets Ratios^[D]										
- Overall Bank (%)	n/a	n/a	n/a	n/a	n/a	n/a	n/a	27.85	47.76	n/a
- Domestic Banking Unit (%)	21.8	21.2	22.2	21.5	21.5	35.0	32.5	n/a	n/a	n/a
- Off-Shore Banking Unit (%)	27.2	33.4	24.9	25.8	26.9	37.6	30.8	n/a	n/a	n/a
(As specified in Banking Act No. 30 of 1988 and subsequent amendments thereto)										
Liquidity Coverage Ratios										
- Rupee (%)	102.35	94.15	133.52	125.03	177.29	424.90	254.89	200.78	453.16	340.11
- All currency (%)	106.84	77.69	118.81	125.42	149.17	293.37	213.43	146.53	312.47	307.36
Net stable funding ratio (%)	n/a	n/a	n/a	n/a	126.80	144.00	149.92	157.10	184.20	198.66
Capital Adequacy Ratios										
- Common equity Tier I (%)	n/a	n/a	10.26	12.08	14.22	13.44	13.95	11.92	16.35	16.75
- Total Tier I (%)	7.90	8.31	10.26	12.08	14.22	13.44	13.95	11.92	16.35	16.75
- Total capital (Tier I + Tier II) (%)	12.26	12.87	14.41	15.73	18.12	16.41	17.02	14.27	19.56	19.38
Leverage ratio (%)	n/a	n/a	n/a	n/a	8.12	6.94	7.80	7.00	6.39	7.24
Other Information										
Exchange rate (USD)	144.20	150.00	153.50	182.90	181.35	185.50	200.75	365.50	324.00	293.25
Number of staff	3,993	3,960	4,011	4,189	4,134	4,048	4,013	3,948	4,179	4,428
Number of branches	225	229	229	229	229	229	229	229	229	229
Number of ATMs, CRMs and CDMs	410	489	568	750	812	830	829	821	787	789

n/a - not applicable

[A] Actual dividend per share paid in each year.

[B] Earnings per share and net asset value per share are retrospectively adjusted to reflect the changes in weighted average number of shares.

[C] Following the issuance of Banking Act Direction No. 13 of 2021 on Classification, Recognition, and Measurement of Credit Facilities in Licensed Banks, the Central Bank of Sri Lanka (CBSL) mandated the licensed banks to disclose ratios pertaining to Stage 3 classifications in lieu of non-performing loan ratios.

[D] Effective 15th June 2024, CBSL has discontinued the requirement to maintain the Statutory Liquid Assets Ratio.

Quarterly Statistics

As at	2024				2023			
	31st December Rs Mn	30th September Rs Mn	30th June Rs Mn	31st March Rs Mn	31st December Rs Mn	30th September Rs Mn	30th June Rs Mn	31st March Rs Mn
Statement of Financial Position								
Total assets	1,777,941	1,684,435	1,640,586	1,631,194	1,541,948	1,485,871	1,421,325	1,306,049
Financial assets at amortised cost - loans & advances	860,152	811,392	786,863	775,057	756,436	748,725	781,287	785,947
Financial liabilities at amortised cost - due to depositors	1,455,864	1,380,493	1,339,119	1,317,238	1,253,643	1,201,715	1,138,917	1,064,554
Total equity	166,538	156,721	152,566	146,444	147,873	143,022	131,915	125,030
For the quarter ended								
	2024				2023			
	31st December Rs Mn	30th September Rs Mn	30th June Rs Mn	31st March Rs Mn	31st December Rs Mn	30th September Rs Mn	30th June Rs Mn	31st March Rs Mn
Statement of Profit or Loss								
Net interest income	19,419	19,445	20,691	20,453	19,205	18,887	16,055	18,143
Net fee & commission income	4,551	4,255	4,229	4,474	4,268	4,855	4,364	5,399
Net (loss)/gain from trading	(1,553)	2,135	2,156	(4,515)	(928)	(15)	12	1,693
Net (loss)/gain on derecognition of financial assets	(8,135)	223	281	399	152	137	194	108
Net other operating income	1,088	(2,254)	(176)	327	751	2,789	(671)	(4,426)
Total operating income	15,370	23,804	27,181	21,138	23,448	26,653	19,954	20,917
Less: Impairment (reversal)/charge	(17,123)	(779)	1,801	4,372	5,708	7,212	307	6,921
Net operating income	32,493	24,583	25,380	16,766	17,740	19,441	19,647	13,996
Less: Total operating expenses	11,244	9,983	9,657	8,448	8,128	8,054	8,380	7,894
Taxes on financial services	4,403	3,231	3,456	2,077	1,874	2,586	2,532	1,615
Income tax expense	7,311	4,695	4,509	2,886	2,948	4,114	3,698	1,861
Profit for the period	9,535	6,674	7,758	3,355	4,790	4,687	5,037	2,626
Other comprehensive income for the period	283	(2,519)	(1,636)	2,077	52	6,421	1,834	170
Total comprehensive income for the period	9,818	4,155	6,122	5,432	4,842	11,108	6,871	2,796

For the quarter ended	2024				2023			
	31st December	30th September	30th June	31st March	31st December	30th September	30th June	31st March
Market price per share (Rs)								
Highest	119.00	80.00	82.70	80.90	74.00	79.20	57.50	59.30
Lowest	77.10	67.10	75.20	66.00	60.00	59.90	44.10	33.00
Closing	118.25	77.70	78.30	80.00	70.50	70.00	55.90	52.50
As at								
2024								
2023								
Income & Profitability								
Interest margin (%)	4.90	5.01	5.18	5.24	5.16	5.19	5.19	5.60
Return on assets (before tax) (%)	2.84	2.46	2.32	1.59	2.12	2.15	1.99	1.38
Return on equity (after tax) (%)	17.74	15.67	14.90	9.04	12.65	12.49	12.10	8.37
Cost to Income Ratio (%)	44.95	38.94	37.47	39.97	35.68	36.03	39.82	37.74
Regulatory Capital								
Common Equity Tier 1 Capital Ratio (%)	16.75	16.72	16.98	15.18	16.35	14.37	13.89	12.51
Total Tier 1 Capital Ratio (%)	16.75	16.72	16.98	15.18	16.35	14.37	13.89	12.51
Total Capital Ratio (%)	19.38	19.54	19.96	18.22	19.56	17.73	17.36	16.12
Leverage Ratio (%)	7.24	7.26	6.46	5.72	6.39	6.29	6.76	6.68
Assets Quality								
Impaired Loans (Stage 3) Ratio %	4.69	5.27	5.70	5.53	5.87	5.93	5.49	5.39
Impairment (Stage 3) to Stage 3 Loans Ratio (%)	60.08	57.92	58.77	59.18	57.80	54.68	54.20	52.75
Regulatory Liquidity Requirement								
Statutory Liquid Assets Ratio - Bank*	n/a	n/a	n/a	52.79	47.76	45.39	35.56	28.27
Liquidity Coverage Ratio (%) - Rupee	340.11	399.48	329.07	407.42	453.16	383.66	227.94	216.19
Liquidity Coverage Ratio (%) - All Currency	307.36	303.25	299.48	307.77	312.47	299.36	228.79	182.91
Net Stable Funding Ratio (%)	198.66	198.60	195.48	189.57	184.20	172.91	165.16	157.02
Memorandum Information								
Credit Rating - Fitch	AA-(lka)	A (lka)	A (lka)	A (lka)	A (lka)	A (lka)	A (lka)	A (lka)
Number of Employees	4,428	4,352	4,328	4,297	4,179	4,071	4,035	4,034
Number of Branches	229	229	229	229	229	229	229	229

n/a - not applicable

*Effective 15th June 2024, CBSL has discontinued the requirement to maintain the Statutory Liquid Assets Ratio.

Statement of Profit or Loss in US\$

For the year ended 31st December	BANK		GROUP	
	2024 US\$ 000	2023 US\$ 000	2024 US\$ 000	2023 US\$ 000
Gross income	666,056	698,006	704,412	729,952
Interest income	624,228	627,923	655,954	655,737
Less: Interest expense	351,396	404,807	367,252	422,888
Net interest income	272,832	223,116	288,702	232,849
Fee & commission income	76,008	70,709	78,367	72,669
Less: Fee & commission expense	16,301	12,417	16,313	12,426
Net fee & commission income	59,707	58,292	62,054	60,243
Net (loss)/gain from trading	(6,061)	2,351	(5,812)	2,188
Net (loss)/gain on derecognition of financial assets				
Capital gain on sale of financial assets	3,870	1,826	3,717	1,850
Impact on restructuring of Sri Lanka International Sovereign Bonds	(28,526)	-	(28,526)	-
Net other operating income	(3,463)	(4,803)	712	(2,492)
Total operating income	298,359	280,782	320,847	294,638
Less: Impairment (reversal)/charge				
Loans and advances	9,450	55,761	9,067	55,937
Sri Lanka International Sovereign Bonds	(53,835)	17,100	(53,835)	17,100
Other financial assets and credit related commitments	4,391	(10,674)	4,285	(10,662)
Total impairment (reversal)/charge	(39,994)	62,187	(40,483)	62,375
Net operating income	338,353	218,595	361,330	232,263
Less: Operating expenses				
Personnel expenses	61,575	43,981	69,680	48,846
Depreciation & amortisation expenses	10,530	8,162	10,264	7,884
Other operating expenses	62,021	48,033	66,015	51,191
Total operating expenses	134,126	100,176	145,959	107,921
Operating profit before taxes on financial services	204,227	118,419	215,371	124,342
Less: Value added tax on financial services	39,425	23,208	41,828	24,503
Social security contribution levy	5,476	3,358	5,809	3,539
Total taxes on financial services	44,901	26,566	47,637	28,042
Profit before income tax	159,326	91,853	167,734	96,300
Less: Income tax expense	66,161	38,952	69,854	40,979
Profit for the year	93,165	52,901	97,880	55,321
Attributable to:				
Equity holders of the Bank	93,165	52,901	97,880	55,321
Non-controlling interest			-	-
	93,165	52,901	97,880	55,321
Earnings per share: Basic/Diluted (USD)	0.08	0.05	0.08	0.05
Dividend per share				
Dividend per share: Gross (USD)	0.032*	0.018		
Dividend per share: Net (USD)	0.027*	0.015		

Exchange rate of US\$ was Rs 293.25 as at 31st December 2024 (Rs 324.00 as at 31st December 2023).

* Based on proposed dividend which is to be approved at the Annual General Meeting.

Statement of Comprehensive Income in US\$

For the year ended 31st December	BANK		GROUP	
	2024 US\$ 000	2023 US\$ 000	2024 US\$ 000	2023 US\$ 000
Profit for the year	93,165	52,901	97,880	55,321
Other comprehensive income				
Items that will be reclassified to profit or loss:				
Debt instruments at fair value through other comprehensive income:				
Gain arising on re-measurement	6,559	42,433	6,559	42,433
Reclassification to profit or loss due to derecognition	(3,321)	(871)	(3,321)	(871)
Changes in impairment recycled to profit or loss	-	870	-	870
Deferred tax effect on the above	(971)	(12,730)	(971)	(12,730)
Net other comprehensive income to be reclassified to profit or loss	2,267	29,702	2,267	29,702
Items that will not be reclassified to profit or loss:				
Equity instruments at fair value through other comprehensive income:				
Loss arising on re-measurement	(4,389)	-	(4,389)	-
Exchange loss in translation	(1,068)	(2,329)	(1,068)	(2,329)
Deferred tax effect on the above	1,637	699	1,637	699
	(3,820)	(1,630)	(3,820)	(1,630)
Actuarial loss on defined benefit plans	(6,523)	(2,730)	(6,503)	(2,721)
Deferred tax effect on the above	1,957	819	1,951	816
	(4,566)	(1,911)	(4,552)	(1,905)
Net other comprehensive income not to be reclassified to profit or loss	(8,386)	(3,541)	(8,372)	(3,535)
Other comprehensive income net of tax	(6,119)	26,161	(6,105)	26,167
Total comprehensive income for the year net of tax	87,046	79,062	91,775	81,488
Attributable to:				
Equity holders of the Bank	87,046	79,062	91,775	81,488
Non-controlling interest			-	-
	87,046	79,062	91,775	81,488

Exchange rate of US\$ was Rs 293.25 as at 31st December 2024 (Rs 324.00 as at 31st December 2023).

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Statement of Financial Position in US\$

As at 31st December	BANK		GROUP	
	2024 US\$ 000	2023 US\$ 000	2024 US\$ 000	2023 US\$ 000
ASSETS				
Cash & cash equivalents	157,645	244,667	158,572	245,464
Balances with Central Bank of Sri Lanka	55,836	44,642	55,836	44,642
Placements with banks	90,204	104,140	90,204	104,140
Reverse repurchase agreements	3,411	-	22,493	464
Derivative financial instruments	1,729	1,814	1,729	1,814
Financial assets recognised through profit or loss - measured at fair value	15,735	14,643	15,735	14,942
Financial assets at amortised cost				
- loans & advances	2,933,168	2,334,678	3,075,705	2,430,110
- debt & other instruments	1,368,391	1,136,111	1,383,175	1,154,012
Financial assets - fair value through other comprehensive income	1,254,160	666,735	1,254,161	666,736
Investment in subsidiaries	14,291	12,687	-	-
Property, plant & equipment	37,016	29,701	75,064	61,607
Intangible assets	3,031	2,301	3,068	2,366
Right-of-use assets	26,804	11,128	18,715	9,730
Deferred tax assets	37,287	53,370	38,116	54,066
Other assets	64,177	102,484	71,691	109,216
Total Assets	6,062,885	4,759,101	6,264,264	4,899,309
LIABILITIES				
Due to banks	79,317	35,870	102,533	53,533
Derivative financial instruments	10,914	4,626	10,914	4,626
Securities sold under repurchase agreements	137,469	107,062	137,469	106,291
Financial liabilities at amortised cost				
- due to depositors	4,964,585	3,869,267	5,071,265	3,939,972
- due to other borrowers	27,490	20,485	27,490	20,485
- due to debt securities holders	64,421	82,438	84,371	93,787
Retirement benefit obligation	19,777	9,785	20,528	10,355
Dividend payable	1,019	656	1,019	656
Current tax liabilities	49,523	50,064	52,216	51,508
Deferred tax liabilities	-	-	4,996	4,522
Other liabilities	140,466	122,449	144,875	126,443
Total Liabilities	5,494,981	4,302,702	5,657,676	4,412,178
EQUITY				
Stated capital	166,210	150,436	166,210	150,436
Reserves				
Statutory reserves				
Statutory reserve fund	27,229	20,417	28,501	21,386
Special reserve	5,662	-	5,662	-
Other reserves	322,232	252,934	334,160	263,730
Retained earnings	46,571	32,612	72,056	51,579
Total equity attributable to equity holders of the Bank	567,904	456,399	606,589	487,131
Non-controlling interest			-	-
Total Equity	567,904	456,399	606,589	487,131
Total Liabilities & Equity	6,062,885	4,759,101	6,264,264	4,899,309
Commitments & contingencies	1,786,340	1,485,596	1,777,673	1,480,850
Net asset value per share (US\$)	0.48	0.39	0.52	0.42

Exchange rate of US\$ was Rs 293.25 as at 31st December 2024 (Rs 324.00 as at 31st December 2023).

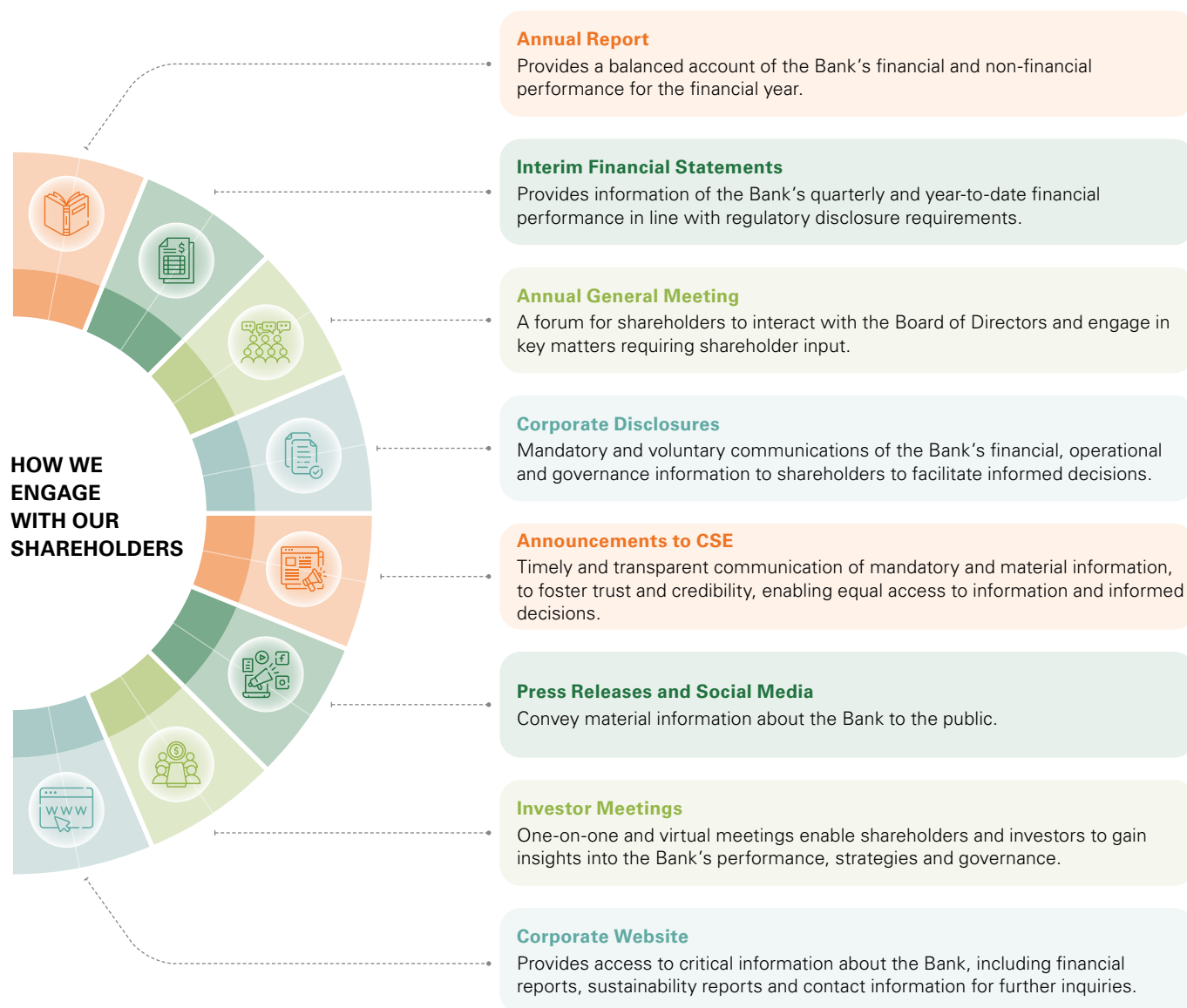
Investor Relations

Engaging effectively with shareholders and investors is a key priority at Sampath Bank. To this end, the Bank has established a Board Sub-Committee – the ‘Board Shareholder Relations Committee’ – to ensure shareholders’ concerns are identified and effectively incorporated into the Bank’s strategy. Sampath Bank is likely the only institution listed on the Colombo Stock Exchange to have established a Board Sub-Committee dedicated to shareholder relations, underscoring the importance of shareholder engagement to the Bank. Members of the Board Sub-Committee meet with shareholders annually to discuss

and address areas of concern. Building on this, the Bank established its ‘Policy on Relations with Shareholders and Investors’ in October 2024, to facilitate a formal and structured approach to shareholder/investor engagement. Moreover, the Bank recognises the importance of ensuring that shareholders have equal and timely access to material information about the Bank, enabling them to exercise their rights effectively. As specified in the new policy, the three principles below, form the foundation for effective shareholder engagement at Sampath Bank,

- Comply with all regulatory requirements applicable to licensed commercial banks and listed entities in Sri Lanka.
- Ensure open and fair disclosures with emphasis on the integrity, timeliness and relevance of the information provided.
- Maintain multiple channels of communication to cater to the needs of diverse shareholders and promote ongoing shareholder engagement.

Key mechanisms for fostering shareholder engagement at Sampath Bank are highlighted below.

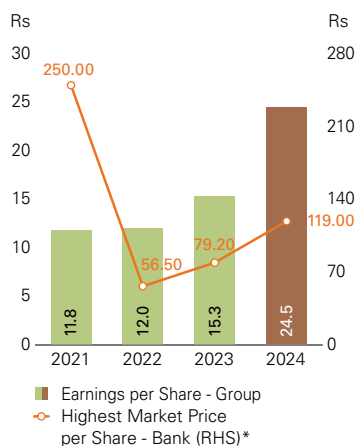


Investor Relations

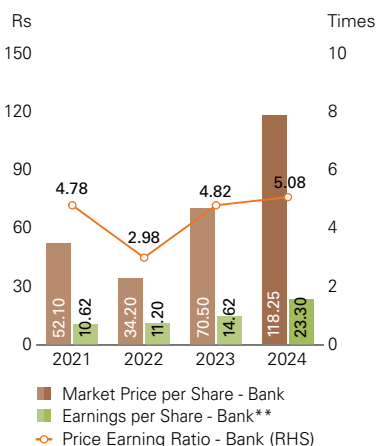
VALUE CREATION FOR SHAREHOLDERS

	2024	2023	Change %
Net asset value per share (Rs)	142.01	126.10	12.6
Group earnings per share - Basic (Rs)	24.48	15.28	60.1
Dividend per share (Rs)	9.35	5.85	59.8
Market price per share as at 31st December (Rs)	118.25	70.50	67.7
Dividend payout ratio (%)	40.13	40.02	0.3

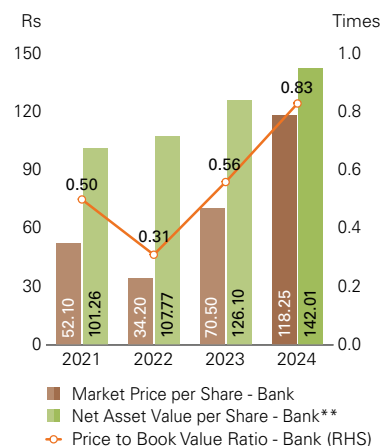
Earnings & Highest Market Price per Share



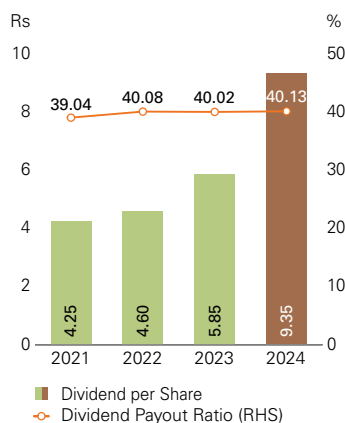
Price Earning Ratio as at 31st December



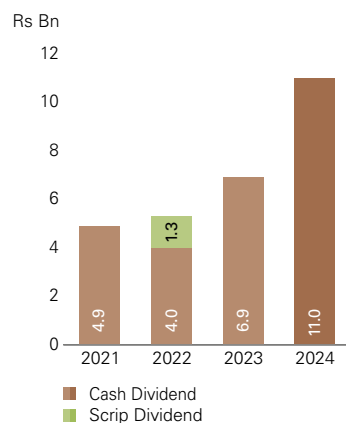
Price to Book Value as at 31st December



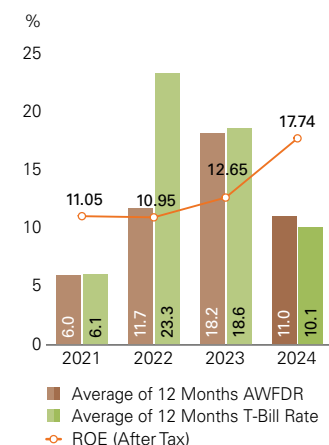
Dividend per Share & Dividend Payout Ratio



Gross Dividend



Bank's ROE & Market Interest Rates

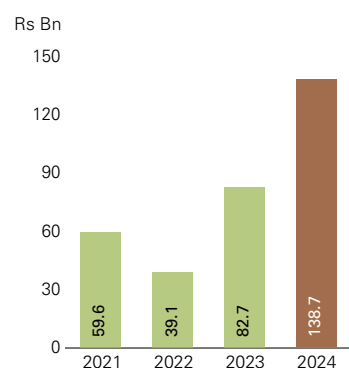
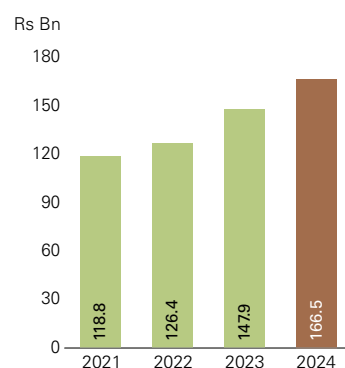
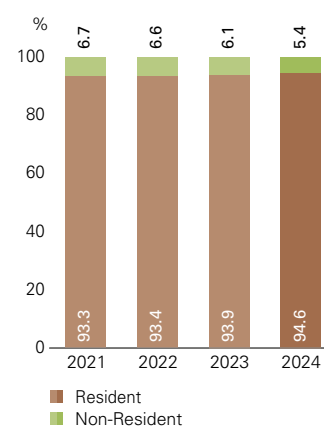


* The highest market price in 2021 is not adjusted for the sub-division of shares in 2021.

** The earnings per share and the net asset value per share of the Bank and the Group for the year 2021 and 2022 have been adjusted to reflect the increased number of shares due to the scrip dividend declared for 2022.

BANK'S MARKET CAPITALISATION IN COMPARISON TO CSE - AS AT 31ST DECEMBER

	2024	2023	2022	2021	2020	2019
Sampath Bank's market capitalisation (Rs Mn)	138,672	82,675	39,138	59,622	51,726	61,949
Increase/(Decrease) % in market capitalisation	68%	111%	(34%)	15%	(17%)	(6%)
CSE market capitalisation (Rs Mn)	5,695,560	4,248,935	3,847,153	5,489,168	2,960,648	2,851,313
As a % of CSE market capitalisation	2.43%	1.95%	1.02%	1.09%	1.75%	2.17%
Market capitalisation rank	9	12	23	21	17	10

Bank's Market Capitalisation**Shareholders' Fund****Shareholding - Resident & Non-Resident****ANALYSIS OF SHAREHOLDERS****Resident/Non-Resident**

	31st December 2024			31st December 2023		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Resident shareholders	30,443	1,109,110,222	94.58	28,946	1,101,150,554	93.90
Non-resident shareholders	234	63,590,538	5.42	227	71,550,206	6.10
Total	30,677	1,172,700,760	100.00	29,173	1,172,700,760	100.00

Individuals/Institutions

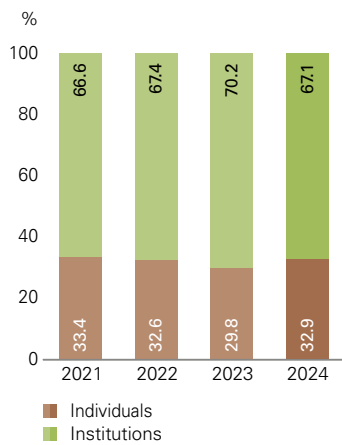
	31st December 2024			31st December 2023		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Individuals	29,767	386,316,126	32.94	28,342	350,026,626	29.85
Institutions	910	786,384,634	67.06	831	822,674,134	70.15
Total	30,677	1,172,700,760	100.00	29,173	1,172,700,760	100.00

Composition of Share Ownership

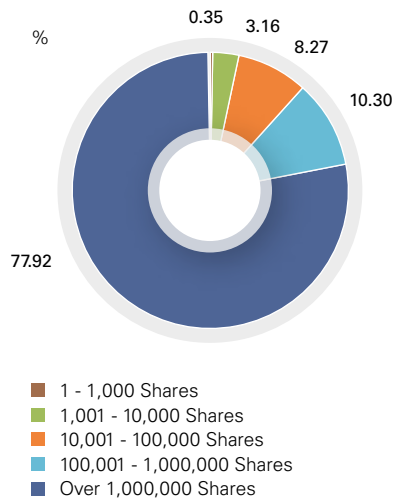
	31st December 2024				31st December 2023			
	No. of Shareholders	%	No. of Shares	%	No. of Shareholders	%	No. of Shares	%
1 - 1,000 shares	14,937	48.69	4,080,736	0.35	13,748	47.13	3,740,618	0.32
1,001 - 10,000 shares	11,683	38.08	37,120,758	3.16	11,527	39.51	36,158,197	3.08
10,001 - 100,000 shares	3,513	11.45	96,963,214	8.27	3,400	11.65	91,365,964	7.79
100,001 - 1,000,000 shares	456	1.49	120,804,488	10.30	429	1.47	111,879,047	9.54
Over 1,000,000 shares	88	0.29	913,731,564	77.92	69	0.24	929,556,934	79.27
Total	30,677	100.00	1,172,700,760	100.00	29,173	100.00	1,172,700,760	100.00

Investor Relations

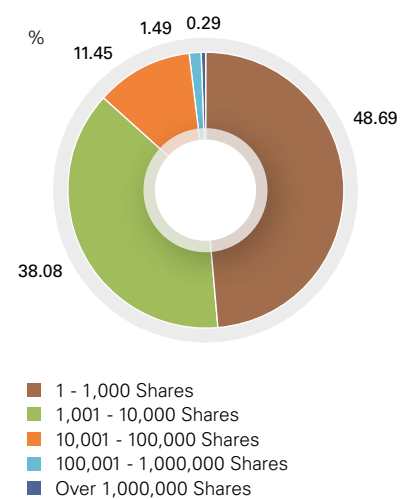
Shareholding of Individuals & Institutions



No. of Shares



No. of Shareholders



SHARE TRADING

Market

	2024	2023	2022	2021	2020
No. of transactions	3,524,067	3,618,960	6,057,233	8,131,508	3,070,021
No. of shares traded	23,249,694,068	16,988,827,390	29,047,818,242	59,771,688,538	21,348,728,655
Value of shares traded (Rs Mn)	537,635	410,629	686,602	1,173,157	396,882

Bank

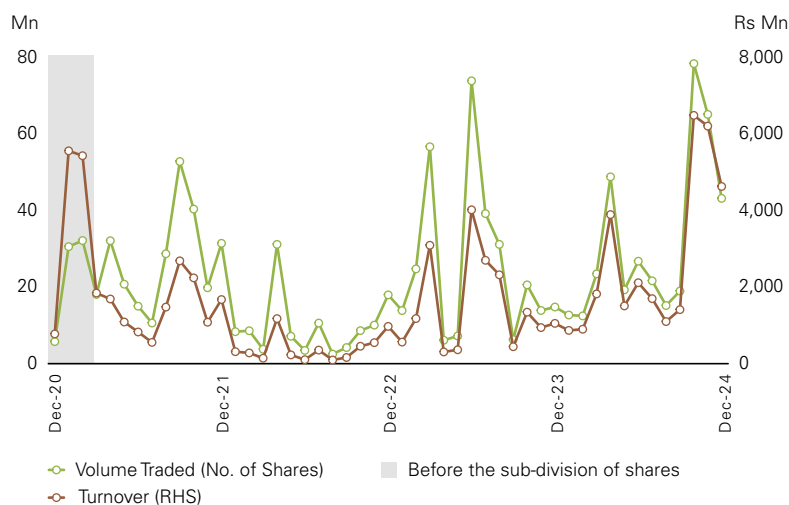
	2024	2023	2022	2021	2020
No. of transactions	94,048	90,860	57,981	159,003	89,358
No. of shares traded	385,841,958	308,275,126	116,309,634	332,368,388	120,322,546
As a % of total shares in issue	32.90	26.29	10.16	29.04	31.54
Average daily turnover (Rs Mn)	575.40	75.36	20.66	110.31	73.79
Value of shares traded (Rs Mn)	32,625.84	18,312.82	4,812.84	26,144.44	15,423.04

Sampath Bank's Share Price Fluctuation

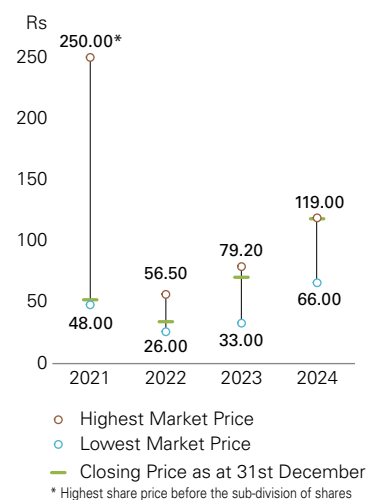
	2024	2023	2022	2021	2020
Lowest market price (Rs)	66.00	33.00	26.00	48.00	96.00
Highest market price (Rs)	119.00	79.20	56.50	250.00*	170.00
Closing price as at 31st December (Rs)	118.25	70.50	34.20	52.10	135.60

* Highest share price of Rs 250.00 reported prior to the sub-division of shares in 2021.

Share Trading - Sampath Bank PLC (Volume Traded & Turnover)



Bank's Share Price Fluctuation



SAMPATH BANK PLC - ORDINARY SHARES

Frequency Distribution of Shareholders as at 31st December 2024

Share Range	Resident				Non-Resident				Total			
	No. of Shareholders	%	No. of Shares	%	No. of Shareholders	%	No. of Shares	%	No. of Shareholders	%	No. of Shares	%
1 - 250	9,275	30.23	713,947	0.06	26	0.08	1,936	0.00	9,301	30.32	715,883	0.06
251 - 500	2,580	8.41	967,225	0.08	13	0.04	5,174	0.00	2,593	8.45	972,399	0.08
501 - 1,000	3,028	9.87	2,379,993	0.20	15	0.05	12,461	0.00	3,043	9.92	2,392,454	0.21
1,001 - 2,000	4,764	15.53	6,214,428	0.53	19	0.06	27,041	0.00	4,783	15.59	6,241,469	0.53
2,001 - 5,000	4,343	14.16	13,305,611	1.13	26	0.08	80,170	0.01	4,369	14.24	13,385,781	1.14
5,001 - 10,000	2,498	8.14	17,245,690	1.47	33	0.11	247,818	0.02	2,531	8.25	17,493,508	1.49
10,001 - 20,000	1,780	5.80	24,446,850	2.08	33	0.11	472,709	0.04	1,813	5.91	24,919,559	2.13
20,001 - 30,000	626	2.04	15,240,835	1.30	16	0.05	368,239	0.03	642	2.09	15,609,074	1.33
30,001 - 40,000	344	1.12	11,891,799	1.01	6	0.02	219,405	0.02	350	1.14	12,111,204	1.03
40,001 - 50,000	224	0.73	10,240,925	0.87	5	0.02	229,210	0.02	229	0.75	10,470,135	0.89
50,001 - 100,000	467	1.52	32,932,800	2.81	12	0.04	920,442	0.08	479	1.56	33,853,242	2.89
100,001 - 1,000,000	437	1.42	114,237,008	9.74	19	0.06	6,567,480	0.56	456	1.49	120,804,488	10.30
Over 1,000,000	77	0.25	859,293,111	73.27	11	0.04	54,438,453	4.64	88	0.29	913,731,564	77.92
Total	30,443	99.24	1,109,110,222	94.58	234	0.76	63,590,538	5.42	30,677	100.00	1,172,700,760	100.00

Investor Relations

SAMPATH BANK PLC - ORDINARY SHARES

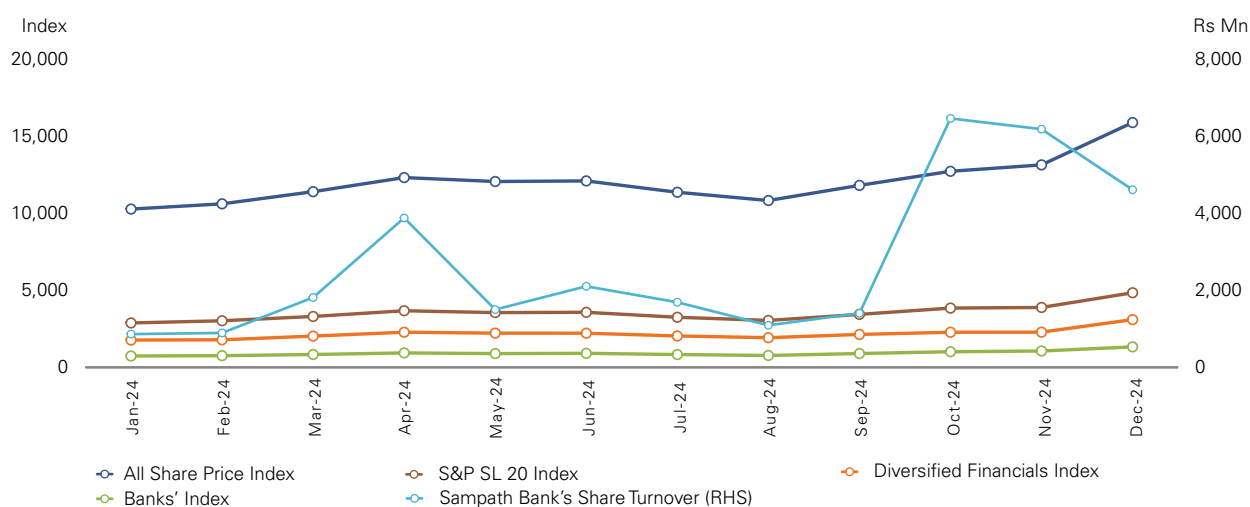
Top 20 Shareholders

No.	Name of the Shareholder	31st December 2024		31st December 2023*	
		No. of Shares	% Holding	No. of Shares	% Holding
1	VALLIBEL ONE PLC	175,352,762	14.95	175,352,762	14.95
2	PHANTOM INVESTMENTS (PVT) LTD	117,270,076	10.00	117,270,076	10.00
3	MR Y S H I SILVA	117,000,065	9.98	96,121,110	8.20
4	EMPLOYEES' PROVIDENT FUND	116,948,697	9.97	116,948,697	9.97
5	ROSEWOOD (PVT) LIMITED	55,270,454	4.71	52,830,454	4.51
6	AYENKA HOLDINGS PRIVATE LIMITED	42,100,476	3.59	116,948,834	9.97
7	AKBAR BROTHERS PVT LTD A/C NO 1	36,898,792	3.15	28,134,771	2.40
8	MR W JINADASA	18,348,658	1.56	9,201,828	0.78
9	MRS P D A S BERUWALAGE	12,012,417	1.02	11,555,469	0.99
10	SAMPATH BANK PLC ACCOUNT NO 04 (SAMPATH BANK PENSION FUND)	11,832,461	1.01	11,832,461	1.01
11	ANDARADENIYA ESTATE (PVT) LTD	11,109,352	0.95	2,421,144	0.21
12	FIRST CAPITAL HOLDINGS PLC	10,100,000	0.86	-	-
13	BBH-TUNDRA SUSTAINABLE FRONTIER FUND	9,837,629	0.84	9,837,629	0.84
14	SSBT-AL MEHWAR COMMERCIAL INVESTMENTS L.L.C.	9,725,281	0.83	6,877,041	0.59
15	ARRC CAPITAL (PVT) LTD	8,738,312	0.75	256,375	0.02
16	BBH -TUNDRA SHIKARI GLOBAL	8,440,000	0.72	-	-
17	RANAVAV HOLDINGS (PVT) LTD	7,935,000	0.68	-	-
18	EMPLOYEES' TRUST FUND BOARD	7,633,883	0.65	19,959,469	1.70
19	JANASHAKTHI INSURANCE PLC- SHAREHOLDERS	7,500,000	0.64	-	-
20	MAGNA WEALTH (PVT) LTD	6,936,815	0.59	6,361,683	0.54
		790,991,130	67.45	781,909,803	66.68
Total No. of shares registered		1,172,700,760	100.00	1,172,700,760	100.00
Total No. of shares unregistered		-	-	-	-
Total No. of shares issued		1,172,700,760	100.00	1,172,700,760	100.00
Shares held by Directors		675,639	0.06	328,893	0.03
Shares held by Institutions		786,384,634	67.06	822,674,134	70.15
Balance held by Others		385,640,487	32.88	349,697,733	29.82
Total No. of shares issued		1,172,700,760	100.00	1,172,700,760	100.00
No. of Public Shareholders		30,637		29,164	
% Shares held by Public			98.85		80.79
% Shares held by Directors and Related Parties			1.15		19.21

* Shareholding as at 31st December 2023 of the top twenty shareholders as at 31st December 2024.

As at 31st December		
No. of Public Shareholders	Percentage of Public Holding	Float Adjusted Market Capitalisation
30,637	98.85%	Rs 137 Bn
2024	2024	2024
29,164	80.79%	Rs 67 Bn
2023	2023	2023
31,131	90.62%	Rs 35 Bn
2022	2022	2022
The Bank complies with the minimum public shareholding requirement under option 1 of Listing Rules Section 7.13.1 (i) (a).		

Performance Compared to Colombo Stock Exchange



SUBSIDIARIES - ORDINARY SHARES

	Sampath Centre Limited		SC Securities (Pvt) Limited		Siyapatha Finance PLC		Sampath Information Technology Solutions Limited	
	No. of Shares	Stated Capital Rs 000	No. of Shares	Stated Capital Rs 000	No. of Shares	Stated Capital Rs 000	No. of Shares	Stated Capital Rs 000
As at 1st January 2023	36,311,748	516,481	12,090,372	144,635	97,166,011	2,674,439	10,609,937	314,237
Add: Increase due to scrip dividend	6,111	850	89,901	4,679	3,163,526	192,437	290,646	14,162
As at 31st December 2023	36,317,859	517,331	12,180,273	149,314	100,329,537	2,866,876	10,900,583	328,399
As at 1st January 2024	36,317,859	517,331	12,180,273	149,314	100,329,537	2,866,876	10,900,583	328,399
Add: Increase due to scrip dividend	378,574	56,857	-	-	91,826	5,970	295,920	17,253
As at 31st December 2024	36,696,433	574,188	12,180,273	149,314	100,421,363	2,872,846	11,196,503	345,652

Investor Relations

DIVIDEND PAYMENT DETAILS

Year	Total Dividend Paid Rs Mn	Dividend per Share* Rs	Cash Dividend per Share* Rs	Scrip Dividend per Share* Rs	Profit for the Year Rs Mn	Dividend Payout Ratio
1988	8.80	0.50	0.50	n/a	27	32.59%
1989	13.10	0.75	0.75	n/a	20	65.50%
1990	8.90	0.50	0.50	n/a	10	89.00%
1991	17.70	0.50	0.50	n/a	41	43.17%
1992	35.40	1.00	1.00	n/a	71	49.86%
1993	35.40	1.00	1.00	n/a	122	29.02%
1994	44.30	1.25	1.25	n/a	172	25.76%
1995	53.10	1.50	1.50	n/a	241	22.03%
1996	53.10	1.50	1.50	n/a	282	18.83%
1997	53.10	1.50	1.50	n/a	322	16.49%
1998	53.10	1.50	1.50	n/a	372	14.27%
1999 (Interim)	116.90		3.30	n/a		
1999 (Final)	24.80	4.00	0.70	n/a	261	54.29%
2000	58.70	1.75	1.75	n/a	402	14.60%
2001	52.14	1.75	1.75	n/a	322	16.19%
2002	88.57	2.00	2.00	n/a	441	20.08%
2003 (Interim)	59.78					
2003 (Final)	21.99	2.00	2.00	n/a	561	14.58%
2004 (Interim)	65.98					
2004 (Final)	34.30	2.00	2.00	n/a	621	16.15%
2005 (Interim)	87.14					
2005 (Final)	32.21	2.00	2.00	n/a	821	14.54%
2006	155.47	2.50	2.50	n/a	1,028	15.12%
2007	206.66	3.00	3.00	n/a	1,052	19.64%
2008	256.65	4.00	4.00	n/a	1,414	18.15%
2009	436.19	6.25	6.25	n/a	2,098	20.79%
2010	1,235.86	8.09	n/a	8.09	3,303	37.42%
2011	1,426.98	9.00	4.50	4.50	3,819	37.37%
2012	1,954.10	12.00	6.00	6.00	5,230	37.36%
2013	1,342.63	8.00	8.00	n/a	3,430	39.13%
2014	1,847.01	11.00	5.00	6.00	4,914	37.59%
2015	2,240.06	13.00	6.00	7.00	6,134	36.52%
2016 (Interim)	2,477.73		n/a	14.00		
2016 (Final)	884.41	18.75	4.75	n/a	9,125	36.85%
2017	4,598.43	17.20	n/a	17.20	12,104	38.00%
2018	4,564.66	16.25	5.00	11.25	12,143	37.59%
2019	4,482.13	11.75	11.75	n/a	11,151	40.19%
2020	3,147.03	2.75	2.75	n/a	8,025	39.21%
2021	4,863.59	4.25	4.25	n/a	12,457	39.04%
2022	5,264.12	4.60	3.45	1.15	13,134	40.08%
2023	6,860.30	5.85	5.85	n/a	17,140	40.02%
2024 (Proposed)	10,964.75	9.35	9.35	n/a	27,321	40.13%

n/a - not applicable

* Actual dividend per share paid in each year.

RECORD OF SCRIP ISSUES

Year	Issue	Basis/ Proportion	No. of Shares Issued	Consideration per Share Rs	Contribution to Stated Capital Rs Mn	Reason for Issue
2010	Interim Scrip Dividend for 2010	1 for 120.74	627,596	326.00	204.6	Increase stated capital
2011	Final Scrip Dividend for 2010	1 for 43.39	3,521,294	260.00	915.5	Increase stated capital
2012	Final Scrip Dividend for 2011	1 for 43.06	3,682,039	175.00	644.4	Increase stated capital
2013	Final Scrip Dividend for 2012	1 for 33.12	4,916,007	180.10	885.4	Increase stated capital
2015	Final Scrip Dividend for 2014	1 for 38.14	4,402,402	206.99	911.3	Increase stated capital
2016	Final Scrip Dividend for 2015	1 for 36.91	4,668,414	233.44	1,089.8	Increase stated capital
2017	Interim Scrip Dividend for 2016	1 for 19.22	9,209,419	242.55	2,233.7	Increase stated capital
2018	Final Scrip Dividend for 2017	1 for 19.72	13,551,804	291.93	3,956.1	Increase stated capital
2019	Final Scrip Dividend for 2018	1 for 24.32	11,548,874	235.66	2,721.6	Increase stated capital
2023	Final Scrip Dividend for 2022	1 for 40.40	28,326,805	39.49	1,118.6	Increase stated capital

RECORD OF BONUS ISSUES AND SUB-DIVISIONS

Year	Issue	Basis/Proportion	No. of Shares Issued	Reason for Issue
2004	Bonus Issue	1 for 6	7,380,817	Benefit to shareholders
2010	Consolidation and Sub-division	11 for 10	6,888,762	Benefit to shareholders
2010	Sub-division	1 for 1	76,403,986	Benefit to shareholders
2021	Sub-division	3 for 1	762,915,970	Benefit to shareholders

RECORD OF RIGHTS ISSUES

Year	Issue	Basis/Proportion	No. of Shares Issued	Price per Share Rs	Contribution to Stated Capital Rs Mn
2005	Rights Issue 2005	1 for 3 held	17,221,907	60.00	1,033.3
2017	Rights Issue 2017	1 for 6 held	31,031,748	245.00	7,602.8
2018	Rights Issue 2018	3 for 13 held	50,128,208	250.00	12,532.1
2019	Rights Issue 2019	7 for 23 held	89,006,863	136.00	12,104.9

EMPLOYEE SHARE OPTION PLANS

Capitalised Year	Issue	No. of Shares Issued	Price per Share Rs	Contribution to Stated Capital Rs Mn	Reason for Issue
2011	ESOP 2010	524,924	80.00	42.0	Benefit for staff members
2012	ESOP 2010	2,200,436	80.00	176.0	Benefit for staff members
2013	ESOP 2010	134,933	80.00	10.8	Benefit for staff members
2014	ESOP 2010	122,648	80.00	9.8	Benefit for staff members

DISCLOSURE OF RELATED PARTY TRANSACTIONS AS PER SECTION 9.14.7 AND 9.14.8(1), 9.14.8(2) OF THE CSE LISTING RULES

Aggregate values of the transactions carried out by the Bank with the Related Parties did not exceed the following thresholds given in 9.14.8(1), 9.14.8(2) of the CSE Listing Rules.

- Non-recurrent related party transactions - 10% of the equity or 5% of the total assets as at 31st December 2024, whichever is lower.
- Recurrent related party transactions - 10% of the gross revenue/income for the year ended 31st December 2024.

The Related Party Transactions that took place during the year 2024 do not trigger the requirements under Section 9.14.7 of the CSE Listing Rules.

Investor Relations

DEBENTURE INFORMATION

(A) Market Values

Debentures - 2019/2024	Highest (Rs)		Lowest (Rs)		Last Traded (Rs)	
	2024	2023	2024	2023	2024	2023
Fixed: 13.90%	n/t	100.00	n/t	100.00	n/t	100.00

Debentures - 2019/2024 were redeemed on 28th February 2024.

Debentures - 2021/2028	Highest (Rs)		Lowest (Rs)		Last Traded (Rs)	
	2024	2023	2024	2023	2024	2023
Fixed: 9.00%	n/t	100.00	n/t	100.00	n/t	100.00

Debentures - 2023/2028	Highest (Rs)		Lowest (Rs)		Last Traded (Rs)	
	2024	2023	2024	2023	2024	2023
Fixed: 28.00%	141.00	148.00	110.00	99.15	135.00	129.09
Floating	n/t	n/t	n/t	n/t	n/t	n/t

n/t - not traded

(B) Interest Rates

Debentures - 2019/2024	2024		2023	
	Coupon Rate	Effective Rate	Coupon Rate	Effective Rate
Fixed: 13.90%	13.90%	13.90%	13.90%	13.90%

Debentures - 2019/2024 were redeemed on 28th February 2024.

Debentures - 2021/2028	2024		2023	
	Coupon Rate	Effective Rate	Coupon Rate	Effective Rate
Fixed: 9.00%	9.00%	9.00%	9.00%	9.00%

Debentures - 2023/2028	2024		2023	
	Coupon Rate	Effective Rate	Coupon Rate	Effective Rate
Fixed: 28.00%	28.00%	28.00%	28.00%	28.00%
Floating	Note 1		Note 1	

Note 1

Debentures - 2023/2028

Floating rate is equivalent to the one year gross treasury bill rate plus 1.5%, subject to a floor of 20.0% and a cap of 31.0% p.a. payable annually.

(C) Interest Rates of Comparable Government Securities

As at 31st December	2024	2023
3 Month Treasury Bill	8.62%	14.51%
6 Month Treasury Bill	8.77%	14.16%
5 Year Treasury Bond	10.64%	13.75%
7 Year Treasury Bond	11.05%	13.45%

(D) Current Yield and Yield to Maturity

Debentures - 2019/2024	Fixed: 13.90%	
	2024	2023
Current yield	n/t	13.90%
Yield to maturity of last trade	n/t	13.53%

Debentures - 2019/2024 were redeemed on 28th February 2024.

Debentures - 2021/2028	Fixed: 9.00%	
	2024	2023
Current yield	n/t	9.00%
Yield to maturity of last trade	n/t	8.97%

Debentures - 2023/2028	Fixed: 28.00%		Floating	
	2024	2023	2024	2023
Current yield	20.74%	21.69%	n/t	n/t
Yield to maturity of last trade	14.29%	17.50%	n/t	n/t

n/t - not traded

(E) Ratios - Bank

	2024	2023
Debt to equity ratio (%)	9.6	15.6
Interest cover (Times)	18.1	9.7
Quick asset ratio (%)	70.1	72.0
Debt service coverage (Times)	21.9	4.0

UTILISATION OF FUNDS RAISED VIA CAPITAL MARKETS**Funds Raised in Previous Years**

The funds raised via capital markets in the previous years were fully utilised for the objectives stated in the relevant prospectuses.

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Direct Economic Value Generated and Distributed - Bank

Information on the creation and distribution of economic value provides a basic indication of how the Bank has created wealth for its stakeholders.

For the year ended 31st December	2024	2023
	Rs Mn	Rs Mn
Direct Economic Value Generated		
Interest income	183,055	203,447
Exchange loss	(4,220)	(1,887)
Commission income	22,289	22,910
(Loss)/gain from investments	(7,015)	943
Other income	1,207	473
	195,316	225,886
Economic Value Distributed		
To Depositors and Lenders		
Interest expense	99,552	126,735
	99,552	126,735
Operating Costs		
Depreciation and amortisation	3,088	2,644
Fee and commission expense	4,780	4,023
Other operating expense	17,725	15,181
	25,593	21,848
To Employees		
Salaries	11,444	9,571
Other benefits	6,613	4,679
	18,057	14,250
Payments to Government		
Income tax expense	12,275	11,811
Taxes on financial services	13,167	8,607
Crop insurance levy	273	172
	25,715	20,590
To Community		
Corporate social responsibility projects	60	91
Corporate leadership programme for school leavers and undergraduates	129	117
Donations	1	1
	190	209
Payments to Providers of Capital		
Interest to debt securities holders	3,495	4,423
Dividend to shareholders	10,965	6,860
	14,460	11,283
Economic value distributed	183,567	194,915
Economic value retained (after payment of dividend to shareholders)	11,749	30,971
	195,316	225,886

Annexures to Corporate Governance Report

Disclosures Relating to Section 7 of the Listing Rules of the Colombo Stock Exchange (CSE)

Listing Rule Reference	Disclosure Requirement	Relevant Section/Reference of the Annual Report	Page Reference
7.6 (i)	Board of Directors during the financial year with profiles	Corporate Governance Report Board of Directors	148 - 183 186 - 189
7.6 (ii)	Principal activities of the Bank and its Subsidiaries during the year and any changes therein	Annual Report of the Board of Directors on the Affairs of the Company	255 - 263
7.6 (iii)	Top 20 shareholders – number of shares and % of voting shares	Investor Relations	431 - 441
7.6 (iv)(a)	Public holding details for Shares • float adjusted market capitalisation • public holding percentage (%) • number of public shareholders • option	Investor Relations	431 - 441
7.6 (iv)(b)	Public holding details for Foreign Currency Denominated Shares • public holding percentage (%) • number of public shareholders	Not applicable as the Bank does not have Foreign Currency Denominated Shares	
7.6 (v)	Each Director's and MD's shareholding at the beginning and end of the financial year	Annual Report of the Board of Directors on the Affairs of the Company	255 - 263
7.6 (vi)	Information pertaining to material foreseeable risk factors of the Bank	Risk Management Report	224 - 251
7.6 (vii)	Details of material issues pertaining to employees and industrial relations of the Bank	There are no material issues pertaining to employees and industrial relations of the Bank	
7.6 (viii)	Extents, locations, valuations and the number of buildings of the Bank's land holdings and investment properties	Note 29 to the Financial Statements	334 - 340
7.6 (ix)	Number of shares representing the Bank's Stated Capital	Note 41.1 to the Financial Statements	356
7.6 (x)	Distribution schedule of the number of holders and % of their total shareholding as at the end of the year	Investor Relations	431 - 441
7.6 (xi)	Ratios and market price information: Equity • Dividend per share • Dividend pay out • Net asset value per share • Market value per share – highest, lowest values recorded during the financial year and the market value as at the end of the financial year Debt • Interest rate of comparable government security • Debt/equity ratio • Interest cover • Quick asset ratio • Debt service coverage ratio (where applicable) • The market prices (high, low and last traded) and yield during the year • Any changes in credit rating (for the Bank or any other instrument issued by the Bank), if applicable	Investor Relations Annual Report of the Board of Directors on the Affairs of the Company	431 - 441 255 - 263

Annexures to Corporate Governance Report

Listing Rule Reference	Disclosure Requirement	Relevant Section/Reference of the Annual Report	Page Reference
7.6 (xii)	Significant changes of Bank's and Subsidiaries' fixed assets including substantial difference between market value and book value of lands	Note 29 to the Financial Statements	334 - 340
7.6 (xiii)	Details of funds raised via IPO and a further issue of securities during the year	Not applicable as the Bank did not raise funds through a share/debenture issue	
7.6 (xiv)(a)	Details of Employee Share Option Schemes (ESOS)	Not applicable as the Bank does not have Employee Share Option Schemes at present Further details disclosed in Investor Relations on pages 431 to 441 contains the details of the previous Employee Share Option Schemes of the Bank	
7.6(xiv)(b)	Details of Employee Share Purchase Schemes (ESPS)	Not applicable as the Bank does not have Employee Share Purchase Schemes at present	
7.6 (xv)	Disclosures pertaining to Corporate Governance practices in terms of Section 9 of the Rules	Corporate Governance Report	148 - 183
7.6 (xvi)	Details of Investments in Related Parties and due from Related Parties • Date of the transaction • Name of the Related Party • Relationship between the Entity and the Related Party • Amount of the transaction and terms of the transaction • Rationale for entering the transaction	None of the transactions carried out by the Bank with Related parties have exceeded the aggregate monetary value of 10% of the Shareholders' Equity of the Bank or 5% of the Total Assets of the Bank as of 31st December 2024 Investor Relations	431 - 441
7.6 (xvii)	Disclosures on Foreign Currency Denominated Securities listed on the CSE	Not applicable as the Bank does not have Foreign Currency denominated securities	
7.6 (xviii)	Disclosures on the Sustainable Bonds listed on the CSE	Not applicable as the Bank has not issued any sustainable bonds	
7.6 (xxi)	Disclosures on the Shariah Compliant Debt Securities listed on the CSE	Not applicable as the Bank does not have Foreign Currency denominated securities	
7.6 (xxii)	Disclosures on the High Yield Corporate Debt Securities listed on the CSE	Not applicable as the Bank has not issued any sustainable bonds Not applicable as the Bank has not issued any High Yield Corporate Debt Securities	

Basel III Disclosure Requirements

TABLE 1: KEY REGULATORY RATIOS - CAPITAL AND LIQUIDITY

As at 31st December	BANK		GROUP	
	2024	2023	2024	2023
	Rs 000	Rs 000	Rs 000	Rs 000
Regulatory Capital (Rs 000)				
Common Equity Tier I Capital	131,766,084	118,530,902	142,561,898	128,072,822
Total Tier I Capital	131,766,084	118,530,902	142,561,898	128,072,822
Total Capital	152,522,320	141,853,666	163,818,916	151,849,708
Regulatory Capital Ratios (%)				
Common Equity Tier I Capital Ratio (minimum requirement - 7.00%)	16.75	16.35	17.10	16.67
Total Tier I Capital Ratio (minimum requirement - 8.50%)	16.75	16.35	17.10	16.67
Total Capital Ratio (minimum requirement - 12.50%)	19.38	19.56	19.65	19.77
Leverage Ratio (minimum requirement - 3%)	7.24	6.39	7.58	6.73
Regulatory Liquidity				
Statutory Liquid Assets - Bank (Rs 000)*	n/a	635,737,884	n/a	n/a
Statutory Liquid Assets Ratio - Bank (minimum requirement - 20%)*	n/a	47.76	n/a	n/a
Total Stock of High-Quality Liquid Assets (Rs 000)	755,845,414	566,567,931	n/a	n/a
Liquidity Coverage Ratio (%) – Rupee (minimum requirement: 100%)	340.11	453.16	n/a	n/a
Liquidity Coverage Ratio (%) – All currency (minimum requirement: 100%)	307.36	312.47	n/a	n/a
Net Stable Funding Ratio (%) (minimum requirement: 100%)	198.66	184.20	n/a	n/a

n/a - not applicable

* Effective 15th June 2024, CBSL has discontinued the requirement to maintain the Statutory Liquid Assets Ratio.

[About Us](#)
[Hear from Our Leaders](#)
[Purposeful Strategy](#)
[Management Discussion and Analysis](#)
[Governance and Risk Management](#)
[Financial Information](#)
[Supplementary Information](#)

Basel III Disclosure Requirements

TABLE 2: CAPITAL RATIOS

As at 31st December	BANK		GROUP	
	2024	2023	2024	2023
	Rs 000	Rs 000	Rs 000	Rs 000
Common Equity Tier I (CET I) Capital after adjustments	131,766,084	118,530,902	142,561,898	128,072,822
Common Equity Tier I (CET I) Capital	145,328,039	138,432,283	153,174,197	144,891,761
Stated capital	48,741,119	48,741,119	48,741,119	48,741,119
Statutory reserve fund	7,985,000	6,615,000	8,358,000	6,929,000
Published retained earnings/(Accumulated retained losses)	2,692,327	10,566,248	10,165,485	16,711,726
Published accumulated other comprehensive income (OCI)	5,898,670	5,498,223	5,898,670	5,498,223
General and other disclosed reserves	80,010,923	67,011,693	80,010,923	67,011,693
Unpublished current year's profit/loss and gains reflected in OCI	-	-	-	-
Ordinary shares issued by consolidated banking and financial subsidiaries of the Bank and held by third parties	-	-	-	-
Total adjustments to CET I Capital	13,561,955	19,901,381	10,612,299	16,818,939
Goodwill (net)	-	-	-	-
Intangible assets (net)	888,711	745,395	899,752	766,532
Deferred tax assets (net)	10,934,412	17,292,023	9,712,547	16,052,407
Defined benefit pension fund assets	-	-	-	-
Others (Investments in the capital of banking & financial institutions)	1,738,832	1,863,963	-	-
Additional Tier I (AT I) Capital after adjustments	-	-	-	-
Additional Tier I (AT I) Capital	-	-	-	-
Tier II Capital after adjustments	20,756,236	23,322,764	21,257,018	23,776,886
Tier II Capital	20,756,236	23,322,764	21,257,018	23,776,886
Qualifying Tier II capital instruments	10,700,000	14,250,000	10,700,000	14,250,000
Revaluation gains	1,243,805	901,539	1,243,805	901,539
Stage 1 & 50% of stage 2 impairment provision subject to 1.25% of credit RWA	8,812,431	8,171,225	9,313,213	8,625,347
Instruments issued by consolidated banking and financial subsidiaries of the Bank and held by third parties	-	-	-	-
Total adjustments to Tier II	-	-	-	-
CET I Capital	131,766,084	118,530,902	142,561,898	128,072,822
Total Tier I Capital	131,766,084	118,530,902	142,561,898	128,072,822
Total Capital	152,522,320	141,853,666	163,818,916	151,849,708
Total Risk Weighted Assets (RWA)	786,841,091	725,130,348	833,824,684	768,221,870
RWAs for Credit Risk (refer table No. 3)	704,994,453	653,697,972	745,057,021	690,027,790
RWAs for Operational Risk (refer table No. 5)	77,382,536	69,559,848	84,303,561	76,139,080
RWAs for Market Risk (refer table No. 6)	4,464,102	1,872,528	4,464,102	2,055,000
CET I Capital Ratio (%)	16.75	16.35	17.10	16.67
of which: Capital Conservation Buffer (%)	2.50	2.50	2.50	2.50
of which: Countercyclical Buffer (%)	-	-	-	-
of which: HLA requirement on D-SIBs (%)	-	-	-	-
Total Tier I Capital Ratio (%)	16.75	16.35	17.10	16.67
Total Capital Ratio (%)	19.38	19.56	19.65	19.77
of which: Capital Conservation Buffer (%)	2.50	2.50	2.50	2.50
of which: Countercyclical Buffer (%)	-	-	-	-
of which: HLA requirement on D-SIBs (%)	-	-	-	-

TABLE 3 (A) BANK: CREDIT RISK AS AT 31ST DECEMBER 2024 UNDER STANDARDISED APPROACH – CREDIT RISK EXPOSURES AND CREDIT RISK MITIGATION (CRM) EFFECTS

Asset Class	Exposures before Credit Conversion Factor (CCF) and CRM		Exposures post CCF and CRM		RWA and RWA density	
	On-Balance sheet amount Rs 000	Off-Balance sheet amount Rs 000	On-Balance sheet amount Rs 000	Off-Balance sheet amount Rs 000	RWA Rs 000	RWA density %
Claims on central government and CBSL	740,591,144	-	740,591,144	-	2,823,910	0.4
Claims on foreign sovereigns and their Central Banks	43,708,843	-	43,708,843	-	-	-
Claims on public sector entities	11,312,442	-	610,984	-	610,984	100.0
Claims on banks	50,023,739	-	50,023,739	-	17,653,305	35.3
Claims on financial institutions	37,289,461	-	37,289,461	-	21,213,051	56.9
Claims on corporates	452,986,239	515,576,361	415,032,671	49,236,013	411,706,712	88.7
Retail claims	278,216,807	11,884,954	243,769,458	8,649,819	134,456,884	53.3
Claims secured by residential property	55,641,204	-	55,641,204	-	26,601,284	47.8
Non-performing assets	52,805,145	-	52,805,145	-	55,642,487	105.4
Higher-risk categories	1,335,049	-	1,335,049	-	3,337,623	250.0
Cash items and other assets	60,858,366	-	60,858,366	-	30,948,213	50.9
	1,784,768,439	527,461,315	1,701,666,064	57,885,832	704,994,453	40.1

TABLE 3 (B) GROUP: CREDIT RISK AS AT 31ST DECEMBER 2024 UNDER STANDARDISED APPROACH – CREDIT RISK EXPOSURES AND CREDIT RISK MITIGATION (CRM) EFFECTS

Asset Class	Exposures before Credit Conversion Factor (CCF) and CRM		Exposures post CCF and CRM		RWA and RWA density	
	On-Balance sheet amount Rs 000	Off-Balance sheet amount Rs 000	On-Balance sheet amount Rs 000	Off-Balance sheet amount Rs 000	RWA Rs 000	RWA density %
Claims on central government and CBSL	750,522,244	-	750,522,244	-	2,823,910	0.4
Claims on foreign sovereigns and their Central Banks	43,708,843	-	43,708,843	-	-	-
Claims on public sector entities	11,312,442	-	610,984	-	610,984	100.0
Claims on banks	50,051,278	-	50,051,278	-	17,658,813	35.3
Claims on financial institutions	33,616,693	-	33,616,693	-	19,376,667	57.6
Claims on corporates	450,668,653	513,013,258	412,715,085	48,724,192	408,877,305	88.6
Retail claims	323,608,874	11,884,954	288,880,291	8,649,819	168,367,800	56.6
Claims secured by residential property	55,641,204	-	55,641,204	-	26,601,284	47.8
Non-performing assets	54,966,303	-	54,966,303	-	58,829,231	107.0
Higher-risk categories	-	-	-	-	-	-
Cash items and other assets	72,065,564	-	72,065,564	-	41,911,027	58.2
	1,846,162,098	524,898,212	1,762,778,489	57,374,011	745,057,021	40.9

Basel III Disclosure Requirements

TABLE 4 (A) BANK: CREDIT RISK AS AT 31ST DECEMBER 2024 (POST CCF & CRM) UNDER STANDARDISED APPROACH: EXPOSURES BY ASSET CLASSES AND RISK WEIGHTS

Asset Class	0%	20%	35%	50%	60%	75%	100%	150%	250%	Total credit exposure amount Rs 000
Claims on central government and CBSL	726,471,594	14,119,550	-	-	-	-	-	-	-	740,591,144
Claims on foreign sovereigns and their Central Banks	43,708,843	-	-	-	-	-	-	-	-	43,708,843
Claims on public sector entities	-	-	-	-	-	-	610,984	-	-	610,984
Claims on banks	-	27,903,311	-	20,171,743	-	-	1,872,513	76,172	-	50,023,739
Claims on financial institutions	-	-	-	32,152,821	-	-	5,136,640	-	-	37,289,461
Claims on corporates	-	51,817,267	-	22,257,197	-	-	390,153,340	40,880	-	464,268,684
Retail claims	51,971,985	36,411,818	-	-	31,088,621	97,702,020	35,244,833	-	-	252,419,277
Claims secured by residential property	-	-	44,676,800	-	-	-	10,964,404	-	-	55,641,204
Non-performing assets	-	-	-	1,848,861	-	-	43,432,742	7,523,542	-	52,805,145
Higher-risk categories	-	-	-	-	-	-	-	-	1,335,049	1,335,049
Cash items and other assets	29,910,153	-	-	-	-	-	30,948,213	-	-	60,858,366
	852,062,575	130,251,946	44,676,800	76,430,622	31,088,621	97,702,020	518,363,669	7,640,594	1,335,049	1,759,551,896

TABLE 4 (B) GROUP: CREDIT RISK AS AT 31ST DECEMBER 2024 (POST CCF & CRM) UNDER STANDARDISED APPROACH: EXPOSURES BY ASSET CLASSES AND RISK WEIGHTS

Asset Class	0%	20%	35%	50%	60%	75%	100%	150%	250%	Total credit exposure amount Rs 000
Claims on central government and CBSL	736,402,694	14,119,550	-	-	-	-	-	-	-	750,522,244
Claims on foreign sovereigns and their Central Banks	43,708,843	-	-	-	-	-	-	-	-	43,708,843
Claims on public sector entities	-	-	-	-	-	-	610,984	-	-	610,984
Claims on banks	-	27,930,850	-	20,171,743	-	-	1,872,513	76,172	-	50,051,278
Claims on financial institutions	-	-	-	28,480,053	-	-	5,136,640	-	-	33,616,693
Claims on corporates	-	51,817,267	-	22,257,197	-	-	387,323,933	40,880	-	461,439,277
Retail claims	62,491,983	37,278,279	-	-	31,088,621	97,649,021	69,022,206	-	-	297,530,110
Claims secured by residential property	-	-	44,676,800	-	-	-	10,964,404	-	-	55,641,204
Non-performing assets	-	-	-	1,848,861	-	-	43,542,726	9,574,716	-	54,966,303
Higher-risk categories	-	-	-	-	-	-	-	-	-	-
Cash items and other assets	30,154,537	-	-	-	-	-	41,911,027	-	-	72,065,564
	872,758,057	131,145,946	44,676,800	72,757,854	31,088,621	97,649,021	560,384,433	9,691,768	-	1,820,152,500

TABLE 5: OPERATIONAL RISK FOR THE PERIOD ENDED 31ST DECEMBER 2024 UNDER THE ALTERNATIVE STANDARDISED APPROACH

Business lines	BANK				GROUP			
	Capital charge factor	Fixed factor	Gross income/Average loans & advances		Capital charge factor	Fixed factor	Gross income/Average loans & advances	
			1st Year	2nd Year			1st Year	2nd Year
			Rs 000	Rs 000			Rs 000	Rs 000
The Alternative Standardised Approach								
Corporate finance	18%		12,034,323	7,724,681	18%		12,034,323	7,724,681
Trading and sales	18%		12,506,896	27,705,645	18%		16,302,856	32,185,842
Payment and settlement	18%		42,125	38,934	18%		42,125	38,934
Agency services	15%		-	-	15%		-	-
Asset management	12%		-	-	12%		-	-
Retail brokerage	12%		-	-	12%		-	-
Retail banking	12%	3.50%	445,917,988	438,340,412	12%	3.50%	445,917,988	438,340,412
Commercial banking	15%	3.50%	476,455,095	445,392,331	15%	3.50%	470,457,833	439,307,403
Capital Charge (Rs 000)			9,672,817				10,537,945	
Risk Weighted Amount (Rs 000)			77,382,536				84,303,561	

TABLE 6: MARKET RISK AS AT 31ST DECEMBER 2024 UNDER STANDARDISED MEASUREMENT METHOD

Item	BANK	GROUP
	Rs 000	Rs 000
(a) Capital Charge for Interest Rate Risk	68,691	68,691
General interest rate risk	68,691	68,691
Specific interest rate risk	-	-
(b) Capital Charge for Equity	-	-
General equity risk	-	-
Specific equity risk	-	-
(c) Capital Charge for Foreign Exchange & Gold	489,322	489,322
(d) Capital Charge (a) + (b) + (c)	558,013	558,013
Risk Weighted Amount (d) * 100/12.5	4,464,102	4,464,102

Basel III Disclosure Requirements

SUMMARY DISCUSSION ON ADEQUACY/MEETING CURRENT AND FUTURE CAPITAL REQUIREMENTS

Overview

Having understood that proper "Capital Management" is vital in ensuring the long-term stability of the business, Sampath Bank has consistently maintained Capital Adequacy Ratios over and above the regulatory minimum requirements. This ensured the Bank's stability and resilient amidst the challenging macro-economic environment that prevailed since 2022. As of 31st December 2024, the Bank stands strongly positioned with significant capital buffers, poised to capitalise on opportunities as the economy returns to normalcy.

Capital Allocation

Effective risk management framework would ensure the stability of the Bank, by protecting it against market, credit, liquidity, operational and reputational risk. The main protection provider is the Bank's capital. Determining the optimum capital structure would be one of the most important risk management goals of the Bank. This process involves evaluating the amount of risk each business unit contributes to the total risk of the Bank and the consequent capital requirements. Further, it involves determining the capital charge to each business unit whose activities contributes to Bank's overall risk, thereby inducing

the business units to generate returns compensating the risk undertaken by them.

Capital Management Process

The Management regularly assesses the Bank's capital requirements, drawing insights from evolving macroeconomic conditions. The Bank develops a strategic plan and budget covering a three-year period, which is updated annually. This plan includes forecasts for key capital ratios as specified under the Basel III Accord. During the budgeting process, capital ratios are calculated, linked to the anticipated growth in assets and business volumes.

To ensure prudent capital management, the Bank has established tolerance limits for capital ratios and incorporates appropriate measures in its budget to maintain ratios above these limits. Proactive steps are also taken well in advance to raise Tier I and Tier II capital, as outlined in the budget. A robust monitoring mechanism enables the Bank to regularly track performance against the budget, facilitating timely corrective actions in the event of significant deviations.

The Bank has a dynamic ICAAP process that considers qualitative factors, such as reputational and strategic risks, to identify potential shortfalls early.

Before determining dividend payments, the Bank conducts an extensive analysis of the impact on capital, ensuring

adequate resources are retained within the organisation to support future growth opportunities.

Through stress testing and scenario analysis, the Bank anticipates and prepares for potential events or circumstances not covered in the budgeting process, that may threaten its capital, ensuring readiness for unforeseen challenges. The Board of Directors oversees the Bank's capital management and reviews the results of stress testing and scenario analysis on a frequent basis.

Moving Forward

Recognising the significance of optimal capital utilisation, the Bank remains committed to optimising its risk-weighted assets and pursuing other capital optimisation strategies.

In a move to bolster its Tier II capital and take advantage of the prevailing low market interest rates, the Bank has announced the issuance of Basel III compliant, Tier II, listed, rated, unsecured, subordinated, redeemable, five-year debentures amounting to Rs 5 Bn, with the option to increase the amount up to Rs 10 Bn, in the event of an oversubscription. The proposed debenture has been approved by the shareholders and the Central Bank of Sri Lanka.

TABLE 7: LIQUIDITY COVERAGE RATIO - ALL CURRENCY

As at 31st December	2024		2023	
	Total Un-weighted Value Rs 000	Total Weighted Value Rs 000	Total Un-weighted Value Rs 000	Total Weighted Value Rs 000
Total Stock of High-Quality Liquid Assets (HQLA)	757,963,346	755,845,414	568,950,802	566,567,931
Level 1 assets	743,843,796	743,843,796	553,064,998	553,064,998
Level 2A assets	14,119,550	12,001,618	15,885,804	13,502,933
Level 2B assets	-	-	-	-
Total Cash Outflows	1,833,902,367	372,147,502	1,535,880,916	307,410,868
Deposits	1,469,221,867	268,961,235	1,264,470,197	232,698,240
Unsecured wholesale funding	9,912,063	9,912,063	781,638	781,638
Secured funding transactions	26,610,320	-	30,739,631	-
Undrawn portion of committed (irrevocable) facilities and other contingent funding obligations	247,333,393	12,449,480	172,850,066	6,891,606
Additional requirements	80,824,724	80,824,724	67,039,384	67,039,384
Total Cash Inflows	154,302,841	126,230,667	187,648,418	126,093,386
Maturing secured lending transactions backed by collateral	26,910,052	24,935,833	24,648,195	24,426,286
Committed facilities	-	-	-	-
Other inflows by counterparty which are maturing within 30 days	39,417,085	26,029,760	50,499,292	36,972,794
Operational deposits	12,710,630	-	47,806,625	-
Other cash inflows	75,265,074	75,265,074	64,694,306	64,694,306
Total Net Cash Outflows	1,679,599,526	245,916,835	1,348,232,498	181,317,482
Liquidity Coverage Ratio (%) (Stock of High- Quality Liquid Assets/Total Net Cash Outflows) * 100		307.36		312.47

TABLE 8: LEVERAGE RATIO

As at 31st December	BANK		GROUP	
	2024 Rs 000	2023 Rs 000	2024 Rs 000	2023 Rs 000
Total Tier I Capital	131,766,084	118,530,902	142,561,898	128,072,822
Total Exposure	1,818,842,083	1,856,205,625	1,880,355,677	1,904,299,158
On-balance sheet exposure (excluding derivatives and securities financing transactions and asset amount adjusted in Basel III Tier I capital)	1,762,871,894	1,521,459,463	1,819,279,950	1,569,819,072
Derivative exposure	1,421,244	260,853,292	1,421,244	260,853,292
Securities financing transaction exposure	3,746,911	34,096,244	9,342,754	33,780,166
Other off-balance sheet exposure	50,802,034	39,796,626	50,311,729	39,846,628
Basel III Leverage Ratio (%) (Total Tier I Capital / Total Exposure)*100	7.24	6.39	7.58	6.73

TABLE 9: NET STABLE FUNDING RATIO

As at 31st December	BANK	
	2024 Rs 000	2023 Rs 000
Total Available Stable Funding	1,330,718,383	1,164,832,226
Total Required Stable Funding	669,845,047	632,384,323
Required stable funding – on balance sheet assets	662,156,329	627,959,711
Required stable funding – off balance sheet items	7,688,718	4,424,612
Net Stable Funding Ratio (%) (Total Available Stable Funding / Total Required Stable Funding)*100	198.66	184.20

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Basel III Disclosure Requirements

TABLE 10: MAIN FEATURES OF REGULATORY CAPITAL INSTRUMENTS AS AT 31ST DECEMBER 2024

Description of the capital instrument	Capital instruments issued by the Bank	
	2021-2028 Basel III compliant Tier II Listed Rated Unsecured Subordinated Redeemable Debentures	2023-2028 Basel III compliant Tier II Listed Rated Unsecured Subordinated Redeemable Debentures
Issuer	Sampath Bank PLC	Sampath Bank PLC
Unique identifier	D0510-LK0090D24743	D0541 - LK0090D25070 D0542 - LK0090D25062
Governing law(s) of the instrument	Companies Act No. 07 of 2007/CSE Listing Rules/Banking Act No. 30 of 1988 and subsequent amendments/Securities Exchange Commission Act	
Original date of issuance	12th April 2021	09th February 2023
Par value of instrument (per debenture)	Rs 100/-	Rs 100/-
Perpetual or dated	Dated	Dated
Original maturity date, if applicable	12th April 2028	09th February 2028
Amount recognised in regulatory capital (Rs 000)	4,200,000	6,500,000
Accounting classification (Equity/Liability)	Liability	Liability
Issuer call subject to prior supervisory approval		
Optional call date, contingent call dates and redemption amount (Rs 000)	n/a	n/a
Subsequent call dates, if applicable	n/a	n/a
Coupon/Dividend		
Fixed or floating dividend/coupon	D0510-Fixed Rate	D0541 - Fixed Rate D0542 - Floating Rate
Coupon rate and any related index	D0510-9.00% p.a.	D0541 - 28.00% p.a. D0542 - 1 Year T.Bill rate + 1.5% p.a., Subject to a floor of 20% and a cap of 31%
Non-cumulative or cumulative	Cumulative	Cumulative
Convertible or Non-convertible	Convertible	Convertible
If convertible, conversion trigger (s)	*	*
If convertible, fully or partially	*	*
If convertible, mandatory or optional	*	*
If convertible, conversion rate	**	**

* In the event of an occurrence of a trigger event as determined at the sole discretion of the Central Bank of Sri Lanka, there would be a conversion of debentures to ordinary voting shares by the company without any requirement of approval by the debenture holders, in compliance with Basel III requirements. Upon the occurrence of a trigger event, the outstanding balance of the debentures including the total par value of the debentures and debenture interest accrued and unpaid as at that date will be permanently converted to ordinary voting shares at the conversion price.

** The conversion rate will be based on the simple average of the daily Volume Weighted Average Price (VWAP) of an ordinary voting share as published by the Colombo Stock Exchange during the three months (03) period, immediately preceding the date of the trigger event.

n/a - not applicable

TABLE 11 BANK: DIFFERENCES BETWEEN ACCOUNTING AND REGULATORY SCOPES AND MAPPING OF FINANCIAL STATEMENT CATEGORIES WITH REGULATORY RISK CATEGORIES AS AT 31ST DECEMBER 2024

Item	Carrying values as reported in published financial statements Rs 000	Carrying values under scope of regulatory reporting Rs 000	Subject to credit risk framework Rs 000	Subject to market risk framework Rs 000	Not subject to capital requirements or subject to deduction from capital Rs 000
Assets					
Cash & cash equivalents	46,229,318	46,229,318	46,251,539	-	-
Balances with Central Bank of Sri Lanka	16,373,983	16,373,983	16,373,983	-	-
Placements with banks	26,452,245	26,452,245	26,478,308	-	-
Reverse repurchase agreements	1,000,220	1,000,220	1,000,220	-	-
Derivative financial instruments	507,054	507,054	507,054	-	-
Financial assets recognised through profit or loss - measured at fair value	4,614,332	4,614,332	-	4,614,332	-
Financial assets at amortised cost					
- loans & advances	860,151,610	860,151,610	885,093,499	-	-
- debt & other instruments	401,280,763	401,280,763	401,294,193	-	-
Financial assets - fair value through other comprehensive income	367,782,512	367,782,512	367,782,512	-	-
Investment in subsidiaries	4,190,721	4,190,721	2,451,889	-	1,738,832
Property, plant & equipment	10,854,850	10,854,850	10,854,850	-	-
Intangible assets	888,711	888,711	-	-	888,711
Right-of-use assets	7,860,280	7,860,280	7,860,280	-	-
Deferred tax assets	10,934,412	10,934,412	-	-	10,934,412
Other assets	18,820,112	18,820,112	18,820,112	-	-
Total Assets	1,777,941,123	1,777,941,123	1,784,768,439	4,614,332	13,561,955
Liabilities					
Due to banks	23,259,811	23,259,811	-	-	-
Derivative financial instruments	3,200,590	3,200,590	-	-	-
Securities sold under repurchase agreements	40,312,784	40,312,784	-	-	-
Financial liabilities at amortised cost					
- due to depositors	1,455,864,416	1,455,864,416	-	-	-
- due to other borrowers	8,061,364	8,061,364	-	-	-
- due to debt securities holders	18,891,500	18,891,500	-	-	-
Retirement benefit obligation	5,799,502	5,799,502	-	-	-
Dividend payable	298,695	298,695	-	-	-
Current tax liabilities	14,522,729	14,522,729	-	-	-
Other liabilities	41,191,516	41,191,516	-	-	-
Total Liabilities	1,611,402,907	1,611,402,907	-	-	-
Total Gross Off-balance Sheet Liabilities					
Guarantees	39,474,900	39,474,900	39,474,900	-	-
Documentary credit	25,720,187	25,720,187	25,720,187	-	-
Acceptance	16,765,414	16,765,414	16,765,414	-	-
Other contingent items	173,340,113	173,340,113	173,340,113	-	-
Commitment for unutilised facilities	270,107,752	270,107,752	270,107,752	-	-
Other commitments	2,052,949	2,052,949	2,052,949	-	-
Total Gross Off-balance Sheet Liabilities	527,461,315	527,461,315	527,461,315	-	-
Shareholders' Equity					
Stated capital	48,741,119	48,741,119	-	-	-
of which amount eligible for CET I	48,741,119	48,741,119	-	-	-
of which amount eligible for AT I	-	-	-	-	-
Retained earnings	13,657,079	13,657,079	-	-	-
Accumulated other comprehensive income	10,888,641	10,888,641	-	-	-
Special reserve	1,660,470	1,660,470	-	-	-
Other reserves	91,590,907	91,590,907	-	-	-
Total Shareholders' Equity	166,538,216	166,538,216	-	-	-

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Basel III Disclosure Requirements

**TABLE 12 GROUP: ASSESSMENT OF DOMESTIC SYSTEMICALLY IMPORTANT BANKS (D-SIBS)
AS AT 31ST DECEMBER 2024**

	Rs 000
Size Indicator	
Section 1 - Total exposure	
Total exposure measure	1,880,355,677
Interconnectedness Indicators	
Section 2 - Intra-financial system assets	
a. Funds deposited with or lent to other financial institutions	83,896,472
(i) Funds deposited	46,442,678
(ii) Lending	37,453,794
b. Holdings of securities issued by other financial institutions	8,009,761
c. Net positive current exposure of securities financing transactions (SFTs) with other financial institutions	2,612,082
d. Over the counter (OTC) derivatives with other financial institutions that have a net positive mark to market value	957,529
Intra-financial system assets	95,475,844
Section 3 - Intra-financial system liabilities	
a. Funds deposited by or borrowed from other financial institutions	44,612,163
(i) Funds deposited	21,742,856
(ii) Borrowings	22,869,307
b. Net negative current exposure of securities financing transactions with other financial institutions	590,093
c. Over the counter derivatives with other financial institutions that have a net negative mark to market value	670,355
Intra-financial system liabilities	45,872,611
Section 4 - Securities outstanding	
Securities outstanding	24,741,652
Substitutability/Financial Institution Infrastructure Indicators	
Section 5 - Payments made in the reporting year (excluding intra-group payments)	
Payments activity	9,284,068,812
Section 6 - Assets under custody	
Assets under custody	9,282,826
Section 7 - Underwritten transactions in debt and equity markets	
Underwriting activity	-
Section 8 - Trading volume	
a. Number of shares or securities	7,779
b. Value of the transactions	1,351,820,870
Complexity Indicators	
Section 9 - Notional amount of over the counter (OTC) derivatives	
OTC derivatives	173,340,113
Section 10 - Level 2 assets	
Level 2 assets	14,119,550
Section 11 - Financial assets recognised through profit or loss - measured at fair value & financial assets - fair value through other comprehensive income	
a. Debt instruments	369,868,871
b. Equity instruments	2,528,029
c. Derivatives	507,054
Section 12 - Cross jurisdictional liabilities	
Cross jurisdictional liabilities (excluding derivatives and intra-group liabilities)	23,931,340
Section 13 - Cross jurisdictional claims	
Cross jurisdictional claims (excluding derivatives and intra-group claims)	119,178,369

GRI Content Index

Statement of use	Sampath Bank PLC has reported in accordance with the GRI Standards for the period of 1st January 2024 to 31st December 2024
GRI 1 used	GRI 1: Foundation 2021

GRI STANDARD/ OTHER SOURCE	DISCLOSURE		LOCATION	OMISSION		
				REQUIREMENT(S) OMITTED	REASON	EXPLANATION
General Disclosures						
GRI 2: General Disclosures 2021	2-1	Organisational details	10-12, 477	-	-	-
	2-2	Entities included in the organisation's sustainability reporting	4,142-146	-	-	-
	2-3	Reporting period, frequency and contact point	4,7	-	-	-
	2-4	Restatements of information	4	-	-	-
	2-5	External assurance	6	-	-	-
	2-6	Activities, value chain and other business relationships	10-12,13,14-15,16-17,25-28,37-38,42-43,62,69-71,72-74,75-78,80-93,130-141, 46-48 (Financial inclusion agenda), 94-109 (Social and relationship capital), 69-71 (Manufactured capital)	-	-	-
	2-7	Employees	83	-	-	-
	2-8	Workers who are not employees	83-84	-	-	-
	2-9	Governance structure and composition	34,39,152,167,176,184-185,186-189	-	-	-
	2-10	Nomination and selection of the highest governance body	174,196-198	-	-	-
	2-11	Chair of the highest governance body	22-24,186-189	-	-	-
	2-12	Role of the highest governance body in overseeing the management of impacts	34,153,154,156,159,163,174,176	-	-	-
	2-13	Delegation of responsibility for managing impacts	34,39-41,154,165,176,184-185	-	-	-
	2-14	Role of the highest governance body in sustainability reporting	166,210-211	-	-	-
	2-15	Conflicts of interest	159-160,163,164,177,180,183,207-208	-	-	-
	2-16	Communication of critical concerns	35-36,171,183, Refer GRI Note 01	-	-	-
	2-17	Collective knowledge of the highest governance body	39-41,161	-	-	-
	2-18	Evaluation of the performance of the highest governance body	164,172,175,186-189	-	-	-
	2-19	Remuneration policies	41,172,182,202-203	-	-	-
	2-20	Process to determine remuneration	172,202-203	-	-	-
	2-21	Annual total compensation ratio	*	-	-	-
	2-22	Statement on sustainable development strategy	22-24,25-28	-	-	-
	2-23	Policy commitments	154,156	-	-	-
	2-24	Embedding policy commitments	184-185,196-198,199-201,202-203,204-206,207-208,209,210-211,212-213,214-215,216,217-218,219-221,222,223,224-251	-	-	-

* Information cannot be disclosed due to confidentiality reasons.

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

GRI Content Index

GRI STANDARD/ OTHER SOURCE	DISCLOSURE		LOCATION	OMISSION		
				REQUIREMENT(S) OMITTED	REASON	EXPLANATION
General Disclosures						
	2-25	Processes to remediate negative impacts	7,36,49,98	-	-	-
	2-26	Mechanisms for seeking advice and raising concerns	46-48 (Anti-corruption practices), 80-93 (Human capital) 110,154	-	-	-
	2-27	Compliance with laws and regulations	180,223	-	-	-
	2-28	Membership associations	56	-	-	-
	2-29	Approach to stakeholder engagement	49-55	-	-	-
	2-30	Collective bargaining agreements	93	-	-	-
Material Topics						
GRI 3: Material Topics 2021	3-1	Process to determine material topics	6,46-47	-	-	-
	3-2	List of material topics	47-48, Refer GRI Note 02	-	-	-
Economic Performance						
GRI 3: Material Topics 2021	3-3	Management of material topics	46-48 (Profitability and financial stability), 62-68 (Financial capital)	-	-	-
GRI 201: Economic Performance 2016	201-1	Direct economic value generated and distributed	10-12,442	-	-	-
	201-2	Financial implications and other risks and opportunities due to climate change	Refer GRI Note 03	-	-	-
	201-3	Defined benefit plan obligations and other retirement plans	285,305-306		-	-
	201-4	Financial assistance received from government	Refer GRI Note 04	-	-	-
Market Presence						
GRI 3: Material Topics 2021	3-3	Management of material topics	46-48 (Physical channels), 69-71 (Manufactured capital)	-	-	-
GRI 202: Market Presence 2016	202-1	Ratios of standard entry level wage by gender compared to local minimum wage	Refer GRI Note 05	-	-	-
	202-2	Proportion of senior management hired from the local community	Refer GRI Note 06	-	-	-
Indirect Economic Impacts						
GRI 3: Material Topics 2021	3-3	Management of material topics	46-48 (Profitability and financial stability), 94-109 (Social and relationship capital)	-	-	-
GRI 203: Indirect Economic Impacts 2016	203-1	Infrastructure investments and services supported	94-108	-	-	-
	203-2	Significant indirect economic impacts	94-108	-	-	-

GRI STANDARD/ OTHER SOURCE	DISCLOSURE		LOCATION	OMISSION		
				REQUIREMENT(S) OMITTED	REASON	EXPLANATION
Anti-corruption						
GRI 3: Material Topics 2021	3-3	Management of material topics	46-48 (Anti-corruption practices), 80-93 (Human capital)	-	-	-
GRI 205: Anti-corruption 2016	205-1	Operations assessed for risks related to corruption	46-48 (Customer health and safety), 223 (Compliance report), 224-251 (Risk management report), Refer GRI Note 07	-	-	-
	205-2	Communication and training about anti-corruption policies and procedures	Refer GRI Note 08	-	-	-
	205-3	Confirmed incidents of corruption and actions taken	Refer GRI Note 09	-	-	-
Tax				-	-	-
GRI 3: Material Topics 2021	3-3	Management of material topics	46-48 (Profitability and financial stability), 62-68 (Financial capital)	-	-	-
GRI 207: Tax 2019	207-1	Approach to tax		-	-	-
	207-2	Tax governance, control and risk management		-	-	-
	207-3	Stakeholder engagement and management of concerns related to tax		-	-	-
	207-4	Country-by-country reporting	274-421	-	-	-
Energy						
GRI 3: Material Topics 2021	3-3	Management of material topics	46-48 (Climate change), 110-128 (Natural capital)	-	-	-
GRI 302: Energy 2016	302-1	Energy consumption within the organisation	115,116, Refer GRI Note 10	-	-	-
	302-2	Energy consumption outside of the organisation	116	-	-	-
	302-3	Energy intensity	37,115	-	-	-
	302-4	Reduction of energy consumption	115,116	-	-	-
	302-5	Reductions in energy requirements of products and services	Refer GRI Note 11	-	-	-
Emissions						
GRI 3: Material Topics 2021	3-3	Management of material topics	46-48 (Climate change), 110-128 (Natural capital)	-	-	-
GRI 305: Emissions 2016	305-1	Direct (Scope 1) GHG emissions	41,117	-	-	-
	305-2	Energy indirect (Scope 2) GHG emissions	41,117	-	-	-
	305-3	Other indirect (Scope 3) GHG emissions	41,117	-	-	-
	305-4	GHG emissions intensity	41,117	-	-	-
	305-5	Reduction of GHG emissions	117	-	-	-
	305-6	Emissions of ozone-depleting substances (ODS)	Refer GRI Note 12	-	-	-
	305-7	Nitrogen oxides (NOx), sulfur oxides (SOx), and other significant air emissions	Refer GRI Note 13	-	-	-
Supplier Environmental Assessment						
GRI 3: Material Topics 2021	3-3	Management of material topics	108-109 (Social and Relationship Capital)	-	-	-
GRI 308: Supplier Environmental Assessment 2016	308-1	New Suppliers that were screened using environmental criteria	-	-	Not Applicable	-
	308-2	Negative environmental impacts in the supply chain and actions	108,118	-	-	-

GRI Content Index

GRI STANDARD/ OTHER SOURCE	DISCLOSURE		LOCATION	OMISSION		
				REQUIREMENT(S) OMITTED	REASON	EXPLANATION
Employment						
GRI 3: Material Topics 2021	3-3	Management of material topics	46-48 (Talent acquisition and management), 80-93 (Human capital)	-	-	-
GRI 401: Employment 2016	401-1	New employee hires and employee turnover	84,85	-	-	-
	401-2	Benefits provided to full-time employees that are not provided to temporary or part-time employees	37,86	-	-	-
	401-3	Parental leave	92	-	-	-
Labour/Management Relations						
GRI 3: Material Topics 2021	3-3	Management of material topics	46-48 (Employee relations), 80-93 (Human capital)	-	-	-
GRI 402: Labour/ Management Relations 2016	402-1	Minimum notice periods regarding operational changes	Refer GRI Note 14	-	-	-
Occupational Health and Safety						
GRI 3: Material Topics 2021	3-3	Management of material topics	46-48 (Employee health and safety), 80-93 (Human capital), Refer GRI Note 15	-	-	-
GRI 403: Occupational Health and Safety 2018	403-1	Occupational health and safety management system		-	-	-
	403-2	Hazard identification, risk assessment and incident investigation		-	-	-
	403-3	Occupational health services		-	-	-
	403-4	Worker participation, consultation and communication on occupational health and safety		-	-	-
	403-5	Worker training on occupational health and safety		-	-	-
	403-6	Promotion of worker health		-	-	-
	403-7	Prevention and mitigation of occupational health and safety impacts directly linked by business relationships		-	-	-
	403-8	Workers covered by an occupational health and safety management system		-	-	-
	403-9	Work-related injuries	90	-	-	-
	403-10	Work-related ill health		-	-	-
Training and Education						
GRI 3: Material Topics 2021	3-3	Management of material topics	46-48 (Learning and development), 80-93 (Human capital)	-	-	-
GRI 404: Training and Education 2016	404-1	Average hours of training per year per employee	41,87	-	-	-
	404-2	Programs for upgrading employee skills and transition assistance programmes	37,87-88	-	-	-
	404-3	Percentage of employees receiving regular performance and career development reviews	87	-	-	-

GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION	OMISSION			
			REQUIREMENT(S) OMITTED	REASON	EXPLANATION	
Diversity and Equal Opportunity						
GRI 3: Material Topics 2021	3-3	Management of material topics	46-48 (Talent acquisition and management), 80-93 (Human capital)	-	-	-
GRI 405: Diversity and Equal Opportunity 2016	405-1	Diversity of governance bodies and employees	38,90-91	-	-	-
	405-2	Ratio of basic salary and remuneration of women to men	38,91	-	-	-
Local Communities						
GRI 3: Material Topics 2021	3-3	Management of material topics	46-48 (Community development), 94-109 (Social and relationship capital)	-	-	-
GRI 413: Local Communities 2016	413-1	Operations with local community engagement, impact assessments and development programmes	37-38,98-108,121-128	-	-	-
	413-2	Operations with significant actual and potential negative impacts on local communities	Refer GRI Note 16	-	-	-
Customer Health and Safety						
GRI 3: Material Topics 2021	3-3	Management of material topics	46-48 (Customer health and safety), 212-213 (Board credit committee report), 224-251 (Risk management report), 223 (Compliance report)	-	-	-
GRI 416: Customer Health and Safety 2016	416-1	Assessment of the health and safety impacts of product and service categories	Refer GRI Note 17	-	-	-
	416-2	Incidents of non-compliance concerning the health and safety impacts of products and services	Refer GRI Note 18	-	-	-
Marketing and Labelling						
GRI 3: Material Topics 2021	3-3	Management of material topics	46-48 (Sales promotions, marketing communication and information available on Bank's products and services), 97, Refer GRI Note 19	-	-	-
GRI 417: Marketing and Labelling 2016	417-1	Requirements for product and service information and labelling	Refer GRI Note 19	-	-	-
	417-2	Incidents of non-compliance concerning product and service information and labelling	Refer GRI Note 20	-	-	-
	417-3	Incidents of non-compliance concerning marketing communications	Refer GRI Note 21	-	-	-
Customer Privacy						
GRI 3: Material Topics 2021	3-3	Management of material topics	46-48 (Information security, Customer privacy, Complaint management), 75-79 (Intellectual capital), 94-97 (Social and relationship capital)	-	-	-
GRI 418: Customer Privacy 2016	418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data	97, Refer GRI Note 22	-	-	-

GRI Content Index

GRI Notes

Note Number	Remarks
1	During the year 2024, eight (08) concerns were reported through Whistleblowing. The reported cases were addressed in accordance with the Whistleblowing Policy and Audit Investigations were initiated. Findings and recommendations were reported to the Board Audit Committee and to the Board of Directors as appropriate. Reports were sent to the Disciplinary Committee to take appropriate actions. The recommendations relating to process improvement and rectification of internal control gaps/ deviations were shared with the management.
2	Out of the 27 Material Topics for 2024, 22 remained unchanged from the previous year. A management discussion on the revision of the material topics and relevant sustainability standards led to the inclusion of five new material topics in 2024.
3	Being in the business of Banking, climate change does not have a significant impact on our business. Accordingly, during the reporting period, no records were maintained to catalogue the effect of climate change on the business.
4	As we are a private sector organisation, there is no direct or indirect financial assistance (grants) received from the government.
5	Entry level wage refers to remuneration paid to new entrants joining the Bank as a Trainee Staff Assistant/Junior Executive I. The Bank does not distinguish based on gender and both males and females in these positions are entitled to a same entry level wage. There is no entry level wage rate imposed on the banking sector. However, Sampath Bank's entry level wage is higher than the national minimum wage rate.
6	At Sampath Bank, Senior Management refers to a designated authority in charge of a key business unit/function. All senior managers of the Bank are locally hired.
7	No fines were imposed by the regulators on the Bank pertaining to incidents of corruption in 2024.
8	74% of employees and 24% of Senior Management have received training on anti-corruption.
9	No fines were imposed by the regulators on the Bank pertaining to incidents of corruption in 2024.
10	Energy consumption only includes electricity consumption at the Head Office premises during the year under review.
11	Energy reduction cannot be accurately calculated or measured in relation to a specific product or service of the Bank. However, the Bank's solar migration project has seen rooftop solar installations at twenty three branches which has resulted in an overall reduction in the volume of grid electricity consumed by the respective branches in providing banking services to customers.
12	Emissions of Ozone Depleting Substances (ODS) are insignificant, considering the nature of our business.
13	Not applicable, due to the nature of the operations of the Bank.
14	No collective agreement is in force, operational changes are informed in advance depending on the requirement.
15	Given the nature of our business, our employees are not exposed to occupational health risks.
16	No incidents were reported during the reporting period.
17	As a service organisation, health and safety impacts of our products and service categories cannot be assessed.
18	No incidents were reported during the reporting period.
19	Products and services information are published on the Bank's corporate website (www.sampath.lk). Advertising and other marketing communication materials are developed in all three languages (Sinhala/Tamil/English).
20	ZERO incidents were reported during the reporting period.
21	ZERO incidents were reported during the reporting period.
22	A total of 56 complaints were received in 2024. Of these 35 were successfully resolved during the course of the year, while the other 21 remain under audit investigation and HR proceedings as of 31st December 2024.

Compliance with SASB Disclosure Requirements

	SASB Standard	Topic	Metric	Category	Unit Measure	Code	Page Reference
1	Commercial Banks and Consumer Finance	Data Security	Approach to identifying and addressing data security risks	Discussion and analysis	n/a	FN-CB-230a.2 FN-CF-230a.3	31,72,227,246-248,264
2	Commercial Banks	Financial Inclusion and Capacity Building	(1) Number and (2) amount of loans outstanding that qualify for programmes designed to promote small business and community development	Quantitative	Number, presentation currency	FN-CB-240a.1	38,73,131,134-135
3	Commercial Banks	Financial Inclusion and Capacity Building	Number of participants in financial literacy initiatives for unbanked, underbanked, or underserved customers	Quantitative	Number	FN-CB-240a.4	102-104,108
4	Commercial Banks	Incorporation of Environmental, Social, and Governance Factors in Credit Analysis	Description of approach to incorporation of Environmental, Social and Governance (ESG) factors in credit analysis	Discussion and analysis	n/a	FN-CB-410a.2	27,35,40-41,114, 139,167,224,251
5	Commercial Banks	Business Ethics	Description of whistleblower policies and procedures	Discussion and analysis	n/a	FN-CB-510a.2	93,148,163,171, 201,250,460, GRI Note 01
6	Commercial Banks	Systemic Risk Management	Description of approach to integrate results of mandatory and voluntary stress tests into capital adequacy planning, long-term corporate strategy and other business activities	Discussion and analysis	n/a	FN-CB-550a.2	40,205,225, 228-229,231, 232,235,445-454
7	Commercial Banks	Activity metrics	(1) Number and (2) value of checking and savings accounts by segment: (a) personal and (b) small business	Quantitative	Number, presentation currency	FN-CB-000.A	136
8	Commercial Banks	Activity metrics	(1) Number and (2) value of loans by segment: (a) personal, (b) small business and (c) corporate	Quantitative	Number, presentation currency	FN-CB-000.B	131,134,137,139, 321-324
9	Consumer Finance	Customer privacy	Total amount of monetary losses as a result of legal proceedings associated with customer privacy	Quantitative	Presentation currency	FN-CF-220a.2	244-246,362
10	Consumer Finance	Selling practices	Total amount of monetary losses as a result of legal proceedings associated with selling and servicing of products	Quantitative	Presentation currency	FN-CF-270a.5	244-246,362
11	Mortgage Finance	Discriminatory lending	Total amount of monetary losses as a result of legal proceedings associated with discriminatory mortgage lending	Quantitative	Presentation currency	FN-MF-270b.2	244-246,362

About Us

Hear from Our Leaders

Purposeful Strategy

Management Discussion and Analysis

Governance and Risk Management

Financial Information

Supplementary Information

Independent Practitioner's Assurance Report to the Board of Directors of Sampath Bank PLC on the Integrated Annual Report 2024



Ernst & Young
Chartered Accountants
Rotunda Towers
No. 109, Galle Road
P.O. Box 101
Colombo 03, Sri Lanka

Tel : +94 11 246 3500
Fax : +94 11 768 7869
Email: eysl@lk.ey.com
ey.com

Scope

We have been engaged by Sampath Bank PLC to perform a 'limited assurance engagement,' as defined by Sri Lanka Standard on Assurance Engagements, here after referred to as the engagement, to report on Sampath Bank PLC's Information on how its strategy, governance, performance and prospects, in the context of its external environment, lead to the creation, preservation or erosion of value over the short, medium and long term (the "Subject Matter") contained in Sampath Bank PLC's (the "Entity's") Integrated Annual Report for the year ended 31 December 2024 (the "Report").

Other than as described in the preceding paragraph, which sets out the scope of our engagement, we did not perform assurance procedures on the remaining information included in the Report, and accordingly, we do not express a conclusion on this information.

Criteria applied by Sampath Bank PLC

In preparing the Subject Matter, Sampath Bank PLC applied the Integrated Reporting Framework (<IR> Framework) issued by the International Integrated Reporting Council (IIRC) ("Criteria"):

Such Criteria were specifically designed for the purpose of assisting in determining whether the capital management, stakeholder engagement, business model, strategy, organizational overview & external environment outlook presented in the Integrated Annual Report is presented in accordance with the relevant criteria; As a result, the subject matter information may not be suitable for another purpose.

Sampath Bank PLC's responsibilities

Sampath Bank PLC management is responsible for selecting the Criteria, and for presenting the Subject Matter in accordance with that Criteria, in all material respects. This responsibility includes establishing and maintaining internal controls, maintaining adequate records

and making estimates that are relevant to the preparation of the subject matter, such that it is free from material misstatement, whether due to fraud or error.

Ernst & Young's responsibilities

Our responsibility is to express a conclusion on the presentation of the Subject Matter based on the evidence we have obtained.

We conducted our engagement in accordance with the Sri Lanka Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial Information (SLSAE 3000 (Revised), and the terms of reference for this engagement as agreed with the Sampath Bank PLC on 10 November 2024. Those standards require that we plan and perform our engagement to express a conclusion on whether we are aware of any material modifications that need to be made to the Subject Matter in order for it to be in accordance with the Criteria, and to issue a report. The nature, timing, and extent of the procedures selected depend on our judgment, including an assessment of the risk of material misstatement, whether due to fraud or error.

We believe that the evidence obtained is sufficient and appropriate to provide a basis for our limited assurance conclusions.

Our independence and quality management

We have maintained our independence and confirm that we have met the requirements of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and have the required competencies and experience to conduct this assurance engagement.

EY also applies International Standard on Quality Management 1, Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services engagements, which requires that we

design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Description of procedures performed

Procedures performed in a limited assurance engagement vary in nature and timing from and are less in extent than for a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed. Our procedures were designed to obtain a limited level of assurance on which to base our conclusion and do not provide all the evidence that would be required to provide a reasonable level of assurance.

Although we considered the effectiveness of management's internal controls when determining the nature and extent of our procedures, our assurance engagement was not designed to provide assurance on internal controls. Our procedures did not include testing controls or performing procedures relating to checking aggregation or calculation of data within IT systems.

A limited assurance engagement consists of making enquiries, primarily of persons responsible for preparing the subject matter and related information and applying analytical and other appropriate procedures.

Our procedures included:

- Performed a comparison of the content of the Integrated Annual Report against the Guiding Principles and Content Elements given in the Integrated Reporting Framework (<IR> Framework).
- Checked whether the information contained in the Integrated Annual Report – Financial Capital element information has been properly derived from the audited financial statements.



- Conducted interviews with the selected key management personnel and relevant staff and obtained an understanding of the internal controls, governance structure and reporting process relevant to the Integrated Report.
- Obtained an understanding of the relevant internal policies and procedures developed, including those relevant to determining what matters most to the stakeholders, how the organization creates value, the external environment, strategy, approaches to putting members first, governance and reporting.
- Obtained an understanding of the description of the organization's strategy and how the organization creates value, what matters most to the stakeholders and enquiring the management as to whether the description in the Integrated Report accurately reflects their understanding.
- Checked the Board of Directors meeting minutes during the financial year to ensure consistency with the content of the Integrated Report.
- Tested the relevant supporting evidence related to qualitative & quantitative disclosures within the Integrated Report against identified material aspects.
- Read the Integrated Report in its entirety for consistency with our overall knowledge obtained during the assurance engagement.

We also performed such other procedures as we considered necessary in the circumstances.

Emphasis of matter

Economic, Environment, Social and Intellectual capital management data/information are subject to inherent limitations given their nature and the methods used for determining, calculating and estimating such data. Such inherent limitations are common in Sri Lanka.

We also do not provide any assurance on the assumptions and achievability of prospective information presented in the Entity's Annual Report.

Conclusion

Based on our procedures and the evidence obtained, we are not aware of any material modifications that should be made to the information contained in the Integrated Annual Report of Sampath Bank PLC for the year ended 31 December 2024, in order for it to be in accordance with the Criteria.

19 February 2025
Colombo

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman FCA FCMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA, B Vasanthan ACA ACMA, W D P L Perera ACA

Principals: T P M Ruberu FCMA FCCA MBA (USJ-SL), G B Goudian ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), D L B Karunathilaka ACMA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shakhthivel B.Com (Sp)

A member firm of Ernst & Young Global Limited

Independent Practitioner's Assurance Report to the Board of Directors of Sampath Bank PLC on the Sustainability Reporting Criteria Presented in the Integrated Annual Report 2024



Ernst & Young
Chartered Accountants
Rotunda Towers
No. 109, Galle Road
P.O. Box 101
Colombo 03, Sri Lanka

Tel : +94 11 246 3500
Fax : +94 11 768 7869
Email: eysl@lk.ey.com
ey.com

Scope

We have been engaged by Sampath Bank PLC to perform a 'limited assurance engagement,' as defined by Sri Lanka Standard on Assurance Engagements, here after referred to as the engagement, to report on Sampath Bank PLC's Economic, Environment, Social and Governance (EESG) indicators (the "Subject Matter") contained in Sampath Bank PLC's (the "Entity's") Integrated Annual Report for the year ended 31 December 2024 (the "Report").

Other than as described in the preceding paragraph, which sets out the scope of our engagement, we did not perform assurance procedures on the remaining information included in the Report, and accordingly, we do not express a conclusion on this information.

Criteria applied by Sampath Bank PLC

In preparing the Subject Matter, Sampath Bank PLC applied the following criteria ("Criteria"):

- The Global Reporting Initiative's (GRI) Sustainability Reporting Guidelines, publicly available at <https://www.globalreporting.org>

Such Criteria were specifically designed for the purpose of assisting you in determining whether Entity's Economic, Environment, Social and Governance (EESG) indicators contained in the Entity's Report is presented in accordance with the relevant criteria; As a result, the subject matter information may not be suitable for another purpose.

Sampath Bank PLC's responsibilities

Sampath Bank PLC management is responsible for selecting the Criteria, and for presenting the Subject Matter in accordance with that Criteria, in all material respects. This responsibility includes establishing and maintaining internal controls, maintaining adequate records and making estimates that are relevant to the preparation of the subject matter, such that it is free from material misstatement, whether due to fraud or error.

Ernst & Young's responsibilities

Our responsibility is to express a conclusion on the presentation of the Subject Matter based on the evidence we have obtained.

We conducted our engagement in accordance with the Sri Lanka Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial Information (SLSAE 3000 (Revised)), and the terms of reference for this engagement as agreed with the Sampath Bank PLC on 10 November 2024. Those standards require that we plan and perform our engagement to express a conclusion on whether we are aware of any material modifications that need to be made to the Subject Matter in order for it to be in accordance with the Criteria, and to issue a report. The nature, timing, and extent of the procedures selected depend on our judgment, including an assessment of the risk of material misstatement, whether due to fraud or error.

We believe that the evidence obtained is sufficient and appropriate to provide a basis for our limited assurance conclusions.

Our independence and quality management

We have maintained our independence and confirm that we have met the requirements of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and have the required competencies and experience to conduct this assurance engagement.

EY also applies International Standard on Quality Management 1, Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services engagements, which requires that we design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Description of procedures performed

Procedures performed in a limited assurance engagement vary in nature and timing from and are less in extent than for a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed. Our procedures were designed to obtain a limited level of assurance on which to base our conclusion and do not provide all the evidence that would be required to provide a reasonable level of assurance.



Although we considered the effectiveness of management's internal controls when determining the nature and extent of our procedures, our assurance engagement was not designed to provide assurance on internal controls. Our procedures did not include testing controls or performing procedures relating to checking aggregation or calculation of data within IT systems.

A limited assurance engagement consists of making enquiries, primarily of persons responsible for preparing the subject matter and related information and applying analytical and other appropriate procedures.

Our procedures included:

- Validated the information presented and checked the calculations performed by the organization through recalculation.
- Performed a comparison of the content given in the Report against the criteria given in the selected sustainability standards/frameworks.
- Conducted interviews with relevant organization's personnel to understand the process for collection, analysis, aggregation and presentation of data. Interviews included selected key management personnel and relevant staff.
- Read the content presented in the Report for consistency with our overall knowledge obtained during the course of our assurance engagement and requested changes wherever required.
- Provided guidance, recommendations and feedback on the improvement of the sustainability reporting indicators to improve the presentation standard.

We also performed such other procedures as we considered necessary in the circumstances.

Emphasis of matter

Economic, Environment, Social management data/information are subject to inherent limitations given their nature and the methods used for determining, calculating and estimating such data. Such inherent limitations are common in Sri Lanka.

We also do not provide any assurance on the assumptions and achievability of prospective information presented in the Entity's Report.

Conclusion

Based on our procedures and the evidence obtained, we are not aware of any material modifications that should be made to the information on the Economic, Environment, Social and Governance (EESG) contained in the Integrated Annual Report of Sampath Bank PLC for the year ended 31 December 2024, in order for it to be in accordance with the Criteria.

19 February 2025
Colombo

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman FCA FCMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajeewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA, B Vasanthan ACA ACMA, W D P L Perera ACA

Principals: T P M Ruberu FCMA FCCA MBA (USJ-SL), G B Goudian ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), D L B Karunathilaka ACMA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shakhiveli B.Com (Sp)

A member firm of Ernst & Young Global Limited

Glossary of Financial and Banking Terms

A

ACCEPTANCES

The signature on a Bill of Exchange indicates that the person on whom it is drawn accepts the conditions of the Bill. In other words a Bill of Exchange that has been accepted.

ACCOUNTING POLICIES

The specific principles, bases, conventions, rules and practices adopted by an entity in preparing and presenting Financial Statements.

ACCRUAL BASIS

Recognition of the effects of transactions and other events when they occur without waiting for receipt or payment of cash or its equivalents.

ACTUARIAL ASSUMPTIONS

An entity's unbiased and mutually compatible best estimates of the demographic and financial variable that will determine the ultimate cost of providing post-employment benefits.

ADDITIONAL TIER I (AT I) CAPITAL

It is a supplementary form of Tier I capital.

AT I includes capital instruments other than the instruments included in CET I capital.

AMORTISATION

The systematic allocation of the depreciable amount of an intangible asset over its useful life.

AMORTISED COST

The amortised cost of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured at initial recognition minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount, and minus any reduction (directly or through the use of an allowance account) for impairment or uncollectability.

ASSET AND LIABILITY MANAGEMENT COMMITTEE (ALCO)

An Asset and Liability Management (ALM) Committee is a group within a financial institution responsible for overseeing the management of assets and liabilities to ensure a balance between risk and profitability. Its primary role is to monitor and control the risks associated with mismatches between the maturity, interest rates, and currency composition of assets and liabilities. The committee aims to optimise the institution's financial performance while safeguarding against potential risks, such as interest rate risk and liquidity risk.

ASSOCIATE COMPANY

An associate is an entity, including an unincorporated entity such as a partnership, over which the investor has significant influence and that is neither a subsidiary nor an interest in a joint venture.

AVERAGE WEIGHTED DEPOSIT RATE (AWDR)

AWDR is calculated by the Central Bank monthly based on the weighted average of all outstanding interest bearing deposits of commercial banks and the corresponding interest rates.

AVERAGE WEIGHTED PRIME LENDING RATE (AWPLR)

AWPLR is calculated by the Central Bank weekly based on commercial banks' lending rates offered to their prime customers during the week.

B

BASEL III

The Basel Committee on Banking Supervision (BCBS) issued the Basel III rules, which presents the details of strengthened global regulatory standards on bank capital adequacy and liquidity.

BILLS SENT FOR COLLECTION

A bill of exchange drawn by an exporter usually at a term, on an importer overseas and brought by the exporter to his bank with a request to collect the proceeds.

BRANCH BENCH STRENGTH (BBS)

The competence and number of employees ready to fill vacant leadership and other positions.

C

CAPITAL ADEQUACY RATIO

The percentage of risk-weighted assets supported by capital as defined under the framework of risk-based capital standards developed by the Bank for International Settlement (BIS) and as modified to suit local requirements by the Central Bank of Sri Lanka.

CAPITAL CONSERVATION BUFFER (CCB)

It is designed to ensure that banks build up capital buffers outside periods of stress which can be drawn down as losses are incurred.

CASH EQUIVALENTS

Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

CASH FLOWS

Cash flows are inflows and outflows of cash and cash equivalents.

COLLECTIVELY ASSESSED LOAN IMPAIRMENT PROVISIONS

Also known as portfolio impairment provisions. Impairment assessment on a collective basis for homogeneous groups of loans that are not considered individually significant and to cover losses that has been incurred but has not yet been identified at the reporting date. Typically assets within the consumer banking business (housing, personal, vehicle loans, credit cards etc) are assessed on a portfolio basis.

COMMERCIAL PAPER (CP)

An unsecured, short-term debt instrument issued by a corporation, typically for the financing of accounts receivable, inventories and meeting short-term liabilities. The debt is usually issued at a discount, reflecting prevailing market interest rates.

COMMITMENTS

Credit facilities approved but not yet utilised by the clients as at the reporting date.

COMMON EQUITY TIER I (CET I) CAPITAL

Consists of stated capital, other capital and revenue reserves. CET I is the element of capital which has the highest quality and the most effective in absorbing losses.

CONSOLIDATED FINANCIAL STATEMENTS

Consolidated financial statements are the financial statements of a group in which the assets, liabilities, equity, income, expenses and cash flows of the parent and its subsidiaries are presented as those of a single economic entity.

CONTINGENCIES

A condition or situation, the ultimate outcome of which (gain or loss) will be confirmed only on the occurrence or non-occurrence of one or more uncertain future events.

CONTRACT

An agreement between two or more parties that creates enforceable rights and obligations.

CONTROL

An investor controls an investee when the investor is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

CORPORATE GOVERNANCE

The process by which corporate entities are governed. It is concerned with the way in which power is exercised over the management and direction of entity, the supervision of executive actions and accountability to owners and others.

CORRESPONDENT BANK

A bank in a foreign country that offers banking facilities to the customers of a bank in another country.

COST METHOD

A method of accounting whereby the investment is recorded at cost. The Income Statement reflects income from the investment only to the extent that the investor receives distributions from accumulated net profits of the investee arising subsequent to the date of acquisition.

COST TO INCOME RATIO

Operating expenses excluding impairment charge for loans and other losses as a percentage of total operating income.

COUNTRY RISK

The risk that a foreign government will not fulfil its obligations or obstructs the remittance of

funds by debtors, either for financial reasons (transfer risk) or for other reasons (political risk).

CREDIT RATING

An evaluation of a corporate's ability to repay its obligations or likelihood of not defaulting, carried out by an independent rating agency.

CREDIT RISK

Credit risk is the risk of financial loss to the Bank if a customer or counter party to a financial instrument fails to meet its contractual obligations, and arises principally from the loans and advances to customers and other banks and investment in debt securities.

CREDIT RISK MITIGATION

A technique to reduce the credit risk associated with an exposure by application of credit risk mitigants such as collateral, guarantee and credit protection.

CURRENCY RISK

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

CURRENCY SWAPS

The simultaneous purchase of an amount of a currency for spot settlement and the sale of the same amount of the same currency for forward settlement.

CUSTOMER DEPOSITS

Money deposited by accountholders. Such funds are recorded as liabilities.

D

DEFERRED TAX

Sum set aside in the financial statements for taxation that may become payable/receivable in a financial year other than the current financial year. It arises because of temporary differences between tax rules and accounting conventions.

DELINQUENCY

A debt or other financial obligation is considered to be in a state of delinquency when payments are overdue. Loans and advances are considered to be delinquent when consecutive payments are missed. Also known as 'Arrears'.

DEPRECIATION

The systematic allocation of the depreciable amount of an asset over its useful life.

DERECOGNITION

Derecognition is the removal of a previously recognised financial asset or financial liability from an entity's statement of financial position.

DERIVATIVES

A derivative is a financial instrument or other contract, the value of which changes in response to some underlying variable (e.g. an interest rate), that has an initial net investment smaller than would be required for other instruments that have a similar response to the variable, and that will be settled at a future date.

DISCOUNT RATE

A rate used to place a current value on future cash flows. It is needed to reflect the fact that money has a time value.

DIVIDEND COVER

Profit after tax divided by gross dividend. This ratio measures the number of times dividend is covered by the current year's distributable profits.

DIVIDEND YIELD

Dividend earned per share as a percentage of its market value.

DOCUMENTARY LETTERS OF CREDIT (LCS)

Written undertakings by a bank on behalf of its customers, authorising a third party to draw on the Bank up to a stipulated amount under specific terms and conditions. Such undertakings are established for the purpose of facilitating international trade.

DOMESTIC SYSTEMICALLY IMPORTANT BANKS (D-SIBS)

D-SIBs are defined by CBSL annually, according to the Banking Act direction No. 10 of 2019.

E

EARNINGS PER SHARE (EPS)

The profit attributable to each ordinary share in the Bank, based on the profit for the period after tax and after deducting minority interest and preference share Dividend.

ECONOMIC VALUE ADDED (EVA)

A measure of productivity which takes into consideration cost of total invested equity.

EFFECTIVE INTEREST RATE (EIR)

Rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instruments or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

EFFECTIVE TAX RATE (ETR)

Provision for taxation excluding deferred tax divided by the profit before taxation.

EQUITY INSTRUMENT

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

EQUITY METHOD

The equity method is a method of accounting whereby the investment is initially recognised at cost and adjusted thereafter for the post-acquisition change in the investor's share of net assets of the investee. The profit or loss of the investor includes the investor's share of the profit or loss of the investee.

ESOP (EMPLOYEE SHARE OWNERSHIP PLAN)

A method of giving employees shares in the business for which they work.

EVENTS AFTER THE REPORTING PERIOD

Events after the reporting period are those events, favourable and unfavourable, that occur between the end of the reporting period and the date when the financial statements are authorised for issue.

EXPECTED CREDIT LOSSES (ECLS)

ECLs are probability-weighted estimate of the present value of cash shortfalls (i.e. the weighted average credit losses, with respective risks of defaults occurring in a given time period used as the weights). ECL measurements are unbiased (i.e. neutral, not conservative and not biased towards optimism or pessimism) and are determined by evaluating a range of possible outcomes.

EXPOSURE

A claim, contingent claim or position which carries a risk of financial loss.

EXPOSURE AT DEFAULT (EAD)

This is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal & interest and expected drawdowns of committed facilities.

F

FAIR VALUE

Fair Value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

FINANCE LEASE

A finance lease is a lease that transfers substantially all the risks and rewards incidental to ownership of an asset. Title may or may not eventually be transferred.

FINANCIAL GUARANTEE CONTRACT

A financial guarantee contract is a contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument.

FINANCIAL INSTRUMENT

Financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

FIRM COMMITMENT

A firm commitment is a binding agreement for the exchange of a specified quantity of resources at a specified price on a specified future date or dates.

FOREIGN EXCHANGE INCOME

The realised gain recorded when assets or liabilities denominated in foreign currencies are translated into Sri Lankan Rupees on the reporting date at prevailing rates which differ from those rates in force at inception or on the previous reporting date. Foreign exchange income also arises from trading in foreign currencies.

Glossary of Financial and Banking Terms

FORWARD EXCHANGE CONTRACT

Agreement between two parties to exchange one currency for another at a future date at a rate agreed upon today.

G

GLOBAL REPORTING INITIATIVE (GRI)

GRI is a leading organisation in the sustainability field. GRI promotes the use of sustainability reporting as a way for organisations to become more sustainable and contribute to sustainable development.

GOING CONCERN

The financial statements are normally prepared on the assumption that an entity is a going concern and will continue in operation for the foreseeable future. Hence, it is assumed that the entity has neither the intention nor the need to liquidate or curtail materially the scale of its operations.

GROSS DIVIDEND

The portion of profits distributed to the shareholders including the tax withheld.

GROUP

A group is a parent and its subsidiaries.

GUARANTEES

A promise made by a third party (guarantor), who is not a party to a contract between two others, that the guarantor will be liable if the guarantee fails to fulfil the contractual obligations.

H

HEDGING

A strategy under which transactions are effected with the aim of providing cover against the risk of unfavourable price movements (interest rate, foreign exchange rate, commodity prices, etc)

HIGH LOSS ABSORBENCY (HLA) REQUIREMENT

The additional capital buffer requirement for D-SIBs.

HIGH QUALITY LIQUID ASSETS (HQLA)

HQLA are assets that can be easily and immediately converted into cash at little or no loss of value, that can be readily sold or used as collateral to obtain funds in a range of stress scenarios and are unencumbered, i.e., without legal, regulatory or operational impediments.

I

IMPAIRED LOANS

Impaired loans are loans where the Group does not expect to collect all the contractual cash flows or expects to collect them later than they are contractually due.

IMPAIRMENT

This occurs when recoverable amount of an asset is less than its carrying amount.

IMPAIRMENT PROVISIONS

Impairment provisions are provisions held on the Statement of Financial Position as a result of the raising of a charge against profit for the incurred loss.

INDIVIDUALLY SIGNIFICANT LOAN IMPAIRMENT PROVISION (SPECIFIC IMPAIRMENT PROVISION)

Impairment is measured individually for assets that are individually significant to the Group.

INTANGIBLE ASSET

An intangible asset is an identifiable non-monetary asset without physical substance.

INTEREST COVER

A ratio showing the number of times interest charges is covered by earnings before interest and tax.

INTEREST RATE RISK

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates.

INTEREST RATE SWAP

An agreement between two parties where one stream of future interest payments is exchanged for another stream of future interest payments based on a specified principal amount.

INTEREST SPREAD

This represents the difference between the average interest rate earned and the average interest rate paid on funds.

INVESTMENT PROPERTIES

Investment property is property (land or a building or part of a building or both) held (by the owner or by the lessee under a finance lease) to earn rentals or for capital appreciation or both, rather than for use in the production or supply of goods or services or for administrative services; or sale in the ordinary course of business.

K

KEY MANAGEMENT PERSONNEL

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity.

L

LEVERAGE RATIO

The Leverage Ratio is a transparent, simple, non-risk-based ratio and is calculated by dividing Total Tier I capital from the Bank's total exposures of all assets and off balance sheet items.

LIFETIME EXPECTED CREDIT LOSSES

The expected credit losses that result from all possible default events over the expected life of a financial instrument.

LIQUIDITY COVERAGE RATIO (LCR)

Banks are required to maintain an adequate level of unencumbered High Quality Liquid

Assets (HQLA) that can be converted into cash to meet their liquidity needs for a 30 calendar day time horizon under a significantly severe liquidity stress scenario. LCR is computed by dividing the stock of HQLA by the total net cash outflows over the next 30 calendar days.

LIQUIDITY RISK

The risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities.

LOSS GIVEN DEFAULT (LGD)

LGD is the percentage of an exposure that a lender expects to lose in the event of obligor defaults. It is based on the difference between the contractual cash flows due and those that the lender would receive including any collateral.

M

MARKET CAPITALISATION

The value of a company obtained by multiplying the number of ordinary shares in issue by its market value as at a date.

MARKET RISK

Market risk is the risk that changes in market prices, such as interest rates, equity prices, foreign exchange rates and credit spreads (not relating to changes in the obligor's/ issuer's credit standing) will affect the Bank's income or the value of its holdings of financial instruments.

MATERIALITY

The relative significance of a transaction or an event, the omission or misstatement of which could influence the decisions of users of financial statements.

N

NET ASSET VALUE PER SHARE

Shareholders' funds divided by the number of ordinary shares in issue.

NET-INTEREST INCOME (NII)

The difference between what a bank earns on assets such as loans and securities and what it pays on liabilities such as deposits, refinance funds and inter-bank borrowings.

NET INTEREST MARGIN (NIM)

Net interest income expressed as a percentage of the average of total assets.

NET STABLE FUNDING RATIO (NSFR)

NSFR is defined as the amount of Available Stable Funding (ASF) relative to the amount of Required Stable Funding (RSF).

NOSTRO ACCOUNT

A bank account held in foreign country by a domestic bank, denominated in the currency of that country. Nostro accounts are used to facilitate the settlement of foreign exchange trade transactions.

NON-CONTROLLING INTEREST

Non-controlling interest is the equity in a subsidiary not attributable, directly or indirectly to a parent.

O**OPERATIONAL RISK**

Operational risk refers to the losses arising from fraud, negligence, oversight, human error, process errors, system failures, external events, etc.

P**PARENT**

A parent is an entity that controls one or more entities.

POWER

The Power is the existing rights that give the current ability to direct the relevant activities.

PRICE EARNINGS RATIO (P/E RATIO)

The current market price of the share is divided by the earnings per share of the Bank.

PROBABILITY OF DEFAULT (PD)

PD is an estimate of likelihood of default over a given time horizon.

PROJECTED UNIT CREDIT METHOD (PUC)

An actuarial valuation method that sees each period of service as giving rise to an additional unit of benefit entitlement and measures each unit separately to build up the final obligation. (sometimes known as the accrued benefit method pro-rated on service or as the benefit/years of service method).

PRUDENCE

Inclusion of a degree of caution in the exercise of judgment needed in making the estimates required under conditions of uncertainty, such that assets or income are not overstated and liabilities or expenses are not understated.

R**REPURCHASE AGREEMENT**

This is a contract to sell and subsequently repurchase government securities at a given price on a specified future date.

RETURN ON AVERAGE ASSETS (ROA)

Profit after tax expressed as a percentage of average total assets, used along with ROE, as a measure of profitability and as a basis of intra-industry performance comparison.

RETURN ON AVERAGE EQUITY (ROE)

Profit after tax less preferred share dividends if any, expressed as a percentage of average ordinary shareholders' equity.

REVENUE RESERVES

Reserves set aside for future distribution and investment.

REVERSE REPURCHASE AGREEMENT

Transaction involving the purchase of government securities by a bank or dealer and resale back to the seller at a given price on a specific future date.

RIGHTS ISSUE

Issue of shares to the existing shareholders at an agreed price, generally lower than market price.

RIGHT-OF-USE ASSET (ROU)

ROU asset is a lessee's right to use an asset over the life of a lease. The asset is calculated as the initial amount of the lease liability, plus any lease payments made to the lessor before the lease commencement date, plus any initial direct costs incurred, minus any lease incentives received.

RISK-WEIGHTED ASSETS

Used in the calculation of risk-based capital ratios. The face amount of assets is discounted using risk weighting factors in order to reflect a comparable risk per rupee among all types of assets. The risk inherent in commitment & contingencies is also recognised, first by adjusting notional values to Statement of Financial Position (or credit) equivalents and then by applying appropriate risk weighting factors.

S**SEGMENTAL ANALYSIS**

Analysis of financial information by segments of an enterprise specifically, the different industries and the different geographical areas in which it operates.

SHAREHOLDERS' FUNDS

Total of issued and fully paid share capital and capital and revenue reserves.

STATUTORY RESERVE FUND

A capital reserve created as per the provisions of the Banking Act No. 30 of 1988.

SUBSIDIARY

A Subsidiary is an entity that is controlled by another entity.

SUBSTANCE OVER FORM

The consideration that the accounting treatment and the presentation in financial statements of transactions and events should be governed by their substance and financial reality and not merely by legal form.

T**TOTAL CAPITAL (CAPITAL BASE)**

Capital base is summation of the core capital (Tier I) and the supplementary capital (Tier II).

TOTAL TIER I CAPITAL

Total Tier I Capital consists of Common Equity Tier I Capital (CET I) and Additional Tier I Capital (AT I).

TWELVE MONTH EXPECTED CREDIT LOSSES

The portion of lifetime expected credit losses that represent the expected credit losses that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

U**UNIT TRUST**

An undertaking formed to invest in securities under the terms of a trust deed.

USEFUL LIFE

Useful life is the period over which an asset is expected to be available for use by an entity or the number of production or similar units expected to be obtained from the asset by an entity.

V**VALUE ADDED**

Wealth created by providing banking and other services less the cost of providing such services. The value added is allocated among the employees, the providers of capital, to government by way of taxes and retained for expansion and growth.

VOSTRO ACCOUNT

A local currency account maintained by a local bank for a foreign (correspondent) bank. For the foreign bank, it is a Nostro account. The domestic bank acts as custodian or manages the account of a foreign counterpart.

Y**YIELD TO MATURITY**

Discount rate at which the present value of future payments would equal the security's current price.

Acronyms and Abbreviations

&	And
°C	Celsius
12mECL	12 Months Expected Credit Loss
24/7-365	At any time, all year round
2H	Second Half
ABC	Anti-Bribery and Corruption
AC	Air Conditioner
ACBE	Annual Conference on Business Economics
ADB	Asian Development Bank
AED	United Arab Emirates Dirham
AGM	Annual General Meeting/Assistant General Manager (as appropriate)
AI	Artificial Intelligence
ALCO	Asset and Liability Management Committee
ALM	Assets & Liabilities Management
AML	Anti-Money Laundering
AOT	Art of Transformation
AP	Authorised Persons
APEC	Asia-Pacific Economic Cooperation
APG	Asia-Pacific Group on Money Laundering
API	Application Programming Interface
ASA	Alternative Standardised Approach
ASPI	All Share Price Index
AT 1	Additional Tier 1
ATL	Above the Line
ATM	Automated Teller Machine
AUD	Australian Dollar
AWDR	Average Weighted Deposit Rate
AWFDR	Average Weighted Fixed Deposit Rate
AWLR	Average Weighted Lending Rate
AWPLR	Average Weighted Prime Lending Rate
B2B	Business to Business
BAC	Board Audit Committee
BBS	Branch Bench Strength
BCBS	Basel Committee on Banking Supervision
BCC	Board Credit Committee
BCMC	Board Cost Monitoring Committee
BCP	Business Continuity Plan/Planning (as appropriate)
BCPC	Board Capital Planning Committee
BHRRC	Board Human Resources and Remuneration Committee
BIA	Bandaranaike International Airport/Business Impact Analysis/Basic Indicator Approach (as appropriate)
BIRMC	Board Integrated Risk Management Committee
BIS	Bank for International Settlement
BITC	Board Information Technology Committee
BMC	Board Marketing Committee
BMI	Body Mass Index
BMICH	Bandaranaike Memorial International Conference Hall
BMS	Building Management System
Bn	Billion
BNGC	Board Nominations and Governance Committee
BNO	Bank Notes Operation
BOD	Board of Directors
BOI	Board of Investment of Sri Lanka
BOP	Balance of Payment
BPO	Business Promotion Officer/Business Process Outsourcing (as applicable)
bps	Basis Points
BRPTRC	Board Related Party Transactions Review Committee
BRU	Business Revival Unit
BSC	Board Sustainability Committee
BSL	Biodiversity Sri Lanka
BSPC	Board Strategic Planning Committee
BSRC	Board Shareholders Relations Committee
BSS	Baseline Security Standards
BTC	Board Treasury Committee
BTL	Below the Line
CA Sri Lanka/ICASL	Institute of Chartered Accountants of Sri Lanka
CAAT	Computer Aided Audit Techniques/Tools
CAD	Canadian Dollar/Credit Administration Department (as applicable)

CAGR	Compound Annual Growth Rate
CAPEX	Capital Expenditure
CAR	Capital Adequacy Ratio
CASA	Current Accounts and Savings Accounts
CBOU	Central Branch Operations Unit
CBSL	Central Bank of Sri Lanka
CCB	Capital Conservation Buffer
CCC	Customer Care Centre
CCD	Central Cash Department
CCDU	Central Credit Documentation Unit
CCER	Customer Complaint Event Reporting
CCO	Chief Compliance Officer
CCPI	Colombo Consumer Price Index
CCPU	Central Credit Processing Unit
CCTV	Closed-Circuit Television
CDD	Customer Due Diligence
CDK	Cheque Deposit Kiosk
CDM	Cash Deposit Machine
CDS	Central Depository Systems
CEA	Central Environmental Authority
CEC	Ceylon Entrepreneurs' Club
CEFTS	Common Electronic Fund Transfer Switch
CEO	Chief Executive Officer
CET I	Common Equity Tier I
CFM	Close Family Members
CFO	Chief Financial Officer
CFT	Countering the Financing of Terrorism
CGU	Career Guidance Unit
CHF	Swiss Franc
CHRO	Chief Human Resource Officer
CHS	Complaint Handling System
CIA	Chief Internal Auditor
CIBF	Colombo International Book Fair
CIO	Chief Information Officer
CIRR	Customer's Internal Risk Rating
CISO	Chief Information Security Officer
CIT	Cheque Imaging & Truncating
CLDU	Central Loan Disbursement Unit
CMS	Cash Management Solutions
CNU	Credit Nursing Unit
CO ₂	Carbon Dioxide
CO ₂ e	Carbon Dioxide Equivalent, is a standard unit for measuring carbon footprints
CPCEC	Colombo Port City Economic Commission
CPO	Chief Procurement Officer
CPR & PRC	Credit Policy, Risk & Portfolio Review Committee
CRM	Cash Recycler Machine/Credit Relationship Manager/Customer Relationship Management (as applicable)
CRO	Chief Risk Officer
CRRO	Climate Related Risks and Opportunities
CSD	Corporate Sustainability Department
CSE	Colombo Stock Exchange
CSP	Customer Security Programme
CSR	Corporate Social Responsibility
DA	Document against Acceptance
DBU	Domestic Banking Unit
DC	Documentary Credit
DDC	Data Dissemination Committee
DDO/DDR	Domestic Debt Optimisation/Domestic Debt Restructuring
DGM	Deputy General Manager
DLP	Data Leakage/Loss Prevention
DMS	Delinquent Management System
DP	Document against Payment
DPD	Days Past Due
DPO	Data Protection Officer
DR	Disaster Recovery
DRP	Disaster Recovery Procedure/Plan (as applicable)
D-SIB	Domestic Systemically Important Bank
DWC	Department of Wildlife Conservation
EAD	Exposure at Default
ECG	Effective Career Guidance
ECL	Expected Credit Loss
ED	Executive Director
EDB	Export Development Board
EDR	Endpoint Detection and Response

EFF	Extended Fund Facility
EIR	Effective Interest Rate
EMDE	Emerging Market and Developing Economies
EMS	Energy Monitoring System
EPF	Employees' Provident Fund
EPS	Earnings per Share
ESG	Environmental, Social and Governance
ESMS	Environmental and Social Risk Management System
ESOP	Employee Share Ownership/Option Plan
ESOS	Employee Share Option Scheme
ESPS	Employee Share Purchase Scheme
ETF	Employees' Trust Fund
ETR	Effective Tax Rate
EU	European Union
EUR	Euro
EVP	Employee Value Proposition
EWS	Early Warning Signal
FAD	Fiscal Affairs Department
FCBU	Foreign Currency Banking Unit
FCY	Foreign Currency
FD	Fixed Deposit
Fed Rate	Federal Funds Rate
FIM	File Integrity Monitoring
FinCSIRT	Sri Lanka Financial Sector Computer Security Incident Response Team
FINDAS	Finance Document Approval System
FIU	Financial Intelligence Unit of Sri Lanka
FMCG	Fast-Moving Consumer Goods
FRMC	Fraud Risk Management Committee
FSVAT	Value Added Tax on Financial Services
FTRA	Financial Transactions Reporting Act
FVOCI	Fair Value through Other Comprehensive Income
FVPL	Fair Value through Profit or Loss
FX/FOREX	Foreign Exchange
FY	Financial Year
G10	Group of Ten
GBP	British Pound Sterling
GCC	Gulf Cooperation Council
GDP	Gross Domestic Product
GHG	Greenhouse Gas
GJ	Gigajoule
GOSL	Government of Sri Lanka
GRI	Global Reporting Initiative
HHI	Herfindahl-Hirschman Index
HKD	Hong Kong Dollar
HLA	Higher Loss Absorbency
HNI/HNF	High Net Worth Individuals/High Net Worth Families
HQLA	High Quality Liquid Assets
HR	Human Resources
HRIS	Human Resource Information System
HVAC	Heating, Ventilation and Air Conditioning
i.e.	That is
IAD	Internal Audit Department
ICAAP	Internal Capital Adequacy Assessment Process
ICOFR	Internal Control Over Financial Reporting
ICT	Information and Communication Technologies
IDB	Industrial Development Board
IDP	Individual Development Plan
IFC	International Finance Corporation
IIA	Inward Investment Account
IIRC	International Integrated Reporting Council
IKIGAI	A Japanese concept referring to something that gives a person a sense of purpose, a reason for living.
ILED	Internal Loss Event Data Reporting
ILO	International Labour Organisation
IMF	International Monetary Fund
IMF-EFF	International Monetary Fund-Extended Fund Facility
IND	Independent Director
INR	Indian Rupee
IOT	Internet of Things
IPG	Internet Payment Gateway
IPO	Initial Public Offering
IR	Integrated Reporting

IRM	Integrated Risk Management
IRR	Interest Rate Risk
ISC	Information Security Committee
ISL	Individually Significant Loan
ISMS	Information Security Management System
ISO	International Organisation for Standardisation
ISSB	International Sustainability Standards Board
IT	Information Technology
IUCN	International Union for Conservation of Nature
JE I/JE II	Junior Executive I/Junior Executive II
JFPR	Japan Fund for Poverty Reduction
JPY	Japanese Yen
KDU	Kotelawala Defence University
Kg	Kilograms
Km	Kilometers
KMP	Key Management Personnel
KPI	Key Performance Indicators
KRI	Key Risk Indicators
kWh	Kilowatt-hour
KYC	Know-Your-Customer
L&D	Learning and Development
LC	Letter of Credit
LCB	Licensed Commercial Bank
LCP	Liquidity Contingency Plan
LCR	Liquidity Coverage Ratio
LDU	Loan Disbursement Unit
LED	Light-Emitting Diode
LGD	Loss Given Default
LKR	Sri Lankan Rupee
LMS	Learning Management System
LP Gas	Liquefied Petroleum Gas
LRS	Loan Review Summaries
LSB	Licensed Specialised Bank
LTECL	Life Time Expected Credit Loss
M&A	Mergers and Acquisitions
MAL	Maturity of Assets and Liabilities
MD	Managing Director
MIS	Management Information System
ML	Money Laundering
Mn	Million
MNC	Multinational Corporation
MOU	Memorandum of Understanding
MoM	Month-on-Month
MRMU	Market Risk Management Unit
MSME	Micro, Small and Medium Scale Entrepreneurs
MTM	Mark to Market
MVAC	Mechanical Ventilation and Air Conditioning
Mw	Megawatt
NBFI	Non-Banking Financial Institutions
NBQSA	National Best Quality Software Awards
NBRO	National Building Research Organisation
NBV	Net Book Value
NCD	Non-Communicable Diseases
NCE	National Chamber of Exporters
NCPI	National Consumer Price Index
NCRCS	New Comprehensive Rural Credit Scheme
NCRE	Non-Conventional Renewable Energy
NED	Non-Executive Director
NFCI	Net Fee and Commission Income
NGO	Non-Governmental Organisation
NID	Non-Independent Director
NII	Net Interest Income
NIM	Net Interest Margin
NOI	National Olympiad in Informatics
NOP	Net Open Position
NPA/NPL	Non-Performing Advances/Non-Performing Loans
NPS	Net Promoter Score
NRA	National Risk Assessment
NSBM	National School of Business Management
NSC	Network Services Centre
NSFR	Net Stable Funding Ratio
OBU	Offshore Banking Unit
OCI	Other Comprehensive Income
OD	Overdraft
OIA	Outward Investment Account
OPD	Outpatient Department
OPEX	Operating Expenditure

ORM	Operations Relationship Manager
ORMC	Operational Risk Management Committee
OTP	One-Time-Password
p.a.	Per Annum
p.m.	Per Month
P2P	Procure-to-Pay
PAM	Privileged Access Management
PAT	Profit After Tax
PBBS	Performance Based Bonus Scheme
PBT	Profit Before Tax
PC	Procurement Committee
PCI DSS	Payment Card Industry Data Security Standard
PD	Probability of Default
PDI	Past Due Interest
PDU	Primary Dealer Unit
PEP	Project Evaluation Process
PESTEL	Political, Economic, Social, Technological, Environmental and Legal
PFCA	Personal Foreign Currency Account
PII	Personal Identifiable information
PIN	Personal Identification Number
PLC	Public Limited Company
PLM	Product Lifecycle Management
PMEP	Project Management and Evaluation Process
PMS	Performance Management System
PPE	Property, Plant and Equipment
PUC	Projected Unit Credit
PVBP	Present Value Basis Points
Q1/Q2/Q3/Q4	Quarter 1/Quarter 2/Quarter 3/Quarter 4
QMS	Quality Management System
QoQ	Quarter-on-Quarter
QR Code	Quick Response Code
R&D	Research and Development
RBA	Risk Based Approach
RBP	Risk Based Pricing
RCC	Risk and Compliance Committee
RCGC	Royal Colombo Golf Club
RCPP	Recovery Policy/Plan/Planning (as appropriate)
RCSA	Risk and Control Self-Assessment
Ref.	Reference
RHS	Right Hand Side
RMU	Risk Management Unit
ROA	Return on Assets
ROE	Return on Equity
ROI	Return on Investment
RPA	Robotic Process Automation
RPT	Related Party Transactions
RSA	Rate Sensitive Assets
RSL	Rate Sensitive Liabilities
RTO	Recovery Time Objectives
RWA	Risk Weighted Assets
RWN	Rating Watch Negative
SAL	Sensitivity of Assets and Liabilities
SASB	Sustainability Accounting Standards Board
SBEA	Sampath Bank Employees' Association
SD WAN	Software-defined Wide Area Network
SDAS	Sampath Document Approval System
SDFR	Standing Deposit Facility Rate
SDG	Sustainable Development Goals
SDR	Special Drawing Rights
SEA	Sampath Expat Account
SEC	Securities and Exchange Commission of Sri Lanka
SENS	Sampath Employee Notification System
SGD	Singapore Dollar
SID	Senior Independent Director
SIEM	Security Information and Event Management
SITS	Sampath Information Technology Solutions Limited
SLA	Service Level Agreement/Sampath Learning Academy (as appropriate)
SLAR	Statutory Liquid Assets Ratio
SLBA	Sri Lanka Banks' Association
SLDB	Sri Lanka Development Bond
SLFR	Standing Lending Facility Rate
SLFRS/LKAS	Sri Lanka Accounting Standards
SLID	Sri Lanka Institute of Directors

SLIM	Sri Lanka Institute of Marketing
SLISB	Sri Lanka International Sovereign Bond
SLSAE	Sri Lanka Standard on Assurance Engagements
SMD	Surface Mount Diode
SME	Small and Medium-sized Enterprises
SMILE	Small and Micro Industries Leader and Entrepreneur Promotion Project
SMS	Short Message/Messaging Service
SoAT	Statement of Alternative Treatment
SOC	Security Operation Centre
SOE	State-Owned Enterprises
SOFS	Symposium on Oceans and Freshwater Systems
SPO	Secondary Public Offering
SPPI	Solely Payments of Principal and Interest
sq. ft.	Square Feet
Sri Lanka NCPC	National Cleaner Production Centre of Sri Lanka
SRM	Security Register Maintenance
SRP	Supervisory Review Process
SRR	Statutory Reserve Ratio
SRRO	Sustainability Related Risks and Opportunities
SRS	System Requirements Specification
SSCL	Social Security Contribution Levy
STARS	Special Thanks and Recognition Scheme
STR	Suspicious Transaction Reports
SVC	Sampath Vishwa Corporate
SWIFT	Society for Worldwide Interbank Financial Telecommunications
SWOT	Strengths, Weaknesses, Opportunities and Threats
TAP	Trade Assistance Programme
T-Bill	Treasury Bill
T-Bill/T-Bond	Treasury Bill/Treasury Bond
TBO	Treasury Back Office
T-Bond	Treasury Bond
TCFD	Task Force on Climate-related Financial Disclosures
tCO ₂ e	Tones of Carbon Dioxide Equivalent
TCW	Touchless Cash Withdrawals
TDD	Transaction Due Diligence
TF	Terrorist Financing
TFO	Treasury Front Office
Tn	Trillion
TNA	Training Need Analysis
TOR	Terms of Reference
TT	Telegraphic Transfer
TTDAS	Telegraphic Transfer Document Approval System
UCSC	University of Colombo, School of Computing
UI	User Interface
UK	United Kingdom
UN	United Nations
UNGC	United Nations Global Compact
UNICEF	United Nations International Children's Emergency Fund
UOP	University of Peradeniya
UPI	UnionPay International
UPS	Uninterruptible Power Supply
US	United States
USA	United States of America
USD/US\$	United States Dollar
USJ	University of Sri Jayawardenepura
UX	User Experience
VAPT	Vulnerability Assessment and Penetration Testing
VaR	Value at Risk
VAT	Value Added Tax
Vis-à-vis	In relation to, counterpart
VRF	Variable Refrigerant Flow
VTM	Virtual Teller Machine
w.e.f	With Effect From
WE-Fi	Women Entrepreneurs Finance Initiative
WHO	World Health Organisation
WHT	Withholding Tax
WIM	Women in Management
YoY	Year-on-Year

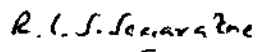
Notice of Annual General Meeting

Notice is hereby given that the 39th Annual General Meeting of Sampath Bank PLC (the Company) will be held at "Oak Room", The Cinnamon Grand, No. 77, Galle Road, Colombo 03, on 28th March 2025 at 9.30 a.m. for the following purposes:

General Resolutions

1. To receive and consider the Annual Report of the Board of Directors on the Affairs of the Company.
2. To receive and consider the Statement of Audited Accounts for the year ended 31st December 2024 with the Report of the Auditors thereon.
3. To approve the cash dividend of Rs 9.35 per share recommended by the Board of Directors as the Final dividend for the financial year 2024.
4. To elect Mr Keith Modder who was appointed to the Board to fill up a vacancy in the Board in terms of Article No. 93 of the Articles of Association of the Company.
5. To re-elect Mr Vajira Kulatilaka who retires by rotation at the Annual General Meeting as a Director in terms of Article No. 87 of the Articles of Association of the Company.
6. To re-elect Mr Harsha Amarasekera who retires by rotation at the Annual General Meeting as a Director in terms of Article No. 87 of the Articles of Association of the Company.
7. To re-elect Mrs Keshini Jayawardena who retires by rotation at the Annual General Meeting as a Director in terms of Article No. 87 of the Articles of Association of the Company.
8. To grant approval to the Board of Directors to make any donations, contributions or subscriptions as it may consider appropriate during the financial year 2025.
9. To re-appoint Messrs Ernst & Young, Chartered Accountants, as Auditors of the Company for the ensuing year and to authorise the Directors to determine their remuneration.

By order of the Board,



LASANTHA SENARATNE

Company Secretary

17th February 2025

Colombo, Sri Lanka

Note:

A member is entitled to appoint a Proxy to participate and vote on his/her/its behalf and a Proxy needs not be a member of the Company. A Form of Proxy is enclosed for this purpose. The completed Form of Proxy should be deposited at the Registered Office (Secretariat Department) of the Company at No. 110, Sir James Peiris Mawatha, Colombo 02, Sri Lanka, **not less than 24 hours before** the appointed time for holding the Annual General Meeting for the administrative purpose, and no registration of Proxies will be accommodated at the venue on the date of the Annual General Meeting.

Notes

[illegible]

Notes

This image shows a full page of white paper with horizontal dotted lines. The lines are evenly spaced and run across the width of the page, providing a guide for handwriting practice. There are no margins, text, or other markings on the page.

Stakeholder Feedback Form

Sampath Bank greatly values your feedback about this Annual Report as it will help us to further improve the quality of our future publications. As such, we encourage you to complete and return this feedback form to,

COMPANY SECRETARY

Sampath Bank PLC
 No. 110, Sir James Peiris Mawatha,
 Colombo 02, Sri Lanka
 E-mail : company_secretary@sampath.lk
 Tel : +94 11 4730652/420/548
 Fax : +94 11 2300924

WHICH STAKEHOLDER GROUP/S DO YOU BELONG TO? (YOU MAY TICK MORE THAN ONE)

Shareholder	☐	Investor	☐	Customer	☐
Employee	☐	Supplier	☐	Service Provider	☐
Community	☐	Public Authority	☐	Regulatory Body	☐
Student	☐	Journalist	☐	Analyst	☐
Special Interest Group	☐	NGO	☐	Other	☐

RATE YOUR OVERALL IMPRESSION OF THIS REPORT IN TERMS OF:

Indicator	Excellent	Good	Fair	Poor
Content and Scope				
Comments:				
Informative				
Comments:				
Transparent				
Comments:				
Trustworthy				
Comments:				
Comprehensive				
Comments:				
User Friendly				
Comments:				
Design and Layout				
Comments:				
Clarity of Language				
Comments:				

Stakeholder Feedback Form

COMMENTS/QUERIES/SUGGESTIONS

[illegible]

Please ✓ the appropriate box

Please ✓ the appropriate box	Yes	No
Would you like to receive Details/News of our Products/Services via e-mail mentioned below?	☐	☐
Would you like to receive news and press releases of Sampath Bank via e-mail?	☐	☐

YOUR DETAILS

Name :

Address :

Telephone (Residence) :

Telephone (Office) :

Mobile :

Fax :

E-mail :

Form of Proxy

THIRTY NINTH ANNUAL GENERAL MEETING

Sampath Bank PLC
No. 110, Sir James Peiris Mawatha,
Colombo 02, Sri Lanka.

I/We,

bearing NIC No./Passport No./Company Reg. No.of

being a member/members of Sampath Bank PLC (the Company) hereby appoint Mr/Mrs/Miss/Ven/Rev

bearing NIC No./Passport No. of

..... whom failing:

- | | | | | | |
|---|---------------------------|-------------|----|------------------------------|-------------|
| 1 | Mr Harsha Amarasekera | failing him | 7 | Mr Vinod Hirdaramani | failing him |
| 2 | Mr Rushanka Silva | failing him | 8 | Mr Hiran Cabraal | failing him |
| 3 | Mr Dilip de S Wijeyeratne | failing him | 9 | Mr Keith Modder | failing him |
| 4 | Ms Aroshi Nanayakkara | failing her | 10 | Mrs Ayodhya Iddawela Perera | failing her |
| 5 | Mr Vajira Kulatilaka | failing him | 11 | Mr Ajantha de Vas Gunasekara | |
| 6 | Mrs Keshini Jayawardena | failing her | | | |

as my/our proxy to participate and vote for me/us on my/our behalf at the Thirty Ninth Annual General Meeting of the Company to be held at "Oak Room", The Cinnamon Grand, No. 77, Galle Road, Colombo 03, on 28th March 2025 at 9.30 a.m. and at any adjournment thereof.

Please mark your preference with "X"

	FOR	AGAINST
1. To receive and consider the Annual Report of the Board of Directors on the Affairs of the Company.	☐	☐
2. To receive and consider the Statement of Audited Accounts for the year ended 31st December 2024 with the Report of the Auditors thereon.	☐	☐
3. To approve the cash dividend of Rs 9.35 per share recommended by the Board of Directors as the Final dividend for the financial year 2024.	☐	☐
4. To elect Mr Keith Modder who was appointed to the Board to fill up a vacancy in the Board in terms of Article No. 93 of the Articles of Association of the Company.	☐	☐
5. To re-elect Mr Vajira Kulatilaka who retires by rotation at the Annual General Meeting as a Director in terms of Article No. 87 of the Articles of Association of the Company.	☐	☐
6. To re-elect Mr Harsha Amarasekera who retires by rotation at the Annual General Meeting as a Director in terms of Article No. 87 of the Articles of Association of the Company.	☐	☐
7. To re-elect Mrs Keshini Jayawardena who retires by rotation at the Annual General Meeting as a Director in terms of Article No. 87 of the Articles of Association of the Company.	☐	☐
8. To grant approval to the Board of Directors to make any donations, contributions or subscriptions as it may consider appropriate during the financial year 2025.	☐	☐
9. To re-appoint Messrs Ernst & Young, Chartered Accountants as Auditors of the Company for the ensuing year and to authorise the Directors to determine their remuneration.	☐	☐

Signed on this day of 2025

Signature/s

NIC/Passport/Company Reg. No. of Shareholder/s

- Note:** 1. Proxy need not be a member of the Company.
2. Instructions as to completion of the Form of Proxy are given below.

Form of Proxy

INSTRUCTIONS AS TO COMPLETION

1. Kindly perfect the Form of Proxy, after filling in legibly your full name and address and by signing in the space provided.
2. The completed Form of Proxy should be deposited at the Registered Office (Secretariat Department) of the Company at No. 110, Sir James Peiris Mawatha, Colombo 02, Sri Lanka, **not less than 24 hours before** the appointed time for holding the Annual General Meeting (AGM) for the administrative purpose, and no registration of Proxies will be accommodated at the venue on the date of the Annual General Meeting.
3. If you wish to appoint a person other than Chairman, Deputy Chairman or a Director of the Company as your Proxy, please insert the relevant details in the space provided before the names of the Board of Directors on the Form of Proxy.
4. Article No. 73 of the Articles of Association of the Company provides that: "Any corporation which is a member of the Company may by resolution of its directors or other governing body, authorise such person as it thinks fit to act as its representative at any meeting of the Company or of any class of members of the Company, and the person so authorised shall be entitled to exercise the same powers on behalf of such corporation as the corporation could exercise if it were an individual member of the Company".
5. Please mark your preference with an "X" in the space provided as to how your proxy may vote on each resolution. If no indication is given, the proxy, at his/her discretion, will vote as he/she thinks fit.
6. Article No. 63 of the Articles of Association of the Company provides that: "In the case of joint-holders of a share, the senior who tenders a vote, whether in person or by proxy or by attorney or by representative shall be accepted to the exclusion of the votes of the other joint-holders, and for this purpose seniority shall be determined by the order in which the names stand in the Register of Members in respect of the joint holding".
7. In the case of a Company/Corporation, the Proxy must be under its **Common Seal**, which should be affixed and/or attested in the manner prescribed by its Articles of Association.
8. When a proxy is signed by an attorney, the legally executed power of attorney in accordance with the relevant regulatory provisions must be deposited at the company's registered office for registration.

Name of Shareholder :

NIC No./Passport No./Company Reg. No. of Shareholder :

Membership No./Share Certificate No. :

CDS Account No. [if applicable] :

No. of Shares :

Name of Proxyholder :

NIC No./Passport No. of Proxyholder :

Corporate Information

GENERAL

NAME OF THE COMPANY

Sampath Bank PLC

LEGAL FORM

A Public Limited Liability Company incorporated in Sri Lanka on 10th March 1986 under the Companies Act No. 17 of 1982 and listed on the Colombo Stock Exchange, re-registered on 28th April 2008 under the Companies Act No. 07 of 2007. A Licensed Commercial Bank under the Banking Act No. 30 of 1988.

COMPANY REGISTRATION NUMBER

PQ 144

HEAD OFFICE & REGISTERED OFFICE

No. 110, Sir James Peiris Mawatha, Colombo 02, Sri Lanka.

TELEPHONE

1332 (Short code of Hotline - Local)
+94112303050 (Hotline - both local and international)
+94112300604 (Card related inquiries)
+94112300600 (Merchant related inquiries)
+94112314814 (Premium card inquiries)

FAX

+94(011) 2303085

SWIFT CODE

BSAMLKLX

E-MAIL

mgr@oper.sampath.lk
info@sampath.lk

ACCOUNTING YEAR END

31st December 2024

VAT REGISTRATION NUMBER

134001194-7000

TAXPAYER IDENTIFICATION NUMBER (TIN)

134001194

CREDIT RATING

Fitch Ratings Lanka Limited has assigned National Long Term Rating of 'AA-(lka) Stable' to Sampath Bank PLC w.e.f 21st January 2025 [31st December 2024: A(lka) Stable].

The subordinated debentures have been assigned a rating of 'A(lka)' w.e.f 21st January 2025 [31st December 2024: BBB+(lka)].

AUDITORS

Messrs Ernst & Young
Chartered Accountants

LAWYERS

Messrs Nithya Partners
Attorneys-at-Law

Messrs Heritage Partners
Attorneys-at-Law

COMPANY SECRETARY

Mr Lasantha Senaratne
Attorney-at-Law

ASSISTANT COMPANY SECRETARY

Mr Muditha Walpola
Attorney-at-Law

CHIEF COMPLIANCE OFFICER

Mr Sudharshana Jayasekera

FOR INVESTOR RELATIONS, PLEASE CONTACT

Senior Manager - Investor Relations
Sampath Bank PLC,
No. 110, Sir James Peiris Mawatha,
Colombo 02, Sri Lanka.
thilina@credit.sampath.lk
+94 11 5406963
+94 76 5261069

FOR CLARIFICATIONS ON THE REPORT, PLEASE CONTACT

Company Secretary
Sampath Bank PLC,
No. 110, Sir James Peiris Mawatha,
Colombo 02, Sri Lanka.
company_secretary@sampath.lk
+94 11 4730652
+94 11 4730420
+94 11 4730548

BOARD OF DIRECTORS

Mr Harsha Amarasekera
Chairman/
Non-Independent,
Non-Executive Director

Mr Rushanka Silva
Deputy Chairman/
Non-Independent,
Non-Executive Director

Mr Dilip de S Wijeyeratne
Senior Independent
Director, Non-Executive
Director

Ms Aroshi Nanayakkara
Independent,
Non-Executive Director

Mr Vajira Kulatilaka
Independent,
Non-Executive Director

Mrs Keshini Jayawardena
Independent,
Non-Executive Director

Mr Vinod Hirdaramani
Independent,
Non-Executive Director

Mr Hiran Cabraal
Independent,
Non-Executive Director

Mr Keith Modder
Independent,
Non-Executive Director

Mrs Ayodhya Iddawela Perera
Managing Director

Mr Ajantha de Vas Gunasekara
Executive Director/
Chief Financial Officer

SUBSIDIARIES

Company	Holding %	Nature of Business
Sampath Centre Ltd	100	Renting of Commercial Property
SC Securities (Pvt) Ltd	100	Stock Broking
Siyapatha Finance PLC	100	Financial Services
Sampath Information Technology Solutions Ltd	100	IT Services

STOCK EXCHANGE LISTINGS

- 1,172,700,760 Ordinary Shares
- 60,000,000 Basel III Compliant – Tier II Listed Rated Unsecured Subordinated Redeemable Debentures with a Non-Viability Conversion of Rs 100/- each – 2021/2028
- 100,000,000 Basel III Compliant – Tier II Listed Rated Unsecured Subordinated Redeemable Debentures with a Non-Viability Conversion of Rs 100/- each – 2023/2028



www.sampath.lk



<https://www.facebook.com/Sampathbankplc>



<https://www.instagram.com/sampathbankplc/>



<https://x.com/SampathBankPLC>



https://www.youtube.com/channel/UCxNY_miDsSKGkrL5sFU9vg



Designed & produced by

emagewise

Printed by Softwave Printing & Packaging (Pvt) Ltd
Photography by Dimitri Cruz



Sampath Bank

WE PRESENT YOUR FUTURE



www.sampath.lk